

MBA / PGPM · SEMESTER I

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# Accounting for Managers

Complete Beginner-to-Exam Study Notes

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Official syllabus covered in full · Journal to ratio analysis · Taught from first principles with rupee workings, exam formats, and a last-30-minutes revision kit.

STANDALONE TEXTBOOK + EXAMINATION WORKBOOK

# How to use these notes

Start with the Bootcamp even if the exam syllabus begins at Chapter 1. Accounting is a language. The bootcamp teaches the alphabet; the chapters teach the sentences. Read in order. When you meet a numerical, copy the format onto paper and solve it yourself before you look at the solution. The last section is a revision kit — do not skip it the night before the paper.

## 00 Accounting Basics Bootcamp

## 01 Introduction to Accounting

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## A Master Formula Sheet

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# Accounting Basics Bootcamp

**Learning outcome.** After this bootcamp you will be able to read any transaction, name the accounts it touches, say what increased or decreased, and write the debit and credit.

## WHAT THIS CHAPTER COVERS (OFFICIAL SYLLABUS)

- What is accounting
- Why accounting is needed
- Business transactions
- Assets, Liabilities, Capital
- Revenue, Expenses, Profit, Loss, Drawings
- Accounting equation
- Debit and Credit
- Basic accounting rules
- How transactions affect accounts

Meet **Rahul**. He is 24. He has saved ₹1,00,000 and he is opening a small stationery shop — pens, notebooks, files, copier paper — on a rented lane in Pune. He will call it **Rahul Stationery**. He has never kept books. This bootcamp starts at zero and walks with him, rupee by rupee, until you can read any transaction the way an accountant reads it.

You do not need any earlier chapter. You do not need commerce at school. If you can add and subtract, you can do this. Every number is shown. Nothing is skipped.

By the last page you will: (1) name the accounts a transaction touches, (2) say whether each account increased or decreased, (3) place the amount on the debit or the credit, (4) write the journal line, and (5) prove that the accounting equation still balances.

## KEY POINT

One shop. One owner. Ten transactions. Every idea in this bootcamp is hung on Rahul. When you later open a factory, a hospital, or a listed company, the same ten ideas still hold. Only the names of the accounts get longer.

## 1. What is accounting?

### 1. WHAT IS IT? — DEFINITION

Accounting is the process of **identifying, measuring, recording, classifying, summarising, analysing** and **communicating** money information about a business so that the owner and outsiders can take decisions.

### 2. IN SIMPLE WORDS

Accounting is the memory and the language of a business. It notices every rupee that comes in or goes out, writes it down under a proper name, totals it, and then tells a story: did we make a profit? what do we own? what do we owe?

### 3. WHY DO WE NEED IT?

Without accounting Rahul will forget, mix his personal spending with the shop, not know whether a notebook is sold at a profit, and have nothing to show a bank or the tax officer. Accounting turns a pile of bills into a picture of the shop.

### 4. REAL-LIFE EXAMPLE

Rahul sells a pack of pens for ₹150 cash. Accounting does not stop at “money came in”. It identifies that this is a sale, measures it at ₹150, records it in the cash book and the sales account, classifies it as income, summarises it with all other sales at month-end, analyses whether pens are a good line, and communicates the profit in a statement Rahul can read.

## 5. ACCOUNTING LOGIC

Business events happen in the real world. Accounting translates them into a common unit — the rupee — and into a common structure — accounts. That translation is why a bank in Mumbai can read the books of a shop in Pune without visiting the counter.

**The seven steps, in the order they actually happen:**

**Accounting is a process, not a single entry**

| Step | Name                 | What Rahul does                                                                                 | Tiny example                                                                   |
|------|----------------------|-------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------|
| 1    | <b>Identifying</b>   | Spot the events that change the shop's money or value. Ignore the rest.                         | A customer pays ₹150 — identify. A customer window-shops — ignore.             |
| 2    | <b>Measuring</b>     | Put a rupee figure on the event. Accounting records only what can be measured in money.         | The pens sold are measured at ₹150, not as “a happy customer”.                 |
| 3    | <b>Recording</b>     | Write the event in the books on the date it happened, with evidence (bill, voucher, cheque).    | Cash book: cash in ₹150. Sales book: sale ₹150.                                |
| 4    | <b>Classifying</b>   | Put each amount under the right account name so similar things sit together.                    | ₹150 is Sales, not Capital, not a loan.                                        |
| 5    | <b>Summarising</b>   | Total the accounts and present short statements — profit, and a list of what is owned and owed. | Month sales ₹80,000, expenses ₹55,000, profit ₹25,000.                         |
| 6    | <b>Analysing</b>     | Ask what the numbers mean. Compare, find the cause, spot the leak.                              | Rent is 20% of sales — too high for this lane? Stock of diaries is not moving. |
| 7    | <b>Communicating</b> | Give the picture to the people who need it: Rahul, the bank, the tax officer, a partner.        | A one-page profit statement and a one-page list of assets and liabilities.     |

## FORMULA

**Accounting = Identify → Measure → Record → Classify → Summarise → Analyse → Communicate**

Skip a step and the picture is either incomplete or useless to the reader.

## 7. HOW TO PROCESS ONE EVENT (EXAM PROCEDURE)

1. Read the event. Did money or value of the business change? If no, stop — it is not accounting yet.
2. Measure it in ₹. Use the bill, the invoice, the cheque, or the agreed price. Do not guess.
3. Name the accounts. At least two names, because every event has two sides (you will see why under the equation).
4. Write the record. Date, accounts, amounts, a one-line narration of what happened.
5. Later, add similar records together (classify and summarise) and read the totals (analyse and communicate).

## SOLVED EXAMPLE 0.1 · EASY

**Which of these is accounting, and which is just a thought?**

Rahul thinks, “I might buy a photocopy machine next year.” A supplier delivers the machine today for ₹40,000 cash and leaves a tax invoice.

**Answer.** The thought is not accounting — no money moved, no evidence, nothing to measure. The delivery is accounting: identify (machine bought), measure (₹40,000), record (Cash down, Furniture/Machinery up), classify (asset), and later summarise it on the list of things the shop owns.

## 9. HOW TO IDENTIFY THE QUESTION

If the question says “define accounting” or “accounting is the process of...”, write the seven verbs in order: identifying, measuring, recording, classifying, summarising, analysing, communicating. Then add “in terms of money, to help users take decisions.”

## 10. COMMON MISTAKES

- Writing only “recording of transactions”. That is bookkeeping, which is one part of accounting, not the whole.
- Forgetting measuring. If you cannot put a rupee figure, accounting does not record it (a loyal customer is valuable — but not in the books).
- Stopping at recording. The exam wants the full process, including analysis and communication.

## 11. MEMORY TRICK

I-M-R-C-S-A-C: I Measure, Record, Classify, Summarise, Analyse, Communicate. Say it as “I mark rupees clearly so anyone can count.”

## 12. EXAM-READY ANSWER

Accounting is the process of identifying, measuring, recording, classifying, summarising, analysing and communicating financial information of a business. Identification picks the events that change the resources of the firm. Measurement expresses those events in money. Recording writes them in the books with evidence. Classification groups them under account heads. Summarising presents totals as statements. Analysis interprets the statements. Communication reports the picture to owners, lenders, the tax authority and other users so that decisions can be taken. Accounting is therefore both a record and a language.

# 2. Why do businesses keep accounts?

## 1. WHAT IS IT? — DEFINITION

Businesses keep accounts so that they have a reliable memory of every rupee, can compute profit or loss, can pay the correct tax, can borrow from a bank, can control theft and waste, and can decide what to do next.

## 2. IN SIMPLE WORDS

Rahul cannot keep 400 bills in his head. Accounts are a notebook that never gets tired, never takes sides, and can be shown to other people.

## 3. WHY DO WE NEED IT?

The shop is not a hobby. Money is coming from Rahul’s savings, later from a bank, and the government wants its tax. Accounts are how Rahul proves what happened — to himself first, then to everyone else.

## 4. REAL-LIFE EXAMPLE

A bank manager asks Rahul, “What did you earn last year, and what do you own today?” If Rahul shrugs, there is no loan. If Rahul opens a set of books that add up, the manager has something to read.

## 5. ACCOUNTING LOGIC

Every reason below is a different reader of the same books. The books do not change for each reader. The statements pulled from the books do.

**Six reasons — memory, profit, tax, bank loan, control, decision**

| Need             | Question the books answer                                          | What goes wrong without books                                      |
|------------------|--------------------------------------------------------------------|--------------------------------------------------------------------|
| <b>Memory</b>    | What happened on 12 June? Who still owes us? Whom do we still owe? | Rahul forgets that Aman is still to be paid ₹18,000.               |
| <b>Profit</b>    | Did the shop earn more than it spent? How much?                    | Busy counter, empty pocket — he sold below cost and never noticed. |
| <b>Tax</b>       | What is taxable income? What GST was collected and paid?           | He pays too much, or too little and faces a notice.                |
| <b>Bank loan</b> | Is the shop able to repay? What security does it have?             | The manager has no numbers. The file is closed.                    |
| <b>Control</b>   | Is cash matching the till? Is stock walking out the door?          | An employee can pocket cash and there is no trail.                 |
| <b>Decision</b>  | Should we drop diaries and add art supplies? Is rent too high?     | Decisions are made on a feeling, which is how shops quietly die.   |

#### SOLVED EXAMPLE 0.2 · EASY

##### Name the reason

Rahul wants to know whether notebooks or greeting cards give him more leftover money after cost. Which reason is this?

**Answer.** Decision (and profit). Accounts will show sales and cost of each line so he can keep the better one.

#### 9. HOW TO IDENTIFY THE QUESTION

If the question is “why is accounting needed / objectives of accounting”, list these six: memory (record), profit (result), tax (statutory), bank loan (creditworthiness), control (stewardship), decision (management). One line of explanation under each.

#### 10. COMMON MISTAKES

- Writing only “to know profit”. That is one reason, not the full answer.
- Mixing “control” with “tax”. Control is internal (cash, stock, people). Tax is a duty to the government.

#### 11. MEMORY TRICK

MP-TB-CD: Memory, Profit, Tax, Bank-loan, Control, Decision. “My Profit To Bank Comes Daily.”

## 3. Bookkeeping versus accounting

#### 1. WHAT IS IT? — DEFINITION

**Bookkeeping** is the recording of transactions in the books, in a systematic way. **Accounting** is bookkeeping plus classifying, summarising, analysing and communicating — that is, recording plus interpreting.

#### 2. IN SIMPLE WORDS

Bookkeeping is writing it down correctly. Accounting is writing it down and then reading what it means. Every accountant book-keeps. Not every bookkeeper accounts.

#### 3. WHY DO WE NEED IT?

Exam papers love this pair. If you treat them as the same word you lose marks. In a small shop Rahul may do both. In a company a clerk book-keeps and a manager accounts.

#### 4. REAL-LIFE EXAMPLE

Rahul's cousin Neha writes every cash receipt and payment in a register. That is bookkeeping. At month-end Rahul takes Neha's totals, computes profit, compares this month with last month, and decides to cut the greeting-card order. That is accounting.

## 5. ACCOUNTING LOGIC

Recording is the foundation. Interpretation is the roof. You cannot interpret what was never recorded. You also cannot call a pile of recordings "accounts" until someone has totalled and read them.

### BOOKKEEPING

- Identifying and recording transactions.
- Journal, cash book, ledger postings.
- Clerical, rule-based, day to day.
- Output: a complete record.
- Does not, by itself, explain profit or position.

### ACCOUNTING

- Recording + classifying + summarising + analysing + communicating.
- Trial balance, profit statement, balance sheet, ratios.
- Includes bookkeeping, then goes further.
- Output: statements plus meaning.
- Answers "so what?" for owner, bank, tax.

## FORMULA

**Accounting = Bookkeeping + Interpreting (summarising, analysing, communicating)**

Bookkeeping is necessary. It is not sufficient.

## SOLVED EXAMPLE 0.3 · MODERATE

### Is Neha an accountant?

Neha posts every bill to the correct page and her totals always match. She never prepares a profit figure and never comments on the numbers. Is she doing accounting?

**Answer.** She is doing bookkeeping. Accounting begins when those records are summarised into profit and position and then analysed. If Rahul takes her ledger and prepares a profit statement, that extra work is accounting.

## 9. HOW TO IDENTIFY THE QUESTION

If the question says "distinguish between bookkeeping and accounting", draw a two-column table: meaning, scope, level of work, output, who does it. End with the line: bookkeeping is a part of accounting.

## 10. COMMON MISTAKES

- Saying accounting is "only interpretation" — it includes recording.
- Saying bookkeeping is useless. Without it, accounting has nothing to interpret.

## 11. MEMORY TRICK

Bookkeeping = the book. Accounting = the book + the story of the book.

# 4. The business is not the owner

## 1. WHAT IS IT? — DEFINITION

The **business entity concept** says that the business is treated as a person separate from its owner. The books of Rahul Stationery record the shop, not Rahul's private life.

## 2. IN SIMPLE WORDS

Imagine the shop is a box. Rahul can put money into the box and take money out of the box, but the box has its own list of belongings and debts. We never mix the box with Rahul's rent for his flat, his dinner, or his bike.

## 3. WHY DO WE NEED IT?

If we mix them, profit becomes a lie. Paying for a movie ticket from the till would look like a shop expense and would hide the true profit of selling pens.

## 4. REAL-LIFE EXAMPLE

Rahul takes a notebook from the shelf for his sister's homework. In his head "it is my shop, my notebook". In the books it is **drawings** — the owner took goods — not an expense of selling stationery to customers.

## 5. ACCOUNTING LOGIC

Capital is the amount the owner has put into the box. Drawings are the amount the owner has taken out of the box. Both exist only because the box and the owner are recorded as two parties talking to each other.

## KEY POINT

Business  $\neq$  owner. The shop can owe the owner (capital). The owner can owe the shop (if he takes goods without recording drawings — which we will not allow). Every personal withdrawal is drawings. Every personal bill paid from the till is drawings, not rent, not salary, not "miscellaneous".

## SOLVED EXAMPLE 0.4 · EASY

### Whose electricity?

Rahul pays ₹800 for the shop's electricity and ₹1,200 for his home electricity, both from the shop's cash box.

**Answer.** ₹800 is an expense of the business (electricity). ₹1,200 is drawings — the owner took cash for a personal bill. Recording the ₹1,200 as electricity would understate profit by ₹1,200.

## 9. HOW TO IDENTIFY THE QUESTION

If the question says "business entity / accounting entity / separate entity", write: the business is assumed to be distinct from the owner; only business transactions enter the books; owner's private expenses are drawings, not business expenses.

## 10. COMMON MISTAKES

- Treating a sole proprietor's shop as legally a company. Entity is an accounting idea. A sole shop is not a separate legal person, but we still keep separate books.
- Calling drawings an expense. Drawings reduce capital. They do not go to the profit calculation as rent or purchases would.

## 11. MEMORY TRICK

Two names, two pockets: "Rahul" and "Rahul Stationery". If it is not for the shop, it is not a shop expense.



## 12. EXAM-READY ANSWER

Under the business entity concept the enterprise is treated as a unit separate from its owner. Transactions are recorded from the point of view of the business, not the owner. Money introduced by the owner is capital of the business (a claim on the business). Money or goods taken by the owner for personal use are drawings, which reduce capital, and are not expenses of the business. This separation is what makes profit of the shop measurable.

## 5. What is a business transaction?

### 1. WHAT IS IT? — DEFINITION

A **business transaction** is an event that changes the money or the value of the business, can be measured in rupees, and is supported by evidence (bill, invoice, cheque, receipt, voucher, contract).

### 2. IN SIMPLE WORDS

If the shop's pocket got heavier or lighter, or what the shop owns or owes changed, and you can prove it with a paper (or a bank SMS), it is a transaction. If nothing moved except a thought or a handshake, it is not.

### 3. WHY DO WE NEED IT?

Accounting records transactions, not hopes. If we recorded every idea, the books would be fiction. Evidence is what lets a bank, an auditor, or an examiner trust the figure.

### 4. REAL-LIFE EXAMPLE

A customer says, "I will definitely buy 20 diaries next week." That is not a transaction. Next week she pays ₹2,000 and takes the diaries — now it is a transaction: cash in, stock out, evidence = bill.

### 5. ACCOUNTING LOGIC

Three tests, all must pass: (1) change in money or value of this business, (2) measurable in ₹, (3) evidence. Fail any one, leave it out of the books.

### What is a transaction, and what is not

| Event                                                                        | Transaction? | Why                                                                                                                   |
|------------------------------------------------------------------------------|--------------|-----------------------------------------------------------------------------------------------------------------------|
| Rahul thinks of buying a glass display for ₹8,000.                           | No           | Only a thought. Nothing moved. No evidence.                                                                           |
| Rahul shakes hands with a carpenter "to discuss a counter".                  | No           | Handshake without money or a signed order. No value change yet.                                                       |
| Rahul starts the shop with cash ₹1,00,000.                                   | Yes          | Cash of the shop rose. Capital rose. Bank deposit slip / cash in hand is evidence.                                    |
| Buys furniture for ₹20,000 cash, takes a bill.                               | Yes          | Cash down, furniture up. Bill in hand.                                                                                |
| Orders 100 notebooks by a WhatsApp message. Nothing delivered, nothing paid. | No           | A mere order. Stock has not come. Cash has not gone. (When goods or invoice arrive, then yes.)                        |
| A friend praises the shop.                                                   | No           | Goodwill in conversation is not measured in ₹ in these books.                                                         |
| Rahul's sister studies at the counter.                                       | No           | No money, no value change of the shop.                                                                                |
| Pays rent ₹5,000 by cheque.                                                  | Yes          | Bank down, expense up. Cheque and rent receipt.                                                                       |
| Aman supplies stock of ₹30,000 on credit, invoice received.                  | Yes          | Stock up, a creditor (Aman) up. Invoice is evidence. Cash need not move.                                              |
| Rahul takes ₹4,000 from the till for a personal trip.                        | Yes          | Cash of the shop down, drawings up. Even though it is personal, the shop's cash changed — so the shop must record it. |

#### WATCH OUT

Credit purchases and credit sales are transactions. “On credit” does not mean “not yet a transaction”. Value changed: you have the goods, you owe Aman. Record it the day the invoice/goods arrive, not the day you pay.

#### SOLVED EXAMPLE 0.5 · EASY

##### Tick the transactions

From this list, which two enter the books today? (a) Rahul plans to take a loan next month. (b) A customer pays ₹500 cash for pens. (c) Rahul dreams of a second shop. (d) Furniture of ₹20,000 is delivered and paid for.

**Answer.** (b) and (d). (a) is a plan. (c) is a dream. Both fail the three tests.

#### 9. HOW TO IDENTIFY THE QUESTION

If the question says “which of the following is not a transaction”, look for: thoughts, plans, orders not executed, personal events that do not touch the shop, or things that cannot be measured in money.

#### 10. COMMON MISTAKES

- Waiting for cash before recording. Credit purchases and credit sales are transactions on the invoice date.
- Recording a signed “we will do business sometime” handshake. No goods, no money, no invoice — no transaction.
- Leaving drawings out because “it is personal”. Personal for Rahul, but the shop’s cash moved — the shop must record it.

#### 11. MEMORY TRICK

C-M-E: Change, Money-measure, Evidence. All three, or it stays out.

## 6. The five elements — a map

Every amount in Rahul’s books belongs to one of five families. Learn the families first. Names of accounts come after.

**Five families. Every account is a child of one family.**

| Family                  | In one line                             | Rahul example                                  | Where it lives in the equation             |
|-------------------------|-----------------------------------------|------------------------------------------------|--------------------------------------------|
| <b>Assets</b>           | What the shop owns or is owed.          | Cash, bank, stock, furniture, debtors.         | Left side — resources.                     |
| <b>Liabilities</b>      | What the shop owes to outsiders.        | Aman the creditor, a bank loan, unpaid rent.   | Right side — outsiders’ claims.            |
| <b>Capital</b>          | What the shop owes to the owner.        | Rahul’s ₹1,00,000 put in.                      | Right side — owner’s claim.                |
| <b>Revenue (income)</b> | Value earned by the shop from its work. | Sales, commission received, interest received. | Increases capital (profit).                |
| <b>Expenses</b>         | Cost of earning that revenue.           | Rent, salary, electricity, cost of goods sold. | Decreases capital (and may create a loss). |

#### KEY POINT

Revenue and expenses are not a sixth and seventh side of the equation. They explain why capital changed. Profit (revenue – expenses) is added to capital. A loss is subtracted. Drawings are also subtracted from capital, but drawings are not an expense.

## FORMULA

**Assets = Liabilities + Capital, and Capital grows with profit and shrinks with loss and drawings**

Master this map. Debit and credit are only a way of writing the map.

## 7. Assets

### 1. WHAT IS IT? — DEFINITION

An **asset** is a resource of the business that has money value and will give a benefit in the future — something the shop owns, or something someone owes the shop.

### 2. IN SIMPLE WORDS

If Rahul can point to it and say “this belongs to the shop and it is worth rupees”, it is an asset. Cash in the drawer. Money in the bank. Pens on the shelf. The wooden counter. A customer who has not yet paid.

### 3. WHY DO WE NEED IT?

We list assets so that we know what the shop has to work with, and so that the bank and Rahul can see the resources that stand behind the liabilities and capital.

### 4. REAL-LIFE EXAMPLE

Rahul’s wooden display is an asset because it will be used for years to hold goods. A chocolate he eats at lunch is not an asset of the shop — it is gone, and it was personal.

### 5. ACCOUNTING LOGIC

An asset is a future benefit stored in rupees. Cash is a benefit now. Stock is a benefit when sold. Furniture is a benefit while it is used. A debtor is a benefit when the customer pays. Prepaid rent is a benefit because next month’s occupancy is already paid.

### Assets Rahul will meet — and whether they are current

| Asset                                          | What it is                                             | Current or non-current | Why it is an asset                                                            |
|------------------------------------------------|--------------------------------------------------------|------------------------|-------------------------------------------------------------------------------|
| Cash                                           | Notes and coins in the till / cash box.                | Current                | Can be spent immediately.                                                     |
| Bank                                           | Money in the shop’s bank account.                      | Current                | Can be drawn by cheque or UPI.                                                |
| Inventory / Stock                              | Goods held for sale — pens, notebooks, files.          | Current                | Will turn into cash when customers buy.                                       |
| Debtors / Receivables                          | Customers who bought on credit and still owe the shop. | Current                | They are expected to pay in a short time.                                     |
| Furniture                                      | Counter, shelves, chairs, display.                     | Non-current            | Used for years, not sold to customers.                                        |
| Machinery                                      | Photocopy machine, billing printer.                    | Non-current            | Used to run the shop, not held for sale.                                      |
| Building                                       | The shop premises if Rahul owns it.                    | Non-current            | Used for years.                                                               |
| Prepaid (e.g. prepaid insurance, prepaid rent) | An expense paid in advance, benefit still to come.     | Current                | The unused portion is a resource — we have already paid for a future benefit. |

### Current versus non-current, in simple words

#### CURRENT ASSETS

#### NON-CURRENT ASSETS

Things that are cash, or will become cash, or will be used up, **within about a year** (one operating cycle).

- Cash, bank
- Stock
- Debtors
- Prepaid expenses
- Short-term deposits

Things the shop will **use for more than a year**, not sell in the ordinary course of business.

- Furniture, fixtures
- Machinery, computers
- Building, land
- Goodwill, patents (intangible)

**Simple test.** Will this turn into cash, or get used up, inside a year? Current. Will we still be using it next year and the year after? Non-current. Stock of pens is current even if a few diaries stay on the shelf for 14 months — we hold them to sell, not to use.

#### WATCH OUT

Buying a photocopy machine is not “purchases”. Purchases means goods bought to sell. A machine is an asset (machinery). Mixing these two is one of the most common exam mistakes and we will hit it again.

#### SOLVED EXAMPLE 0.6 · EASY

##### Sort these into current and non-current

Cash ₹53,000, furniture ₹20,000, stock of pens ₹20,000, prepaid insurance ₹3,000, building ₹5,00,000, debtors ₹8,000.

**Answer.** Current: cash, stock, prepaid insurance, debtors. Non-current: furniture, building.

#### SOLVED EXAMPLE 0.7 · MODERATE

##### Is a debtor an asset even if the customer is a friend?

Rahul sells ₹2,000 of files to his college friend on credit.

**Answer.** Yes. The shop is owed ₹2,000. That claim is a debtor, a current asset. Friendship is not recorded. If the friend never pays, the asset will later be written off as a loss — but on the day of sale it is an asset.

#### 9. HOW TO IDENTIFY THE QUESTION

If the question says “what are assets / classify assets / current vs fixed (non-current)”, define, then split current (cash, bank, stock, debtors, prepaid) and non-current (furniture, machinery, building, goodwill). Give one line on the “within a year” test.

#### 10. COMMON MISTAKES

- Calling the owner’s personal bike a shop asset. Entity concept — only if the shop owns it.
- Listing capital as an asset. Capital is the owner’s claim, on the other side.
- Calling stock a non-current asset “because we always keep stock”. Stock is held for sale, so it is current.

#### 11. MEMORY TRICK

Asset = a future benefit the shop controls. Current = cash-ish within a year. Non-current = used for years (furniture, machines, building).

## 8. Liabilities

#### 1. WHAT IS IT? — DEFINITION

A **liability** is an amount the business owes to an outsider — a present duty to pay money or to give goods/services, arising from a past event.

## 2. IN SIMPLE WORDS

If someone who is not Rahul can knock on the shop door and say “pay me”, that amount is a liability. Aman who supplied stock on credit. The bank that gave a loan. The landlord if this month’s rent is still unpaid.

## 3. WHY DO WE NEED IT?

Liabilities are claims on the assets. We list them so that we never confuse “what we have” with “what is ours”. A shop can be full of stock and still be in trouble if most of it is owed to suppliers.

## 4. REAL-LIFE EXAMPLE

Aman delivers notebooks worth ₹30,000 and says “pay me in 30 days”. Rahul has the notebooks (asset) and he has a creditor called Aman (liability). Both must be recorded the same day. Recording only the stock would pretend the notebooks are free.

## 5. ACCOUNTING LOGIC

A liability is the other side of an asset that arrived before cash left, or of cash that arrived with a promise to return it (a loan). Dual aspect: something came in, a claim was created.

### Liabilities — outsiders’ claims

| Liability                                         | What it is                                                       | Current or non-current           | Rahul example                                                    |
|---------------------------------------------------|------------------------------------------------------------------|----------------------------------|------------------------------------------------------------------|
| <b>Creditors / Payables</b>                       | Suppliers from whom we bought on credit.                         | Current                          | Aman ₹30,000 for stock.                                          |
| <b>Bank loan (due after 12 months)</b>            | Money borrowed from a bank, repayable later.                     | Non-current (the long-term part) | A 3-year loan of ₹50,000.                                        |
| <b>Bank overdraft / loan due within 12 months</b> | Short borrowing, or the instalment due this year.                | Current                          | Overdraft to pay a supplier this week.                           |
| <b>Outstanding expenses</b>                       | Expenses incurred but not yet paid (rent unpaid, salary unpaid). | Current                          | Outstanding rent ₹5,000 if Rahul has used the shop but not paid. |

### Current versus non-current liabilities

#### CURRENT LIABILITIES

Duties we expect to settle **within a year**.

- Creditors (Aman)
- Outstanding rent, outstanding salary
- Bank overdraft
- Short-term loan / this year’s instalment
- GST payable, tax deducted but not deposited

#### NON-CURRENT LIABILITIES

Duties that stretch **beyond a year**.

- Term loan from a bank (the part due after 12 months)
- Long-term deposit from a customer or tenant
- Debentures (in a company)

#### KEY POINT

Capital is not a liability to an outsider. It is a claim of the owner. In the equation it sits with liabilities because both are claims on assets, but we never call capital “a liability” in a classification question — we call it capital / equity / owner’s equity.

#### SOLVED EXAMPLE 0.8 · EASY

### Is a bank loan a liability or capital?

Rahul's bank credits ₹50,000 as a loan. His aunt also gifts him ₹10,000 which he puts into the shop.

**Answer.** The ₹50,000 is a liability (bank loan) — it must be repaid. The ₹10,000 is capital — the owner (via his aunt's gift, now his money) put it in; it is not repayable on demand as a loan is.

#### 9. HOW TO IDENTIFY THE QUESTION

If the question says “what are liabilities / classify liabilities”, define as amounts owed to outsiders, then split current (creditors, outstanding expenses, overdraft) and non-current (term loan). Stress: capital is not a liability.

#### 10. COMMON MISTAKES

- Calling capital a liability. Capital is the owner's claim, shown with liabilities in the equation, but classified separately.
- Forgetting outstanding expenses. If the shop has used electricity this month and not paid, a liability already exists.
- Treating a loan as income. A loan increases cash/bank and increases a liability. It is not sales. It is not profit.

#### 11. MEMORY TRICK

Liability = we owe an outsider. Current = due within a year (Aman, unpaid rent). Non-current = due after a year (term loan). Capital is the owner, not an outsider.

## 9. Capital

#### 1. WHAT IS IT? — DEFINITION

**Capital** is the amount the owner has invested in the business — the owner's claim on the assets after outsiders have been provided for. In equation form,  $\text{Capital} = \text{Assets} - \text{Liabilities}$ .

#### 2. IN SIMPLE WORDS

Capital is Rahul's money in the shop. When he puts ₹1,00,000 into the cash box on day one, the shop now owes that claim to Rahul. It is not a gift the shop can forget. It is not a loan with interest. It is the owner's stake.

#### 3. WHY DO WE NEED IT?

Without capital we cannot say whose leftover the assets are. After Aman and the bank have been provided for, what remains is Rahul's. That remainder is capital.

#### 4. REAL-LIFE EXAMPLE

Rahul puts ₹1,00,000 cash in. Later the shop makes a profit of ₹2,000 and Rahul takes ₹4,000 home. Closing capital is  $\text{₹1,00,000} + \text{₹2,000} - \text{₹4,000} = \text{₹98,000}$ . You will watch this happen, transaction by transaction, in the equation section.

#### 5. ACCOUNTING LOGIC

Capital is a claim, so it lives on the same side as liabilities. It grows when the owner introduces money or when the shop makes a profit. It shrinks when the shop makes a loss or when the owner takes drawings.

#### FORMULA

**Closing capital = Opening capital + Additional capital + Profit – Loss – Drawings**

Profit itself is Revenue – Expenses. If expenses exceed revenue, there is a loss and capital falls.

#### 6. FORMAT — HOW CAPITAL MOVES

| Event                                                     | Effect on capital                   |
|-----------------------------------------------------------|-------------------------------------|
| Owner puts cash/goods in                                  | Capital increases                   |
| Shop earns revenue (sales, commission, interest received) | Capital increases (via profit)      |
| Shop incurs expenses (rent, salary, cost of goods sold)   | Capital decreases (via profit/loss) |
| Owner takes cash or goods for personal use (drawings)     | Capital decreases                   |
| Loss for the period                                       | Capital decreases                   |

#### SOLVED EXAMPLE 0.9 · MODERATE

##### Compute closing capital

Opening capital ₹1,00,000. Profit ₹2,000. Drawings ₹4,000. No extra capital introduced.

**Working.** ₹1,00,000 + ₹2,000 – ₹4,000 = ₹98,000.

**Answer.** Closing capital ₹98,000.

#### 9. HOW TO IDENTIFY THE QUESTION

If the question says “what is capital / compute closing capital”, write the definition, then the formula Opening + additional capital + profit – loss – drawings. Never subtract drawings from profit as if drawings were an expense — subtract them from capital.

#### 10. COMMON MISTAKES

- Treating capital as cash. Cash is an asset. Capital is a claim. On day one they may be equal; after a few transactions they are not (see T2: cash is ₹80,000, capital is still ₹1,00,000).
- Adding a bank loan to capital. A loan is a liability.

#### 11. MEMORY TRICK

Capital is the owner’s stake, not the cash in the till. Formula: start + profit – drawings (and – loss if any).

## 10. Revenue / Income

#### 1. WHAT IS IT? — DEFINITION

**Revenue** (income) is the value earned by the business from its ordinary activities and from other permitted gains — sales of goods, commission received, interest received, rent received.

#### 2. IN SIMPLE WORDS

Revenue is the shop earning. Not a loan. Not capital introduced. Earning. When a customer buys a notebook, that selling price is sales (revenue). When a neighbour pays Rahul a small commission for collecting a courier, that is commission received (revenue).

#### 3. WHY DO WE NEED IT?

Revenue is one half of profit. Without naming it we cannot say whether the shop earned more than it spent.

#### 4. REAL-LIFE EXAMPLE

Rahul sells a box of files for ₹15,000 cash. The ₹15,000 is sales, a revenue. It is not “cash capital”. It is not a loan. Cash rose because a customer paid for goods.

#### 5. ACCOUNTING LOGIC

Revenue increases capital. That is why, under the modern rule, an increase in income is credited — the same side as an increase in capital.

#### Incomes you must name correctly

| Income              | What it is                                       | Not to be confused with                          |
|---------------------|--------------------------------------------------|--------------------------------------------------|
| Sales               | Selling price of goods sold to customers.        | Capital introduced; a bank loan; cash withdrawn. |
| Commission received | Earning for a service or a referral.             | Commission paid (that is an expense).            |
| Interest received   | Earning on money the shop has lent or deposited. | Interest paid on a loan (expense).               |
| Rent received       | If Rahul sub-lets a corner of the shop.          | Rent paid for the shop (expense).                |

#### WATCH OUT

“Received” in the name (interest received, commission received, rent received) signals income. “Paid” (interest paid, rent paid) signals expense. The exam uses these two words as a trap. Read them.

#### SOLVED EXAMPLE 0.10 · EASY

##### Is a loan income?

The bank credits ₹50,000 into Rahul’s account as a loan. Is this revenue?

**Answer.** No. The shop must repay it. Bank (asset) increases and Bank loan (liability) increases. Revenue would increase capital without creating a repayable duty. A loan is not earning.

#### 9. HOW TO IDENTIFY THE QUESTION

If the question says “what is revenue / give examples of income”, write: value earned by the business. Examples: sales, commission received, interest received, rent received. Explicitly exclude capital introduced and loans.

#### 10. COMMON MISTAKES

- Crediting cash because “money came in”. Money coming in is a debit to Cash/Bank. The credit is to Sales, Commission, Loan, or Capital — depending on why the money came in.
- Treating sales and capital as the same because both “bring money”. Why the money came in is the whole point.

#### 11. MEMORY TRICK

Income = earned. Sales, commission received, interest received, rent received. If we have to give it back (loan) or if the owner put it in (capital), it is not income.



## 11. Expenses

### 1. WHAT IS IT? — DEFINITION

An **expense** is a cost incurred to earn the revenue of the period — rent, salary, electricity, insurance expired, interest paid, and the cost of goods that were sold.

### 2. IN SIMPLE WORDS

Expenses are the shop spending in order to run and to sell. Paying the landlord. Paying a helper. Paying the electricity board. The cost of the notebooks that actually left the shelf.

### 3. WHY DO WE NEED IT?

Profit is a leftover. You cannot know the leftover until you have named every cost of earning this period's revenue.

### 4. REAL-LIFE EXAMPLE

Rahul pays ₹5,000 rent by cheque. That ₹5,000 is an expense. It does not buy him a lasting asset. It buys him one month of occupying the lane. The benefit dies with the month — that is the mark of an expense.

### 5. ACCOUNTING LOGIC

Expenses decrease capital. That is why an increase in expense is debited — the same side as a decrease in capital (and the same side as drawings).

## Purchases of goods versus buying a machine

**Purchases** means goods bought for resale — the stock of a stationery shop: pens, notebooks, files, erasers. In the journal we debit **Purchases A/c** (a nominal account, treated as an expense of buying goods). Those goods sit as **stock** (an asset) until they are sold. Unsold goods remain an asset. Sold goods become an expense (cost of goods sold).

Buying a **machine, furniture, or a building** is not purchases. Those are assets the shop will use, not sell. Debit Furniture or Machinery, not Purchases. This single mix-up costs marks in almost every exam.

### Purchases of goods are not the same as buying a machine

| Spending                            | Account to debit                  | Family                  | Why                                                    |
|-------------------------------------|-----------------------------------|-------------------------|--------------------------------------------------------|
| Pens and notebooks to sell, ₹30,000 | Purchases (and they become Stock) | Expense / Asset (stock) | Goods for resale.                                      |
| Wooden counter, ₹20,000             | Furniture                         | Asset (non-current)     | Will be used, not sold to customers.                   |
| Photocopy machine, ₹40,000          | Machinery                         | Asset (non-current)     | A tool of the shop, not merchandise.                   |
| Shop rent, ₹5,000                   | Rent                              | Expense                 | Benefit of one month, then gone.                       |
| Helper's salary, ₹8,000             | Salary                            | Expense                 | Cost of labour this month.                             |
| Electricity bill, ₹800              | Electricity                       | Expense                 | Used up in the month.                                  |
| Interest on loan, ₹500              | Interest paid                     | Expense                 | Cost of borrowing, not a repayment of the loan itself. |

#### GOODS (PURCHASES / STOCK)

- Bought to be sold.
- Account: Purchases (journal), Stock (equation / balance sheet).

#### USE-ASSETS (FURNITURE / MACHINERY)

- Bought to be used for years.
- Account: Furniture, Machinery, Building.
- Never "Purchases". Never an expense on day one.

- Unsold = asset. Sold = expense (cost).

#### SOLVED EXAMPLE 0.11 · MODERATE

##### Three payments, three families

Rahul pays by cheque: (i) ₹12,000 to Aman for stock bought earlier, (ii) ₹5,000 rent, (iii) ₹20,000 for a new display cabinet.

**Answer.** (i) is not an expense today — it reduces a liability (Aman) and reduces Bank. The expense/stock was recorded when the goods arrived. (ii) is an expense (Rent). (iii) is an asset (Furniture), not purchases and not an expense.

#### 9. HOW TO IDENTIFY THE QUESTION

If the question says “purchases”, think goods for resale. If it says furniture / machinery / building / vehicle, think asset. If it says rent, salary, electricity, interest paid, think expense.

#### 10. COMMON MISTAKES

- Debiting Purchases when a machine is bought. Debit Machinery.
- Debiting Rent when last month’s outstanding rent is paid. That payment reduces a liability (Outstanding rent); the expense was recorded last month.
- Treating repayment of a loan as an expense. Repayment reduces the liability and reduces Bank. Interest on the loan is the expense.

#### 11. MEMORY TRICK

Expense = used up to earn this period’s income. Purchases = goods to sell. Furniture/machinery = goods to use. Paying a creditor is not a new expense.

## 12. Profit and loss

#### 1. WHAT IS IT? — DEFINITION

**Profit** is the excess of revenue over expenses for a period. **Loss** is the excess of expenses over revenue. Profit increases capital. Loss decreases capital.

#### 2. IN SIMPLE WORDS

Profit is leftover earning. If the shop earned ₹17,000 and spent ₹15,000 to earn it, leftover is ₹2,000 — profit. If it had spent ₹20,000, leftover would be negative — a loss of ₹3,000.

#### 3. WHY DO WE NEED IT?

Profit is the score of the shop. Rahul did not open a stationery shop to move cash from one pocket to another. He opened it to have more capital at the end than at the start, after drawings.

#### 4. REAL-LIFE EXAMPLE

In our ten transactions Rahul will: sell stock that cost ₹10,000 for ₹15,000 (sales ₹15,000, cost ₹10,000), pay rent ₹5,000, receive commission ₹2,000. Revenue = ₹15,000 + ₹2,000 = ₹17,000. Expenses = ₹10,000 + ₹5,000 = ₹15,000. Profit = ₹17,000 – ₹15,000 = ₹2,000.

## 5. ACCOUNTING LOGIC

Profit is not cash. Rahul can be in profit and still be short of cash (money stuck in stock or debtors). Profit is a change in capital, not a change in the till. We will prove this with the running equation.

### FORMULA

#### Profit (or Loss) = Revenue – Expenses

If the result is negative, it is a loss. Add profit to capital. Subtract a loss from capital. Do not touch drawings here — drawings are not an expense.

#### Rahul's profit from T1–T10 (full working)

| Item                  | ₹              | Family           |
|-----------------------|----------------|------------------|
| Sales                 | ₹15,000        | Revenue          |
| Commission received   | ₹2,000         | Revenue          |
| <b>Total revenue</b>  | <b>₹17,000</b> |                  |
| Cost of stock sold    | ₹10,000        | Expense          |
| Rent                  | ₹5,000         | Expense          |
| <b>Total expenses</b> | <b>₹15,000</b> |                  |
| <b>Profit</b>         | <b>₹2,000</b>  | Added to capital |

### SOLVED EXAMPLE 0.12 · EXAM-LEVEL

#### Profit is not cash

Suppose Rahul had sold the same goods on credit instead of cash. Sales still ₹15,000, cost still ₹10,000, rent still paid ₹5,000, commission still ₹2,000 cash. Is profit still ₹2,000? Is cash the same?

**Answer.** Profit is still ₹2,000 — revenue and expenses did not change. Cash is lower by ₹15,000, and Debtors are higher by ₹15,000. Profit ≠ cash. This is why later chapters separate the profit statement from the cash flow statement.

## 9. HOW TO IDENTIFY THE QUESTION

If the question says “calculate profit” or “does the firm make a profit or a loss”, list all revenues, list all expenses, subtract. Do not include capital introduced, loans, drawings, or purchase of furniture in this arithmetic.

## 10. COMMON MISTAKES

- Subtracting drawings from revenue as if drawings were an expense. Drawings reduce capital, not profit.
- Including purchase of furniture in expenses. Furniture is an asset.
- Including a loan received as revenue. A loan is a liability.
- Equating profit with the increase in cash. Cash also moves when we buy furniture, pay creditors, take loans, and make drawings.

## 11. MEMORY TRICK

Profit = Revenue – Expenses. Negative = loss. Profit goes to capital. Drawings do not enter this formula.

# 13. Drawings

## 1. WHAT IS IT? — DEFINITION

**Drawings** are money or goods the owner takes from the business for personal use. Drawings reduce capital. Drawings are not an expense of the business.

## 2. IN SIMPLE WORDS

When Rahul takes ₹4,000 from the till to pay for a personal trip, the shop did not incur a trip expense. The owner took his own money out of the box. We reduce cash and we reduce capital, through an account called Drawings.

## 3. WHY DO WE NEED IT?

If we called drawings an expense, profit of the shop would depend on how much pizza Rahul ate, which is nonsense. The shop's profit should measure the shop, not the owner's kitchen.

## 4. REAL-LIFE EXAMPLE

Two cases, same idea: (1) Rahul takes cash ₹4,000 — Drawings Dr., Cash Cr. (2) Rahul takes a box of pens costing ₹500 for his cousins — Drawings Dr., Purchases/Stock Cr. Both reduce capital. Neither is rent, sales, or salary.

## 5. ACCOUNTING LOGIC

The shop and the owner are separate (entity). When the owner takes from the shop, the shop's claim owed to the owner (capital) shrinks. That is a capital movement, not a cost of earning sales.

### DRAWINGS — NOT AN EXPENSE

- Owner taking cash for home.
- Owner taking goods for family.
- Owner's personal electricity paid from the till.
- Owner's medical bill paid by the shop.
- Effect: capital ↓. Profit is not charged.

### THESE ARE EXPENSES

- Shop rent.
- Shop salary.
- Shop electricity.
- Cost of goods sold to customers.
- Effect: profit ↓, and therefore capital ↓.

## FORMULA

**Closing capital = Opening capital + Profit – Drawings**

Drawings sit in this capital formula, not inside Profit = Revenue – Expenses.

## SOLVED EXAMPLE 0.13 · EASY

**Where does ₹4,000 go?**

Rahul withdraws ₹4,000 cash for personal use. A student writes: Debit Rent ₹4,000, Credit Cash ₹4,000.

**Answer.** Wrong. Rent is a shop expense. This is drawings. Debit Drawings ₹4,000, Credit Cash ₹4,000. Profit is unaffected. Capital falls by ₹4,000.

## 9. HOW TO IDENTIFY THE QUESTION

If the question says “withdrew / took for personal use / household / private”, the account is Drawings. Never Rent, never Miscellaneous expense, never Salary of the owner in a sole-proprietor set of books (the owner is rewarded by profit, not by a salary, unless the question specifically creates a salary).

## 10. COMMON MISTAKES

- Debiting Salary when the owner takes cash. The owner is not an employee of himself in a sole shop (unless the question says so).
- Debiting Purchases when the owner takes goods — that would leave purchases too high and profit too low. Credit Purchases or Stock, debit Drawings.
- Showing drawings on the profit statement as an expense. Show them in the capital working only.

#### 11. MEMORY TRICK

Drawings = owner taking. Reduces capital. Not an expense. Mantra: “Personal take = Drawings. Shop spend = Expense.”

#### 12. EXAM-READY ANSWER

Drawings are cash or goods withdrawn by the proprietor for personal use. They are not a business expense because they are not incurred to earn revenue of the firm. Drawings are deducted from capital. If cash is withdrawn: Drawings A/c Dr. To Cash A/c. If goods are withdrawn: Drawings A/c Dr. To Purchases (or Stock) A/c. Treating drawings as rent, salary or purchases understates profit and violates the business entity concept.

## 14. The accounting equation

#### 1. WHAT IS IT? — DEFINITION

The **accounting equation** is  $\text{Assets} = \text{Liabilities} + \text{Capital}$ . It is always true, after every transaction, because every event has two sides (dual aspect).

#### 2. IN SIMPLE WORDS

Think of a weighing scale. On the left, everything the shop has (assets). On the right, who provided those things: outsiders (liabilities) and Rahul (capital). The two pans must weigh the same. Always.

#### 3. WHY DO WE NEED IT?

If the scale does not balance, a transaction was recorded on only one side, or an amount was mistyped. The equation is the first error-check in accounting. The trial balance in Chapter 1 is this idea in list form.

#### 4. REAL-LIFE EXAMPLE

Rahul puts ₹1,00,000 cash into the shop. The shop now has cash of ₹1,00,000 (asset). Who provided it? Rahul. So capital is ₹1,00,000. Left ₹1,00,000, right ₹1,00,000.

#### 5. ACCOUNTING LOGIC

Assets are resources. Claims on those resources are either outsiders’ (liabilities) or the owner’s (capital). There is nothing left to be a third pan. So  $A = L + C$ , always. When the shop earns a profit, assets rise (or a liability falls) and capital rises by the same profit. When the owner draws, assets fall and capital falls.

#### FORMULA

**Assets = Liabilities + Capital**

This is the compact form. It never takes a holiday.

#### FORMULA

**Assets = Liabilities + Opening capital + Profit – Drawings**

And Profit = Revenue – Expenses. Substituting:  $\text{Assets} = \text{Liabilities} + \text{Opening capital} + \text{Revenue} - \text{Expenses} - \text{Drawings}$ .

## FORMULA

### Assets + Expenses + Drawings = Liabilities + Opening capital + Revenue

This rearranged form is why, in Chapter 1, a trial balance still totals. Expenses and drawings sit on the debit side with assets; revenue and capital sit on the credit side with liabilities.

## 6. FORMAT — HOW TO USE THE EQUATION ON ANY TRANSACTION

1. Name what changed (at least two things — dual aspect).
2. Classify each as Asset, Liability, or Capital (revenue/expense/drawings are capital-changes).
3. Write the + or – rupee amount against each.
4. Add the new totals. Check Assets = Liabilities + Capital.
5. If they do not match, you missed a side. Go back.

We now walk **ten transactions** of Rahul Stationery. After every one you will see: (1) a snapshot of each account, (2) the proof  $A = L + C$ , (3) a running table that keeps Cash, Bank, Furniture, Stock, Debtors, Prepaid, Creditors, Loan and Capital. Debtors and Prepaid stay ₹0 — the columns are there so you can see the empty slots. All arithmetic is shown. Indian commas throughout.

**Opening position.** Before T1 the shop does not exist. Every account is ₹0. Assets ₹0 = Liabilities ₹0 + Capital ₹0.

### T1 — Rahul starts with cash ₹1,00,000

**What happened?** Rahul puts his savings of ₹1,00,000 into the shop's cash box. The shop is born. The shop now has cash. The shop now owes that claim to Rahul (capital).

#### T1: which accounts moved

| Account | Nature  | ₹ change   | Increase or decrease | Debit or credit |
|---------|---------|------------|----------------------|-----------------|
| Cash    | Asset   | +₹1,00,000 | Increase             | Debit           |
| Capital | Capital | +₹1,00,000 | Increase             | Credit          |

#### T1 — Journal

| Date | Particulars                                                           | L.F. | Debit (₹) | Credit (₹) |
|------|-----------------------------------------------------------------------|------|-----------|------------|
| T1   | Cash A/c ..... Dr.                                                    |      | ₹1,00,000 |            |
|      | To Capital A/c                                                        |      |           | ₹1,00,000  |
|      | (Being cash introduced by Rahul as capital to start Rahul Stationery) |      |           |            |

## 5. ACCOUNTING LOGIC

One asset up, capital up, same amount.  $1,00,000 = 0 + 1,00,000$ . Nothing is “profit”. He moved money from his personal pocket into the shop's pocket.

#### Assets after T1

| Assets              | ₹                |
|---------------------|------------------|
| Cash                | ₹1,00,000        |
| Bank                | ₹0               |
| Furniture           | ₹0               |
| Stock               | ₹0               |
| Debtors             | ₹0               |
| Prepaid             | ₹0               |
| <b>Total assets</b> | <b>₹1,00,000</b> |

#### L + C after T1

| Liabilities and capital      | ₹                |
|------------------------------|------------------|
| Creditors (Aman)             | ₹0               |
| Bank loan                    | ₹0               |
| <b>Total liabilities</b>     | <b>₹0</b>        |
| Capital                      | ₹1,00,000        |
| <b>Liabilities + capital</b> | <b>₹1,00,000</b> |

**KEY POINT**

After T1: Assets ₹1,00,000 = Liabilities ₹0 + Capital ₹1,00,000 = ₹1,00,000. The two sides match.

**Running equation after T1**

| After | Cash      | Bank | Furniture | Stock | Debtors | Prepaid | Creditors | Loan | Capital   | Assets    | L + C     |
|-------|-----------|------|-----------|-------|---------|---------|-----------|------|-----------|-----------|-----------|
| T1    | ₹1,00,000 | ₹0   | ₹0        | ₹0    | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |

Check every row: Assets = Liabilities + Capital. If the last two columns differ, a posting is wrong.

**T2 — Buys furniture ₹20,000 cash**

**What happened?** Rahul buys a wooden counter and shelves for ₹20,000 and pays cash. He takes a bill. Cash leaves. Furniture arrives. Totals of the equation do not change — one asset replaces another.

**T2: which accounts moved**

| Account   | Nature              | ₹ change | Increase or decrease | Debit or credit |
|-----------|---------------------|----------|----------------------|-----------------|
| Furniture | Asset (non-current) | +₹20,000 | Increase             | Debit           |
| Cash      | Asset (current)     | -₹20,000 | Decrease             | Credit          |

**T2 — Journal**

| Date | Particulars                                              | L.F. | Debit (₹) | Credit (₹) |
|------|----------------------------------------------------------|------|-----------|------------|
| T2   | Furniture A/c ..... Dr.                                  |      | ₹20,000   |            |
|      | To Cash A/c                                              |      |           | ₹20,000    |
|      | <i>(Being furniture purchased for cash for the shop)</i> |      |           |            |

**5. ACCOUNTING LOGIC**

Cash 1,00,000 – 20,000 = 80,000. Furniture 0 + 20,000 = 20,000. Assets still 80,000 + 20,000 = 1,00,000. Capital unchanged at 1,00,000. This is not Purchases — furniture will be used, not sold to customers.

**Assets after T2**

| Assets              | ₹                |
|---------------------|------------------|
| Cash                | ₹80,000          |
| Bank                | ₹0               |
| Furniture           | ₹20,000          |
| Stock               | ₹0               |
| Debtors             | ₹0               |
| Prepaid             | ₹0               |
| <b>Total assets</b> | <b>₹1,00,000</b> |

**L + C after T2**

| Liabilities and capital      | ₹                |
|------------------------------|------------------|
| Creditors (Aman)             | ₹0               |
| Bank loan                    | ₹0               |
| <b>Total liabilities</b>     | <b>₹0</b>        |
| Capital                      | ₹1,00,000        |
| <b>Liabilities + capital</b> | <b>₹1,00,000</b> |

**KEY POINT**

After T2: Assets ₹1,00,000 = Liabilities ₹0 + Capital ₹1,00,000 = ₹1,00,000. The two sides match.

**Running equation after T2**

| After | Cash | Bank | Furniture | Stock | Debtors | Prepaid | Creditors | Loan | Capital | Assets | L + C |
|-------|------|------|-----------|-------|---------|---------|-----------|------|---------|--------|-------|
|-------|------|------|-----------|-------|---------|---------|-----------|------|---------|--------|-------|

| After | Cash      | Bank | Furniture | Stock | Debtors | Prepaid | Creditors | Loan | Capital   | Assets    | L + C     |
|-------|-----------|------|-----------|-------|---------|---------|-----------|------|-----------|-----------|-----------|
| T1    | ₹1,00,000 | ₹0   | ₹0        | ₹0    | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T2    | ₹80,000   | ₹0   | ₹20,000   | ₹0    | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |

Check every row: Assets = Liabilities + Capital. If the last two columns differ, a posting is wrong.

### T3 — Deposits ₹40,000 into bank

**What happened?** Rahul does not want ₹80,000 sitting in the till. He deposits ₹40,000 in the shop's bank account. Cash falls. Bank rises. Still only a swap of assets.

**T3: which accounts moved**

| Account | Nature          | ₹ change | Increase or decrease | Debit or credit |
|---------|-----------------|----------|----------------------|-----------------|
| Bank    | Asset (current) | +₹40,000 | Increase             | Debit           |
| Cash    | Asset (current) | −₹40,000 | Decrease             | Credit          |

### T3 — Journal

| Date | Particulars                                                | L.F. | Debit (₹) | Credit (₹) |
|------|------------------------------------------------------------|------|-----------|------------|
| T3   | Bank A/c ..... Dr.                                         |      | ₹40,000   |            |
|      | To Cash A/c                                                |      |           | ₹40,000    |
|      | <i>(Being cash deposited into the shop's bank account)</i> |      |           |            |

#### 5. ACCOUNTING LOGIC

Cash 80,000 − 40,000 = 40,000. Bank 0 + 40,000 = 40,000. Assets 40,000 + 40,000 + 20,000 furniture = 1,00,000. Capital still 1,00,000. Depositing your own cash into your own bank is not income.

#### Assets after T3

| Assets              | ₹                |
|---------------------|------------------|
| Cash                | ₹40,000          |
| Bank                | ₹40,000          |
| Furniture           | ₹20,000          |
| Stock               | ₹0               |
| Debtors             | ₹0               |
| Prepaid             | ₹0               |
| <b>Total assets</b> | <b>₹1,00,000</b> |

#### L + C after T3

| Liabilities and capital      | ₹                |
|------------------------------|------------------|
| Creditors (Aman)             | ₹0               |
| Bank loan                    | ₹0               |
| <b>Total liabilities</b>     | <b>₹0</b>        |
| Capital                      | ₹1,00,000        |
| <b>Liabilities + capital</b> | <b>₹1,00,000</b> |

#### KEY POINT

After T3: Assets ₹1,00,000 = Liabilities ₹0 + Capital ₹1,00,000 = ₹1,00,000. The two sides match.

#### Running equation after T3

| After | Cash      | Bank    | Furniture | Stock | Debtors | Prepaid | Creditors | Loan | Capital   | Assets    | L + C     |
|-------|-----------|---------|-----------|-------|---------|---------|-----------|------|-----------|-----------|-----------|
| T1    | ₹1,00,000 | ₹0      | ₹0        | ₹0    | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T2    | ₹80,000   | ₹0      | ₹20,000   | ₹0    | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T3    | ₹40,000   | ₹40,000 | ₹20,000   | ₹0    | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |

Check every row: Assets = Liabilities + Capital. If the last two columns differ, a posting is wrong.



## T4 — Buys stock ₹30,000 on credit from Aman

**What happened?** Aman, a wholesaler, delivers pens and notebooks worth ₹30,000. He will be paid later. Invoice received. Stock of the shop rises. A creditor called Aman rises. Cash does not move — and it is still a transaction.

### T4: which accounts moved

| Account           | Nature                   | ₹ change | Increase or decrease | Debit or credit |
|-------------------|--------------------------|----------|----------------------|-----------------|
| Stock (Purchases) | Asset / goods for resale | +₹30,000 | Increase             | Debit           |
| Aman (Creditors)  | Liability (current)      | +₹30,000 | Increase             | Credit          |

### T4 — Journal

| Date | Particulars                                                   | L.F. | Debit (₹) | Credit (₹) |
|------|---------------------------------------------------------------|------|-----------|------------|
| T4   | Purchases A/c ..... Dr.                                       |      | ₹30,000   |            |
|      | To Aman (Creditor) A/c                                        |      |           | ₹30,000    |
|      | <i>(Being goods purchased on credit from Aman for resale)</i> |      |           |            |

## 5. ACCOUNTING LOGIC

In the journal we debit Purchases (the name Chapter 1 will use for goods bought). In the equation we show those goods as Stock, an asset, because they are sitting on the shelf. Stock 0 + 30,000 = 30,000. Creditors 0 + 30,000 = 30,000. Assets 40,000 cash + 40,000 bank + 20,000 furniture + 30,000 stock = 1,30,000. L + C = 30,000 + 1,00,000 = 1,30,000. Both sides rose together.

## WATCH OUT

Two names, one pile of pens: Purchases is the journal name (nominal, goods bought). Stock is the equation / balance-sheet name (asset, goods still in hand). Unsold purchases = stock. Do not debit Furniture. Do not debit Aman. Aman is credited because he is the giver of credit — the shop received goods from him.

### Assets after T4

| Assets              | ₹                |
|---------------------|------------------|
| Cash                | ₹40,000          |
| Bank                | ₹40,000          |
| Furniture           | ₹20,000          |
| Stock               | ₹30,000          |
| Debtors             | ₹0               |
| Prepaid             | ₹0               |
| <b>Total assets</b> | <b>₹1,30,000</b> |

### L + C after T4

| Liabilities and capital      | ₹                |
|------------------------------|------------------|
| Creditors (Aman)             | ₹30,000          |
| Bank loan                    | ₹0               |
| <b>Total liabilities</b>     | <b>₹30,000</b>   |
| Capital                      | ₹1,00,000        |
| <b>Liabilities + capital</b> | <b>₹1,30,000</b> |

## KEY POINT

After T4: Assets ₹1,30,000 = Liabilities ₹30,000 + Capital ₹1,00,000 = ₹1,30,000. The two sides match.

### Running equation after T4

| After | Cash      | Bank    | Furniture | Stock | Debtors | Prepaid | Creditors | Loan | Capital   | Assets    | L + C     |
|-------|-----------|---------|-----------|-------|---------|---------|-----------|------|-----------|-----------|-----------|
| T1    | ₹1,00,000 | ₹0      | ₹0        | ₹0    | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T2    | ₹80,000   | ₹0      | ₹20,000   | ₹0    | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T3    | ₹40,000   | ₹40,000 | ₹20,000   | ₹0    | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |

| After | Cash    | Bank    | Furniture | Stock   | Debtors | Prepaid | Creditors | Loan | Capital   | Assets           | L + C            |
|-------|---------|---------|-----------|---------|---------|---------|-----------|------|-----------|------------------|------------------|
| T4    | ₹40,000 | ₹40,000 | ₹20,000   | ₹30,000 | ₹0      | ₹0      | ₹30,000   | ₹0   | ₹1,00,000 | <b>₹1,30,000</b> | <b>₹1,30,000</b> |

Check every row: Assets = Liabilities + Capital. If the last two columns differ, a posting is wrong.

## T5 — Sells stock that cost ₹10,000 for ₹15,000 cash

**What happened?** A customer buys a chunk of the stock. The stock had cost Rahul ₹10,000. The customer pays ₹15,000 cash. Two things happen at once: (1) an asset swap — cash in, stock out; (2) a profit of ₹5,000 which increases capital. You must show both. Showing only the ₹15,000 would pretend the goods were free.

### T5: which accounts moved

| Account                         | Nature           | ₹ change | Increase or decrease | Debit or credit |
|---------------------------------|------------------|----------|----------------------|-----------------|
| Cash                            | Asset            | +₹15,000 | Increase             | Debit           |
| Stock                           | Asset            | −₹10,000 | Decrease             | Credit          |
| Sales / Profit (inside capital) | Income → Capital | +₹5,000  | Increase             | Credit          |

### T5 — Journal

| Date | Particulars                                                                        | L.F. | Debit (₹) | Credit (₹) |
|------|------------------------------------------------------------------------------------|------|-----------|------------|
| T5   | Cash A/c ..... Dr.                                                                 |      | ₹15,000   |            |
|      | To Sales A/c                                                                       |      |           | ₹15,000    |
|      | <i>(Being goods sold for cash (selling price))</i>                                 |      |           |            |
| T5   | Cost of goods sold / Trading A/c ..... Dr.                                         |      | ₹10,000   |            |
|      | To Stock A/c                                                                       |      |           | ₹10,000    |
|      | <i>(Being cost of stock taken out of the shelf (so the equation stays honest))</i> |      |           |            |

## 5. ACCOUNTING LOGIC

Cash 40,000 + 15,000 = 55,000. Stock 30,000 − 10,000 = 20,000. Net assets rise by 15,000 − 10,000 = 5,000. That 5,000 is profit, so capital 1,00,000 + 5,000 = 1,05,000. Assets 55,000 + 40,000 bank + 20,000 furniture + 20,000 stock = 1,35,000. L + C = 30,000 + 1,05,000 = 1,35,000. In Chapter 1 you will often write only Cash Dr. To Sales, and match cost later through opening/closing stock. For this bootcamp we take stock down now, at cost, so every row of the equation is true on the day.

### KEY POINT

Selling price ₹15,000 minus cost ₹10,000 = profit ₹5,000. Never reduce stock by the selling price. Stock leaves at cost. Cash enters at selling price. The gap is profit.

### Assets after T5

| Assets              | ₹                |
|---------------------|------------------|
| Cash                | ₹55,000          |
| Bank                | ₹40,000          |
| Furniture           | ₹20,000          |
| Stock               | ₹20,000          |
| Debtors             | ₹0               |
| Prepaid             | ₹0               |
| <b>Total assets</b> | <b>₹1,35,000</b> |

### L + C after T5

| Liabilities and capital      | ₹                |
|------------------------------|------------------|
| Creditors (Aman)             | ₹30,000          |
| Bank loan                    | ₹0               |
| <b>Total liabilities</b>     | <b>₹30,000</b>   |
| Capital                      | ₹1,05,000        |
| <b>Liabilities + capital</b> | <b>₹1,35,000</b> |

**KEY POINT**

After T5: Assets ₹1,35,000 = Liabilities ₹30,000 + Capital ₹1,05,000 = ₹1,35,000. The two sides match.

**Running equation after T5**

| After | Cash      | Bank    | Furniture | Stock   | Debtors | Prepaid | Creditors | Loan | Capital   | Assets    | L + C     |
|-------|-----------|---------|-----------|---------|---------|---------|-----------|------|-----------|-----------|-----------|
| T1    | ₹1,00,000 | ₹0      | ₹0        | ₹0      | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T2    | ₹80,000   | ₹0      | ₹20,000   | ₹0      | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T3    | ₹40,000   | ₹40,000 | ₹20,000   | ₹0      | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T4    | ₹40,000   | ₹40,000 | ₹20,000   | ₹30,000 | ₹0      | ₹0      | ₹30,000   | ₹0   | ₹1,00,000 | ₹1,30,000 | ₹1,30,000 |
| T5    | ₹55,000   | ₹40,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹30,000   | ₹0   | ₹1,05,000 | ₹1,35,000 | ₹1,35,000 |

Check every row: Assets = Liabilities + Capital. If the last two columns differ, a posting is wrong.

**T6 — Pays rent ₹5,000 by cheque**

**What happened?** The landlord is paid ₹5,000 by cheque for this month's occupation of the lane. Bank falls. Rent is an expense, so capital falls. The shop did not buy an asset. It bought one month of sitting in the shop, and that month will end.

**T6: which accounts moved**

| Account        | Nature              | ₹ change        | Increase or decrease | Debit or credit |
|----------------|---------------------|-----------------|----------------------|-----------------|
| Rent (Expense) | Expense → Capital ↓ | +₹5,000 expense | Expense increase     | Debit           |
| Bank           | Asset               | –₹5,000         | Decrease             | Credit          |

**T6 — Journal**

| Date | Particulars                      | L.F. | Debit (₹) | Credit (₹) |
|------|----------------------------------|------|-----------|------------|
| T6   | Rent A/c ..... Dr.               |      | ₹5,000    |            |
|      | To Bank A/c                      |      |           | ₹5,000     |
|      | (Being shop rent paid by cheque) |      |           |            |

**5. ACCOUNTING LOGIC**

Bank 40,000 – 5,000 = 35,000. Capital 1,05,000 – 5,000 = 1,00,000. Assets 55,000 + 35,000 + 20,000 + 20,000 = 1,30,000. L + C = 30,000 + 1,00,000 = 1,30,000. Cheque means Bank, not Cash. If the question says cash, credit Cash.

**Assets after T6**

| Assets              | ₹                |
|---------------------|------------------|
| Cash                | ₹55,000          |
| Bank                | ₹35,000          |
| Furniture           | ₹20,000          |
| Stock               | ₹20,000          |
| Debtors             | ₹0               |
| Prepaid             | ₹0               |
| <b>Total assets</b> | <b>₹1,30,000</b> |

**L + C after T6**

| Liabilities and capital      | ₹                |
|------------------------------|------------------|
| Creditors (Aman)             | ₹30,000          |
| Bank loan                    | ₹0               |
| <b>Total liabilities</b>     | <b>₹30,000</b>   |
| Capital                      | ₹1,00,000        |
| <b>Liabilities + capital</b> | <b>₹1,30,000</b> |

**KEY POINT**

After T6: Assets ₹1,30,000 = Liabilities ₹30,000 + Capital ₹1,00,000 = ₹1,30,000. The two sides match.

#### Running equation after T6

| After | Cash      | Bank    | Furniture | Stock   | Debtors | Prepaid | Creditors | Loan | Capital   | Assets    | L + C     |
|-------|-----------|---------|-----------|---------|---------|---------|-----------|------|-----------|-----------|-----------|
| T1    | ₹1,00,000 | ₹0      | ₹0        | ₹0      | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T2    | ₹80,000   | ₹0      | ₹20,000   | ₹0      | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T3    | ₹40,000   | ₹40,000 | ₹20,000   | ₹0      | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T4    | ₹40,000   | ₹40,000 | ₹20,000   | ₹30,000 | ₹0      | ₹0      | ₹30,000   | ₹0   | ₹1,00,000 | ₹1,30,000 | ₹1,30,000 |
| T5    | ₹55,000   | ₹40,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹30,000   | ₹0   | ₹1,05,000 | ₹1,35,000 | ₹1,35,000 |
| T6    | ₹55,000   | ₹35,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹30,000   | ₹0   | ₹1,00,000 | ₹1,30,000 | ₹1,30,000 |

Check every row: Assets = Liabilities + Capital. If the last two columns differ, a posting is wrong.

#### T7 — Receives commission ₹2,000 cash

**What happened?** A neighbouring shop pays Rahul ₹2,000 cash as commission for handling a bulk order. This is income, not capital introduced, not a loan. Cash rises. Capital rises.

#### T7: which accounts moved

| Account             | Nature             | ₹ change | Increase or decrease | Debit or credit |
|---------------------|--------------------|----------|----------------------|-----------------|
| Cash                | Asset              | +₹2,000  | Increase             | Debit           |
| Commission received | Income → Capital ↑ | +₹2,000  | Income increase      | Credit          |

#### T7 — Journal

| Date | Particulars                                | L.F. | Debit (₹) | Credit (₹) |
|------|--------------------------------------------|------|-----------|------------|
| T7   | Cash A/c ..... Dr.                         |      | ₹2,000    |            |
|      | To Commission received A/c                 |      |           | ₹2,000     |
|      | <i>(Being commission received in cash)</i> |      |           |            |

#### 5. ACCOUNTING LOGIC

Cash 55,000 + 2,000 = 57,000. Capital 1,00,000 + 2,000 = 1,02,000. Assets 57,000 + 35,000 + 20,000 + 20,000 = 1,32,000. L + C = 30,000 + 1,02,000 = 1,32,000. The word received saved you: commission received is income. Commission paid would have been an expense.

#### Assets after T7

| Assets              | ₹                |
|---------------------|------------------|
| Cash                | ₹57,000          |
| Bank                | ₹35,000          |
| Furniture           | ₹20,000          |
| Stock               | ₹20,000          |
| Debtors             | ₹0               |
| Prepaid             | ₹0               |
| <b>Total assets</b> | <b>₹1,32,000</b> |

#### L + C after T7

| Liabilities and capital      | ₹                |
|------------------------------|------------------|
| Creditors (Aman)             | ₹30,000          |
| Bank loan                    | ₹0               |
| <b>Total liabilities</b>     | <b>₹30,000</b>   |
| Capital                      | ₹1,02,000        |
| <b>Liabilities + capital</b> | <b>₹1,32,000</b> |

#### KEY POINT

After T7: Assets ₹1,32,000 = Liabilities ₹30,000 + Capital ₹1,02,000 = ₹1,32,000. The two sides match.

#### Running equation after T7

| After | Cash      | Bank    | Furniture | Stock   | Debtors | Prepaid | Creditors | Loan | Capital   | Assets    | L + C     |
|-------|-----------|---------|-----------|---------|---------|---------|-----------|------|-----------|-----------|-----------|
| T1    | ₹1,00,000 | ₹0      | ₹0        | ₹0      | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T2    | ₹80,000   | ₹0      | ₹20,000   | ₹0      | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T3    | ₹40,000   | ₹40,000 | ₹20,000   | ₹0      | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T4    | ₹40,000   | ₹40,000 | ₹20,000   | ₹30,000 | ₹0      | ₹0      | ₹30,000   | ₹0   | ₹1,00,000 | ₹1,30,000 | ₹1,30,000 |
| T5    | ₹55,000   | ₹40,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹30,000   | ₹0   | ₹1,05,000 | ₹1,35,000 | ₹1,35,000 |
| T6    | ₹55,000   | ₹35,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹30,000   | ₹0   | ₹1,00,000 | ₹1,30,000 | ₹1,30,000 |
| T7    | ₹57,000   | ₹35,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹30,000   | ₹0   | ₹1,02,000 | ₹1,32,000 | ₹1,32,000 |

Check every row: Assets = Liabilities + Capital. If the last two columns differ, a posting is wrong.

### T8 — Rahul withdraws ₹4,000 cash for personal use

**What happened?** Rahul takes ₹4,000 from the till for a personal trip. The shop's cash falls. This is drawings, not rent, not salary, not a shop expense. Capital falls.

#### T8: which accounts moved

| Account  | Nature         | ₹ change         | Increase or decrease          | Debit or credit |
|----------|----------------|------------------|-------------------------------|-----------------|
| Drawings | Contra-capital | +₹4,000 drawings | Drawings increase (capital ↓) | Debit           |
| Cash     | Asset          | −₹4,000          | Decrease                      | Credit          |

#### T8 — Journal

| Date | Particulars                                          | L.F. | Debit (₹) | Credit (₹) |
|------|------------------------------------------------------|------|-----------|------------|
| T8   | Drawings A/c ..... Dr.                               |      | ₹4,000    |            |
|      | To Cash A/c                                          |      |           | ₹4,000     |
|      | (Being cash withdrawn by the owner for personal use) |      |           |            |

### 5. ACCOUNTING LOGIC

Cash 57,000 − 4,000 = 53,000. Capital 1,02,000 − 4,000 = 98,000. Assets 53,000 + 35,000 + 20,000 + 20,000 = 1,28,000. L + C = 30,000 + 98,000 = 1,28,000. Profit is not charged. The profit figure we computed earlier does not contain this 4,000. Only capital does.

### WATCH OUT

If you debit Rent or Salary here, you understate profit by ₹4,000 and you violate the entity concept. The trip is Rahul's, not the shop's.

#### Assets after T8

| Assets    | ₹       |
|-----------|---------|
| Cash      | ₹53,000 |
| Bank      | ₹35,000 |
| Furniture | ₹20,000 |
| Stock     | ₹20,000 |
| Debtors   | ₹0      |

#### L + C after T8

| Liabilities and capital      | ₹                |
|------------------------------|------------------|
| Creditors (Aman)             | ₹30,000          |
| Bank loan                    | ₹0               |
| <b>Total liabilities</b>     | <b>₹30,000</b>   |
| Capital                      | ₹98,000          |
| <b>Liabilities + capital</b> | <b>₹1,28,000</b> |

| Assets              | ₹                |
|---------------------|------------------|
| Prepaid             | ₹0               |
| <b>Total assets</b> | <b>₹1,28,000</b> |

#### KEY POINT

After T8: Assets ₹1,28,000 = Liabilities ₹30,000 + Capital ₹98,000 = ₹1,28,000. The two sides match.

#### Running equation after T8

| After | Cash      | Bank    | Furniture | Stock   | Debtors | Prepaid | Creditors | Loan | Capital   | Assets    | L + C     |
|-------|-----------|---------|-----------|---------|---------|---------|-----------|------|-----------|-----------|-----------|
| T1    | ₹1,00,000 | ₹0      | ₹0        | ₹0      | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T2    | ₹80,000   | ₹0      | ₹20,000   | ₹0      | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T3    | ₹40,000   | ₹40,000 | ₹20,000   | ₹0      | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T4    | ₹40,000   | ₹40,000 | ₹20,000   | ₹30,000 | ₹0      | ₹0      | ₹30,000   | ₹0   | ₹1,00,000 | ₹1,30,000 | ₹1,30,000 |
| T5    | ₹55,000   | ₹40,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹30,000   | ₹0   | ₹1,05,000 | ₹1,35,000 | ₹1,35,000 |
| T6    | ₹55,000   | ₹35,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹30,000   | ₹0   | ₹1,00,000 | ₹1,30,000 | ₹1,30,000 |
| T7    | ₹57,000   | ₹35,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹30,000   | ₹0   | ₹1,02,000 | ₹1,32,000 | ₹1,32,000 |
| T8    | ₹53,000   | ₹35,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹30,000   | ₹0   | ₹98,000   | ₹1,28,000 | ₹1,28,000 |

Check every row: Assets = Liabilities + Capital. If the last two columns differ, a posting is wrong.

#### T9 — Pays Aman ₹12,000 by cheque

**What happened?** Rahul pays Aman part of what is owed: ₹12,000 by cheque. Bank falls. The creditor Aman falls. This is not a new purchase and not an expense. The expense/stock was recorded on T4. Today we only settle part of a debt.

#### T9: which accounts moved

| Account          | Nature    | ₹ change | Increase or decrease | Debit or credit |
|------------------|-----------|----------|----------------------|-----------------|
| Aman (Creditors) | Liability | –₹12,000 | Decrease             | Debit           |
| Bank             | Asset     | –₹12,000 | Decrease             | Credit          |

#### T9 — Journal

| Date | Particulars                            | L.F. | Debit (₹) | Credit (₹) |
|------|----------------------------------------|------|-----------|------------|
| T9   | Aman (Creditor) A/c ..... Dr.          |      | ₹12,000   |            |
|      | To Bank A/c                            |      |           | ₹12,000    |
|      | (Being part payment to Aman by cheque) |      |           |            |

#### 5. ACCOUNTING LOGIC

Bank 35,000 – 12,000 = 23,000. Creditors 30,000 – 12,000 = 18,000. Assets 53,000 + 23,000 + 20,000 + 20,000 = 1,16,000. L + C = 18,000 + 98,000 = 1,16,000. To decrease a liability we debit it (modern rule). Golden rule: Aman is a personal account — he is receiving money, so debit the receiver.

#### Assets after T9

| Assets | ₹       |
|--------|---------|
| Cash   | ₹53,000 |
| Bank   | ₹23,000 |

#### L + C after T9

| Liabilities and capital | ₹       |
|-------------------------|---------|
| Creditors (Aman)        | ₹18,000 |
| Bank loan               | ₹0      |

| Assets              | ₹                |
|---------------------|------------------|
| Furniture           | ₹20,000          |
| Stock               | ₹20,000          |
| Debtors             | ₹0               |
| Prepaid             | ₹0               |
| <b>Total assets</b> | <b>₹1,16,000</b> |

| Liabilities and capital      | ₹                |
|------------------------------|------------------|
| <b>Total liabilities</b>     | <b>₹18,000</b>   |
| Capital                      | ₹98,000          |
| <b>Liabilities + capital</b> | <b>₹1,16,000</b> |

#### KEY POINT

After T9: Assets ₹1,16,000 = Liabilities ₹18,000 + Capital ₹98,000 = ₹1,16,000. The two sides match.

#### Running equation after T9

| After | Cash      | Bank    | Furniture | Stock   | Debtors | Prepaid | Creditors | Loan | Capital   | Assets    | L + C     |
|-------|-----------|---------|-----------|---------|---------|---------|-----------|------|-----------|-----------|-----------|
| T1    | ₹1,00,000 | ₹0      | ₹0        | ₹0      | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T2    | ₹80,000   | ₹0      | ₹20,000   | ₹0      | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T3    | ₹40,000   | ₹40,000 | ₹20,000   | ₹0      | ₹0      | ₹0      | ₹0        | ₹0   | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T4    | ₹40,000   | ₹40,000 | ₹20,000   | ₹30,000 | ₹0      | ₹0      | ₹30,000   | ₹0   | ₹1,00,000 | ₹1,30,000 | ₹1,30,000 |
| T5    | ₹55,000   | ₹40,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹30,000   | ₹0   | ₹1,05,000 | ₹1,35,000 | ₹1,35,000 |
| T6    | ₹55,000   | ₹35,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹30,000   | ₹0   | ₹1,00,000 | ₹1,30,000 | ₹1,30,000 |
| T7    | ₹57,000   | ₹35,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹30,000   | ₹0   | ₹1,02,000 | ₹1,32,000 | ₹1,32,000 |
| T8    | ₹53,000   | ₹35,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹30,000   | ₹0   | ₹98,000   | ₹1,28,000 | ₹1,28,000 |
| T9    | ₹53,000   | ₹23,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹18,000   | ₹0   | ₹98,000   | ₹1,16,000 | ₹1,16,000 |

Check every row: Assets = Liabilities + Capital. If the last two columns differ, a posting is wrong.

#### T10 — Takes a bank loan ₹50,000 credited to bank

**What happened?** The bank sanctions a loan of ₹50,000 and credits the shop's bank account. Bank rises. A liability called Bank loan rises. This is not income. This is not capital. It must be repaid.

#### T10: which accounts moved

| Account   | Nature    | ₹ change | Increase or decrease | Debit or credit |
|-----------|-----------|----------|----------------------|-----------------|
| Bank      | Asset     | +₹50,000 | Increase             | Debit           |
| Bank loan | Liability | +₹50,000 | Increase             | Credit          |

#### T10 — Journal

| Date | Particulars                                                      | L.F. | Debit (₹) | Credit (₹) |
|------|------------------------------------------------------------------|------|-----------|------------|
| T10  | Bank A/c ..... Dr.                                               |      | ₹50,000   |            |
|      | To Bank loan A/c                                                 |      |           | ₹50,000    |
|      | (Being loan taken from the bank, credited to the shop's account) |      |           |            |

#### 5. ACCOUNTING LOGIC

Bank 23,000 + 50,000 = 73,000. Loan 0 + 50,000 = 50,000. Assets 53,000 + 73,000 + 20,000 + 20,000 = 1,66,000. Liabilities 18,000 + 50,000 = 68,000. Capital 98,000. L + C = 68,000 + 98,000 = 1,66,000. The scale balances.

#### Assets after T10

#### L + C after T10

| Assets              | ₹                | Liabilities and capital      | ₹                |
|---------------------|------------------|------------------------------|------------------|
| Cash                | ₹53,000          | Creditors (Aman)             | ₹18,000          |
| Bank                | ₹73,000          | Bank loan                    | ₹50,000          |
| Furniture           | ₹20,000          | <b>Total liabilities</b>     | <b>₹68,000</b>   |
| Stock               | ₹20,000          | Capital                      | ₹98,000          |
| Debtors             | ₹0               | <b>Liabilities + capital</b> | <b>₹1,66,000</b> |
| Prepaid             | ₹0               |                              |                  |
| <b>Total assets</b> | <b>₹1,66,000</b> |                              |                  |

#### KEY POINT

After T10: Assets ₹1,66,000 = Liabilities ₹68,000 + Capital ₹98,000 = ₹1,66,000. The two sides match.

#### Running equation after T10

| After | Cash      | Bank    | Furniture | Stock   | Debtors | Prepaid | Creditors | Loan    | Capital   | Assets    | L + C     |
|-------|-----------|---------|-----------|---------|---------|---------|-----------|---------|-----------|-----------|-----------|
| T1    | ₹1,00,000 | ₹0      | ₹0        | ₹0      | ₹0      | ₹0      | ₹0        | ₹0      | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T2    | ₹80,000   | ₹0      | ₹20,000   | ₹0      | ₹0      | ₹0      | ₹0        | ₹0      | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T3    | ₹40,000   | ₹40,000 | ₹20,000   | ₹0      | ₹0      | ₹0      | ₹0        | ₹0      | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T4    | ₹40,000   | ₹40,000 | ₹20,000   | ₹30,000 | ₹0      | ₹0      | ₹30,000   | ₹0      | ₹1,00,000 | ₹1,30,000 | ₹1,30,000 |
| T5    | ₹55,000   | ₹40,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹30,000   | ₹0      | ₹1,05,000 | ₹1,35,000 | ₹1,35,000 |
| T6    | ₹55,000   | ₹35,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹30,000   | ₹0      | ₹1,00,000 | ₹1,30,000 | ₹1,30,000 |
| T7    | ₹57,000   | ₹35,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹30,000   | ₹0      | ₹1,02,000 | ₹1,32,000 | ₹1,32,000 |
| T8    | ₹53,000   | ₹35,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹30,000   | ₹0      | ₹98,000   | ₹1,28,000 | ₹1,28,000 |
| T9    | ₹53,000   | ₹23,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹18,000   | ₹0      | ₹98,000   | ₹1,16,000 | ₹1,16,000 |
| T10   | ₹53,000   | ₹73,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹18,000   | ₹50,000 | ₹98,000   | ₹1,66,000 | ₹1,66,000 |

Check every row: Assets = Liabilities + Capital. If the last two columns differ, a posting is wrong.

#### After T10 — full equation and a mini balance sheet

Let us add the last row by hand, slowly, so the exam working is visible.

#### Paper working after T10 — every addition shown

| Account                  | Amount           | Side                                                 |
|--------------------------|------------------|------------------------------------------------------|
| Cash                     | ₹53,000          | Asset                                                |
| Bank                     | ₹73,000          | Asset                                                |
| Furniture                | ₹20,000          | Asset                                                |
| Stock                    | ₹20,000          | Asset                                                |
| Debtors                  | ₹0               | Asset                                                |
| Prepaid                  | ₹0               | Asset                                                |
| <b>Total assets</b>      | <b>₹1,66,000</b> | 53,000 + 73,000 + 20,000 + 20,000 + 0 + 0 = 1,66,000 |
| Creditors (Aman)         | ₹18,000          | Liability                                            |
| Bank loan                | ₹50,000          | Liability                                            |
| <b>Total liabilities</b> | <b>₹68,000</b>   | 18,000 + 50,000 = 68,000                             |
| Opening capital          | ₹1,00,000        | Capital                                              |



| Account                      | Amount           | Side                                |
|------------------------------|------------------|-------------------------------------|
| Add: profit (working below)  | ₹2,000           | Capital ↑                           |
| Less: drawings               | ₹4,000           | Capital ↓                           |
| <b>Closing capital</b>       | <b>₹98,000</b>   | $1,00,000 + 2,000 - 4,000 = 98,000$ |
| <b>Liabilities + capital</b> | <b>₹1,66,000</b> | $68,000 + 98,000 = 1,66,000$        |

Assets 1,66,000 = Liabilities 68,000 + Capital 98,000. The equation balances.

### Profit working (so the 2,000 is not a magic number)

**Profit = Revenue – Expenses = 17,000 – 15,000 = 2,000**

|                                            | ₹       | ₹              |
|--------------------------------------------|---------|----------------|
| Sales (T5)                                 |         | ₹15,000        |
| Add: Commission received (T7)              |         | ₹2,000         |
| <b>Revenue</b>                             |         | <b>₹17,000</b> |
| Cost of stock sold (T5: stock out at cost) | ₹10,000 |                |
| Rent (T6)                                  | ₹5,000  |                |
| <b>Expenses</b>                            |         | <b>₹15,000</b> |
| <b>Profit</b>                              |         | <b>₹2,000</b>  |

#### FORMULA

**A = L + Opening capital + Profit – Drawings → 1,66,000 = 68,000 + 1,00,000 + 2,000 – 4,000**

68,000 + 1,00,000 = 1,68,000; plus 2,000 = 1,70,000; minus 4,000 = 1,66,000. Matches assets.

### Mini balance sheet of Rahul Stationery (after T10)

A balance sheet is the equation written as a statement on a given date. Same numbers, presentation form. Indian MBA exams use a vertical statement. A simple two-sided form is shown first because it is the equation on a page.

#### Assets

| Assets                    | ₹                |
|---------------------------|------------------|
| <b>Current assets</b>     |                  |
| Cash                      | ₹53,000          |
| Bank                      | ₹73,000          |
| Stock                     | ₹20,000          |
| Debtors                   | ₹0               |
| Prepaid                   | ₹0               |
| <b>Non-current assets</b> |                  |
| Furniture                 | ₹20,000          |
| <b>Total assets</b>       | <b>₹1,66,000</b> |

#### Claims on the assets

| Liabilities and capital              | ₹                |
|--------------------------------------|------------------|
| <b>Capital</b>                       |                  |
| Opening capital                      | ₹1,00,000        |
| Add: profit                          | ₹2,000           |
| Less: drawings                       | ₹4,000           |
| Closing capital                      | ₹98,000          |
| <b>Non-current liabilities</b>       |                  |
| Bank loan                            | ₹50,000          |
| <b>Current liabilities</b>           |                  |
| Creditors — Aman                     | ₹18,000          |
| <b>Total liabilities and capital</b> | <b>₹1,66,000</b> |

#### KEY POINT

The mini balance sheet totals ₹1,66,000 on both sides. That is not a coincidence and not a rounding. It is the accounting equation, after ten transactions, still standing. If you ever finish a sum and the sides differ, the error is in the postings, not in the equation.

### Full running equation — T1 to T10 (all rows together)

| After | Cash      | Bank    | Furniture | Stock   | Debtors | Prepaid | Creditors | Loan    | Capital   | Assets    | L + C     |
|-------|-----------|---------|-----------|---------|---------|---------|-----------|---------|-----------|-----------|-----------|
| T1    | ₹1,00,000 | ₹0      | ₹0        | ₹0      | ₹0      | ₹0      | ₹0        | ₹0      | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T2    | ₹80,000   | ₹0      | ₹20,000   | ₹0      | ₹0      | ₹0      | ₹0        | ₹0      | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T3    | ₹40,000   | ₹40,000 | ₹20,000   | ₹0      | ₹0      | ₹0      | ₹0        | ₹0      | ₹1,00,000 | ₹1,00,000 | ₹1,00,000 |
| T4    | ₹40,000   | ₹40,000 | ₹20,000   | ₹30,000 | ₹0      | ₹0      | ₹30,000   | ₹0      | ₹1,00,000 | ₹1,30,000 | ₹1,30,000 |
| T5    | ₹55,000   | ₹40,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹30,000   | ₹0      | ₹1,05,000 | ₹1,35,000 | ₹1,35,000 |
| T6    | ₹55,000   | ₹35,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹30,000   | ₹0      | ₹1,00,000 | ₹1,30,000 | ₹1,30,000 |
| T7    | ₹57,000   | ₹35,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹30,000   | ₹0      | ₹1,02,000 | ₹1,32,000 | ₹1,32,000 |
| T8    | ₹53,000   | ₹35,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹30,000   | ₹0      | ₹98,000   | ₹1,28,000 | ₹1,28,000 |
| T9    | ₹53,000   | ₹23,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹18,000   | ₹0      | ₹98,000   | ₹1,16,000 | ₹1,16,000 |
| T10   | ₹53,000   | ₹73,000 | ₹20,000   | ₹20,000 | ₹0      | ₹0      | ₹18,000   | ₹50,000 | ₹98,000   | ₹1,66,000 | ₹1,66,000 |

Check every row: Assets = Liabilities + Capital. If the last two columns differ, a posting is wrong.

### Every transaction hits the equation at least twice

| Txn | What happened to the equation, in one line                                |
|-----|---------------------------------------------------------------------------|
| T1  | A +1,00,000 (cash) and C +1,00,000. Both sides up equally.                |
| T2  | One asset swapped for another (cash → furniture). Totals unchanged.       |
| T3  | One asset swapped for another (cash → bank). Totals unchanged.            |
| T4  | A +30,000 (stock) and L +30,000 (Aman). Both sides up equally.            |
| T5  | Cash +15,000, stock –10,000, so assets net +5,000; capital +5,000 profit. |
| T6  | Bank –5,000 and capital –5,000 (rent expense). Both sides down equally.   |
| T7  | Cash +2,000 and capital +2,000 (commission). Both sides up equally.       |
| T8  | Cash –4,000 and capital –4,000 (drawings). Both sides down equally.       |
| T9  | Bank –12,000 and creditors –12,000. Both sides down equally.              |
| T10 | Bank +50,000 and loan +50,000. Both sides up equally.                     |

#### SOLVED EXAMPLE 0.14 · EXAM-LEVEL

#### Prove the expanded equation after T10

Using  $A = L + \text{Opening capital} + \text{Rev} - \text{Exp} - \text{Drawings}$ , plug in every figure.

Assets = ₹1,66,000.

Liabilities = ₹18,000 + ₹50,000 = ₹68,000.

Opening capital = ₹1,00,000.

Revenue = ₹15,000 + ₹2,000 = ₹17,000.

Expenses = ₹10,000 + ₹5,000 = ₹15,000.

Drawings = ₹4,000.

Right-hand side = 68,000 + 1,00,000 + 17,000 – 15,000 – 4,000.

1,68,000 + 17,000 = 1,85,000; 1,85,000 – 15,000 = 1,70,000; 1,70,000 – 4,000 = 1,66,000.

**Left-hand side = right-hand side = ₹1,66,000. Proved.**

## 9. HOW TO IDENTIFY THE QUESTION

If the question says “explain the accounting equation with an example”, write  $A = L + C$ , one sentence on dual aspect, then a 3-to-5 line numerical example (opening capital, one purchase of an asset, one expense) and a mini statement that totals. A 5-mark ready answer is at the end of this bootcamp.

## 10. COMMON MISTAKES

- Writing  $\text{Assets} = \text{Liabilities} - \text{Capital}$ . The sign is plus. Capital is added, because it is a claim.
- Forgetting that profit lives inside capital. If you add profit as a fourth item without reducing the way you show capital, you will double-count.
- Changing only one side. If cash goes up, something else moved — capital, loan, sales, or another asset.

## 11. MEMORY TRICK

$A = L + C$ . Left = what we have. Right = who provided it. After every transaction, re-total both sides. If they differ, you missed a side.

# 15. Debit and credit — left and right, not good and bad

## 1. WHAT IS IT? — DEFINITION

**Debit** means the left side of an account. **Credit** means the right side of an account. They are directions, like east and west. They are not praise and blame. They are not “good” and “bad”.

## 2. IN SIMPLE WORDS

Picture a big T. The name of the account sits on the top bar. The left arm is Debit (Dr). The right arm is Credit (Cr). Every amount goes on one arm or the other. “Debit Cash” means “write the amount on the left of the Cash account”.

## 3. WHY DO WE NEED IT?

We need a convention so that two people, or a person and a computer, put the same amount in the same place. Left and right is that convention. The modern rules in the next section tell you which side to use for which family.

## 4. REAL-LIFE EXAMPLE

When Rahul’s bank sends an SMS “INR 50,000 credited”, the bank is speaking from the bank’s books. In the bank’s books Rahul is a liability, so an increase is a credit. In Rahul’s books the bank account is an asset, so the same money is a debit to Bank. Same rupees, two books, opposite sides — because the two entities are facing each other. This confuses every beginner. Hold it: we always record from the shop’s point of view.

## 5. ACCOUNTING LOGIC

Because  $A = L + C$ , the two sides of the equation must keep equal. Debits record increases in the left family (assets, and also expenses and drawings). Credits record increases in the right family (liabilities, capital, income). That is why total debits always equal total credits. It is the equation wearing a T-shirt.

## 6. FORMAT — THE T-ACCOUNT

Every account is written as a T:

### Dr Name of the account Cr

| Particulars                | ₹   | Particulars                 | ₹   |
|----------------------------|-----|-----------------------------|-----|
| Left side = DEBIT (Dr)     | ... | Right side = CREDIT (Cr)    | ... |
| All debit amounts sit here | ... | All credit amounts sit here | ... |

The difference between the two sides is the **balance**. If debits are bigger, it is a debit balance. If credits are bigger, it is a credit balance. Assets normally have debit balances. Liabilities and capital normally have credit balances.

Watch Cash take shape across T1, T2, T3. After three transactions the T already looks like a real account:

### Dr Cash Cr

| Particulars     | ₹         | Particulars        | ₹              |
|-----------------|-----------|--------------------|----------------|
| To Capital (T1) | ₹1,00,000 | By Furniture (T2)  | ₹20,000        |
|                 |           | By Bank (T3)       | ₹40,000        |
|                 |           | <b>Balance c/d</b> | <b>₹40,000</b> |

Debits 1,00,000. Credits 20,000 + 40,000 = 60,000. Balance (debits bigger) = 1,00,000 – 60,000 = ₹40,000 debit, which is cash in hand after T3. The words **To** (on the debit) and **By** (on the credit) are traditional labels for the other account involved.

#### SOLVED EXAMPLE 0.15 · EASY

#### Is “credit” a compliment?

A student says: “Credit Cash because cash coming in is a good thing.”

**Answer.** No. Cash coming in is an increase in an asset, so it is a **debit** to Cash. “Credit” here is the right-hand column, not a compliment. This single superstition — cash in = credit — produces the most common journal error in first-year scripts.

#### 9. HOW TO IDENTIFY THE QUESTION

If the question says “what do you mean by debit and credit”, write: debit = left, credit = right; they are not good/bad; every account has both sides; the rules in the next section decide which side an increase goes to.

#### 10. COMMON MISTAKES

- Thinking debit is bad and credit is good (or the reverse).
- Crediting Cash whenever cash is received. Cash received is Debit Cash.
- Using the bank SMS language (“amount credited”) as if it were the shop’s books.

#### 11. MEMORY TRICK

Dr is the door on the left. Cr is the corridor on the right. Good and bad have left the building.

## 16. Modern rules of debit and credit (best for MBA)

#### 1. WHAT IS IT? — DEFINITION

The modern (equation) rules follow the five families. Increase an asset or an expense: debit. Increase a liability, capital or income: credit. Reverse the side for a decrease.

## 2. IN SIMPLE WORDS

Look at the equation  $A = L + C$ . Left family grows on the left (debit). Right family grows on the right (credit). Expenses and drawings behave like negative capital, so they grow on the debit. Income behaves like positive capital, so it grows on the credit.

## 3. WHY DO WE NEED IT?

MBA papers and every computerised system (Tally, Zoho, SAP) use this. If you remember five lines you can journal any transaction without first asking “is this personal, real or nominal?”. Learn these first. Keep the golden rules as a second language.

## 4. REAL-LIFE EXAMPLE

T6: rent paid by cheque. Rent is an expense → increase in expense → debit Rent. Bank is an asset → decrease in asset → credit Bank. You did not need to classify Rent as “nominal” to get this right. You only needed “expense up = debit”.

## 5. ACCOUNTING LOGIC

These rules are the equation, itemised. They cannot contradict  $A = L + C$ . If a posting made from these rules fails to balance, the classification of the account was wrong, not the rule.

### Modern rules — five families plus drawings

| Family                    | Increase                           | Decrease | Normal balance |
|---------------------------|------------------------------------|----------|----------------|
| Asset                     | Debit                              | Credit   | Debit          |
| Liability                 | Credit                             | Debit    | Credit         |
| Capital                   | Credit                             | Debit    | Credit         |
| Expense                   | Debit                              | Credit   | Debit          |
| Income / Revenue          | Credit                             | Debit    | Credit         |
| Drawings (contra-capital) | Debit (drawings up = capital down) | Credit   | Debit          |

## 6. FORMAT — THE FIVE LINES TO MEMORISE

- **Increase in Asset = Debit**; Decrease in Asset = Credit.
- **Increase in Liability = Credit**; Decrease in Liability = Debit.
- **Increase in Capital = Credit**; Decrease in Capital (drawings, loss) = Debit.
- **Increase in Expense = Debit**; Decrease in Expense = Credit.
- **Increase in Income = Credit**; Decrease in Income = Debit.

## 11. MEMORY TRICK

**DEAD CLIC** — Debit: Expenses, Assets, Drawings. Credit: Liabilities, Income, Capital. To increase the account, use its DEAD-or-CLIC side. To decrease it, use the other side.

## 7. HOW TO JOURNAL ANY TRANSACTION WITH MODERN RULES

1. Read the transaction in plain English (ignore debit/credit for ten seconds).
2. Name two (or more) accounts.
3. Put each account in a family: Asset, Liability, Capital, Expense, Income (or Drawings).
4. Say increase or decrease for each.
5. Apply the table: asset/expense/drawings up → debit; liability/capital/income up → credit.

6. Check: at least one debit and one credit, and the rupees match.

#### SOLVED EXAMPLE 0.16 · EASY

##### Apply DEAD CLIC

Paid salary ₹8,000 cash.

Salary = expense, increase → Debit Salary. Cash = asset, decrease → Credit Cash.

##### Salary paid

| Date | Particulars                 | L.F. | Debit (₹) | Credit (₹) |
|------|-----------------------------|------|-----------|------------|
| —    | Salary A/c ..... Dr.        |      | ₹8,000    |            |
|      | To Cash A/c                 |      |           | ₹8,000     |
|      | (Being salary paid in cash) |      |           |            |

#### SOLVED EXAMPLE 0.17 · MODERATE

##### A decrease in a liability

Paid Aman ₹12,000 by cheque (our T9).

Aman = liability, decrease → Debit Aman. Bank = asset, decrease → Credit Bank. Two decreases, still one debit and one credit, still in balance, both sides of the equation fall by ₹12,000.

#### SOLVED EXAMPLE 0.18 · EXAM-LEVEL

##### Four accounts in one story

Rahul sells goods costing ₹4,000 to a customer for ₹6,000 on credit, and the customer pays ₹2,500 immediately in cash, balance later.

**Accounts.** Cash (asset ↑ ₹2,500) Debit. Debtors (asset ↑ ₹3,500) Debit. Stock (asset ↓ ₹4,000) Credit. Sales/profit (income ↑ ₹2,000) Credit.

Debits 2,500 + 3,500 = 6,000. Credits: stock 4,000 + profit 2,000 = 6,000. Or, in Chapter-1 style: Debit Cash 2,500, Debit Debtors 3,500, Credit Sales 6,000; and take stock down by cost 4,000.

Equation: assets net +2,500 +3,500 –4,000 = +2,000; capital +2,000. Holds.

#### 9. HOW TO IDENTIFY THE QUESTION

If the question says “rules of debit and credit” in an MBA / management accounting paper, write the five modern lines first, with DEAD CLIC. Add a one-line example for each family. Give golden rules only if marks remain or the question says “traditional”.

#### 10. COMMON MISTAKES

- Debiting a liability when it increases (taking a loan and debiting Bank loan). Loan increase = credit.
- Crediting an expense when it increases (crediting Rent because “we paid, so credit”). Expense increase = debit.
- Using DEAD CLIC on the decrease side without flipping. DEAD CLIC is the increase side.

## 17. Traditional golden rules (personal, real, nominal)

### 1. WHAT IS IT? — DEFINITION

The traditional Indian rules first classify every account as **personal**, **real** or **nominal**, and then apply one sentence per class. They give the same debit and credit as the modern rules. They are still asked in many B.Com and MBA theory papers.

### 2. IN SIMPLE WORDS

Three families of names. Personal = people and institutions (including the owner, the bank, Aman, outstanding rent). Real = things (cash, stock, furniture, goodwill). Nominal = incomes and expenses (sales, rent, salary). One sentence each, and you can journal.

### 3. WHY DO WE NEED IT?

Older examiners and many Indian textbooks still open with these. If a 5-mark question says “golden rules of accounting”, this is the answer they have in the scheme. Learn them. Use modern rules to think; use golden rules to write the theory.

### 4. REAL-LIFE EXAMPLE

T9, paying Aman. Aman is a person → personal account. He is receiving money → “debit the receiver” → Debit Aman. Bank is also personal (the bank as an artificial person) and is giving money → “credit the giver” → Credit Bank. Same entry as the modern rule produced.

### 5. ACCOUNTING LOGIC

Personal accounts track who. Real accounts track what thing. Nominal accounts track why capital changed this year (incomes and expenses). The three sentences are just DEAD CLIC in older clothes.

Three golden rules — textbook wording, use this in the exam

| Class of account | Golden rule                                                 | Matches modern rule                                                                     |
|------------------|-------------------------------------------------------------|-----------------------------------------------------------------------------------------|
| Personal         | Debit the receiver, Credit the giver                        | People we owe more to → credit (liability ↑). People who owe us more → debit (asset ↑). |
| Real             | Debit what comes in, Credit what goes out                   | Thing comes in = asset ↑ = debit. Thing goes out = asset ↓ = credit.                    |
| Nominal          | Debit all expenses and losses, Credit all incomes and gains | Expense ↑ = debit. Income ↑ = credit.                                                   |

## How to classify an account — with many examples

### 1. Personal accounts — people, firms, institutions

Personal accounts — three sub-kinds, this is an exam favourite

| Kind                    | Meaning                                                             | Examples                                                                                                                                       |
|-------------------------|---------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------|
| Natural personal        | A living person.                                                    | Aman (creditor), Ramesh (debtor), Rahul's Capital, Drawings, any customer's name, any supplier's name.                                         |
| Artificial personal     | A body that the law treats as a person.                             | Bank A/c, State Bank of India, XYZ Pvt Ltd, a municipal corporation, a club, the Government, GST payable.                                      |
| Representative personal | An account that stands in for a person (usually unpaid or prepaid). | Outstanding rent (stands for the landlord), Prepaid insurance (stands for the insurer), Accrued commission, Unearned rent, Outstanding salary. |

### 2. Real accounts — things owned

Real accounts — debit what comes in, credit what goes out

| Kind | Meaning | Examples |
|------|---------|----------|
|------|---------|----------|

| Kind                   | Meaning                                    | Examples                                                                        |
|------------------------|--------------------------------------------|---------------------------------------------------------------------------------|
| <b>Tangible real</b>   | Things you can touch.                      | Cash, Stock, Furniture, Machinery, Building, Vehicle, Land, Computer, Fixtures. |
| <b>Intangible real</b> | Things you cannot touch but the shop owns. | Goodwill, Patents, Trade marks, Copyrights, Computer software (in many papers). |

### 3. Nominal accounts — incomes, expenses, gains, losses

#### Nominal accounts — the profit-and-loss family

| Kind                         | Examples (debit these — expenses/losses)                                                                                                         | Examples (credit these — incomes/gains)                                   |
|------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------|
| Trading items                | Purchases, Wages, Carriage inwards, Freight, Import duty.                                                                                        | Sales, Closing stock (when credited in trading a/c).                      |
| Operating expenses / incomes | Rent, Salary, Electricity, Telephone, Advertising, Insurance expired, Depreciation, Discount allowed, Bad debts, Interest paid, Commission paid. | Commission received, Interest received, Rent received, Discount received. |
| Gains and losses             | Loss on sale of furniture, Loss by fire, Loss by theft.                                                                                          | Profit on sale of furniture, Bad debts recovered.                         |

#### WATCH OUT

Bank A/c is personal (artificial person), not real. Cash A/c is real. Students mix these. Cash in hand = real. Cash at bank = personal. Both are assets. Both increase with a debit. The class differs; the modern rule does not.

#### T4 THROUGH GOLDEN RULES

Purchases of stock from Aman ₹30,000.

- Purchases = nominal (expense of goods) → debit all expenses → **Debit Purchases.**
- Aman = personal → he is the giver of goods → credit the giver → **Credit Aman.**

#### T2 THROUGH GOLDEN RULES

Furniture bought for cash ₹20,000.

- Furniture = real → what comes in → **Debit Furniture.**
- Cash = real → what goes out → **Credit Cash.**

#### SOLVED EXAMPLE 0.19 · MODERATE

##### Classify, then journal

Outstanding rent ₹5,000 at year end (rent of the shop not yet paid).

**Classify.** Rent = nominal (expense) → debit Rent. Outstanding rent = representative personal (stands for the landlord) → the landlord is a giver of the service we have used → credit Outstanding rent.

##### Outstanding rent

| Date     | Particulars                                    | L.F. | Debit (₹) | Credit (₹) |
|----------|------------------------------------------------|------|-----------|------------|
| Year end | Rent A/c ..... Dr.                             |      | ₹5,000    |            |
|          | To Outstanding rent A/c                        |      |           | ₹5,000     |
|          | <i>(Being rent of the period still unpaid)</i> |      |           |            |

Modern view of the same: expense up = debit; liability up = credit. Same entry.

#### SOLVED EXAMPLE 0.20 · EXAM-LEVEL



## Prepaid insurance

Rahul pays ₹12,000 insurance for 12 months on 1 October. Year end is 31 March. Six months are unused.

Unused  $6/12 \times 12,000 = 6,000$ . Prepaid insurance is a representative personal account (the insurer still owes six months of cover) and also a current asset.

At year end: Debit Prepaid insurance ₹6,000, Credit Insurance ₹6,000 (reducing the expense to the six months that belong to this year). Golden rule: prepaid = personal → debit the receiver (the prepaid account stands for the insurer who has taken money and still must provide cover). Insurance = nominal → credit it because we are reducing an expense.

Modern: asset up = debit Prepaid; expense down = credit Insurance.

### 9. HOW TO IDENTIFY THE QUESTION

If the question says “golden rules / traditional rules / personal real nominal”, write the three sentences exactly: Debit the receiver, Credit the giver. Debit what comes in, Credit what goes out. Debit all expenses and losses, Credit all incomes and gains. Then classify 4–6 accounts as a working. Mention the three kinds of personal account if marks are 5 or more.

### 10. COMMON MISTAKES

- Calling Bank a real account. Bank is personal (artificial).
- Calling Capital a nominal account. Capital is personal (the owner).
- Calling Drawings a nominal (expense) account. Drawings is personal (the owner receiving).
- Calling Outstanding rent a nominal account. It is representative personal — a liability.
- Calling Goodwill a nominal account. Goodwill is real (intangible asset).
- Calling Purchases a real account. Purchases is nominal. Stock/Inventory is real.

### 11. MEMORY TRICK

PNG: Personal — people. Real — things. Nominal — names of incomes and expenses (nominal = “in name”, the profit names).  
Personal: receiver Dr, giver Cr. Real: in Dr, out Cr. Nominal: expenses Dr, incomes Cr.

### 12. EXAM-READY ANSWER

The traditional golden rules of accounting depend on the class of the account. (1) Personal accounts (natural, artificial, representative): Debit the receiver, Credit the giver. (2) Real accounts (tangible and intangible): Debit what comes in, Credit what goes out. (3) Nominal accounts (expenses, losses, incomes, gains): Debit all expenses and losses, Credit all incomes and gains. Illustration: goods purchased on credit from Aman — Purchases is nominal so it is debited (expense); Aman is personal and is the giver so he is credited. These rules produce the same journals as the modern equation rules.

## 18. T1–T10 recap: journals, T-accounts, equation effect

You have already seen each of T1–T10 as a full teaching block (what happened, accounts, increase or decrease, debit, credit, journal, equation). This section is the exam desk-view: one summary table, then the ledger T-accounts that Chapter 1 will call posting, then a proof that the T-accounts produce the same closing figures as the equation.

### One-page recap of all ten transactions

| Txn | What happened               | Accounts         | ↑ / ↓   | Debit     | Credit  | Effect on equation   |
|-----|-----------------------------|------------------|---------|-----------|---------|----------------------|
| T1  | Started with cash ₹1,00,000 | Cash ; Capital   | A ↑ C ↑ | Cash      | Capital | Both sides +1,00,000 |
| T2  | Furniture ₹20,000 cash      | Furniture ; Cash | A ↑ A ↓ | Furniture | Cash    | Totals unchanged     |

| Txn | What happened                    | Accounts               | ↑ / ↓            | Debit                          | Credit                           | Effect on equation       |
|-----|----------------------------------|------------------------|------------------|--------------------------------|----------------------------------|--------------------------|
| T3  | Deposit ₹40,000                  | Bank ; Cash            | A ↑ A ↓          | Bank                           | Cash                             | Totals unchanged         |
| T4  | Stock ₹30,000 on credit          | Purchases/Stock ; Aman | A ↑ L ↑          | Purchases                      | Aman                             | Both sides +30,000       |
| T5  | Sold cost 10,000 for 15,000 cash | Cash ; Stock ; Sales   | A ↑ A ↓<br>C ↑   | Cash 15,000 and<br>COGS 10,000 | Sales 15,000 and<br>Stock 10,000 | Both sides +5,000 profit |
| T6  | Rent ₹5,000 cheque               | Rent ; Bank            | E ↑ A ↓<br>(C ↓) | Rent                           | Bank                             | Both sides –5,000        |
| T7  | Commission ₹2,000 cash           | Cash ; Commission      | A ↑ I ↑<br>(C ↑) | Cash                           | Commission                       | Both sides +2,000        |
| T8  | Drawings ₹4,000 cash             | Drawings ; Cash        | D ↑ A ↓<br>(C ↓) | Drawings                       | Cash                             | Both sides –4,000        |
| T9  | Paid Aman ₹12,000 cheque         | Aman ; Bank            | L ↓ A ↓          | Aman                           | Bank                             | Both sides –12,000       |
| T10 | Loan ₹50,000 to bank             | Bank ; Bank loan       | A ↑ L ↑          | Bank                           | Bank loan                        | Both sides +50,000       |

### Ledger T-accounts after T10

Posting means taking each journal line to the T of that account. Debit journal line → left of the T. Credit journal line → right of the T. Balance c/d is written on the **smaller** side so the two sides of the T equal: an asset (debit balance) shows Balance c/d on the credit; a liability or capital (credit balance) shows Balance c/d on the debit. We now post every line of T1–T10. Arithmetic of each balance is shown.

| Dr Cash Cr         |           |                    |                |
|--------------------|-----------|--------------------|----------------|
| Particulars        | ₹         | Particulars        | ₹              |
| To Capital (T1)    | ₹1,00,000 | By Furniture (T2)  | ₹20,000        |
| To Sales (T5)      | ₹15,000   | By Bank (T3)       | ₹40,000        |
| To Commission (T7) | ₹2,000    | By Drawings (T8)   | ₹4,000         |
|                    |           | <b>Balance c/d</b> | <b>₹53,000</b> |

| Dr Bank Cr         |         |                    |                |
|--------------------|---------|--------------------|----------------|
| Particulars        | ₹       | Particulars        | ₹              |
| To Cash (T3)       | ₹40,000 | By Rent (T6)       | ₹5,000         |
| To Bank loan (T10) | ₹50,000 | By Aman (T9)       | ₹12,000        |
|                    |         | <b>Balance c/d</b> | <b>₹73,000</b> |

**Cash working.** Debits: 1,00,000 + 15,000 + 2,000 = 1,17,000. Credits: 20,000 + 40,000 + 4,000 = 64,000. Balance 1,17,000 – 64,000 = ₹53,000 debit.

**Bank working.** Debits: 40,000 + 50,000 = 90,000. Credits: 5,000 + 12,000 = 17,000. Balance 90,000 – 17,000 = ₹73,000 debit.

| Dr Furniture Cr |         |                    |                |
|-----------------|---------|--------------------|----------------|
| Particulars     | ₹       | Particulars        | ₹              |
| To Cash (T2)    | ₹20,000 | <b>Balance c/d</b> | <b>₹20,000</b> |

| Dr Stock Cr              |         |                       |                |
|--------------------------|---------|-----------------------|----------------|
| Particulars              | ₹       | Particulars           | ₹              |
| To Purchases / Aman (T4) | ₹30,000 | By Cost of sales (T5) | ₹10,000        |
|                          |         | <b>Balance c/d</b>    | <b>₹20,000</b> |

| Dr Aman (Creditor) Cr |                |                   |         |
|-----------------------|----------------|-------------------|---------|
| Particulars           | ₹              | Particulars       | ₹       |
| To Bank (T9)          | ₹12,000        | By Purchases (T4) | ₹30,000 |
| <b>Balance c/d</b>    | <b>₹18,000</b> |                   |         |

| Dr Bank loan Cr    |                |               |         |
|--------------------|----------------|---------------|---------|
| Particulars        | ₹              | Particulars   | ₹       |
| <b>Balance c/d</b> | <b>₹50,000</b> | By Bank (T10) | ₹50,000 |

**Aman working.** Credit 30,000 – Debit 12,000 = ₹18,000 credit balance (we still owe him). **Bank loan working.** Credit ₹50,000, no debit yet, credit balance ₹50,000.

| Dr Capital (introduced) Cr |                  |              |           |
|----------------------------|------------------|--------------|-----------|
| Particulars                | ₹                | Particulars  | ₹         |
| <b>Balance c/d</b>         | <b>₹1,00,000</b> | By Cash (T1) | ₹1,00,000 |

| Dr Drawings Cr |        |                    |               |
|----------------|--------|--------------------|---------------|
| Particulars    | ₹      | Particulars        | ₹             |
| To Cash (T8)   | ₹4,000 | <b>Balance c/d</b> | <b>₹4,000</b> |

| Dr Sales Cr        |                |              |         |
|--------------------|----------------|--------------|---------|
| Particulars        | ₹              | Particulars  | ₹       |
| <b>Balance c/d</b> | <b>₹15,000</b> | By Cash (T5) | ₹15,000 |

| Dr Commission received Cr |               |              |        |
|---------------------------|---------------|--------------|--------|
| Particulars               | ₹             | Particulars  | ₹      |
| <b>Balance c/d</b>        | <b>₹2,000</b> | By Cash (T7) | ₹2,000 |

| Dr Rent Cr   |        |                    |               |
|--------------|--------|--------------------|---------------|
| Particulars  | ₹      | Particulars        | ₹             |
| To Bank (T6) | ₹5,000 | <b>Balance c/d</b> | <b>₹5,000</b> |

| Dr Cost of goods sold Cr |         |                    |                |
|--------------------------|---------|--------------------|----------------|
| Particulars              | ₹       | Particulars        | ₹              |
| To Stock (T5)            | ₹10,000 | <b>Balance c/d</b> | <b>₹10,000</b> |

## Closing the nominal accounts into capital

Sales ₹15,000 + Commission ₹2,000 – Cost of goods sold ₹10,000 – Rent ₹5,000 = profit ₹2,000. Profit is credited to Capital. Drawings ₹4,000 is debited to Capital. Capital then shows:

| Dr Capital (after closing profit and drawings) Cr |         |                       |           |
|---------------------------------------------------|---------|-----------------------|-----------|
| Particulars                                       | ₹       | Particulars           | ₹         |
| To Drawings                                       | ₹4,000  | By Cash (introduced)  | ₹1,00,000 |
| Balance c/d                                       | ₹98,000 | By Profit (Rev – Exp) | ₹2,000    |

**Capital working.** Credits 1,00,000 + 2,000 = 1,02,000. Debit 4,000. Balance 1,02,000 – 4,000 = ₹98,000 credit. Matches the equation table after T10.

## A mini trial balance after closing — this is Chapter 1's destination

| Account          | Debit balance | Credit balance |
|------------------|---------------|----------------|
| Cash             | ₹53,000       |                |
| Bank             | ₹73,000       |                |
| Furniture        | ₹20,000       |                |
| Stock            | ₹20,000       |                |
| Debtors          | ₹0            |                |
| Prepaid          | ₹0            |                |
| Aman (Creditors) |               | ₹18,000        |

| Account       | Debit balance    | Credit balance   |
|---------------|------------------|------------------|
| Bank loan     |                  | ₹50,000          |
| Capital       |                  | ₹98,000          |
| <b>Totals</b> | <b>₹1,66,000</b> | <b>₹1,66,000</b> |

Debit total 53,000 + 73,000 + 20,000 + 20,000 = 1,66,000. Credit total 18,000 + 50,000 + 98,000 = 1,66,000.

#### KEY POINT

Journal → T-accounts (ledger) → list of balances (trial balance) → the list is the equation. Chapter 1 is this pipeline, taught as a craft. This bootcamp is why the pipeline cannot fail if you post both sides.

## 19. Classification drill — 20 accounts

Cover the last two columns with your hand. Name the type (personal / real / nominal — and the sub-kind if you can), the nature (asset / liability / capital / income / expense / drawings), and which side increases the account. Then check.

**Twenty accounts — type, nature, and the side that increases them**

| #  | Account               | Type (golden)                            | Nature (modern)                            | To increase: Debit or Credit |
|----|-----------------------|------------------------------------------|--------------------------------------------|------------------------------|
| 1  | Cash                  | Real (tangible)                          | Asset (current)                            | Debit                        |
| 2  | Bank                  | Personal (artificial)                    | Asset (current)                            | Debit                        |
| 3  | Capital               | Personal (natural — the owner)           | Capital                                    | Credit                       |
| 4  | Drawings              | Personal (natural — the owner receiving) | Contra-capital (drawings)                  | Debit                        |
| 5  | Purchases             | Nominal (expense of goods)               | Expense (goods for resale; unsold = stock) | Debit                        |
| 6  | Sales                 | Nominal (income)                         | Income / Revenue                           | Credit                       |
| 7  | Rent                  | Nominal (expense)                        | Expense                                    | Debit                        |
| 8  | Salary                | Nominal (expense)                        | Expense                                    | Debit                        |
| 9  | Furniture             | Real (tangible)                          | Asset (non-current)                        | Debit                        |
| 10 | Machinery             | Real (tangible)                          | Asset (non-current)                        | Debit                        |
| 11 | Creditors             | Personal (natural / artificial)          | Liability (current)                        | Credit                       |
| 12 | Debtors               | Personal (natural / artificial)          | Asset (current)                            | Debit                        |
| 13 | Loan                  | Personal (the lender)                    | Liability (non-current if long-term)       | Credit                       |
| 14 | Interest received     | Nominal (income)                         | Income                                     | Credit                       |
| 15 | Interest paid         | Nominal (expense)                        | Expense                                    | Debit                        |
| 16 | Stock                 | Real (tangible)                          | Asset (current)                            | Debit                        |
| 17 | Commission (received) | Nominal (income)                         | Income                                     | Credit                       |
| 18 | Outstanding rent      | Personal (representative)                | Liability (current)                        | Credit                       |
| 19 | Prepaid insurance     | Personal (representative)                | Asset (current)                            | Debit                        |
| 20 | Goodwill              | Real (intangible)                        | Asset (non-current)                        | Debit                        |

Commission with no adjective is treated here as commission received (income), because that is how T7 used it. Commission paid would be nominal / expense / debit to increase.

**Patterns you should now see without thinking:**

- Every asset in this list increases with a debit. Every liability and capital increases with a credit.
- Every expense (Purchases, Rent, Salary, Interest paid) increases with a debit. Every income (Sales, Interest received, Commission) increases with a credit.
- Drawings increases with a debit — it is the owner receiving, and it reduces capital.
- Bank is personal; Cash is real; both are assets; both debit to increase. The golden class differs, the modern side does not.
- Outstanding ... is usually a representative personal liability (credit to increase). Prepaid ... is usually a representative personal asset (debit to increase).
- Goodwill looks “nominal” because it is a word, but it is a real intangible asset. Debit to increase.

#### SOLVED EXAMPLE 0.21 · EASY

##### Fill three blanks

Debtors: type? nature? side to increase? Outstanding rent: type? nature? side to increase? Sales: type? nature? side to increase?

**Answer.** Debtors — personal, asset, Debit. Outstanding rent — representative personal, liability, Credit. Sales — nominal, income, Credit.

#### 9. HOW TO IDENTIFY THE QUESTION

If the question is a classification table (very common for 5–8 marks), use exactly these three columns: Personal/Real/Nominal, Asset/Liability/Capital/Income/Expense, Dr or Cr to increase. Do not leave a cell blank. Bank and Outstanding/Prepaid are the traps.

## 20. Memory tricks and common mistakes

### Memory tricks (keep these on a one-page card)

#### 11. MEMORY TRICK

**DEAD CLIC.** Debit Expenses, Assets, Drawings. Credit Liabilities, Income, Capital. This is the increase-side. Flip it to decrease.

#### 11. MEMORY TRICK

**A = L + C.** What we have = who provided it. After every transaction, re-total both sides.

#### 11. MEMORY TRICK

**PNG golden.** Personal: Debit the receiver, Credit the giver. Real: Debit what comes in, Credit what goes out. Nominal: Debit expenses and losses, Credit incomes and gains.

#### 11. MEMORY TRICK

**C-M-E for a transaction.** Change in money/value, Measurable in ₹, Evidence. All three, or it stays out.

#### 11. MEMORY TRICK

**Two pockets.** Rahul ≠ Rahul Stationery. Personal take = Drawings. Shop spend = Expense.

#### 11. MEMORY TRICK

**Goods to sell vs goods to use.** Pens to sell = Purchases / Stock. A counter to use = Furniture. A photocopier to use = Machinery. Never debit Purchases for a machine.

#### 11. MEMORY TRICK

**Received vs paid.** Interest received / commission received / rent received = income (credit). Interest paid / commission paid / rent paid = expense (debit).

#### 11. MEMORY TRICK

**Cash coming in is a debit to Cash.** Say it out loud. The bank SMS that says “credited” is the bank’s books, not yours.

### Common mistakes — and the repair

#### 10. COMMON MISTAKES

- **Drawings treated as an expense.** Repair: Drawings reduce capital, not profit. Debit Drawings, not Rent, not Salary, not Miscellaneous. Profit = Revenue – Expenses. Drawings do not sit in that formula.
- **Cash received credited to Cash.** Repair: Cash is an asset. Asset up = debit. Credit the reason the cash came (Sales, Capital, Loan, Commission, Debtors). “Credit” is the right column, not a compliment.
- **Purchases of goods mixed with furniture / machinery.** Repair: Purchases = goods for resale. Furniture/Machinery = assets to use. T2 is Furniture Dr, Cash Cr. T4 is Purchases Dr, Aman Cr.
- **A loan treated as income or as capital.** Repair: A loan is a liability. Bank Dr, Bank loan Cr. It must be repaid. It is not sales and not capital.
- **Paying a creditor treated as a new expense.** Repair: The expense/stock was recorded when the goods arrived (T4). T9 only reduces Aman and reduces Bank.
- **Stock reduced by selling price.** Repair: Stock leaves at cost. Cash/Debtors enter at selling price. The gap is profit. T5: stock –10,000, cash +15,000, capital +5,000.
- **Bank classified as a real account.** Repair: Bank is personal (artificial person). Cash is real. Both debit to increase.
- **Outstanding rent classified as nominal.** Repair: Outstanding rent is representative personal, a current liability, credit to increase. The nominal account is Rent (the expense).
- **Goodwill classified as nominal.** Repair: Goodwill is a real intangible asset. Debit to increase.
- **Capital treated as cash.** Repair: Cash is an asset. Capital is a claim. After T2 they are no longer equal: cash 80,000, capital 1,00,000.
- **Waiting for cash before recording a credit purchase or credit sale.** Repair: The invoice date is the transaction date. T4 is a transaction on the day Aman delivers, not on the day we pay.
- **Owner’s personal bill recorded as a shop expense.** Repair: Entity concept. Personal electricity, personal trip, personal medical bill = Drawings.
- **One-sided posting.** Repair: Dual aspect. If you debit, you must credit. If the equation’s last two columns differ, you missed a side.
- **Profit treated as cash.** Repair: Profit is a change in capital. Cash also moves for loans, drawings, furniture, and paying creditors. After T10 profit is 2,000; cash is 53,000. They are different numbers.

#### Five broken journals you will now refuse to write

| Wrong journal                                                   | Why it is wrong                            | Right journal                                |
|-----------------------------------------------------------------|--------------------------------------------|----------------------------------------------|
| Rent Dr 4,000 / Cash Cr 4,000 when owner takes cash home        | Personal take is not rent                  | Drawings Dr 4,000 / Cash Cr 4,000            |
| Cash Cr 2,000 / Commission Dr 2,000 when commission is received | Cash in is Debit Cash; income is Credit    | Cash Dr 2,000 / Commission received Cr 2,000 |
| Purchases Dr 20,000 / Cash Cr 20,000 for a wooden counter       | A counter is furniture, not goods for sale | Furniture Dr 20,000 / Cash Cr 20,000         |
| Cash Dr 50,000 / Commission Cr 50,000 for a bank loan           | A loan is not earning                      | Bank Dr 50,000 / Bank loan Cr 50,000         |
| Purchases Dr 12,000 / Bank Cr 12,000 when paying Aman           | Paying a creditor is not a new purchase    | Aman Dr 12,000 / Bank Cr 12,000              |

**Find four errors**

A student journals: (i) Started business Cash Cr 1,00,000, Capital Dr 1,00,000. (ii) Bought furniture Purchases Dr 20,000, Cash Cr 20,000. (iii) Commission received Commission Dr 2,000, Cash Cr 2,000. (iv) Drawings Salary Dr 4,000, Cash Cr 4,000.

**Repair.**

1. Cash is an asset increasing → Debit Cash, Credit Capital.
2. Furniture is an asset, not purchases → Debit Furniture, Credit Cash.
3. Cash in = Debit Cash. Commission is income → Credit Commission received.
4. Owner taking cash is Drawings, not Salary → Debit Drawings, Credit Cash.

**21. Exam-ready 5-mark answer****Explain the accounting equation with an example.**

5 marks

**Meaning.** The accounting equation is **Assets = Liabilities + Capital**. It is the dual-aspect idea written as algebra. Every transaction has two sides, so the two sides of the equation remain equal after every event.

**Assets** are resources of the business (cash, bank, stock, debtors, furniture, prepaid expenses). **Liabilities** are amounts owed to outsiders (creditors, bank loan, outstanding expenses). **Capital** is the owner's claim on the business. Capital itself moves: Closing capital = Opening capital + Profit – Drawings, and Profit = Revenue – Expenses. The expanded form is therefore Assets = Liabilities + Opening capital + Revenue – Expenses – Drawings.

**Why it always holds.** Assets are what the firm has. Liabilities and capital are who provided those assets. There is no third claim, so the two totals cannot differ if both sides of every event have been recorded.

**Example — Rahul Stationery (extract).**

T1: Rahul starts with cash ₹1,00,000. Assets (cash) ₹1,00,000 = Liabilities ₹0 + Capital ₹1,00,000.

T2: Buys furniture ₹20,000 cash. Cash falls by ₹20,000, furniture rises by ₹20,000. Totals still ₹1,00,000 = ₹0 + ₹1,00,000. One asset replaces another.

T4: Buys stock ₹30,000 on credit from Aman. Stock +₹30,000, Creditors +₹30,000. Assets ₹1,30,000 = Liabilities ₹30,000 + Capital ₹1,00,000.

T5: Sells stock that cost ₹10,000 for ₹15,000 cash. Cash +₹15,000, Stock –₹10,000 (assets net +₹5,000); profit ₹5,000 increases capital. Assets ₹1,35,000 = Liabilities ₹30,000 + Capital ₹1,05,000.

After ten such transactions the books of Rahul Stationery show: Cash ₹53,000 + Bank ₹73,000 + Furniture ₹20,000 + Stock ₹20,000 = **Assets ₹1,66,000**. Creditors ₹18,000 + Bank loan ₹50,000 = Liabilities ₹68,000. Opening capital ₹1,00,000 + profit ₹2,000 – drawings ₹4,000 = Capital ₹98,000. Liabilities + Capital = ₹68,000 + ₹98,000 = **₹1,66,000**. The equation balances, and that equality is the proof asked for in the examination.

**Conclusion.** The accounting equation is both a definition of financial position and a check on recording. A balance sheet is this equation presented as a statement on a given date. If the two sides ever differ, a transaction has been posted on only one side or an amount has been misstated.

**12. EXAM-READY ANSWER**

Write four blocks: (1) statement of  $A = L + C$  and dual aspect, (2) one sentence each on assets, liabilities, capital, and the expanded form with profit and drawings, (3) a short numerical example with at least three transactions and a total that matches, (4) a one-line conclusion that a balance sheet is the equation on a date. Do not skip the arithmetic. Examiners award method marks on the numbers.

**EXAM TIP**

If the paper gives you a list of transactions and says “show the accounting equation”, draw a running table with a column per account plus Total Assets and L+C, one row per transaction, and tick every row. That is exactly the T1–T10 table in this bootcamp. You will not lose a mark for layout if every row adds up.

## Other 2–5 mark questions this bootcamp has already written for you

Theory map — do not hunt through a textbook the night before

| Question                                                        | Where the answer lives                        | Marks it usually carries |
|-----------------------------------------------------------------|-----------------------------------------------|--------------------------|
| Define accounting. Is it a process?                             | Section 1 — seven verbs, exam-ready paragraph | 3–5                      |
| Why do firms keep books?                                        | Section 2 — MP-TB-CD six reasons              | 5                        |
| Bookkeeping vs accounting                                       | Section 3 — two-column distinguish            | 4–5                      |
| Business entity concept                                         | Section 4 — exam-ready paragraph              | 3–5                      |
| What is a transaction? Give examples of what is not.            | Section 5 — three tests + table               | 4–5                      |
| Assets, with current vs non-current                             | Section 7                                     | 5                        |
| Liabilities, with current vs non-current                        | Section 8                                     | 4–5                      |
| What are drawings? Are they an expense?                         | Section 13 — exam-ready paragraph             | 3–5                      |
| Modern rules of debit and credit                                | Section 16 — five lines + DEAD CLIC           | 5                        |
| Golden rules of accounting                                      | Section 17 — exam-ready paragraph             | 5                        |
| Classify: Bank, Outstanding rent, Goodwill, Drawings, Purchases | Section 19 drill                              | 5                        |

## 22. How this bootcamp connects to Chapter 1

### CONNECT THE CHAPTERS

Chapter 1 is Journal → Ledger → Trial Balance. This bootcamp is why those three tools exist and what they are for. You already did all three, quietly, on Rahul’s ten transactions. Chapter 1 teaches the craft: dates, narration, folio numbers, balancing accounts, and the trial-balance listing.

Nothing in Chapter 1 is a new universe — it is this bootcamp, written as a procedure

| Bootcamp idea you now own                                                 | Chapter 1 name for the same idea       | What will be new in Chapter 1                                                                                                           |
|---------------------------------------------------------------------------|----------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|
| Write the two sides of a transaction with Dr and Cr                       | <b>Journal</b>                         | Date column, L.F. column, narration in brackets, compound entries, GST, and the rule “debit is written first”.                          |
| The T-shape with left and right                                           | <b>Ledger (posting)</b>                | A separate page (or folio) per account, “To” and “By”, balancing c/d and b/d, and the ledger as a book of accounts.                     |
| The list of debit and credit balances that totals ₹1,66,000 on both sides | <b>Trial balance</b>                   | A formal two-column list of every account, used as a check before preparing statements. If it does not tally, an error is hiding.       |
| $A = L + C$ , and the mini balance sheet                                  | The destination of the trial balance   | Chapter 1 stops at the trial balance. Later chapters open it into a Trading A/c, Profit and Loss A/c, and a Schedule-III balance sheet. |
| Purchases vs Furniture, Drawings vs Expense, Loan vs Income               | Account-name discipline in the journal | More names: carriage, discount allowed/received, bad debts, depreciation. Same five families.                                           |

### 7. THE ONE PIPELINE YOU WILL LIVE IN FOR THE REST OF THE SUBJECT

1. A transaction happens (bootcamp: three tests).
2. You journal it (bootcamp: modern or golden rules; Chapter 1: the journal paper format).



3. You post each line to a T-account / ledger folio (bootcamp section 18; Chapter 1: posting rules).
4. You list every balance — debits in one column, credits in the other — and they must match (bootcamp mini trial balance; Chapter 1: trial balance).
5. If they match, the equation is intact and you may go on to profit and the balance sheet. If they do not, you hunt the missing side before you go on.

#### KEY POINT

Before you open Chapter 1, you should be able to take any one-line transaction — “paid electricity ₹900 by UPI”, “sold goods costing ₹3,000 for ₹4,200 on credit”, “owner took goods ₹700” — and say: accounts, increase or decrease, debit, credit, effect on  $A = L + C$ . If you can, the journal paper in Chapter 1 is only stationery. If you cannot, go back to T1–T10 and walk them once more, out loud.

#### 9. HOW TO IDENTIFY THE QUESTION

If a Chapter 1 question gives you a list of transactions and says “journalise, post, and prepare a trial balance”, you are being asked to run the pipeline above. Name the accounts with bootcamp discipline first, then worry about the ruling of the journal paper. Most errors in Chapter 1 are classification errors from this bootcamp, not ruling errors.

Rahul’s shop is still open. The furniture is in the lane, Aman is still owed ₹18,000, the bank loan sits in the account, and capital is ₹98,000. Chapter 1 will put the same ten facts on journal paper, ledger paper, and a trial balance. You already know what the numbers must be. That is the point of a bootcamp.

# Introduction to Accounting

**Learning outcome.** You will identify transactions, apply accounting concepts, write journals, post ledgers, balance accounts, and prepare a trial balance.

## WHAT THIS CHAPTER COVERS (OFFICIAL SYLLABUS)

- Accounting concepts and conventions
- Identifying business transactions
- Accounting rules
- Preparation of Journal
- Ledger
- Trial Balance

This chapter takes you from zero to a complete set of books for one shop. By the last page you will have written every journal, posted every ledger, balanced every account, and prepared a trial balance that actually ties. One business is used throughout, so the same rupees keep moving — you always know where you are.

## Meet Meera Traders — the shop we will keep for the whole chapter

**Meera** starts a small stationery shop, **Meera Traders** (also called Meera's Stationery), on **1 April 2025** in Pune. April is the first month of the Indian financial year. For this chapter we treat **April 2025** as one complete accounting period so that you can see a full cycle — transaction → journal → ledger → trial balance — without waiting till 31 March 2026. In real life her first year would run 1 April 2025 to 31 March 2026; the method is identical.

### KEY POINT

We will **not** charge depreciation in this chapter (that is a later chapter) and we will **not** adjust closing stock. Purchases stay in the trial balance as an expense-type balance. A Trading Account needs closing stock; that comes when you prepare final accounts. For Chapter 1, a trial balance of ledger balances without a stock adjustment is correct and complete.

### THE STORY IN ONE PARAGRAPH

Meera puts ₹2,00,000 cash into the shop, banks ₹1,50,000, buys furniture, purchases goods for cash and on credit from Kabir, sells for cash and on credit to Sana, pays rent by cheque, pays Kabir part of his bill, collects part of Sana's bill, pays wages, takes cash home (drawings), records unpaid electricity, earns a small commission, and reorders goods. Every rupee of this story will appear in the journal, then in the ledgers, then in the trial balance.

Before we touch a journal, we need the **rules of the game** — the concepts and conventions. They decide *what* we record, *when* we record it, and *at what amount*. Skip them and the journals will look like guesswork.

### CONNECT THE CHAPTERS

Keep Meera in your head. Every concept below is illustrated with her shop, and the same fifteen transactions reappear in the Journal, Ledger and Trial Balance sections. Do not skip the concepts — examiners ask them as 3–5 mark theory, and they also decide how you treat outstanding electricity, drawings, and credit sales.

## A. Accounting concepts and conventions

### 1. WHAT IS IT? — DEFINITION

Accounting **concepts** are the basic assumptions on which the whole recording system rests. Accounting **conventions** are the traditions and practical guidelines that accountants follow while applying those concepts. Together they make books of different businesses comparable, honest and useful.

## 2. IN SIMPLE WORDS

Think of concepts as the constitution (the assumptions we agree to before we start) and conventions as the courtroom customs (how we behave when a judgement call appears). You cannot start Meera's books without the entity concept and dual aspect. You need conservatism when you are not sure whether to show a possible profit.

## 3. WHY DO WE NEED IT?

Without a shared set of assumptions, Meera could value furniture at 'what she feels it is worth', mix her household spend with shop spend, and count a customer order as a sale before the goods leave the shop. A bank, a tax officer or an examiner reading those books would not be able to trust the profit figure.

## Concepts versus conventions — comparison (memorise this table)

Concepts are assumptions; conventions are traditions

| Basis                                     | Accounting concepts                                                                                                       | Accounting conventions                                                        |
|-------------------------------------------|---------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------|
| Meaning                                   | Fundamental assumptions on which accounts are prepared                                                                    | Customs, traditions and practical guidelines used while applying concepts     |
| Nature                                    | Theoretical / structural — the 'constitution'                                                                             | Practical / behavioural — the 'customs'                                       |
| Necessity                                 | Books cannot even start without them                                                                                      | They guide judgement when more than one treatment is possible                 |
| Flexibility                               | Rigid. You do not pick and choose.                                                                                        | Some discretion, within honesty and disclosure                                |
| When they bite                            | Every single transaction (who, when, how much, two sides)                                                                 | At year-end judgements (stock valuation, provisions, notes, change of method) |
| Standard list (Indian MBA / CA textbooks) | Business entity, Money measurement, Going concern, Cost, Dual aspect, Accrual, Matching, Periodicity, Revenue recognition | Conservatism (prudence), Consistency, Materiality, Full disclosure            |

## EXAM TIP

If a 5-mark question says 'Distinguish between accounting concepts and conventions', draw a table with at least four bases (meaning, nature, necessity, examples) and end with one line: concepts tell us *what world we are recording*; conventions tell us *how to behave when we have a choice*.

## 11. MEMORY TRICK

C-oncepts = C-onstitution (assumptions). C-onventions = C-ustoms (traditions). Four conventions to chant: **CCMD** — Conservatism, Consistency, Materiality, Disclosure.

## The concepts, one by one

For every idea below you get the same six things an examiner wants: a definition, a plain-English restatement, why it exists, Meera's shop as a real-life picture, what blows up if you ignore it, and a 3–5 mark answer you can almost copy.

## 1. Business entity concept (separate entity)

### 1. WHAT IS IT? — DEFINITION

The business is treated as a person separate from its owner. Transactions are recorded *from the point of view of the business*, not from the point of view of Meera the human being. The owner's capital is a liability of the business to the owner. Personal assets, personal debts and household expenses of the owner do not enter the business books except as capital or drawings.

## 2. IN SIMPLE WORDS

Meera the person and Meera Traders the shop are two different 'people' in the ledger. When Meera puts money in, the shop *owes her* that money (Capital). When she takes money out for home, the shop records Drawings — not Rent, not Wages, not Purchases.

## 3. WHY DO WE NEED IT?

If the shop and the owner are mixed, you can never know whether the shop made a profit. A lender, a tax officer and you yourself need a clean picture of *the business*. The entity concept is also why Capital sits on the liabilities side of the accounting equation:  $\text{Assets} = \text{Liabilities} + \text{Capital}$ . Capital is what the business owes the owner.

## 4. REAL-LIFE EXAMPLE

On 1 April Meera brings in cash ₹2,00,000. The shop records Dr Cash, Cr Capital — not 'Meera got richer'. On 20 April she takes ₹5,000 from the till for household rice and milk. The shop records Dr Drawings ₹5,000, Cr Cash ₹5,000. If she had recorded it as Wages or Purchases, April's profit would have been understated by ₹5,000 and her capital would have looked too high.

## WATCH OUT

**What would go wrong if we ignored it.** Personal spending would sit inside expenses, profit would be understated, capital would be wrong, and a bank looking at the Balance Sheet would think the shop is weaker (or stronger) than it is. In a company this mixing is also illegal: a company's money is not the director's pocket money.

## 12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)

The business entity (or separate entity) concept states that the business and its owner are distinct. All recording is done from the viewpoint of the business.

- The owner is treated as a *creditor* of the business to the extent of capital introduced.
- Cash or goods brought in by the owner → Credit Capital. Cash or goods taken out for personal use → Debit Drawings. Drawings is not an expense.
- Personal house, personal car, personal loan, school fees of children — none of these appear in the shop's books.
- Illustration (Meera Traders): capital introduced ₹2,00,000 is a liability of the shop to Meera; drawings ₹5,000 reduce that claim, they do not reduce profit as an expense.
- Importance: true profit, true financial position, clean tax computation, and the accounting equation  $\text{Assets} = \text{Liabilities} + \text{Capital}$  only makes sense under this concept.

In short: the owner is a stranger to the books. Treat every transaction by asking 'what happened to the *shop*?'

## 11. MEMORY TRICK

Entity trick: write '**Owner = stranger**' on the top of your rough sheet. If Meera pays her son's school fees from the till, it is Drawings, not a business expense.

## 2. Money measurement concept

### 1. WHAT IS IT? — DEFINITION

Only those transactions and events that can be measured in money (rupees) are recorded in the books. Qualitative facts — skill of the owner, loyalty of staff, a good location, a strike, the owner's health — are ignored by the ledger even when they matter a great deal to the real business.

## 2. IN SIMPLE WORDS

If you cannot put a reliable rupee figure on it, it does not go into Meera's journal. The shop can be in the best market in Pune and Meera can be a brilliant salesperson — the Cash book still will not have a line called 'Good location ₹\_\_\_\_'.

## 3. WHY DO WE NEED IT?

Money is a common measuring rod. Adding '3 shelves + 1 loyal helper + a prime corner shop' is impossible. Adding ₹25,000 furniture + ₹4,000 wages is possible. Comparability and objectivity come from using one unit — the rupee.

## 4. REAL-LIFE EXAMPLE

Meera's helper is honest and customers love the shop. None of that is journalised. The helper's wages of ₹4,000 are journalised, because that is money. A customer order that has not yet been delivered has no rupee entry until the sale happens.

## WATCH OUT

**What would go wrong if we ignored it.** Books would fill up with opinions ('goodwill of the locality ₹10,00,000 — I feel so'). Two accountants would write two different books. Profit would stop meaning anything. The opposite mistake is also ugly: leaving out a credit purchase of ₹40,000 because 'we have not paid yet' — that *is* measurable in money, so it *must* be recorded.

## 12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)

The money measurement concept states that only events measurable in monetary terms are recorded in the books of account.

- The rupee is the measuring unit. Non-monetary facts are omitted even if they are important.
- Examples recorded: cash, bank, furniture at cost, purchases, sales, outstanding electricity ₹2,000.
- Examples not recorded: Meera's skill, staff loyalty, a pending order, a rise in the market value of furniture, a strike next door.
- Limitation (write this — examiners love it): the Balance Sheet does not show the full 'worth' of the business because human resources and other qualitative strengths are missing.
- Illustration: furniture is in the books at ₹25,000 (the bill), not at 'what a buyer might pay today'.

So: if it has a rupee tag and it affects the business, record it. If it only has a feeling, leave it out.

## 11. MEMORY TRICK

Money measurement: '**No rupee, no record.**' Skill, strikes, smiles and 'prime location' stay outside the journal.

## 3. Going concern concept

### 1. WHAT IS IT? — DEFINITION

The business is assumed to continue for the foreseeable future. There is no intention, and no necessity, to liquidate or to cut the scale of operations in a material way. Because of this we record fixed assets at historical cost and charge depreciation over their useful life, we classify liabilities as current and non-current, and we treat prepaid expenses as assets — none of which would make sense if the shop were closing tomorrow.

### 2. IN SIMPLE WORDS

We assume Meera's shop will still be open next year, and the year after. A chair bought for ₹2,000 is not written off the day it is purchased just because it would fetch only ₹200 in a fire sale. We keep it on the books as furniture and (in a later chapter) spread its cost over the years it will be used.

### 3. WHY DO WE NEED IT?

If we assumed the opposite — that the business will die this month — every asset would have to be shown at forced-sale value, every long-term loan would become immediately payable, and the idea of 'this year's profit' would collapse. Going concern is what lets us cut the life of the business into accounting periods and still make sense.

### 4. REAL-LIFE EXAMPLE

Meera buys furniture on 3 April for ₹25,000. Under going concern we show Furniture ₹25,000 as an asset at 30 April. We do *not* write it down to scrap value. We also prepaid nothing and we skip depreciation in this chapter — but the reason we *would* depreciate next chapter, rather than expense the whole ₹25,000 in April, is going concern: the shelves will serve many periods.

### WATCH OUT

**What would go wrong if we ignored it.** Assets would be forced onto scrap values; a healthy shop would look like a closing-down sale; prepaid rent would not be an asset; depreciation over 10 years would be meaningless; and comparison with last year would be impossible. Lenders use going concern when they give a 5-year loan. If the assumption fails (the shop is actually shutting), accounts must be recast on a break-up basis and the auditor must flag it.

### 12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)

The going concern concept assumes that the enterprise will continue to operate in the foreseeable future and will not be liquidated in the near term.

- Fixed assets are recorded at cost and depreciated over useful life, not shown at scrap value.
- Liabilities are split into current and non-current; prepaid expenses are assets; deferred revenue is a liability.
- The concept justifies the accounting period: we can report year-by-year because the story continues.
- Illustration: Meera's furniture ₹25,000 stays an asset at 30 April. If she had decided to shut the shop on 30 April, we would have valued furniture at what it can fetch in a quick sale.
- If going concern is in doubt, the financial statements must say so, and a break-up basis may be used.

Memory line: the business is not dying tomorrow, so we do not value it like a garage sale.

## 4. Cost concept (historical cost)

### 1. WHAT IS IT? — DEFINITION

Assets are recorded at the price paid to acquire them (historical cost), including all costs necessary to bring the asset to its intended use. Subsequent rises or falls in market value are ignored in the books (except where a specific standard requires revaluation or a fall below cost for inventories). The cost is objective — it is on the bill.

### 2. IN SIMPLE WORDS

Whatever Meera paid, that is the number. Furniture cost her ₹25,000; even if a similar set now sells for ₹30,000, the ledger still says ₹25,000. We do not revalue every weekend.

### 3. WHY DO WE NEED IT?

Historical cost is verifiable (the invoice exists). Market value is an opinion and changes every day. Using cost keeps books free of imaginary profits. It also pairs with going concern: we did not buy the shelves to resell them tomorrow, we bought them to use, so today's resale price is not the point.

#### 4. REAL-LIFE EXAMPLE

3 April: furniture purchased for cash ₹25,000. The cash memo is the voucher. Cost = ₹25,000. If a neighbour offers ₹28,000 for the same shelves on 30 April, Meera does *not* pass a journal 'Dr Furniture ₹3,000, Cr Profit'. That ₹3,000 is an unrealised gain. Conservatism also forbids it.

#### WATCH OUT

**What would go wrong if we ignored it.** Assets would swing with rumours of market price; profit would include gains that have not been converted into cash; two shops with identical furniture would show different figures because their owners 'feel' different values. Tax and audit would become a fight. The limitation to mention in exams: in inflation, historical cost understates the real value of old land and buildings — that is accepted, and disclosed if revaluation is done.

#### 12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)

The cost concept states that an asset is recorded at the price paid to acquire it (historical cost), not at its current market value.

- Cost includes purchase price plus freight, installation and other costs to bring the asset to use.
- Unrealised market gains are not recorded. A fall in the value of inventory below cost is recognised (prudence), which is why 'cost or NRV, lower' exists — taught with final accounts / inventory.
- Illustration: furniture at ₹25,000 on 3 April remains ₹25,000 on 30 April in Chapter 1 (no depreciation yet, no revaluation).
- Advantage: objectivity and evidence. Limitation: ignores inflation and current worth.
- Equation link: the debit to Furniture equals the credit to Cash because both are at the same historical amount.

#### 11. MEMORY TRICK

Cost concept: '**Record the bill, not the dream price.**' The cash memo is the king, the property dealer is not.

## 5. Dual aspect concept (double entry)

#### 1. WHAT IS IT? — DEFINITION

Every transaction has two aspects — a debit and a credit — of equal amount. This is the foundation of double-entry bookkeeping and of the accounting equation **Assets = Liabilities + Capital**. After every transaction the equation still holds, because we have touched two (or more) elements by the same rupees.

#### 2. IN SIMPLE WORDS

There are always two sides. If the shop's cash goes up, something else also changed: either the owner put money in (Capital up), or a customer paid (a debtor down), or we made a sale (income up). You never record only one side. That is why the trial balance can add up.

#### 3. WHY DO WE NEED IT?

If we recorded only 'cash came in', we would not know *why*, and we would have no check. Dual aspect gives us (a) a complete story of each event and (b) an arithmetic check: total debits = total credits. The whole of Chapters 1's journal, ledger and trial balance is this one idea, repeated fifteen times.

#### 4. REAL-LIFE EXAMPLE

1 April: Assets (Cash) ↑ ₹2,00,000 and Capital ↑ ₹2,00,000. Equation holds. 2 April: Cash ↓ ₹1,50,000 and Bank ↑ ₹1,50,000 — one asset swapped for another. 5 April: Purchases (expense) ↑ ₹40,000 and Liability (Kabir) ↑ ₹40,000. 20 April: Cash ↓ ₹5,000 and Drawings ↑ ₹5,000 (capital claim down). 22 April: Expense (Electricity) ↑ ₹2,000 and Liability (Outstanding) ↑ ₹2,000 — no cash, still two sides.

#### WATCH OUT

**What would go wrong if we ignored it.** Single-entry, incomplete records, a trial balance that cannot be drawn, profit that cannot be checked, fraud that is harder to spot. If a student posts only the debit of a cash sale, the trial balance will not agree — that is dual aspect catching the error.

#### 12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)

The dual aspect concept states that every transaction has two equal and opposite effects, and is recorded by debiting one account and crediting another with the same amount.

- Accounting equation: Assets = Liabilities + Capital. Incomes increase capital; expenses and drawings decrease it. A useful working form used at trial-balance stage is: Assets + Expenses + Drawings = Liabilities + Capital + Incomes.
- Illustration of Meera on 1 April: Cash (asset) ₹2,00,000 = Capital ₹2,00,000.
- After depositing ₹1,50,000 in the bank: Cash ₹50,000 + Bank ₹1,50,000 = Capital ₹2,00,000. Still equal.
- This concept is why the journal has two columns and why a trial balance is possible.
- A compound entry (two debits, one credit, or the reverse) still obeys dual aspect: *total debit = total credit*.

#### FORMULA

##### Assets = Liabilities + Capital

At trial-balance stage (before closing stock and profit calculation): Assets + Expenses + Drawings = Liabilities + Capital + Incomes. Both sides of Meera's trial balance equal ₹2,80,000 — that is dual aspect made visible.

#### 11. MEMORY TRICK

Dual aspect: **'Two sides to every story, and the rupees on both sides are equal.'** If you can name only one account, you have not finished thinking.

## 6. Accrual concept

#### 1. WHAT IS IT? — DEFINITION

Revenues are recognised when they are *earned* and expenses when they are *incurred*, whether or not cash has been received or paid. This is the opposite of the cash basis, which records only cash movements. Indian GAAP / Companies Act accounts of companies are on accrual basis.

#### 2. IN SIMPLE WORDS

Did the work happen this month? Then it belongs to this month — even if the money moves next month. Sana took goods on 8 April; that is April's sale, even though she pays later. Electricity was used in April; that is April's expense, even though Meera will pay the bill in May.

#### 3. WHY DO WE NEED IT?

Cash basis can be manipulated by delaying a payment or chasing a receipt. Accrual shows the true performance of the period. It is also why we have outstanding expenses, prepaid expenses, accrued income and income received in advance — four adjustments you will meet in final accounts, one of which (outstanding electricity) we already meet in this chapter.



#### 4. REAL-LIFE EXAMPLE

22 April: electricity used in April ₹2,000, unpaid. Journal: Dr Electricity ₹2,000, Cr Outstanding Electricity ₹2,000. If Meera ignored accrual and waited for the payment, April's profit would be overstated by ₹2,000 and May (when she pays) would be punished for April's light. 8 April credit sale to Sana ₹22,000 is also accrual: income is earned when goods are sold, not when cash arrives.

#### WATCH OUT

**What would go wrong if we ignored it.** Profit would jump around with the bank balance instead of with the work done. A shop that sold a lot on credit would look like a failure until the money came in. Unpaid bills would hide in a drawer and explode later. Comparison across months would die.

#### 12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)

The accrual concept states that incomes are recorded when earned and expenses when incurred, irrespective of the timing of cash.

- Credit sales are income of the period of sale. Credit purchases are expenses/costs of the period of purchase.
- Outstanding expense: debit the expense, credit a liability (Meera: electricity ₹2,000).
- Prepaid expense, accrued income, income received in advance follow the same idea (later chapter).
- Accrual is the reason the cash book is not the same thing as the Profit and Loss Account. Profit  $\neq$  cash.
- Companies in India must use accrual; a tiny shopkeeper using a cash diary is using a different (incomplete) basis.

#### KEY POINT

Outstanding electricity is the one accrual adjustment we *do* make in Chapter 1, because it is just another journal: expense  $\uparrow$  and liability  $\uparrow$ . Prepaid, depreciation and closing stock are saved for later chapters. Do not invent them in Meera's books.

#### 11. MEMORY TRICK

Accrual: '**Earned, not received. Incurred, not paid.**' Ask 'whose month is this income/expense?' not 'when did the cash move?'

## 7. Matching concept

#### 1. WHAT IS IT? — DEFINITION

The expenses of an accounting period are matched against the revenues of the *same* period to find the profit of that period. Revenues are recognised on accrual; then every cost that was incurred to earn those revenues is brought into the same Profit and Loss Account.

#### 2. IN SIMPLE WORDS

Put April's costs next to April's sales — not next to March, not next to May. Rent of April, wages of April, electricity of April, and the cost of goods that were sold in April, all sit against April's sales and commission. That is how you get April's profit (once closing stock is also matched, in a later chapter).

#### 3. WHY DO WE NEED IT?

Without matching, you could take this year's sales and last year's rent and call the difference 'profit'. That number would not mean anything. Matching is why we adjust outstanding and prepaid items, why we carry closing stock to the next period, and why we depreciate assets over the years they help to earn revenue.

#### 4. REAL-LIFE EXAMPLE

Meera's April revenues (to be matched): Sales ₹40,000 + Commission ₹3,000. April costs already in the books: Purchases ₹70,000, Rent ₹8,000, Wages ₹4,000, Electricity ₹2,000. Purchases of ₹70,000 include goods still sitting on the shelf — those leftover goods are closing stock and will be matched to *next* period's sales. We do not make that stock entry in Chapter 1, so we also do not yet compute a Profit and Loss figure. Matching is why we wait.

#### WATCH OUT

**What would go wrong if we ignored it.** Profit would mix periods: pay two years' rent this year and this year looks like a disaster; skip the electricity bill and this year looks like a festival. Investors and examiners would be reading a mashed-up story.

#### 12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)

The matching concept requires that expenses incurred to earn the revenue of a period be recognised in the same period as that revenue.

- It works together with accrual and with the accounting period.
- Practical tools of matching: outstanding / prepaid expenses, accrued / unearned income, depreciation, closing stock, cost of goods sold.
- Illustration: April electricity ₹2,000 is matched with April sales even though unpaid. Drawings ₹5,000 are *not* matched against sales — drawings are not an expense.
- Chapter 1 limit: we do not adjust closing stock, so we cannot yet state Meera's gross profit. That is honest matching — do not force a fake profit number.
- Exam line: 'Matching is the bridge from the trial balance to the Profit and Loss Account.'

#### 11. MEMORY TRICK

Matching: '**Pair the cost with the sale it helped to earn.**' Same period, same P&L. Drawings do not pair with sales — they are not a cost of earning.

## 8. Conservatism / prudence convention

#### 1. WHAT IS IT? — DEFINITION

Anticipate no profit, but provide for all possible losses. Unrealised gains are ignored; known and expected losses are recognised. This is a convention (a tradition of caution) that colours judgement when two treatments are possible. It is why inventory is valued at cost or net realisable value, whichever is lower, and why a provision for doubtful debts is made.

#### 2. IN SIMPLE WORDS

If you are not sure, be pessimistic in the books — not in life. Do not book a profit you have not locked in. Do provide for a loss that is knocking. The idea is to avoid showing a rosier picture than reality, so that nobody takes dividends (or decisions) out of paper profits.

#### 3. WHY DO WE NEED IT?

Users of accounts prefer a slightly understated profit to a profit that later evaporates. Prudence protects creditors and the owner from over-optimism. It is a brake, not a licence to hide profits: over-conservatism (secret reserves) is also wrong and is attacked by full disclosure and by accounting standards.

#### 4. REAL-LIFE EXAMPLE

A customer offers Meera ₹28,000 for furniture that cost ₹25,000. She does not record the ₹3,000 'gain' until she actually sells it. On the other side: if Sana looked likely to default, Meera would provide for a doubtful debt (later chapter) — she would not wait for the default to become certain. Stock, when we meet it, is never shown above cost.

#### WATCH OUT

**What would go wrong if we ignored it.** Unrealised gains would inflate capital; the owner might withdraw cash that is not really profit; a later year would take a shock. The opposite abuse — creating huge secret reserves by understating assets — would hide the true position from lenders and tax. Prudence is caution, not window-dressing in the other direction.

#### 12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)

The convention of conservatism (prudence) states that the accountant should not anticipate profits but should provide for all foreseeable losses.

- Do not record unrealised gains (e.g. a rise in the market value of furniture).
- Do record expected losses (provision for doubtful debts, fall in stock value below cost).
- Stock valuation rule that follows: cost or NRV, whichever is lower.
- Illustration: Meera's furniture stays at ₹25,000; credit sales to Sana ₹22,000 are recorded (they are realised by the sale contract) but a mere enquiry from a customer is not a sale.
- Warning: excessive conservatism creates secret reserves and violates true and fair view. Standards now speak of 'prudence' as caution, not as a bias that overrides other concepts.

#### 11. MEMORY TRICK

Prudence: **'Hope for the best, provide for the worst — in the books.'** No profit until it is earned. Every probable loss gets a line.

## 9. Consistency convention

#### 1. WHAT IS IT? — DEFINITION

Once an accounting method or policy is chosen, it is followed from one period to the next. A change is made only for a stronger reason (a better true-and-fair view, or a new standard), and the change and its rupee effect are disclosed. Consistency makes this year's figures comparable with last year's.

#### 2. IN SIMPLE WORDS

Do not change the measuring scale every year. If Meera (in a later chapter) chooses Straight Line Method for depreciating furniture, she keeps SLM next year. She does not hop to Written Down Value in a year when she wants a lower profit, and hop back when she wants a higher one.

#### 3. WHY DO WE NEED IT?

Users compare April with May, this year with last year, Meera with another stationer. If the method keeps changing, they are comparing apples with oranges. Consistency does *not* mean 'never change'. It means 'do not change quietly, and do not change to dress up profit'.

#### 4. REAL-LIFE EXAMPLE

Suppose next year Meera wanted to switch the stock-flow method. She may, if FIFO or weighted average is genuinely better for her, but she must say so in the notes and show the effect. In Chapter 1 the live illustration is smaller: we use the same account titles, the same dual-aspect rules and the same (historical) cost for furniture all through April. We do not revalue furniture on 15 April and cost it again on 28 April.

#### WATCH OUT

**What would go wrong if we ignored it.** Profit can be manufactured by switching methods (SLM ↔ WDV, FIFO ↔ weighted average, changing the provision rate). Trends become fiction. Auditors and examiners treat an undisclosed change of method as a red flag — and as an error of principle.

#### 12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)

The convention of consistency requires that the same accounting methods and policies be followed from one period to another so that results are comparable.

- It applies to depreciation method, stock valuation, provision rates, classification of items.
- Change is allowed if it improves true and fair view, or if a law / standard requires it — with disclosure of the nature of change and the rupee effect.
- Consistency is not a bar on correcting an error, and it is not a bar on a better policy.
- Illustration: furniture stays at historical cost throughout April; we do not mix 'cost today, market value tomorrow'.
- Exam pair: consistency (same method over time) × uniformity (same method across firms — which is *not* required). Do not confuse them.

#### 11. MEMORY TRICK

Consistency: '**Don't change the scale.**' Same method, year after year, unless you have a good reason and you disclose it.

### 10. Materiality convention

#### 1. WHAT IS IT? — DEFINITION

An item is material if it can influence the decision of a user of the accounts. Material items must be recorded and shown properly. Immaterial items may be treated in a convenient way — for example, a stapler costing ₹80 can be debited to office expenses instead of being capitalised as an asset and depreciated over four years. Materiality is relative: ₹5,000 drawings are material for Meera; they would be rounding error for a steel plant.

#### 2. IN SIMPLE WORDS

Don't sweat the stapler; don't hide the building. If a rupee amount is too small to change anyone's mind, we are allowed to be practical. If it is big enough to change a decision (a loan, a tax computation, a pass mark in an exam question), we treat it strictly by the concepts.

#### 3. WHY DO WE NEED IT?

Strict application of every concept to every pencil would make books expensive and unreadable. Materiality is the convention that lets accountants be efficient without being misleading. It is also the convention examiners use when they ask 'would you capitalise this?' — the answer depends on size relative to the business.

#### 4. REAL-LIFE EXAMPLE

Meera buys furniture ₹25,000 — clearly an asset (material). She also buys a box of drawing pins for the notice board, ₹60. In practice that ₹60 is Stationery expense (or Purchases), not 'Drawing-pin asset'. Outstanding electricity ₹2,000 is material for her tiny shop, so we do not skip it. In a company with ₹500 crore turnover the same ₹2,000 might be ignored — materiality is relative.

#### WATCH OUT

**What would go wrong if we ignored it.** If ignored on the 'too strict' side: every pen becomes a fixed asset, the Balance Sheet is cluttered, and time is wasted. If ignored on the 'too loose' side: a large outstanding expense or a large related-party payment is brushed under 'sundries', and users are misled. Window-dressing often pretends an item is immaterial when it is not.

#### 12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)

The convention of materiality states that only items that can influence the economic decisions of users need to be strictly applied and separately disclosed; trivial items may be treated conveniently.

- Materiality is relative to the size and nature of the business and to the nature of the item (a small bribe is still material by nature).
- Practical effect: small tools expensed; large plant capitalised. Small rounding vs a large outstanding liability.
- Illustration: Meera's ₹2,000 outstanding electricity is material for her and is recorded. A ₹20 packet of rubber bands is expensed, not capitalised.
- Materiality cannot be used as an excuse to hide errors of principle or to offset assets against liabilities.
- In an exam, if the amount is given and the business is small, treat it strictly — the examiner put that number there for a reason.

#### 11. MEMORY TRICK

Materiality: **'Don't sweat the stapler; never hide the building.'** Relative to the size of the shop, and never an excuse for a wrong principle.

## 11. Full disclosure convention

#### 1. WHAT IS IT? — DEFINITION

All material information that is necessary for a true and fair view — including accounting policies, contingent liabilities, outstanding and prepaid items, change of method, related-party dealings — must be disclosed in the financial statements or in the notes. Nothing important is kept in the accountant's head.

#### 2. IN SIMPLE WORDS

Tell the whole truth that a reader needs. The face of the Balance Sheet cannot hold every story, so we add notes. If Meera had given a guarantee for a friend's loan, or if a case was pending, that would be disclosed even when no journal is passed (contingent liability). Disclosure does not always mean 'pass an entry'; it means 'do not hide it'.

#### 3. WHY DO WE NEED IT?

Users who cannot see the methods and the risks will misread the profit. Law (Companies Act, Schedule III, accounting standards) has turned this convention into a detailed checklist for companies. For Meera's proprietorship the spirit is the same: the trial balance and, later, the statements plus notes should not mislead a lender.

#### 4. REAL-LIFE EXAMPLE

In this chapter we disclose, in words, that closing stock is not adjusted and that depreciation is not charged. That is already disclosure — a reader of Meera's trial balance must not think ₹70,000 purchases means ₹70,000 of goods have been sold. When outstanding electricity is recorded, it appears as a separate liability, not netted inside Capital. That is disclosure by classification.

#### WATCH OUT

**What would go wrong if we ignored it.** Window-dressing, secret reserves, netting a loan against a bank balance, hiding a change from SLM to WDV, not mentioning a court case — all of these survive if disclosure is ignored. The statements may still 'tally' and still be a lie.

## 12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)

The convention of full disclosure requires that all material facts and accounting policies necessary for a true and fair view be disclosed in the financial statements and notes.

- Disclosure is of material items, methods, changes, contingent liabilities, commitments and events after the balance sheet date (as applicable).
- It complements prudence (do not hide losses) and consistency (if you change, say so).
- Companies: Schedule III and accounting standards list what must be shown. Proprietorships follow the same spirit.
- Illustration: Meera's outstanding electricity is shown as a liability of ₹2,000, not silently mixed with creditors. Drawings are a separate debit balance, not a quiet reduction of Purchases.
- Tallying of the trial balance is not disclosure. A trial balance can agree and still conceal a wrong treatment — see Section F.

## 11. MEMORY TRICK

Full disclosure: **'Tell the whole truth that a user needs.'** If it would change a lender's mind, it does not stay in your drawer.

## 12. Periodicity / accounting period concept

### 1. WHAT IS IT? — DEFINITION

The unlimited life of a going concern is cut into equal slices called accounting periods (usually a year; also a quarter or a month) so that profit, tax and performance can be reported at regular intervals. In India the financial year commonly runs 1 April to 31 March. Meera started on 1 April 2025; her first statutory year would end 31 March 2026. In this chapter we use the month of April 2025 as a mini-period so the full cycle can be seen.

### 2. IN SIMPLE WORDS

A movie is cut into episodes so you can follow the plot. The shop may live for thirty years; we still need to know how April went. Periodicity is the decision to stop, count, and report — even though the story continues on 1 May.

### 3. WHY DO WE NEED IT?

Owners, banks and the tax department cannot wait until the shop closes forever to know the profit. Periodicity gives us a deadline: 30 April (in our mini-period) we balance the ledgers and draw a trial balance. Matching and accrual exist *because* we cut time into periods; otherwise we could wait for every cash movement.

### 4. REAL-LIFE EXAMPLE

We close Meera's books for April on 30 April 2025 (April has 30 days, not 31). Outstanding electricity is brought in so that April, not May, carries April's power cost. On 1 May, asset, liability and capital balances are brought down (Balance b/d) and the next episode starts. Income and expense accounts of April will, in a later chapter, be closed to Profit and Loss; in Chapter 1 they simply show their balances on the trial balance.

### WATCH OUT

**What would go wrong if we ignored it.** You would know the profit only at the funeral of the business — useless for tax, for a bank loan, for deciding whether to restock. Outstanding and prepaid adjustments would have no meaning because there would be no 'this period' versus 'next period'.

## 12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)

The periodicity (accounting period) concept states that the life of the business is divided into regular intervals for which financial statements are prepared.

- Usual period: one year (1 April to 31 March in India). Interim reporting: quarter / half-year / month.
- It works with going concern (the life continues) and with matching / accrual (cut the right incomes and expenses into this slice).
- At the end of each period we balance ledgers, draw a trial balance, and (later chapters) prepare Trading, Profit and Loss and Balance Sheet.
- Illustration: Meera's Chapter 1 period is 1 April 2025 to 30 April 2025. Outstanding electricity is an end-of-period accrual. Cash of ₹27,000 is a balance that goes into the next period.
- Do not write '31 April' — April has 30 days. Examiners notice.

#### 11. MEMORY TRICK

Periodicity: '**Cut the movie into episodes.**' Indian default episode = 1 April to 31 March. This chapter's episode = April 2025.

### 13. Revenue recognition (realisation) — brief

#### 1. WHAT IS IT? — DEFINITION

Revenue is recognised when it is earned — that is, when goods have been sold or services rendered and a legally enforceable claim arises — not necessarily when cash is received. For a credit sale, the sale is recorded on the date of the invoice, not on the date the customer pays. For cash sales, earning and cash happen together. A mere order, or goods sent on sale-or-return that are not yet accepted, is not revenue.

#### 2. IN SIMPLE WORDS

Meera earns a sale when the notebook leaves the shop and Sana accepts it, not when Sana's cash arrives a week later. Commission is earned when the display service is done (and here it is received in cash the same day). An enquiry, a quotation, a wish-list — none of these is a sale.

#### 3. WHY DO WE NEED IT?

If we recognised revenue at cash receipt, credit-selling businesses would show zero sales in a month of heavy credit and a mountain of sales in the month of collection. If we recognised it at the time of an order, we would book income before we have done the work. Realisation pins income to the earning event.

#### 4. REAL-LIFE EXAMPLE

8 April: goods sold to Sana ₹22,000 — Sales is credited now, Sana is debited now. 15 April: cash from Sana ₹10,000 is *not* a second sale; it is a conversion of debtor into cash. 6 April cash sales ₹18,000 are both a sale and a cash receipt in one event. A school that asked Meera for a quotation of ₹50,000 has generated no journal at all.

#### WATCH OUT

**What would go wrong if we ignored it.** Booking orders as sales overstates income and debtors. Booking credit sales only when cash comes in understates income and hides debtors. Both destroy matching. A student who credits Sales again when Sana pays is committing a classic error — double counting revenue.

#### 12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)

The revenue recognition (realisation) concept states that revenue is recorded when it is earned — when goods are sold or services are rendered — and not necessarily when cash is received.

- Credit sale: debit the customer, credit Sales, on the invoice date.
- Later collection: debit Cash/Bank, credit the customer. Do *not* credit Sales again.
- Not revenue: orders, quotations, goods on sale-or-return not yet accepted, unrealised rise in asset values.
- Illustration: Sana ₹22,000 is April revenue; the ₹10,000 received on 15 April is a balance-sheet swap (debtor ↓ cash ↑).

- It works with accrual and with prudence (do not realise a gain that is not yet earned).

#### 11. MEMORY TRICK

Revenue: '**Sale is on the invoice, not on the cash.**' When the customer later pays, you credit the customer, never Sales a second time.

### How the concepts sit on Meera's fifteen transactions

Every journal you will write is a concept in action

| Date        | What happened                    | Concept that decides the treatment                                                |
|-------------|----------------------------------|-----------------------------------------------------------------------------------|
| 1 Apr       | Cash from owner ₹2,00,000        | Entity (owner ≠ shop) + Dual aspect (Cash and Capital) + Cost / Money measurement |
| 2 Apr       | Cash deposited in bank ₹1,50,000 | Dual aspect (asset swap) + Entity (it is the shop's bank account)                 |
| 3 Apr       | Furniture ₹25,000                | Cost (bill amount) + Going concern (keep it as an asset) + Money measurement      |
| 4–5, 28 Apr | Purchases cash and credit        | Dual aspect; credit purchase also Accrual (recorded though unpaid)                |
| 6 & 8 Apr   | Cash and credit sales            | Revenue recognition (earned now) + Accrual (Sana has not paid)                    |
| 10, 18 Apr  | Rent, wages                      | Matching (April's costs in April) + Entity (shop expenses)                        |
| 12 & 15 Apr | Paid Kabir / received Sana       | Dual aspect only — these are settlements, not new purchases or sales              |
| 20 Apr      | Cash taken home ₹5,000           | Entity (Drawings, not expense) + Dual aspect                                      |
| 22 Apr      | Unpaid electricity ₹2,000        | Accrual + Matching + Periodicity + Dual aspect (expense and liability)            |
| 25 Apr      | Commission ₹3,000                | Revenue recognition + Money measurement                                           |
| 30 Apr      | We stop and add up               | Periodicity. No closing stock, no depreciation (disclosed — Full disclosure)      |

#### 9. HOW TO IDENTIFY THE QUESTION

If the question says '*explain any four accounting concepts*', pick Entity, Dual aspect, Accrual, Going concern (the four that unlock the most marks) and for each write: definition, one Meera-style example, one line on 'what if ignored'. If it says '*conventions*', you must use Conservatism, Consistency, Materiality, Full disclosure — not Entity. If it says '*why is capital a liability*', the answer is Entity + Dual aspect. If it says '*why record outstanding electricity*', the answer is Accrual + Matching + Periodicity.

#### 10. COMMON MISTAKES

- Calling conservatism a 'concept' and entity a 'convention' (know the standard split for the exam you are sitting; this chapter uses concepts = assumptions, conventions = CCMD).
- Treating drawings as an expense — that is an entity-concept failure, and it understates profit.
- Crediting Sales again when a debtor pays — that is a revenue-recognition failure, and it double-counts income.
- Skipping outstanding electricity 'because cash did not move' — that is an accrual failure.
- Revaluing furniture to market price 'to show a true picture' — cost + prudence forbid the unrealised gain.
- Writing a profit figure in Chapter 1 after looking at Sales – Purchases, without closing stock — that is a matching failure. Do not do it.
- Dating the trial balance 31 April 2025. April has 30 days.

#### SOLVED EXAMPLE A1 · EASY

##### Which concept? — six one-liners

Name the concept / convention. Answers follow each line in italics.

1. Meera's skill as a salesperson is not in the books. *Money measurement.*



- Furniture stays at ₹25,000 even though a dealer offered ₹28,000. *Cost, plus conservatism (no unrealised gain), plus going concern.*
- Household milk from the till is Drawings. *Business entity.*
- Electricity of April is recorded in April though paid in May. *Accrual (and matching, periodicity).*
- The shop is assumed to be open next year, so furniture is an asset, not scrap. *Going concern.*
- Sana's credit purchase is a sale of 8 April, not of 15 April. *Revenue recognition / realisation, plus accrual.*

#### SOLVED EXAMPLE A2 · MODERATE

##### Apply three concepts to one fact

**Fact.** On 22 April Meera's electricity meter shows April consumption of ₹2,000. The bill will be paid on 7 May.

**Required.** Which concepts force an entry on 22 (or 30) April, what is the entry, and what goes wrong if she waits till 7 May?

**Solution.**

*Periodicity* says April is a separate episode that must be complete. *Accrual* says the expense was incurred in April. *Matching* says April's light must sit against April's sales. Dual aspect then gives the two accounts:

**Entry forced by accrual + matching + periodicity**

| Date        | Particulars                                         | L.F. | Debit (₹) | Credit (₹) |
|-------------|-----------------------------------------------------|------|-----------|------------|
| 22 Apr 2025 | Electricity A/c ..... Dr.                           |      | 2,000     |            |
|             | To Outstanding Electricity A/c                      |      |           | 2,000      |
|             | (Being electricity used in April remaining unpaid.) |      |           |            |

If she waits till 7 May: April profit is overstated by ₹2,000, April's trial balance hides a liability of ₹2,000, and May is charged for April's light. A bank reading April figures would be misled. Entity also reminds us it is the *shop's* electricity, not Meera's house bill — if it had been her house, it would be Drawings, not Electricity.

#### SOLVED EXAMPLE A3 · EXAM-LEVEL

##### 5-mark theory — 'Explain the dual aspect concept. How does it lead to a trial balance?'

###### 12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)

Dual aspect means every transaction has two equal effects. If one account is debited, another is credited with the same rupees. This is the origin of the accounting equation  $\text{Assets} = \text{Liabilities} + \text{Capital}$  (incomes increase capital; expenses and drawings reduce it).

Illustration from Meera Traders, 1 April 2025: cash introduced ₹2,00,000 increases an asset (Cash) and increases Capital. 5 April: credit purchase ₹40,000 increases an expense (Purchases) and increases a liability (Kabir). 22 April: outstanding electricity ₹2,000 increases an expense and increases a liability — cash does not move, but two aspects still exist.

Because every debit has an equal credit, the total of all debit balances in the ledger must equal the total of all credit balances. A trial balance is simply that list. Meera's trial balance as at 30 April 2025 totals ₹2,80,000 on each side. If a student posts only one side of a journal, the trial balance refuses to agree — dual aspect has caught the arithmetic. (It will not catch an error of principle, as Section F shows.)

## B. Identifying business transactions

### 1. WHAT IS IT? — DEFINITION

A **business transaction** is an economic event, measured in money, that changes the financial position of the *business*, that has already happened, and that is supported by evidence (a voucher / source document). Only transactions are journalised. Everything else may be important in life and still be invisible to the ledger.

## 2. IN SIMPLE WORDS

Four gates. A fact must pass *all four* before it becomes a journal line: (1) it has a rupee figure, (2) it is the shop's event not Meera's private life, (3) it has happened (not a plan, not an order sitting in a WhatsApp chat), (4) there is a paper or electronic voucher you can file.

## 3. WHY DO WE NEED IT?

Beginners lose marks by journalising things that are not transactions (hired a helper, received an enquiry, furniture's market value rose) and by skipping things that are (credit purchase, outstanding electricity, drawings). The four gates stop both mistakes. They are money measurement + entity + realisation + the audit trail, used as a checklist.

## The four gates (use this as an exam procedure)

### 7. STEP-BY-STEP — IS THIS A TRANSACTION?

1. **Monetary?** Can I write a rupee amount that is not a guess? If no → not a transaction. (Money measurement.)
2. **Affects the business?** Is it Meera Traders, or Meera's kitchen? Kitchen → ignore, or Drawings if shop money was used. (Entity.)
3. **Has it happened?** Goods received / sold / paid / become payable / become receivable. A quotation, a budget, 'I will buy next week' → no. (Realisation / occurrence.)
4. **Evidence?** Is there a cash memo, invoice, cheque, debit note, payslip, bill, or a signed voucher? Accountants do not write from memory. If a transaction happened, we *create* a voucher if the outsider did not give us one (e.g. a debit voucher for drawings).
5. If all four are yes, name the two accounts and go to the Golden / Modern rules (Section C).

## Transactions versus non-transactions (Meera's April)

### Four gates applied to Meera's world

| Event                                    | ₹?                    | Shop's?           | Happened?             | Voucher?                             | Verdict            | If recorded, which journal?                |
|------------------------------------------|-----------------------|-------------------|-----------------------|--------------------------------------|--------------------|--------------------------------------------|
| Meera brings cash ₹2,00,000              | Yes                   | Yes (capital)     | Yes                   | Pay-in / capital voucher             | <b>Transaction</b> | Dr Cash, Cr Capital                        |
| Opens bank, deposits ₹1,50,000           | Yes                   | Yes               | Yes                   | Pay-in slip                          | <b>Transaction</b> | Dr Bank, Cr Cash                           |
| Buys furniture ₹25,000 cash              | Yes                   | Yes               | Yes                   | Cash memo                            | <b>Transaction</b> | Dr Furniture, Cr Cash                      |
| Buys goods from Kabir on credit ₹40,000  | Yes                   | Yes               | Yes (goods received)  | Invoice / bill                       | <b>Transaction</b> | Dr Purchases, Cr Kabir                     |
| Sells to Sana on credit ₹22,000          | Yes                   | Yes               | Yes (goods delivered) | Invoice                              | <b>Transaction</b> | Dr Sana, Cr Sales                          |
| Electricity used ₹2,000 unpaid           | Yes                   | Yes               | Yes (consumed)        | Bill (even if unpaid)                | <b>Transaction</b> | Dr Electricity, Cr Outstanding Electricity |
| Takes ₹5,000 home from the till          | Yes                   | Affects shop cash | Yes                   | Debit voucher                        | <b>Transaction</b> | Dr Drawings, Cr Cash                       |
| A school asks for a quotation of ₹50,000 | A number, but no deal | Not yet           | No (only an enquiry)  | Quotation is not a voucher of a deal | Not a transaction  | No entry                                   |

| Event                                              | ₹?                   | Shop's?                      | Happened?                           | Voucher?                  | Verdict                       | If recorded, which journal?         |
|----------------------------------------------------|----------------------|------------------------------|-------------------------------------|---------------------------|-------------------------------|-------------------------------------|
| Kabir promises a 5% discount next month            | Not yet earned       | Maybe later                  | No                                  | None                      | Not a transaction             | No entry                            |
| Helper is 'hired' on 1 Apr, first wage on 18 Apr   | Wages yes, hiring no | Yes                          | Hiring is a contract, not a ₹ event | Payslip on 18 Apr         | Hiring: no. Wages ₹4,000: yes | Only the wage payment / accrual     |
| Market value of furniture becomes ₹28,000          | An opinion           | Shop's asset, but not a deal | No sale                             | No bill                   | Not a transaction             | No entry (cost + prudence)          |
| Meera is a skilled seller / shop has a 'good name' | No                   | Qualitative                  | Always true, never a ₹ event        | None                      | Not a transaction             | No entry (money measurement)        |
| Meera pays son's fees ₹3,000 from her own purse    | Yes                  | <b>No — not shop money</b>   | Yes, but personal                   | School receipt (personal) | Not a business transaction    | No entry in shop books              |
| Meera pays son's fees ₹3,000 from the till         | Yes                  | Shop cash fell               | Yes                                 | Debit voucher             | <b>Transaction</b>            | Dr Drawings, Cr Cash                |
| Goods ordered from Kabir, not yet received         | Price known          | Intended                     | No receipt yet                      | Purchase order ≠ invoice  | Not yet                       | Entry on receipt of goods / invoice |
| Customer returns nothing — only praises the shop   | No                   | Qualitative                  | No ₹ event                          | None                      | Not a transaction             | No entry                            |

A purchase order is not a purchase. A quotation is not a sale. A feeling is not a voucher.

## 5. ACCOUNTING LOGIC

Notice the pattern. Credit events (Kabir, Sana, outstanding electricity) pass the gates even though cash is still. Cash is not one of the four gates. Beginners secretly add a fifth gate — 'did money move?' — and then skip half the journals. Delete that fifth gate.

## Source documents — the evidence behind every journal

### 2. IN SIMPLE WORDS

A **source document** is the original paper (or electronic record) that proves the transaction. A **voucher** is the accounting file copy prepared from that document, numbered and authorised, on the strength of which the journal is written. In a small shop the cash memo itself is often used as the voucher. In an exam, 'no voucher, no entry' is the safe line.

### Source documents you must be able to name in one line

| Document              | What it is (one line)                                                                                                           | Typical Meera use                                              | Accounts it usually supports            |
|-----------------------|---------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------|-----------------------------------------|
| <b>Cash memo</b>      | Bill issued / received when goods are sold or bought <i>for cash</i> .                                                          | 6 Apr cash sales; 4 Apr cash purchases; 3 Apr furniture.       | Cash with Sales / Purchases / Asset     |
| <b>Invoice (bill)</b> | Bill issued / received when goods are sold or bought <i>on credit</i> .                                                         | 5 Apr and 28 Apr from Kabir; 8 Apr to Sana.                    | Purchases + Creditor, or Debtor + Sales |
| <b>Debit note</b>     | Note sent to a supplier when we return goods or claim an allowance — it is our advice that we have <i>debited</i> the supplier. | If Meera returned damaged pens to Kabir (not in April's list). | Debit Kabir, Credit Purchases / Returns |
| <b>Credit note</b>    | Note sent to a customer when the customer returns goods — it is our advice that we have <i>credited</i> the customer.           | If Sana returned notebooks (not in April's list).              | Debit Sales / Returns, Credit Sana      |

| Document                                         | What it is (one line)                                                                                            | Typical Meera use                                               | Accounts it usually supports           |
|--------------------------------------------------|------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------|----------------------------------------|
| <b>Cheque / pay-in slip / bank advice</b>        | Instrument and bank paper for money in or out of the bank account; counterfoil or statement is the voucher.      | 2 Apr deposit; 10 Apr rent; 12 Apr payment to Kabir.            | Bank with Cash / Rent / Kabir          |
| <b>Payslip / wage sheet</b>                      | Evidence of wages or salary earned and paid (or outstanding).                                                    | 18 Apr wages ₹4,000.                                            | Wages with Cash / Outstanding wages    |
| <b>Receipt</b>                                   | Acknowledgement that we have received money (issued to Sana) or that someone has received money from us.         | 15 Apr cash from Sana; 25 Apr commission.                       | Cash with Sana / Commission            |
| <b>Debit voucher / credit voucher (internal)</b> | In-house paper when no outside bill exists — drawings, contra (cash deposited in bank), outstanding adjustments. | 1 Apr capital; 20 Apr drawings; 22 Apr outstanding electricity. | Capital, Drawings, Outstanding expense |

#### KEY POINT

Debit note vs credit note, in one breath: **we send a debit note when we debit someone (usually a supplier, for returns). We send a credit note when we credit someone (usually a customer, for returns).** The name is from *our* books, not from theirs.

#### 4. REAL-LIFE EXAMPLE

On 5 April a carton of notebooks arrives with Kabir's invoice no. 214, ₹40,000, credit 30 days. That invoice is the source document. Meera (or her accountant) stamps it, numbers it as Purchase Voucher PV-003, and only then writes Dr Purchases, Cr Kabir. If the carton had arrived without an invoice, she would still record the purchase (goods happened) but she would chase the invoice — occurrence is the gate; the voucher is the evidence we must file.

#### 12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)

A business transaction is a monetary event that changes the financial position of the business, has already occurred, and is supported by a voucher.

- Tests: (i) measurable in rupees, (ii) affects the business entity, (iii) has happened, (iv) evidenced.
- Credit purchases, credit sales, outstanding expenses and drawings all qualify even when cash does not move.
- Non-transactions: quotations, orders not yet fulfilled, market-value changes, skill of the owner, personal events from the owner's own purse.
- Source documents: cash memo (cash deals), invoice (credit deals), debit note (we debit a person), credit note (we credit a person), cheque / bank paper, payslip, receipt, internal voucher.
- Illustration: Meera's unpaid electricity ₹2,000 is a transaction (accrued, evidenced by the bill). A school's request for a ₹50,000 quotation is not.

In an exam, if you are unsure, run the four gates in the rough sheet before you write a journal.

#### SOLVED EXAMPLE B1 · EASY

##### Circle the transactions

Which of the following will enter Meera's journal? State the gate that fails for the others.

- Bought goods for cash ₹8,000. *Yes — all four gates.*
- Received an order from a college for ₹15,000 goods, delivery next month. *No — has not happened (no delivery, no invoice).*
- Owner's private scooter sold for ₹20,000, money kept in her private purse. *No — does not affect the shop (entity).*
- Paid wages ₹2,000 cash. *Yes.*
- A competitor opened a bigger shop next door. *No — not monetary, no voucher, not our event in rupees.*

**4 marks — 'What is a voucher? Distinguish cash memo, invoice, debit note and credit note.'****12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)**

A voucher is the documentary evidence, numbered and authorised, on the basis of which a journal entry is passed. It is prepared from a source document (or is itself the source document).

A **cash memo** supports a cash sale or cash purchase. An **invoice** supports a credit sale or credit purchase. A **debit note** is sent to a person when we debit that person (typically a supplier, for goods returned or a claim). A **credit note** is sent to a person when we credit that person (typically a customer, for goods returned). The name follows the effect in *our* books.

Illustration: Kabir's invoice of 5 April is the voucher for Dr Purchases ₹40,000, Cr Kabir. If 10 notebooks are later returned to him, Meera issues a debit note and passes Dr Kabir, Cr Purchases / Purchase returns.

**9. HOW TO IDENTIFY THE QUESTION**

If the question lists mixed events and says '*pass journal entries*', first strike out the non-transactions (orders, quotations, personal events from a private purse, market-value changes, hiring without a wage). Then journalise the rest. Marks are lost on the extra entries as much as on the missing ones. If it says '*name the source document*', give the one-line name from the table above — do not write an essay on printing presses.

**C. Accounting rules — Golden rules and Modern (equation) rules****1. WHAT IS IT? — DEFINITION**

Accounting rules decide, for each account touched by a transaction, whether it is **debited** or **credited**. Two equally correct systems are taught in India: the traditional **Golden rules** (based on Personal, Real and Nominal accounts) and the **Modern rules** (based on the accounting equation: assets, liabilities, capital, expenses, incomes). Use either in an exam; never mix the vocabulary inside one working.

**2. IN SIMPLE WORDS**

You already know that every transaction has two sides (dual aspect). The rules answer the next question: *which* side is the debit? Golden rules ask 'what kind of account is this — a person, a thing, or an income/expense?' Modern rules ask 'which piece of the equation moved, and did it go up or down?' Both give the same journal.

**3. WHY DO WE NEED IT?**

Without a rule you would guess. Guessing is how Cash is credited when it comes in, and how a student debits Sales. The rules are short, and they cover every transaction Meera will ever have — including outstanding electricity and drawings.

**Step 0 — classify the account, then apply a rule**

Both systems start with a classification. Get the classification wrong and the rule will be applied to the wrong object. This is the most common 1-mark leak in a 10-mark journal question.

**Three Golden families, mapped to the Modern equation**

| Family (Golden) | What lives here | Modern name | Normal balance | Meera examples |
|-----------------|-----------------|-------------|----------------|----------------|
|-----------------|-----------------|-------------|----------------|----------------|

| Family (Golden) | What lives here                                                                                                            | Modern name                                                                              | Normal balance                                                                                | Meera examples                                                |
|-----------------|----------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------|---------------------------------------------------------------|
| <b>Personal</b> | Persons, firms, banks, the owner, and 'representative' persons (outstanding, prepaid, accrued).                            | Capital; Liabilities (creditors, outstanding); Assets of a personal kind (debtors, bank) | Giver → Cr, Receiver → Dr.<br>So capital / creditors / outstanding = Cr; debtors / bank = Dr. | Capital, Kabir, Sana, Bank, Drawings, Outstanding Electricity |
| <b>Real</b>     | Things the business owns — tangible (cash, furniture, stock, machinery) and intangible (patents, goodwill when purchased). | Assets                                                                                   | Debit what comes in, Credit what goes out. Asset balances are Debit.                          | Cash, Furniture. (Stock, when it appears later.)              |
| <b>Nominal</b>  | Expenses, losses, incomes, gains. These are closed to P&L at year end; they belong to a period.                            | Expenses / Incomes                                                                       | Debit all expenses and losses; Credit all incomes and gains.                                  | Purchases, Sales, Rent, Wages, Electricity, Commission        |

Bank is Personal (the banker is a person) and also an Asset. Purchases is Nominal, not Real — we do not keep a 'Goods A/c' in this system.

#### WATCH OUT

**Purchases is not a Real account.** Goods coming in feel like 'a thing', so students debit a Goods A/c or treat Purchases as Real. In the books you will write in this course, inward goods go to *Purchases A/c* (nominal) and outward goods go to *Sales A/c* (nominal). A Stock (real) account appears only when we value closing stock in final accounts. Treat this as a permanent exam trap.

## The three Golden rules (write these word-perfect)

### Golden rules of debit and credit

| Kind of account | Debit                   | Credit                | Memory                                                                                  |
|-----------------|-------------------------|-----------------------|-----------------------------------------------------------------------------------------|
| <b>Personal</b> | the receiver            | the giver             | Who received the benefit? Debit them. Who gave it? Credit them.                         |
| <b>Real</b>     | what comes in           | what goes out         | Things: in = Dr, out = Cr. Cash in hand went out to the bank → Credit Cash, Debit Bank. |
| <b>Nominal</b>  | all expenses and losses | all incomes and gains | Bad news (cost) on the left. Good news (income) on the right.                           |

#### 6. FORMAT — GOLDEN RULES — THREE LINES TO MEMORISE

**Personal:** Debit the receiver, Credit the giver.

**Real:** Debit what comes in, Credit what goes out.

**Nominal:** Debit all expenses and losses, Credit all incomes and gains.

## The Modern (equation) rules

Start from  $\text{Assets} = \text{Liabilities} + \text{Capital}$ . Expenses and Drawings reduce capital; Incomes increase it. Five + one boxes, each with an increase side and a decrease side:

### Modern debit-credit rules — DEAD CLIC lives here

| Box                      | Increase | Decrease | Normal balance | Meera                                     |
|--------------------------|----------|----------|----------------|-------------------------------------------|
| <b>Assets</b>            | Debit    | Credit   | Debit          | Cash, Bank, Furniture, Sana (debtor)      |
| <b>Liabilities</b>       | Credit   | Debit    | Credit         | Kabir (creditor), Outstanding Electricity |
| <b>Capital</b>           | Credit   | Debit    | Credit         | Capital A/c                               |
| <b>Drawings</b>          | Debit    | Credit   | Debit          | Drawings A/c (contra-capital)             |
| <b>Expenses / Losses</b> | Debit    | Credit   | Debit          | Purchases, Rent, Wages, Electricity       |

| Box             | Increase | Decrease | Normal balance | Meera             |
|-----------------|----------|----------|----------------|-------------------|
| Incomes / Gains | Credit   | Debit    | Credit         | Sales, Commission |

#### 11. MEMORY TRICK

**DEAD CLIC.** Debit: Expenses, Assets, Drawings. Credit: Liabilities, Incomes, Capital. When the item *increases*, use its normal side. When it *decreases*, use the opposite side. Kabir is paid ₹15,000: a liability decreases → Debit Kabir (opposite of its normal credit).

#### FORMULA

**Assets + Expenses + Drawings = Liabilities + Capital + Incomes**

This is the trial-balance form of the equation. Left side = all normal-debit boxes. Right side = all normal-credit boxes. Meera's both sides = ₹2,80,000 on 30 April 2025.

## Big classification table — decide the family before you debit

Classification table you can take into any journal question

| Account                                                           | Golden family                                         | Modern box                   | Increase is... | Typical balance |
|-------------------------------------------------------------------|-------------------------------------------------------|------------------------------|----------------|-----------------|
| Cash                                                              | Real                                                  | Asset                        | Debit          | Dr              |
| Bank                                                              | Personal (the banker) / treated as Real in some books | Asset                        | Debit          | Dr              |
| Furniture / Machinery / Building / Vehicle                        | Real                                                  | Asset                        | Debit          | Dr              |
| Stock / Closing stock                                             | Real                                                  | Asset                        | Debit          | Dr              |
| Sana (debtor) / Bills receivable                                  | Personal                                              | Asset                        | Debit          | Dr              |
| Prepaid rent / Accrued commission                                 | Representative personal                               | Asset                        | Debit          | Dr              |
| Purchases / Wages / Rent / Electricity / Carriage / Advertisement | Nominal                                               | Expense                      | Debit          | Dr              |
| Sales returns / Purchase of an expense nature                     | Nominal                                               | Expense (or contra-income)   | Debit          | Dr              |
| Drawings                                                          | Personal (the owner)                                  | Drawings / contra-capital    | Debit          | Dr              |
| Capital                                                           | Personal (the owner)                                  | Capital                      | Credit         | Cr              |
| Kabir (creditor) / Bills payable / Bank loan                      | Personal                                              | Liability                    | Credit         | Cr              |
| Outstanding electricity / Outstanding wages                       | Representative personal                               | Liability                    | Credit         | Cr              |
| Sales / Commission / Interest received / Discount received        | Nominal                                               | Income                       | Credit         | Cr              |
| Purchase returns                                                  | Nominal                                               | Contra-expense / income-like | Credit         | Cr              |

Bank: Personal under Golden rules (Debit the receiver = the banker when we deposit). Asset under Modern rules. Same entry either way: Dr Bank.

## How to choose the two accounts — exam method

#### 7. STEP-BY-STEP — FROM A SENTENCE TO TWO ACCOUNTS

1. Read the transaction twice. Ignore colour commentary ('happily', 'after a long bargain', 'a loyal customer').
2. Ask: what two (or more) things changed in the shop? Cash? A person? An expense? An income? An asset?
3. Give them their *book names*: goods bought → Purchases (not 'Goods'); goods sold → Sales (not 'Goods'); cash taken by owner → Drawings (not 'Meera' and not 'Expense'); unpaid electricity → Electricity and Outstanding Electricity (not 'Bill').
4. Classify each name: Personal / Real / Nominal, or Asset / Liability / Capital / Expense / Income / Drawings.

5. Apply the Golden rule or the Modern rule to each name. Write 'Dr ...' and 'Cr ...' in the rough sheet with amounts.
6. Check dual aspect: total debit rupees = total credit rupees. If not, a third account is hiding (compound entry) or an amount is wrong.
7. Only now write the formal journal: debit account first with 'Dr', credit account next indented with 'To', narration in brackets, L.F. blank.

## A cheat-sheet that still needs a brain

Sentence → two accounts (always still classify — this is a map, not a substitute for rules)

| If the sentence says...                                 | Usually debit | Usually credit               |
|---------------------------------------------------------|---------------|------------------------------|
| Started business with cash / introduced capital in cash | Cash          | Capital                      |
| Opened bank and deposited cash / cash paid into bank    | Bank          | Cash                         |
| Withdrew cash from bank for office                      | Cash          | Bank                         |
| Bought furniture / machine / vehicle for cash           | The asset     | Cash (or Bank if cheque)     |
| Bought goods for cash                                   | Purchases     | Cash                         |
| Bought goods from X (credit)                            | Purchases     | X (creditor)                 |
| Sold goods for cash                                     | Cash          | Sales                        |
| Sold goods to Y (credit)                                | Y (debtor)    | Sales                        |
| Paid rent / wages / electricity by cash or cheque       | The expense   | Cash or Bank                 |
| Expense incurred but not paid (outstanding)             | The expense   | Outstanding ... (liability)  |
| Received commission / interest / rent                   | Cash or Bank  | The income                   |
| Paid X (a creditor)                                     | X             | Cash or Bank                 |
| Received from Y (a debtor)                              | Cash or Bank  | Y                            |
| Owner took cash / goods for personal use                | Drawings      | Cash (or Purchases if goods) |
| Owner brought extra cash later                          | Cash          | Capital                      |

### 5. ACCOUNTING LOGIC

Settlements are not new sales or new purchases. 'Received from Sana ₹10,000' does not touch Sales. 'Paid Kabir ₹15,000' does not touch Purchases. The original sale / purchase was recorded on 8 Apr / 5 Apr. Today we only swap a debtor for cash, or cut a creditor against bank. If you recast Sales every time a customer pays, you will double income and the trial balance may still agree — an error of principle that Section F cannot catch.

### SOLVED EXAMPLE C1 · EASY

#### Same entry, two rule-languages — cash sales ₹18,000

**Golden.** Cash is Real — cash comes in → Debit Cash. Sales is Nominal — income → Credit Sales.

**Modern.** Asset (Cash) increases → Debit. Income (Sales) increases → Credit.

#### Identical journal from either language

| Date       | Particulars                  | L.F. | Debit (₹) | Credit (₹) |
|------------|------------------------------|------|-----------|------------|
| 6 Apr 2025 | Cash A/c ..... Dr.           |      | 18,000    |            |
|            | To Sales A/c                 |      |           | 18,000     |
|            | (Being goods sold for cash.) |      |           |            |



## SOLVED EXAMPLE C2 · MODERATE

### Personal + Nominal together — paid Kabir by cheque ₹15,000

Two accounts: Kabir (Personal / Liability) and Bank (Personal-asset / Asset).

**Golden.** Kabir is the receiver of money → Debit Kabir. Bank (the banker) is the giver → Credit Bank.

**Modern.** Liability to Kabir decreases → Debit Kabir. Asset Bank decreases → Credit Bank.

Purchases is not in this entry. The goods were already debited on 5 April.

#### Journal

| Date        | Particulars                                   | L.F. | Debit (₹) | Credit (₹) |
|-------------|-----------------------------------------------|------|-----------|------------|
| 12 Apr 2025 | Kabir A/c ..... Dr.                           |      | 15,000    |            |
|             | To Bank A/c                                   |      |           | 15,000     |
|             | (Being part payment made to Kabir by cheque.) |      |           |            |

## SOLVED EXAMPLE C3 · EXAM-LEVEL

### Outstanding electricity — representative personal account

22 April, electricity ₹2,000 unpaid. Two accounts: Electricity (Nominal / Expense) and Outstanding Electricity (Representative Personal / Liability).

**Golden.** Debit all expenses → Debit Electricity. Outstanding Electricity is a personal account standing in place of the electricity company; that company is the giver of the service on credit → Credit Outstanding Electricity.

**Modern.** Expense increases → Debit Electricity. Liability increases → Credit Outstanding Electricity.

Cash is not here. Accrual does not wait for cash. This single entry is where Entity (shop's bill), Accrual, Matching, Periodicity and Dual aspect all meet the rules.

## 12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)

State the Golden rules of accounting and the modern rules of debit and credit.

- Golden rules: Personal — Debit the receiver, Credit the giver. Real — Debit what comes in, Credit what goes out. Nominal — Debit all expenses and losses, Credit all incomes and gains.
- Modern rules (from Assets = Liabilities + Capital): increase in assets / expenses / drawings is Debit; increase in liabilities / capital / incomes is Credit. Decreases reverse the side.
- Classification must precede the rule. Purchases is nominal (expense), not real. Bank is personal (and an asset). Outstanding expense is a representative personal account (a liability).
- Illustration: goods sold to Sana ₹22,000 → Debit Sana (receiver / asset↑), Credit Sales (income↑). Later cash from Sana → Debit Cash, Credit Sana — Sales is not touched again.
- Both languages must produce the same journal. In an exam pick one language and stay with it.

## 9. HOW TO IDENTIFY THE QUESTION

If the question says 'state the rules of debit and credit', write Golden and Modern as two short labelled blocks — do not ramble. If it gives transactions and says 'give the two accounts and the rule applied', make a four-column working: Transaction | Accounts | Type | Dr/Cr with rule in six words. If it says 'classify the following accounts', they want Personal / Real / Nominal (and you can add Asset / Liability / etc. in a second column for extra finish).

## 10. COMMON MISTAKES

- Debiting 'Goods A/c' instead of Purchases, or crediting 'Goods A/c' instead of Sales.
- Treating Bank as Real under Golden rules and then 'crediting Bank because cash came out of the bank' — the giver is the banker, so Credit Bank is correct, but the reason is Personal, not Real. (Modern: asset down → Credit Bank. Same entry.)
- Debiting Capital when the owner introduces cash (you must Credit Capital — the owner is the giver).
- Crediting Drawings when the owner takes cash (Drawings is the receiver → Debit Drawings).
- Using Sales when a debtor pays, or Purchases when a creditor is paid.
- Mixing Golden language ('receiver') with Modern language ('asset increases') in the same sentence of a 4-mark answer — pick a horse.

## D. Journal — the chronological book of original entry

### 1. WHAT IS IT? — DEFINITION

The **journal** is the book of original entry in which transactions are recorded, day by day, in chronological order, as they occur, each with a debit, a credit and a narration. It is the first formal writing of the dual aspect. From the journal, the same rupees are later copied (posted) into the ledger, account-wise.

### 2. IN SIMPLE WORDS

A diary of the shop, written in a strict two-column language. Monday's events are above Tuesday's. Each event says: this account is debited, that account is credited, this is why. The journal does not tell you 'how much cash is left' — that is the ledger's job. The journal tells you 'what happened, in the order it happened'.

### 3. WHY DO WE NEED IT?

Memory is a bad accountant. The journal (a) captures the story while it is fresh, (b) forces you to decide debit and credit *before* the figures are scattered across many ledger pages, (c) provides a narration that the ledger will not repeat, and (d) is the audit trail from voucher to ledger. That is why it is called the book of *original* entry — the ledger is a rearrangement, not the first writing.

### 4. REAL-LIFE EXAMPLE

On 5 April Kabir's invoice lands at 4 p.m. Meera (or her accountant) writes one journal line that evening: Dr Purchases ₹40,000, To Kabir ₹40,000, narration, voucher number. She does not yet open Kabir's ledger page — that can wait for the posting session. If she posted to the ledger first, with no journal, a missing narration and a missing date-order would make errors very hard to find.

### 5. ACCOUNTING LOGIC

Journal = time order. Ledger = account order. Trial balance = a list of leftover balances. Financial statements = a regrouping of those balances into performance and position. You cannot skip the journal and still claim a clean audit trail. (Some small shops use 'journal proper' only for adjustments and put cash in a cash book — that is a later refinement. In this chapter every April event, cash or not, goes through the journal.)

## Format of the journal

### 6. FORMAT — JOURNAL

Heading: Journal of (name of the business) for (period).

| Date       | Particulars                                    | L.F. | Debit (₹) | Credit (₹) |
|------------|------------------------------------------------|------|-----------|------------|
| 1 Apr 2025 | Cash A/c    Dr.                                |      | 2,00,000  |            |
|            | To Capital A/c                                 |      |           | 2,00,000   |
|            | (Being cash introduced by Meera as capital...) |      |           |            |

Five columns. Debit account is written first, flush left, with **Dr.** at the end of the name. Credit account is written next, indented, beginning with **To**. Narration sits under the entry, in brackets, not posted to the ledger. L.F. (Ledger Folio) is the page number of the ledger account — filled only at the time of posting, left blank till then.

#### The five columns, used correctly

| Column      | What you write                                                                        | What you never write                                                                     |
|-------------|---------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------|
| Date        | Date of the <i>transaction</i> (the invoice date, the cash-memo date).                | Date on which you sat down to write the books, if that is later.                         |
| Particulars | Account titles as they will appear in the ledger, plus narration below.               | Long stories, customer addresses, 'goods' as an account name.                            |
| L.F.        | Ledger page number, at the moment of posting.                                         | A guess. Leave it blank in an exam unless folios are given.                              |
| Debit (₹)   | Amount of the debit account(s).                                                       | A different figure from the credit 'because cash discount' you have not been told about. |
| Credit (₹)  | Amount of the credit account(s). Total of this column for the entry = total of Debit. | A blank credit on a complete entry.                                                      |

### Narration rules

- A narration is a one-line explanation of *why* the entry was passed. It starts traditionally with 'Being ...'.
- It is written immediately under the debit and credit lines, in brackets or in italics, on the Particulars column.
- It is **not posted** to the ledger. The ledger has no narration column.
- It should mention the other party or the voucher identity when that helps ('from Kabir', 'by cheque').
- It should not repeat the account names mechanically ('Being cash and capital') without the business reason.
- Compound entries get one narration covering the whole event, not a narration per line.
- If the examiner says 'narrations are not required', skip them and save time. Otherwise always write them — they are cheap marks and they catch your own silly errors.

### Compound entries

#### 1. WHAT IS IT? — DEFINITION

A **compound (or combined) journal entry** is one entry in which there are two or more debits, or two or more credits, or both, for a single event (or for several events of the same date that you are allowed to combine). Dual aspect still holds: *total* debit = *total* credit.

#### 2. IN SIMPLE WORDS

Sometimes one event touches three accounts. Meera might start the shop with cash AND furniture. One story, three accounts, one compound entry — not two simple entries (unless you prefer two; both are acceptable if the story is really two events).

#### SOLVED EXAMPLE D1 · EASY

#### Compound entry that is NOT in Meera's books (teaching only)

Suppose, instead of bringing only cash, Meera had introduced cash ₹1,50,000 and furniture ₹50,000 on 1 April. One event, three accounts:

#### Compound entry — two debits, one credit

| Date       | Particulars             | L.F. | Debit (₹) | Credit (₹) |
|------------|-------------------------|------|-----------|------------|
| 1 Apr 2025 | Cash A/c ..... Dr.      |      | 1,50,000  |            |
|            | Furniture A/c ..... Dr. |      | 50,000    |            |
|            | To Capital A/c          |      |           | 2,00,000   |

| Date | Particulars                                                | L.F. | Debit (₹) | Credit (₹) |
|------|------------------------------------------------------------|------|-----------|------------|
|      | (Being cash and furniture introduced by Meera as capital.) |      |           |            |

Check: ₹1,50,000 + ₹50,000 = ₹2,00,000. Dual aspect holds. In the actual Meera books of this chapter she brought only cash, so we do *not* use this entry in the continuous example. Another common compound: rent ₹8,000 and wages ₹4,000 paid by one cheque on the same day → Dr Rent, Dr Wages, To Bank ₹12,000.

#### KEY POINT

In a compound entry, debit lines are listed first (each with Dr. and its own amount), then credit lines (each with To). Do not write 'To Sundries' in an exam unless the question is old-style and many small credits would clutter the page; naming the actual accounts is always safer and is what MBA examiners expect.

## STEP-BY-STEP exam method to write a journal entry

### 7. STEP-BY-STEP — WRITING ONE JOURNAL ENTRY IN THE EXAM HALL

1. Read the transaction. Strike out any non-transaction (Section B four gates).
2. Name the two (or more) accounts with their book titles (Purchases, not Goods; Drawings, not 'Meera took money').
3. Classify each: Personal / Real / Nominal, or Asset / Liability / Capital / Expense / Income / Drawings.
4. Apply Golden or Modern rules. In the rough sheet write: Dr (name) ₹x, Cr (name) ₹x.
5. For a compound event, list every debit and every credit; add them; confirm equality.
6. Copy into the journal format: Date | Debit name ..... Dr. | | amount | (blank). Next row: (blank) | To Credit name | | (blank) | amount.
7. Write the narration in brackets under the entry. Leave L.F. blank.
8. Draw a line under the entry (in paper exams) so the next date does not merge into this one.
9. Move to the next transaction. Do not post to the ledger until the whole journal of the period is written (in this chapter's method).

## Worked walk-through — every Meera journal, with the 'why'

Below, each of the fifteen April events is journalised on its own, with classification and the one-line reason for the debit and the credit. After that you will see the **complete Journal of Meera Traders** as it would appear in the book. Amounts are round rupees, Indian commas. No depreciation. No closing stock. Outstanding electricity is included.

### 1 Apr 2025 — Meera opens her stationery shop with her own savings of ₹2,00,000 in cash.

#### Journal — 1 Apr

| Date       | Particulars                                                         | L.F. | Debit (₹) | Credit (₹) |
|------------|---------------------------------------------------------------------|------|-----------|------------|
| 1 Apr 2025 | Cash A/c ..... Dr.                                                  |      | 2,00,000  |            |
|            | To Capital A/c                                                      |      |           | 2,00,000   |
|            | (Being cash introduced by Meera as capital to start Meera Traders.) |      |           |            |

**Why this debit / credit.** Cash (real/asset) comes into the business → Debit. The owner is the giver of that cash, so Capital (personal) → Credit.

### 2 Apr 2025 — She opens a current account and puts most of the cash in the bank, keeping some for the till.

#### Journal — 2 Apr

| Date       | Particulars        | L.F. | Debit (₹) | Credit (₹) |
|------------|--------------------|------|-----------|------------|
| 2 Apr 2025 | Bank A/c ..... Dr. |      | 1,50,000  |            |
|            | To Cash A/c        |      |           | 1,50,000   |

| Date | Particulars                                                     | L.F. | Debit (₹) | Credit (₹) |
|------|-----------------------------------------------------------------|------|-----------|------------|
|      | <i>(Being cash deposited into a newly opened bank account.)</i> |      |           |            |

**Why this debit / credit.** The bank (personal — the banker) receives money → Debit Bank. Cash (real) goes out of the till → Credit Cash.

**3 Apr 2025 — Shelves, a counter and two chairs are bought and paid in cash.**

**Journal — 3 Apr**

| Date       | Particulars                                               | L.F. | Debit (₹) | Credit (₹) |
|------------|-----------------------------------------------------------|------|-----------|------------|
| 3 Apr 2025 | Furniture A/c ..... Dr.                                   |      | 25,000    |            |
|            | To Cash A/c                                               |      |           | 25,000     |
|            | <i>(Being furniture purchased for cash for the shop.)</i> |      |           |            |

**Why this debit / credit.** Furniture (real/asset) comes in → Debit. Cash goes out → Credit.

**4 Apr 2025 — First stock of notebooks, pens and files is bought and paid in cash.**

**Journal — 4 Apr**

| Date       | Particulars                                           | L.F. | Debit (₹) | Credit (₹) |
|------------|-------------------------------------------------------|------|-----------|------------|
| 4 Apr 2025 | Purchases A/c ..... Dr.                               |      | 20,000    |            |
|            | To Cash A/c                                           |      |           | 20,000     |
|            | <i>(Being goods (stationery) purchased for cash.)</i> |      |           |            |

**Why this debit / credit.** Purchases is a nominal account (expense / cost of goods) → Debit all expenses. Cash goes out → Credit.

**5 Apr 2025 — A bigger order is taken from wholesaler Kabir, to be paid later.**

**Journal — 5 Apr**

| Date       | Particulars                                          | L.F. | Debit (₹) | Credit (₹) |
|------------|------------------------------------------------------|------|-----------|------------|
| 5 Apr 2025 | Purchases A/c ..... Dr.                              |      | 40,000    |            |
|            | To Kabir A/c                                         |      |           | 40,000     |
|            | <i>(Being goods purchased on credit from Kabir.)</i> |      |           |            |

**Why this debit / credit.** Goods bought → Debit Purchases. Kabir (personal) is the giver of goods on credit → Credit Kabir (creditor / liability).

**6 Apr 2025 — Walk-in customers buy stationery and pay cash.**

**Journal — 6 Apr**

| Date       | Particulars                         | L.F. | Debit (₹) | Credit (₹) |
|------------|-------------------------------------|------|-----------|------------|
| 6 Apr 2025 | Cash A/c ..... Dr.                  |      | 18,000    |            |
|            | To Sales A/c                        |      |           | 18,000     |
|            | <i>(Being goods sold for cash.)</i> |      |           |            |

**Why this debit / credit.** Cash comes in → Debit Cash. Sales is a nominal income → Credit all incomes and gains.

**8 Apr 2025 — A nearby tuition centre, Sana, takes a bulk order and will pay later.**

**Journal — 8 Apr**

| Date       | Particulars        | L.F. | Debit (₹) | Credit (₹) |
|------------|--------------------|------|-----------|------------|
| 8 Apr 2025 | Sana A/c ..... Dr. |      | 22,000    |            |

| Date | Particulars                           | L.F. | Debit (₹) | Credit (₹) |
|------|---------------------------------------|------|-----------|------------|
|      | To Sales A/c                          |      |           | 22,000     |
|      | (Being goods sold on credit to Sana.) |      |           |            |

**Why this debit / credit.** Sana (personal) is the receiver of goods → Debit Sana (debtor / asset). Sales earned → Credit Sales. Cash has not moved, and that is fine under accrual.

#### 10 Apr 2025 — Monthly shop rent is paid from the bank account, not from the till.

##### Journal — 10 Apr

| Date        | Particulars                                 | L.F. | Debit (₹) | Credit (₹) |
|-------------|---------------------------------------------|------|-----------|------------|
| 10 Apr 2025 | Rent A/c ..... Dr.                          |      | 8,000     |            |
|             | To Bank A/c                                 |      |           | 8,000      |
|             | (Being shop rent for April paid by cheque.) |      |           |            |

**Why this debit / credit.** Rent is a nominal expense → Debit. Bank is the giver → Credit Bank.

#### 12 Apr 2025 — Meera pays Kabir part of what she owes, by cheque.

##### Journal — 12 Apr

| Date        | Particulars                                   | L.F. | Debit (₹) | Credit (₹) |
|-------------|-----------------------------------------------|------|-----------|------------|
| 12 Apr 2025 | Kabir A/c ..... Dr.                           |      | 15,000    |            |
|             | To Bank A/c                                   |      |           | 15,000     |
|             | (Being part payment made to Kabir by cheque.) |      |           |            |

**Why this debit / credit.** Kabir (personal) is the receiver of money → Debit Kabir (liability falls). Bank is the giver → Credit Bank.

#### 15 Apr 2025 — Sana pays ₹10,000 towards her bill. The rest is still receivable.

##### Journal — 15 Apr

| Date        | Particulars                                           | L.F. | Debit (₹) | Credit (₹) |
|-------------|-------------------------------------------------------|------|-----------|------------|
| 15 Apr 2025 | Cash A/c ..... Dr.                                    |      | 10,000    |            |
|             | To Sana A/c                                           |      |           | 10,000     |
|             | (Being cash received from Sana against credit sales.) |      |           |            |

**Why this debit / credit.** Cash comes in → Debit Cash. Sana is the giver of cash → Credit Sana (asset / debtor falls).

#### 18 Apr 2025 — A helper is paid wages in cash from the till.

##### Journal — 18 Apr

| Date        | Particulars                                    | L.F. | Debit (₹) | Credit (₹) |
|-------------|------------------------------------------------|------|-----------|------------|
| 18 Apr 2025 | Wages A/c ..... Dr.                            |      | 4,000     |            |
|             | To Cash A/c                                    |      |           | 4,000      |
|             | (Being wages paid in cash to the shop helper.) |      |           |            |

**Why this debit / credit.** Wages is a nominal expense → Debit. Cash goes out → Credit.

#### 20 Apr 2025 — Meera takes ₹5,000 from the till for household expenses.

##### Journal — 20 Apr

| Date | Particulars | L.F. | Debit (₹) | Credit (₹) |
|------|-------------|------|-----------|------------|
|------|-------------|------|-----------|------------|

| Date        | Particulars                                                       | L.F. | Debit (₹) | Credit (₹) |
|-------------|-------------------------------------------------------------------|------|-----------|------------|
| 20 Apr 2025 | Drawings A/c ..... Dr.                                            |      | 5,000     |            |
|             | To Cash A/c                                                       |      |           | 5,000      |
|             | <i>(Being cash withdrawn by the proprietor for personal use.)</i> |      |           |            |

**Why this debit / credit.** Meera (the owner) is the receiver of cash → Debit Drawings (personal). Cash goes out → Credit. This is NOT an expense of the shop.

**22 Apr 2025 — The electricity bill for April has arrived but will be paid in May. We still record it now.**

**Journal — 22 Apr**

| Date        | Particulars                                                                  | L.F. | Debit (₹) | Credit (₹) |
|-------------|------------------------------------------------------------------------------|------|-----------|------------|
| 22 Apr 2025 | Electricity A/c ..... Dr.                                                    |      | 2,000     |            |
|             | To Outstanding Electricity A/c                                               |      |           | 2,000      |
|             | <i>(Being electricity charges for April remaining unpaid (outstanding).)</i> |      |           |            |

**Why this debit / credit.** Expense has been incurred this period → Debit Electricity (accrual + matching). The unpaid amount is a liability → Credit Outstanding Electricity (representative personal).

**25 Apr 2025 — A publisher pays Meera a small display commission in cash.**

**Journal — 25 Apr**

| Date        | Particulars                                 | L.F. | Debit (₹) | Credit (₹) |
|-------------|---------------------------------------------|------|-----------|------------|
| 25 Apr 2025 | Cash A/c ..... Dr.                          |      | 3,000     |            |
|             | To Commission A/c                           |      |           | 3,000      |
|             | <i>(Being commission received in cash.)</i> |      |           |            |

**Why this debit / credit.** Cash comes in → Debit Cash. Commission is a nominal income → Credit.

**28 Apr 2025 — Fast-moving pens are reordered from Kabir on credit.**

**Journal — 28 Apr**

| Date        | Particulars                                                     | L.F. | Debit (₹) | Credit (₹) |
|-------------|-----------------------------------------------------------------|------|-----------|------------|
| 28 Apr 2025 | Purchases A/c ..... Dr.                                         |      | 10,000    |            |
|             | To Kabir A/c                                                    |      |           | 10,000     |
|             | <i>(Being additional goods purchased on credit from Kabir.)</i> |      |           |            |

**Why this debit / credit.** Same rule as 5 Apr: Debit Purchases, Credit Kabir. The creditor's balance rises again.

## Complete Journal of Meera Traders for April 2025

This is the same fifteen entries in one book, which is what you present in an exam when the question says 'Journalise the following'.

**Journal of Meera Traders for April 2025**

| Date       | Particulars                                                                | L.F. | Debit (₹) | Credit (₹) |
|------------|----------------------------------------------------------------------------|------|-----------|------------|
| 1 Apr 2025 | Cash A/c ..... Dr.                                                         |      | 2,00,000  |            |
|            | To Capital A/c                                                             |      |           | 2,00,000   |
|            | <i>(Being cash introduced by Meera as capital to start Meera Traders.)</i> |      |           |            |
| 2 Apr 2025 | Bank A/c ..... Dr.                                                         |      | 1,50,000  |            |
|            | To Cash A/c                                                                |      |           | 1,50,000   |

| Date        | Particulars                                                                  | L.F. | Debit (₹) | Credit (₹) |
|-------------|------------------------------------------------------------------------------|------|-----------|------------|
|             | <i>(Being cash deposited into a newly opened bank account.)</i>              |      |           |            |
| 3 Apr 2025  | Furniture A/c ..... Dr.                                                      |      | 25,000    |            |
|             | To Cash A/c                                                                  |      |           | 25,000     |
|             | <i>(Being furniture purchased for cash for the shop.)</i>                    |      |           |            |
| 4 Apr 2025  | Purchases A/c ..... Dr.                                                      |      | 20,000    |            |
|             | To Cash A/c                                                                  |      |           | 20,000     |
|             | <i>(Being goods (stationery) purchased for cash.)</i>                        |      |           |            |
| 5 Apr 2025  | Purchases A/c ..... Dr.                                                      |      | 40,000    |            |
|             | To Kabir A/c                                                                 |      |           | 40,000     |
|             | <i>(Being goods purchased on credit from Kabir.)</i>                         |      |           |            |
| 6 Apr 2025  | Cash A/c ..... Dr.                                                           |      | 18,000    |            |
|             | To Sales A/c                                                                 |      |           | 18,000     |
|             | <i>(Being goods sold for cash.)</i>                                          |      |           |            |
| 8 Apr 2025  | Sana A/c ..... Dr.                                                           |      | 22,000    |            |
|             | To Sales A/c                                                                 |      |           | 22,000     |
|             | <i>(Being goods sold on credit to Sana.)</i>                                 |      |           |            |
| 10 Apr 2025 | Rent A/c ..... Dr.                                                           |      | 8,000     |            |
|             | To Bank A/c                                                                  |      |           | 8,000      |
|             | <i>(Being shop rent for April paid by cheque.)</i>                           |      |           |            |
| 12 Apr 2025 | Kabir A/c ..... Dr.                                                          |      | 15,000    |            |
|             | To Bank A/c                                                                  |      |           | 15,000     |
|             | <i>(Being part payment made to Kabir by cheque.)</i>                         |      |           |            |
| 15 Apr 2025 | Cash A/c ..... Dr.                                                           |      | 10,000    |            |
|             | To Sana A/c                                                                  |      |           | 10,000     |
|             | <i>(Being cash received from Sana against credit sales.)</i>                 |      |           |            |
| 18 Apr 2025 | Wages A/c ..... Dr.                                                          |      | 4,000     |            |
|             | To Cash A/c                                                                  |      |           | 4,000      |
|             | <i>(Being wages paid in cash to the shop helper.)</i>                        |      |           |            |
| 20 Apr 2025 | Drawings A/c ..... Dr.                                                       |      | 5,000     |            |
|             | To Cash A/c                                                                  |      |           | 5,000      |
|             | <i>(Being cash withdrawn by the proprietor for personal use.)</i>            |      |           |            |
| 22 Apr 2025 | Electricity A/c ..... Dr.                                                    |      | 2,000     |            |
|             | To Outstanding Electricity A/c                                               |      |           | 2,000      |
|             | <i>(Being electricity charges for April remaining unpaid (outstanding).)</i> |      |           |            |
| 25 Apr 2025 | Cash A/c ..... Dr.                                                           |      | 3,000     |            |
|             | To Commission A/c                                                            |      |           | 3,000      |
|             | <i>(Being commission received in cash.)</i>                                  |      |           |            |
| 28 Apr 2025 | Purchases A/c ..... Dr.                                                      |      | 10,000    |            |



| Date | Particulars                                              | L.F. | Debit (₹) | Credit (₹) |
|------|----------------------------------------------------------|------|-----------|------------|
|      | To Kabir A/c                                             |      |           | 10,000     |
|      | (Being additional goods purchased on credit from Kabir.) |      |           |            |

**Arithmetic check of the journal.** There are 15 simple entries. The sum of the Debit column is ₹5,32,000 and the sum of the Credit column is ₹5,32,000. Working: 2,00,000 + 1,50,000 + 25,000 + 20,000 + 40,000 + 18,000 + 22,000 + 8,000 + 15,000 + 10,000 + 4,000 + 5,000 + 2,000 + 3,000 + 10,000. Step by step: 2,00,000 + 1,50,000 = 3,50,000; + 25,000 = 3,75,000; + 20,000 = 3,95,000; + 40,000 = 4,35,000; + 18,000 = 4,53,000; + 22,000 = 4,75,000; + 8,000 = 4,83,000; + 15,000 = 4,98,000; + 10,000 = 5,08,000; + 4,000 = 5,12,000; + 5,000 = 5,17,000; + 2,000 = 5,19,000; + 3,000 = 5,22,000; + 10,000 = ₹5,32,000. This is *not* the trial-balance total. The journal total double-counts the story (every rupee appears once as debit and once as credit, and many rupees move twice in the month — e.g. cash introduced and then banked). The trial balance total is the sum of leftover *balances*, which we will see is ₹2,80,000.

#### One-line debit/credit reason for every Meera journal — revision sheet

| #  | Date   | Debit           | Credit                      | ₹        | Why this debit / credit (one line)                                                                                                                                           |
|----|--------|-----------------|-----------------------------|----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1  | 1 Apr  | Cash A/c        | Capital A/c                 | 2,00,000 | Cash (real/asset) comes into the business → Debit. The owner is the giver of that cash, so Capital (personal) → Credit.                                                      |
| 2  | 2 Apr  | Bank A/c        | Cash A/c                    | 1,50,000 | The bank (personal — the banker) receives money → Debit Bank. Cash (real) goes out of the till → Credit Cash.                                                                |
| 3  | 3 Apr  | Furniture A/c   | Cash A/c                    | 25,000   | Furniture (real/asset) comes in → Debit. Cash goes out → Credit.                                                                                                             |
| 4  | 4 Apr  | Purchases A/c   | Cash A/c                    | 20,000   | Purchases is a nominal account (expense / cost of goods) → Debit all expenses. Cash goes out → Credit.                                                                       |
| 5  | 5 Apr  | Purchases A/c   | Kabir A/c                   | 40,000   | Goods bought → Debit Purchases. Kabir (personal) is the giver of goods on credit → Credit Kabir (creditor / liability).                                                      |
| 6  | 6 Apr  | Cash A/c        | Sales A/c                   | 18,000   | Cash comes in → Debit Cash. Sales is a nominal income → Credit all incomes and gains.                                                                                        |
| 7  | 8 Apr  | Sana A/c        | Sales A/c                   | 22,000   | Sana (personal) is the receiver of goods → Debit Sana (debtor / asset). Sales earned → Credit Sales. Cash has not moved, and that is fine under accrual.                     |
| 8  | 10 Apr | Rent A/c        | Bank A/c                    | 8,000    | Rent is a nominal expense → Debit. Bank is the giver → Credit Bank.                                                                                                          |
| 9  | 12 Apr | Kabir A/c       | Bank A/c                    | 15,000   | Kabir (personal) is the receiver of money → Debit Kabir (liability falls). Bank is the giver → Credit Bank.                                                                  |
| 10 | 15 Apr | Cash A/c        | Sana A/c                    | 10,000   | Cash comes in → Debit Cash. Sana is the giver of cash → Credit Sana (asset / debtor falls).                                                                                  |
| 11 | 18 Apr | Wages A/c       | Cash A/c                    | 4,000    | Wages is a nominal expense → Debit. Cash goes out → Credit.                                                                                                                  |
| 12 | 20 Apr | Drawings A/c    | Cash A/c                    | 5,000    | Meera (the owner) is the receiver of cash → Debit Drawings (personal). Cash goes out → Credit. This is NOT an expense of the shop.                                           |
| 13 | 22 Apr | Electricity A/c | Outstanding Electricity A/c | 2,000    | Expense has been incurred this period → Debit Electricity (accrual + matching). The unpaid amount is a liability → Credit Outstanding Electricity (representative personal). |
| 14 | 25 Apr | Cash A/c        | Commission A/c              | 3,000    | Cash comes in → Debit Cash. Commission is a nominal income → Credit.                                                                                                         |
| 15 | 28 Apr | Purchases A/c   | Kabir A/c                   | 10,000   | Same rule as 5 Apr: Debit Purchases, Credit Kabir. The creditor's balance rises again.                                                                                       |

#### SOLVED EXAMPLE D2 · MODERATE

#### A mini-journal that is not Meera — 6 transactions of Arun Traders

Arun starts on 1 May 2025. Journalise. (This is practice of the method, not part of Meera's books.)

- 1 May — started with cash ₹1,00,000.
- 2 May — opened bank and deposited ₹70,000.
- 3 May — bought goods from Neha ₹25,000 on credit.
- 4 May — sold goods for cash ₹12,000.
- 5 May — rent outstanding ₹3,000 (not yet paid).
- 6 May — withdrew cash for personal use ₹2,000.

#### Journal of Arun Traders (teaching example, not Meera)

| Date       | Particulars                                         | L.F. | Debit (₹) | Credit (₹) |
|------------|-----------------------------------------------------|------|-----------|------------|
| 1 May 2025 | Cash A/c ..... Dr.                                  |      | 1,00,000  |            |
|            | To Capital A/c                                      |      |           | 1,00,000   |
|            | <i>(Being cash introduced by Arun as capital.)</i>  |      |           |            |
| 2 May 2025 | Bank A/c ..... Dr.                                  |      | 70,000    |            |
|            | To Cash A/c                                         |      |           | 70,000     |
|            | <i>(Being cash deposited into bank.)</i>            |      |           |            |
| 3 May 2025 | Purchases A/c ..... Dr.                             |      | 25,000    |            |
|            | To Neha A/c                                         |      |           | 25,000     |
|            | <i>(Being goods purchased on credit from Neha.)</i> |      |           |            |
| 4 May 2025 | Cash A/c ..... Dr.                                  |      | 12,000    |            |
|            | To Sales A/c                                        |      |           | 12,000     |
|            | <i>(Being goods sold for cash.)</i>                 |      |           |            |
| 5 May 2025 | Rent A/c ..... Dr.                                  |      | 3,000     |            |
|            | To Outstanding Rent A/c                             |      |           | 3,000      |
|            | <i>(Being rent for May remaining unpaid.)</i>       |      |           |            |
| 6 May 2025 | Drawings A/c ..... Dr.                              |      | 2,000     |            |
|            | To Cash A/c                                         |      |           | 2,000      |
|            | <i>(Being cash withdrawn for personal use.)</i>     |      |           |            |

Check the traps: 5 May does not credit Bank or Cash. 6 May does not debit Rent or Wages. 3 May does not debit 'Neha' on the goods side — Neha is credited because she is the giver.

#### 9. HOW TO IDENTIFY THE QUESTION

If the question gives a list of sentences and says 'Journalise' / 'write journal entries' / 'book of original entry', you stop at the journal — do not draw T-accounts unless asked. If it says 'journalise and post', journal first (all dates), then ledger. If it includes a quotation, a market-value change, or a personal event from a private purse, write 'No entry' with a six-word reason — that is a mark, not a skip. If two expenses are paid by one cheque, offer a compound entry.

#### 10. COMMON MISTAKES

- Writing the credit account first. Format is always Debit (Dr.) then To Credit.
- Forgetting 'To' before the credit account, or writing 'By' in the journal ('By' is a ledger word).
- Posting the narration to the ledger, or skipping the narration when the question did not waive it.
- Using 31 April as a date.

- Passing two entries for a deposit into bank (Dr Bank Cr Capital, then Dr Cash...) — it is Dr Bank, Cr Cash. Capital was already credited on day one.
- Crediting Sales when cash is received from a debtor.
- Leaving debit and credit amounts unequal in a compound entry.

#### 12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)

What is a journal? Give its format and the rules for recording entries.

- Meaning: the journal is the book of original entry in which transactions are recorded chronologically, each with equal debit and credit and a narration.
- Format: Date | Particulars | L.F. | Debit (₹) | Credit (₹). Debit account is written first with 'Dr.'; credit account next, indented, with 'To'. Narration in brackets below. L.F. is the ledger page, filled at posting.
- Rules: only business transactions; dual aspect; Golden or Modern rules to choose sides; compound entries when one event has more than two accounts; total Dr = total Cr.
- Utility: chronological record, audit trail from voucher, narration preserved, basis for posting to the ledger, errors easier to locate than in a ledger-only system.
- Illustration: Meera Traders, 1–30 April 2025, fifteen journals totalling ₹5,32,000 on each column, from which fourteen ledger accounts are posted (Section E) and a trial balance of ₹2,80,000 is drawn (Section F).

## E. Ledger — the account-wise book of final entry

### 1. WHAT IS IT? — DEFINITION

The **ledger** is the principal book of account in which every account named in the journal is given its own page (or T-account), and all debits and credits of that account are collected. It is a rearrangement of the journal: the journal is date-wise, the ledger is account-wise. Balancing the ledger tells us, for each account, what is left at the end of the period.

### 2. IN SIMPLE WORDS

The journal is a movie (events in order). The ledger is a set of character files (everything that happened to Cash in one place, everything that happened to Kabir in another). If someone asks 'how much does Meera still owe Kabir?' you do not re-read fifteen journals — you open Kabir's page and read the balance.

### 3. WHY DO WE NEED IT?

A journal cannot answer account-wise questions. 'What is cash in hand?' needs every cash debit and every cash credit added, which is exactly the Cash ledger. The ledger is also the only place we *balance* an account. Without balances there is no trial balance and no Balance Sheet. That is why the ledger is called the book of *final* entry (the journal was original entry).

### 4. REAL-LIFE EXAMPLE

On 30 April a supplier calls: 'Meera, what is outstanding on my account?' She opens Kabir A/c: credit purchases ₹40,000 + ₹10,000, minus a cheque of ₹15,000, balance ₹35,000 credit. One page, ten seconds. The journal would have taken her a hunt across three dates (5, 12, 28 April).

### 5. ACCOUNTING LOGIC

Journal first, ledger second — always. If you open the Cash T-account and invent figures without a journal, you have no narration, no voucher link, and no proof that the other side was posted. Double entry is 'every journal line has a home in a ledger page', not 'write T-accounts from memory'.

## Format of a ledger account (T-form)

### 6. FORMAT — LEDGER ACCOUNT (T-FORM)

The page is split down the middle. Left = Debit. Right = Credit. The name of the account sits on the top, with 'Dr' on the left and 'Cr' on the right.

Full textbook columns on *each* side: Date | Particulars | J.F. | Amount. J.F. is the journal folio (page of the journal from which this line was posted) — the mirror of L.F. in the journal.

In this chapter the T-accounts are drawn in a compact teaching form (Particulars | ₹ on each side) so that you can see the arithmetic. In a paper exam, add the Date and J.F. columns if the question shows that ruling.

**Particulars convention:** on the debit side you write *To (name of the other account)*. On the credit side you write *By (name of the other account)*. 'To' and 'By' are ledger words. The journal uses 'Dr' and 'To'; the ledger uses 'To' (debit side) and 'By' (credit side).

**'To' lives on the left; 'By' lives on the right**

| Side           | You write                                        | It means                                                                                                    |
|----------------|--------------------------------------------------|-------------------------------------------------------------------------------------------------------------|
| Debit (left)   | To Capital / To Sales / To Sana / To Balance c/d | This account was debited; the name after 'To' is the other account in the journal (or a balancing figure).  |
| Credit (right) | By Cash / By Purchases / By Balance c/d          | This account was credited; the name after 'By' is the other account in the journal (or a balancing figure). |

## Posting rules

### 7. STEP-BY-STEP POSTING METHOD

1. Open a ledger account for every name that appears in the Particulars column of the journal (not for the narration).
2. Take the first journal entry. The account that was debited in the journal gets a line on its *debit* side: Date, 'To (credit account's name)', amount. The amount is the same rupee figure.
3. The account that was credited in the journal gets a line on its *credit* side: Date, 'By (debit account's name)', amount. Same rupees.
4. Fill L.F. in the journal with the ledger page, and J.F. in the ledger with the journal page. (In exams these are often left blank.)
5. Repeat for every journal entry, including compound entries (each debit line and each credit line is posted separately).
6. Narrations are not posted. Totals of the journal are not posted. Only the account lines move.
7. After the last posting of the period, balance every account (next sub-section).

### KEY POINT

Posting in one sentence: **debit in the journal → debit side of that account; credit in the journal → credit side of that account.**

The 'other account' is what you write after To / By. Never write 'To Cash' on the Cash account's own debit side for a cash introduction — Cash's debit side says *To Capital*, because Capital is the other name in that journal.

## Balancing an account

### 1. WHAT IS IT? — DEFINITION

**Balancing** means finding the difference between the two sides of an account and writing that difference on the *smaller* side as *Balance c/d* (carried down), so that both sides total the same. The same figure is brought down on the *opposite* side as *Balance b/d* (brought down) at the start of the next period. A debit balance sits on the credit side as c/d (to make the sides equal) and comes back on the debit side as b/d.

### 7. STEP-BY-STEP BALANCING METHOD

1. Add the debit side. Add the credit side. Show the additions in the rough sheet — never skip the arithmetic.
2. The bigger total is the total you will write on *both* sides.

3. Difference = bigger total – smaller total. This difference is the balance.
4. Write 'Balance c/d' on the *smaller* side, with the difference as the amount, dated the last day of the period (30 Apr 2025).
5. Write 'Total' on both sides — they are now equal.
6. On the first day of the next period (1 May 2025), write 'Balance b/d' on the *bigger* side (the side that originally won). A debit-balance account opens with To Balance b/d; a credit-balance account opens with By Balance b/d.
7. If both sides are already equal and non-zero, the account is closed (nil balance) — rare in this chapter. If an account has only one line, you still balance it so that the c/d is visible for the trial balance.

#### Reading a balance from a T-account

| If...                      | Balance c/d is written on... | Nature of balance | Goes to trial balance on... | Examples in Meera                                                          |
|----------------------------|------------------------------|-------------------|-----------------------------|----------------------------------------------------------------------------|
| Debit total > Credit total | Credit side                  | Debit balance     | Debit column                | Cash, Bank, Furniture, Purchases, Sana, Rent, Wages, Drawings, Electricity |
| Credit total > Debit total | Debit side                   | Credit balance    | Credit column               | Capital, Sales, Kabir, Outstanding Electricity, Commission                 |

#### 11. MEMORY TRICK

The balance c/d sits on the **poor** (smaller) side, like a guest who makes the two teams equal. The balance b/d returns to the **rich** side the next morning. Debit-balance accounts are assets / expenses / drawings. Credit-balance accounts are liabilities / capital / incomes.

#### Posting Meera's fifteen journals — every ledger, balanced

Each T-account below is posted from the journal in Section D. Particulars use the 'To / By (other account)' convention, with the date. Balance c/d is on 30 April 2025. Totals on both sides are equal. The arithmetic is shown under every account. Fourteen accounts are opened — one for every name that appeared in the journal.

##### Cash A/c

Real / Asset. Debit what comes in, credit what goes out. Four inflows, five outflows.

| Dr Cash A/c Cr       |          |                       |          |
|----------------------|----------|-----------------------|----------|
| Particulars          | ₹        | Particulars           | ₹        |
| 1 Apr To Capital     | 2,00,000 | 2 Apr By Bank         | 1,50,000 |
| 6 Apr To Sales       | 18,000   | 3 Apr By Furniture    | 25,000   |
| 15 Apr To Sana       | 10,000   | 4 Apr By Purchases    | 20,000   |
| 25 Apr To Commission | 3,000    | 18 Apr By Wages       | 4,000    |
|                      |          | 20 Apr By Drawings    | 5,000    |
|                      |          | 30 Apr By Balance c/d | 27,000   |
| Total                | 2,31,000 | Total                 | 2,31,000 |

Working: debit total ₹2,31,000 – credit total ₹2,04,000 gives a **Dr balance ₹27,000**. Both sides of the account are totalled at ₹2,31,000. On 1 May 2025 this comes down as *To Balance b/d ₹27,000* on the debit side.

##### Bank A/c

Personal (banker) and an Asset. One deposit, two payments by cheque.

| Dr Bank A/c Cr |          |                       |          |
|----------------|----------|-----------------------|----------|
| Particulars    | ₹        | Particulars           | ₹        |
| 2 Apr To Cash  | 1,50,000 | 10 Apr By Rent        | 8,000    |
|                |          | 12 Apr By Kabir       | 15,000   |
|                |          | 30 Apr By Balance c/d | 1,27,000 |
| Total          | 1,50,000 | Total                 | 1,50,000 |

Working: debit total ₹1,50,000 – credit total ₹23,000 gives a **Dr balance ₹1,27,000**. Both sides of the account are totalled at ₹1,50,000. On 1 May 2025 this comes down as *To Balance b/d ₹1,27,000* on the debit side.

### Capital A/c

Personal / Capital. Credited once, on 1 April. Credit balance = owner's claim.

| Dr Capital A/c Cr     |          |               |          |
|-----------------------|----------|---------------|----------|
| Particulars           | ₹        | Particulars   | ₹        |
| 30 Apr To Balance c/d | 2,00,000 | 1 Apr By Cash | 2,00,000 |
| Total                 | 2,00,000 | Total         | 2,00,000 |

Working: debit total ₹0 – credit total ₹2,00,000 gives a **Cr balance ₹2,00,000**. Both sides of the account are totalled at ₹2,00,000. On 1 May 2025 this comes down as *By Balance b/d ₹2,00,000* on the credit side.

### Furniture A/c

Real / Asset. One purchase, at historical cost. No depreciation in this chapter.

| Dr Furniture A/c Cr |        |                       |        |
|---------------------|--------|-----------------------|--------|
| Particulars         | ₹      | Particulars           | ₹      |
| 3 Apr To Cash       | 25,000 | 30 Apr By Balance c/d | 25,000 |
| Total               | 25,000 | Total                 | 25,000 |

Working: debit total ₹25,000 – credit total ₹0 gives a **Dr balance ₹25,000**. Both sides of the account are totalled at ₹25,000. On 1 May 2025 this comes down as *To Balance b/d ₹25,000* on the debit side.

### Purchases A/c

Nominal / Expense. Three inward lots of goods (cash + two credit). Not a Real 'Goods' account.

| Dr Purchases A/c Cr |        |                       |        |
|---------------------|--------|-----------------------|--------|
| Particulars         | ₹      | Particulars           | ₹      |
| 4 Apr To Cash       | 20,000 | 30 Apr By Balance c/d | 70,000 |
| 5 Apr To Kabir      | 40,000 |                       |        |
| 28 Apr To Kabir     | 10,000 |                       |        |
| Total               | 70,000 | Total                 | 70,000 |

Working: debit total ₹70,000 – credit total ₹0 gives a **Dr balance ₹70,000**. Both sides of the account are totalled at ₹70,000. On 1 May 2025 this comes down as *To Balance b/d ₹70,000* on the debit side.

### Sales A/c

Nominal / Income. Cash sales + credit sales. Not credited again when Sana pays.

| Dr Sales A/c Cr       |        |               |        |
|-----------------------|--------|---------------|--------|
| Particulars           | ₹      | Particulars   | ₹      |
| 30 Apr To Balance c/d | 40,000 | 6 Apr By Cash | 18,000 |
|                       |        | 8 Apr By Sana | 22,000 |
| Total                 | 40,000 | Total         | 40,000 |

Working: debit total ₹0 – credit total ₹40,000 gives a **Cr balance ₹40,000**. Both sides of the account are totalled at ₹40,000. On 1 May 2025 this comes down as *By Balance b/d ₹40,000* on the credit side.

### Kabir A/c

Personal / Liability (creditor). Two credit purchases, one part-payment.

| Dr Kabir A/c Cr       |        |                     |        |
|-----------------------|--------|---------------------|--------|
| Particulars           | ₹      | Particulars         | ₹      |
| 12 Apr To Bank        | 15,000 | 5 Apr By Purchases  | 40,000 |
| 30 Apr To Balance c/d | 35,000 | 28 Apr By Purchases | 10,000 |
| Total                 | 50,000 | Total               | 50,000 |

Working: debit total ₹15,000 – credit total ₹50,000 gives a **Cr balance ₹35,000**. Both sides of the account are totalled at ₹50,000. On 1 May 2025 this comes down as *By Balance b/d ₹35,000* on the credit side.

### Sana A/c

Personal / Asset (debtor). One credit sale, one part-collection.

| Dr Sana A/c Cr |        |                       |        |
|----------------|--------|-----------------------|--------|
| Particulars    | ₹      | Particulars           | ₹      |
| 8 Apr To Sales | 22,000 | 15 Apr By Cash        | 10,000 |
|                |        | 30 Apr By Balance c/d | 12,000 |
| Total          | 22,000 | Total                 | 22,000 |

Working: debit total ₹22,000 – credit total ₹10,000 gives a **Dr balance ₹12,000**. Both sides of the account are totalled at ₹22,000. On 1 May 2025 this comes down as *To Balance b/d ₹12,000* on the debit side.

### Rent A/c

Nominal / Expense. Paid by cheque — Bank is credited, not Cash.

| Dr Rent A/c Cr |       |                       |       |
|----------------|-------|-----------------------|-------|
| Particulars    | ₹     | Particulars           | ₹     |
| 10 Apr To Bank | 8,000 | 30 Apr By Balance c/d | 8,000 |
| Total          | 8,000 | Total                 | 8,000 |

Working: debit total ₹8,000 – credit total ₹0 gives a **Dr balance ₹8,000**. Both sides of the account are totalled at ₹8,000. On 1 May 2025 this comes down as *To Balance b/d ₹8,000* on the debit side.

### Wages A/c

Nominal / Expense. Paid in cash.

| Dr Wages A/c Cr |       |                       |       |
|-----------------|-------|-----------------------|-------|
| Particulars     | ₹     | Particulars           | ₹     |
| 18 Apr To Cash  | 4,000 | 30 Apr By Balance c/d | 4,000 |
| Total           | 4,000 | Total                 | 4,000 |

Working: debit total ₹4,000 – credit total ₹0 gives a **Dr balance ₹4,000**. Both sides of the account are totalled at ₹4,000. On 1 May 2025 this comes down as *To Balance b/d ₹4,000* on the debit side.

### Drawings A/c

Personal (owner) / contra-capital. Debit balance. Not an expense, not in P&L as a cost.

| Dr Drawings A/c Cr |       |                       |       |
|--------------------|-------|-----------------------|-------|
| Particulars        | ₹     | Particulars           | ₹     |
| 20 Apr To Cash     | 5,000 | 30 Apr By Balance c/d | 5,000 |
| Total              | 5,000 | Total                 | 5,000 |

Working: debit total ₹5,000 – credit total ₹0 gives a **Dr balance ₹5,000**. Both sides of the account are totalled at ₹5,000. On 1 May 2025 this comes down as *To Balance b/d ₹5,000* on the debit side.

### Electricity A/c

Nominal / Expense. Debited although unpaid — accrual.

| Dr Electricity A/c Cr             |       |                       |       |
|-----------------------------------|-------|-----------------------|-------|
| Particulars                       | ₹     | Particulars           | ₹     |
| 22 Apr To Outstanding Electricity | 2,000 | 30 Apr By Balance c/d | 2,000 |
| Total                             | 2,000 | Total                 | 2,000 |

Working: debit total ₹2,000 – credit total ₹0 gives a **Dr balance ₹2,000**. Both sides of the account are totalled at ₹2,000. On 1 May 2025 this comes down as *To Balance b/d ₹2,000* on the debit side.

### Outstanding Electricity A/c

Representative personal / Liability. Will be paid in May; until then it is a creditor-like balance.

| Dr Outstanding Electricity A/c Cr |       |                       |       |
|-----------------------------------|-------|-----------------------|-------|
| Particulars                       | ₹     | Particulars           | ₹     |
| 30 Apr To Balance c/d             | 2,000 | 22 Apr By Electricity | 2,000 |
| Total                             | 2,000 | Total                 | 2,000 |

Working: debit total ₹0 – credit total ₹2,000 gives a **Cr balance ₹2,000**. Both sides of the account are totalled at ₹2,000. On 1 May 2025 this comes down as *By Balance b/d ₹2,000* on the credit side.

### Commission A/c

Nominal / Income. Cash received. Credit balance.



| Dr Commission A/c Cr  |       |                |       |
|-----------------------|-------|----------------|-------|
| Particulars           | ₹     | Particulars    | ₹     |
| 30 Apr To Balance c/d | 3,000 | 25 Apr By Cash | 3,000 |
| Total                 | 3,000 | Total          | 3,000 |

Working: debit total ₹0 – credit total ₹3,000 gives a **Cr balance ₹3,000**. Both sides of the account are totalled at ₹3,000. On 1 May 2025 this comes down as *By Balance b/d ₹3,000* on the credit side.

## Posting cross-check of the ledgers

Before we move to the trial balance, confirm that every journal rupee landed somewhere. For each journal, the debit amount must appear on the debit side of the debit account, and the credit amount on the credit side of the credit account. A quick account-wise recap of the *pre-balancing* totals:

### Ledger recap of Meera Traders, 30 April 2025 — before drawing the trial balance

| Account                     | Debit postings (₹) | Credit postings (₹) | Balance c/d |
|-----------------------------|--------------------|---------------------|-------------|
| Cash A/c                    | 2,31,000           | 2,04,000            | Dr 27,000   |
| Bank A/c                    | 1,50,000           | 23,000              | Dr 1,27,000 |
| Capital A/c                 | 0                  | 2,00,000            | Cr 2,00,000 |
| Furniture A/c               | 25,000             | 0                   | Dr 25,000   |
| Purchases A/c               | 70,000             | 0                   | Dr 70,000   |
| Sales A/c                   | 0                  | 40,000              | Cr 40,000   |
| Kabir A/c                   | 15,000             | 50,000              | Cr 35,000   |
| Sana A/c                    | 22,000             | 10,000              | Dr 12,000   |
| Rent A/c                    | 8,000              | 0                   | Dr 8,000    |
| Wages A/c                   | 4,000              | 0                   | Dr 4,000    |
| Drawings A/c                | 5,000              | 0                   | Dr 5,000    |
| Electricity A/c             | 2,000              | 0                   | Dr 2,000    |
| Outstanding Electricity A/c | 0                  | 2,000               | Cr 2,000    |
| Commission A/c              | 0                  | 3,000               | Cr 3,000    |

Debit-posting column total and credit-posting column total both equal the journal column total ₹5,32,000, because posting copies both sides. Balances are the differences, and those differences are what the trial balance lists.

**Posting proof.** Sum of all debit postings across all ledgers = ₹5,32,000. Sum of all credit postings = ₹5,32,000. These equal the journal column total. If they did not, a line was posted to the wrong side or skipped. This proof is not the trial balance — the trial balance uses balances, not these raw postings. The balances themselves add to ₹2,80,000 on each side, which is the next section.

### SOLVED EXAMPLE E1 · EASY

#### Post one journal into two T-accounts

Journal of 3 April: Dr Furniture ₹25,000, To Cash ₹25,000.

Furniture is debited in the journal → debit side of Furniture A/c: *3 Apr To Cash 25,000*.

Cash is credited in the journal → credit side of Cash A/c: *3 Apr By Furniture 25,000*.

Furniture has no other line this month, so it is balanced: By Balance c/d ₹25,000 on the credit side, total ₹25,000 both sides, To Balance b/d ₹25,000 on 1 May.

**Balance the Cash account from scratch (show every addition)**

Debit side of Cash (money in):

- 1 Apr To Capital = ₹2,00,000
- 6 Apr To Sales = ₹18,000
- 15 Apr To Sana = ₹10,000
- 25 Apr To Commission = ₹3,000
- Debit total = 2,00,000 + 18,000 = 2,18,000; + 10,000 = 2,28,000; + 3,000 = **₹2,31,000**

Credit side of Cash (money out):

- 2 Apr By Bank = ₹1,50,000
- 3 Apr By Furniture = ₹25,000
- 4 Apr By Purchases = ₹20,000
- 18 Apr By Wages = ₹4,000
- 20 Apr By Drawings = ₹5,000
- Credit total = 1,50,000 + 25,000 = 1,75,000; + 20,000 = 1,95,000; + 4,000 = 1,99,000; + 5,000 = **₹2,04,000**

Bigger side is Debit ₹2,31,000. Difference = 2,31,000 – 2,04,000 = **₹27,000**. Write By Balance c/d ₹27,000 on the credit side. Both sides now total ₹2,31,000. Nature: Debit balance ₹27,000 = cash in hand on 30 April 2025. On 1 May: To Balance b/d ₹27,000 on the debit side of Cash.

| Dr Cash A/c Cr       |          |                       |          |
|----------------------|----------|-----------------------|----------|
| Particulars          | ₹        | Particulars           | ₹        |
| 1 Apr To Capital     | 2,00,000 | 2 Apr By Bank         | 1,50,000 |
| 6 Apr To Sales       | 18,000   | 3 Apr By Furniture    | 25,000   |
| 15 Apr To Sana       | 10,000   | 4 Apr By Purchases    | 20,000   |
| 25 Apr To Commission | 3,000    | 18 Apr By Wages       | 4,000    |
|                      |          | 20 Apr By Drawings    | 5,000    |
|                      |          | 30 Apr By Balance c/d | 27,000   |
| Total                | 2,31,000 | Total                 | 2,31,000 |

Working: debit total ₹2,31,000 – credit total ₹2,04,000 gives a **Dr balance ₹27,000**. Both sides of the account are totalled at ₹2,31,000. On 1 May 2025 this comes down as *To Balance b/d ₹27,000* on the debit side.

**9. HOW TO IDENTIFY THE QUESTION**

If the question says '*post to ledger*' / '*prepare ledger accounts*' / '*show T-accounts*', they want every account opened, posted, and balanced, with totals. If it says '*prepare the Cash Book*', that is a specialised ledger (later refinement) — in this chapter Cash is an ordinary T-account. If it says '*balance the following account*', show both sides, c/d on the smaller, totals, and state the nature of the balance in a line underneath. If journal is not asked, you may still sketch it in rough — posting from thin air costs marks.

**10. COMMON MISTAKES**

- Writing 'To Cash' on the debit of Cash (the other account must be named: To Capital, To Sales, To Sana, To Commission).
- Using 'By' on the debit side or 'To' on the credit side.
- Putting Balance c/d on the bigger side. c/d always pads the smaller side.
- Forgetting to bring down Balance b/d, or bringing it down on the same side as c/d.

- Posting the narration. Posting the journal totals as if they were an account.
- Skipping an account that appeared only once (Commission, Furniture, Drawings) — it still needs a page and a balance.
- Balancing Capital onto the debit column of the trial balance (Capital is a credit balance).

#### 12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)

What is a ledger? Distinguish it from a journal and explain balancing of an account.

- A ledger is the principal book in which a separate account is opened for every account named in the journal, and all debits and credits of that account are posted. It is account-wise; the journal is date-wise.
- Journal is the book of original entry (first recording, with narration). Ledger is the book of final entry (classified recording, source of balances). L.F. in the journal points to the ledger page; J.F. in the ledger points back to the journal page.
- Posting rule: a debit in the journal is written on the debit side of that account as 'To (other account)'; a credit in the journal is written on the credit side as 'By (other account)'.
- Balancing: total both sides; write Balance c/d on the smaller side so that sides agree; bring the same figure down on the opposite side as Balance b/d next period. Debit balance = assets / expenses / drawings. Credit balance = liabilities / capital / incomes.
- Illustration: Meera's Cash A/c debit postings ₹2,31,000, credit postings ₹2,04,000, Balance c/d ₹27,000 (debit). Kabir A/c credit postings ₹50,000, debit postings ₹15,000, Balance c/d ₹35,000 (credit).

#### CONNECT THE CHAPTERS

Fourteen balances are now sitting in the ledgers. The next — and last — book of this chapter is a list of those balances, debit column versus credit column. If dual aspect and posting were both honest, the two columns will be equal. That list is the trial balance.

## F. Trial Balance

#### 1. WHAT IS IT? — DEFINITION

A **trial balance** is a statement (not a book, not an account) that lists every ledger balance on a given date, with debit balances in one column and credit balances in the other. If double entry and posting have been arithmetically honest, the two columns are equal. It is a test of arithmetical accuracy, a summary of the ledger, and the raw material of the financial statements that come in later chapters.

#### 2. IN SIMPLE WORDS

Take the last line of every T-account — the Balance c/d, flipped back to its true side — and copy it onto a two-column list. Assets, expenses and drawings on the left. Liabilities, capital and incomes on the right. Add. If the additions match, the books are arithmetically in balance. They are not necessarily *correct* (Section F will show you errors a trial balance cannot see).

#### 3. WHY DO WE NEED IT?

Without a trial balance you would walk into the Trading Account with unbalanced books and a profit figure you cannot trust. With it, you (a) catch unequal postings, (b) get a one-page photograph of every account, and (c) have a starting sheet for final accounts. It is the bouncer at the door between the ledger and the financial statements.

#### 4. REAL-LIFE EXAMPLE

On 30 April Meera's accountant balances fourteen T-accounts, copies the fourteen balances onto a sheet headed 'Trial Balance of Meera Traders as at 30 April 2025', and adds. Both columns are ₹2,80,000. She can now, in a later chapter, build a Trading and Profit and Loss Account and a Balance Sheet from this sheet, after adjustments (closing stock, depreciation) that we are deliberately not making yet.

#### 5. ACCOUNTING LOGIC

Why must the columns agree? Because of dual aspect: every debit had an equal credit in the journal, and posting copied both sides. The leftover differences (balances) are just a regrouping of those equal pairs, so they too must be equal. Formally: Assets + Expenses + Drawings = Liabilities + Capital + Incomes.

## Which balances go where

**DEAD on the debit; CLIC on the credit**

| Debit column of the trial balance                                                  | Credit column of the trial balance                                         |
|------------------------------------------------------------------------------------|----------------------------------------------------------------------------|
| Assets (Cash, Bank, Furniture, Debtors, Stock when given, Prepaid expenses)        | Liabilities (Creditors, Outstanding expenses, Loans, Bank overdraft)       |
| Expenses and losses (Purchases, Rent, Wages, Electricity, Carriage, Sales returns) | Incomes and gains (Sales, Commission, Interest received, Purchase returns) |
| Drawings (and any other contra-capital debit)                                      | Capital (and any reserve, in a company)                                    |

### 11. MEMORY TRICK

Trial balance columns = **DEAD | CLIC**. Debit: Expenses, Assets, Drawings. Credit: Liabilities, Incomes, Capital. If you have parked Purchases on the credit, you have classified it as an income — stop.

## Format

### 6. FORMAT — TRIAL BALANCE (BALANCES METHOD)

#### Trial Balance of (name) as at (date)

Columns: S. No. | Name of account | L.F. | Debit (₹) | Credit (₹)

One line per account that has a leftover balance. Accounts with a nil balance may be omitted. Totals of the two amount columns are written on the last row and must agree.

Three methods exist. **Balances method** (used here, and in almost every exam) lists balances. **Totals method** lists the raw debit total and credit total of each ledger (before balancing) — both grand totals still agree, but the sheet is bulkier and is not used to prepare final accounts. **Totals-cum-balances** shows both. Always use the balances method unless the question forces another.

## Meera's Trial Balance as at 30 April 2025

Copied from the Balance c/d of every ledger in Section E. April has 30 days, so the date is 30 April 2025, not 31 April. Closing stock is not on this trial balance because we did not pass a closing-stock entry. Depreciation is not on it because we did not charge any. Purchases of ₹70,000 include goods still in the shop — do not read this sheet as a Profit and Loss Account.

### Trial Balance of Meera Traders as at 30 April 2025

| S. No. | Name of account | L.F. | Debit (₹) | Credit (₹) |
|--------|-----------------|------|-----------|------------|
| 1      | Cash            |      | 27,000    |            |
| 2      | Bank            |      | 1,27,000  |            |
| 3      | Furniture       |      | 25,000    |            |
| 4      | Sana            |      | 12,000    |            |
| 5      | Drawings        |      | 5,000     |            |
| 6      | Purchases       |      | 70,000    |            |
| 7      | Rent            |      | 8,000     |            |
| 8      | Wages           |      | 4,000     |            |
| 9      | Electricity     |      | 2,000     |            |
| 10     | Capital         |      |           | 2,00,000   |

| S. No. | Name of account         | L.F. | Debit (₹)       | Credit (₹)      |
|--------|-------------------------|------|-----------------|-----------------|
| 11     | Kabir                   |      |                 | 35,000          |
| 12     | Outstanding Electricity |      |                 | 2,000           |
| 13     | Sales                   |      |                 | 40,000          |
| 14     | Commission              |      |                 | 3,000           |
|        | <b>Total</b>            |      | <b>2,80,000</b> | <b>2,80,000</b> |

Totals equal. Dual aspect and posting both survive the test. This is the balances method.

### Addition of the debit column — do not skip

1. Cash ₹27,000 + Bank ₹1,27,000 = ₹1,54,000
2. ₹1,54,000 + Furniture ₹25,000 = ₹1,79,000
3. ₹1,79,000 + Sana ₹12,000 = ₹1,91,000
4. ₹1,91,000 + Drawings ₹5,000 = ₹1,96,000
5. ₹1,96,000 + Purchases ₹70,000 = ₹2,66,000
6. ₹2,66,000 + Rent ₹8,000 = ₹2,74,000
7. ₹2,74,000 + Wages ₹4,000 = ₹2,78,000
8. ₹2,78,000 + Electricity ₹2,000 = ₹2,80,000

### Addition of the credit column — do not skip

1. Capital ₹2,00,000 + Kabir ₹35,000 = ₹2,35,000
2. ₹2,35,000 + Outstanding Electricity ₹2,000 = ₹2,37,000
3. ₹2,37,000 + Sales ₹40,000 = ₹2,77,000
4. ₹2,77,000 + Commission ₹3,000 = ₹2,80,000

#### KEY POINT

Debit total ₹2,80,000 = Credit total ₹2,80,000. The trial balance ties. If your working copy does not, you have a posting or a balancing error — go back to the T-accounts; do not 'adjust' a balancing figure on the trial balance itself (that is the job of a suspense account, a later topic, and even then only after you have hunted).

### The same numbers as the trial-balance equation

**Assets + Expenses + Drawings = Liabilities + Capital + Incomes**

| Left (normal-debit boxes) | ₹               | Right (normal-credit boxes)           | ₹               |
|---------------------------|-----------------|---------------------------------------|-----------------|
| Assets — Cash             | 27,000          | Capital                               | 2,00,000        |
| Assets — Bank             | 1,27,000        | Liabilities — Kabir                   | 35,000          |
| Assets — Furniture        | 25,000          | Liabilities — Outstanding Electricity | 2,000           |
| Assets — Sana (debtor)    | 12,000          | Incomes — Sales                       | 40,000          |
| Drawings                  | 5,000           | Incomes — Commission                  | 3,000           |
| Expenses — Purchases      | 70,000          |                                       |                 |
| Expenses — Rent           | 8,000           |                                       |                 |
| Expenses — Wages          | 4,000           |                                       |                 |
| Expenses — Electricity    | 2,000           |                                       |                 |
| <b>Total</b>              | <b>2,80,000</b> | <b>Total</b>                          | <b>2,80,000</b> |

#### WATCH OUT

**Do not compute a fake profit from this sheet.** Sales ₹40,000 + Commission ₹3,000 – Purchases ₹70,000 – Rent ₹8,000 – Wages ₹4,000 – Electricity ₹2,000 = a 'loss' of ₹41,000, but Purchases include unsold goods. Matching forbids this subtraction until closing stock is brought in. Chapter 1 stops at the trial balance. The shop is not loss-making just because the stock is still on the shelf. Write this sentence in the exam if you are asked 'comment on the performance' from a trial balance that has purchases and no closing stock: *Performance cannot be judged until the Trading Account is prepared with closing stock.*

## What the trial balance DOES catch

### Errors that make the trial balance disagree

| Error                                                                                | Why the TB refuses to agree                                                                         | Meera-style picture                                                            |
|--------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------|
| Posted to one side only (partial omission of posting)                                | One account got the rupees, the other did not                                                       | Dr Purchases ₹40,000 posted, Cr Kabir forgotten → debit column ₹40,000 too big |
| Unequal posting / different amounts on the two sides                                 | Dr ≠ Cr for that pair                                                                               | Rent ₹8,000 posted as Dr Rent ₹8,000, Cr Bank ₹800                             |
| Posted twice on the same side                                                        | That column grows by the extra amount                                                               | Cash sale posted twice to Cash, once to Sales                                  |
| Balance of an account listed on the wrong side of the TB                             | A debit balance sitting in the credit column (or reverse) shifts the difference by twice the amount | Putting Drawings ₹5,000 in the credit column                                   |
| Wrong totalling of a ledger side or of the TB itself                                 | Pure arithmetic                                                                                     | Cash debit side added as ₹2,21,000 instead of ₹2,31,000                        |
| Balance omitted from the TB                                                          | That column is short                                                                                | Forgetting to list Commission ₹3,000                                           |
| Transposition / slide on one side only (₹1,250 written as ₹1,520, or ₹8,000 as ₹800) | One side off by a difference that is often divisible by 9 (a hunting clue)                          | Wages ₹4,000 posted as ₹4,000 debit and ₹400 credit                            |

## What the trial balance does NOT catch

### A trial balance that ties is not a certificate of truth

| Error                                                                       | Why the TB still agrees                                                   | Meera-style picture                                                                                              |
|-----------------------------------------------------------------------------|---------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------|
| <b>Error of omission</b> (complete)                                         | Both debit and credit never entered, so both columns miss the same rupees | The 25 Apr commission of ₹3,000 is wholly left out of the journal                                                |
| <b>Error of omission of posting</b> (both sides skipped after journalising) | Journal has it; neither ledger is posted; balances miss both sides        | Furniture journal written, Furniture A/c and Cash A/c never opened for it                                        |
| <b>Error of principle</b>                                                   | Wrong <i>class</i> of account, but Dr still equals Cr                     | Furniture ₹25,000 debited to Purchases instead of Furniture — TB agrees, assets understated, expenses overstated |
| <b>Error of commission</b> (wrong account of the same class)                | A personal account of one person instead of another; sides still equal    | Credit sales to Sana posted to 'Sana' wrongly as 'Kabir' debit — still a personal debit                          |
| <b>Compensating errors</b>                                                  | Two (or more) errors of equal amount cancel                               | Cash undercast by ₹1,000 and Sales undercast by ₹1,000                                                           |
| <b>Wrong amount on both sides</b> (error of original entry)                 | Journal itself has the wrong rupees, posted faithfully both ways          | Kabir's invoice ₹40,000 journalised as ₹4,000 Dr Purchases, Cr Kabir                                             |
| <b>Complete reversal</b>                                                    | Debit and credit swapped; amounts still equal                             | Dr Capital, Cr Cash for the 1 Apr introduction — TB agrees, Cash is a credit (absurd), Capital is a debit        |

### KEY POINT

A trial balance is a test of *arithmetic*, not of *principle*. It catches unequal posting and one-side misses. It does not catch omitted transactions, double omissions of posting, errors of principle, compensating errors, the same wrong amount on both sides, or a complete reversal. Examiners ask this list by heart.

## Objectives and limitations — exam-ready

### 12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)

State the objectives (functions) of a trial balance.

- To test the arithmetical accuracy of posting and balancing (dual aspect made visible).
- To summarise all ledger balances on one date, on one page.
- To help locate errors when the columns disagree (unequal posting, one side missed, wrong-side listing, totalling errors).
- To provide the opening sheet for preparing Trading A/c, Profit and Loss A/c and Balance Sheet (after adjustments in later chapters).
- To give a quick reading of assets, liabilities, incomes and expenses before the statements are drawn.

Illustration: Meera's trial balance as at 30 April 2025 totals ₹2,80,000 both sides and is the photograph of her fourteen ledger balances.

### 12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)

State the limitations of a trial balance.

- Agreement is not conclusive proof of accuracy — only of arithmetic equality of debits and credits.
- It does not detect: complete omission, omission of posting on both sides, error of principle, error of commission (wrong account of same class), compensating errors, wrong original amount on both sides, complete reversal.
- It does not prove that the profit is true (matching items such as closing stock, depreciation, outstanding/prepaid may still be missing — as they are, deliberately, in Chapter 1).
- It is not a financial statement and not a substitute for a Balance Sheet. A trial balance has expenses and incomes on it; a Balance Sheet does not.
- It cannot, by itself, say which account is wrong when it disagrees — it only raises the alarm. Location of the error needs a hunt (difference, divisibility by 9, comparison with journal).

One-line close: a trial balance that agrees can still be wrong; a trial balance that disagrees is definitely arithmetically wrong.

### SOLVED EXAMPLE F1 · EASY

#### Place the balance — debit or credit column?

1. Cash ₹27,000 — *Debit (asset)*.
2. Capital ₹2,00,000 — *Credit*.
3. Purchases ₹70,000 — *Debit (expense)*.
4. Sales ₹40,000 — *Credit (income)*.
5. Drawings ₹5,000 — *Debit (not an expense, but still a debit balance)*.
6. Outstanding electricity ₹2,000 — *Credit (liability)*.
7. Sana ₹12,000 — *Debit (debtor / asset)*.
8. Kabir ₹35,000 — *Credit (creditor / liability)*.
9. Commission ₹3,000 — *Credit (income)*.
10. Furniture ₹25,000 — *Debit (asset)*.

### SOLVED EXAMPLE F2 · MODERATE

#### Will the trial balance agree? Six independent errors

Start from Meera's tying TB of ₹2,80,000. Take each error one at a time (not together) and say agree / disagree, and by how much if it disagrees.

1. The 25 Apr commission of ₹3,000 is completely omitted. *Agrees. Both sides miss ₹3,000. New totals ₹2,77,000. Error of omission.*
2. Furniture ₹25,000 is debited to Purchases instead of Furniture. *Agrees. Error of principle. Purchases becomes ₹95,000, Furniture disappears. Totals still ₹2,80,000. The Balance Sheet (later) will miss an asset.*
3. Rent posted Dr Rent ₹8,000, Cr Bank ₹800. *Disagrees. Credit column short by ₹7,200.*
4. Cash from Sana ₹10,000 credited to Sales instead of Sana. *Agrees. Error of principle / commission. Sales overstated, Sana's balance not reduced. Still equal.*
5. Wages ₹4,000 posted only to the debit of Wages, credit to Cash forgotten. *Disagrees. Debit column ₹4,000 too big.*
6. 1 Apr capital entry reversed: Dr Capital, Cr Cash ₹2,00,000. *Agrees. Complete reversal. Cash would show a credit balance (nonsensical) but the columns would still match.*

#### SOLVED EXAMPLE F3 · EXAM-LEVEL

#### 8 marks — prepare a trial balance from balances, then answer limitations

**Part A.** You have already prepared Meera's TB above — that is the 8-mark numerical. Always: heading with name and date, L.F. column, DEAD on debit, CLIC on credit, totals equal, no closing stock invented.

**Part B (5 marks theory, often attached).** 'The agreement of a trial balance is not a conclusive proof of the accuracy of the books. Explain.'

#### 12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)

A trial balance agrees when the total of debit balances equals the total of credit balances. That equality follows from dual aspect and from posting both sides. It proves arithmetic equality, not the absence of every error.

Errors that leave the equality intact include: complete omission of a transaction, omission of posting on both sides, error of principle (capital item treated as revenue or the reverse), error of commission (posted to the wrong account of the same class), compensating errors, recording the wrong amount on both sides, and complete reversal of an entry.

Illustration: if Meera's furniture of ₹25,000 is debited to Purchases, the trial balance still totals ₹2,80,000, but the asset Furniture is missing and expenses are overstated. A true and fair view is lost even though the bouncer at the door smiled. Hence agreement is necessary but not sufficient.

### Identify the question — journal, ledger, TB, or 'find the error'

#### 9. HOW TO IDENTIFY THE QUESTION

**If the question gives transactions and asks 'journalise'** → stop at the journal (Section D method). Do not draw T-accounts unless asked. **If it asks 'post to the ledger' / 'prepare accounts'** → journal in rough if needed, then T-accounts, balance every account, show totals. **If it asks 'prepare a trial balance'** → you need balances. If transactions are given, you must journalise and post first (even if those workings are 'rough'), then list DEAD | CLIC, then add. Never invent closing stock. **If it says 'the trial balance does not agree, find the error'** → compute the difference; if divisible by 2, look for a balance on the wrong side; if divisible by 9, look for a transposition; look for an amount equal to the difference that was posted one side only. **If it says 'TB agrees, yet the books are wrong — explain'** → they want the limitations list (omission, principle, commission, compensating, original-entry, reversal), each with a one-line illustration. **If it mixes theory** ('is TB a conclusive proof?') with a numerical, split your answer: numerical first (marks are in the totals), theory second (the list).

#### 10. COMMON MISTAKES

- Dating the TB 31 April, or 'for the year ended 30 April' (it is a statement *as at* a date, not an account 'for' a period — though incomes and expenses of the period appear on it).
- Putting Sales in the debit column and Purchases in the credit column.
- Putting Drawings in the credit column 'because it relates to the owner'. Drawings is a debit balance.



- Putting Outstanding electricity in the debit column 'because electricity is an expense'. The outstanding account is a liability.
- Adding closing stock on the debit of a Chapter-1 TB when no adjustment entry was passed. (When closing stock is given as an adjustment, it appears in the TB as a debit after the adjustment — that is a later chapter.)
- Calling a tying TB 'proof that the profit is correct'.
- Forcing the TB to agree by parking the difference in Capital. Hunt, or (later) use Suspense — do not silently corrupt Capital.

## G. Common mistakes, memory tricks, exam tips — and the flow of the books

### The accounting flow (memorise, then draw in 30 seconds)

#### 6. FORMAT — FROM A RUPEE EVENT TO THE FINANCIAL STATEMENTS

**TRANSACTION** (a rupee event that passes the four gates)

↓

**VOUCHER / SOURCE DOCUMENT** (cash memo, invoice, cheque, payslip, debit/credit note, internal voucher)

↓

**JOURNAL** (book of original entry — chronological, with narration)

↓

**LEDGER** (book of final entry — account-wise T-accounts, posted, balanced)

↓

**TRIAL BALANCE** (statement of balances — arithmetical check)

↓

**ADJUSTMENTS** (closing stock, depreciation, outstanding/prepaid, more — later chapters)

↓

**FINANCIAL STATEMENTS** (Trading A/c → Profit and Loss A/c → Balance Sheet) — preview of later chapters; not prepared in Chapter 1

Meera's Chapter 1 stops at the trial balance. The arrows after that are so you never think the TB is the last word. Profit lives in the Profit and Loss Account, not in the TB.

#### Five stages, five questions

| Stage                 | Question it answers                                               | Order                     | Meera in April                                                    |
|-----------------------|-------------------------------------------------------------------|---------------------------|-------------------------------------------------------------------|
| Transaction + voucher | Did something real happen, in rupees, to the shop, with evidence? | Event order               | 15 events, each with a memo / invoice / cheque / internal voucher |
| Journal               | What happened, on which date, Dr which, Cr which, why?            | Date order                | 15 journals, column totals ₹5,32,000                              |
| Ledger                | What is the story of this one account, and what is left?          | Account order             | 14 T-accounts, each balanced on 30 Apr                            |
| Trial balance         | Do all leftover balances still obey dual aspect?                  | List of balances          | As at 30 Apr 2025, totals ₹2,80,000 both sides                    |
| Statements (later)    | Did we make a profit, and what do we own/owe?                     | Performance then position | Not in this chapter (needs stock & depreciation)                  |

### Memory sheet (one page, before you walk into the hall)

#### Chant these on the bus to the exam centre

| Idea              | Hook                                                       |
|-------------------|------------------------------------------------------------|
| Entity            | Owner = stranger. Household milk from the till = Drawings. |
| Money measurement | No rupee, no record.                                       |

| Idea                | Hook                                                                                                |
|---------------------|-----------------------------------------------------------------------------------------------------|
| Going concern       | Not a garage sale tomorrow.                                                                         |
| Cost                | Record the bill, not the dream price.                                                               |
| Dual aspect         | Two sides to every story; rupees equal.                                                             |
| Accrual             | Earned not received; incurred not paid.                                                             |
| Matching            | Pair the cost with the sale of the same period.                                                     |
| Prudence            | Hope for the best, provide for the worst (in the books).                                            |
| Consistency         | Don't change the scale.                                                                             |
| Materiality         | Don't sweat the stapler; never hide the building.                                                   |
| Full disclosure     | Tell the whole truth a user needs.                                                                  |
| Periodicity         | Cut the movie into episodes. Indian year: 1 Apr–31 Mar.                                             |
| Revenue             | Sale is on the invoice, not on the cash.                                                            |
| Golden rules        | Personal: receiver Dr, giver Cr. Real: in Dr, out Cr. Nominal: expenses Dr, incomes Cr.             |
| Modern / TB columns | DEAD CLIC — Dr: Expenses Assets Drawings. Cr: Liabilities Incomes Capital.                          |
| Purchases vs Sales  | Inward goods → Purchases (never Goods A/c). Outward goods → Sales. Settlements do not retouch them. |
| Journal vs Ledger   | Journal = diary (date). Ledger = files (account). 'To' on Dr side of ledger, 'By' on Cr side.       |
| Balancing           | c/d on the poor (smaller) side; b/d returns to the rich side next morning.                          |
| TB catches          | One side missed, unequal posting, wrong-side listing, totalling errors.                             |
| TB misses           | Omission, principle, commission, compensating, wrong amount both sides, reversal.                   |
| April               | Has 30 days. Date the TB 30 April 2025.                                                             |

## Common mistakes (the full charge-sheet)

### 10. COMMON MISTAKES

- Mixing Meera the person with Meera Traders — personal fees from the till recorded as an expense instead of Drawings.
- Waiting for cash before recording credit purchases, credit sales, or outstanding electricity.
- Crediting Sales a second time when a debtor pays; debiting Purchases a second time when a creditor is paid.
- Debiting Goods A/c / Stock A/c for purchases in Chapter 1.
- Treating Bank deposit as Dr Bank, Cr Capital (Capital was already credited on day one).
- Writing 'By' in the journal, or writing the credit account first.
- Putting Balance c/d on the bigger side of a T-account.
- Listing Capital, Sales or Creditors in the debit column of the TB; listing Drawings or Purchases in the credit column.
- Inventing closing stock or depreciation to 'complete' Chapter 1. Do not.
- Computing Sales – Purchases from the TB and calling it profit.
- Dating anything 31 April.
- Calling a tying trial balance conclusive proof of accuracy.
- Skipping the four gates and journalising a quotation or a market-value change.
- Using 'To Sundries' to hide the fact that you cannot name the other account.

## Exam tips

### EXAM TIP

Numerical questions are won in the rough sheet. Always: (1) four gates, (2) name the two accounts, (3) classify, (4) apply one language of rules, (5) check Dr = Cr, (6) only then copy into the ruling. A student who writes straight into the journal ruling reverses at least one entry every sitting.

#### EXAM TIP

Theory questions are won with a definition, two points of explanation, one illustration, and one line of importance. Meera Traders is a legal illustration — use her rupees (₹2,00,000 capital, ₹2,000 outstanding electricity, ₹5,000 drawings, ₹22,000 credit sale to Sana). Examiners prefer a concrete rupee to a vague 'for example a firm'.

#### EXAM TIP

Presentation: journal with narrations unless waived; ledger with To/By and totals; trial balance with a heading, a date 'as at 30 April 2025', and a total line that you have actually added (show the addition in rough). Neat rulings score; sprawling arrows do not. If a TB disagrees and you have two minutes left, write the difference and the most likely class of error — do not silently 'adjust' Capital.

#### EXAM TIP

Time budget for a 15-mark 'journal, ledger, TB' question: 4 minutes journals, 7 minutes ledgers (open all accounts before you post the first line, so you do not forget Commission), 3 minutes TB, 1 minute to re-add. Leave depreciation and stock alone unless the question asked for them.

## Practice

### PRACTICE G1 · EASY

#### Four gates and a concept

Meera is offered ₹32,000 for her furniture (cost ₹25,000) by a neighbouring café, for delivery next week. She is considering it. Is there a journal today? Which concepts decide the answer? If she accepts and delivers next week, what (in outline) will the entry be then?

#### ANSWER / SOLUTION

**Today:** no journal. The offer is not a transaction (has not happened; no invoice). Cost concept and prudence also forbid writing the furniture up to ₹32,000. Money measurement does not let us record 'a good offer'.

**On delivery next week:** Dr Cash / Bank / Debtor ₹32,000; Cr Furniture ₹25,000; Cr Profit on sale of furniture ₹7,000 (a nominal gain — realisation has now happened). That is a later-period entry, not April's. Going concern of April is not broken just because she is considering a sale.

### PRACTICE G2 · MODERATE

#### Journal + one ledger + a question on TB

From Meera's books, without looking back: (a) journalise 12 Apr, 15 Apr and 22 Apr; (b) show Kabir's ledger after all April postings, balanced; (c) state two errors that would leave the trial balance still agreeing, using these three dates as illustrations.

#### ANSWER / SOLUTION

##### (a) Three journals

| Date        | Particulars         | L.F. | Debit (₹) | Credit (₹) |
|-------------|---------------------|------|-----------|------------|
| 12 Apr 2025 | Kabir A/c ..... Dr. |      | 15,000    |            |
|             | To Bank A/c         |      |           | 15,000     |

| Date        | Particulars                                                    | L.F. | Debit (₹) | Credit (₹) |
|-------------|----------------------------------------------------------------|------|-----------|------------|
|             | <i>(Being part payment made to Kabir by cheque.)</i>           |      |           |            |
| 15 Apr 2025 | Cash A/c ..... Dr.                                             |      | 10,000    |            |
|             | To Sana A/c                                                    |      |           | 10,000     |
|             | <i>(Being cash received from Sana against credit sales.)</i>   |      |           |            |
| 22 Apr 2025 | Electricity A/c ..... Dr.                                      |      | 2,000     |            |
|             | To Outstanding Electricity A/c                                 |      |           | 2,000      |
|             | <i>(Being electricity charges for April remaining unpaid.)</i> |      |           |            |

**(b)** Kabir A/c — Dr: 12 Apr To Bank 15,000; 30 Apr To Balance c/d 35,000. Cr: 5 Apr By Purchases 40,000; 28 Apr By Purchases 10,000. Totals 50,000 both sides. Credit balance ₹35,000.

**(c)** Complete omission of the 22 Apr outstanding entry: TB still agrees, expense and liability both missing (accrual failure too). Complete reversal of 15 Apr (Dr Sana, Cr Cash ₹10,000): TB still agrees, but Cash and Sana are both wrong. Error of principle on 12 Apr (Dr Purchases instead of Dr Kabir): TB still agrees, Purchases overstated, Kabir still showing ₹50,000.

### PRACTICE G3 · EXAM-LEVEL

#### 15 marks — the full cycle on a short set (not Meera, so you cannot copy)

Ruchi Traders, a book shop, started on 1 June 2025. Prepare Journal, Ledger (all accounts, balanced) and a Trial Balance as at 30 June 2025. Do not adjust closing stock. Do not charge depreciation.

- 1 Jun — Ruchi introduced cash ₹1,20,000.
- 2 Jun — Deposited ₹80,000 into bank.
- 4 Jun — Bought furniture by cheque ₹15,000.
- 5 Jun — Bought goods for cash ₹10,000 and from Omar on credit ₹30,000.
- 8 Jun — Cash sales ₹9,000; credit sales to Tara ₹16,000.
- 12 Jun — Paid Omar by cheque ₹12,000.
- 18 Jun — Received from Tara by cash ₹6,000.
- 20 Jun — Wages paid in cash ₹3,000; rent unpaid ₹4,000.
- 25 Jun — Ruchi took cash ₹2,000 for home.
- 28 Jun — Commission received in cash ₹1,000.

Hint: 5 Jun can be two simple entries or one compound (Dr Purchases ₹40,000; To Cash ₹10,000, To Omar ₹30,000). 20 Jun is two events: Dr Wages Cr Cash, and Dr Rent Cr Outstanding Rent. 8 Jun is two sales. Count the accounts before you open the ledgers: Cash, Bank, Capital, Furniture, Purchases, Omar, Sales, Tara, Wages, Rent, Outstanding Rent, Drawings, Commission.

**Key balances you should land on (check after you finish):** Cash — in: 1,20,000 + 9,000 + 6,000 + 1,000 = 1,36,000; out: 80,000 + 10,000 + 3,000 + 2,000 = 95,000; bal Dr ₹41,000. Bank — in 80,000; out 15,000 + 12,000 = 27,000; bal Dr ₹53,000. Purchases Dr ₹40,000. Sales Cr ₹25,000. Omar Cr ₹18,000. Tara Dr ₹10,000. Furniture Dr ₹15,000. Capital Cr ₹1,20,000. Drawings Dr ₹2,000. Wages Dr ₹3,000. Rent Dr ₹4,000. Outstanding Rent Cr ₹4,000. Commission Cr ₹1,000.

**Trial Balance total:** Dr: 41,000 + 53,000 + 15,000 + 40,000 + 10,000 + 2,000 + 3,000 + 4,000 = ₹1,68,000. Cr: 1,20,000 + 18,000 + 25,000 + 4,000 + 1,000 = ₹1,68,000. It must tie. If it does not, hunt — do not touch Capital.

### A last look at Meera — where every rupee sits on 30 April 2025

If you can explain this table in one minute, the chapter has done its job.

#### Meera Traders — the whole of Chapter 1 in fourteen balances

| Account | Why it exists (one breath) | Balance | Side |
|---------|----------------------------|---------|------|
|---------|----------------------------|---------|------|

| Account                 | Why it exists (one breath)                                            | Balance          | Side                |
|-------------------------|-----------------------------------------------------------------------|------------------|---------------------|
| Cash                    | What is in the till after all inflows and outflows                    | ₹27,000          | Dr — asset          |
| Bank                    | What is in the current account after the deposit and two cheques      | ₹1,27,000        | Dr — asset          |
| Furniture               | Shelves and counter at historical cost, still going concern           | ₹25,000          | Dr — asset          |
| Sana                    | Credit customer who has not yet paid the remaining bill               | ₹12,000          | Dr — asset (debtor) |
| Drawings                | Shop cash Meera took home — owner is a stranger                       | ₹5,000           | Dr — contra-capital |
| Purchases               | All goods bought in April, sold or unsold — no stock adjustment yet   | ₹70,000          | Dr — expense        |
| Rent                    | April's shop rent, matched to April, paid by cheque                   | ₹8,000           | Dr — expense        |
| Wages                   | Helper's April wages, paid in cash                                    | ₹4,000           | Dr — expense        |
| Electricity             | April's light, accrued, matched, not paid                             | ₹2,000           | Dr — expense        |
| Capital                 | What the shop owes Meera for her 1 April introduction                 | ₹2,00,000        | Cr — capital        |
| Kabir                   | Wholesaler still to be paid after one cheque                          | ₹35,000          | Cr — liability      |
| Outstanding Electricity | The electricity company as a representative creditor                  | ₹2,000           | Cr — liability      |
| Sales                   | Goods sold for cash and on credit — earned, not necessarily collected | ₹40,000          | Cr — income         |
| Commission              | Display commission earned and received                                | ₹3,000           | Cr — income         |
| <b>Trial balance</b>    | <b>Dual aspect, still standing</b>                                    | <b>₹2,80,000</b> | <b>both sides</b>   |

#### CONNECT THE CHAPTERS

Next chapters will take this same trial balance and (a) adjust closing stock so that Purchases can become Cost of goods sold, (b) charge depreciation on Furniture so that cost is matched over years, (c) prepare the Trading and Profit and Loss Account, and (d) prepare the Balance Sheet. None of that changes a single journal you wrote in April. Adjustments are additional journals. The fifteen entries of this chapter stay as they are.

#### Is a trial balance a conclusive proof of accuracy of the books? (5 marks)

5

##### 12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)

No. A trial balance is a test of arithmetical accuracy of double entry and posting. When it agrees, total debit balances equal total credit balances. That equality can survive serious errors.

It will not reveal: complete omission of a transaction, omission of posting on both sides, error of principle (Meera's furniture debited to Purchases), error of commission, compensating errors, a wrong amount entered on both sides, or a complete reversal.

It also says nothing about whether matching is complete (Meera's TB has no closing stock and no depreciation, by design).

Therefore agreement is necessary before preparing final accounts, but it is not sufficient proof that the books are true and fair.

**12. EXAM-READY ANSWER (3–5 MARKS — WRITE THIS)**

The journal is the book of original entry. Transactions are recorded in it chronologically, each with a debit, a credit and a narration. The ledger is the book of final entry. Each account named in the journal is given a page, and the journal lines are posted to those pages, account-wise.

Journal answers 'what happened today?'. Ledger answers 'what is the position of this account?'. Journal has an L.F. column pointing forward; ledger has a J.F. column pointing back. Narration lives only in the journal. Balancing is done only in the ledger.

Illustration: Meera's 5 April credit purchase is one journal line (Dr Purchases, Cr Kabir). In the ledger it becomes one debit line on Purchases (To Kabir) and one credit line on Kabir (By Purchases). Kabir's page, after the 12 April payment and the 28 April reorder, shows a credit balance of ₹35,000 — a fact you cannot read off the journal at a glance.

# Inventory Valuation

**Learning outcome.** By the end of this chapter you will value inventory under FIFO and the weighted-average method (periodic and perpetual), compute closing stock and cost of goods sold from a dated stores ledger, add freight to the correct lot, and explain how the choice of method changes profit and the balance sheet.

## WHAT THIS CHAPTER COVERS (OFFICIAL SYLLABUS)

- Introduction to inventory — raw material, work-in-progress, finished goods, stock-in-trade
- Importance of inventory valuation — effect on COGS, profit and financial position
- Cost or net realisable value (NRV), whichever is lower (AS-2 / Ind AS-2)
- Cost of goods sold formula
- FIFO (first-in, first-out) — perpetual layers and closing stock
- Weighted average method (WAM) — periodic average and moving (perpetual) average
- Numerical problems — closing stock, COGS, freight on a purchase lot
- FIFO versus WAM when prices are rising or falling

Inventory is the goods a business is holding. The rupee value you put on those goods is not a small bookkeeping choice — it changes this year's profit, this year's assets, and next year's profit too. Indian MBA exams test two costing methods: **FIFO** and the **weighted average method (WAM)**. You will learn both, with every multiplication shown, and a check that units and rupees both tally.

## 1. Introduction to inventory

### 1. WHAT IS IT? — DEFINITION

Inventory (also called **stock**) is the tangible goods a business holds for sale in the ordinary course of business, or for use in producing goods that will be sold. Under AS-2 / Ind AS-2, inventories include goods purchased and held for resale, finished goods, work-in-progress, and materials and supplies waiting to be consumed in production.

### 2. IN SIMPLE WORDS

Think of a shop's godown, a factory's raw-material store, and the half-made goods on the factory floor. All of that is inventory. For a **trader** (a wholesaler or retailer who does not manufacture), inventory is mainly the goods bought for resale — **stock-in-trade**. For a **manufacturer**, inventory has three layers: raw material, work-in-progress (WIP), and finished goods.

### 3. WHY DO WE NEED IT?

You cannot compute cost of goods sold, gross profit, or current assets without a figure for stock. Closing stock is the goods that did *not* get sold this period — they are still an asset. Opening stock is last period's leftover that this period starts with.

### 4. REAL-LIFE EXAMPLE

A kirana store on 31 March still has rice bags, soap cartons and a crate of cold drinks. Those items are inventory. A steel plant has iron ore in the yard (raw material), molten steel in process (WIP), and rolled sheets waiting for dispatch (finished goods). A laptop dealer has laptops on the shelf (stock-in-trade) — that dealer is a trader, not a manufacturer.

### 5. ACCOUNTING LOGIC

Until goods are sold (or issued to production), they are an **asset**. The moment they are sold, their cost leaves the Balance Sheet and becomes an **expense** — Cost of Goods Sold (COGS) — in the Trading Account / Statement of Profit and Loss. Valuation is the rule that decides *how many rupees* sit in the asset column and *how many rupees* sit in the expense column. The two columns always move in opposite directions.

## The four names you will see in questions

Types of inventory — learn the four names; a trader mainly has the last one

| Name                   | Who holds it | What it is                                                     | Exam language                               |
|------------------------|--------------|----------------------------------------------------------------|---------------------------------------------|
| Raw material           | Manufacturer | Inputs waiting to be used — cloth, steel, sugarcane, chemicals | RM / stores / materials                     |
| Work-in-progress (WIP) | Manufacturer | Goods started but not finished — a car on the assembly line    | WIP / work-in-process / semi-finished       |
| Finished goods         | Manufacturer | Completed goods ready for sale — packed shirts, bottled oil    | FG / manufactured stock                     |
| Stock-in-trade         | Trader       | Goods bought ready-made, held only to be resold                | Stock / merchandise / goods / closing stock |

### KEY POINT

In this chapter's numericals, 'units in the stores ledger' are treated as goods whose outflow is COGS. That is the standard MBA trading-concern question. If the firm is a factory and the ledger is of raw material, the same FIFO / WAM arithmetic applies — the issue is then material consumed, not COGS. The method does not change.

## Where inventory appears in the financial statements

### 6. FORMAT — TWO PLACES, ONE FIGURE

The **same closing-stock rupees** appear in two statements:

- **Balance Sheet** — under Current Assets → Inventories. It is an asset because the goods are still with you on the reporting date.
- **Trading Account** (traditional MBA format) — closing stock is shown on the *credit* side (or deducted from the debit side). Opening stock is on the *debit* side. Together with purchases and sales they produce gross profit.

In the Companies Act 2013 / Schedule III Statement of Profit and Loss you will instead see *changes in inventories of finished goods, work-in-progress and stock-in-trade* as a line that adjusts purchases to arrive at COGS. The arithmetic is the same formula you learn next.

### CONNECT THE CHAPTERS

Chapter 1 (final accounts) already used opening stock, purchases, sales and closing stock to find gross profit. This chapter answers the question that chapter assumed: *how did we get the rupee figure for closing stock?* Once you can value stock, you can finish a Trading Account with confidence.

### 12. EXAM-READY ANSWER

Inventory means the goods held by a business for sale in the ordinary course of business, or materials and work-in-progress used in production. A trader's inventory is mainly stock-in-trade. A manufacturer's inventory comprises raw materials, work-in-progress and finished goods. Inventory is shown as a current asset in the Balance Sheet. Closing stock reduces cost of goods sold and therefore affects gross profit.



## 2. Why inventory valuation matters

### 1. WHAT IS IT? — DEFINITION

Inventory valuation is the process of assigning a rupee amount to the units on hand at the reporting date (and, under a perpetual system, to each issue as it happens). The amount is used both as the closing-stock asset and as the figure that is subtracted to arrive at cost of goods sold.

### 2. IN SIMPLE WORDS

You counted 150 bags in the godown. That is the *quantity*. Valuation answers: at how many rupees per bag should those 150 bags enter the books? Different rules (FIFO, weighted average, or a fall in market price) give different rupees. The bags do not change. The profit figure does.

### 3. WHY DO WE NEED IT?

Closing stock is the one figure that sits in **both** the income statement and the Balance Sheet. Push it up, and profit goes up *and* assets go up. Push it down, and both fall. A wrong value therefore misstates performance and financial position together. That is why the examiner cares, and why AS-2 is conservative.

### 4. REAL-LIFE EXAMPLE

Two partners value the same 200 unsold mixers. Partner A uses the latest (higher) purchase rate. Partner B uses an average rate. A reports a higher profit and a stronger current-asset position. The mixers on the shelf are identical. Only the rule changed. Banks, tax authorities and the other partner will all look at that profit — so the rule must be consistent and disclosed.

### 5. ACCOUNTING LOGIC

Goods available this period are either sold or still in stock. Cost of goods available = Opening stock + Purchases (and other costs of bringing goods in). That total cost has to be split: some rupees become COGS (expense), the rest remain as the asset. Valuation is that split. There is no third place for the rupees to go. So if you give more rupees to closing stock, you have automatically given fewer rupees to COGS, and profit is higher.

## The seesaw you must memorise

Closing stock, COGS, profit and assets always move as a set

| If closing stock is...       | then COGS...          | then gross profit...  | then current assets... |
|------------------------------|-----------------------|-----------------------|------------------------|
| <b>Overstated</b> (too high) | understated (too low) | overstated (too high) | overstated (too high)  |
| <b>Understated</b> (too low) | overstated (too high) | understated (too low) | understated (too low)  |

Shortcut: closing stock and profit move in the SAME direction. Closing stock and COGS move in OPPOSITE directions.

### KEY POINT

Closing stock ↑ → COGS ↓ → profit ↑ → assets ↑. Closing stock ↓ → COGS ↑ → profit ↓ → assets ↓. Write this on the top of your exam rough sheet. Half the theory questions are this seesaw in words.

## A tiny numbers picture — same shop, two values

Sales for the year are ₹80,000. Opening stock is ₹10,000. Purchases are ₹50,000. The only disagreement is closing stock.

A ₹6,000 change in closing stock changes profit by ₹6,000 and assets by ₹6,000

| Particulars | Valuation A (closing ₹18,000) | Valuation B (closing ₹12,000) | Difference |
|-------------|-------------------------------|-------------------------------|------------|
| Sales       | ₹80,000                       | ₹80,000                       | —          |

| Particulars                        | Valuation A (closing ₹18,000) | Valuation B (closing ₹12,000) | Difference                  |
|------------------------------------|-------------------------------|-------------------------------|-----------------------------|
| Opening stock                      | ₹10,000                       | ₹10,000                       | —                           |
| Add: Purchases                     | ₹50,000                       | ₹50,000                       | —                           |
| Less: Closing stock                | ₹18,000                       | ₹12,000                       | ₹6,000 lower in B           |
| <b>COGS</b>                        | <b>₹42,000</b>                | <b>₹48,000</b>                | B's COGS is ₹6,000 higher   |
| <b>Gross profit (Sales – COGS)</b> | <b>₹38,000</b>                | <b>₹32,000</b>                | B's profit is ₹6,000 lower  |
| Closing stock in the Balance Sheet | ₹18,000                       | ₹12,000                       | B's assets are ₹6,000 lower |

Working for A:  $\text{COGS} = ₹10,000 + ₹50,000 - ₹18,000 = ₹42,000$ . Gross profit =  $₹80,000 - ₹42,000 = ₹38,000$ .

Working for B:  $\text{COGS} = ₹10,000 + ₹50,000 - ₹12,000 = ₹48,000$ . Gross profit =  $₹80,000 - ₹48,000 = ₹32,000$ .

The ₹6,000 extra closing stock in A is ₹6,000 extra profit *and* ₹6,000 extra current assets. Nothing else in the shop changed.

## It reverses next year — a classic 4-mark point

### 5. ACCOUNTING LOGIC

This year's closing stock becomes next year's opening stock. If you overstate this year's closing stock by ₹10,000, this year's profit is ₹10,000 too high. Next year that same ₹10,000 sits in opening stock, so next year's COGS is ₹10,000 too high and next year's profit is ₹10,000 too low. Over two years the error cancels. Each single year is still wrong — and the Balance Sheet on 31 March of year 1 is still wrong. That is why a consistent method, applied every year, matters.

### EXAM TIP

If the question says 'closing stock of 2025-26 was overvalued by ₹20,000, effect on 2026-27', answer: 2025-26 profit overstated ₹20,000; 2026-27 opening stock overstated ₹20,000, so 2026-27 profit understated ₹20,000. Combined two-year profit is not affected.

## Conservatism: do not overvalue stock

### 1. WHAT IS IT? — DEFINITION

The principle of conservatism (prudence) says: anticipate no profit, but provide for all probable losses. Applied to inventory, it becomes the AS-2 / Ind AS-2 rule: value inventory at **cost or net realisable value (NRV), whichever is lower**.

### 2. IN SIMPLE WORDS

If the goods cost you ₹50 and you can still sell them (after selling expenses) for ₹70, keep them at ₹50 — do not book the ₹20 profit until you actually sell. If they cost you ₹50 but you can now sell them (after selling expenses) for only ₹40, write them down to ₹40 now — book the ₹10 loss immediately. Never value stock at selling price just because selling price is higher.

### FORMULA

**Inventory value = lower of Cost and Net Realisable Value (NRV)**

$\text{NRV} = \text{estimated selling price in the ordinary course of business} - \text{estimated costs of completion} - \text{estimated costs necessary to make the sale}$ .

### SOLVED EXAMPLE A · EASY

#### Lower of cost and NRV — one item

A dealer holds **40 fans**. Cost is ₹2,000 each, so cost of the lot is  $40 \times ₹2,000 = ₹80,000$ . A new model has arrived. The fans can now be sold at ₹1,800 each. Selling expenses are ₹50 per fan.

1. Cost per fan = ₹2,000.

2. NRV per fan = selling price ₹1,800 – selling expenses ₹50 = **₹1,750**.

3. Lower of cost ₹2,000 and NRV ₹1,750 is **₹1,750**.

4. Value of 40 fans =  $40 \times ₹1,750 = ₹70,000$ .

5. Write-down (expense this year) = ₹80,000 – ₹70,000 = **₹10,000**.

If NRV had been ₹2,200, we would have kept the fans at cost ₹2,000. Unrealised profit is never booked on stock.

#### SOLVED EXAMPLE B · EASY

##### Lower of cost and NRV is applied item by item — you cannot offset

AS-2 requires the comparison of cost and NRV for each item (or group of similar items). A surplus on one item must *not* cancel a deficit on another.

**Item-wise lower of cost and NRV = ₹16,500, not ₹18,000**

| Item            | Cost (₹)       | NRV (₹)        | Value to use (lower) | Wrong global netting                                                                         |
|-----------------|----------------|----------------|----------------------|----------------------------------------------------------------------------------------------|
| Item A (phones) | ₹10,000        | ₹12,000        | ₹10,000 (cost)       |                                                                                              |
| Item B (cases)  | ₹8,000         | ₹6,500         | ₹6,500 (NRV)         |                                                                                              |
| <b>Total</b>    | <b>₹18,000</b> | <b>₹18,500</b> | <b>₹16,500</b>       | Cost ₹18,000 looks lower than NRV ₹18,500, so a lazy student writes ₹18,000 — that is wrong. |

The correct inventory figure is ₹10,000 + ₹6,500 = **₹16,500**. The ₹2,000 ‘surplus’ on phones is unrealised and cannot rescue the ₹1,500 fall on cases.

#### WATCH OUT

Never value closing stock at selling price, list price, or MRP. Cost (FIFO or WAM) first; then compare with NRV; take the lower. Selling price is used only inside the NRV calculation, and even then you deduct the costs of making the sale.

#### EXAM EXTRA MARK — LIFO IS NOT ALLOWED IN INDIA

AS-2 and Ind AS-2 **do not permit LIFO** (last-in, first-out) as a cost formula for inventory. If a question mentions LIFO, write one sentence: *LIFO is not an accepted method of inventory valuation in India under AS-2 / Ind AS-2*. Do not compute a LIFO closing stock unless the paper specifically demands a working for comparison. This chapter therefore teaches only FIFO and the weighted average method — the two methods the examiner wants you to use.

#### 12. EXAM-READY ANSWER

Inventory valuation matters because closing stock appears both in the Trading Account (affecting COGS and gross profit) and in the Balance Sheet (as a current asset). An overstatement of closing stock understates COGS, overstates profit and overstates assets. The error reverses in the following year because this year’s closing stock is next year’s opening stock. Following conservatism, AS-2 / Ind AS-2 require inventory to be valued at cost or net realisable value, whichever is lower, compared item by item.

## 3. Cost of goods sold (COGS) formula

#### 1. WHAT IS IT? — DEFINITION

Cost of goods sold is the cost of the inventory that left the business during the period (sold to customers, or issued from the store). It is the expense matched against sales to arrive at gross profit.

#### FORMULA

### Cost of goods sold = Opening stock + Purchases – Closing stock

Purchases here means net purchases at cost (invoice price – trade discount + freight inward / carriage inward of the goods that came in). Cash discount is not deducted from purchases for this purpose.

#### FORMULA

### Gross profit = Sales – Cost of goods sold

If COGS is higher than sales, the result is a gross loss.

#### 2. IN SIMPLE WORDS

Imagine a tank of goods. You start with some water (opening stock). You pour more in (purchases). You look at what is still in the tank at the end (closing stock). Whatever disappeared from the tank was used / sold — that is COGS. Gross profit is the money customers paid you minus what those sold goods cost you.

#### 3. WHY DO WE NEED IT?

Almost every inventory numerical ends with two figures the examiner wants: **value of closing stock** and **COGS**. Once you have closing stock in rupees, COGS is one subtraction away from the cost of goods available. You do not need a second independent method for COGS if the rupee check already holds — but in FIFO / WAM you will also build COGS issue by issue, and then confirm with this formula.

#### 4. REAL-LIFE EXAMPLE

A bookshop starts April with books that cost ₹40,000. It buys more books costing ₹1,20,000. On 30 April unsold books (valued at cost) are ₹35,000.  $\text{COGS} = ₹40,000 + ₹1,20,000 - ₹35,000 = ₹1,25,000$ . If April sales are ₹1,80,000, gross profit = ₹1,80,000 – ₹1,25,000 = ₹55,000.

#### 5. ACCOUNTING LOGIC

Opening stock + Purchases = cost of goods *available* for sale. Available goods go to two destinations only: sold (COGS) or unsold (closing stock). So: Available = COGS + Closing stock. Rearrange:  $\text{COGS} = \text{Available} - \text{Closing stock}$ . This identity is your rupee check in every FIFO and WAM sum.

#### 6. FORMAT — COST OF GOODS AVAILABLE, THEN THE SPLIT

| Step | What you write                                                | What it means                           |
|------|---------------------------------------------------------------|-----------------------------------------|
| 1    | Opening stock                                                 | Cost of leftover units from last period |
| 2    | + Purchases (at cost, including freight inward of those lots) | Goods that came in this period          |
| 3    | = Cost of goods available for sale                            | All rupees that must be split           |
| 4    | – Closing stock (FIFO or WAM, then lower of cost and NRV)     | Rupees that stay as an asset            |
| 5    | = Cost of goods sold                                          | Rupees that become the expense          |
| 6    | Sales – COGS = Gross profit                                   | Trading result                          |

#### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Pick up opening quantity and opening rate. Opening cost = quantity × rate.
2. Add every purchase at that purchase's own cost (invoice + freight inward of that lot).
3. Add: this is cost of goods available. Also add the quantities: this is units available.
4. Find closing quantity: units available – units issued / sold. (This must match a physical count if given.)

5. Value those closing units by the method named in the question (FIFO or WAM). That is closing stock in ₹.

6. COGS in ₹ = cost of goods available – closing stock. Also add up the issue amounts as a cross-check.

7. Gross profit = sales – COGS, if sales are given.

#### KEY POINT

Two identities that must both hold, every time: (1) Opening qty + Purchase qty – Issue qty = Closing qty. (2) Opening cost + Purchase cost – COGS = Closing stock (₹). If either fails, an arithmetic slip is hiding in the layers or the average.

## 4. FIFO — First-In, First-Out

### 1. WHAT IS IT? — DEFINITION

FIFO assumes that the goods purchased first are issued (sold) first. Therefore the units remaining in stock are the units purchased most recently, and closing stock is valued at the latest purchase rates.

### 2. IN SIMPLE WORDS

Picture a narrow godown where bags are pushed in from the back. The oldest bags sit at the front and are taken out first. What you see at the end of the month are the newest bags. Accounting FIFO is that picture in rupees — even if the physical bags were actually picked at random. It is an **assumption for costing**, not a CCTV record of which bag left.

### 3. WHY DO WE NEED IT?

When prices change during the period, you must decide which rate applies to the units sold and which rate applies to the units left. FIFO gives a closing-stock figure that is close to current replacement cost (because leftover units carry the latest rates). That is useful for the Balance Sheet. It is also the method AS-2 / Ind AS-2 explicitly allow, along with weighted average.

### 4. REAL-LIFE EXAMPLE

A milk booth receives crates every morning. It sells yesterday's leftover milk first so it does not spoil. That is physical FIFO. A clothing store may pick any shirt from the pile, but the accountant still costs issues as if the oldest purchase left first. Same rule, two reasons: perishable goods actually move FIFO; other goods use FIFO as a costing convention.

### 5. ACCOUNTING LOGIC

You keep inventory as **layers** (lots). Each purchase is a new layer with its own rate. An issue eats the oldest remaining layer first. If that layer is not enough, it eats the next oldest, and so on. After the issue, you write the leftover layers. You never 'remix' the rates. A later purchase never changes the rate of an earlier leftover layer.

### The layer picture (this is FIFO)

Start of January: 100 units bought earlier at ₹10, then a new purchase of 200 units at ₹12. The pile looks like this before any issue:

#### FIFO pile before the issue — oldest layer listed first

| Layer (oldest first)              | Quantity | Rate | Amount | What happens to this layer           |
|-----------------------------------|----------|------|--------|--------------------------------------|
| Layer 1 — oldest (opening)        | 100      | ₹10  | ₹1,000 | These will be issued first           |
| Layer 2 — newest (5 Jan purchase) | 200      | ₹12  | ₹2,400 | These stay until layer 1 is finished |

Now 150 units are issued. FIFO takes the entire oldest layer (100) and 50 from the next layer:

#### FIFO pile after issuing 150 — only the latest layer remains

| Layer (oldest first) | Quantity | Rate | Amount | What happens to this layer |
|----------------------|----------|------|--------|----------------------------|
|----------------------|----------|------|--------|----------------------------|

| Layer (oldest first)             | Quantity            | Rate | Amount                   | What happens to this layer               |
|----------------------------------|---------------------|------|--------------------------|------------------------------------------|
| Layer 1 — opening (fully issued) | 100                 | ₹10  | ₹1,000                   | Gone — this ₹1,000 is COGS               |
| Layer 2 — 5 Jan (partly issued)  | 50 issued; 150 left | ₹12  | Issued ₹600; left ₹1,800 | Remaining 150 @ ₹12 sit in closing stock |

#### 11. MEMORY TRICK

FIFO: **old goods leave first; new goods remain.** Closing stock = latest lots. COGS = oldest lots.

#### 6. FORMAT — FIFO STORES LEDGER (EXAM PRESENTATION)

Indian MBA numericals are usually a **stores ledger** with dates. Draw three blocks of columns: Receipts, Issues, Balance. Each block has Qty, Rate, Amount. Under FIFO the Balance block often needs *more than one row* because two layers can sit side by side.

**Column plan — copy this into the answer booklet before posting the first line**

| Date  | Particulars                      | Receipts Qty | Receipts Rate   | Receipts Amt | Issues Qty | Issues Rate           | Issues Amt | Balance Qty  | Balance Rate | Balance Amt |
|-------|----------------------------------|--------------|-----------------|--------------|------------|-----------------------|------------|--------------|--------------|-------------|
| (row) | Balance b/d or Purchase or Issue | units in     | that lot's rate | qty × rate   | units out  | oldest remaining rate | qty × rate | what is left | layer's rate | qty × rate  |

After every purchase, add a new layer in the Balance columns. After every issue, eat layers from the top (oldest) and rewrite the leftover layers. Never average the leftover rates together — that would be WAM, not FIFO.

#### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Write opening stock as the first layer: quantity, rate, amount = qty × rate.
2. On a purchase date: add a new layer at that purchase's own rate. If freight inward is given for that invoice, add the freight to that lot only, then divide by that lot's quantity to get the lot rate. Do not spread freight over other lots.
3. On an issue date: start with the oldest remaining layer. Issue as many units as that layer has. If you still need more units, move to the next oldest layer. Cost of the issue = sum of (units taken from each layer × that layer's rate).
4. Rewrite leftover layers. Do not combine two leftover layers that have different rates.
5. At the end: closing quantity = sum of leftover layer quantities. Closing stock (₹) = sum of leftover layer amounts. COGS (₹) = sum of all issue amounts.
6. Check units: opening + purchases – issues = closing. Check rupees: cost available – COGS = closing stock.

### Periodic FIFO versus perpetual FIFO

A **perpetual** (running) ledger updates the store after every receipt and every issue. MBA questions with dates almost always want this. A **periodic** shortcut ignores the dates of issues and, at period-end, simply takes the closing quantity from the latest purchases, working backwards.

#### KEY POINT

For FIFO, perpetual and periodic give the **same closing stock** (and therefore the same COGS), because both leave the latest lots in hand. Use perpetual (issue by issue) in the answer. Use the periodic 'latest lots' shortcut as a 20-second check.

#### EXAM TIP

If the question is silent on perpetual vs periodic but gives a list of dated receipts and issues, prepare a perpetual FIFO stores ledger. Then verify closing stock by the latest-lots shortcut.

#### SOLVED EXAMPLE 1 · EASY

## FIFO — one opening layer, one purchase, one issue

**Question.** The stores ledger of Mehta Traders shows:

- Opening stock: 100 units @ ₹10
- 5 Jan: purchased 200 units @ ₹12
- 20 Jan: issued 150 units

Value closing stock and COGS under FIFO.

### Step 1 — Opening layer

After opening

| Layer (oldest first) | Quantity | Rate | Amount                    | What happens to this layer |
|----------------------|----------|------|---------------------------|----------------------------|
| Opening              | 100      | ₹10  | $100 \times ₹10 = ₹1,000$ | Oldest layer               |

### Step 2 — 5 Jan purchase (new layer on top of the pile)

$200 \times ₹12 = ₹2,400$ . Cost now sitting in the store:

After 5 Jan — 300 units; cost available = ₹1,000 + ₹2,400 = ₹3,400

| Layer (oldest first)    | Quantity | Rate | Amount | What happens to this layer       |
|-------------------------|----------|------|--------|----------------------------------|
| Opening (oldest)        | 100      | ₹10  | ₹1,000 | Still waiting — will leave first |
| 5 Jan purchase (newest) | 200      | ₹12  | ₹2,400 | Sits behind the opening lot      |

### Step 3 — 20 Jan issue of 150 units (eat oldest first)

Issue working — 100 from the old layer + 50 from the new layer

| Taken from    | Quantity          | Rate | Working          | Amount        |
|---------------|-------------------|------|------------------|---------------|
| Opening layer | 100 (whole layer) | ₹10  | $100 \times ₹10$ | ₹1,000        |
| 5 Jan layer   | 50 (part of 200)  | ₹12  | $50 \times ₹12$  | ₹600          |
| <b>COGS</b>   | <b>150</b>        |      |                  | <b>₹1,600</b> |

### Step 4 — leftover layers = closing stock

Closing stock under FIFO

| Layer (oldest first)             | Quantity | Rate | Amount                    | What happens to this layer                                            |
|----------------------------------|----------|------|---------------------------|-----------------------------------------------------------------------|
| 5 Jan purchase (only layer left) | 150      | ₹12  | $150 \times ₹12 = ₹1,800$ | Opening layer is fully gone; 50 of this layer were issued, 150 remain |

### Step 5 — the two checks

**UNIT AND RUPEE CHECK — DO THIS ON EVERY NUMERICAL**

**Units.**  $100 + 200 - 150 = 150$  units closing. Matches leftover quantity.

**Rupees.** Cost available ₹3,400 – COGS ₹1,600 = closing ₹1,800. Check: ₹1,000 + ₹2,400 = ₹3,400; ₹3,400 – ₹1,600 = ₹1,800.

### Periodic shortcut (same answer, 20 seconds)

Closing quantity 150. Latest purchase is 200 units @ ₹12, which is enough to cover 150. So closing stock =  $150 \times ₹12 = ₹1,800$ . Same as perpetual. COGS = ₹3,400 – ₹1,800 = ₹1,600.

**Answer.** FIFO closing stock = ₹1,800 (150 units @ ₹12). COGS = ₹1,600.

**FIFO — several layers, two issues (show the pile after every date)**

**Question.** Prepare a FIFO stores ledger from the following and find closing stock and COGS.

**Dated receipts and issues — use perpetual FIFO**

| Date   | Transaction   | Quantity | Rate (₹) |
|--------|---------------|----------|----------|
| 1 Apr  | Opening stock | 200      | 20       |
| 8 Apr  | Purchase      | 300      | 22       |
| 12 Apr | Issue         | 250      | —        |
| 18 Apr | Purchase      | 200      | 25       |
| 25 Apr | Issue         | 300      | —        |
| 28 Apr | Purchase      | 100      | 26       |

**1 Apr — opening**

**After 1 Apr**

| Layer (oldest first) | Quantity | Rate | Amount                    | What happens to this layer |
|----------------------|----------|------|---------------------------|----------------------------|
| Opening              | 200      | ₹20  | $200 \times ₹20 = ₹4,000$ | Only layer                 |

**8 Apr — purchase 300 @ ₹22**

$$300 \times ₹22 = ₹6,600.$$

**After 8 Apr — 500 units; cost = ₹4,000 + ₹6,600 = ₹10,600**

| Layer (oldest first) | Quantity | Rate | Amount | What happens to this layer |
|----------------------|----------|------|--------|----------------------------|
| Opening (oldest)     | 200      | ₹20  | ₹4,000 | Will be issued first       |
| 8 Apr purchase       | 300      | ₹22  | ₹6,600 | Newer layer                |

**12 Apr — issue 250 (eat 200 @ ₹20, then 50 @ ₹22)**

**12 Apr issue working**

| Taken from        | Qty        | Rate | Working          | Amount        |
|-------------------|------------|------|------------------|---------------|
| Opening           | 200        | ₹20  | $200 \times ₹20$ | ₹4,000        |
| 8 Apr layer       | 50         | ₹22  | $50 \times ₹22$  | ₹1,100        |
| <b>This issue</b> | <b>250</b> |      |                  | <b>₹5,100</b> |

**After 12 Apr — one layer left**

| Layer (oldest first)      | Quantity | Rate | Amount                    | What happens to this layer                                     |
|---------------------------|----------|------|---------------------------|----------------------------------------------------------------|
| 8 Apr purchase (leftover) | 250      | ₹22  | $250 \times ₹22 = ₹5,500$ | Opening fully issued; $300 - 50 = 250$ of the 8 Apr lot remain |

**18 Apr — purchase 200 @ ₹25**

$$200 \times ₹25 = ₹5,000.$$

**After 18 Apr — 450 units; cost = ₹5,500 + ₹5,000 = ₹10,500**

| Layer (oldest first)        | Quantity | Rate | Amount | What happens to this layer |
|-----------------------------|----------|------|--------|----------------------------|
| 8 Apr leftover (oldest now) | 250      | ₹22  | ₹5,500 | Will be issued first next  |
| 18 Apr purchase (newest)    | 200      | ₹25  | ₹5,000 | New layer                  |



## 25 Apr — issue 300 (eat 250 @ ₹22, then 50 @ ₹25)

### 25 Apr issue working

| Taken from        | Qty        | Rate | Working          | Amount        |
|-------------------|------------|------|------------------|---------------|
| 8 Apr leftover    | 250        | ₹22  | $250 \times ₹22$ | ₹5,500        |
| 18 Apr layer      | 50         | ₹25  | $50 \times ₹25$  | ₹1,250        |
| <b>This issue</b> | <b>300</b> |      |                  | <b>₹6,750</b> |

### After 25 Apr

| Layer (oldest first) | Quantity | Rate | Amount                    | What happens to this layer                |
|----------------------|----------|------|---------------------------|-------------------------------------------|
| 18 Apr leftover      | 150      | ₹25  | $150 \times ₹25 = ₹3,750$ | $200 - 50 = 150$ of the 18 Apr lot remain |

## 28 Apr — purchase 100 @ ₹26

$100 \times ₹26 = ₹2,600$ .

### After 28 Apr — this is closing stock

| Layer (oldest first)         | Quantity | Rate | Amount | What happens to this layer |
|------------------------------|----------|------|--------|----------------------------|
| 18 Apr leftover (oldest now) | 150      | ₹25  | ₹3,750 | Remains in closing stock   |
| 28 Apr purchase (newest)     | 100      | ₹26  | ₹2,600 | Remains in closing stock   |

## Closing stock and COGS

Closing quantity =  $150 + 100 = 250$  units. Closing stock =  $150 \times ₹25 + 100 \times ₹26 = ₹3,750 + ₹2,600 = ₹6,350$ .

COGS = 12 Apr issue ₹5,100 + 25 Apr issue ₹6,750 = ₹11,850.

COGS by lots, fully expanded:  $200 \times ₹20 = ₹4,000$ ;  $50 \times ₹22 = ₹1,100$ ;  $250 \times ₹22 = ₹5,500$ ;  $50 \times ₹25 = ₹1,250$ .  $₹4,000 + ₹1,100 + ₹5,500 + ₹1,250 = ₹11,850$ .

### UNIT AND RUPEE CHECK — DO THIS ON EVERY NUMERICAL

**Units.**  $200 + 300 - 250 + 200 - 300 + 100 = 250$ . Running:  $200 + 300 = 500$ ;  $500 - 250 = 250$ ;  $250 + 200 = 450$ ;  $450 - 300 = 150$ ;  $150 + 100 = 250$ .

**Rupees.** Available =  $200 \times ₹20 + 300 \times ₹22 + 200 \times ₹25 + 100 \times ₹26 = ₹4,000 + ₹6,600 + ₹5,000 + ₹2,600 = ₹18,200$ .  
 $₹18,200 - \text{COGS } ₹11,850 = \text{closing } ₹6,350$ . Check:  $₹11,850 + ₹6,350 = ₹18,200$ .

## Periodic latest-lots check

Closing 250 units come from the end of the purchase list: latest lot 100 @ ₹26 = ₹2,600; still need 150, taken from the 200 @ ₹25 lot →  $150 \times ₹25 = ₹3,750$ . Closing =  $₹2,600 + ₹3,750 = ₹6,350$ . Matches the ledger.

**Answer.** FIFO closing stock = ₹6,350 (250 units). COGS = ₹11,850.

### SOLVED EXAMPLE 3 · EXAM-LEVEL

## FIFO with freight inward added only to that purchase lot

**Question.** The following transactions took place in the stores of Rao and Co. in April. The firm uses FIFO. Freight / carriage inward is part of the cost of the lot it belongs to. Prepare the FIFO working and compute closing stock and COGS.

### Freight is attached to its own invoice — do not spread it over all stock

| Date  | Transaction   | Quantity  | Invoice rate / note                    |
|-------|---------------|-----------|----------------------------------------|
| 1 Apr | Opening stock | 200 units | ₹25 per unit                           |
| 5 Apr | Purchase      | 400 units | ₹30 per unit, plus freight inward ₹800 |

| Date   | Transaction | Quantity  | Invoice rate / note                     |
|--------|-------------|-----------|-----------------------------------------|
| 12 Apr | Issue       | 350 units | —                                       |
| 20 Apr | Purchase    | 300 units | ₹35 per unit, plus carriage inward ₹600 |
| 25 Apr | Issue       | 400 units | —                                       |
| 28 Apr | Purchase    | 150 units | ₹40 per unit (no freight)               |

### Step 0 — convert each purchase into a cost-per-unit for THAT lot

Each rupee of freight is loaded only on the units that travelled

| Lot    | Invoice                    | Add freight | Total cost of lot          | Quantity | Rate to use                                          |
|--------|----------------------------|-------------|----------------------------|----------|------------------------------------------------------|
| 5 Apr  | $400 \times ₹30 = ₹12,000$ | ₹800        | $₹12,000 + ₹800 = ₹12,800$ | 400      | $₹12,800 \div 400 = ₹32$ (₹30 + ₹800/400 = ₹30 + ₹2) |
| 20 Apr | $300 \times ₹35 = ₹10,500$ | ₹600        | $₹10,500 + ₹600 = ₹11,100$ | 300      | $₹11,100 \div 300 = ₹37$ (₹35 + ₹600/300 = ₹35 + ₹2) |
| 28 Apr | $150 \times ₹40 = ₹6,000$  | nil         | ₹6,000                     | 150      | ₹40                                                  |

#### WATCH OUT

A common mistake is to add ₹800 + ₹600 = ₹1,400 to the whole of stock, or to opening stock. Wrong. Freight inward of a consignment is a cost of bringing *those* units to the godown. The 5 Apr units cost ₹32; the 20 Apr units cost ₹37. Opening was already in the godown — no extra freight.

### 1 Apr — opening

After 1 Apr

| Layer (oldest first) | Quantity | Rate | Amount                    | What happens to this layer |
|----------------------|----------|------|---------------------------|----------------------------|
| Opening              | 200      | ₹25  | $200 \times ₹25 = ₹5,000$ | Oldest                     |

### 5 Apr — purchase 400 @ ₹32 (not ₹30)

After 5 Apr — 600 units; cost = ₹5,000 + ₹12,800 = ₹17,800

| Layer (oldest first)      | Quantity | Rate | Amount                     | What happens to this layer |
|---------------------------|----------|------|----------------------------|----------------------------|
| Opening                   | 200      | ₹25  | ₹5,000                     | Oldest                     |
| 5 Apr (invoice + freight) | 400      | ₹32  | $400 \times ₹32 = ₹12,800$ | New layer                  |

### 12 Apr — issue 350

12 Apr issue — opening finished, then 150 from the ₹32 layer

| Taken from        | Qty        | Rate | Working          | Amount        |
|-------------------|------------|------|------------------|---------------|
| Opening           | 200        | ₹25  | $200 \times ₹25$ | ₹5,000        |
| 5 Apr layer       | 150        | ₹32  | $150 \times ₹32$ | ₹4,800        |
| <b>This issue</b> | <b>350</b> |      |                  | <b>₹9,800</b> |

After 12 Apr

| Layer (oldest first) | Quantity | Rate | Amount                    | What happens to this layer     |
|----------------------|----------|------|---------------------------|--------------------------------|
| 5 Apr leftover       | 250      | ₹32  | $250 \times ₹32 = ₹8,000$ | $400 - 150 = 250$ remain @ ₹32 |

## 20 Apr — purchase 300 @ ₹37

After 20 Apr — 550 units; cost = ₹8,000 + ₹11,100 = ₹19,100

| Layer (oldest first)        | Quantity | Rate | Amount                     | What happens to this layer |
|-----------------------------|----------|------|----------------------------|----------------------------|
| 5 Apr leftover (oldest)     | 250      | ₹32  | ₹8,000                     | Will leave first           |
| 20 Apr (invoice + carriage) | 300      | ₹37  | $300 \times ₹37 = ₹11,100$ | New layer                  |

## 25 Apr — issue 400

25 Apr issue — ₹32 layer finished, then 150 from the ₹37 layer

| Taken from        | Qty        | Rate | Working          | Amount         |
|-------------------|------------|------|------------------|----------------|
| 5 Apr leftover    | 250        | ₹32  | $250 \times ₹32$ | ₹8,000         |
| 20 Apr layer      | 150        | ₹37  | $150 \times ₹37$ | ₹5,550         |
| <b>This issue</b> | <b>400</b> |      |                  | <b>₹13,550</b> |

After 25 Apr

| Layer (oldest first) | Quantity | Rate | Amount                    | What happens to this layer     |
|----------------------|----------|------|---------------------------|--------------------------------|
| 20 Apr leftover      | 150      | ₹37  | $150 \times ₹37 = ₹5,550$ | $300 - 150 = 150$ remain @ ₹37 |

## 28 Apr — purchase 150 @ ₹40

Closing layers

| Layer (oldest first) | Quantity | Rate | Amount                    | What happens to this layer |
|----------------------|----------|------|---------------------------|----------------------------|
| 20 Apr leftover      | 150      | ₹37  | ₹5,550                    | In closing stock           |
| 28 Apr purchase      | 150      | ₹40  | $150 \times ₹40 = ₹6,000$ | In closing stock           |

## Closing stock, COGS, checks

Closing quantity =  $150 + 150 = 300$  units. Closing stock =  $150 \times ₹37 + 150 \times ₹40 = ₹5,550 + ₹6,000 = ₹11,550$ .

COGS =  $12 \text{ Apr } ₹9,800 + 25 \text{ Apr } ₹13,550 = ₹23,350$ .

### UNIT AND RUPEE CHECK — DO THIS ON EVERY NUMERICAL

**Units.**  $200 + 400 - 350 + 300 - 400 + 150 = 300$ . Running:  $200 + 400 = 600$ ;  $600 - 350 = 250$ ;  $250 + 300 = 550$ ;  $550 - 400 = 150$ ;  $150 + 150 = 300$ . Available units =  $200 + 400 + 300 + 150 = 1,050$ ; issues  $350 + 400 = 750$ ;  $1,050 - 750 = 300$ .

**Rupees.** Available cost =  $200 \times ₹25 + 400 \times ₹32 + 300 \times ₹37 + 150 \times ₹40 = ₹5,000 + ₹12,800 + ₹11,100 + ₹6,000 = ₹34,900$ .  $₹34,900 - \text{COGS } ₹23,350 = \text{closing } ₹11,550$ . Check:  $₹23,350 + ₹11,550 = ₹34,900$ .

## Periodic latest-lots check

Need 300 closing units from the end:  $150 @ ₹40 = ₹6,000$ , plus  $150 @ ₹37 = ₹5,550$ . Closing =  $₹6,000 + ₹5,550 = ₹11,550$ . Same answer, so the layers were posted correctly.

**Answer.** FIFO closing stock = ₹11,550 (300 units). COGS = ₹23,350.

## 9. HOW TO IDENTIFY THE QUESTION

Use FIFO when the question says any of: **FIFO, first-in first-out, first in first out, latest lots remain in stock, closing stock is of recent purchases, or issues are made from the earliest lots.** If freight / carriage inward is given against a named purchase, load it on that lot's rate before you FIFO the issues.

## 10. COMMON MISTAKES

- Mixing leftover layers after an issue (adding two rates together). FIFO leftover layers keep their own rates until they are issued.
- Issuing from the newest lot first. That would be LIFO, which you must not use.
- Spreading freight over opening stock and all purchases. Freight of a consignment joins that consignment only.
- Forgetting opening stock — then both units and rupees fail the check.
- Valuing leftover units at selling price or at the issue's selling rate.
- Skipping the unit check. If  $200 + 300 - 250$  is written as 350, every later layer is fiction.
- Using the periodic shortcut as the only working when the question asked for a stores ledger. Show the ledger; use the shortcut as a check.

#### 12. EXAM-READY ANSWER

FIFO assumes that goods purchased first are issued first, so closing stock consists of the most recent purchases and is valued at the latest rates. Each purchase is kept as a separate layer. An issue exhausts the oldest remaining layer before touching the next. Freight inward of a purchase is added to that purchase only. Closing stock (₹) is the sum of leftover layer amounts; COGS is the sum of issue amounts. Under FIFO, a perpetual ledger and a periodic 'latest lots' valuation give the same closing stock.

## 5. Weighted average method (WAM)

### 1. WHAT IS IT? — DEFINITION

The weighted average method values issues and closing stock at an average cost in which each lot is weighted by its quantity. Weighted average cost = total cost of stock on hand ÷ total units on hand. There are two ways to apply it: **periodic** (one average for the whole period) and **perpetual / moving average** (a new average after every purchase).

### 2. IN SIMPLE WORDS

FIFO kept every lot's rate separate, like boxes on a shelf. WAM pours all the boxes into one soup. Each ladle (issue) tastes the same as the pot at that moment. When a new box is poured in (a purchase), you stir again and the taste (average) changes. You do *not* stir when you only take a ladle out — the remaining soup still tastes the same.

### 3. WHY DO WE NEED IT?

When goods are mixed in a bin (oil, grain, chemicals, identical spare parts) you cannot say which molecule is 'old' or 'new'. An average is the honest costing rule. AS-2 / Ind AS-2 allow the weighted average cost formula. MBA papers love it because it tests whether you recalculate at the right moment.

### 4. REAL-LIFE EXAMPLE

A petrol pump's underground tank already holds 2,000 litres that cost ₹90 a litre. A tanker delivers 2,000 litres that cost ₹100 a litre. The liquids mix. The average is  $(2,000 \times 90 + 2,000 \times 100) \div 4,000 = ₹95$ . Every litre sold after that delivery is costed at ₹95 until the next tanker arrives.

### 5. ACCOUNTING LOGIC

Cost has to be assigned to units. FIFO assigns by age of the lot. WAM assigns the same rate to every unit that is in the mix. After a purchase the mix has changed, so the rate must be recomputed. After an issue the mix has *not* changed in rate — only the quantity of the same soup has fallen — so the rate is left untouched. That last sentence is the whole game.

## FORMULA

**Weighted average rate = Total cost of units in hand ÷ Total units in hand**

Perpetual (moving) average: recompute this after every purchase (and after a receipt of returned goods, if ever given). Never recompute it merely because you issued goods. Periodic average: compute it once at the end, using opening + all purchases of the period.

## Two flavours — label which one you are using

Always write the words 'perpetual / moving average' or 'periodic average' above your working

|                              | Perpetual / moving weighted average                                                                   | Periodic weighted average                                                                      |
|------------------------------|-------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|
| When the average is computed | After <b>every purchase</b> . Issues go out at the average then ruling.                               | Once, at period-end, from opening + all purchases.                                             |
| What an issue costs          | Quantity issued × current moving average (the average from the last purchase).                        | All issues of the period × the single period average. Dates of issues do not matter.           |
| Closing stock                | Closing qty × last moving average.                                                                    | Closing qty × the single period average.                                                       |
| Do they agree?               | Same closing quantity. <b>Rupee amounts usually differ</b> when purchases and issues are interleaved. | Same closing quantity. Different rupees from perpetual, except in simple one-purchase cases.   |
| What MBA papers usually want | <b>This one</b> , whenever dates of receipts and issues are given. Draw a stores ledger.              | When the question says 'periodic', 'weighted average for the period', or gives no issue dates. |

## WATCH OUT

NEVER recalculate the average on the date of an issue. The issue does not change the rate; it only reduces quantity and amount at the existing rate. This is the most common WAM mistake in MBA scripts, and it costs full marks on the ledger.

## 6. FORMAT — WAM STORES LEDGER (PERPETUAL / MOVING AVERAGE)

Same 10-column paper as FIFO, but the Balance rate is **one** figure — the current average. On a purchase row you add qty and amount, then divide to get a new rate. On an issue row you copy that rate into the Issue columns.

**The rate changes only on a receipt, never on an issue**

| On this row...        | What you do to Qty                    | What you do to Amount                                                                          | What happens to Rate                                                                                      |
|-----------------------|---------------------------------------|------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------|
| Opening (Balance b/d) | Write opening qty in Balance          | Write opening cost in Balance                                                                  | Opening rate = opening cost ÷ opening qty                                                                 |
| Purchase              | Balance qty = old qty + purchased qty | Balance amount = old amount + (purchased qty × that lot's rate, including freight of that lot) | <b>New average = new amount ÷ new qty.</b> Write it in the Balance rate column.                           |
| Issue                 | Balance qty = old qty – issued qty    | Issue amount = issued qty × <i>existing</i> average. Balance amount falls by the same figure.  | <b>Rate does not change.</b> Copy the previous Balance rate into the Issue rate and the new Balance rate. |

## 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Read the question and label the method: 'Perpetual (moving) weighted average' or 'Periodic weighted average'.
2. Perpetual: open a 10-column stores ledger. Post opening into the Balance columns. Rate = amount ÷ qty.
3. On each purchase: add the lot's quantity and the lot's cost (invoice + freight of that lot) to the Balance. New rate = new total cost ÷ new total qty. Show the division.
4. On each issue: do not divide. Issue rate = the Balance rate already sitting on the previous line. Issue amount = qty × that rate. Subtract qty and amount from the Balance. Rewrite the same rate.
5. Closing stock = last Balance amount. COGS = sum of the Issue amount column.
6. Periodic (if asked): ignore issue dates. Average = (opening cost + all purchase costs) ÷ (opening qty + all purchase qties). Closing stock = closing qty × that average. COGS = issue qty × that average (or available – closing).

7. Run the unit check and the rupee check.

#### SOLVED EXAMPLE 4 · EASY

##### Perpetual (moving) weighted average — average comes out in whole rupees

**Question.** Use the moving weighted average. Show the average after the purchase, then value the issue and the closing stock.

- 1 Jan: opening 100 units @ ₹20
- 8 Jan: purchased 200 units @ ₹26
- 15 Jan: issued 150 units

##### 1 Jan — opening

$100 \times ₹20 = ₹2,000$ . Balance: 100 units @ ₹20 = ₹2,000.

##### 8 Jan — purchase: NOW we recompute the average

Stir the soup on a purchase date

|                      | Quantity   | Rate | Amount                    |
|----------------------|------------|------|---------------------------|
| Opening              | 100        | ₹20  | ₹2,000                    |
| Purchase 8 Jan       | 200        | ₹26  | $200 \times ₹26 = ₹5,200$ |
| <b>Total in hand</b> | <b>300</b> |      | <b>₹7,200</b>             |

New average =  $₹7,200 \div 300 = ₹24$  exactly. Balance after 8 Jan: 300 units @ ₹24 = ₹7,200.

##### 15 Jan — issue: do NOT recompute

The average on the shelf is still ₹24. We only ladle out 150 units.

Issue at the existing average — the rate does not move

|              | Quantity | Rate            | Working          | Amount |
|--------------|----------|-----------------|------------------|--------|
| Issue 15 Jan | 150      | ₹24             | $150 \times ₹24$ | ₹3,600 |
| Balance left | 150      | ₹24 (unchanged) | $150 \times ₹24$ | ₹3,600 |

COGS = ₹3,600. Closing stock = ₹3,600.

#### UNIT AND RUPEE CHECK — DO THIS ON EVERY NUMERICAL

**Units.**  $100 + 200 - 150 = 150$  units.

**Rupees.** Available ₹7,200 – COGS ₹3,600 = closing ₹3,600.

#### WHAT A WRONG SCRIPT DOES ON 15 JAN

A panicked student ‘recalculates’ on 15 Jan, perhaps averaging ₹24 with something else, or taking the last purchase rate ₹26 for the issue. Both are wrong. Nothing new came in on 15 Jan, so nothing about the rate can change. Issue  $150 \times ₹24 = ₹3,600$ . Stop.

##### Same data under periodic WAM

Only one purchase, and it happened before the issue, so the periodic average is the same soup:  $(₹2,000 + ₹5,200) \div (100 + 200) = ₹7,200 \div 300 = ₹24$ . Closing  $150 \times ₹24 = ₹3,600$ . COGS  $150 \times ₹24 = ₹3,600$ . Periodic and perpetual agree here. They will *not* always agree — see the comparison example after the moderate sum.

**Answer (perpetual WAM).** Closing stock = ₹3,600 (150 @ ₹24). COGS = ₹3,600.

**Moving average with two purchases and two issues — rate changes only on purchases**

**Question.** Prepare a perpetual weighted-average stores ledger.

**Two stirs (purchases), two ladles (issues)**

| Date   | Transaction   | Quantity | Rate (₹) |
|--------|---------------|----------|----------|
| 1 Feb  | Opening stock | 100      | 20       |
| 5 Feb  | Purchase      | 200      | 32       |
| 12 Feb | Issue         | 150      | —        |
| 20 Feb | Purchase      | 150      | 36       |
| 26 Feb | Issue         | 100      | —        |

**1 Feb — opening**

$100 \times ₹20 = ₹2,000$ . Balance  $100 @ ₹20 = ₹2,000$ .

**5 Feb — purchase 200 @ ₹32 (recompute)**

$200 \times ₹32 = ₹6,400$ .

Total qty =  $100 + 200 = 300$ . Total cost =  $₹2,000 + ₹6,400 = ₹8,400$ .

Average =  $₹8,400 \div 300 = ₹28$  **exactly**. Balance:  $300 @ ₹28 = ₹8,400$ .

**12 Feb — issue 150 (do not recompute)**

Issue rate = ₹28 (the average already in the Balance).

Issue amount =  $150 \times ₹28 = ₹4,200 \rightarrow$  this is part of COGS.

Left qty =  $300 - 150 = 150$ . Left amount =  $₹8,400 - ₹4,200 = ₹4,200$ . Rate still ₹28. Check:  $150 \times ₹28 = ₹4,200$ .

**20 Feb — purchase 150 @ ₹36 (recompute)**

$150 \times ₹36 = ₹5,400$ .

Total qty =  $150 + 150 = 300$ . Total cost =  $₹4,200 + ₹5,400 = ₹9,600$ .

Average =  $₹9,600 \div 300 = ₹32$  **exactly**. Balance:  $300 @ ₹32 = ₹9,600$ .

**26 Feb — issue 100 (do not recompute)**

Issue rate = ₹32.

Issue amount =  $100 \times ₹32 = ₹3,200$ .

Left qty =  $300 - 100 = 200$ . Left amount =  $₹9,600 - ₹3,200 = ₹6,400$ . Check:  $200 \times ₹32 = ₹6,400$ .

**Stores ledger (perpetual WAM)**

**Notice:** Balance rate changes on 5 Feb and 20 Feb only — the purchase dates

| Date   | Particulars | Rec Qty | Rec Rate | Rec Amt | Iss Qty | Iss Rate | Iss Amt | Bal Qty | Bal Rate | Bal Amt |
|--------|-------------|---------|----------|---------|---------|----------|---------|---------|----------|---------|
| 1 Feb  | Balance b/d | —       | —        | —       | —       | —        | —       | 100     | 20       | ₹2,000  |
| 5 Feb  | Purchase    | 200     | 32       | ₹6,400  | —       | —        | —       | 300     | 28       | ₹8,400  |
| 12 Feb | Issue       | —       | —        | —       | 150     | 28       | ₹4,200  | 150     | 28       | ₹4,200  |
| 20 Feb | Purchase    | 150     | 36       | ₹5,400  | —       | —        | —       | 300     | 32       | ₹9,600  |
| 26 Feb | Issue       | —       | —        | —       | 100     | 32       | ₹3,200  | 200     | 32       | ₹6,400  |

Closing stock = ₹6,400 (200 units @ ₹32). COGS =  $₹4,200 + ₹3,200 = ₹7,400$ .

**UNIT AND RUPEE CHECK — DO THIS ON EVERY NUMERICAL**

**Units.**  $100 + 200 - 150 + 150 - 100 = 200$ . Running:  $100 + 200 = 300$ ;  $300 - 150 = 150$ ;  $150 + 150 = 300$ ;  $300 - 100 = 200$ .

**Rupees.** Available = ₹2,000 + ₹6,400 + ₹5,400 = ₹13,800. ₹13,800 – COGS ₹7,400 = closing ₹6,400.

**Answer (perpetual WAM).** Closing stock = ₹6,400. COGS = ₹7,400.

**SOLVED EXAMPLE 6 · MODERATE****Same facts, two WAM answers — why periodic ≠ perpetual**

When a purchase happens *after* an issue, the periodic method lets that later (usually dearer) purchase leak into the cost of an earlier issue. The moving average does not, because the later purchase had not yet been stirred in. This is why the two WAM answers differ, and why you must label the method.

**Facts.**

- Opening 100 units @ ₹20 = ₹2,000
- Purchase 100 units @ ₹30 = ₹3,000 → (perpetual) 200 units, ₹5,000, average ₹25
- Issue 50 units
- Purchase 50 units @ ₹45 = ₹2,250

**Perpetual (moving) average**

1. After first purchase:  $(₹2,000 + ₹3,000) \div (100 + 100) = ₹5,000 \div 200 = ₹25$ .
2. Issue  $50 \times ₹25 = ₹1,250$  (this is the whole of COGS). Left  $150 \times ₹25 = ₹3,750$ .
3. Second purchase:  $₹3,750 + ₹2,250 = ₹6,000$ ; qty  $150 + 50 = 200$ . Average =  $₹6,000 \div 200 = ₹30$ .
4. Closing stock =  $200 \times ₹30 = ₹6,000$ . COGS = ₹1,250.

**Periodic average (one average for the whole period)**

Total cost of goods available = ₹2,000 + ₹3,000 + ₹2,250 = ₹7,250.

Total units available =  $100 + 100 + 50 = 250$ .

Period average =  $₹7,250 \div 250 = ₹29$ .

Closing quantity is still 200 (units do not depend on the method).

Closing stock =  $200 \times ₹29 = ₹5,800$ .

COGS =  $50 \times ₹29 = ₹1,450$  (or  $₹7,250 - ₹5,800 = ₹1,450$ ).

**Same units, different rupee split — always name the method**

|                            | Perpetual WAM | Periodic WAM | Difference                 |
|----------------------------|---------------|--------------|----------------------------|
| Closing stock              | ₹6,000        | ₹5,800       | Perpetual higher by ₹200   |
| COGS                       | ₹1,250        | ₹1,450       | Periodic higher by ₹200    |
| Sum (must equal available) | ₹7,250        | ₹7,250       | Both split the same ₹7,250 |

The ₹200 difference is exactly this: periodic charged the 50 issued units at ₹29 instead of ₹25.  $50 \times (₹29 - ₹25) = ₹200$ . Periodic let the later ₹45 purchase pull the issue's cost up. Perpetual refused, because on the issue date that purchase had not happened.

**SOLVED EXAMPLE 7 · EXAM-LEVEL**



## Full moving-average stores ledger (seven dated lines, including paise)

**Question.** From the following, prepare a stores ledger under the **perpetual weighted average (moving average)** method. Show the rate after every purchase. Find closing stock and COGS.

### Six movements plus opening — a full exam ledger

| Date   | Transaction   | Quantity | Rate (₹) |
|--------|---------------|----------|----------|
| 1 Apr  | Opening stock | 250      | 40       |
| 8 Apr  | Purchase      | 150      | 48       |
| 12 Apr | Issue         | 200      | —        |
| 18 Apr | Purchase      | 200      | 52       |
| 22 Apr | Issue         | 150      | —        |
| 28 Apr | Purchase      | 50       | 62.50    |
| 30 Apr | Issue         | 80       | —        |

### Workings before the ledger (every division shown)

**1 Apr.** Opening  $250 \times ₹40 = ₹10,000$ . Balance  $250 @ ₹40 = ₹10,000$ .

**8 Apr purchase.**  $150 \times ₹48 = ₹7,200$ . Qty  $250 + 150 = 400$ . Amount  $₹10,000 + ₹7,200 = ₹17,200$ . Average =  $₹17,200 \div 400 = ₹43$ .

**12 Apr issue.**  $200 \times ₹43 = ₹8,600$ . Left qty  $400 - 200 = 200$ . Left amount  $₹17,200 - ₹8,600 = ₹8,600$ . Rate still ₹43. Check:  $200 \times ₹43 = ₹8,600$ .

**18 Apr purchase.**  $200 \times ₹52 = ₹10,400$ . Qty  $200 + 200 = 400$ . Amount  $₹8,600 + ₹10,400 = ₹19,000$ . Average =  $₹19,000 \div 400 = ₹47.50$ .

**22 Apr issue.**  $150 \times ₹47.50 = ₹7,125$ . Working:  $150 \times ₹47 = ₹7,050$ ;  $150 \times ₹0.50 = ₹75$ ; total ₹7,125. Left qty  $400 - 150 = 250$ . Left amount  $₹19,000 - ₹7,125 = ₹11,875$ . Check:  $250 \times ₹47.50 = 250 \times ₹47 + 250 \times ₹0.50 = ₹11,750 + ₹125 = ₹11,875$ .

**28 Apr purchase.**  $50 \times ₹62.50 = ₹3,125$ . Working:  $50 \times ₹62 = ₹3,100$ ;  $50 \times ₹0.50 = ₹25$ ; total ₹3,125. Qty  $250 + 50 = 300$ . Amount  $₹11,875 + ₹3,125 = ₹15,000$ . Average =  $₹15,000 \div 300 = ₹50$ .

**30 Apr issue.**  $80 \times ₹50 = ₹4,000$ . Left qty  $300 - 80 = 220$ . Left amount  $₹15,000 - ₹4,000 = ₹11,000$ . Check:  $220 \times ₹50 = ₹11,000$ .

### Stores ledger

#### Perpetual weighted average stores ledger — seven lines

| Date   | Particulars | Rec Qty | Rec Rate (₹) | Rec Amt (₹) | Iss Qty | Iss Rate (₹) | Iss Amt (₹) | Bal Qty | Bal Rate (₹) | Bal Amt (₹) |
|--------|-------------|---------|--------------|-------------|---------|--------------|-------------|---------|--------------|-------------|
| 1 Apr  | Balance b/d | —       | —            | —           | —       | —            | —           | 250     | 40.00        | ₹10,000     |
| 8 Apr  | Purchase    | 150     | 48.00        | ₹7,200      | —       | —            | —           | 400     | 43.00        | ₹17,200     |
| 12 Apr | Issue       | —       | —            | —           | 200     | 43.00        | ₹8,600      | 200     | 43.00        | ₹8,600      |
| 18 Apr | Purchase    | 200     | 52.00        | ₹10,400     | —       | —            | —           | 400     | 47.50        | ₹19,000     |
| 22 Apr | Issue       | —       | —            | —           | 150     | 47.50        | ₹7,125      | 250     | 47.50        | ₹11,875     |
| 28 Apr | Purchase    | 50      | 62.50        | ₹3,125      | —       | —            | —           | 300     | 50.00        | ₹15,000     |
| 30 Apr | Issue       | —       | —            | —           | 80      | 50.00        | ₹4,000      | 220     | 50.00        | ₹11,000     |

Balance rate moved on 8 Apr, 18 Apr and 28 Apr only. On every issue row the rate is copied, not recalculated.

Closing stock = ₹11,000 (220 units @ ₹50). COGS = ₹8,600 + ₹7,125 + ₹4,000 = ₹19,725.

#### UNIT AND RUPEE CHECK — DO THIS ON EVERY NUMERICAL

**Units.** 250 + 150 – 200 + 200 – 150 + 50 – 80 = 220. Running: 250 + 150 = 400; 400 – 200 = 200; 200 + 200 = 400; 400 – 150 = 250; 250 + 50 = 300; 300 – 80 = 220. Available units = 250 + 150 + 200 + 50 = 650; issues 200 + 150 + 80 = 430; 650 – 430 = 220.

**Rupees.** Available cost = ₹10,000 + ₹7,200 + ₹10,400 + ₹3,125 = ₹30,725. ₹30,725 – COGS ₹19,725 = closing ₹11,000.  
Check: ₹19,725 + ₹11,000 = ₹30,725.

#### If the same facts had been asked under periodic WAM (short note, not the main answer)

Period average = ₹30,725 ÷ 650 units available. ₹30,725 ÷ 650 = ₹47.269... (not a clean rate — this is why the paper usually wants moving average when dates are given). Do not mix this figure into the perpetual ledger.

**Answer (perpetual WAM).** Closing stock = ₹11,000. COGS = ₹19,725.

#### 9. HOW TO IDENTIFY THE QUESTION

Use WAM when the question says any of: **weighted average, average cost, WAM, weighted average cost, moving average, perpetual average, or periodic average.** If it says moving / perpetual / ‘stores ledger with rates after each receipt’, use the moving average. If it says ‘weighted average for the period’ or gives no issue dates, use periodic. If it only says ‘weighted average’ but prints a dated list of receipts and issues, use perpetual and write that assumption in one line at the top of the ledger.

#### 10. COMMON MISTAKES

- Recalculating the average on an issue date. The average changes only when goods come in.
- Taking the latest purchase rate as the issue rate (that is a FIFO/LIFO confusion, not WAM).
- Periodic average used inside a dated stores ledger, or moving average used when the question said periodic.
- Adding freight to the average of all stock instead of to the purchase amount of that lot before dividing.
- Rounding the average too early and never showing the division. Keep two decimal places consistently, and show ₹47.50 as ₹47.50, not ₹48.
- Forgetting that leftover units after an issue keep the same average — students sometimes switch the leftover onto the next purchase rate before that purchase is posted.

#### 11. MEMORY TRICK

WAM: **mix the soup, then ladle.** You mix (recompute the average) when a new ingredient is poured in (a purchase). You ladle (issue) at whatever the pot currently tastes of. You do not remix just because you ladled.

#### 12. EXAM-READY ANSWER

Under the weighted average method, the rate is total cost of units in hand divided by total units in hand. In the perpetual (moving average) system the rate is revised after every purchase; issues are costed at the rate then ruling, and the rate is not revised on issue. In the periodic system a single average is computed from opening stock plus all purchases of the period; closing stock and COGS both use that one rate. The two systems generally give different rupee answers when purchases and issues alternate. AS-2 / Ind AS-2 permit the weighted average cost formula.

## 6. FIFO versus WAM — what happens when prices move

Take the easy data already used: opening 100 @ ₹20, purchase 200 @ ₹26, issue 150. Prices are **rising** (₹20 then ₹26). Cost available =  $100 \times ₹20 + 200 \times ₹26 = ₹2,000 + ₹5,200 = ₹7,200$ . Closing quantity = 150.

**Same goods, two splits of the same ₹7,200**

|                                       | FIFO                                                                      | WAM (here perpetual = periodic, one purchase) |
|---------------------------------------|---------------------------------------------------------------------------|-----------------------------------------------|
| How the 150 issued units are costed   | Oldest first: $100 \times ₹20 + 50 \times ₹26 = ₹2,000 + ₹1,300 = ₹3,300$ | Average ₹24: $150 \times ₹24 = ₹3,600$        |
| How the 150 leftover units are costed | Latest lot: $150 \times ₹26 = ₹3,900$                                     | Average ₹24: $150 \times ₹24 = ₹3,600$        |
| Check                                 | $₹3,300 + ₹3,900 = ₹7,200$                                                | $₹3,600 + ₹3,600 = ₹7,200$                    |

Memorise the rising-price row — it is the standard 4-to-6 mark comparison

| When purchase prices are... | FIFO closing stock               | WAM closing stock                                | FIFO COGS                     | WAM COGS | FIFO profit versus WAM       |
|-----------------------------|----------------------------------|--------------------------------------------------|-------------------------------|----------|------------------------------|
| <b>Rising</b> (inflation)   | Higher (latest dear lots remain) | Lower (average is pulled down by old cheap lots) | Lower (old cheap lots issued) | Higher   | FIFO profit is <b>higher</b> |
| <b>Falling</b>              | Lower (latest cheap lots remain) | Higher (average still holds some old dear lots)  | Higher                        | Lower    | FIFO profit is <b>lower</b>  |
| Constant                    | Same                             | Same                                             | Same                          | Same     | No difference                |

#### KEY POINT

In a period of rising prices: FIFO closing stock > WAM closing stock, FIFO COGS < WAM COGS, FIFO gross profit > WAM gross profit, FIFO current assets > WAM current assets. Both methods still split the same cost of goods available. They do not create or destroy rupees; they allocate them.

#### FIFO, in one breath

Layers stay separate. Oldest leaves first. Closing stock looks 'up to date'. Balance Sheet asset is closer to replacement cost. In inflation, profit is relatively higher (cheap costs in COGS).

#### WAM, in one breath

Layers are mixed. Every unit in the pot has the same rate. Profit is smoother because a price jump is spread over sold and unsold units. Useful when goods are identical and physically mixed.

## 7. How to identify the question

### 9. HOW TO IDENTIFY THE QUESTION

Read the method word before you draw a single column. If you see **FIFO / first in first out / latest lots in stock / earliest issues** → FIFO layers. If you see **weighted average / average cost / WAM / moving average / periodic average** → WAM, and then decide perpetual vs periodic from the wording and from whether dates of issues are given. If the question is **silent** on the method, do not guess quietly: write one line, 'Assumption: inventory is valued at FIFO (or WAM) cost', pick one, and proceed. An unnamed method with a dated stores ledger is most often FIFO or moving average — state which one you are using so the examiner can mark the working.

#### Question decoder — 30 seconds that save the numerical

| Phrase in the question                                                  | What you do                                                                      |
|-------------------------------------------------------------------------|----------------------------------------------------------------------------------|
| 'FIFO' / 'first-in, first-out' / 'oldest stock issued first'            | Perpetual FIFO layers. Latest lots = closing stock.                              |
| 'Latest purchases remain in stock'                                      | FIFO (that sentence is the definition of FIFO closing stock).                    |
| 'Weighted average' + dates of receipts and issues                       | Perpetual / moving WAM stores ledger. State it.                                  |
| 'Moving average' / 'perpetual average'                                  | Recompute after every purchase only.                                             |
| 'Periodic weighted average' / no issue dates                            | One average from opening + all purchases.                                        |
| Freight inward / carriage inward against a named purchase               | Add it to that lot's cost; new lot rate = (invoice + freight) ÷ qty of that lot. |
| 'Cost or NRV whichever lower' / damaged / obsolete / prices have fallen | First find cost by FIFO or WAM, then cap at NRV, item by item.                   |

| Phrase in the question | What you do                                                                                       |
|------------------------|---------------------------------------------------------------------------------------------------|
| 'LIFO'                 | One sentence: LIFO is not permitted under AS-2 / Ind AS-2 in India. Do not use it as your method. |
| Silent on method       | State the assumption in the first line of the answer.                                             |

## 8. Common mistakes (whole chapter)

### 10. COMMON MISTAKES

- Recalculating the weighted average at the time of issue. Average changes only on a receipt.
- Mixing FIFO layers after an issue — leftover lots with different rates must not be blended.
- Forgetting opening stock, which breaks both the unit identity and the rupee identity.
- Using selling price, MRP or list price to value stock. Cost first; NRV only as a ceiling.
- Units that do not reconcile: opening + purchases – issues must equal closing units. If this fails, stop and find the missing posting before you compute rupees.
- Loading freight inward onto all stock, or onto issues. It belongs to the purchase lot that travelled.
- Treating cash discount as a reduction of inventory cost. Trade discount is deducted; cash discount is not (it is a financial item).
- Computing FIFO by issuing from the newest lot. That is LIFO, and LIFO is not allowed.
- Leaving the method unnamed when the question was silent. Always write the assumption.
- Skipping the rupee check (available – COGS = closing). A one-minute check catches 90% of arithmetic slips.

## 9. Memory tricks

### 11. MEMORY TRICK

FIFO: **old goods leave first; new goods remain.** Closing stock is a photograph of the latest invoices. WAM: **mix the soup, then ladle.** Stir on purchase, never on issue. Seesaw: closing stock and profit sit on the same side of the seesaw; COGS sits on the other side. Conservatism: cost or NRV, whichever is lower — and compare item by item. India: FIFO and WAM yes; LIFO no.

## 10. Exam-ready theory answers

### What is inventory? Where is it shown in the financial statements? (4 marks)

4 marks

Inventory is the goods held for sale in the ordinary course of business, together with materials and work-in-progress used in production. A trader holds stock-in-trade. A manufacturer holds raw material, WIP and finished goods. Closing inventory is a current asset in the Balance Sheet. It is also used in the Trading Account / Statement of Profit and Loss to arrive at cost of goods sold and gross profit. Opening inventory is last period's closing inventory brought forward.

### Why is the valuation of inventory important? (4–6 marks)

4–6 marks

Closing stock is the rare figure that appears in both the income statement and the Balance Sheet. Cost of goods sold = opening stock + purchases – closing stock, and gross profit = sales – COGS. If closing stock is overstated, COGS is understated, profit is overstated and current assets are overstated. The opposite follows from understatement. The error reverses next year because this year's closing stock is next year's opening stock, but each year's accounts and the year-end financial position are still wrong. Hence a consistent, conservative method (cost or NRV, whichever is lower, under AS-2 / Ind AS-2) is required.

**State the AS-2 rule for valuation of inventories. Why is LIFO not used in India? (4 marks)**

4 marks

Inventories are valued at the lower of cost and net realisable value. Cost is determined using FIFO or the weighted average cost formula. NRV is estimated selling price less costs of completion and costs to sell. The comparison is made item by item (or by group of similar items); a surplus on one item cannot offset a deficit on another. LIFO is not a permitted cost formula under AS-2 or Ind AS-2, so Indian companies do not value inventory on a LIFO basis.

**Distinguish between FIFO and the weighted average method. (6 marks)**

6 marks

**FIFO** assumes the earliest lots are issued first, so closing stock is the latest lots at the latest rates. Lots are kept as separate layers. In a period of rising prices FIFO reports higher closing stock, lower COGS and higher profit than WAM.

**WAM** applies an average rate = total cost of units in hand ÷ units in hand. Under the moving-average (perpetual) system the average is revised after every purchase and issues go out at the current average. Under the periodic system one average is computed for the period. WAM is natural when units are identical and mixed. Both methods are permitted by AS-2; LIFO is not.

**Write the formulae for cost of goods sold and gross profit. (2 marks)**

2 marks

COGS = Opening stock + Purchases – Closing stock. Gross profit = Sales – COGS. Equivalently, Opening stock + Purchases = COGS + Closing stock (the rupee identity used to check numericals).

**11. Practice questions — try them, then open the solution**

Sit with rough paper. Do the unit check and the rupee check before you look. Easy is FIFO, moderate is moving WAM, exam-level is FIFO with freight loaded on the correct lot.

**PRACTICE 1 · EASY****FIFO — one purchase, one issue**

Opening stock 80 units @ ₹15. Purchased 120 units @ ₹18. Issued 100 units. Find FIFO closing stock and COGS. Show layers and both checks.

**ANSWER / SOLUTION****Layers before the issue**

200 units; cost available = ₹1,200 + ₹2,160 = ₹3,360

| Layer (oldest first) | Quantity | Rate | Amount                    | What happens to this layer |
|----------------------|----------|------|---------------------------|----------------------------|
| Opening (oldest)     | 80       | ₹15  | $80 \times ₹15 = ₹1,200$  | Issued first               |
| Purchase (newest)    | 120      | ₹18  | $120 \times ₹18 = ₹2,160$ | Sits behind                |

**Issue of 100 — oldest first**

| Taken from  | Qty        | Rate | Working         | Amount        |
|-------------|------------|------|-----------------|---------------|
| Opening     | 80         | ₹15  | $80 \times ₹15$ | ₹1,200        |
| Purchase    | 20         | ₹18  | $20 \times ₹18$ | ₹360          |
| <b>COGS</b> | <b>100</b> |      |                 | <b>₹1,560</b> |

Leftover layer:  $120 - 20 = 100$  units @ ₹18. Closing stock =  $100 \times ₹18 = ₹1,800$ .

**UNIT AND RUPEE CHECK — DO THIS ON EVERY NUMERICAL**

**Units.**  $80 + 120 - 100 = 100$  units.

**Rupees.** Available ₹3,360 – COGS ₹1,560 = closing ₹1,800.

**Answer.** Closing stock ₹1,800; COGS ₹1,560.

## PRACTICE 2 · MODERATE

### Perpetual weighted average — two purchases, two issues

Prepare a moving-average stores ledger and find closing stock and COGS.

| Date   | Transaction | Quantity | Rate (₹) |
|--------|-------------|----------|----------|
| 1 May  | Opening     | 120      | 25       |
| 8 May  | Purchase    | 180      | 35       |
| 15 May | Issue       | 90       | —        |
| 22 May | Purchase    | 90       | 41       |
| 28 May | Issue       | 110      | —        |

State the method at the top of the ledger. Recalculate the average only after purchases.

#### ANSWER / SOLUTION

**Method: perpetual (moving) weighted average**

**1 May.**  $120 \times ₹25 = ₹3,000$ . Balance 120 @ ₹25 = ₹3,000.

**8 May purchase.**  $180 \times ₹35 = ₹6,300$ . Qty  $120 + 180 = 300$ . Amount  $₹3,000 + ₹6,300 = ₹9,300$ . Average =  $₹9,300 \div 300 = ₹31$ .

**15 May issue.**  $90 \times ₹31 = ₹2,790$ . Left  $300 - 90 = 210$  units. Amount  $₹9,300 - ₹2,790 = ₹6,510$ . Rate still ₹31. Check:  $210 \times ₹31 = ₹6,510$ .

**22 May purchase.**  $90 \times ₹41 = ₹3,690$ . Qty  $210 + 90 = 300$ . Amount  $₹6,510 + ₹3,690 = ₹10,200$ . Average =  $₹10,200 \div 300 = ₹34$ .

**28 May issue.**  $110 \times ₹34 = ₹3,740$ . Left  $300 - 110 = 190$  units. Amount  $₹10,200 - ₹3,740 = ₹6,460$ . Check:  $190 \times ₹34 = ₹6,460$ .

#### Moving-average ledger

| Date   | Particulars | Rec Qty | Rec Rate | Rec Amt | Iss Qty | Iss Rate | Iss Amt | Bal Qty | Bal Rate | Bal Amt |
|--------|-------------|---------|----------|---------|---------|----------|---------|---------|----------|---------|
| 1 May  | Balance b/d | —       | —        | —       | —       | —        | —       | 120     | 25       | ₹3,000  |
| 8 May  | Purchase    | 180     | 35       | ₹6,300  | —       | —        | —       | 300     | 31       | ₹9,300  |
| 15 May | Issue       | —       | —        | —       | 90      | 31       | ₹2,790  | 210     | 31       | ₹6,510  |
| 22 May | Purchase    | 90      | 41       | ₹3,690  | —       | —        | —       | 300     | 34       | ₹10,200 |
| 28 May | Issue       | —       | —        | —       | 110     | 34       | ₹3,740  | 190     | 34       | ₹6,460  |

COGS = ₹2,790 + ₹3,740 = **₹6,530**. Closing stock = **₹6,460** (190 @ ₹34).

#### UNIT AND RUPEE CHECK — DO THIS ON EVERY NUMERICAL

**Units.**  $120 + 180 - 90 + 90 - 110 = 190$ . Running:  $120 + 180 = 300$ ;  $300 - 90 = 210$ ;  $210 + 90 = 300$ ;  $300 - 110 = 190$ .

**Rupees.** Available  $₹3,000 + ₹6,300 + ₹3,690 = ₹12,990$ .  $₹12,990 - ₹6,530 = ₹6,460$ .

**Answer.** Closing stock ₹6,460; COGS ₹6,530.

## PRACTICE 3 · EXAM-LEVEL

## FIFO with freight on two different lots

The stores of Kapoor Agencies (FIFO) showed the following in June. Carriage / freight inward is a cost of the lot to which it relates. Compute FIFO closing stock and COGS. Show the lot rates, every layer after every date, and both checks.

| Date   | Transaction   | Quantity  | Other information          |
|--------|---------------|-----------|----------------------------|
| 1 Jun  | Opening stock | 150 units | @ ₹40                      |
| 6 Jun  | Purchase      | 250 units | @ ₹44, plus freight ₹1,000 |
| 14 Jun | Issue         | 200 units | —                          |
| 21 Jun | Purchase      | 200 units | @ ₹50, plus carriage ₹800  |
| 27 Jun | Issue         | 280 units | —                          |
| 30 Jun | Purchase      | 100 units | @ ₹56, no freight          |

### ANSWER / SOLUTION

#### Lot rates (freight loaded on its own invoice)

| Lot    | Invoice                    | Freight | Total   | Qty | Rate                                                   |
|--------|----------------------------|---------|---------|-----|--------------------------------------------------------|
| 6 Jun  | $250 \times ₹44 = ₹11,000$ | ₹1,000  | ₹12,000 | 250 | $₹12,000 \div 250 = ₹48$ (₹44 + ₹1,000/250 = ₹44 + ₹4) |
| 21 Jun | $200 \times ₹50 = ₹10,000$ | ₹800    | ₹10,800 | 200 | $₹10,800 \div 200 = ₹54$ (₹50 + ₹800/200 = ₹50 + ₹4)   |
| 30 Jun | $100 \times ₹56 = ₹5,600$  | nil     | ₹5,600  | 100 | ₹56                                                    |

#### 1 Jun — opening

##### After 1 Jun

| Layer (oldest first) | Quantity | Rate | Amount                    | What happens to this layer |
|----------------------|----------|------|---------------------------|----------------------------|
| Opening              | 150      | ₹40  | $150 \times ₹40 = ₹6,000$ | Oldest                     |

#### 6 Jun — purchase 250 @ ₹48

400 units; cost = ₹6,000 + ₹12,000 = ₹18,000

| Layer (oldest first)  | Quantity | Rate | Amount                     | What happens to this layer |
|-----------------------|----------|------|----------------------------|----------------------------|
| Opening               | 150      | ₹40  | ₹6,000                     | Oldest                     |
| 6 Jun (incl. freight) | 250      | ₹48  | $250 \times ₹48 = ₹12,000$ | New                        |

#### 14 Jun — issue 200

| Taken from        | Qty        | Rate | Working          | Amount        |
|-------------------|------------|------|------------------|---------------|
| Opening           | 150        | ₹40  | $150 \times ₹40$ | ₹6,000        |
| 6 Jun             | 50         | ₹48  | $50 \times ₹48$  | ₹2,400        |
| <b>This issue</b> | <b>200</b> |      |                  | <b>₹8,400</b> |

##### After 14 Jun

| Layer (oldest first) | Quantity | Rate | Amount                    | What happens to this layer |
|----------------------|----------|------|---------------------------|----------------------------|
| 6 Jun leftover       | 200      | ₹48  | $200 \times ₹48 = ₹9,600$ | $250 - 50 = 200$ remain    |

#### 21 Jun — purchase 200 @ ₹54

400 units; cost = ₹9,600 + ₹10,800 = ₹20,400

| Layer (oldest first) | Quantity | Rate | Amount | What happens to this layer |
|----------------------|----------|------|--------|----------------------------|
|----------------------|----------|------|--------|----------------------------|

| Layer (oldest first)    | Quantity | Rate | Amount                     | What happens to this layer |
|-------------------------|----------|------|----------------------------|----------------------------|
| 6 Jun leftover (oldest) | 200      | ₹48  | ₹9,600                     | Will leave first           |
| 21 Jun (incl. carriage) | 200      | ₹54  | $200 \times ₹54 = ₹10,800$ | New                        |

### 27 Jun — issue 280

| Taken from        | Qty        | Rate | Working          | Amount         |
|-------------------|------------|------|------------------|----------------|
| 6 Jun leftover    | 200        | ₹48  | $200 \times ₹48$ | ₹9,600         |
| 21 Jun            | 80         | ₹54  | $80 \times ₹54$  | ₹4,320         |
| <b>This issue</b> | <b>280</b> |      |                  | <b>₹13,920</b> |

$80 \times ₹54$ ;  $80 \times ₹50 = ₹4,000$ ;  $80 \times ₹4 = ₹320$ ; total ₹4,320.

### After 27 Jun

| Layer (oldest first) | Quantity | Rate | Amount                    | What happens to this layer                                                                                     |
|----------------------|----------|------|---------------------------|----------------------------------------------------------------------------------------------------------------|
| 21 Jun leftover      | 120      | ₹54  | $120 \times ₹54 = ₹6,480$ | $200 - 80 = 120$ remain. $120 \times ₹54$ : $120 \times ₹50 = ₹6,000$ ; $120 \times ₹4 = ₹480$ ; total ₹6,480. |

### 30 Jun — purchase 100 @ ₹56

#### Closing layers

| Layer (oldest first) | Quantity | Rate | Amount                    | What happens to this layer |
|----------------------|----------|------|---------------------------|----------------------------|
| 21 Jun leftover      | 120      | ₹54  | ₹6,480                    | In closing stock           |
| 30 Jun               | 100      | ₹56  | $100 \times ₹56 = ₹5,600$ | In closing stock           |

Closing quantity =  $120 + 100 = 220$  units. Closing stock =  $₹6,480 + ₹5,600 = ₹12,080$ .

COGS =  $₹8,400 + ₹13,920 = ₹22,320$ .

#### UNIT AND RUPEE CHECK — DO THIS ON EVERY NUMERICAL

**Units.**  $150 + 250 - 200 + 200 - 280 + 100 = 220$ . Running:  $150 + 250 = 400$ ;  $400 - 200 = 200$ ;  $200 + 200 = 400$ ;  $400 - 280 = 120$ ;  $120 + 100 = 220$ . Available units  $150 + 250 + 200 + 100 = 700$ ; issues  $200 + 280 = 480$ ;  $700 - 480 = 220$ .

**Rupees.** Available cost =  $150 \times ₹40 + 250 \times ₹48 + 200 \times ₹54 + 100 \times ₹56 = ₹6,000 + ₹12,000 + ₹10,800 + ₹5,600 = ₹34,400$ .  $₹34,400 - \text{COGS } ₹22,320 = \text{closing } ₹12,080$ . Check:  $₹22,320 + ₹12,080 = ₹34,400$ .

### Latest-lots shortcut

Closing 220 from the end:  $100 @ ₹56 = ₹5,600$ , plus  $120 @ ₹54 = ₹6,480$ .  $₹5,600 + ₹6,480 = ₹12,080$ . Matches.

**Answer.** FIFO closing stock ₹12,080 (220 units). COGS ₹22,320.

#### EXAM TIP

In the hall: (1) write the method in the heading, (2) convert freight into a lot rate before posting, (3) after every date rewrite the layers or the average, (4) box closing stock and COGS, (5) spend one minute on the unit identity and the rupee identity. Those five habits convert a 12-mark numerical into a full-score numerical.



# Depreciation

**Learning outcome.** You will be able to explain what depreciation is (and what it is not), state why it is provided, compute it under the Straight Line Method and the Written Down Value Method — including part-year charges, a second asset, and sale — pass the journals, and present the asset in the Profit & Loss Account and the Balance Sheet, as expected in an Indian MBA exam.

## WHAT THIS CHAPTER COVERS (OFFICIAL SYLLABUS)

- Meaning of depreciation
- Reasons for providing depreciation
- Straight Line Method (SLM)
- Written Down Value Method (WDV)
- Numerical problems (part-year, installation, sale, comparison)

## Before you open a numerical — the words

Every depreciation question is built from six words. If you can name them on a blank page, the arithmetic becomes a recipe, not a puzzle.

### Six words that unlock every depreciation question

| Word you will see          | What it actually means                                                                                                                            | Exam alias                                          |
|----------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------|
| Cost / original cost       | What the business spent to bring the asset to working condition (purchase + installation + freight + non-refundable taxes, minus trade discount). | Gross block, invoice price + extras                 |
| Residual / scrap / salvage | Estimated amount we expect to recover at the end of useful life, after selling or scrapping the asset.                                            | Scrap value, residual value                         |
| Useful life                | The period (usually in years) over which the business will use the asset.                                                                         | Life, estimated life, n years                       |
| Depreciable amount         | Cost minus residual. This is the bundle of cost that must be expensed over the life.                                                              | Amount to be written off                            |
| WDV / NBV / book value     | Cost minus accumulated depreciation so far. The unexpired cost still sitting on the Balance Sheet.                                                | Written down value, net book value, carrying amount |
| Accumulated depreciation   | The running total of depreciation charged from the date of purchase up to today. A contra-asset, not cash.                                        | Provision for depreciation                          |

### KEY POINT

Depreciation is an **allocation of cost already spent**. It is not a valuation of the asset at today's market price, and it is not cash leaving the business this year.

## 1. Meaning of depreciation

### 1. WHAT IS IT? — DEFINITION

Depreciation is the **systematic allocation of the depreciable amount of a tangible fixed asset over its useful life**. Depreciable amount = Cost – Residual (scrap) value. We charge this allocation as an expense of each year that enjoyed the asset's services.

### 2. IN SIMPLE WORDS

You buy a delivery van for ₹5,00,000 and you will use it for 5 years. You did not “lose” ₹5,00,000 in year 1. You prepaid for five years of deliveries. Each year you expense a portion of that prepaid bundle. That portion is depreciation. No cash goes to the garage, the bank, or the owner when you pass the depreciation entry — the cash already left on the day you bought the van.

### 3. WHY DO WE NEED IT?

Without depreciation, year 1 would swallow the whole cost (profit would look terrible) and years 2–5 would ride free (profit would look fake). Depreciation spreads the cost so that each year is charged with the services it used. That is the matching concept.

### 4. REAL-LIFE EXAMPLE

A café buys an espresso machine for ₹1,20,000. It will steam milk for about 6 years and then be sold as scrap for ₹12,000. The café is not poorer by ₹1,20,000 on day one. It is poorer, each year, by the slice of machine-life that year consumed. Depreciation is the name of that slice.

### 5. ACCOUNTING LOGIC

The accounting equation is  $\text{Assets} = \text{Liabilities} + \text{Capital}$ . When you buy the van with cash, one asset (van) replaces another (bank) — capital is unchanged. As the van is used, part of that asset is consumed. We reduce the asset (or raise a contra-asset) and reduce profit (which reduces capital). The business is honestly smaller by the cost consumed, not by a cash payment that never happened this year.

### 12. EXAM-READY ANSWER

Depreciation is a non-cash expense representing the expired cost of a tangible fixed asset. It is charged to the Profit and Loss Account so that profit is not overstated, and deducted from the asset (directly or through accumulated depreciation) so that the Balance Sheet does not show the asset at a cost that has already been used up. It is not the same thing as a fall in market price: a building may rise in the property market and we still depreciate it, because we are allocating historical cost, not marking the asset to market.

### WATCH OUT

Three sentences students write that examiners cross out: (1) “Depreciation is cash paid for wear and tear.” — No cash is paid. (2) “Depreciation is the fall in market price of the asset.” — Not the definition; market may even rise. (3) “Accumulated depreciation is money kept aside to replace the asset.” — It is only a contra-asset on paper, unless the business separately invests cash in a replacement fund.

### CONNECT THE CHAPTERS

In the Cash Flow Statement (later chapter) you will **add depreciation back** to net profit while computing cash from operations. That is because profit was reduced by a non-cash expense. If you treat depreciation as an outflow there, you double-count a payment that already happened when the asset was purchased. Remember the slogan: *depreciation is in the P&L; it is not in this year’s cash*.

## 2. Why do we provide depreciation?

### 3. WHY DO WE NEED IT?

We provide depreciation for five interlocking reasons. Learn them as a 5-mark theory answer, not as a list you half-remember. The examiner wants the matching idea, the Balance Sheet idea, and the honesty that a “fund” is not automatic.

#### Five reasons for providing depreciation (theory favourite)

| Reason                                | What to write in the exam                                                                                                                                                                                                            |
|---------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>To show true profit (matching)</b> | The year that used the machine must bear a share of its cost. If we skip depreciation, profit is overstated. Owners may then withdraw or distribute cash that is not really “earned”. Matching concept: expenses of a period against |

| Reason                                                          | What to write in the exam                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|-----------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                 | revenue of that period.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| <b>To show a true asset value (not overstated)</b>              | A three-year-old van is not worth its original cost on the Balance Sheet. We show cost less accumulated depreciation = net book value. This is still not market value — it is unexpired cost — but it is not a lie that the whole cost is still “there”.                                                                                                                                                                                                                                                                                                                                                                          |
| <b>Replacement-funds idea — with the common confusion named</b> | By charging depreciation we retain that amount of profit inside the business (we do not declare it as fully available). Over the life, retained earnings plus the reduced book value keep the accounting equation in balance. <b>But accounting does not physically set cash aside.</b> The cash from sales sits in the bank and can be spent on anything — inventory, salaries, dividends — unless management separately creates a <i>depreciation fund</i> and invests it. Most businesses do not. So: depreciation helps <i>in principle</i> to retain resources for replacement; it does <i>not</i> create a locked cash box. |
| <b>Legal / true and fair view</b>                               | Under the Companies Act, 2013, financial statements must give a true and fair view. Schedule II indicates useful lives for companies. Skipping depreciation would overstate profit and assets — not true and fair. For MBA theory, write: “Depreciation is necessary to present a true and fair view of profit and of the financial position.”                                                                                                                                                                                                                                                                                    |
| <b>The cost is a prepaid bundle of services</b>                 | A machine is not one day’s expense. It is a packet of future services bought in advance. Depreciation is how we open that packet, year by year. This is the same logic as prepaid insurance: you do not expense 3 years of premium in January of year 1.                                                                                                                                                                                                                                                                                                                                                                          |

## 12. EXAM-READY ANSWER

Depreciation is provided: (i) to ascertain true profit by matching the expired cost of the asset against the revenue of the period; (ii) to state assets at a true (unexpired) amount in the Balance Sheet rather than at original cost; (iii) to retain a portion of profit in the business which, in principle, is available towards replacement — though a separate invested fund is created only if management so decides; (iv) to comply with the true-and-fair requirement of company law; and (v) because the cost of a fixed asset is a prepaid bundle of services that must be allocated over the years that receive those services.

## 11. MEMORY TRICK

Five fingers: **Profit, Picture, Piggy-bank (optional), Police (law), Prepaid services.** Profit = matching. Picture = Balance Sheet. Piggy-bank = replacement idea, cash not auto-locked. Police = Companies Act / true and fair. Prepaid = the asset is a bundle of future uses.

## 3. Why depreciation occurs — the physical and economic causes

### 2. IN SIMPLE WORDS

Section 2 answered “why we *record* it”. This section answers “why the asset *loses service potential*”. Examiners ask both. Do not mix them up.

### Causes of depreciation (do not confuse with ‘reasons for providing’)

| Cause                               | What is happening                                                                                             | Typical assets                                 | One-line example                                                                       |
|-------------------------------------|---------------------------------------------------------------------------------------------------------------|------------------------------------------------|----------------------------------------------------------------------------------------|
| Wear and tear                       | Physical use: friction, running hours, kilometres, copies printed.                                            | Vehicles, plant, furniture                     | A delivery van’s engine after 80,000 km is not the engine you bought.                  |
| Passage of time (effluxion of time) | Even an unused asset can expire: patents of time, leases, rust, weather.                                      | Leasehold, buildings, seasonal plant left idle | A 9-year lease has 8 years left on 1 April next year whether you used the shop or not. |
| Obsolescence                        | A better, cheaper, or legally required substitute arrives. The old asset is outdated, not necessarily broken. | Computers, phones, specialised machinery       | A 5-year-old billing server still switches on; the business has moved to the cloud.    |
| Depletion                           | Extraction of a wasting resource. The “asset” is physically removed.                                          | Mines, oil wells, quarries, timber tracts      | Every tonne of ore taken out of the mine is a tonne that is gone.                      |
| Accident / abnormal damage          | Fire, flood, crash, beyond ordinary wear. Often written down immediately, not dribbled over                   | Any tangible asset                             | A forklift dropped from a trailer is not “this year’s 10% WDV” — it may be a           |

| Cause | What is happening | Typical assets | One-line example   |
|-------|-------------------|----------------|--------------------|
|       | remaining life.   |                | loss on write-off. |

Depletion is the word used for mines and wells; amortisation is the cousin-word used for intangible assets (patents, goodwill). Depreciation, in the strict exam sense, is for tangible fixed assets other than wasting assets.

#### KEY POINT

**Land is generally not depreciated** — it has an unlimited useful life (the site does not get “used up”). The *building* on the land is depreciated. A mine is not “land” in this sense; a mine is depleted. If an MCQ says “which of the following is not depreciated?”, the answer is almost always freehold land.

#### 9. HOW TO IDENTIFY THE QUESTION

If the question says “state the causes of depreciation” → wear and tear, time, obsolescence, depletion, accident (the table above). If it says “state the reasons for providing depreciation” → true profit, true asset value, replacement idea, legal/true and fair, prepaid bundle (Section 2). Two different questions. Two different lists.

## 4. What is “cost”? (before any method)

#### 1. WHAT IS IT? — DEFINITION

For depreciation, **cost** is the amount spent to acquire the asset and bring it to the location and condition necessary for it to be used. Residual value is an estimate of what will come back at the end. Neither figure is “the invoice alone” unless the question is that simple.

#### 6. FORMAT — COST OF A TANGIBLE FIXED ASSET

- Purchase price (after trade discount; cash discount is usually a finance item, not a cut in cost)
- + Freight / carriage inward / transit insurance
- + Installation, erection, commissioning, trial-run costs (until ready for use)
- + Non-refundable taxes and duties
- – Refundable GST / CENVAT (if the business can claim it input)
- = **Cost to capitalise** — this is the figure you depreciate from

Depreciation starts from the date the asset is **put to use**, not merely the date of placing the order. If bought on 1 September and installed on 1 October, count from 1 October.

#### EXAM TIP

“Installation ₹20,000” is not an expense of the year. Add it to cost. “Scrap 10% of cost” means 10% of this total cost, unless the question says 10% of purchase price. When in doubt, cost = all amounts spent to make the asset ready.

#### SOLVED EXAMPLE 0 · EASY

#### Build the cost figure before you touch a rate

Invoice price of a machine ₹5,00,000 . Freight ₹8,000 . Installation ₹12,000 . Refundable GST ₹90,000 (claimable). Scrap estimated at 10% of cost. Life 10 years. SLM.

1. Cost = 5,00,000 + 8,000 + 12,000 = ₹5,20,000. GST is refundable, so it is *not* added.
2. Scrap = 10% of ₹5,20,000 = ₹52,000.
3. Depreciable amount = 5,20,000 – 52,000 = ₹4,68,000.
4. Annual SLM depreciation = 4,68,000 ÷ 10 = ₹46,800.

#### KEY POINT

If you depreciate ₹5,00,000 and ignore installation, every later number is wrong. Cost is step zero of every numerical in this chapter.

## 5. Accounting treatment — journal, P&L, Balance Sheet

### 1. WHAT IS IT? — DEFINITION

Recording depreciation means: (i) recognise an **expense** for the year, which reduces profit; and (ii) reduce the asset's net book value, either by crediting the asset directly or by crediting a contra-asset called Accumulated Depreciation (also called Provision for Depreciation).

### 2. IN SIMPLE WORDS

Two things move, and cash is not one of them. Expense goes up → profit goes down. Net book value of the asset goes down. Bank is untouched.

### 5. ACCOUNTING LOGIC

Debit the expense (Depreciation Account) because expenses are debited. Credit Accumulated Depreciation (or the Asset) because that credit shrinks the net asset. Then close Depreciation Account to Profit and Loss — so the year's profit bears the charge. MBA exams usually prefer the accumulated-depreciation (provision) method, because the Balance Sheet can then show cost and accumulated depreciation separately. Both methods are taught below.

### 6. FORMAT — THE TWO JOURNAL ENTRIES EVERY YEAR (PROVISION METHOD)

#### Year-end recording and closing (provision / accumulated depreciation method)

| Date   | Particulars                                                        | L.F. | Debit (₹) | Credit (₹) |
|--------|--------------------------------------------------------------------|------|-----------|------------|
| 31 Mar | Depreciation A/c ..... Dr.                                         |      | xx        |            |
|        | To Accumulated Depreciation A/c                                    |      |           | xx         |
|        | <i>(Being depreciation charged for the year)</i>                   |      |           |            |
| 31 Mar | Profit and Loss A/c ..... Dr.                                      |      | xx        |            |
|        | To Depreciation A/c                                                |      |           | xx         |
|        | <i>(Being depreciation transferred to Profit and Loss Account)</i> |      |           |            |

Some solutions skip the Depreciation Account and write a single entry: Profit and Loss A/c Dr. To Accumulated Depreciation A/c. Either form is accepted if the amounts and the two effects (expense + contra-asset) are clear.

### 6. FORMAT — WHERE IT APPEARS IN THE STATEMENTS

#### Statement of Profit and Loss (extract)

#### P&L — depreciation is an operating expense, not a cash payment

| Particulars                           | ₹      |
|---------------------------------------|--------|
| Depreciation and amortisation expense | 18,000 |

#### Balance Sheet (extract) — Companies Act vertical idea, asset side

**Asset at cost less accumulated depreciation = net book value**

| Particulars                    | ₹        | ₹      |
|--------------------------------|----------|--------|
| <b>Non-current assets</b>      |          |        |
| Property, plant and equipment  |          |        |
| Machinery (at cost)            | 1,00,000 |        |
| Less: Accumulated depreciation | 18,000   | 82,000 |

If the book charges depreciation directly to the asset, the Balance Sheet shows only the WDV figure (₹82,000) and the original cost is not visible. Examiners prefer the “at cost less accumulated depreciation” presentation.

#### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Compute the year's depreciation under the method named in the question (SLM or WDV), for the months the asset was used.
2. Pass: Depreciation A/c Dr. To Accumulated Depreciation A/c (or To Asset A/c).
3. Close Depreciation A/c to Profit and Loss A/c.
4. In the Balance Sheet, show Gross Block (cost) minus Accumulated Depreciation = Net Block (NBV).
5. If the asset is sold during the year: first charge depreciation up to the date of sale, then remove cost and accumulated depreciation, then recognise profit or loss on sale.

#### Dr Depreciation A/c Cr

| Particulars                     | ₹      | Particulars            | ₹      |
|---------------------------------|--------|------------------------|--------|
| To Accumulated Depreciation A/c | 18,000 | By Profit and Loss A/c | 18,000 |

#### Dr Accumulated Depreciation A/c Cr

| Particulars    | ₹      | Particulars         | ₹      |
|----------------|--------|---------------------|--------|
| To Balance c/d | 18,000 | By Depreciation A/c | 18,000 |

The Depreciation Account is a **nominal account** — it opens at zero, collects the year's charge, and is emptied into P&L. The Accumulated Depreciation Account is a **contra-asset** — it lives on from year to year, growing until the asset is sold or fully written off. It is not a pile of cash.

## 6. Straight Line Method (SLM)

#### 1. WHAT IS IT? — DEFINITION

Under the Straight Line Method (also called the Original Cost Method or the Fixed Instalment Method), a **constant amount** of depreciation is charged every full year. The line of remaining book value, plotted against time, is a straight line falling from cost to scrap.

#### 2. IN SIMPLE WORDS

Take the amount that will die (cost minus scrap), cut it into equal yearly slices, and serve one slice each year. Year 1's slice = year 5's slice. If you owned the asset for only part of a year, serve a matching fraction of the slice.

#### 3. WHY DO WE NEED IT?

SLM is simple, and it is fair when the asset gives roughly equal service every year — buildings, furniture, patents of time, a lease. It is a poor fit for assets that collapse in usefulness in the first years (phones, laptops), which is why WDV exists.

#### 4. REAL-LIFE EXAMPLE

A shop's display counters cost ₹1,00,000, will be used 5 years, and will fetch ₹10,000 as scrap. Every year the shop “uses up” ₹18,000 of counter. Customers see the same counters in year 1 and year 4 — equal service, equal charge.

## 5. ACCOUNTING LOGIC

Depreciable amount is a finite pie. SLM assumes each year eats an equal piece of the pie. When the years are done, the pie is gone and only scrap remains. That is why, if residual and life are honoured, WDV at the end of life equals scrap — exactly.

## FORMULA

### Annual depreciation = (Cost – Residual) ÷ Useful life in years

Rate on original cost = (Annual depreciation ÷ Cost) × 100. Part-year depreciation = Annual depreciation × (months used ÷ 12). The rate is always applied to original cost, never to the falling WDV.

## 6. FORMAT — DEPRECIATION SCHEDULE (KEEP FOUR COLUMNS EVERY TIME)

The four-column schedule that stops most SLM mistakes

| Year / FY                 | Depreciation for the year (₹)    | Accumulated depreciation (₹) | WDV / NBV at year-end (₹) |
|---------------------------|----------------------------------|------------------------------|---------------------------|
| Opening (date put to use) | —                                | 0                            | Cost                      |
| Year 1                    | same each full year              | running total                | Cost – accum.             |
| ...                       | ...                              | ...                          | ...                       |
| Last year of life         | last slice (maybe a stub period) | Cost – Residual              | Residual                  |

## 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Build cost (add installation, freight; exclude refundable tax).
2. Read residual. If “10% of cost”, compute 10% of the cost you just built.
3. Depreciable amount = Cost – Residual.
4. Annual depreciation = Depreciable amount ÷ life in years. Show the division.
5. Rate % (if asked) = (Annual depreciation ÷ Cost) × 100. This rate is on original cost.
6. Count months from date put to use to the accounting year-end. Indian FY: 1 April to 31 March. 1 October → 6 months; 1 July → 9 months; 1 January → 3 months; 1 April → 12 months.
7. First year (and last year, and year of sale) = Annual × months/12. Intervening years = full annual amount.
8. Useful life is a clock starting on the date put to use, not “n financial years”. A 4-year life from 1 July 2023 ends on 30 June 2027 — there will be a 3-month stub in FY 2027–28.
9. Fill the schedule. Check: last WDV = residual (if you have charged the full life).

## SOLVED EXAMPLE 1 • EASY

### SLM from cost, scrap and life — the master template

**Given.** Cost ₹1,00,000 , scrap ₹10,000 , useful life 5 years. Method: SLM. Prepare a 5-year schedule and the rate of depreciation.

#### Step 1 — depreciable amount and annual charge

Depreciable amount = Cost – Scrap = 1,00,000 – 10,000 = ₹90,000 .

Annual depreciation = 90,000 ÷ 5 = ₹18,000 every full year.

Rate on original cost = (18,000 ÷ 1,00,000) × 100 = **18%** . Check: 1,00,000 × 18% = 18,000, but remember this 18% is *not* applied to the falling WDV — we only used cost to find the rate.

#### Step 2 — the schedule (show every year’s arithmetic)

SLM schedule — charge is identical every year; WDV falls in a straight line

| Year | Opening WDV (₹) | Depreciation (₹) | Accumulated dep. (₹) | Closing WDV (₹) |
|------|-----------------|------------------|----------------------|-----------------|
|------|-----------------|------------------|----------------------|-----------------|

| Year | Opening WDV (₹) | Depreciation (₹) | Accumulated dep. (₹) | Closing WDV (₹) |
|------|-----------------|------------------|----------------------|-----------------|
| 1    | 1,00,000        | 18,000           | 18,000               | 82,000          |
| 2    | 82,000          | 18,000           | 36,000               | 64,000          |
| 3    | 64,000          | 18,000           | 54,000               | 46,000          |
| 4    | 46,000          | 18,000           | 72,000               | 28,000          |
| 5    | 28,000          | 18,000           | 90,000               | 10,000          |

Closing WDV of year 5 = ₹10,000 = scrap. If this check fails, a year's arithmetic is wrong.

How the WDV column is built (year 1 as a model):  $1,00,000 - 18,000 = 82,000$ . Year 2:  $82,000 - 18,000 = 64,000$ . And so on.

Accumulated depreciation of year 3 =  $18,000 \times 3 = ₹54,000$ . Closing WDV =  $1,00,000 - 54,000 = ₹46,000$ .

### Step 3 — journals of year 1 (provision method)

Year 1 journals — years 2 to 5 use the same amounts under SLM

| Date        | Particulars                                                          | L.F. | Debit (₹) | Credit (₹) |
|-------------|----------------------------------------------------------------------|------|-----------|------------|
| 31 Mar Yr 1 | Depreciation A/c ..... Dr.                                           |      | 18,000    |            |
|             | To Accumulated Depreciation A/c                                      |      |           | 18,000     |
|             | <i>(Being SLM depreciation for the year at 18% on original cost)</i> |      |           |            |
| 31 Mar Yr 1 | Profit and Loss A/c ..... Dr.                                        |      | 18,000    |            |
|             | To Depreciation A/c                                                  |      |           | 18,000     |
|             | <i>(Being depreciation transferred to Profit and Loss Account)</i>   |      |           |            |

### Step 4 — Balance Sheet extract, end of year 3

After 3 years the asset is not shown at ₹1,00,000 and not at market value — at unexpired cost ₹46,000

| Particulars                                          | ₹        | ₹      |
|------------------------------------------------------|----------|--------|
| Machinery (at cost)                                  | 1,00,000 |        |
| Less: Accumulated depreciation ( $18,000 \times 3$ ) | 54,000   | 46,000 |

#### SOLVED EXAMPLE 2 · MODERATE

#### SLM with Indian financial year — purchased 1 July, last year is a stub

**Given.** Plant purchased on **1 July 2023** for ₹2,40,000 . Residual ₹24,000 . Useful life **4 years** . Books close on **31 March** (Indian financial year). Method: SLM. Compute depreciation for each financial year until the asset is fully depreciated down to scrap.

#### Step 1 — annual slice

Depreciable amount =  $2,40,000 - 24,000 = ₹2,16,000$  .

Annual depreciation =  $2,16,000 \div 4 = ₹54,000$  .

Depreciation per month =  $54,000 \div 12 = ₹4,500$  .

#### Step 2 — the life is a clock, not “four FYs”

Put to use: 1 July 2023. Life of 4 years ends on **30 June 2027** . Total months of service =  $4 \times 12 = \mathbf{48 \text{ months}}$  .  $48 \times 4,500 = ₹2,16,000$  — the whole depreciable amount.

FY 2023–24 (1 July 2023 to 31 March 2024) = July, August, September, October, November, December, January, February, March = **9 months** .

Year-1 depreciation =  $54,000 \times 9/12$ .



$$54,000 \times 9 = 4,86,000.$$

$$4,86,000 \div 12 = ₹40,500 .$$

$$\text{Or: } 4,500 \times 9 = ₹40,500 .$$

### Step 3 — every financial year until the clock hits 48 months

Part-year first, full years in the middle, stub year at the end — WDV lands on scrap

| Financial year       | Months used | Working              | Depreciation (₹) | Accum. dep. (₹) | Closing WDV (₹) |
|----------------------|-------------|----------------------|------------------|-----------------|-----------------|
| 2023–24 (from 1 Jul) | 9           | $54,000 \times 9/12$ | 40,500           | 40,500          | 1,99,500        |
| 2024–25              | 12          | full year            | 54,000           | 94,500          | 1,45,500        |
| 2025–26              | 12          | full year            | 54,000           | 1,48,500        | 91,500          |
| 2026–27              | 12          | full year            | 54,000           | 2,02,500        | 37,500          |
| 2027–28 (to 30 Jun)  | 3           | $54,000 \times 3/12$ | 13,500           | 2,16,000        | 24,000          |

Check the months:  $9 + 12 + 12 + 12 + 3 = 48$ . Check the rupees:  $40,500 + 54,000 + 54,000 + 54,000 + 13,500 = 2,16,000$ . Check the WDV:  $2,40,000 - 2,16,000 = 24,000 = \text{residual}$ .

Last-year working, shown fully:  $54,000 \times 3/12 = (54,000 \times 3) \div 12 = 1,62,000 \div 12 = ₹13,500$  .

Closing WDV after FY 2023–24:  $2,40,000 - 40,500 = ₹1,99,500$  .

After FY 2024–25:  $1,99,500 - 54,000 = ₹1,45,500$  .

After FY 2025–26:  $1,45,500 - 54,000 = ₹91,500$  .

After FY 2026–27:  $91,500 - 54,000 = ₹37,500$  .

After the 3-month stub:  $37,500 - 13,500 = ₹24,000 = \text{scrap}$ . The clock has run out.

#### WATCH OUT

A very common wrong answer is to charge ₹40,500 + three full years of ₹54,000 and stop (total  $9 + 36 = 45$  months). That leaves ₹13,500 of depreciable amount hanging, and WDV would be ₹37,500 instead of scrap ₹24,000. Life is measured from the date put to use.

#### EXAM TIP

On the answer sheet, write the month-count in words once (“July to March = 9 months”) before you multiply. Examiners award method marks for the 9/12 even if a later total slips.

#### SOLVED EXAMPLE 3 · EXAM

##### Installation added to cost, part-year SLM, then sale — profit of ₹400

**Given.** A machine is bought on **1 October 2022** for ₹5,00,000 . Installation costs ₹20,000 . Scrap is **10% of cost** . Useful life 10 years. Year-end 31 March. SLM.

The machine is **sold on 30 September 2025** for ₹3,80,000 . Prepare the depreciation schedule up to the date of sale, compute profit or loss on sale, and pass the journals on the date of sale. Use the accumulated-depreciation method.

#### Step 1 — cost, scrap, annual depreciation

Cost =  $5,00,000 + 20,000 = ₹5,20,000$  (installation is capitalised).

Scrap =  $10\% \text{ of } 5,20,000 = (10/100) \times 5,20,000 = ₹52,000$  .

Depreciable amount =  $5,20,000 - 52,000 = ₹4,68,000$  .

Annual depreciation =  $4,68,000 \div 10 = ₹46,800$  .

Rate on original cost =  $(46,800 \div 5,20,000) \times 100 = 9\%$ . Check:  $5,20,000 \times 9\% = 46,800$ .

## Step 2 — months in the first year

1 October 2022 to 31 March 2023 = October, November, December, January, February, March = **6 months** .

FY 2022–23 depreciation =  $46,800 \times 6/12 = (46,800 \times 6) \div 12 = 2,80,800 \div 12 = ₹23,400$  .

Or:  $46,800 \times 1/2 = ₹23,400$  .

## Step 3 — schedule until 30 September 2025

Charge depreciation in the year of sale up to the date of sale — then stop and sell

| Financial year         | Months | Working              | Depreciation (₹) | Accum. dep. (₹) | NBV at period-end (₹) |
|------------------------|--------|----------------------|------------------|-----------------|-----------------------|
| 2022–23 (1 Oct–31 Mar) | 6      | $46,800 \times 6/12$ | 23,400           | 23,400          | 4,96,600              |
| 2023–24                | 12     | full year            | 46,800           | 70,200          | 4,49,800              |
| 2024–25                | 12     | full year            | 46,800           | 1,17,000        | 4,03,000              |
| 2025–26 (1 Apr–30 Sep) | 6      | $46,800 \times 6/12$ | 23,400           | 1,40,400        | 3,79,600              |

NBV walk:  $5,20,000 - 23,400 = 4,96,600$ ;  $- 46,800 = 4,49,800$ ;  $- 46,800 = 4,03,000$ ;  $- 23,400 = 3,79,600$ .

Accumulated depreciation on the date of sale =  $23,400 + 46,800 + 46,800 + 23,400$ .

$23,400 + 23,400 = 46,800$ .

$46,800 + 46,800 = 93,600$ .

$93,600 + 46,800 = ₹1,40,400$  .

NBV on 30 September 2025 = Cost – Accum. dep. =  $5,20,000 - 1,40,400 = ₹3,79,600$  .

## Step 4 — profit or loss on sale

### FORMULA

**Profit / (Loss) on sale = Sale proceeds – NBV on the date of sale**

If proceeds > NBV → profit (credited to P&L). If proceeds < NBV → loss (debited to P&L).

Sale proceeds ₹3,80,000 – NBV ₹3,79,600 = **₹400 profit** .

A profit of four hundred rupees is still a profit. Write it. Do not round it away.

## Step 5 — journals on 30 September 2025

**Entry 1 — depreciation for the 6 months of FY 2025–26 up to the date of sale.**

Always depreciate up to the date of sale before you touch the asset account

| Date        | Particulars                                                  | L.F. | Debit (₹) | Credit (₹) |
|-------------|--------------------------------------------------------------|------|-----------|------------|
| 30 Sep 2025 | Depreciation A/c ..... Dr.                                   |      | 23,400    |            |
|             | To Accumulated Depreciation A/c                              |      |           | 23,400     |
|             | (Being SLM depreciation for 6 months up to the date of sale) |      |           |            |

**Entry 2 — take the asset off the books.** Debit whatever came in (bank + the contra-asset you have built + any loss). Credit the asset's cost. If there is a profit, it sits on the credit side so that the entry balances.

**Sale of the asset — the four figures must cross-add to the same total on both sides**

| Date        | Particulars                            | L.F. | Debit (₹) | Credit (₹) |
|-------------|----------------------------------------|------|-----------|------------|
| 30 Sep 2025 | Bank A/c ..... Dr.                     |      | 3,80,000  |            |
|             | Accumulated Depreciation A/c ..... Dr. |      | 1,40,400  |            |
|             | To Machinery A/c                       |      |           | 5,20,000   |

| Date | Particulars                                                                       | L.F. | Debit (₹) | Credit (₹) |
|------|-----------------------------------------------------------------------------------|------|-----------|------------|
|      | To Profit on Sale of Machinery A/c                                                |      |           | 400        |
|      | (Being machinery sold; accumulated depreciation and profit on sale accounted for) |      |           |            |

Cross-add the debit side:  $3,80,000 + 1,40,400 = ₹5,20,400$ . Cross-add the credit side:  $5,20,000 + 400 = ₹5,20,400$ . If these two totals disagree, the profit or the accumulated depreciation is wrong.

**Entry 3 — close the profit to P&L (and close this year's depreciation too).**

**Nominal accounts are emptied into P&L — profit on sale is income; depreciation is expense**

| Date        | Particulars                                                                 | L.F. | Debit (₹) | Credit (₹) |
|-------------|-----------------------------------------------------------------------------|------|-----------|------------|
| 30 Sep 2025 | Profit on Sale of Machinery A/c ..... Dr.                                   |      | 400       |            |
|             | To Profit and Loss A/c                                                      |      |           | 400        |
|             | (Being profit on sale transferred to Profit and Loss Account)               |      |           |            |
| 31 Mar 2026 | Profit and Loss A/c ..... Dr.                                               |      | 23,400    |            |
|             | To Depreciation A/c                                                         |      |           | 23,400     |
|             | (Being current-period depreciation (up to date of sale) transferred to P&L) |      |           |            |

**Machinery account after the sale (so you can see it close)**

| Dr Machinery A/c Cr                  |          |                                    |          |
|--------------------------------------|----------|------------------------------------|----------|
| Particulars                          | ₹        | Particulars                        | ₹        |
| To Bank / Vendor (1 Oct 2022) — cost | 5,20,000 | By Accumulated Depreciation A/c    | 1,40,400 |
|                                      |          | By Bank A/c (sale)                 | 3,80,000 |
|                                      |          | By Profit on Sale of Machinery A/c | 400      |

Debit total 5,20,000. Credit total  $1,40,400 + 3,80,000 + 400 = 5,20,000$ . The account closes. That is the proof the profit is ₹400 and not some other figure.

#### EXAM TIP

Date discipline wins this question. FY 2022–23 is 6 months, FY 2023–24 and 2024–25 are full, FY 2025–26 up to 30 September is 6 months. Students who charge three full years and then sell from a wrong NBV lose the 4-mark tail of the question.

## 9. HOW TO IDENTIFY THE QUESTION

Use SLM when the question says any of: **straight line, original cost method, equal instalment, fixed instalment, equal amount each year, rate % per annum on cost / on original cost**. If it gives life and residual and is silent on the method, many Indian MBA papers still expect SLM — but if a WDV rate is printed, that wins. Never apply an SLM rate to the falling book value.

## 10. COMMON MISTAKES

- Applying the SLM rate to WDV in year 2 onwards. The rate is on original cost. Every full year the rupee charge is identical.
- Forgetting to add installation / freight to cost, then taking scrap as 10% of the invoice only.
- Charging a full year when the asset was put to use on 1 October (that is 6/12, not 12/12).
- Treating “life 4 years” as four financial years when the asset arrived on 1 July — you will miss the 3-month stub and will not land on scrap.
- Stopping depreciation in the year of sale. You must charge up to the date of sale, then compute profit or loss on the NBV of that date.

- Writing residual off every year. Residual is subtracted *once*, when you compute the annual slice.

## 11. MEMORY TRICK

SLM = **Same Load every year**, like equal slices of a cake. The cake is (Cost – Scrap). The number of slices is the life. A part-year is a part-slice. At the end of the last slice you are staring at scrap.

## 7. Written Down Value Method (WDV)

### 1. WHAT IS IT? — DEFINITION

Under the Written Down Value Method (also called the Diminishing Balance Method or the Reducing Balance Method), depreciation for a year is a **fixed percentage of the book value at the start of that year** (or of the cost, in year 1, because year-1 book value is cost). The rupee charge falls every full year. Residual is **not subtracted each year** — the rate is designed (or given) so that book value declines towards scrap.

### 2. IN SIMPLE WORDS

Each year you tax a smaller number with the same percentage. Year 1: 10% of ₹1,00,000 = ₹10,000. Year 2: 10% of the leftover ₹90,000 = ₹9,000. The asset never quite hits zero if you keep going, which is why a residual usually remains.

### 3. WHY DO WE NEED IT?

A new laptop loses a lot of usefulness in year 1 (new model, falling resale) and less in year 4. WDV front-loads the expense to match that pattern. It is also the method many tax rules historically favoured, so Indian papers are full of “20% p.a. on WDV”.

### 4. REAL-LIFE EXAMPLE

You buy a phone for ₹80,000. On a resale app it is worth far less after 12 months than after the next 12. Charging the same SLM slice every year would under-charge year 1 and over-charge year 4. WDV follows the gadget.

### 5. ACCOUNTING LOGIC

Book value at the start of the year is the unexpired cost. WDV says: expire a constant *fraction* of whatever is still unexpired. Because the base shrinks, the rupee amount shrinks. You do not deduct scrap from the base each year — if you did, you would mix SLM arithmetic into a WDV question.

### FORMULA

**Depreciation for the year = Opening WDV × Rate × (months used ÷ 12)**

Year 1 opening WDV = Cost. Residual is NOT deducted in the annual working. If the exam gives life and residual but no rate, there is a formula  $R = 1 - (\text{Scrap} \div \text{Cost})^{1/n}$  — shown below for completeness. MBA numericals almost always **give the rate**. Use the rate you are given.

### 6. FORMAT — WDV RATE WHEN LIFE AND SCRAP ARE GIVEN (COMPLETENESS, RARELY NEEDED)

$R = 1 - (\text{Scrap} / \text{Cost})^{(1/n)}$ , where n is useful life in years.

Illustration: Cost ₹5,00,000, scrap ₹50,000, n = 5. Scrap/Cost = 0.10.  $(0.10)^{1/5} \approx 0.63096$ .  $R \approx 1 - 0.63096 = 0.3690 = \mathbf{36.90\%}$ . You would then apply 36.90% each year on WDV, and after 5 years WDV would be very close to scrap.

In the exam, if you are given “20% p.a. on WDV”, do **not** invent this formula. The given rate already is the answer. With an arbitrary given rate, WDV at the end of life will usually *not* equal the residual — and that is acceptable.

### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Build cost (same as SLM). Residual is noted but not subtracted from the yearly base.
2. Read the rate. Confirm it is “on WDV / on book value / diminishing / reducing”.
3. Year 1: Depreciation = Cost  $\times$  Rate  $\times$  months/12. Closing WDV = Cost – that depreciation.
4. Year 2: Depreciation = Closing WDV of year 1  $\times$  Rate  $\times$  1 (if a full year). Never go back to original cost.
5. Repeat. Each closing WDV becomes the next opening WDV.
6. Part-year: multiply that year’s full-year WDV charge by months/12. Do this in two multiplications: first Rate on opening WDV, then the month fraction.
7. On sale: charge WDV depreciation up to the date of sale (opening WDV  $\times$  Rate  $\times$  months/12), then compare sale proceeds with the NBV of that date.

#### SOLVED EXAMPLE 4 • EASY

##### WDV at 10% for three years — falling charge, fixed rate

**Given.** Cost ₹1,00,000 , rate **10% p.a. on WDV** . Prepare a 3-year schedule.

##### Year 1

Opening WDV = cost = ₹1,00,000 .

Depreciation =  $1,00,000 \times 10/100 = ₹10,000$  .

Closing WDV =  $1,00,000 - 10,000 = ₹90,000$  .

##### Year 2

Opening WDV = ₹90,000 (not 1,00,000).

Depreciation =  $90,000 \times 10/100 = ₹9,000$  .

Closing WDV =  $90,000 - 9,000 = ₹81,000$  .

##### Year 3

Depreciation =  $81,000 \times 10/100 = ₹8,100$  .

Closing WDV =  $81,000 - 8,100 = ₹72,900$  .

##### WDV easy — the rupee charge falls; the percentage does not

| Year | Opening WDV (₹) | Rate | Working                  | Depreciation (₹) | Closing WDV (₹) |
|------|-----------------|------|--------------------------|------------------|-----------------|
| 1    | 1,00,000        | 10%  | $1,00,000 \times 10/100$ | 10,000           | 90,000          |
| 2    | 90,000          | 10%  | $90,000 \times 10/100$   | 9,000            | 81,000          |
| 3    | 81,000          | 10%  | $81,000 \times 10/100$   | 8,100            | 72,900          |

Notice residual was never mentioned and never deducted. After 3 years ₹72,900 is still on the books.

##### The journal looks exactly like SLM — only the amount was computed differently

| Date        | Particulars                                                | L.F. | Debit (₹) | Credit (₹) |
|-------------|------------------------------------------------------------|------|-----------|------------|
| 31 Mar Yr 2 | Depreciation A/c ..... Dr.                                 |      | 9,000     |            |
|             | To Accumulated Depreciation A/c                            |      |           | 9,000      |
|             | (Being 10% WDV depreciation on opening book value ₹90,000) |      |           |            |

#### SOLVED EXAMPLE 5 • MODERATE

### WDV 25% with purchase on 1 October — 6/12 then falling full years

**Given.** Cost ₹4,00,000 , rate 25% p.a. on WDV , purchased 1 October , year-end 31 March. Compute depreciation and WDV for the first three financial years.

#### Year 1 — six months

1 October to 31 March = 6 months.

Full-year depreciation on cost =  $4,00,000 \times 25/100 = ₹1,00,000$  .

Part-year depreciation =  $1,00,000 \times 6/12 = (1,00,000 \times 6) \div 12 = 6,00,000 \div 12 = ₹50,000$  .

Combined in one line:  $4,00,000 \times 25/100 \times 6/12 = 4,00,000 \times 1/4 \times 1/2 = 1,00,000 \times 1/2 = ₹50,000$  .

Closing WDV =  $4,00,000 - 50,000 = ₹3,50,000$  .

#### Year 2 — full year, new base

Opening WDV = ₹3,50,000 .

Depreciation =  $3,50,000 \times 25/100 = 3,50,000 \times 1/4$ .

$3,50,000 \div 4 = ₹87,500$  .

Closing WDV =  $3,50,000 - 87,500 = ₹2,62,500$  .

#### Year 3 — full year

Depreciation =  $2,62,500 \times 25/100 = 2,62,500 \times 1/4$ .

$2,62,500 \div 4 = ₹65,625$  .

Closing WDV =  $2,62,500 - 65,625 = ₹1,96,875$  .

**WDV part-year — fraction in year 1 only; later years use the already-reduced base for a full year**

| FY                 | Opening WDV (₹) | Working                            | Depreciation (₹) | Closing WDV (₹) |
|--------------------|-----------------|------------------------------------|------------------|-----------------|
| Year 1 (6 months)  | 4,00,000        | $4,00,000 \times 25\% \times 6/12$ | 50,000           | 3,50,000        |
| Year 2 (12 months) | 3,50,000        | $3,50,000 \times 25\%$             | 87,500           | 2,62,500        |
| Year 3 (12 months) | 2,62,500        | $2,62,500 \times 25\%$             | 65,625           | 1,96,875        |

#### WATCH OUT

Wrong path: “Year 2 =  $4,00,000 \times 25\% = ₹1,00,000$ .” That is SLM-on-cost thinking. Once year 1 has been charged, original cost is retired as a base forever.

#### KEY POINT

A useful identity: 25% for 6 months is not 25%. It is 12.5% of the opening WDV of that year. Write it as Rate  $\times$  months/12 so the examiner sees the method, even if you then multiply in one step.

### SOLVED EXAMPLE 6 • EXAM

#### WDV with a second asset and a sale — keep columns apart

**Given.** Year-end 31 March. Depreciation 20% p.a. on WDV.

- 1 April 2022: purchased Machinery A for ₹8,00,000.
- 1 October 2023: purchased Machinery B for ₹3,00,000.
- 1 January 2025: sold Machinery A for ₹4,20,000.

Compute depreciation for FY 2022–23, 2023–24 and 2024–25, and the profit or loss on sale of A. Keep a separate column for each machine.

### Machinery A (bought 1 April 2022 — a full year from day one)

**FY 2022–23.** Opening WDV = ₹8,00,000 .

Depreciation =  $8,00,000 \times 20/100 = ₹1,60,000$  .

Closing WDV =  $8,00,000 - 1,60,000 = ₹6,40,000$  .

**FY 2023–24.** Opening WDV = ₹6,40,000 .

Depreciation =  $6,40,000 \times 20/100 = ₹1,28,000$  .

Closing WDV =  $6,40,000 - 1,28,000 = ₹5,12,000$  .

**FY 2024–25, used until 1 January 2025.** 1 April 2024 to 1 January 2025 = April to December = **9 months** .

Full-year depreciation on 5,12,000 =  $5,12,000 \times 20/100 = ₹1,02,400$  .

Part-year =  $1,02,400 \times 9/12 = (1,02,400 \times 9) \div 12$ .

$1,02,400 \times 9 = 9,21,600$ .

$9,21,600 \div 12 = ₹76,800$  .

Or:  $1,02,400 \times 3/4 = ₹76,800$  .

NBV on the date of sale =  $5,12,000 - 76,800 = ₹4,35,200$  .

Sale proceeds ₹4,20,000 – NBV ₹4,35,200 = **–₹15,200 — a loss of ₹15,200** .

Accumulated depreciation on A at sale =  $1,60,000 + 1,28,000 + 76,800 = ₹3,64,800$  .

Check: cost 8,00,000 – accum. 3,64,800 = NBV 4,35,200. Loss =  $4,35,200 - 4,20,000 = ₹15,200$  .

### Machinery B (bought 1 October 2023)

**FY 2023–24.** 1 October 2023 to 31 March 2024 = 6 months.

Depreciation =  $3,00,000 \times 20/100 \times 6/12 = 60,000 \times 6/12 = ₹30,000$  .

Closing WDV =  $3,00,000 - 30,000 = ₹2,70,000$  .

**FY 2024–25.** Full year on 2,70,000.

Depreciation =  $2,70,000 \times 20/100 = ₹54,000$  .

Closing WDV =  $2,70,000 - 54,000 = ₹2,16,000$  .

### Combined depreciation (what actually goes to P&L)

Two assets, one rate, separate columns — then add

| Financial year | Dep. on A (₹)                | Dep. on B (₹)      | Total to P&L (₹) |
|----------------|------------------------------|--------------------|------------------|
| 2022–23        | 1,60,000                     | — (not yet bought) | 1,60,000         |
| 2023–24        | 1,28,000                     | 30,000             | 1,58,000         |
| 2024–25        | 76,800 (9 months, then sold) | 54,000             | 1,30,800         |

$1,28,000 + 30,000 = 1,58,000$ .  $76,800 + 54,000 = 1,30,800$ .

### Journals on 1 January 2025 for the sale of A

Sale under WDV — same journal shape as SLM; the amounts came from a different computation

| Date       | Particulars                     | L.F. | Debit (₹) | Credit (₹) |
|------------|---------------------------------|------|-----------|------------|
| 1 Jan 2025 | Depreciation A/c ..... Dr.      |      | 76,800    |            |
|            | To Accumulated Depreciation A/c |      |           | 76,800     |

| Date       | Particulars                                                                     | L.F. | Debit (₹) | Credit (₹) |
|------------|---------------------------------------------------------------------------------|------|-----------|------------|
|            | (Being 20% WDV depreciation on Machinery A for 9 months up to the date of sale) |      |           |            |
| 1 Jan 2025 | Bank A/c ..... Dr.                                                              |      | 4,20,000  |            |
|            | Accumulated Depreciation A/c ..... Dr.                                          |      | 3,64,800  |            |
|            | Loss on Sale of Machinery A/c ..... Dr.                                         |      | 15,200    |            |
|            | To Machinery A/c                                                                |      |           | 8,00,000   |
|            | (Being Machinery A sold at a loss of ₹15,200)                                   |      |           |            |

Debit cross-add: 4,20,000 + 3,64,800 + 15,200 = ₹8,00,000 = cost credited. The loss is whatever is needed to make this identity true. If your three debits do not add to cost, you have the wrong loss or the wrong accumulated depreciation.

#### EXAM TIP

When a second asset arrives, draw two mini-ledgers on the rough page. Never apply 20% to (A's WDV + B's cost) as one soup. B has its own 6-month first year; A does not.

### 9. HOW TO IDENTIFY THE QUESTION

Use WDV when the question says any of: **written down value, WDV, diminishing balance, reducing balance, on book value, on the reducing balance.** “Rate % per annum on WDV” is the giveaway. “Rate % per annum on cost / on original cost” is SLM, even if the word “rate” made you think WDV.

### 10. COMMON MISTAKES

- Deducting scrap every year before applying the WDV rate. Scrap is not part of the yearly working.
- Applying the rate to original cost in year 2 and year 3. Year 2's base is year 1's closing WDV.
- Using the SLM formula (Cost – Scrap) / n when the question has clearly given a WDV rate.
- Forgetting the 6/12 (or 9/12, 3/12) in the year of purchase or the year of sale. WDV part-year is still months/12.
- Adding a second asset into the first asset's WDV and applying one rate to a mixed lump — always keep a column per asset, then add the depreciation.

### 11. MEMORY TRICK

WDV = **What Decreases Yearly** in rupees, even though the percentage is fixed. New gadgets lose more in year 1 — that is the picture to hold. Base next year = leftover, never the original price tag.

## 8. SLM versus WDV — comparison the examiner actually wants

### 2. IN SIMPLE WORDS

Same asset, two stories about how its cost dies. SLM kills it in equal rupees. WDV kills a larger rupee chunk up front and a smaller one later. The journals look the same. The numbers, the profit pattern, and the end-of-life book value do not.

### SLM vs WDV — eight rows that cover a 5-to-8 mark distinguish question

| Point                          | Straight Line (SLM)                                | Written Down Value (WDV)                                    |
|--------------------------------|----------------------------------------------------|-------------------------------------------------------------|
| Base of the rate               | Original cost, every year                          | Opening book value of that year                             |
| Amount pattern                 | Same rupees every full year                        | Falling rupees every full year                              |
| Residual in the yearly working | Subtracted once, in the formula (Cost – Scrap) / n | Not subtracted yearly; rate is supposed to steer towards it |



| Point                          | Straight Line (SLM)                                                              | Written Down Value (WDV)                                                                 |
|--------------------------------|----------------------------------------------------------------------------------|------------------------------------------------------------------------------------------|
| End of life                    | WDV hits residual exactly (if life and scrap are honoured)                       | Approaches residual; hits it only if the rate was derived from $R = 1 - (S/C)^{1/n}$     |
| Effect on profit               | Equal charge → comparable profits across years (other things equal)              | Heavier charge in early years → lower early profits, higher later profits                |
| Best suited for                | Buildings, furniture, leases — equal service each year                           | Plant, vehicles, electronics — heavier usefulness (and repair later) in a skewed pattern |
| Repairs pattern (theory extra) | Repairs usually rise as the asset ages, so total “dep + repairs” rises over time | Falling dep + rising repairs can keep the combined charge smoother                       |
| Calculation comfort            | One division, then copy the answer each year                                     | Must recompute every year on a new base; part-year needs two multiplications             |
| Question-paper flags           | “straight line / original cost / equal / fixed instalment / on cost”             | “WDV / diminishing / reducing / on book value”                                           |

## 12. EXAM-READY ANSWER

Under SLM a fixed amount equal to  $(\text{Cost} - \text{Residual}) / \text{Life}$  is written off each full year, so book value falls in a straight line and meets residual exactly. Under WDV a fixed rate is applied to the book value brought forward, so the charge is higher in early years and lower later, and residual is not deducted annually. SLM suits assets with even service (buildings); WDV suits assets that lose efficiency or resale value quickly (plant, electronics). Total depreciation over the whole life equals the depreciable amount under SLM; under WDV it equals Cost minus the leftover book value, which equals residual only if the rate was derived from the residual formula.

## SOLVED EXAMPLE 7 • EXAM

### Compute both methods for 3 years and comment — the comparison numerical

**Given.** Cost ₹5,00,000 , residual ₹50,000 , life 5 years. Compute depreciation for 3 years under (i) SLM and (ii) WDV at 20% p.a. Comment.

#### (i) SLM

Annual depreciation =  $(5,00,000 - 50,000) \div 5 = 4,50,000 \div 5 = ₹90,000$  .

Rate on original cost =  $(90,000 \div 5,00,000) \times 100 = 18\%$ .

#### SLM — equal charge, lands on residual

| Year                      | Depreciation (₹) | Accum. dep. (₹) | WDV (₹)        |
|---------------------------|------------------|-----------------|----------------|
| 1                         | 90,000           | 90,000          | 4,10,000       |
| 2                         | 90,000           | 1,80,000        | 3,20,000       |
| 3                         | 90,000           | 2,70,000        | 2,30,000       |
| 4 (shown for the comment) | 90,000           | 3,60,000        | 1,40,000       |
| 5 (shown for the comment) | 90,000           | 4,50,000        | 50,000 = scrap |

#### (ii) WDV at 20% (rate is given — do not derive it)

Year 1:  $5,00,000 \times 20/100 = ₹1,00,000$  . WDV =  $5,00,000 - 1,00,000 = ₹4,00,000$  .

Year 2:  $4,00,000 \times 20/100 = ₹80,000$  . WDV =  $4,00,000 - 80,000 = ₹3,20,000$  .

Year 3:  $3,20,000 \times 20/100 = ₹64,000$  . WDV =  $3,20,000 - 64,000 = ₹2,56,000$  .

Year 4:  $2,56,000 \times 20/100 = ₹51,200$  . WDV =  $2,56,000 - 51,200 = ₹2,04,800$  .

Year 5:  $2,04,800 \times 20/100 = ₹40,960$  . WDV =  $2,04,800 - 40,960 = ₹1,63,840$  .

### Three-year comparison the question asked for

| Year             | SLM dep. (₹) | WDV dep. (₹) | Which method charges more this year?              |
|------------------|--------------|--------------|---------------------------------------------------|
| 1                | 90,000       | 1,00,000     | WDV (front-loaded)                                |
| 2                | 90,000       | 80,000       | SLM                                               |
| 3                | 90,000       | 64,000       | SLM                                               |
| Total of 3 years | 2,70,000     | 2,44,000     | SLM has charged ₹26,000 more by the end of year 3 |

$1,00,000 + 80,000 + 64,000 = 2,44,000$ .  $90,000 \times 3 = 2,70,000$ . Difference = 26,000.

### Comment (write this, not a vague “they are different”)

- WDV charges more in year 1 (₹1,00,000 vs ₹90,000) and less thereafter. Early profits are lower under WDV; later profits are higher.
- After 5 years SLM has written the asset down to residual ₹50,000 exactly. WDV at the given 20% still shows ₹1,63,840 — because 20% was not the residual-derived rate (that would have been about 36.90%).
- Total depreciation over the whole life is therefore not the same: SLM takes the full depreciable amount ₹4,50,000; WDV at 20% has taken only  $5,00,000 - 1,63,840 = ₹3,36,160$  after 5 years.
- If the question had asked which method is “conservative” in the early years, the answer is WDV — it recognises more expense sooner.

## 9. Two presentations: charge the asset, or keep a provision

### 1. WHAT IS IT? — DEFINITION

There are two bookkeeping styles for the same depreciation number. **Direct method:** credit the asset; the ledger then shows WDV as the asset’s balance. **Indirect / provision / accumulated-depreciation method:** credit a separate contra-asset; the asset ledger continues to show original cost. MBA papers usually want the provision method.

### 2. IN SIMPLE WORDS

Think of a price tag and a stack of “already-used” stickers. Direct method rewrites the price tag every year. Provision method leaves the price tag (cost) alone and piles stickers next to it. Anyone reading the Balance Sheet under the provision method can still see what you originally paid.

### 3. WHY DO WE NEED IT?

Companies Act / Schedule III style statements show Gross Block, Accumulated Depreciation and Net Block. That layout is impossible if you have already credited the asset and thrown cost away. So the provision method is the one you should default to in an exam unless told otherwise.

### 6. FORMAT — SAME ₹18,000, TWO JOURNALS, TWO BALANCE SHEETS (FROM EXAMPLE 1, YEAR 1)

#### Direct method

##### Credit the asset

| Date   | Particulars                                        | L.F. | Debit (₹) | Credit (₹) |
|--------|----------------------------------------------------|------|-----------|------------|
| 31 Mar | Depreciation A/c ..... Dr.                         |      | 18,000    |            |
|        | To Machinery A/c                                   |      |           | 18,000     |
|        | (Being depreciation charged directly to the asset) |      |           |            |

#### Provision method (preferred)

##### Credit the contra-asset

| Date   | Particulars                                                             | L.F. | Debit (₹) | Credit (₹) |
|--------|-------------------------------------------------------------------------|------|-----------|------------|
| 31 Mar | Depreciation A/c ..... Dr.                                              |      | 18,000    |            |
|        | To Accumulated Depreciation A/c                                         |      |           | 18,000     |
|        | (Being depreciation transferred to the provision / accumulated account) |      |           |            |

**Cost has disappeared from the face of the statement**

| Balance Sheet extract | ₹      |
|-----------------------|--------|
| Machinery (at WDV)    | 82,000 |

**Cost remains visible — this is the MBA default**

| Balance Sheet extract          | ₹        | ₹      |
|--------------------------------|----------|--------|
| Machinery (at cost)            | 1,00,000 |        |
| Less: Accumulated depreciation | 18,000   | 82,000 |

**KEY POINT**

Profit is identical under both presentations — ₹18,000 expense either way. Only the *display* of the asset changes. Do not compute depreciation twice because you saw two methods.

**On sale, the direct method is shorter** because the asset already sits at NBV. After charging dep up to the date of sale (Example 3's machine, NBV ₹3,79,600; sold for ₹3,80,000):

**Sale under the direct method — no accumulated-depreciation line, because that account does not exist**

| Date        | Particulars                                                                                   | L.F. | Debit (₹) | Credit (₹) |
|-------------|-----------------------------------------------------------------------------------------------|------|-----------|------------|
| 30 Sep 2025 | Bank A/c ..... Dr.                                                                            |      | 3,80,000  |            |
|             | To Machinery A/c                                                                              |      |           | 3,79,600   |
|             | To Profit on Sale of Machinery A/c                                                            |      |           | 400        |
|             | <i>(Direct method — asset already at NBV, so we credit NBV and recognise the ₹400 profit)</i> |      |           |            |

Under the provision method (already shown in Example 3) you must debit Accumulated Depreciation to kill the contra-asset, and credit Machinery with original cost. Same profit of ₹400. If the question has been using a Provision for Depreciation account all along, stay with that account on the sale date.

## 10. How to identify, what to avoid, how to remember

**9. HOW TO IDENTIFY THE QUESTION**

**Straight line / original cost / equal / fixed instalment / “rate % p.a. on cost”** → SLM. Annual amount = (Cost – Residual) / Life, or Cost × the given on-cost rate. **WDV / diminishing / reducing balance / written down / “on WDV” / “on book value”** → WDV. Amount = Opening WDV × Rate. Part-year: always count months from the date *put to use* to the year-end (or to the date of sale). Indian year-end 31 March and “put to use on 1 October” → 6/12. A second asset → a second column. A sale → depreciate first, then remove the asset, then profit or loss.

**10. COMMON MISTAKES**

- Applying an SLM rate to WDV (or a WDV rate to original cost after year 1).
- Deducting scrap every year under WDV.
- Forgetting installation, freight or non-refundable duty in cost.
- Charging a full year when the asset was purchased on 1 January (3/12) or 1 October (6/12).
- Treating depreciation as a cash outflow in a cash-flow question (that belongs to the cash-flow chapter — add it back).
- Skipping depreciation in the year of sale.
- Taking “10% of cost” as 10% of the invoice when installation has been added — scrap follows total cost.
- Mixing two machines into one WDV base.
- Calling accumulated depreciation a cash reserve or a replacement fund.

**11. MEMORY TRICK**

SLM = **Same Load every year**, like equal slices (equal “principal” in an EMI picture). WDV = **new gadgets lose more in year 1**. Part-year = months/12, always. Sale = depreciate → strip the accounts → proceeds versus NBV. Cash left the business on the purchase date, not on the depreciation date.

#### EXAM TIP

Before you multiply, write one heading on the rough page: “SLM on cost” or “WDV on book”. Circle the date put to use and the year-end. Circle installation. Circle “sold on”. Those four circles are the entire exam technique for this chapter.

## 11. Practice questions (try, then open the solution)

Three questions, rising in difficulty, using numbers you have *not* already seen in the worked examples. Write the full working — including the multiplications — before you scroll.

#### PRACTICE 1 · EASY

#### SLM furniture — annual charge, 3-year schedule, residual check

Furniture is purchased for ₹80,000 . Residual value ₹8,000 . Useful life 8 years. SLM.

#### Required:

1. Annual depreciation and the rate on original cost.
2. A 3-year schedule showing cost, depreciation, accumulated depreciation and WDV.
3. WDV at the end of year 8 (without listing every year).
4. The year-1 journal under the provision method, and the Balance Sheet extract after 3 years.

#### ANSWER / SOLUTION

**Step 1.** Depreciable amount =  $80,000 - 8,000 = ₹72,000$  .

Annual depreciation =  $72,000 \div 8 = ₹9,000$  .

Rate on original cost =  $(9,000 \div 80,000) \times 100 = 11.25\%$  .

Check:  $80,000 \times 11.25/100 = 80,000 \times 0.1125$ .  $80,000 \times 0.10 = 8,000$ ;  $80,000 \times 0.0125 = 1,000$ ; total 9,000.

#### Step 2. Schedule of 3 years.

##### Practice 1 — SLM schedule

| Year | Cost (₹) | Depreciation (₹) | Accum. dep. (₹) | WDV (₹) |
|------|----------|------------------|-----------------|---------|
| 1    | 80,000   | 9,000            | 9,000           | 71,000  |
| 2    | 80,000   | 9,000            | 18,000          | 62,000  |
| 3    | 80,000   | 9,000            | 27,000          | 53,000  |

Year-1 WDV:  $80,000 - 9,000 = 71,000$ . Year-2:  $71,000 - 9,000 = 62,000$ . Year-3:  $62,000 - 9,000 = 53,000$ . Accum. year 3 =  $9,000 \times 3 = 27,000$ .

**Step 3.** After 8 years accumulated depreciation =  $9,000 \times 8 = ₹72,000$  .

WDV at the end of year 8 =  $80,000 - 72,000 = ₹8,000 = \text{scrap}$ . That is the SLM landing-check.

#### Step 4. Journals and presentation.

##### Practice 1 — year-1 journals

| Date             | Particulars                     | L.F. | Debit (₹) | Credit (₹) |
|------------------|---------------------------------|------|-----------|------------|
| Year 1, year-end | Depreciation A/c ..... Dr.      |      | 9,000     |            |
|                  | To Accumulated Depreciation A/c |      |           | 9,000      |

| Date             | Particulars                                        | L.F. | Debit (₹) | Credit (₹) |
|------------------|----------------------------------------------------|------|-----------|------------|
|                  | <i>(Being SLM depreciation for the year)</i>       |      |           |            |
| Year 1, year-end | Profit and Loss A/c ..... Dr.                      |      | 9,000     |            |
|                  | To Depreciation A/c                                |      |           | 9,000      |
|                  | <i>(Being depreciation transferred to P&amp;L)</i> |      |           |            |

| Balance Sheet extract after 3 years | ₹      | ₹      |
|-------------------------------------|--------|--------|
| Furniture (at cost)                 | 80,000 |        |
| Less: Accumulated depreciation      | 27,000 | 53,000 |

## PRACTICE 2 · MODERATE

### WDV 20% — purchased 1 January, year-end 31 March

A plant costs ₹6,00,000 . It is put to use on **1 January 2024** . Depreciation is charged at **20% p.a. on WDV** . The accounting year ends on 31 March.

**Required:** depreciation and closing WDV for FY 2023–24, 2024–25 and 2025–26. Show every multiplication. Then pass the FY 2023–24 journal.

#### ANSWER / SOLUTION

**FY 2023–24.** Put to use 1 January 2024 to 31 March 2024 = January, February, March = **3 months** .

Full-year depreciation on cost =  $6,00,000 \times 20/100 = ₹1,20,000$  .

Part-year =  $1,20,000 \times 3/12 = (1,20,000 \times 3) \div 12 = 3,60,000 \div 12 = ₹30,000$  .

Combined:  $6,00,000 \times 20/100 \times 3/12 = 6,00,000 \times 1/5 \times 1/4 = 1,20,000 \times 1/4 = ₹30,000$  .

Closing WDV =  $6,00,000 - 30,000 = ₹5,70,000$  .

**FY 2024–25.** Full year on ₹5,70,000 .

Depreciation =  $5,70,000 \times 20/100 = 5,70,000 \times 1/5 = ₹1,14,000$  .

Closing WDV =  $5,70,000 - 1,14,000 = ₹4,56,000$  .

**FY 2025–26.** Full year on ₹4,56,000 .

Depreciation =  $4,56,000 \times 20/100 = 4,56,000 \times 1/5 = ₹91,200$  .

Closing WDV =  $4,56,000 - 91,200 = ₹3,64,800$  .

#### Practice 2 — WDV with a 3-month first year

| FY      | Months | Opening WDV (₹) | Working                            | Depreciation (₹) | Closing WDV (₹) |
|---------|--------|-----------------|------------------------------------|------------------|-----------------|
| 2023–24 | 3      | 6,00,000        | $6,00,000 \times 20\% \times 3/12$ | 30,000           | 5,70,000        |
| 2024–25 | 12     | 5,70,000        | $5,70,000 \times 20\%$             | 1,14,000         | 4,56,000        |
| 2025–26 | 12     | 4,56,000        | $4,56,000 \times 20\%$             | 91,200           | 3,64,800        |

#### Practice 2 — first-year journal

| Date        | Particulars                     | L.F. | Debit (₹) | Credit (₹) |
|-------------|---------------------------------|------|-----------|------------|
| 31 Mar 2024 | Depreciation A/c ..... Dr.      |      | 30,000    |            |
|             | To Accumulated Depreciation A/c |      |           | 30,000     |

| Date | Particulars                                                      | L.F. | Debit (₹) | Credit (₹) |
|------|------------------------------------------------------------------|------|-----------|------------|
|      | (Being 20% WDV depreciation for 3 months (1 Jan to 31 Mar 2024)) |      |           |            |

**Trap you should have avoided:** charging ₹1,20,000 in FY 2023–24 (a full year) even though the plant worked only 3 months. 1 January to 31 March is the shortest common part-year in Indian papers — and the most often missed.

### PRACTICE 3 · EXAM

#### Installation, 10% scrap, SLM, sold on 1 October — loss and journals

On **1 April 2021** a company bought a machine for ₹4,00,000 . Installation ₹40,000 . Residual is 10% of cost. Useful life 8 years. SLM. Year-end 31 March.

On **1 October 2024** the machine was sold for ₹2,50,000 .

#### Required:

1. Cost, scrap, annual depreciation and the SLM rate.
2. Depreciation for each financial year up to the date of sale, and NBV on 1 October 2024.
3. Profit or loss on sale.
4. Journal entries on the date of sale (provision method), with a cross-add check.

#### ANSWER / SOLUTION

##### (a) Cost, scrap, annual dep, rate.

Cost = 4,00,000 + 40,000 = ₹4,40,000 .

Scrap = 10% of 4,40,000 =  $(10/100) \times 4,40,000 = ₹44,000$  .

Depreciable amount = 4,40,000 – 44,000 = ₹3,96,000 .

Annual depreciation =  $3,96,000 \div 8 = ₹49,500$  .

Rate on original cost =  $(49,500 \div 4,40,000) \times 100 = 11.25\%$ .

Check:  $4,40,000 \times 11.25/100 = 4,40,000 \times 0.1125$ .  $4,40,000 \times 0.10 = 44,000$ ;  $4,40,000 \times 0.0125 = 5,500$ ; total 49,500.

##### (b) Year-by-year up to sale.

Bought 1 April 2021, so FY 2021–22, 2022–23 and 2023–24 are full years.

Sold 1 October 2024 → FY 2024–25 from 1 April to 1 October = April to September = **6 months** .

6-month depreciation =  $49,500 \times 6/12 = 49,500 \times 1/2 = ₹24,750$  .

#### Practice 3 — SLM until the morning of the sale

| FY               | Months | Depreciation (₹) | Accum. dep. (₹) | NBV (₹)  |
|------------------|--------|------------------|-----------------|----------|
| 2021–22          | 12     | 49,500           | 49,500          | 3,90,500 |
| 2022–23          | 12     | 49,500           | 99,000          | 3,41,000 |
| 2023–24          | 12     | 49,500           | 1,48,500        | 2,91,500 |
| 2024–25 to 1 Oct | 6      | 24,750           | 1,73,250        | 2,66,750 |

NBV walk:  $4,40,000 - 49,500 = 3,90,500$ ;  $- 49,500 = 3,41,000$ ;  $- 49,500 = 2,91,500$ ;  $- 24,750 = 2,66,750$ . Accum. =  $49,500 \times 3 + 24,750 = 1,48,500 + 24,750 = 1,73,250$ . Cost – accum. =  $4,40,000 - 1,73,250 = 2,66,750$ .

##### (c) Profit or loss.

Sale proceeds ₹2,50,000 – NBV ₹2,66,750 = **loss of ₹16,750** .

Working:  $2,66,750 - 2,50,000 = 16,750$ .

**(d) Journals on 1 October 2024.****Practice 3 — date-of-sale journals (provision method)**

| Date       | Particulars                                                         | L.F. | Debit (₹) | Credit (₹) |
|------------|---------------------------------------------------------------------|------|-----------|------------|
| 1 Oct 2024 | Depreciation A/c ..... Dr.                                          |      | 24,750    |            |
|            | To Accumulated Depreciation A/c                                     |      |           | 24,750     |
|            | <i>(Being SLM depreciation for 6 months up to the date of sale)</i> |      |           |            |
| 1 Oct 2024 | Bank A/c ..... Dr.                                                  |      | 2,50,000  |            |
|            | Accumulated Depreciation A/c ..... Dr.                              |      | 1,73,250  |            |
|            | Loss on Sale of Machinery A/c ..... Dr.                             |      | 16,750    |            |
|            | To Machinery A/c                                                    |      |           | 4,40,000   |
|            | <i>(Being machinery sold at a loss of ₹16,750)</i>                  |      |           |            |

Cross-add the sale entry, debit side: 2,50,000 + 1,73,250 + 16,750.

2,50,000 + 1,73,250 = 4,23,250.

4,23,250 + 16,750 = ₹4,40,000 = cost credited. The identity holds, so the loss is correct.

**12. Formula sheet (this chapter on one page)**

Copy this page into your formula book. Every numerical in the chapter is one of these lines.

**Depreciation formula sheet — twelve identities, one chapter**

| #  | Name                                   | Formula                                                                    | Notes                                                                                |
|----|----------------------------------------|----------------------------------------------------------------------------|--------------------------------------------------------------------------------------|
| 1  | Cost to capitalise                     | Purchase + freight + installation + non-refundable taxes – trade discount  | Start of every question. GST claimed as input is not cost.                           |
| 2  | Depreciable amount                     | Cost – Residual                                                            | The pie that SLM slices equally.                                                     |
| 3  | SLM annual depreciation                | (Cost – Residual) / Useful life in years                                   | Same rupees every full year.                                                         |
| 4  | SLM rate on original cost              | (Annual depreciation / Cost) × 100                                         | Never apply this rate to falling WDV.                                                |
| 5  | Part-year (both methods)               | Full-year depreciation × (months used / 12)                                | From date put to use (or to date of sale). 1 Oct → 6/12; 1 Jul → 9/12; 1 Jan → 3/12. |
| 6  | WDV depreciation                       | Opening WDV × Rate × (months / 12)                                         | Year-1 opening WDV = Cost. Do not deduct scrap in the working.                       |
| 7  | Closing WDV / NBV                      | Opening WDV – Depreciation of the period                                   | Also = Cost – Accumulated depreciation.                                              |
| 8  | Accumulated depreciation               | Sum of every charge from purchase up to today (including the current stub) | Contra-asset. Not cash. Not a replacement fund.                                      |
| 9  | WDV rate from scrap (rare)             | $R = 1 - (\text{Scrap} / \text{Cost})^{(1/n)}$                             | Only if life and scrap are given and the rate is not. MBA usually gives the rate.    |
| 10 | Profit / (Loss) on sale                | Sale proceeds – NBV on the date of sale                                    | Positive = profit (credit). Negative = loss (debit). Depreciate first.               |
| 11 | Sale entry (provision method) identity | Bank + Accum. dep. + Loss = Cost + Profit                                  | Exactly one of Loss or Profit is present. The two sides equal cost ± the result.     |

#### FORMULA

**Indian FY month-count (year-end 31 March): 1 April = 12/12 | 1 July = 9/12 | 1 October = 6/12 | 1 January = 3/12**

Life in years is a clock from the date put to use. A 4-year life from 1 July 2023 ends 30 June 2027 (a 3-month stub in the fifth financial year), not on 31 March of the fourth financial year.

#### KEY POINT

Method flags: “on cost / original cost / equal / straight line / fixed instalment” = SLM. “on WDV / book value / diminishing / reducing / written down” = WDV. Journals do not change with the method — only the amount does.

### 13. Theory answers in exam English

Numericals score method marks even when the last rupee is slightly off. Theory scores nothing if you write “depreciation is fall in value” and sit down. Learn these four as they stand.

**Define depreciation. Why is it charged even if the market price of the asset has increased? (4–6 marks)**

6 marks

#### 12. EXAM-READY ANSWER

Depreciation is the systematic allocation of the depreciable amount (cost less residual value) of a tangible fixed asset over its useful life. It is a non-cash expense. It is charged even if market price has increased because depreciation is not an attempt to track market value. It is an allocation of historical cost to the periods that used the asset (matching). The Balance Sheet figure is unexpired cost, not a valuation. A rise in the property market may be relevant to a revaluation discussion, but it does not cancel the fact that part of the original cost has been consumed in earning this year’s revenue.

**State five reasons for providing depreciation. (5 marks)**

5 marks

#### 12. EXAM-READY ANSWER

(i) To ascertain true profit by matching expired cost against the period’s revenue. (ii) To state the asset at a true amount (cost less accumulated depreciation) so that the Balance Sheet is not overstated. (iii) To retain a portion of profit in the business which may, in principle, support replacement — though a separate cash fund is created only if management invests it. (iv) To present a true and fair view as required by company law. (v) Because the cost of a fixed asset is a prepaid bundle of services that must be opened year by year.

**Distinguish between the Straight Line Method and the Written Down Value Method. (6–8 marks)**

8 marks

Write the comparison table from Section 8 in sentences:

#### 12. EXAM-READY ANSWER

SLM charges a constant amount each full year, computed as  $(\text{Cost} - \text{Residual}) / \text{Life}$ , and the rate (if expressed) is on original cost; book value falls in a straight line and equals residual at the end of life. WDV charges a constant rate on the book value brought forward, so the rupee amount falls each year; residual is not deducted annually, and book value equals residual only if the rate was derived from  $R = 1 - (S/C)^{1/n}$ . SLM suits assets of even service such as buildings; WDV suits plant and electronics that lose more usefulness early. Early-year profits are lower under WDV. Journals are the same shape; only the amount differs.



**Is depreciation a source of funds? Is accumulated depreciation cash kept aside for replacement? (4 marks)**

4 marks

**12. EXAM-READY ANSWER**

No, and no. Depreciation is a non-cash expense. It reduces reported profit without reducing cash this year (the cash left when the asset was purchased). In a funds-flow or cash-flow statement we add it back to profit to undo that non-cash deduction — that is a working, not evidence that depreciation “generated” cash. Accumulated depreciation is a contra-asset, a running total of expired cost. It becomes a replacement fund only if the business separately withdraws cash and invests it. Most businesses do not; the cash from operations is free to be spent on anything.

**From which date is depreciation charged, and how is a part year computed? (3 marks)**

3 marks

**12. EXAM-READY ANSWER**

Depreciation is charged from the date the asset is put to use, not from the date of order. A part year is computed as Full-year depreciation  $\times$  (number of months used / 12). When books close on 31 March, an asset put to use on 1 October is charged for 6 months; on 1 July, 9 months; on 1 January, 3 months; on 1 April, a full year. In the year of sale, charge up to the date of sale by the same fraction, then compute profit or loss on the NBV of that date.

# Company Accounts

**Learning outcome.** You will present a company's Statement of Profit and Loss and Balance Sheet as per Schedule III, support them with notes, and process exam adjustments.

## WHAT THIS CHAPTER COVERS (OFFICIAL SYLLABUS)

- Schedule III of Companies Act, 2013
- Format and presentation of company financial statements
- Profit & Loss Account
- Balance Sheet
- Notes to Accounts
- Adjustments

## Why a company prepares financial statements

A company is not a person sitting with a cash box. It is a **separate legal entity** created under the Companies Act, 2013. The company owns the assets, the company owes the loans, and the company earns the profit. Shareholders own *shares*, not the furniture.

### 1. WHAT IS IT? — DEFINITION

Company financial statements are the Statement of Profit and Loss, the Balance Sheet, and the Notes to Accounts (plus a Cash Flow Statement, taught in a later chapter) prepared in the **prescribed form** so that owners, lenders, tax authorities and regulators get a **true and fair view** of the company's profit and financial position.

### 2. IN SIMPLE WORDS

Think of the company as a cricket club that is a legal 'person'. The club's bank account is not the captain's bank account. At year-end the club must publish: how much it earned and spent (Profit and Loss), and what it owns and owes (Balance Sheet). The law even tells you *which headings to use and in which order*. That law-table is Schedule III.

### 3. WHY DO WE NEED IT?

Shareholders put in money but do not run the shop every day — directors do. Lenders decide whether to give a loan. The tax department computes tax on profit. SEBI and the Registrar of Companies check that listed / registered companies are not hiding losses. Without a common format, every company would invent its own sheet and nobody could compare two companies. The Companies Act therefore **mandates** these statements. They are not optional homework.

### 4. REAL-LIFE EXAMPLE

You hold 100 shares of Horizon Ltd. You cannot walk into the factory and count the machines. You wait for the annual report. The Statement of Profit and Loss tells you whether the company made a profit this year. The Balance Sheet tells you whether that profit is sitting in cash, in unsold stock, or is already owed to the bank. Notes tell you the story behind the big numbers — how many shares exist, how old the plant is, how much dividend is proposed.

### 5. ACCOUNTING LOGIC

Accounting equation still holds: **Assets = Equity + Liabilities**. For a sole trader, 'Equity' is Capital + Profits – Drawings. For a company, 'Equity' is **Share capital + Reserves and surplus**. There are *no drawings*. Owners take money out only as **dividend** (and only if the company declares it). Profit of the year flows into Reserves and surplus, not into a capital account with a person's name.

#### CONNECT THE CHAPTERS

Chapters on journal, ledger, trial balance and adjustments still apply. You still debit expenses and assets, credit incomes and liabilities. What changes is the **wrapping paper**: the face of the statements must follow Schedule III headings, and some items (tax, dividend, share capital) exist only because the owner is a company, not a person.

## Company vs sole trader — what actually changes in the exam

What you must switch in your brain when the question says 'Ltd'

| Point                   | Sole trader / partnership                             | Company (this chapter)                                                            |
|-------------------------|-------------------------------------------------------|-----------------------------------------------------------------------------------|
| Owner's identity        | The person and the business are mixed                 | Company is a separate legal person                                                |
| Owner's account         | Capital, drawings                                     | Share capital + reserves. No drawings                                             |
| Format of statements    | You may use any clear T-shape or vertical             | Must follow Schedule III headings and order                                       |
| Profit and Loss heading | Trading and P&L Account                               | Statement of Profit and Loss                                                      |
| Tax on profit           | Owner pays tax personally; often ignored in the books | Company pays tax. Provision for tax is an expense and a liability                 |
| Distribution of profit  | Drawings, or transfer to capital                      | Dividend. Proposed dividend is a note, not a liability, until declared            |
| Comparatives            | Usually current year only                             | Schedule III wants previous-year figures too (exams often give only current year) |

#### KEY POINT

If the name ends with Ltd or Limited (or Pvt Ltd), you are in company accounts. Do not open a Drawings account. Do not use a sole-trader Trading Account heading on the face. Use Statement of Profit and Loss and Balance Sheet as per Schedule III of the Companies Act, 2013.

#### 12. EXAM-READY ANSWER

A company is a separate legal entity. Its financial statements give a true and fair view of profit and financial position to shareholders, lenders, tax authorities and regulators. Preparation is mandatory under the Companies Act, 2013, in the form prescribed by Schedule III.

## Schedule III of the Companies Act, 2013 — what it is

#### 1. WHAT IS IT? — DEFINITION

Schedule III is the **prescribed format** for the Balance Sheet and the Statement of Profit and Loss of Indian companies. It is a schedule attached to the Companies Act, 2013. When an exam says 'as per Schedule III' or 'as per Companies Act 2013', it means: use these headings, this order, these groupings, figures in ₹, and (in real life) previous-year comparatives.

#### 2. IN SIMPLE WORDS

Schedule III is the seating chart of the annual report. It does not tell you how to *calculate* depreciation or closing stock — those rules come from accounting standards and from this chapter's adjustments. It only tells you *where each calculated figure sits* on the page. Share capital on this line, trade payables on that line, finance costs on that line. No mixing.

### 3. WHY DO WE NEED IT?

Without a common chart, one company would put bank overdraft under 'sundry creditors' and another under 'loans'. Analysts, bankers and examiners would waste time hunting. Schedule III is the agreed map of India for company statements. MBA exams mark you down for putting a figure under the wrong head even when the rupee amount is correct.

### 4. REAL-LIFE EXAMPLE

Open any annual report of an Indian listed company. You will see 'Balance Sheet as at 31 March ...' with Equity and Liabilities first and Assets below, using exactly the heads in this chapter: Shareholders' funds, Non-current liabilities, Current liabilities, Non-current assets, Current assets. That is Schedule III at work, not a designer's choice.

### 5. ACCOUNTING LOGIC

Schedule III has two divisions. **Division I** is for companies that follow Accounting Standards (AS) — this is the format MBA / university papers almost always want. **Division II** is for Ind AS companies (mostly listed and large companies). The line items look similar. We teach Division I vertical format. The old Companies Act, 1956 horizontal (T-shape) company Balance Sheet is gone. Do not draw it.

### 6. FORMAT — WHAT 'AS PER SCHEDULE III' MEANS IN AN ANSWER SHEET

- **Vertical format** — one column of figures (plus a previous-year column in real life).
- **Prescribed headings and order** — do not rename 'Trade payables' as 'Sundry creditors' on the face.
- **Figures in rupees** — and round off as per size in real filings (exams usually want the given rupees).
- **Previous-year comparatives** — mention them; if the question gives only one year, present one year.
- **Notes to Accounts** — face of the statement is a summary; detail lives in notes, with note numbers on the face.
- **Current vs non-current split** — 12-month / operating-cycle rule, taught next.
- **True and fair** — the format is compulsory, but the numbers must still be honest and complete.

### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Read the question. If it says Schedule III / Companies Act 2013 / 'in the prescribed form', lock this format.
2. Extract the trial balance. Split every item into: P&L (income/expense) or Balance Sheet (asset/liability/equity).
3. Process adjustments (closing stock, outstanding, prepaid, depreciation, provisions, tax, commission).
4. Prepare Notes first (share capital, reserves, PPE, receivables, expenses). Totals from notes go to the face.
5. Write Statement of Profit and Loss with Roman numbering I to IX as in the format.
6. Write Balance Sheet with Equity and Liabilities first, then Assets. Both sides must **tie**.
7. Show working notes for COGS, depreciation, employee benefits, other expenses, net receivables.

### WATCH OUT

Rounding in real Schedule III: companies with turnover below ₹100 crore may round to hundreds, thousands, lakhs or millions; larger companies to lakhs, millions or crores. In your exam, unless told to round, write the full rupee amounts with Indian commas (₹1,00,000).

### 12. EXAM-READY ANSWER

Schedule III of the Companies Act, 2013 prescribes the form of Balance Sheet and Statement of Profit and Loss of a company. It requires vertical presentation, a current / non-current classification, specified major heads in a fixed order, corresponding previous-year figures, and supporting Notes to Accounts, so that the statements give a true and fair view and are comparable.

## Current vs non-current — the 12-month operating-cycle rule

### 1. WHAT IS IT? — DEFINITION

Every asset and every liability on a company Balance Sheet is classified as **current** or **non-current**. Current means 'turning into cash, or falling due, in the normal operating cycle or within 12 months'. Non-current means 'held for the longer haul'.

### 2. IN SIMPLE WORDS

Operating cycle is the time from buying raw material (or goods) to collecting cash from the customer. A bakery's cycle may be a few days. A shipbuilder's cycle may be three years. If you cannot identify the cycle, the law says: treat it as **12 months**. Exam default is 12 months unless the question gives a longer cycle.

### 5. ACCOUNTING LOGIC

**An asset is current** if any one of these is true: (a) it will be realised or sold in the operating cycle; (b) it is held mainly for trading; (c) it will be realised within 12 months after the Balance Sheet date; (d) it is cash or a cash equivalent. Otherwise it is non-current.

**A liability is current** if: (a) it will be settled in the operating cycle; (b) it is held for trading; (c) it is due within 12 months; or (d) the company has no unconditional right to defer settlement beyond 12 months. Otherwise it is non-current.

### Quick classification — learn these; they are 2-mark gifts

| Item                                             | Classification                                | Why                                                |
|--------------------------------------------------|-----------------------------------------------|----------------------------------------------------|
| Land and building used as factory                | Non-current asset (PPE)                       | Held to use for years, not to sell this year       |
| Stock of goods                                   | Current asset (Inventories)                   | Expected to be sold in the cycle                   |
| Trade receivables                                | Current asset                                 | Customers usually pay within the cycle / 12 months |
| 12% Debentures repayable after 5 years           | Non-current liability                         | Not due within 12 months                           |
| Instalment of that loan due next year            | Current liability (other current liabilities) | Due within 12 months — 'current maturity'          |
| Bank overdraft                                   | Current liability (short-term borrowings)     | Repayable on demand                                |
| Trade payables                                   | Current liability                             | Suppliers of goods, settled in the cycle           |
| Outstanding salary                               | Current liability (other current liabilities) | Wages already earned, unpaid, due now              |
| Provision for tax                                | Current liability (short-term provisions)     | Tax for this year, payable soon                    |
| Prepaid insurance for next 8 months              | Current asset (other current assets)          | Benefit within 12 months                           |
| Long-term investment in another company's shares | Non-current asset                             | Held for more than 12 months                       |
| Income received in advance                       | Current liability (other current liabilities) | You still owe the service                          |

### SOLVED EXAMPLE 4.1 · EASY

#### Classify ten items as current or non-current

Horizon Ltd's trial balance includes the items below. Classify each for a Schedule III Balance Sheet.

| Item                            | Your classification     |
|---------------------------------|-------------------------|
| Plant purchased for the factory | Non-current asset — PPE |

| Item                               | Your classification                                             |
|------------------------------------|-----------------------------------------------------------------|
| Goods unsold on 31 March           | Current asset — Inventories                                     |
| Amount due from customers          | Current asset — Trade receivables                               |
| Cash at bank                       | Current asset — Cash and cash equivalents                       |
| Equity share capital               | Shareholders' funds (neither current nor non-current liability) |
| General reserve                    | Shareholders' funds — Reserves and surplus                      |
| 10-year debentures                 | Non-current liability — Long-term borrowings                    |
| Creditors for goods                | Current liability — Trade payables                              |
| Bank overdraft                     | Current liability — Short-term borrowings                       |
| Outstanding interest on debentures | Current liability — Other current liabilities                   |

Share capital and reserves are **equity**, not liabilities. They sit at the top of Equity and Liabilities because they represent owners, not outsiders.

#### 10. COMMON MISTAKES

- Putting bank overdraft under Trade payables — overdraft is a borrowing, not a supplier balance.
- Leaving next year's instalment of a 5-year loan inside Long-term borrowings — split the current maturity out.
- Calling outstanding rent a Trade payable — rent is not a purchase of stock-in-trade; it is Other current liabilities.
- Treating share capital as a non-current liability — it is equity.

#### 11. MEMORY TRICK

Current = cash within a year (or the cycle). Non-current = the long stay. Liabilities tell you who funded the assets. Notes are the footnotes of the story.

## Statement of Profit and Loss — full exam format

#### 1. WHAT IS IT? — DEFINITION

The Statement of Profit and Loss is the company's income statement for a period (usually the year ended 31 March). It starts with revenue, deducts expenses in a prescribed order, and ends with **Profit for the period** after tax. Under Schedule III it is a vertical statement with Roman numbered lines I to IX.

#### 2. IN SIMPLE WORDS

Sole traders often split 'Trading Account' (gross profit) and 'P&L Account' (net profit). A company still computes the same ideas, but on the *face* you show one Statement of Profit and Loss. Gross profit is not a mandatory face heading. Cost of goods sold appears as purchases, materials, and changes in inventories — three separate lines.

#### 3. WHY DO WE NEED IT?

Investors want to see, in a standard order: how much the operations earned, how much other income arrived, how costs broke into materials, people, interest, depreciation and the rest, and how much tax ate. Mixing interest into 'other expenses' would hide how heavily the company is borrowed. That is why Finance costs is its own line.

#### 6. FORMAT — STATEMENT OF PROFIT AND LOSS (SCHEDULE III, DIVISION I)

**Face of the Statement of Profit and Loss — learn the Roman numbers**

|      | Particulars                                                                   | Note | ₹ |
|------|-------------------------------------------------------------------------------|------|---|
| I    | Revenue from operations                                                       | 1    |   |
| II   | Other income                                                                  | 2    |   |
| III  | Total income (I + II)                                                         |      |   |
| IV   | Expenses                                                                      |      |   |
|      | Cost of materials consumed                                                    |      |   |
|      | Purchases of stock-in-trade                                                   |      |   |
|      | Changes in inventories of finished goods, work-in-progress and stock-in-trade |      |   |
|      | Employee benefits expense                                                     | 3    |   |
|      | Finance costs                                                                 | 4    |   |
|      | Depreciation and amortisation expense                                         | 5    |   |
|      | Other expenses                                                                | 6    |   |
|      | Total expenses                                                                |      |   |
| V    | Profit before exceptional items and tax (III – IV)                            |      |   |
| VI   | Exceptional items                                                             |      |   |
| VII  | Profit before tax (V – VI)                                                    |      |   |
| VIII | Tax expense                                                                   |      |   |
|      | Current tax                                                                   |      |   |
|      | Deferred tax                                                                  |      |   |
| IX   | Profit (loss) for the period (VII – VIII)                                     |      |   |

Note numbers on the face point to Notes to Accounts. Previous-year column omitted when the question gives one year only.

## Line-by-line: what goes where

### I Revenue from operations

This is money from the company's **main business** — selling goods or rendering the services it exists to sell. For a trading company: sales of goods. For a manufacturer: sales of finished goods. For a software firm: fee income. Also included: other operating revenue such as export incentives linked to sales.

Sales are shown **net of returns**. GST collected is not your income (it is a liability to government) — exam TBs usually give sales already exclusive of tax. If the TB shows 'Sales 9,50,000' that is line I, unless the question says it includes something non-operating.

### II Other income

Income that is **not the main operations**. Typical exam items:

- **Interest** received on deposits or on investments.
- **Dividend** received on shares held as investments.
- **Profit on sale of a fixed asset** (PPE) or of an investment.
- **Rent received** if renting out is not the company's business (a trading company sub-letting one floor).
- Miscellaneous income, commission received (when commission is not the business).

#### KEY POINT

Same rupee, different shelf. Interest *earned* on a bank deposit is Other income. Interest *paid* on a loan is Finance costs. Dividend received is Other income. Dividend paid is not an expense of the P&L at all — it is an appropriation of reserves.

### III Total income (I + II)

Just add. Show the working. If Revenue is ₹9,50,000 and Other income is ₹39,000, Total income = ₹9,89,000.

### IV Expenses — each prescribed line

The seven expense lines — put each voucher on the correct one

| Line                                              | What it means                                                                                                                      | Exam examples                                                             | What it is NOT                                                                           |
|---------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------|------------------------------------------------------------------------------------------|
| Cost of materials consumed                        | Raw materials used by a manufacturer:<br>Opening RM + Purchases – Closing RM                                                       | Steel used to make machines                                               | Not used by a pure trading company (they have no 'materials')                            |
| Purchases of stock-in-trade                       | Goods bought for resale, as they are                                                                                               | A trader buying fans to sell fans                                         | Not raw material. Not a fixed asset purchase                                             |
| Changes in inventories of FG, WIP, stock-in-trade | Opening minus closing of those stocks. Increase in stock is a negative expense (credit). Decrease is a positive expense            | Opening stock ₹80,000, closing ₹1,10,000 → change = (₹30,000)             | Raw material change sits inside 'materials consumed', not here                           |
| Employee benefits expense                         | Cost of people: salaries, wages, bonus, contribution to PF, staff welfare, manager's commission on profit                          | Salaries ₹1,10,000 + outstanding ₹10,000 = ₹1,20,000                      | Not contractor bills for repairs (those are Other expenses). Not drawings                |
| Finance costs                                     | Cost of borrowed money: interest on loans, debentures, overdraft; other borrowing costs                                            | 12% of ₹2,00,000 debentures = ₹24,000 for the year                        | Not repayment of the loan principal. Not dividend on shares                              |
| Depreciation and amortisation                     | Wear-and-tear of PPE (depreciation) and writing off intangibles such as patents (amortisation)                                     | Building 5%, plant 10%, furniture 10%                                     | Not the purchase of a new machine (that is an asset)                                     |
| Other expenses                                    | Everything left: rent, insurance, electricity, advertisement, bad debts, provision for doubtful debts, samples, repairs, audit fee | Rent, prepaid-adjusted insurance, electricity, ads, bad debts, extra PFDD | Not materials, not salaries, not interest, not depreciation — those have their own lines |

#### FORMULA

#### Change in inventories (FG / WIP / stock-in-trade) = Opening inventory – Closing inventory

If closing is bigger than opening, the change is negative and it reduces total expenses. That is the Schedule III way of showing that you produced or bought more than you sold. Cost of goods sold for a trader = Opening stock + Purchases – Closing stock, which equals Purchases of stock-in-trade + Changes in inventories.

Worked micro-example of the identity. Opening inventory ₹80,000. Purchases ₹6,20,000. Closing inventory ₹1,10,000.

- Goods available = ₹80,000 + ₹6,20,000 = ₹7,00,000.
- COGS = ₹7,00,000 – ₹1,10,000 = ₹5,90,000.
- Schedule III lines: Purchases of stock-in-trade ₹6,20,000; Changes in inventories = ₹80,000 – ₹1,10,000 = (₹30,000).
- ₹6,20,000 + (₹30,000) = ₹5,90,000. Same COGS. Always check this identity before you proceed.

### V Profit before exceptional items and tax (III – IV)

Total income minus total expenses. This is the ordinary operating-and-other result.

### VI Exceptional items

Material items that are unusual or arise from a non-recurring event — for example profit on sale of a whole division, or a large one-time legal settlement. Rare in exam trial balances. If none, write **Nil** or skip the amount. Do not dump ordinary 'other expenses' here.

### VII Profit before tax

Line V minus exceptional items. If exceptional is Nil, V = VII.



## VIII Tax expense

**Current tax** is the income-tax payable on this year's taxable profit — in exams this is the given 'Provision for tax'. **Deferred tax** arises when accounting profit and taxable profit differ because of timing differences (for example depreciation in books  $\neq$  depreciation in the Income-tax Act). Deferred tax liability (DTL) sits under non-current liabilities; deferred tax asset (DTA) under non-current assets. Most MBA problems only give current tax. Charge it as tax expense; credit Provision for tax (short-term provision).

## IX Profit for the period

This is the bottom line. It is **not** drawn by the owners. It is transferred to **Surplus in Reserves and surplus** on the Balance Sheet. That is how a profitable year makes shareholders' funds grow.

### 9. HOW TO IDENTIFY THE QUESTION

If the question says 'prepare the Statement of Profit and Loss as per Schedule III / Companies Act 2013', use the Roman numbered format above. If it only says 'prepare a Profit and Loss Account of the company', still use this format — examiners expect Schedule III once the entity is a company.

## Worked Statement of Profit and Loss — Northwind Trading Ltd

### SOLVED EXAMPLE 4.2 · MODERATE

#### Northwind Trading Ltd — from trial balance to Schedule III P&L (and a compact Balance Sheet)

Northwind Trading Ltd is a small trading company (it buys goods and resells them — no factory). Year ended 31 March 2026. We first prove the trial balance, then process four adjustments, then write the Statement of Profit and Loss with note numbers, then a compact Balance Sheet so you see both faces before the exam-length illustration.

#### Trial balance as at 31 March 2026

##### Northwind Trading Ltd — trial balance (already tied)

| Particulars                          | Dr (₹)          | Cr (₹)          |
|--------------------------------------|-----------------|-----------------|
| Equity share capital (shares of ₹10) |                 | 2,00,000        |
| 10% Bank loan (repayable in 2029)    |                 | 1,00,000        |
| General reserve                      |                 | 20,000          |
| Surplus (opening credit balance)     |                 | 30,000          |
| Sales                                |                 | 5,40,000        |
| Trade payables                       |                 | 40,000          |
| Plant                                | 2,00,000        |                 |
| Furniture                            | 40,000          |                 |
| Purchases                            | 3,60,000        |                 |
| Opening inventory                    | 50,000          |                 |
| Salaries                             | 70,000          |                 |
| Rent                                 | 36,000          |                 |
| Insurance                            | 8,000           |                 |
| Advertisement                        | 15,000          |                 |
| Interest on bank loan                | 10,000          |                 |
| Bad debts                            | 6,000           |                 |
| Trade receivables                    | 80,000          |                 |
| Cash at bank                         | 55,000          |                 |
| <b>Total</b>                         | <b>9,30,000</b> | <b>9,30,000</b> |

Check:  $2,00,000 + 40,000 + 3,60,000 + 50,000 + 70,000 + 36,000 + 8,000 + 15,000 + 10,000 + 6,000 + 80,000 + 55,000 = 9,30,000$  Dr.  $2,00,000 + 1,00,000 + 20,000 + 30,000 + 5,40,000 + 40,000 = 9,30,000$  Cr.

## Adjustments

1. Closing inventory ₹70,000.
2. Depreciate plant 10% and furniture 10% (straight line on the given cost; residual is Nil in this problem).
3. Outstanding rent ₹4,000.
4. Provision for tax ₹7,000.

## Workings — every multiplication shown

### Northwind — workings that feed the face and the notes

| Working                     | Computation                                                                                                                                                         | ₹        |
|-----------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| Revenue from operations     | Sales as per TB                                                                                                                                                     | 5,40,000 |
| Other income                | None in TB                                                                                                                                                          | Nil      |
| Purchases of stock-in-trade | Purchases as per TB                                                                                                                                                 | 3,60,000 |
| Changes in inventories      | Opening ₹50,000 – Closing ₹70,000                                                                                                                                   | (20,000) |
| COGS check                  | ₹50,000 + ₹3,60,000 – ₹70,000                                                                                                                                       | 3,40,000 |
| Employee benefits           | Salaries ₹70,000 (no outstanding on salaries)                                                                                                                       | 70,000   |
| Finance costs               | $10\% \times ₹1,00,000 = 10/100 \times 1,00,000$ . TB already has ₹10,000, so the year is fully charged. Nothing outstanding.                                       | 10,000   |
| Depreciation — plant        | $10/100 \times ₹2,00,000 = ₹20,000$                                                                                                                                 | 20,000   |
| Depreciation — furniture    | $10/100 \times ₹40,000 = ₹4,000$                                                                                                                                    | 4,000    |
| Depreciation — total        | ₹20,000 + ₹4,000                                                                                                                                                    | 24,000   |
| Rent (other expenses)       | ₹36,000 + outstanding ₹4,000                                                                                                                                        | 40,000   |
| Insurance                   | As per TB (no prepaid given)                                                                                                                                        | 8,000    |
| Advertisement               | As per TB                                                                                                                                                           | 15,000   |
| Bad debts                   | As per TB                                                                                                                                                           | 6,000    |
| Other expenses — total      | ₹40,000 + ₹8,000 + ₹15,000 + ₹6,000                                                                                                                                 | 69,000   |
| Total expenses              | $₹3,60,000 + (₹20,000) + ₹70,000 + ₹10,000 + ₹24,000 + ₹69,000 = ₹3,40,000 + ₹70,000 = ₹4,10,000$ ; $+ ₹10,000 = ₹4,20,000$ ; $+ ₹24,000 = ₹4,44,000$ ; $+ ₹69,000$ | 5,13,000 |
| Profit before tax           | ₹5,40,000 – ₹5,13,000                                                                                                                                               | 27,000   |
| Tax expense                 | Provision for tax (given)                                                                                                                                           | 7,000    |
| Profit for the period       | ₹27,000 – ₹7,000                                                                                                                                                    | 20,000   |

## Statement of Profit and Loss for the year ended 31 March 2026

### Northwind Trading Ltd — Statement of Profit and Loss (Schedule III)

|     | Particulars             | Note | ₹        |
|-----|-------------------------|------|----------|
| I   | Revenue from operations | 1    | 5,40,000 |
| II  | Other income            |      | —        |
| III | Total income (I + II)   |      | 5,40,000 |

|      | Particulars                                        | Note | ₹               |
|------|----------------------------------------------------|------|-----------------|
| IV   | Expenses                                           |      |                 |
|      | Purchases of stock-in-trade                        |      | 3,60,000        |
|      | Changes in inventories of stock-in-trade           | 2    | (20,000)        |
|      | Employee benefits expense                          | 3    | 70,000          |
|      | Finance costs                                      | 4    | 10,000          |
|      | Depreciation and amortisation expense              | 5    | 24,000          |
|      | Other expenses                                     | 6    | 69,000          |
|      | Total expenses                                     |      | <b>5,13,000</b> |
| V    | Profit before exceptional items and tax (III – IV) |      | 27,000          |
| VI   | Exceptional items                                  |      | —               |
| VII  | Profit before tax                                  |      | 27,000          |
| VIII | Tax expense — current tax                          | 7    | 7,000           |
| IX   | Profit for the period                              |      | <b>20,000</b>   |

#### Notes referred to above (extract)

| Note                      | Content                                                                                                          | ₹        |
|---------------------------|------------------------------------------------------------------------------------------------------------------|----------|
| 1 Revenue from operations | Sale of products (traded goods)                                                                                  | 5,40,000 |
| 2 Changes in inventories  | Stock-in-trade: opening ₹50,000 less closing ₹70,000. Increase in stock is shown as a credit (negative expense). | (20,000) |
| 3 Employee benefits       | Salaries                                                                                                         | 70,000   |
| 4 Finance costs           | Interest on 10% bank loan (10/100 × ₹1,00,000)                                                                   | 10,000   |
| 5 Depreciation            | Plant ₹20,000 (10/100 × ₹2,00,000) + Furniture ₹4,000 (10/100 × ₹40,000)                                         | 24,000   |
| 6 Other expenses          | Rent ₹40,000 + Insurance ₹8,000 + Advertisement ₹15,000 + Bad debts ₹6,000                                       | 69,000   |
| 7 Tax expense             | Current tax (provision)                                                                                          | 7,000    |

Profit ₹20,000 is **not** cash in a drawer. It is the residue of income over expenses. It will sit inside Reserves and surplus. Follow it onto the Balance Sheet.

#### Compact Balance Sheet as at 31 March 2026 (so the P&L is not left hanging)

PPE = Plant (₹2,00,000 – ₹20,000) + Furniture (₹40,000 – ₹4,000) = ₹1,80,000 + ₹36,000 = ₹2,16,000. Current assets = Inventory ₹70,000 + Trade receivables ₹80,000 + Cash ₹55,000 = ₹2,05,000. Total assets = ₹2,16,000 + ₹2,05,000 = ₹4,21,000.

Share capital ₹2,00,000. Reserves = General reserve ₹20,000 + Surplus (₹30,000 opening + ₹20,000 profit) = ₹70,000.

Shareholders' funds = ₹2,70,000. Non-current liability (bank loan) ₹1,00,000. Current liabilities = Trade payables ₹40,000 + Outstanding rent ₹4,000 + Provision for tax ₹7,000 = ₹51,000. Total equity and liabilities = ₹2,70,000 + ₹1,00,000 + ₹51,000 = ₹4,21,000. **Tied.**

#### Northwind Trading Ltd — Balance Sheet (compact, Schedule III)

| Particulars                     | Note | ₹        |
|---------------------------------|------|----------|
| <b>I EQUITY AND LIABILITIES</b> |      |          |
| 1. Shareholders' funds          |      |          |
| (a) Share capital               |      | 2,00,000 |
| (b) Reserves and surplus        | 8    | 70,000   |
| 2. Non-current liabilities      |      |          |

| Particulars                                      | Note | ₹               |
|--------------------------------------------------|------|-----------------|
| (a) Long-term borrowings (10% bank loan)         |      | 1,00,000        |
| 3. Current liabilities                           |      |                 |
| (a) Trade payables                               |      | 40,000          |
| (b) Other current liabilities (outstanding rent) |      | 4,000           |
| (c) Short-term provisions (provision for tax)    |      | 7,000           |
| <b>Total</b>                                     |      | <b>4,21,000</b> |
| <b>II ASSETS</b>                                 |      |                 |
| 1. Non-current assets                            |      |                 |
| (a) Property, plant and equipment                | 5    | 2,16,000        |
| 2. Current assets                                |      |                 |
| (a) Inventories                                  |      | 70,000          |
| (b) Trade receivables                            |      | 80,000          |
| (c) Cash and cash equivalents                    |      | 55,000          |
| <b>Total</b>                                     |      | <b>4,21,000</b> |

Note 8 Reserves: General reserve ₹20,000 + Surplus ₹50,000 (opening ₹30,000 + profit ₹20,000) = ₹70,000.

#### EXAM TIP

Always prove two things: (1) the trial balance totals before you touch adjustments; (2) the Balance Sheet totals after adjustments. If they do not tie, a working is wrong — usually closing stock omitted on the asset side, or outstanding interest omitted as both expense and liability.

## Balance Sheet — full Schedule III format

### 1. WHAT IS IT? — DEFINITION

The company Balance Sheet is a statement of assets, equity and liabilities as at a date, presented vertically as per Schedule III: first **Equity and Liabilities** (who funded the company), then **Assets** (what the company owns). Both totals must be equal.

### 2. IN SIMPLE WORDS

If the Statement of Profit and Loss is the year's movie, the Balance Sheet is the photograph on 31 March. It does not tell you what happened during the year except through the profit sitting in reserves. Every rupee of asset was funded either by owners (share capital + reserves) or by outsiders (liabilities).

### 3. WHY DO WE NEED IT?

A bank reading only the P&L might see a profit and still miss that the company has no cash (profit locked in receivables) or that a huge loan is due next month. The Balance Sheet, split current / non-current, answers: can this company pay its bills in the next 12 months, and is the owners' cushion (equity) thick enough?

### 4. REAL-LIFE EXAMPLE

Horizon Ltd owns a building, plant, furniture, stock, debtors and cash. That is the Assets side. Those things were paid for by shareholders (capital + accumulated profits) and by holders of 12% debentures and by suppliers who have not yet been paid. That is Equity and Liabilities. If the two sides do not equal, a posting is missing — the photograph is torn.

## 5. ACCOUNTING LOGIC

Accounting equation: Assets = Shareholders' funds + Non-current liabilities + Current liabilities. Profit for the year increases shareholders' funds (via surplus). Losses decrease them. Buying a machine with cash swaps one asset for another; the total does not change. Buying a machine on long-term loan increases assets and non-current liabilities together.

## 6. FORMAT — BALANCE SHEET (SCHEDULE III, DIVISION I) — THE FULL SKELETON

Memorise this order. Examiners award format marks for the heads even when a note is thin.

|   | Particulars                                                              | Note | ₹ |
|---|--------------------------------------------------------------------------|------|---|
|   | <b>I EQUITY AND LIABILITIES</b>                                          |      |   |
| 1 | Shareholders' funds                                                      |      |   |
|   | (a) Share capital                                                        |      |   |
|   | (b) Reserves and surplus                                                 |      |   |
|   | (c) Money received against share warrants                                |      |   |
| 2 | Share application money pending allotment                                |      |   |
| 3 | Non-current liabilities                                                  |      |   |
|   | (a) Long-term borrowings                                                 |      |   |
|   | (b) Deferred tax liabilities (net)                                       |      |   |
|   | (c) Other long-term liabilities                                          |      |   |
|   | (d) Long-term provisions                                                 |      |   |
| 4 | Current liabilities                                                      |      |   |
|   | (a) Short-term borrowings                                                |      |   |
|   | (b) Trade payables                                                       |      |   |
|   | (c) Other current liabilities                                            |      |   |
|   | (d) Short-term provisions                                                |      |   |
|   | <b>Total</b>                                                             |      |   |
|   | <b>II ASSETS</b>                                                         |      |   |
| 1 | Non-current assets                                                       |      |   |
|   | (a) Property, plant and equipment / Fixed assets (tangible + intangible) |      |   |
|   | (b) Non-current investments                                              |      |   |
|   | (c) Deferred tax assets (net)                                            |      |   |
|   | (d) Long-term loans and advances                                         |      |   |
|   | (e) Other non-current assets                                             |      |   |
| 2 | Current assets                                                           |      |   |
|   | (a) Current investments                                                  |      |   |
|   | (b) Inventories                                                          |      |   |
|   | (c) Trade receivables                                                    |      |   |
|   | (d) Cash and cash equivalents                                            |      |   |
|   | (e) Short-term loans and advances                                        |      |   |
|   | (f) Other current assets                                                 |      |   |

|  | Particulars | Note | ₹ |
|--|-------------|------|---|
|  | Total       |      |   |

## Every major head, in simple words, with examples

### 1 Shareholders' funds

**(a) Share capital** — money the company has called from shareholders as the face value of shares. Not the market price. Not reserves. Taught in full in the next section.

**(b) Reserves and surplus** — profits kept in the company: surplus in P&L, general reserve, securities premium, capital reserve. Current-year profit (line IX) is added to surplus here.

**(c) Money received against share warrants** — a share warrant is a ticket that lets the holder buy shares later at a stated price. Money already collected against that ticket is not share capital yet (shares are not issued). Show it as a separate line under shareholders' funds. Exams mention it more often than they give a figure.

### 2 Share application money pending allotment

People applied for shares and sent money; the company has **not yet allotted** the shares. Until allotment, this is not share capital. If allotment is expected, it sits on this line. If the issue is failing and money is refundable, it is a current liability. Mention the head in theory answers even when the TB has no such item.

### 3 Non-current liabilities

| Head                               | Meaning                                                                               | Examples                                                                                                       |
|------------------------------------|---------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------|
| (a) Long-term borrowings           | Loans and debentures not due within 12 months                                         | 12% Debentures repayable in 2029; 10% term loan from SBI for 7 years (exclude the instalment due next year)    |
| (b) Deferred tax liabilities (net) | Tax that is economically owed later because books and tax law time things differently | Depreciation in books slower than tax depreciation, creating a DTL. Brief in MBA papers; often Nil             |
| (c) Other long-term liabilities    | Long-term dues that are not borrowings                                                | Trade payables on an unusually long cycle; security deposits received that are not refundable within 12 months |
| (d) Long-term provisions           | Provisions payable after 12 months                                                    | Provision for employee gratuity (the long-term portion); warranty provision covering years 2–5                 |

### 4 Current liabilities — the exam trap cluster

Four boxes. Mixing them is the most common way to lose marks when the arithmetic is otherwise perfect.

#### Trade payable vs borrowing vs other current liability vs provision — learn the four-way split

| Head                          | Who lives here                                                                    | Examples                                                                                                                                                                           | Do not put here                                                                                         |
|-------------------------------|-----------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------|
| (a) Short-term borrowings     | Interest-bearing money you borrowed that is payable on demand or within 12 months | Bank overdraft, cash credit, short-term bank loan, loans repayable on demand                                                                                                       | Suppliers of goods (those are trade payables). Outstanding interest (that is other current liabilities) |
| (b) Trade payables            | Amounts due for goods and services bought in the ordinary course of business      | Creditors for purchases, bills payable arising from credit purchases                                                                                                               | Loan from a bank. Outstanding salary. GST payable. Proposed dividend                                    |
| (c) Other current liabilities | Current dues that are neither borrowings nor trade payables                       | Outstanding expenses, income received in advance, current maturities of long-term debt, interest accrued on borrowings, unpaid dividend (once declared), statutory dues (GST, TDS) | The loan principal that is still long-term. Provision for tax (that is a provision)                     |
| (d) Short-term provisions     | Provisions expected to be settled within 12 months                                | Provision for tax, provision for a known legal claim due soon. (Provision for doubtful debts is NOT here — it is deducted from receivables)                                        | Outstanding rent (that is a known unpaid bill, so other current liability, not a provision)             |

#### KEY POINT

MSME split (one line, because the statute asks for it): Trade payables must be broken, in the notes, into (i) total outstanding dues of micro and small enterprises, and (ii) dues of other creditors. On the face you still show one Trade payables total. If the question is silent on MSME, write the total and, in a theory line, mention that the split is required.

**Current maturities of long-term debt.** Horizon has 12% Debentures ₹2,00,000 due in several years — all non-current. If ₹40,000 of a term loan must be repaid in the next 12 months, that ₹40,000 leaves Long-term borrowings and sits under Other current liabilities (Division I). Forget this split and your current ratio in the next chapter will also be wrong.

### Assets — non-current

| Head                                           | Meaning                                                                        | Examples                                                                                                                                                                         |
|------------------------------------------------|--------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| (a) PPE / Fixed assets (tangible + intangible) | Assets used to run the business, not to resell                                 | Land, building, plant, furniture, vehicles (tangible). Patents, trademarks, computer software, goodwill (intangible). Shown at cost less accumulated depreciation / amortisation |
| (b) Non-current investments                    | Investments held for more than 12 months                                       | Shares of a subsidiary, long-term bonds, investment in land held for capital appreciation                                                                                        |
| (c) Deferred tax assets (net)                  | Tax already economically 'prepaid' because of timing differences the other way | Often Nil in exam TBs                                                                                                                                                            |
| (d) Long-term loans and advances               | Money the company has given that will come back after 12 months                | Security deposit with the landlord for a 5-year lease; long-term loan to a subsidiary                                                                                            |
| (e) Other non-current assets                   | Long-term assets that do not fit above                                         | Unamortised share-issue expenses in older papers; long-term prepaid (e.g. 3-year insurance unexpired beyond 12 months)                                                           |

### Assets — current

| Head                              | Meaning                                                                                      | Examples                                                                                                                                                                                |
|-----------------------------------|----------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| (a) Current investments           | Investments held to be sold / matured within 12 months                                       | 3-month treasury bill, surplus cash parked in a liquid mutual fund                                                                                                                      |
| (b) Inventories                   | Goods held for sale or in process, plus stores                                               | Closing stock of traded goods; RM, WIP, FG of a manufacturer; stores and spares. Valued at cost or NRV, whichever is lower (that valuation rule is AS-2; exam usually gives the figure) |
| (c) Trade receivables             | Money customers owe for goods / services sold in the ordinary course                         | Sundry debtors, bills receivable from customers. Shown net of provision for doubtful debts. Ageing (overdue vs others) goes in the notes                                                |
| (d) Cash and cash equivalents     | Cash on hand, balances with banks, short deposits with original maturity of 3 months or less | Cash in hand, current account, 30-day fixed deposit. A 2-year FD is not a cash equivalent — it is an investment or other bank balance disclosed separately                              |
| (e) Short-term loans and advances | Recoverable within 12 months, not trade receivables                                          | Advance to a supplier, staff advance, GST input recoverable. Some papers put prepaid expenses here; Division I also allows Other current assets                                         |
| (f) Other current assets          | Current assets that are not investments, stock, receivables, cash or advances                | Prepaid insurance, accrued interest, prepaid rent, unbilled revenue                                                                                                                     |

## 9. HOW TO IDENTIFY THE QUESTION

If the question says 'prepare Balance Sheet as per Schedule III / Companies Act 2013', draw this vertical skeleton first (heads only), then drop numbers from notes into it. Do not draw a T-shape with 'Liabilities' on the left in the 1956 style.

## 10. COMMON MISTAKES

- Writing 'Sundry creditors' on the face instead of Trade payables.
- Putting outstanding expenses under Trade payables or under Short-term provisions.
- Showing provision for doubtful debts on the liabilities side — it is a deduction from Trade receivables.
- Showing drawings — companies do not have drawings.

- Forgetting to add current-year profit to Reserves and surplus.
- Grossing PPE without deducting depreciation for the year.

#### 11. MEMORY TRICK

Read the Balance Sheet as a sentence: 'Owners and lenders funded these assets.' Equity and Liabilities = the sources. Assets = the uses. Notes are the footnotes of the story.

#### 12. EXAM-READY ANSWER

The company Balance Sheet as per Schedule III of the Companies Act, 2013 is presented vertically. Equity and Liabilities comprise: (1) Shareholders' funds — share capital, reserves and surplus, money received against share warrants; (2) Share application money pending allotment; (3) Non-current liabilities — long-term borrowings, deferred tax liabilities (net), other long-term liabilities, long-term provisions; (4) Current liabilities — short-term borrowings, trade payables, other current liabilities, short-term provisions.

Assets comprise: (1) Non-current assets — PPE / fixed assets, non-current investments, deferred tax assets (net), long-term loans and advances, other non-current assets; (2) Current assets — current investments, inventories, trade receivables, cash and cash equivalents, short-term loans and advances, other current assets.

## Share capital — authorised, issued, subscribed, called-up, paid-up

#### 1. WHAT IS IT? — DEFINITION

Share capital is the owners' capital of a company, divided into shares of a fixed face value (for example ₹10 each). On the face of the Balance Sheet you report the **paid-up** amount. The note to share capital then unrolls authorised, issued, subscribed, called-up, calls in arrears, and the number of shares.

#### 2. IN SIMPLE WORDS

A sole trader says 'I put in ₹5,00,000'. A company cannot say that, because there are many owners. It cuts the ₹5,00,000 into 50,000 slices of ₹10. Each slice is a share. The Memorandum of Association also states a ceiling — the company must not issue more than that ceiling without following the law. That ceiling is authorised capital.

#### 3. WHY DO WE NEED IT?

Lenders and shareholders need to know: how much capital is legally allowed, how much has actually been issued, whether some applicants still owe a call, and whether the company has headroom to issue more shares. A single figure 'Share capital ₹5,00,000' on the face is not enough — the note is the legal disclosure.

#### 4. REAL-LIFE EXAMPLE

Horizon Ltd's Memorandum authorises 1,00,000 equity shares of ₹10 each (authorised ₹10,00,000). It has so far issued and allotted 50,000 shares, fully called and fully paid. Face of the Balance Sheet: Share capital ₹5,00,000. The remaining authorised ₹5,00,000 is simply unused capacity — it is not a liability and not an asset.

#### 5. ACCOUNTING LOGIC

Authorised ≥ Issued ≥ Subscribed ≥ Called-up ≥ Paid-up. Paid-up = Called-up – Calls in arrears. Forfeited shares (if any) sit as a separate line in the share-capital note until they are reissued; after reissue the profit on forfeiture goes to Capital reserve, which is a reserve, not share capital.

### Five layers of share capital — only paid-up goes to the face total

| Layer | Meaning | Horizon-style numbers |
|-------|---------|-----------------------|
|-------|---------|-----------------------|



| Layer                                     | Meaning                                                  | Horizon-style numbers                                |
|-------------------------------------------|----------------------------------------------------------|------------------------------------------------------|
| Authorised (nominal) capital              | Maximum the company may issue, as per its Memorandum     | 1,00,000 equity shares of ₹10 = ₹10,00,000           |
| Issued capital                            | Shares actually offered to the public / allottees        | 50,000 shares of ₹10 = ₹5,00,000                     |
| Subscribed capital                        | Shares the public has agreed to take                     | 50,000 shares = ₹5,00,000 (here issued = subscribed) |
| Called-up capital                         | The slice of face value the company has demanded so far  | ₹10 called on 50,000 shares = ₹5,00,000              |
| Calls in arrears                          | Called-up money that some shareholders have not yet paid | Nil in Horizon. See the separate example below.      |
| Paid-up capital (this is the face figure) | Called-up minus calls in arrears                         | ₹5,00,000                                            |

#### SOLVED EXAMPLE 4.3 · EASY

##### Calls in arrears — how paid-up capital is computed

Aarav Textiles Ltd has authorised capital of 1,00,000 equity shares of ₹10. It issued 80,000 shares. Public subscribed 75,000 shares. ₹8 per share has been called. Calls in arrears ₹10,000. Compute the figure that appears as Share capital on the Balance Sheet.

##### Step 1 — called-up capital.

75,000 shares  $\times$  ₹8 = ₹6,00,000. (Use subscribed shares, not issued, because 5,000 issued shares were not taken.)

##### Step 2 — paid-up capital.

₹6,00,000 – calls in arrears ₹10,000 = ₹5,90,000.

**On the face:** Share capital ₹5,90,000. In the note you may write: Subscribed and called-up ₹6,00,000, less calls in arrears ₹10,000, paid-up ₹5,90,000.

Authorised ₹10,00,000 is disclosed in the note only. Issued 80,000 is disclosed in the note only. Neither of those numbers is added into the Balance Sheet total.

#### KEY POINT

Equity shares vs preference shares: equity shares take the residual profit and residual assets; preference shares usually take a fixed dividend first. On the Balance Sheet both are share capital; the note splits them. MBA problems in this chapter are almost always equity only.

#### 10. COMMON MISTAKES

- Adding authorised capital into the Balance Sheet total — authorised is a ceiling, not money received.
- Using the stock-market price of the share instead of face value.
- Treating calls in arrears as a current asset (old habit). Under Schedule III, calls in arrears are deducted from called-up capital in the share-capital note.
- Confusing securities premium with share capital. Premium is a reserve (Reserves and surplus), not share capital.

#### 11. MEMORY TRICK

Authorised is the size of the parking lot. Issued is how many cars were invited. Subscribed is how many actually drove in. Called-up is the ticket price demanded. Paid-up is the money that actually reached the till.

## Reserves and surplus — where this year's profit goes

### 1. WHAT IS IT? — DEFINITION

Reserves and surplus are owners' funds other than share capital: profits kept back, and capital receipts such as securities premium. Under Schedule III the note typically shows: capital reserve, capital redemption reserve, securities premium, general reserve, and surplus (balance in Statement of Profit and Loss).

### 2. IN SIMPLE WORDS

Profit of the year is not put in a director's pocket. It is poured into a bucket called Surplus. The company may then ladle some of that bucket into General reserve (a rainy-day bowl) or pay dividend (which takes money out of the bucket and, once declared, out of the bank). Securities premium is a different bucket: it is the extra money investors paid above face value when shares were issued. You must not use it as if it were trading profit.

### 3. WHY DO WE NEED IT?

Share capital is sticky — you cannot casually give it back. Reserves show how much extra cushion the owners have built. A company with share capital ₹5,00,000 and reserves ₹1,58,000 is sturdier than one with the same capital and a negative surplus.

### 5. ACCOUNTING LOGIC

Movement of surplus for the year: Opening surplus + Profit for the period – Appropriations (transfer to general reserve, dividend declared) = Closing surplus. Under modern Companies Act treatment, a dividend that is only *proposed* by the board is **not** deducted here and is **not** a liability. It is disclosed in notes. A dividend that is *declared* (shareholders have approved it, or an interim dividend that has been paid/become payable) is deducted from surplus.

| Reserve               | Where it comes from                                                                        | Where it sits                                      | Typical exam use                                                                                                         |
|-----------------------|--------------------------------------------------------------------------------------------|----------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------|
| Surplus (P&L balance) | Accumulated profits not earmarked                                                          | Reserves and surplus                               | Opening credit + current profit                                                                                          |
| General reserve       | Transfer from surplus, by board decision                                                   | Reserves and surplus                               | Often given as an opening figure; transfer only if the question says so                                                  |
| Securities premium    | Issue of shares above face value                                                           | Reserves and surplus (a capital reserve in nature) | Cannot be used to pay dividend. Specified uses in Section 52 (issue expenses, premium on redemption, bonus shares, etc.) |
| Capital reserve       | Capital profits (reissue of forfeited shares, profit on sale of a capital asset sometimes) | Reserves and surplus                               | Not available for dividend                                                                                               |

### SOLVED EXAMPLE 4.4 · EASY

#### How current-year profit flows into reserves

Opening surplus ₹55,000. General reserve (opening) ₹40,000. Profit for the year ₹63,000. No transfer to general reserve, no dividend declared. Write the reserves note.

**This is Horizon Ltd's actual reserves note — we will meet it again**

| Particulars                                                        | ₹        |
|--------------------------------------------------------------------|----------|
| General reserve (as per last Balance Sheet; no transfer this year) | 40,000   |
| Surplus: balance as per last Balance Sheet                         | 55,000   |
| Add: Profit for the year                                           | 63,000   |
| Surplus at the end of the year                                     | 1,18,000 |

| Particulars                       | ₹               |
|-----------------------------------|-----------------|
| <b>Total reserves and surplus</b> | <b>1,58,000</b> |

If the board had transferred ₹10,000 to general reserve, general reserve would become ₹50,000 and surplus would become ₹1,08,000. The total ₹1,58,000 would not change — you only moved a ladle from one bowl to the other.

#### WATCH OUT

Do not debit 'Drawings' and do not show a 'Net profit transferred to capital' line as you would for a sole trader. The capital figure (share capital) stays at paid-up capital unless new shares are issued. Profit lives in reserves.

## Notes to Accounts — why they exist and how they look

### 1. WHAT IS IT? — DEFINITION

Notes to Accounts are the legally required explanations and breakdowns that support the face of the Balance Sheet and the Statement of Profit and Loss. Schedule III says the face shall show the major heads; the detail (share-capital reconciliation, PPE movement, composition of other expenses, etc.) lives in numbered notes. The face carries the note number in a column.

### 2. IN SIMPLE WORDS

The face of the statements is a summary so a reader can see the whole photograph in one glance. If you printed every sub-item on the face, the page would be a jungle. Notes are the footnotes of the story. You cannot skip them in an exam that says 'with notes' — and even when it does not, showing three or four notes earns format marks.

### 3. WHY DO WE NEED IT?

Two companies can both show Other expenses ₹1,06,000. One spent it on research, the other on a failed advertisement blitz. The note tells you which. Share capital ₹5,00,000 could be 50,000 fully paid shares or 1,00,000 shares of ₹10 with ₹5 called — only the note reveals that. The law therefore makes notes part of the financial statements, not an annexure you may omit.

### 4. REAL-LIFE EXAMPLE

In an annual report the Balance Sheet line 'Trade receivables' has a note number. Open that note and you see the split of outstanding for more than six months vs others, provision for doubtful debts, and dues from related parties. That is the same discipline we use, in miniature, in exam answers.

### 5. ACCOUNTING LOGIC

A note does not change the total. It unpacks it. If Other expenses on the face is ₹1,06,000, the note must add to ₹1,06,000. If it does not, you have either missed an item or double-counted. Always cross-foot notes to the face.

## Three sample notes (the ones examiners almost always want)

### Sample note A — Share capital

#### Note — Share capital (Horizon Ltd style)

| Particulars                                 | 31 Mar 2026 ₹ |
|---------------------------------------------|---------------|
| <b>Authorised</b>                           |               |
| 1,00,000 equity shares of ₹10 each          | 10,00,000     |
| <b>Issued, subscribed and fully paid</b>    |               |
| 50,000 equity shares of ₹10 each fully paid | 5,00,000      |

| Particulars                                                                                    | 31 Mar 2026 ₹ |
|------------------------------------------------------------------------------------------------|---------------|
| Reconciliation of number of shares: opening 50,000; issued during the year Nil; closing 50,000 |               |

Also state: rights, preferences, restrictions (equity shares carry one vote each); shares held by promoters (if asked). Face figure = ₹5,00,000.

## Sample note B — Reserves and surplus

### Note — Reserves and surplus

| Particulars                             | ₹               |
|-----------------------------------------|-----------------|
| General reserve                         | 40,000          |
| Surplus in Statement of Profit and Loss |                 |
| Opening balance                         | 55,000          |
| Add: Profit for the year                | 63,000          |
| Closing surplus                         | 1,18,000        |
| <b>Total</b>                            | <b>1,58,000</b> |

## Sample note C — Other expenses

### Note — Other expenses (Horizon Ltd — we rebuild this in the full illustration)

| Particulars                             | ₹               |
|-----------------------------------------|-----------------|
| Rent                                    | 48,000          |
| Insurance (₹12,000 – prepaid ₹3,000)    | 9,000           |
| Electricity                             | 18,000          |
| Advertisement                           | 22,000          |
| Bad debts                               | 8,000           |
| Provision for doubtful debts (increase) | 1,000           |
| <b>Total (agrees to P&amp;L face)</b>   | <b>1,06,000</b> |

Other typical notes: Long-term borrowings (nature of loan, interest rate, security), PPE (gross block, depreciation, net block for each class), Inventories (RM / WIP / FG / stock-in-trade), Revenue from operations (sale of products vs services), Trade receivables (gross, provision, net).

#### EXAM TIP

Write the note number on the face even if your notes are short. A face that says 'Other expenses ... Note 6 ... ₹1,06,000' looks like a company statement. A face with no note column looks like a sole-trader account.

## Adjustments — the exam core

The trial balance is a photograph of the ledger *before* year-end housekeeping. Adjustments are that housekeeping. For every adjustment you must be able to say four things: what it means in English, the journal, which statement is hit, and a mini numerical effect.

### 1. WHAT IS IT? — DEFINITION

Year-end adjustments are entries that bring unrecorded assets, liabilities, incomes and expenses into the books so that the Statement of Profit and Loss shows the year's true profit and the Balance Sheet shows the true position on 31 March. Matching concept: this year's income against this year's expenses.

### 2. IN SIMPLE WORDS

The ledger clerk recorded what was paid and what was received. You, the accountant, record what was *incurred* and what was *earned*. Rent unpaid is still an expense of this year. Insurance paid for next year is not this year's expense. Closing stock is an asset that is no longer 'purchases sitting in the P&L'.

### 3. WHY DO WE NEED IT?

Without adjustments, profit is whatever cash happened to move, and the Balance Sheet misses unpaid bills and unused prepayments. That is neither true nor fair, and it is not what the examiner wants.

### 7. ONE METHOD THAT WORKS FOR EVERY ADJUSTMENT

1. Read each adjustment. Translate it into: extra expense, less expense, extra income, less income, extra asset, extra liability.
2. Pass the journal (even if the question does not ask for journals — it stops you from one-sided posting).
3. Post the P&L effect to the correct Schedule III line (employee benefits vs finance costs vs other expenses vs tax).
4. Post the Balance Sheet effect to the correct head (other current liability vs short-term provision vs deduction from an asset).
5. After all adjustments, total the P&L, transfer profit to surplus, and check that the Balance Sheet ties.

## Adjustment 1 — Closing stock (if not already in the trial balance)

Closing stock is the goods still unsold (or unused) on 31 March. If the TB has opening inventory and purchases but no closing figure, the question will give closing inventory as an adjustment. It is an asset, and it reduces the cost charged this year.

### Closing inventory ₹1,10,000

| Date   | Particulars                                          | L.F. | Debit (₹) | Credit (₹) |
|--------|------------------------------------------------------|------|-----------|------------|
| 31 Mar | Inventories (Closing stock) ..... Dr.                |      | 1,10,000  |            |
|        | To Changes in inventories / Trading A/c              |      |           | 1,10,000   |
|        | <i>(Stock-in-trade on hand taken into accounts.)</i> |      |           |            |

| Statement     | Where it hits                                                                                            | Mini numbers                                                 |
|---------------|----------------------------------------------------------------------------------------------------------|--------------------------------------------------------------|
| P&L           | Changes in inventories = Opening – Closing. If closing ₹1,10,000 and opening ₹80,000, change = (₹30,000) | COGS falls by ₹1,10,000 compared with charging all purchases |
| Balance Sheet | Current assets — Inventories                                                                             | ₹1,10,000 on the assets side                                 |

### WATCH OUT

If closing stock is already inside the trial balance (rare in company papers, common in some old TBs as a memorandum), do not add it again. Look: is it listed among the debit balances? Then it is already an asset and the P&L has already been credited.

## Adjustment 2 — Outstanding expenses (wages, rent, interest, salary)

The service was used this year; the cash has not gone out by 31 March. Still an expense of this year, and a liability on 31 March.

### Outstanding salaries ₹10,000

| Date   | Particulars                                 | L.F. | Debit (₹) | Credit (₹) |
|--------|---------------------------------------------|------|-----------|------------|
| 31 Mar | Salaries / Rent / Wages (expense) ..... Dr. |      | 10,000    |            |
|        | To Outstanding salaries / rent / wages      |      |           | 10,000     |
|        | <i>(Salaries accrued but not paid.)</i>     |      |           |            |

P&L: add ₹10,000 to Employee benefits (if salary/wages) or to Other expenses (if rent) or to Finance costs (if interest). Balance Sheet: Other current liabilities ₹10,000 — not Trade payables, not Short-term borrowings, not a provision.

# SOLVED EXAMPLE 4.5 · EASY

## Outstanding rent

Rent in the TB ₹48,000. Outstanding rent ₹4,000.

Expense for the year = ₹48,000 + ₹4,000 = ₹52,000 (Other expenses).

Liability = ₹4,000 (Other current liabilities).

The cash of ₹48,000 already reduced Cash in the TB. You do not touch cash again.

## Adjustment 3 — Prepaid expenses

Cash went out this year for a benefit that belongs to next year (insurance paid in March for April–June). That slice is an asset, not this year's expense.

### Prepaid insurance ₹3,000

| Date   | Particulars                                   | L.F. | Debit (₹) | Credit (₹) |
|--------|-----------------------------------------------|------|-----------|------------|
| 31 Mar | Prepaid insurance ..... Dr.                   |      | 3,000     |            |
|        | To Insurance (expense)                        |      |           | 3,000      |
|        | <i>(Insurance unexpired carried forward.)</i> |      |           |            |

P&L: Insurance in TB ₹12,000 – prepaid ₹3,000 = ₹9,000 inside Other expenses. Balance Sheet: Other current assets ₹3,000 (some papers park it under Short-term loans and advances — Other current assets is cleaner for a prepayment).

## Adjustment 4 — Accrued income

You have earned it; the customer / bank has not yet paid. Example: interest on a deposit for January–March, credited by the bank only in April.

### Accrued interest ₹5,000

| Date   | Particulars                                    | L.F. | Debit (₹) | Credit (₹) |
|--------|------------------------------------------------|------|-----------|------------|
| 31 Mar | Accrued interest (asset) ..... Dr.             |      | 5,000     |            |
|        | To Interest income (other income)              |      |           | 5,000      |
|        | <i>(Interest earned but not yet received.)</i> |      |           |            |

P&L: add ₹5,000 to Other income. Balance Sheet: Other current assets ₹5,000. Do not add it to Trade receivables — the debtor is not a customer for goods.

## Adjustment 5 — Income received in advance (unearned)

Cash arrived this year for a service you will give next year. Example: tenant paid April rent in March. Not this year's income; you owe the service.

### Unearned rent ₹8,000

| Date   | Particulars                                       | L.F. | Debit (₹) | Credit (₹) |
|--------|---------------------------------------------------|------|-----------|------------|
| 31 Mar | Rent received (income) ..... Dr.                  |      | 8,000     |            |
|        | To Income received in advance                     |      |           | 8,000      |
|        | <i>(Rent received relating to the next year.)</i> |      |           |            |

P&L: reduce Other income by ₹8,000. Balance Sheet: Other current liabilities ₹8,000. If Rent received in the TB is ₹20,000 and ₹8,000 is unearned, Other income from rent = ₹12,000.

## Adjustment 6 — Depreciation on PPE

Machines wear out. The cost is spread over the years that use the machine. Depreciation is an expense; it is also a reduction in the book value of PPE. No cash moves.

### Horizon-style depreciation for the year

| Date   | Particulars                                                                                                           | L.F. | Debit (₹) | Credit (₹) |
|--------|-----------------------------------------------------------------------------------------------------------------------|------|-----------|------------|
| 31 Mar | Depreciation (P&L) ..... Dr.                                                                                          |      | 51,000    |            |
|        | To Land and building                                                                                                  |      |           | 20,000     |
|        | To Plant                                                                                                              |      |           | 25,000     |
|        | To Furniture                                                                                                          |      |           | 6,000      |
|        | <i>(Depreciation written off for the year. (Alternatively credit Accumulated depreciation; net PPE is the same.))</i> |      |           |            |

Multiplications: Building  $5/100 \times ₹4,00,000 = ₹20,000$ . Plant  $10/100 \times ₹2,50,000 = ₹25,000$ . Furniture  $10/100 \times ₹60,000 = ₹6,000$ . Total ₹51,000.

P&L: Depreciation and amortisation expense ₹51,000 — its own line, not Other expenses. Balance Sheet: PPE shown net, ₹4,00,000 + ₹2,50,000 + ₹60,000 – ₹51,000 = ₹6,59,000. The note shows each class at cost, depreciation, net.

#### FORMULA

**Straight line (SLM): Depreciation for the year = (Cost – Residual value) / Useful life. Rate on original cost =  $(1 / \text{life}) \times 100$ .**

Written down value (WDV): Depreciation = Book value  $\times$  rate. Residual is not deducted each year; the rate is designed to approach it. In most Schedule III problems the question gives a % on the TB cost (SLM with residual Nil). Use that % and show the multiplication.

## Adjustment 7 — Interest on loan / debentures outstanding

Interest is the rent of borrowed money. Even if you have not paid the second half-year, the year has used the money for 12 months, so 12 months of interest is an expense. The unpaid slice is a liability.

**Horizon numbers.** 12% Debentures ₹2,00,000. Interest for the year =  $12/100 \times ₹2,00,000 = ₹24,000$ . TB already shows Interest on debentures ₹12,000 (the first half paid). Outstanding = ₹24,000 – ₹12,000 = ₹12,000.

### Outstanding debenture interest ₹12,000

| Date   | Particulars                                                        | L.F. | Debit (₹) | Credit (₹) |
|--------|--------------------------------------------------------------------|------|-----------|------------|
| 31 Mar | Finance costs (interest on debentures) ..... Dr.                   |      | 12,000    |            |
|        | To Interest accrued and due / Outstanding debenture interest       |      |           | 12,000     |
|        | <i>(Second half-year interest on 12% debentures not yet paid.)</i> |      |           |            |

P&L: Finance costs = ₹12,000 (TB) + ₹12,000 (outstanding) = ₹24,000. Balance Sheet: Other current liabilities ₹12,000 (interest accrued). The debentures themselves stay under Long-term borrowings ₹2,00,000. Do not add outstanding interest to the debenture principal.

#### KEY POINT

Two hits, always: extra finance cost AND extra current liability. Students often remember the expense and forget the liability (Balance Sheet will not tie) or remember the liability and leave finance cost at the TB figure (profit overstated).

## Adjustment 8 — Provision for tax

A company is a taxable person. Estimated income-tax on this year's profit is an expense of this year, even though the return will be filed later. We create a provision.

### Provision for tax ₹35,000

| Date   | Particulars                               | L.F. | Debit (₹) | Credit (₹) |
|--------|-------------------------------------------|------|-----------|------------|
| 31 Mar | Tax expense (current tax) ..... Dr.       |      | 35,000    |            |
|        | To Provision for tax                      |      |           | 35,000     |
|        | (Provision for current tax for the year.) |      |           |            |

P&L: line VIII Tax expense ₹35,000 — after Profit before tax, never mixed into Other expenses. Balance Sheet: Short-term provisions ₹35,000. It is a provision (estimate) rather than a fully billed outstanding, which is why it is not Other current liabilities.

## Adjustment 9 — Proposed dividend / dividend (read this twice)

### 1. WHAT IS IT? — DEFINITION

A dividend is a distribution of profit to shareholders. It is **not** an expense of earning the profit. It is an appropriation of profit that has already been computed. Under the Companies Act, 2013 as it stands, a dividend becomes a liability only when it is **declared** (or, for interim dividend, when the board declares it and it becomes payable).

### 2. IN SIMPLE WORDS

The board may *propose* ₹1 per share at its meeting in April, after the 31 March books are closed. Shareholders vote on that proposal at the AGM in August. Until they vote yes, the company does not legally owe the dividend. So on 31 March there is no liability. The proposal is a footnote. Once the AGM declares it, next year's books show Dividend payable as a current liability until it is paid.

### 3. WHY DO WE NEED IT?

AS-4 (and the 2016 Companies (Accounting Standards) Amendment) stopped companies from booking proposed dividend as a liability of the year just ended. Schedule III follows that: proposed dividend is disclosed in notes, not recognised. University MBA papers are mixed — some still want the old appropriation. You must know both, and you must state which one you are using.

## Modern Schedule III treatment (use this unless the question forces the old way)

No journal on 31 March for a dividend that is only proposed. Profit for the period is transferred in full to Surplus. In the notes you write: 'The Board has proposed a dividend of ₹... per equity share, aggregating ₹.... The proposed dividend is subject to approval at the ensuing AGM and is not recognised as a liability.'

When the dividend is later declared: debit Surplus (reserves), credit Dividend payable (Other current liabilities). When paid: debit Dividend payable, credit Bank. Cash leaves. Equity falls. P&L of the year of payment is not charged.

## Old university / P&L appropriation treatment (still seen in some papers)

Old exam treatment — proposed dividend ₹50,000 (50,000 shares × ₹1)

| Date   | Particulars                                                                                | L.F. | Debit (₹) | Credit (₹) |
|--------|--------------------------------------------------------------------------------------------|------|-----------|------------|
| 31 Mar | Surplus / P&L Appropriation ..... Dr.                                                      |      | 50,000    |            |
|        | To Proposed dividend                                                                       |      |           | 50,000     |
|        | (OLD TREATMENT: proposed dividend appropriated. Not the current Schedule III recognition.) |      |           |            |

Under that old treatment, Surplus falls by ₹50,000 and Short-term provisions (or a separate 'Proposed dividend') rises by ₹50,000. Profit for the period on the face of the P&L is still computed **before** this appropriation — you do not put proposed dividend inside expenses. You appropriate after arriving at profit.

### KEY POINT

Current Schedule III: proposed dividend is NOT a liability until declared; shown in notes. Provision for dividend once declared is a current liability (Other current liabilities — unpaid dividend). Never show proposed dividend as an expense in the Statement of Profit and Loss. It is not Employee benefits, not Other expenses, not Finance costs.



**EXAM TIP**

If the question is silent, apply the modern treatment, write one sentence in a working note, and do not create a liability. If the question says 'take proposed dividend as a liability' or shows an appropriation account, follow the old treatment. Either way, do not debit it inside line IV expenses.

**Adjustment 10 — Provision for doubtful debts (and the increase)**

Some customers may not pay. We do not wait for them to officially fail. We estimate a provision. The provision is a contra-asset: it is deducted from Trade receivables, not shown as a liability.

**FORMULA**

**Required provision = given % × Trade receivables (usually sundry debtors; bills receivable are normally left out unless the question says otherwise).**

Charge to P&L this year = Required provision – Existing provision already in the TB. If the result is positive, extra Other expenses. If negative, write back (other income / reduction in other expenses).

**Horizon numbers.** Trade receivables ₹1,40,000. Required =  $5/100 \times ₹1,40,000 = ₹7,000$ . Existing provision in TB ₹6,000. Increase charged to P&L = ₹7,000 – ₹6,000 = ₹1,000.

**Increase in provision ₹1,000**

| Date   | Particulars                                                 | L.F. | Debit (₹) | Credit (₹) |
|--------|-------------------------------------------------------------|------|-----------|------------|
| 31 Mar | Other expenses (provision for doubtful debts) ..... Dr.     |      | 1,000     |            |
|        | To Provision for doubtful debts                             |      |           | 1,000      |
|        | (Provision raised from ₹6,000 to ₹7,000 (5% of ₹1,40,000).) |      |           |            |

P&L: ₹1,000 inside Other expenses (together with bad debts actually written off). Balance Sheet: Trade receivables shown net — gross ₹1,40,000 (plus bills receivable if you group them) less provision ₹7,000. Bad debts already written off in the TB (₹8,000) are an Other expense of their own; do not also deduct them from debtors — the TB debtors are already after that write-off.

**SOLVED EXAMPLE 4.6 · MODERATE****Debtors, bad debts already in TB, and a new provision rate**

TB: Trade receivables ₹1,40,000; Bad debts ₹8,000; Provision for doubtful debts ₹6,000. Adjustment: provision to be 5% of debtors.

- Debtors on the TB are already after writing off ₹8,000. Do not reduce them again for those bad debts.
- Required provision =  $5/100 \times ₹1,40,000 = ₹7,000$ .
- Existing provision ₹6,000, so P&L charge = ₹1,000.
- Other expenses includes Bad debts ₹8,000 + Increase in provision ₹1,000 = ₹9,000 from this cluster.
- Balance Sheet: Trade receivables ₹1,40,000 – ₹7,000 = ₹1,33,000 (before grouping bills receivable).

**Adjustment 11 — Goods distributed as samples / used in the business**

Goods that left the shop were not sold. If they were given as free samples, that is advertisement. If the company used its own goods to build an office table, that is a fixed asset (or an expense if the amount is tiny). In both cases Purchases (or Inventory) must be reduced, because those goods are not available for sale.

**Samples ₹8,000**

| Date   | Particulars                               | L.F. | Debit (₹) | Credit (₹) |
|--------|-------------------------------------------|------|-----------|------------|
| 31 Mar | Advertisement / Sales promotion ..... Dr. |      | 8,000     |            |
|        | To Purchases                              |      |           | 8,000      |

| Date | Particulars                          | L.F. | Debit (₹) | Credit (₹) |
|------|--------------------------------------|------|-----------|------------|
|      | (Goods distributed as free samples.) |      |           |            |

#### Goods used in the business ₹10,000

| Date   | Particulars                                           | L.F. | Debit (₹) | Credit (₹) |
|--------|-------------------------------------------------------|------|-----------|------------|
| 31 Mar | Furniture (PPE) ..... Dr.                             |      | 10,000    |            |
|        | To Purchases                                          |      |           | 10,000     |
|        | (Goods of the company used to make office furniture.) |      |           |            |

| Case                                 | P&L                                                                                                                                                                                                                 | Balance Sheet                                                           |
|--------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------|
| Samples ₹8,000                       | Purchases of stock-in-trade fall by ₹8,000; Other expenses (advertisement) rise by ₹8,000. Profit is unchanged if you forget both, but the lines are wrong — and if you reduce purchases only, profit is overstated | No extra asset. Inventory is already lower because those goods are gone |
| Goods used to make furniture ₹10,000 | Purchases fall by ₹10,000 (COGS down, profit up by ₹10,000 — correct, because the goods became an asset, not a cost of sales). Then depreciate the furniture if the adjustment says so                              | PPE (furniture) rises by ₹10,000                                        |

### Adjustment 12 — Manager's commission on profit

A manager may be promised a percentage of profit. Two wordings exist, and they are not the same number. Commission is an Employee benefits expense (some papers park it in Other expenses — Employee benefits is the better Schedule III home). Outstanding commission is Other current liabilities.

#### FORMULA

**On profit BEFORE charging commission: Commission = Rate × Profit before commission.**

On profit AFTER charging commission: Commission = Profit before commission × Rate / (100 + Rate). Always read the words 'before charging' or 'after charging'. If the question is silent, examiners often mean before charging — but write your assumption.

#### SOLVED EXAMPLE 4.7 · MODERATE

#### Same profit, two commissions — why the formula changes

Profit before commission and before tax ₹1,10,000. Rate 10%. Tax ignored in this mini example so the formula is visible.

##### Case A — 10% on profit before charging such commission.

Commission =  $10/100 \times ₹1,10,000 = ₹11,000$ .

Profit after commission = ₹1,10,000 – ₹11,000 = ₹99,000. Check: 10% of ₹1,10,000 is ₹11,000, as promised.

##### Case B — 10% on profit after charging such commission.

Let commission be C. Profit after commission = ₹1,10,000 – C. We need  $C = 10/100 \times (₹1,10,000 - C)$ .

$C = ₹11,000 - 0.10 C$ .  $C + 0.10 C = ₹11,000$ .  $1.10 C = ₹11,000$ .  $C = ₹11,000 \times 100/110 = ₹10,000$ .

Shortcut:  $C = ₹1,10,000 \times 10/110 = ₹10,000$ .

Check: Profit after commission = ₹1,00,000. 10% of ₹1,00,000 = ₹10,000. The manager got 10% of the profit that remains after paying him. That is the point of 'after charging'.

#### Journal

| Date   | Particulars                                        | L.F. | Debit (₹) | Credit (₹) |
|--------|----------------------------------------------------|------|-----------|------------|
| 31 Mar | Employee benefits (manager's commission) ..... Dr. |      | 10,000    |            |
|        | To Outstanding commission                          |      |           | 10,000     |

| Date | Particulars                                              | L.F. | Debit (₹) | Credit (₹) |
|------|----------------------------------------------------------|------|-----------|------------|
|      | (Case B: commission 10% after charging such commission.) |      |           |            |

If commission is on profit **after tax**, compute tax first on the specified base (the question will say whether tax is before or after commission). Most MBA problems keep it simple: commission on profit before tax, either before or after charging commission. Do not invent a tax round unless asked.

#### EXAM TIP

When both tax and commission appear: read the order in the question. A common exam sequence is: profit before commission and tax → charge commission → profit before tax → charge tax. If commission is 'after charging such commission' but 'before tax', apply the  $\text{Rate}/(100+\text{Rate})$  formula on the pre-tax, pre-commission profit.

## Map: every adjustment onto Schedule III

Pin this table above your desk before the exam

| Adjustment                         | P&L line                                    | Balance Sheet line                     |
|------------------------------------|---------------------------------------------|----------------------------------------|
| Closing stock                      | Changes in inventories (and it shapes COGS) | Current assets — Inventories           |
| Outstanding salary / wages         | Employee benefits expense                   | Other current liabilities              |
| Outstanding rent / electricity     | Other expenses                              | Other current liabilities              |
| Outstanding interest               | Finance costs                               | Other current liabilities              |
| Prepaid insurance / rent           | Reduces Other expenses                      | Other current assets                   |
| Accrued income                     | Other income                                | Other current assets                   |
| Income received in advance         | Reduces Other income / Revenue              | Other current liabilities              |
| Depreciation                       | Depreciation and amortisation               | Deducted from PPE                      |
| Provision for tax                  | Tax expense (current tax)                   | Short-term provisions                  |
| Proposed dividend (modern)         | No P&L charge                               | No liability; disclose in notes        |
| Dividend declared / unpaid         | Not an expense; debit Surplus               | Other current liabilities              |
| Increase in PFDD                   | Other expenses                              | Deducted from Trade receivables        |
| Bad debts (already in TB or extra) | Other expenses                              | Debtors already reduced if written off |
| Goods as samples                   | Other expenses up; Purchases down           | No extra line                          |
| Goods used as asset                | Purchases down                              | PPE up                                 |
| Manager's commission               | Employee benefits                           | Other current liabilities              |

## Complete exam illustration — Horizon Ltd

#### SOLVED EXAMPLE 4.8 • EXAM-LEVEL

#### Horizon Ltd — trial balance, seven adjustments, full Statement of Profit and Loss and Balance Sheet with notes

This is the 16-mark shape you will meet: a trial balance of a company, a list of adjustments, and the instruction 'Prepare the Statement of Profit and Loss and the Balance Sheet as per Schedule III of the Companies Act, 2013.'

**Horizon Ltd** is a trading company. Equity shares have a face value of ₹10. Year ended 31 March 2026. The trial balance below was built so that both sides equal ₹18,80,000 **before** adjustments. Dividend received and rent received were added as other income so the books tie; they are not balancing junk — they teach line II.

## Trial balance as at 31 March 2026

### Horizon Ltd — trial balance (tied before adjustments)

| Particulars                                 | Dr (₹)           | Cr (₹)           |
|---------------------------------------------|------------------|------------------|
| Land and building                           | 4,00,000         |                  |
| Plant                                       | 2,50,000         |                  |
| Furniture                                   | 60,000           |                  |
| Purchases                                   | 6,20,000         |                  |
| Opening inventory                           | 80,000           |                  |
| Trade receivables                           | 1,40,000         |                  |
| Bills receivable                            | 30,000           |                  |
| Cash and bank                               | 70,000           |                  |
| Salaries                                    | 1,10,000         |                  |
| Rent                                        | 48,000           |                  |
| Insurance                                   | 12,000           |                  |
| Interest on debentures                      | 12,000           |                  |
| Electricity                                 | 18,000           |                  |
| Advertisement                               | 22,000           |                  |
| Bad debts                                   | 8,000            |                  |
| Equity share capital (50,000 shares of ₹10) |                  | 5,00,000         |
| 12% Debentures (long-term)                  |                  | 2,00,000         |
| Sales                                       |                  | 9,50,000         |
| Trade payables                              |                  | 90,000           |
| General reserve                             |                  | 40,000           |
| Surplus (opening credit)                    |                  | 55,000           |
| Provision for doubtful debts                |                  | 6,000            |
| Dividend received                           |                  | 19,000           |
| Rent received                               |                  | 20,000           |
| <b>Total</b>                                | <b>18,80,000</b> | <b>18,80,000</b> |

Dr check:  $4,00,000 + 2,50,000 + 60,000 = 7,10,000$  PPE;  $+ 6,20,000 + 80,000 = 14,10,000$ ;  $+ 1,40,000 + 30,000 + 70,000 = 16,50,000$ ; expenses  $1,10,000 + 48,000 + 12,000 + 12,000 + 18,000 + 22,000 + 8,000 = 2,30,000$ ; grand 18,80,000. Cr check:  $5,00,000 + 2,00,000 + 9,50,000 = 16,50,000$ ;  $+ 90,000 + 40,000 + 55,000 + 6,000 + 19,000 + 20,000 = 18,80,000$ .

### Adjustments

- Closing inventory ₹1,10,000.
- Depreciate building 5%, plant 10%, furniture 10% (on the TB costs; residual Nil).
- Outstanding salaries ₹10,000.
- Prepaid insurance ₹3,000.
- Provision for doubtful debts to be 5% of trade receivables (sundry debtors ₹1,40,000; bills receivable are considered good).
- Provision for tax ₹35,000.
- Provide the outstanding interest on 12% debentures for the year (half-year interest is already in the TB).

**Modern dividend note (no figure given, so none is booked):** no proposed dividend is recognised as a liability. If the board later proposes one, it will be a disclosure, not a 31 March liability.

## Step 1 — working notes (every multiplication)

### WN 1 Revenue from operations

Sales as per TB = ₹9,50,000. No returns given.

### WN 2 Other income

Dividend received ₹19,000 + Rent received ₹20,000 = ₹39,000. Neither is the trading activity, so they are not revenue from operations.

### WN 3 Purchases of stock-in-trade and changes in inventories

|                                                 | ₹        |
|-------------------------------------------------|----------|
| Opening inventory                               | 80,000   |
| Add: Purchases                                  | 6,20,000 |
| Goods available for sale                        | 7,00,000 |
| Less: Closing inventory                         | 1,10,000 |
| Cost of goods sold                              | 5,90,000 |
| Schedule III split: Purchases of stock-in-trade | 6,20,000 |
| Changes in inventories (80,000 – 1,10,000)      | (30,000) |
| Check: 6,20,000 + (30,000)                      | 5,90,000 |

### WN 4 Employee benefits expense

Salaries ₹1,10,000 + outstanding salaries ₹10,000 = ₹1,20,000.

### WN 5 Finance costs

Coupon for the year =  $12/100 \times ₹2,00,000 = ₹24,000$ . Already debited in TB = ₹12,000. Outstanding = ₹24,000 – ₹12,000 = ₹12,000. Finance costs on the face = ₹24,000.

### WN 6 Depreciation and amortisation

| Asset     | Computation                | ₹      |
|-----------|----------------------------|--------|
| Building  | $5/100 \times ₹4,00,000$   | 20,000 |
| Plant     | $10/100 \times ₹2,50,000$  | 25,000 |
| Furniture | $10/100 \times ₹60,000$    | 6,000  |
| Total     | ₹20,000 + ₹25,000 + ₹6,000 | 51,000 |

### WN 7 Other expenses

| Item                                     | Computation                                                                                | ₹        |
|------------------------------------------|--------------------------------------------------------------------------------------------|----------|
| Rent                                     | As per TB (no outstanding on rent)                                                         | 48,000   |
| Insurance                                | ₹12,000 – prepaid ₹3,000                                                                   | 9,000    |
| Electricity                              | As per TB                                                                                  | 18,000   |
| Advertisement                            | As per TB                                                                                  | 22,000   |
| Bad debts                                | As per TB (already written off)                                                            | 8,000    |
| Increase in provision for doubtful debts | Required $5/100 \times ₹1,40,000 = ₹7,000$ ; existing ₹6,000; charge ₹1,000                | 1,000    |
| Total                                    | 48,000 + 9,000 = 57,000; + 18,000 = 75,000; + 22,000 = 97,000; + 8,000 = 1,05,000; + 1,000 | 1,06,000 |

### WN 8 Tax expense

Current tax = provision given = ₹35,000. Deferred tax Nil.

#### WN 9 Profit

|                                                                                                                                  | ₹        |
|----------------------------------------------------------------------------------------------------------------------------------|----------|
| Total income (₹9,50,000 + ₹39,000)                                                                                               | 9,89,000 |
| Total expenses: purchases 6,20,000 + change (30,000) + employee 1,20,000 + finance 24,000 + depreciation 51,000 + other 1,06,000 |          |
| 6,20,000 – 30,000 = 5,90,000                                                                                                     |          |
| 5,90,000 + 1,20,000 = 7,10,000                                                                                                   |          |
| 7,10,000 + 24,000 = 7,34,000                                                                                                     |          |
| 7,34,000 + 51,000 = 7,85,000                                                                                                     |          |
| 7,85,000 + 1,06,000 = 8,91,000                                                                                                   | 8,91,000 |
| Profit before tax 9,89,000 – 8,91,000                                                                                            | 98,000   |
| Less: Tax 35,000                                                                                                                 | 35,000   |
| Profit for the period                                                                                                            | 63,000   |

#### WN 10 Reserves and surplus

General reserve ₹40,000 (no transfer asked). Surplus = opening ₹55,000 + profit ₹63,000 = ₹1,18,000. Total reserves = ₹40,000 + ₹1,18,000 = ₹1,58,000.

#### WN 11 Property, plant and equipment

| Class             | Cost ₹   | Depreciation for the year ₹ | Net ₹    |
|-------------------|----------|-----------------------------|----------|
| Land and building | 4,00,000 | 20,000                      | 3,80,000 |
| Plant             | 2,50,000 | 25,000                      | 2,25,000 |
| Furniture         | 60,000   | 6,000                       | 54,000   |
| Total             | 7,10,000 | 51,000                      | 6,59,000 |

No opening accumulated depreciation is given, so the year's charge is the entire accumulated figure at year-end.

#### WN 12 Trade receivables

Sundry debtors ₹1,40,000 + bills receivable (from customers) ₹30,000 = ₹1,70,000 gross. Less provision ₹7,000. Net ₹1,63,000. Provision was computed on sundry debtors only (5% × ₹1,40,000), which is the usual exam reading of '5% of trade receivables' when bills are listed separately and said to be good.

#### WN 13 Other current liabilities

Outstanding salaries ₹10,000 + Outstanding debenture interest ₹12,000 = ₹22,000.

#### WN 14 Other current assets

Prepaid insurance ₹3,000.

### Step 2 — Statement of Profit and Loss for the year ended 31 March 2026

#### Horizon Ltd — Statement of Profit and Loss (Schedule III)

|     | Particulars             | Note | ₹               |
|-----|-------------------------|------|-----------------|
| I   | Revenue from operations | 1    | 9,50,000        |
| II  | Other income            | 2    | 39,000          |
| III | Total income (I + II)   |      | <b>9,89,000</b> |
| IV  | Expenses                |      |                 |

|      | Particulars                                        | Note | ₹               |
|------|----------------------------------------------------|------|-----------------|
|      | Purchases of stock-in-trade                        |      | 6,20,000        |
|      | Changes in inventories of stock-in-trade           | 3    | (30,000)        |
|      | Employee benefits expense                          | 4    | 1,20,000        |
|      | Finance costs                                      | 5    | 24,000          |
|      | Depreciation and amortisation expense              | 6    | 51,000          |
|      | Other expenses                                     | 7    | 1,06,000        |
|      | Total expenses                                     |      | <b>8,91,000</b> |
| V    | Profit before exceptional items and tax (III – IV) |      | 98,000          |
| VI   | Exceptional items                                  |      | —               |
| VII  | Profit before tax                                  |      | 98,000          |
| VIII | Tax expense — current tax                          | 8    | 35,000          |
| IX   | Profit for the period                              |      | <b>63,000</b>   |

### Step 3 — Balance Sheet as at 31 March 2026

#### Horizon Ltd — Balance Sheet (Schedule III)

| Particulars                                  | Note | ₹                |
|----------------------------------------------|------|------------------|
| <b>I EQUITY AND LIABILITIES</b>              |      |                  |
| 1. Shareholders' funds                       |      |                  |
| (a) Share capital                            | 9    | 5,00,000         |
| (b) Reserves and surplus                     | 10   | 1,58,000         |
| 2. Share application money pending allotment |      | —                |
| 3. Non-current liabilities                   |      |                  |
| (a) Long-term borrowings — 12% Debentures    | 11   | 2,00,000         |
| 4. Current liabilities                       |      |                  |
| (a) Short-term borrowings                    |      | —                |
| (b) Trade payables                           | 12   | 90,000           |
| (c) Other current liabilities                | 13   | 22,000           |
| (d) Short-term provisions                    | 14   | 35,000           |
| <b>Total</b>                                 |      | <b>10,05,000</b> |
| <b>II ASSETS</b>                             |      |                  |
| 1. Non-current assets                        |      |                  |
| (a) Property, plant and equipment            | 6    | 6,59,000         |
| 2. Current assets                            |      |                  |
| (a) Inventories                              | 3    | 1,10,000         |
| (b) Trade receivables                        | 15   | 1,63,000         |
| (c) Cash and cash equivalents                |      | 70,000           |
| (d) Other current assets                     | 16   | 3,000            |
| <b>Total</b>                                 |      | <b>10,05,000</b> |

Equity and liabilities: 5,00,000 + 1,58,000 = 6,58,000; + 2,00,000 = 8,58,000; + 90,000 + 22,000 + 35,000 = 10,05,000. Assets: 6,59,000 + 1,10,000 = 7,69,000; + 1,63,000 = 9,32,000; + 70,000 = 10,02,000; + 3,000 = 10,05,000. Tied.

## Step 4 — Notes to Accounts

### Horizon Ltd — Notes to Accounts

| Note | Particulars                                                                                                                                                                                                                  | ₹        |
|------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| 1    | Revenue from operations — sale of products                                                                                                                                                                                   | 9,50,000 |
| 2    | Other income — dividend received ₹19,000 + rent received ₹20,000                                                                                                                                                             | 39,000   |
| 3    | Inventories — stock-in-trade (closing). Change during the year: opening ₹80,000 – closing ₹1,10,000 = (₹30,000)                                                                                                              | 1,10,000 |
| 4    | Employee benefits — salaries ₹1,10,000 + outstanding ₹10,000                                                                                                                                                                 | 1,20,000 |
| 5    | Finance costs — interest on 12% debentures ( $12/100 \times ₹2,00,000$ )                                                                                                                                                     | 24,000   |
| 6    | PPE / Depreciation — see WN 11. Depreciation charged ₹51,000; net block ₹6,59,000                                                                                                                                            | 6,59,000 |
| 7    | Other expenses — rent ₹48,000 + insurance ₹9,000 + electricity ₹18,000 + advertisement ₹22,000 + bad debts ₹8,000 + increase in PFDD ₹1,000                                                                                  | 1,06,000 |
| 8    | Tax expense — current tax                                                                                                                                                                                                    | 35,000   |
| 9    | Share capital. Authorised: 1,00,000 equity shares of ₹10 = ₹10,00,000. Issued, subscribed and fully paid: 50,000 equity shares of ₹10 = ₹5,00,000. No calls in arrears. No movement in the number of shares during the year. | 5,00,000 |
| 10   | Reserves and surplus — general reserve ₹40,000 + surplus ₹1,18,000 (opening ₹55,000 + profit ₹63,000). No proposed dividend recognised as a liability.                                                                       | 1,58,000 |
| 11   | Long-term borrowings — 12% Debentures, unsecured, not due within 12 months. Interest outstanding is not added here; it is in Note 13.                                                                                        | 2,00,000 |
| 12   | Trade payables ₹90,000. Of which: dues of micro and small enterprises — not ascertained from the given data; dues of other creditors ₹90,000 (disclosure principle stated).                                                  | 90,000   |
| 13   | Other current liabilities — outstanding salaries ₹10,000 + outstanding debenture interest ₹12,000                                                                                                                            | 22,000   |
| 14   | Short-term provisions — provision for tax                                                                                                                                                                                    | 35,000   |
| 15   | Trade receivables — sundry debtors ₹1,40,000 + bills receivable ₹30,000 = ₹1,70,000, less provision for doubtful debts ₹7,000                                                                                                | 1,63,000 |
| 16   | Other current assets — prepaid insurance                                                                                                                                                                                     | 3,000    |

**Why the Balance Sheet must be ₹10,05,000, in one paragraph.** Start from PPE at cost ₹7,10,000 minus this year's depreciation ₹51,000 = ₹6,59,000. Add closing inventory ₹1,10,000, net receivables ₹1,63,000, cash ₹70,000, prepaid ₹3,000. That is every asset that still exists on 31 March. On the other side, owners have share capital ₹5,00,000 plus reserves ₹1,58,000; debenture-holders have ₹2,00,000; suppliers ₹90,000; unpaid salary and interest ₹22,000; tax provision ₹35,000. Sources ₹10,05,000 equal uses ₹10,05,000.

#### EXAM TIP

In the answer book, write workings first (they carry marks even if a face total slips), then P&L, then Balance Sheet, then notes. Box the two grand totals. If they differ, the usual missing piece is outstanding interest (expense remembered, liability forgotten) or closing stock (P&L credited, asset forgotten).

## How to identify the question, traps, and a 5-mark theory answer

### 9. HOW TO IDENTIFY THE QUESTION

The question is this chapter when it says any of: 'prepare the Statement of Profit and Loss and Balance Sheet as per Schedule III'; 'as per Companies Act, 2013'; 'in the prescribed form'; the entity is 'Ltd' / 'Limited' / 'Pvt Ltd' and you are given a trial balance plus adjustments. If it asks only for a cash flow, that is the next chapter. If it asks ratios, that is the ratios chapter — but those ratios are computed from the Schedule III statements you have just learned to build.

### 10. COMMON MISTAKES



- Putting drawings in a company problem. Companies do not have drawings; they have dividends.
- Mixing Trade payables with borrowings (bank overdraft) and with Other current liabilities (outstanding expenses, current maturities, accrued interest).
- Forgetting the current vs non-current split — dumping a 5-year loan and next year's instalment in one line.
- Showing proposed dividend as an expense in the Statement of Profit and Loss. It is not an expense. Modern treatment: note only, no liability until declared.
- Not netting provision for doubtful debts against Trade receivables, and instead parking it under liabilities.
- Forgetting outstanding interest on both sides: it is Finance costs AND Other current liabilities.
- Charging depreciation inside Other expenses instead of the prescribed Depreciation line.
- Putting interest received inside Revenue from operations, or interest paid inside Other expenses.
- Adding authorised capital into the Balance Sheet total.
- Leaving current-year profit out of Reserves and surplus — then the Balance Sheet will not tie.
- Using a 1956 horizontal T-shape instead of the vertical Schedule III order.
- Ignoring 'increase in provision': if the TB already has a provision, only the extra amount is this year's expense.

#### 11. MEMORY TRICK

Liabilities tell you who funded the assets. Notes are the footnotes of the story. P&L is the movie of the year; Balance Sheet is the photograph on 31 March. Current = within a year (or the cycle). Interest paid is finance cost; interest earned is other income. No drawings. Dividend is not an expense. Proposed dividend, today, is a note.

#### What is Schedule III of the Companies Act, 2013? State the major heads of the Balance Sheet.

5 marks

Schedule III is the schedule to the Companies Act, 2013 that prescribes the format of the Balance Sheet and the Statement of Profit and Loss of a company. It requires vertical presentation, classification of items into current and non-current, corresponding figures of the previous year, and Notes to Accounts, so that the statements give a true and fair view and can be compared across companies.

Major heads of the Balance Sheet:

**Equity and Liabilities** — (1) Shareholders' funds: share capital; reserves and surplus; money received against share warrants. (2) Share application money pending allotment. (3) Non-current liabilities: long-term borrowings; deferred tax liabilities (net); other long-term liabilities; long-term provisions. (4) Current liabilities: short-term borrowings; trade payables; other current liabilities; short-term provisions.

**Assets** — (1) Non-current assets: property, plant and equipment / fixed assets (tangible and intangible); non-current investments; deferred tax assets (net); long-term loans and advances; other non-current assets. (2) Current assets: current investments; inventories; trade receivables; cash and cash equivalents; short-term loans and advances; other current assets.

#### 12. EXAM-READY ANSWER

Schedule III of the Companies Act, 2013 prescribes the vertical form of the Balance Sheet and Statement of Profit and Loss. The Balance Sheet major heads are: Shareholders' funds; Share application money pending allotment; Non-current liabilities; Current liabilities; Non-current assets; Current assets — each with the sub-heads listed in the 5-mark answer above. Items are classified current or non-current using the operating cycle / 12-month rule, and the face is supported by Notes to Accounts.

#### 7. 16-MARK PROCEDURE YOU CAN WRITE IN THE MARGIN

1. Underline 'Schedule III' / 'Companies Act 2013' / 'Ltd'. Draw the empty P&L and BS skeletons with heads.
2. Tick every TB item into a skeleton line (or into a working that feeds a line). Do not leave an item un-ticked.
3. Process adjustments in order: stock, outstanding, prepaid, accrued, unearned, depreciation, interest, provision, PFDD, samples, commission, tax, dividend.
4. Compute P&L down to Profit for the period. Transfer that profit to surplus.
5. Build notes. Cross-foot each note to the face.

6. Total Equity and Liabilities. Total Assets. If they differ, hunt outstanding interest, closing stock, and the profit transfer first.

## Practice — then check the solution

### PRACTICE 4.1 · EASY

#### Where does each item sit?

State the Schedule III line (P&L or Balance Sheet) for: (i) Bank overdraft (ii) Outstanding audit fee (iii) Securities premium (iv) Interest on debentures (v) Dividend received (vi) Provision for tax (vii) Prepaid rent (viii) Calls in arrears.

#### ANSWER / SOLUTION

- (i) Balance Sheet — Current liabilities — Short-term borrowings.
- (ii) Balance Sheet — Other current liabilities; and P&L — Other expenses (if not already in TB).
- (iii) Balance Sheet — Shareholders' funds — Reserves and surplus.
- (iv) P&L — Finance costs. Unpaid slice: Other current liabilities.
- (v) P&L — Other income.
- (vi) P&L — Tax expense; Balance Sheet — Short-term provisions.
- (vii) Balance Sheet — Other current assets; and it reduces Other expenses.
- (viii) Deducted from called-up capital in the Share capital note; face shows paid-up.

### PRACTICE 4.2 · MODERATE

#### Commission after charging, plus outstanding interest

Profit before commission, interest outstanding and tax is ₹2,30,000. This figure has not yet been charged with: (a) outstanding interest on 10% loan of ₹1,00,000 for the full year (nothing paid yet); (b) manager's commission 10% on profit after charging such commission but before tax; (c) provision for tax ₹30,000. Compute finance cost, commission, profit before tax, and profit for the period.

#### ANSWER / SOLUTION

##### Step 1 — finance cost.

Interest outstanding =  $10/100 \times ₹1,00,000 = ₹10,000$ . This is Finance costs. It is also Other current liabilities ₹10,000.

##### Step 2 — profit before commission and tax.

$₹2,30,000 - ₹10,000 = ₹2,20,000$ .

##### Step 3 — commission after charging such commission.

Commission =  $₹2,20,000 \times 10 / 110$ .

$₹2,20,000 \times 10 = ₹22,00,000$ .  $₹22,00,000 / 110 = ₹20,000$ .

Check: profit after commission =  $₹2,20,000 - ₹20,000 = ₹2,00,000$ . 10% of ₹2,00,000 = ₹20,000. Holds.

##### Step 4 — profit before tax.

$₹2,20,000 - ₹20,000 = ₹2,00,000$ .

##### Step 5 — profit for the period.

Tax ₹30,000. Profit for the period =  $₹2,00,000 - ₹30,000 = ₹1,70,000$ .

Employee benefits include outstanding commission ₹20,000. Finance costs ₹10,000. Tax expense ₹30,000. Short-term provisions (tax) ₹30,000. Other current liabilities: interest ₹10,000 + commission ₹20,000 = ₹30,000.

**Rebuild three Horizon figures from memory**

Without looking back: (i) write the identity that makes 'Purchases + Changes in inventories' equal COGS for Horizon; (ii) compute the increase in PFDD; (iii) name the two items inside Other current liabilities and their total. Then state why proposed dividend, had the board proposed ₹1 per share, would not appear in those liabilities under current Schedule III.

**ANSWER / SOLUTION**

- (i) Opening ₹80,000 + Purchases ₹6,20,000 – Closing ₹1,10,000 = COGS ₹5,90,000. Purchases ₹6,20,000 + Change (₹30,000) = ₹5,90,000.
- (ii)  $5/100 \times ₹1,40,000 = ₹7,000$  required; existing ₹6,000; increase ₹1,000.
- (iii) Outstanding salaries ₹10,000 + Outstanding debenture interest ₹12,000 = ₹22,000.
- Proposed dividend of  $50,000 \times ₹1 = ₹50,000$  would be disclosed in notes. It is not a liability until declared, so it does not sit in Other current liabilities or Short-term provisions on 31 March 2026.

**CONNECT THE CHAPTERS**

You can now wrap any adjusted trial balance of a company in Schedule III clothing. The next chapter typically takes this Profit before tax / Profit for the period and the Balance Sheet and asks you to explain cash (cash flow statement) or to compute ratios. Garbage in, garbage out: if outstanding interest never reached Finance costs, every profitability and coverage ratio later will be wrong.

# Cash Flow Statements

**Learning outcome.** You will be able to explain why profit is not cash, classify every item into operating / investing / financing activities (AS-3), and prepare a complete Cash Flow Statement by the indirect method — including working notes for plant, depreciation, tax, dividend and interest — so that net cash (A+B+C) equals the change in cash on the Balance Sheet.

## WHAT THIS CHAPTER COVERS (OFFICIAL SYLLABUS)

- Need and importance of Cash Flow Statement
- Preparation of Cash Flow Statement
- Indirect Method

## Profit is not cash — start here, or the whole chapter will feel like magic

This is the heart of the chapter. If you only remember one sentence, remember this: **a business can make a handsome profit and still run out of cash — and it can make a loss and still have cash coming in.** The Profit and Loss Account does not tell you what happened to the bank balance. The Cash Flow Statement does.

Meet Meera. She runs a small garment shop in Pune. At the year-end her accountant smiles and says, “Madam, you made a profit of ₹1,00,000 this year.” Meera opens her bank app. She expected the balance to have grown by about the same amount. It has not. She is confused, and a little angry. This chapter exists because of Meera.

Here is everything that happened in Meera’s year. We will walk through *each* item and ask two questions: **Did this change profit? Did this change cash?** Those two answers are often different. That difference is the whole subject.

## Meera’s year, item by item

### Meera’s four items — profit and cash disagree on every one of them

| What happened                                                                                         | In the Profit & Loss Account?                                                                              | In the bank account?                                       |
|-------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------|------------------------------------------------------------|
| Credit sales still receivable ₹40,000 (customers have the clothes; Meera does not have the money yet) | Yes — sales (and therefore profit) include this ₹40,000                                                    | No cash received. Debtors went up. The bank did not.       |
| Bought a stitching machine for ₹70,000 cash                                                           | No — this is an asset, not an expense. Profit is untouched (except later, a little, through depreciation). | Yes — ₹70,000 left the bank today.                         |
| Depreciation on shop fittings ₹15,000                                                                 | Yes — it is an expense. It reduced profit by ₹15,000.                                                      | No cash moved. Depreciation is a book entry, not a cheque. |
| Took a bank loan of ₹50,000                                                                           | No — a loan is not income. Profit does not include it.                                                     | Yes — ₹50,000 came into the bank.                          |

Now let us put full numbers on the same story, so you can see the gap. Assume the rest of her trading is ordinary cash business, and she started the year with cash of ₹25,000.

## Step 1 — How the accountant got profit of ₹1,00,000

Meera’s sales for the year were ₹5,00,000. Out of this, ₹40,000 is still to be collected from customers, so cash actually collected from customers is ₹5,00,000 – ₹40,000 = ₹4,60,000.

Cash operating expenses (purchases of cloth, wages, rent, electricity, all paid in cash) were ₹3,85,000. Depreciation was ₹15,000. There were no other expenses.

### Meera’s Profit and Loss Account (condensed)

| Particulars | ₹ |
|-------------|---|
|-------------|---|

| Particulars                                        | ₹                |
|----------------------------------------------------|------------------|
| Sales                                              | ₹5,00,000        |
| Less: Cash operating expenses                      | (₹3,85,000)      |
| Profit before depreciation (₹5,00,000 – ₹3,85,000) | ₹1,15,000        |
| Less: Depreciation (expense, but not cash)         | (₹15,000)        |
| <b>Net profit (₹1,15,000 – ₹15,000)</b>            | <b>₹1,00,000</b> |

The accountant is not wrong. Profit really is ₹1,00,000. The P&L Account is doing its job. It is just answering a *different question* from the one Meera asked her bank app.

## Step 2 — What actually happened to the bank balance

Write every cash movement. Do not skip a line. This is how cash works.

**Meera's actual cash movement for the year**

| Movement                           | Work                                        | ₹              |
|------------------------------------|---------------------------------------------|----------------|
| Opening cash / bank                | given                                       | ₹25,000        |
| Add: Cash collected from customers | ₹5,00,000 – ₹40,000 = ₹4,60,000             | ₹4,60,000      |
| Less: Cash operating expenses      | given                                       | (₹3,85,000)    |
| Sub-total after running the shop   | ₹25,000 + ₹4,60,000 – ₹3,85,000 = ₹1,00,000 | ₹1,00,000      |
| Less: Machine purchased (cash)     | given                                       | (₹70,000)      |
| Sub-total after buying the machine | ₹1,00,000 – ₹70,000 = ₹30,000               | ₹30,000        |
| Add: Loan taken                    | given                                       | ₹50,000        |
| <b>Closing cash / bank</b>         | <b>₹30,000 + ₹50,000 = ₹80,000</b>          | <b>₹80,000</b> |

### KEY POINT

Profit = ₹1,00,000. Increase in cash = ₹80,000 – ₹25,000 = ₹55,000. They are not equal. ₹1,00,000 ≠ ₹55,000. Anyone who treats “profit” as “cash generated” is reading the wrong statement.

## Step 3 — The same story, rewritten as a Cash Flow Statement

The indirect method (the method this chapter teaches, and the method your exam will ask) *starts from profit* and then **undoes every item that is not cash, and every item that is not operating**. Watch how Meera's four items become four adjustments.

**Meera — first Cash Flow Statement (indirect method)**

| Particulars                                                                   | ₹                |
|-------------------------------------------------------------------------------|------------------|
| <b>Cash flows from operating activities</b>                                   |                  |
| Net profit                                                                    | ₹1,00,000        |
| Add: Depreciation (expense deducted in P&L, but no cash left)                 | ₹15,000          |
| Less: Increase in debtors (profit counted a sale that brought no cash)        | (₹40,000)        |
| <b>Net cash from operating activities (A) (₹1,00,000 + ₹15,000 – ₹40,000)</b> | <b>₹75,000</b>   |
| <b>Cash flows from investing activities</b>                                   |                  |
| Purchase of machinery (cash)                                                  | (₹70,000)        |
| <b>Net cash from investing activities (B)</b>                                 | <b>(₹70,000)</b> |
| <b>Cash flows from financing activities</b>                                   |                  |
| Loan taken                                                                    | ₹50,000          |

| Particulars                                                    | ₹       |
|----------------------------------------------------------------|---------|
| Net cash from financing activities (C)                         | ₹50,000 |
| Net increase in cash (A + B + C) (₹75,000 – ₹70,000 + ₹50,000) | ₹55,000 |
| Add: Opening cash and cash equivalents                         | ₹25,000 |
| Closing cash and cash equivalents (₹55,000 + ₹25,000)          | ₹80,000 |

Proof:  $A + B + C = 75,000 - 70,000 + 50,000 = 55,000$ , which equals closing cash 80,000 – opening cash 25,000. The statement is internally true.

## 5. ACCOUNTING LOGIC

Profit measures *performance* using accrual accounting: you count a sale when you earn it, and an expense when you consume it — even if cash moves on a different day, or never moves (depreciation). Cash flow measures *liquidity*: what actually went into and out of the bank. Both are true. They answer different questions. The Cash Flow Statement is the bridge: it starts from the profit figure you already trust, and walks you, line by line, to the cash figure you can see in the bank.

## 11. MEMORY TRICK

Three moves, always, in this order: **(1) Add back non-cash expenses** (depreciation, written-off items). **(2) Undo non-operating items** that sat inside profit (profit/loss on sale, interest, dividend income) so they can be placed in investing or financing. **(3) Squeeze working capital** — stock, debtors, prepaid, creditors, outstanding — because extra current assets lock cash and extra current liabilities keep cash in the business. Then tax paid. That is operating cash. Then buy/sell the tools (investing). Then talk to owners and lenders (financing).

## CONNECT THE CHAPTERS

Chapter on the Profit and Loss Account told you *whether* the business earned. Chapter on the Balance Sheet told you *what it owns and owes on a date*. This chapter tells you *where the cash came from and where it went during the period*. The three statements are a set. A Cash Flow Statement that does not reconcile to the change in cash on the two Balance Sheets is simply wrong — the examiner will see it in ten seconds.

# What is a Cash Flow Statement?

## 1. WHAT IS IT? — DEFINITION

A **Cash Flow Statement (CFS)** is a statement that shows the inflows (receipts) and outflows (payments) of *cash and cash equivalents* during an accounting period, classified into **operating, investing and financing** activities. It explains the movement from the opening cash balance to the closing cash balance. In India it is prepared as per **AS-3 (Cash Flow Statements)** or, for companies following Ind AS, **Ind AS-7 (Statement of Cash Flows)**.

## 2. IN SIMPLE WORDS

Imagine a video of your bank account for the whole year, sorted into three folders: (A) money from running the shop, (B) money spent on or received from long-term assets, (C) money from owners and lenders. That video, printed as a statement, is the Cash Flow Statement. It does not replace the P&L. It sits beside it.

## 3. WHY DO WE NEED IT?

Profit can hide a cash crisis. A fast-growing firm that sells on credit, fills its godown, and buys a new machine can show a profit and still bounce a cheque. Lenders, owners and managers cannot wait until the cash actually runs out. They need a statement whose last line is the same number as the cash on the Balance Sheet — with every rupee of movement labelled.

## 4. REAL-LIFE EXAMPLE

A Mumbai trader earns ₹8,00,000 profit in a year of boom. Almost all of it is sitting in debtors (retail chains pay in 90 days) and in extra Diwali stock. He has also paid ₹5,00,000 for a delivery van. His bank account is tight. The P&L says “well done”. The CFS says “operating cash is weak; investing ate the rest; you need a working-capital loan or slower growth.” Both statements are useful. Only one of them would have stopped him bouncing the VAT payment.

## 5. ACCOUNTING LOGIC

Accrual accounting records *when the right to cash arises*, not when cash arrives. To convert accrual profit into cash, we reverse every accrual and every non-cash charge, and we park non-operating cash in the activity that actually produced it. That conversion is the indirect method.

The three statements are a set — each answers one question

| Statement             | Question it answers                                             | What it will not tell you                                                                       |
|-----------------------|-----------------------------------------------------------------|-------------------------------------------------------------------------------------------------|
| Profit & Loss Account | Did we earn a profit this year?                                 | Whether that profit is sitting in the bank, in debtors, or was never cash (depreciation).       |
| Balance Sheet         | What do we own and owe <i>on one date</i> ?                     | How we moved from last year's cash to this year's cash.                                         |
| Cash Flow Statement   | Where did cash come from, and where did it go, during the year? | Whether the business is “profitable”. A firm can have positive cash and a loss, or the reverse. |

## Need and importance of a Cash Flow Statement

### 1. WHAT IS IT? — DEFINITION

The **need** for a Cash Flow Statement arises because profit is an accrual figure. Users who care about *liquidity, solvency and the quality of earnings* cannot read those things from the P&L alone. The CFS is the statement that reports the generation and use of cash, classified by activity, so that users can judge whether the firm can pay its bills, repay loans, pay dividends and fund growth from its own operations.

### 2. IN SIMPLE WORDS

You need a CFS for the same reason you look at your bank SMS thread and not only at your salary slip. The salary slip is the P&L. The SMS thread is the cash flow. Both matter. They are not the same document.

### 3. WHY DO WE NEED IT?

Without a CFS: (i) a lender cannot see whether instalments will be paid from operations or from fresh borrowing; (ii) management cannot see that stock and debtors are swallowing cash; (iii) investors cannot see whether dividends are being paid from genuine operating cash or from selling the family silver (fixed assets) or from new loans; (iv) the P&L and Balance Sheet remain two unconnected photographs instead of a film of the year.

## Who uses it, and for what

### Users of the Cash Flow Statement

| User                    | What they look for                                                           | Why it matters                                                                                              |
|-------------------------|------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|
| Management              | Operating cash vs profit; working-capital squeeze; free cash after investing | Deciding credit policy, stock levels, capex, and whether a loan is needed.                                  |
| Lenders and bankers     | Cash from operations compared with interest and principal due                | A firm that borrows to pay interest is not the same as a firm that generates cash and then borrows to grow. |
| Investors and analysts  | Quality of earnings: is profit turning into cash?                            | Profit built on rising debtors is weaker than the same profit collected in cash.                            |
| Suppliers and employees | Ability to pay on time                                                       | Outstanding wages and creditors are paid in cash, not in profit.                                            |

| User                         | What they look for                     | Why it matters                                                               |
|------------------------------|----------------------------------------|------------------------------------------------------------------------------|
| Regulators / tax authorities | A complete set of financial statements | Listed and prescribed companies must present a CFS with the annual accounts. |

## Legal and accounting status in India (exam points)

- **AS-3 Cash Flow Statements** is the Accounting Standard for companies that are not on Ind AS. It requires a CFS classifying cash flows into operating, investing and financing, and permits both direct and indirect methods for operating cash (Indian MBA exams almost always want the *indirect* method).
- **Ind AS-7 Statement of Cash Flows** is the Ind-AS version (aligned with IAS-7). The three-activity structure is the same. The main exam-relevant difference is that Ind AS-7 *allows options* for classifying interest and dividend; AS-3 is stricter. For MBA we teach the **AS-3 classic classification** unless the question names Ind AS-7 and asks for the option.
- **Companies Act, 2013:** a Cash Flow Statement is part of the financial statements. It is **mandatory for companies other than One Person Companies, small companies and dormant companies** (they are exempt unless they choose to prepare it). **Listed companies** must prepare it (SEBI LODR + accounting standards). “Prescribed companies” in older exam language means companies that the Act / rules require to include a CFS.
- The CFS **complements** the P&L and the Balance Sheet. It does not replace either. Schedule III presentation still starts with the Balance Sheet and Statement of Profit and Loss; the CFS is the third primary statement.

### 12. EXAM-READY ANSWER

A Cash Flow Statement is needed because the Profit and Loss Account is prepared on the accrual basis and therefore profit is not equal to cash. The CFS reports inflows and outflows of cash and cash equivalents, classified into operating, investing and financing activities, as required by AS-3 (or Ind AS-7). It is useful to management for liquidity planning, to lenders for assessing debt-servicing capacity, and to investors for judging the quality of earnings. Under the Companies Act, 2013 it is mandatory for companies other than OPC, small companies and dormant companies; listed companies must prepare it. It complements the P&L and the Balance Sheet by reconciling the opening and closing cash balances.

### 9. HOW TO IDENTIFY THE QUESTION

If the question says “*Explain the need / importance / advantages of a Cash Flow Statement*” or “*Why is a CFS prepared?*” — write the theory answer above: profit  $\neq$  cash, three activities, users (management, lenders, investors), AS-3 / Ind AS-7, mandatory for listed and prescribed companies, complements P&L and BS. This is a 5–8 mark theory question. If it says “*Prepare a Cash Flow Statement*” / “*indirect method*” / “*AS-3*”, it is a practical question — go to the format and the workings, not the theory.

## Meaning of cash and cash equivalents

### 1. WHAT IS IT? — DEFINITION

**Cash** comprises cash on hand and demand deposits with banks (cash at bank). **Cash equivalents** are short-term, highly liquid investments that are readily convertible into known amounts of cash and that are subject to an insignificant risk of changes in value. AS-3 says an investment normally qualifies only when it has a **short maturity of, say, three months or less from the date of acquisition**.

### 2. IN SIMPLE WORDS

Cash equivalents are not “investments” in the ordinary sense. They are parking places for spare money that you can turn back into cash almost at once, without worrying that the price moved. A 60-day Treasury bill bought two months ago is a cash equivalent. Shares of Infosys, even if you plan to sell them tomorrow, are *not* — equity shares have price risk, so they are investing items, not cash.

### 3. WHY DO WE NEED IT?



The CFS tracks the movement of the firm's most liquid resources. If we counted only the notes in the till, a firm could "improve" its cash by shifting money into a 30-day deposit and the statement would show a fake outflow. Treating cash and cash equivalents as one pool stops that game. The last line of the CFS must equal cash + cash equivalents on the Balance Sheet.

#### 4. REAL-LIFE EXAMPLE

On 31 March a company holds: currency ₹20,000, current-account balance ₹1,80,000, a 91-day T-bill bought on 1 March (maturity 30 May) ₹50,000, and 1,000 equity shares bought as a temporary parking ₹3,00,000. Cash and cash equivalents = ₹20,000 + ₹1,80,000 + ₹50,000 = ₹2,50,000. The equity shares are *investments*, not cash equivalents, even though the treasurer thinks of them as spare money.

#### 5. ACCOUNTING LOGIC

"Known amount of cash" + "insignificant risk of value change" + "short maturity ( $\leq 3$  months from acquisition)" is a three-part test. Fail any one part and the item is an investment (investing activity), not cash. Equity shares fail the risk test. A two-year bond bought yesterday fails the maturity test. A six-month FD bought four months ago also fails (remaining life is short, but AS-3 looks at maturity *from the date of acquisition*, not remaining life).

#### What is (and is not) cash and cash equivalents

| Item                                                                                       | Cash / cash equivalent?   | Why                                                                                                                                                                                               |
|--------------------------------------------------------------------------------------------|---------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Cash in hand                                                                               | Yes — cash                | Notes and coins.                                                                                                                                                                                  |
| Bank current account (favourable balance)                                                  | Yes — cash                | Demand deposit.                                                                                                                                                                                   |
| Bank savings account                                                                       | Yes — cash                | Withdraw on demand.                                                                                                                                                                               |
| Short-term deposits / T-bills / commercial paper maturing $\leq 3$ months from acquisition | Yes — cash equivalent     | Highly liquid, known amount, insignificant value risk.                                                                                                                                            |
| Equity shares (even listed, even held for 2 days)                                          | No — investing item       | Price risk is not "insignificant". AS-3 specifically excludes equity investments.                                                                                                                 |
| Investments with original maturity of 6 months or 1 year                                   | No — investing item       | Maturity from acquisition exceeds about three months.                                                                                                                                             |
| Advance to a supplier / deposit with a landlord                                            | No                        | Not cash; not a short-term liquid investment. Working capital / other asset.                                                                                                                      |
| Bank overdraft repayable on demand                                                         | Exam: follow the question | AS-3: may be included as a cash equivalent (negative cash) if it is an integral part of cash management. Many MBA papers treat overdraft as a <b>financing</b> inflow/outflow. See the box below. |

#### WATCH OUT

**Bank overdraft — the exam trap.** AS-3 permits a bank overdraft repayable on demand to be treated as a *component of cash and cash equivalents* (so you net it against cash; the change in overdraft is not shown as financing). In practice, a large number of MBA and professional papers treat an increase in overdraft as a **financing inflow** and a decrease as a **financing outflow**, and they keep "cash" as the favourable bank balance only. **Rule for the exam: follow the question.** If the question shows overdraft separately from cash and does not say "cash and cash equivalents include overdraft", treat the movement in overdraft as financing. If it says "cash and cash equivalents" and the overdraft is listed under that head, net it. Never invent a treatment that contradicts the question's own figures.

#### 12. EXAM-READY ANSWER

Cash comprises cash on hand and demand deposits with banks. Cash equivalents are short-term, highly liquid investments that are readily convertible into known amounts of cash and that are subject to an insignificant risk of changes in value. An investment normally qualifies as a cash equivalent only when it has a short maturity of three months or less from the date of acquisition. Equity shares are not cash equivalents. Bank overdraft repayable on demand may be treated as a cash equivalent under AS-3 if it is an integral part of cash management; however, many examination problems treat overdraft as a financing activity, and that treatment should be followed when the question presents it that way.

## The three activities — the skeleton of every Cash Flow Statement

### 1. WHAT IS IT? — DEFINITION

AS-3 requires every cash flow to be classified into one of three activities. **Operating activities** are the principal revenue-producing activities of the enterprise and other activities that are not investing or financing. **Investing activities** are the acquisition and disposal of long-term assets and other investments not included in cash equivalents. **Financing activities** are activities that result in changes in the size and composition of the owners' capital and borrowings of the enterprise.

### 2. IN SIMPLE WORDS

**Operations = running the shop. Investing = buying and selling the shop's tools (and spare long-term money). Financing = talking to owners and lenders.** Every line you write on a CFS must sit in one of these three rooms. If you cannot decide which room, you have not yet understood the item.

### 3. WHY DO WE NEED IT?

Classification is the whole point. A firm that generates ₹1,00,00,000 from operations and spends it on a new plant is a different animal from a firm that generates ₹1,00,00,000 by issuing shares and using the money to cover an operating cash drain. The total change in cash can be identical. The story is not. Examiners award marks for putting the rupee in the correct activity, not merely for the final cash figure.

### 11. MEMORY TRICK

Shop / Tools / Owners-and-lenders. If cash moved because a customer, a supplier, an employee or the tax department was involved in day-to-day business → operating. If cash moved because a long-term asset or an investment was bought or sold, or because interest/dividend was *received* → investing (AS-3). If cash moved because shares, debentures or loans were issued or repaid, or because interest/dividend was *paid* → financing (AS-3).

## Operating activities

### 1. WHAT IS IT? — DEFINITION

Operating cash flows are the cash effects of transactions that determine net profit or loss, other than those that are classified as investing or financing. In the **indirect method**, we do not list cash from customers and cash to suppliers. We *start from profit* and adjust it until only operating cash remains.

### 2. IN SIMPLE WORDS

If you closed the shutters, stopped buying machines, and neither borrowed nor repaid anyone — the cash that would still move is operating cash. Customers pay you. You pay suppliers, staff, rent, power, and income tax. That is the shop running.

### 4. REAL-LIFE EXAMPLE

A restaurant's operating inflows: cash from diners, collections from credit-card companies. Operating outflows: vegetables, salaries, rent, gas, GST/income tax paid. Buying a new oven is *not* operating (investing). Taking a loan to buy the oven is *not* operating (financing). Paying the baker is operating.

### Operating activities — what belongs, and how the indirect method handles it

| Typical operating item                           | Inflow or outflow        | Indirect-method treatment                                                                          |
|--------------------------------------------------|--------------------------|----------------------------------------------------------------------------------------------------|
| Cash collected from customers                    | Inflow                   | Hidden inside profit; increase in debtors is deducted, decrease is added.                          |
| Cash paid to suppliers of goods / services       | Outflow                  | Hidden inside profit; increase in stock/prepaid deducted; increase in creditors/outstanding added. |
| Wages, salaries, rent, power paid                | Outflow                  | Already in profit; outstanding wages movement is a working-capital adjustment.                     |
| Income tax paid                                  | Outflow                  | Shown separately after "cash generated from operations", not left inside profit.                   |
| Depreciation, amortisation, written-off expenses | No cash                  | Added back to profit (non-cash).                                                                   |
| Interest paid / dividend paid                    | Not operating under AS-3 | Added back if they reduced profit, then shown as <i>financing</i> outflows.                        |
| Interest received / dividend received            | Not operating under AS-3 | Deducted if they increased profit, then shown as <i>investing</i> inflows.                         |

## Investing activities

### 1. WHAT IS IT? — DEFINITION

Investing activities are the acquisition and disposal of long-term assets and of other investments not included in cash equivalents. They show how much cash was used to obtain resources that will generate future income and cash flows — and how much cash came back when those resources were sold.

### 2. IN SIMPLE WORDS

Buying or selling the things the business *keeps* (plant, buildings, patents, shares of other companies, long-term deposits) is investing. The cash that changes hands is the **actual sale proceeds or the actual purchase price**, not the book value, not the profit or loss on sale. Profit or loss on sale is only a P&L figure; we remove it from operating and put the real cash in investing.

### 4. REAL-LIFE EXAMPLE

A factory sells an old lathe. Cost ₹80,000, accumulated depreciation ₹50,000, book value ₹30,000, sold for ₹35,000 cash. Investing inflow is ₹35,000 — the proceeds — not ₹30,000 and not the profit of ₹5,000. The ₹5,000 profit is deducted from operating profit so it is not counted twice.

### Investing activities — AS-3 list you must memorise

| Typical investing item (AS-3)                         | Inflow or outflow | Notes                                                                               |
|-------------------------------------------------------|-------------------|-------------------------------------------------------------------------------------|
| Purchase of property, plant, equipment, intangibles   | Outflow           | Cash portion only. If bought by issuing shares, that portion is non-cash — exclude. |
| Sale proceeds of PPE / intangibles                    | Inflow            | Gross proceeds, not book value.                                                     |
| Purchase of investments (other than cash equivalents) | Outflow           | Shares, bonds, mutual funds, long-term deposits.                                    |
| Sale proceeds of such investments                     | Inflow            | Gross proceeds.                                                                     |
| Loans and advances given to third parties             | Outflow           | AS-3: investing. Repayment received = investing inflow.                             |

| Typical investing item (AS-3) | Inflow or outflow | Notes                                                                   |
|-------------------------------|-------------------|-------------------------------------------------------------------------|
| Interest received             | Inflow            | AS-3 classic: investing. Deduct from operating if it was inside profit. |
| Dividend received             | Inflow            | AS-3 classic: investing. Deduct from operating if it was inside profit. |
| Capital work-in-progress paid | Outflow           | Same family as purchase of PPE.                                         |

## Financing activities

### 1. WHAT IS IT? — DEFINITION

Financing activities are those that result in changes in the size and composition of the owners' capital (equity, including preference share capital) and borrowings of the enterprise. They answer: how did the firm raise cash from owners and lenders, and how did it return cash to them?

### 2. IN SIMPLE WORDS

If the other party to the cash movement is an *owner* (shareholder) or a *lender* (bank, debenture-holder), it is financing — with the AS-3 twist that **interest paid and dividend paid** are also financing, even though interest was an expense in the P&L.

### 4. REAL-LIFE EXAMPLE

A company issues 10,000 equity shares of ₹10 at a premium of ₹5. Cash received =  $10,000 \times ₹15 = ₹1,50,000$ . The whole ₹1,50,000 is a financing inflow (share capital ₹1,00,000 + securities premium ₹50,000). The split between capital and premium matters for the Balance Sheet; for the CFS it is one cash inflow: proceeds from issue of shares.

## Financing activities — AS-3 list you must memorise

| Typical financing item (AS-3)                                                       | Inflow or outflow  | Notes                                                                    |
|-------------------------------------------------------------------------------------|--------------------|--------------------------------------------------------------------------|
| Proceeds from issue of equity / preference shares (for cash)                        | Inflow             | Include securities premium received in cash.                             |
| Proceeds from issue of debentures / bonds                                           | Inflow             | Cash actually received (after discount, if issued at discount for cash). |
| Long-term or short-term loans taken                                                 | Inflow             | Bank term loan, deposits accepted, etc.                                  |
| Repayment of loans / redemption of debentures / preference shares                   | Outflow            | Cash actually paid. Premium on redemption is part of the outflow.        |
| Buy-back of shares                                                                  | Outflow            | Financing.                                                               |
| Interest paid                                                                       | Outflow            | AS-3: financing. Add back in operating if it reduced profit.             |
| Dividend paid (equity or preference)                                                | Outflow            | AS-3: financing. Dividend is appropriation, not operating.               |
| Bonus issue / conversion of debentures into shares / asset bought by issuing shares | Neither — non-cash | Disclose in a note. Do not put a figure in A, B or C.                    |

## AS-3 classic classification of interest and dividend (memorise this)

### FORMULA

**AS-3: Interest received = Investing inflow | Dividend received = Investing inflow | Interest paid = Financing outflow | Dividend paid = Financing outflow**

This is the default for MBA exams unless the question names Ind AS-7 and asks you to use an option.

**Ind AS-7 options** (know that they exist; do not use them unless asked): interest paid and interest/dividend received may be classified as *operating* or as financing/investing respectively; dividend paid may be classified as *operating* or *financing*. Once chosen, the policy must be consistent. For this chapter and for almost every MBA problem, **use the AS-3 classic four-line rule above**.

#### EXAM TIP

The examiner's favourite trick is to leave interest paid inside profit and then also forget it in financing — or the reverse, to show it in financing without adding it back in operating. Both errors understate or overstate total cash by the interest figure. The pair is compulsory: **add back interest expense in operating, then show interest paid as a financing outflow**. Same pairing for interest/dividend *income*: deduct in operating, show as investing inflow.

#### 9. HOW TO IDENTIFY THE QUESTION

If the question says “*classify the following into operating, investing and financing*”, write three headings and drop each item in the correct bucket using the AS-3 lists above. If it says “*interest received*” without naming Ind AS-7, it is investing. If it says “*dividend paid*”, it is financing. If it says “*purchase of machinery by issue of shares*”, write **non-cash investing and financing transaction — disclosed in a note, not in the CFS body**.

## Indirect method — the format you must memorise

#### 1. WHAT IS IT? — DEFINITION

Under the **indirect method**, net cash from operating activities is obtained by *adjusting net profit before tax* for non-cash items, unpaid/unearned items, non-operating items that belong in investing or financing, and changes in working capital, and then deducting income tax paid. Investing and financing sections then list the actual cash receipts and payments of those activities. Direct method (cash from customers, cash to suppliers) exists in AS-3 but is **not** the method this syllabus asks you to prepare.

#### 2. IN SIMPLE WORDS

Indirect means: do not start from the cash book. Start from the profit you already computed. Then repair that profit until it becomes operating cash. It is called “indirect” because cash from customers is never shown as a line; it is buried inside “profit ± adjustments”.

#### 3. WHY DO WE NEED IT?

Indian companies almost always publish the indirect method. MBA exams give you a P&L (or two Balance Sheets from which you reconstruct profit) plus additional information. That data set is designed for the indirect format. Learn one format, in this order, and never shuffle the blocks.

#### 6. FORMAT — CASH FLOW STATEMENT (INDIRECT METHOD) AS PER AS-3

**Memorise this skeleton. Every practical question is this skeleton with numbers.**

| Particulars                                       | ₹     |
|---------------------------------------------------|-------|
| <b>A. Cash flows from operating activities</b>    |       |
| Net profit before tax                             | xxx   |
| Adjustments for:                                  |       |
| Add: Depreciation / amortisation                  | xxx   |
| Add: Loss on sale of fixed asset / investments    | xxx   |
| Less: Profit on sale of fixed asset / investments | (xxx) |
| Add: Interest expense (to move it to financing)   | xxx   |
| Less: Interest income (to move it to investing)   | (xxx) |
| Less: Dividend income (to move it to investing)   | (xxx) |

| Particulars                                                                                 | ₹          |
|---------------------------------------------------------------------------------------------|------------|
| Add: Other non-cash expenses (goodwill written off, preliminary expenses written off, etc.) | xxx        |
| <i>Operating profit before working capital changes</i>                                      | xxx        |
| Adjustments for working capital:                                                            |            |
| Add: Decrease in current assets (except cash and cash equivalents)                          | xxx        |
| Less: Increase in current assets (except cash and cash equivalents)                         | (xxx)      |
| Add: Increase in current liabilities (except bank overdraft if treated as financing)        | xxx        |
| Less: Decrease in current liabilities                                                       | (xxx)      |
| <i>Cash generated from operations</i>                                                       | xxx        |
| Less: Income tax paid                                                                       | (xxx)      |
| <b>Net cash from (used in) operating activities (A)</b>                                     | <b>xxx</b> |
| <b>B. Cash flows from investing activities</b>                                              |            |
| Purchase of PPE / investments                                                               | (xxx)      |
| Sale proceeds of PPE / investments                                                          | xxx        |
| Interest received                                                                           | xxx        |
| Dividend received                                                                           | xxx        |
| <b>Net cash from (used in) investing activities (B)</b>                                     | <b>xxx</b> |
| <b>C. Cash flows from financing activities</b>                                              |            |
| Proceeds from issue of shares / debentures / loans                                          | xxx        |
| Repayment of loans / redemption of debentures                                               | (xxx)      |
| Interest paid                                                                               | (xxx)      |
| Dividend paid                                                                               | (xxx)      |
| <b>Net cash from (used in) financing activities (C)</b>                                     | <b>xxx</b> |
| <b>Net increase / (decrease) in cash and cash equivalents (A + B + C)</b>                   | <b>xxx</b> |
| Add: Opening cash and cash equivalents                                                      | xxx        |
| <b>Closing cash and cash equivalents (must equal the Balance Sheet)</b>                     | <b>xxx</b> |

## 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Read the question and mark three things: the two cash figures (opening and closing), the profit figure (or the two P&L surplus balances from which you will reconstruct profit), and the additional information (depreciation, sales of assets, tax, dividend, interest).
2. Reconstruct **Net profit before tax** if it is not given: Closing P&L surplus – Opening P&L surplus + dividend paid (and/or current proposed dividend if appropriated) + transfer to reserves + bonus issue from P&L = Profit after tax. Then PAT + current tax charge = PBT. (Full working is later in this chapter.)
3. Start the operating section with that PBT. Add back every non-cash expense (depreciation, amortisation, written-off items, loss on sale). Deduct every non-cash / non-operating income (profit on sale, interest income, dividend income). Add back interest expense.
4. You now have operating profit before working capital changes. For every current asset except cash: increase → deduct, decrease → add. For every current liability except items you are treating as financing (often bank overdraft) and except provision for tax / proposed dividend (those have their own workings): increase → add, decrease → deduct.
5. This gives cash generated from operations. Deduct income tax *paid* (not the P&L tax charge). Result is **(A)**.
6. Build investing (B): actual cash paid for PPE and investments, actual sale proceeds, interest received, dividend received. Derive missing purchase / sale figures from Plant A/c and Accumulated Depreciation A/c.

7. Build financing (C): cash proceeds of issues and loans, cash repayments, interest paid, dividend paid. Ignore bonus issues and conversions.
8. Compute  $A + B + C$ . Add opening cash and cash equivalents. The total **must** equal closing cash and cash equivalents on the Balance Sheet. If it does not, a working is wrong — find it before you move on. This equality is the only full-statement check the examiner has, and it is the only full-statement check you have.

#### KEY POINT

The last three lines are not decoration.  **$A + B + C + \text{Opening cash} = \text{Closing cash}$** . If you cannot make this identity true, you have not finished the question. Do not “plug” the difference into some random line. Go back to plant, tax, dividend and working capital — that is where almost every missing rupee hides.

## Every common item — added, deducted, included or excluded

Treat this table as a drill sheet. For each item, four questions: Do I touch operating profit? Do I put a cash line in investing or financing? Is it a working-capital movement? Or is it non-cash and therefore excluded from the body of the CFS? Learn the *why* column; the rest follows.

### Master treatment table — pin this beside every practical question

| Item                                                      | Added / Deducted / Included / Excluded                                              | Which activity                                        | Why                                                                                                                                                                                           |
|-----------------------------------------------------------|-------------------------------------------------------------------------------------|-------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Depreciation                                              | Added back to profit                                                                | Operating (adjustment only — no cash line)            | It reduced profit but no cash left the bank. Adding it back undoes the deduction.                                                                                                             |
| Amortisation of intangibles / patents / computer software | Added back to profit                                                                | Operating (adjustment)                                | Same logic as depreciation: non-cash expense.                                                                                                                                                 |
| Profit on sale of fixed asset                             | Deducted from profit; sale proceeds included in investing                           | Operating (deduct) + Investing (inflow = proceeds)    | The profit is inside PBT but the cash is the full sale proceeds, which is an investing inflow. If you do not deduct the profit, you count it twice (once in operating, once inside proceeds). |
| Loss on sale of fixed asset                               | Added back to profit; sale proceeds included in investing                           | Operating (add) + Investing (inflow = proceeds)       | The loss reduced profit without being a cash outflow. Adding it back, then showing actual proceeds in investing, puts the true cash in the right place.                                       |
| Goodwill written off                                      | Added back to profit                                                                | Operating (adjustment)                                | Non-cash expense (or appropriation treated as non-cash). No cash moved.                                                                                                                       |
| Preliminary expenses written off                          | Added back to profit                                                                | Operating (adjustment)                                | Non-cash write-off of a deferred expense. Cash was spent in an earlier year.                                                                                                                  |
| Discount on issue of debentures written off               | Added back to profit                                                                | Operating (adjustment)                                | Non-cash. The related cash (issue proceeds, redemption) sits in financing.                                                                                                                    |
| Interest paid (interest expense)                          | Added back to profit; then shown as a cash outflow                                  | Operating (add back) + Financing (outflow) under AS-3 | It reduced PBT but it is not an operating cash flow under AS-3. Pair the two entries or you drop the cash once.                                                                               |
| Interest received (interest income)                       | Deducted from profit; then shown as a cash inflow                                   | Operating (deduct) + Investing (inflow) under AS-3    | It increased PBT but AS-3 classifies the cash as investing. Pair the two entries.                                                                                                             |
| Dividend paid                                             | Not an expense (appropriation). Do not add/deduct in operating. Show the cash paid. | Financing outflow under AS-3                          | Dividend never sits inside PBT. Find the cash paid from proposed-dividend workings or from additional information.                                                                            |
| Dividend received                                         | Deducted from profit if included in PBT; then shown as a cash inflow                | Operating (deduct) + Investing (inflow)               | Same pairing as interest received.                                                                                                                                                            |

| Item                                                          | Added / Deducted / Included / Excluded                                                                                                | Which activity                                                 | Why                                                                                                                                                                                                                      |
|---------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                               |                                                                                                                                       | under AS-3                                                     |                                                                                                                                                                                                                          |
| Issue of shares for cash (including premium received in cash) | Included as a cash inflow (the actual proceeds)                                                                                       | Financing inflow                                               | Owners put cash in. Bonus issue is a different item — see below.                                                                                                                                                         |
| Bonus issue                                                   | <b>Excluded — non-cash</b>                                                                                                            | None in the CFS body. Disclose in a note if asked.             | Reserves (or P&L) are converted into share capital. No cash moves. If bonus was charged to P&L surplus, add it back when reconstructing PAT, then ignore it in A, B and C.                                               |
| Conversion of debentures into shares                          | <b>Excluded — non-cash</b>                                                                                                            | None in the CFS body. Disclose in a note.                      | Liability becomes equity. No cash. When reconciling debentures and share capital, strip this amount out of “cash proceeds” and “cash redemption”.                                                                        |
| Purchase of asset by issuing shares (or debentures)           | <b>Excluded — non-cash</b> (cash portion, if any, is investing)                                                                       | Note. Cash paid, if mixed consideration, is investing outflow. | AS-3: non-cash investing and financing transactions are disclosed in a note, not in the statement.                                                                                                                       |
| Increase in debtors (trade receivables)                       | Deducted in working capital                                                                                                           | Operating                                                      | Sales were counted in profit but the cash has not arrived. Cash is locked in debtors.                                                                                                                                    |
| Decrease in debtors                                           | Added in working capital                                                                                                              | Operating                                                      | Old credit sales have been collected. Extra cash came in, over and above this year's sales.                                                                                                                              |
| Increase in stock (inventory)                                 | Deducted in working capital                                                                                                           | Operating                                                      | Cash (or credit that will become cash) was used to buy goods that are still unsold. Cash is locked in the godown.                                                                                                        |
| Decrease in stock                                             | Added in working capital                                                                                                              | Operating                                                      | Stock sold (its cost is in P&L as COGS) was bought in an earlier period. You get the cash effect of running down the godown.                                                                                             |
| Decrease in creditors (trade payables)                        | Deducted in working capital                                                                                                           | Operating                                                      | You paid old dues. Extra cash left, over and above this year's purchases.                                                                                                                                                |
| Increase in creditors                                         | Added in working capital                                                                                                              | Operating                                                      | Purchases were counted in profit/COGS but not fully paid. Cash was retained.                                                                                                                                             |
| Prepaid expenses (increase)                                   | Deducted (increase in current asset)                                                                                                  | Operating                                                      | You paid this year for an expense that belongs to next year. Extra cash left.                                                                                                                                            |
| Prepaid expenses (decrease)                                   | Added (decrease in current asset)                                                                                                     | Operating                                                      | This year's P&L expense includes a prepayment made last year. Cash did not leave this year for that portion.                                                                                                             |
| Outstanding expenses (increase)                               | Added (increase in current liability)                                                                                                 | Operating                                                      | Expense is in the P&L but unpaid. Cash still in the bank.                                                                                                                                                                |
| Outstanding expenses (decrease)                               | Deducted (decrease in current liability)                                                                                              | Operating                                                      | You paid last year's outstanding plus this year's. Extra cash left.                                                                                                                                                      |
| Provision for tax (the P&L charge)                            | Do not treat as a working-capital item. Start from PBT so the charge is not inside the starting profit. Then deduct <i>tax paid</i> . | Operating — the cash line is “Income tax paid”                 | Tax paid = Opening provision + Current tax charge – Closing provision. Using the closing provision as if it were tax paid is a classic error.                                                                            |
| Proposed dividend                                             | Not a working-capital item in the operating section. The cash line is dividend paid, in financing.                                    | Financing outflow = dividend paid                              | Dividend paid = Opening proposed + Interim dividend + Current proposed – Closing proposed (when proposed is shown as a liability on both Balance Sheets). If the question simply gives “dividend paid”, use that figure. |



| Item                         | Added / Deducted / Included / Excluded                                                                                                                               | Which activity                             | Why                                                                                                                                                                                                                                   |
|------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Provision for doubtful debts | Use <b>net debtors as per the Balance Sheet</b> . Do not add the provision back as a separate non-cash item, and do not treat the provision as a separate liability. | Operating, via the movement in net debtors | If net debtors fall because the provision rose, that decrease is added in WC and it automatically corrects the non-cash charge that reduced profit. One consistent method: always take current assets as they appear on the BS (net). |
| Purchase of fixed assets     | Included as an investing outflow (cash paid)                                                                                                                         | Investing                                  | Derive: Opening FA at cost + Purchases – Cost of assets sold = Closing FA at cost. Purchases = Closing cost – Opening cost + Cost sold. Only the cash portion is an outflow.                                                          |
| Sale of fixed assets         | Included as an investing inflow (sale proceeds)                                                                                                                      | Investing                                  | Proceeds = Book value + Profit – Loss. Book value = Cost of asset sold – Accumulated depreciation on it. Never use book value as the cash figure.                                                                                     |

Working-capital rule in one line: increase in current assets (except cash) → deduct; decrease in current assets → add; increase in current liabilities (except tax provision, proposed dividend, and overdraft-if-financing) → add; decrease in current liabilities → deduct.

#### FORMULA

**Working capital squeeze: CA ↑ = cash locked (deduct). CA ↓ = cash released (add). CL ↑ = cash retained (add). CL ↓ = cash paid out (deduct).**

Current assets here exclude cash and cash equivalents. Current liabilities here exclude items given their own cash line (tax paid, dividend paid) and exclude overdraft when you are treating overdraft as financing.

## Working notes the examiner expects — how to find the missing figures

A typical exam question does *not* give you profit before tax, tax paid, purchases of plant, sale proceeds and depreciation in a neat list. It gives two Balance Sheets and four or five lines of additional information. You have to **build T-accounts** (or equations) to find the missing numbers. These workings carry marks of their own. Show them. Do not hide them inside the CFS.

### Working 1 — Reconstruct profit before tax from P&L surplus

#### 6. FORMAT — PROFIT BEFORE TAX FROM TWO BALANCE SHEETS

Closing balance of Profit & Loss surplus (from BS)

Less: Opening balance of Profit & Loss surplus

= Increase in surplus during the year

Add: Dividend paid / proposed (if it was appropriated out of this year's profit)

Add: Transfer to general reserve / other reserves

Add: Bonus issue capitalised from P&L

= **Profit after tax (PAT)**

Add: Current year's tax charge (provision made this year)

= **Profit before tax (PBT)** — this is the first line of the CFS

If the question already gives “Net profit before tax”, skip this working and start the CFS with that figure. If it gives “Net profit” after tax, add the current tax charge to reach PBT. Always be sure whether the starting figure is before or after tax, and before or after interest. The standard format starts from **profit before tax, after interest** — which is why we then add interest back.

## Working 2 — Plant (fixed asset) at cost, and purchases

### FORMULA

**Opening plant at cost + Purchases – Cost of plant sold = Closing plant at cost**

Therefore Purchases = Closing cost – Opening cost + Cost of plant sold. If no sale is mentioned, Purchases = Closing – Opening (when the BS shows cost, not WDV).

Some Balance Sheets show plant at written-down value (after depreciation) with no separate accumulated-depreciation line. Then the equation is:

### FORMULA

**Opening WDV + Purchases – WDV of asset sold – Depreciation for the year = Closing WDV**

WDV of asset sold = Cost sold – Accumulated depreciation on sold, which equals Sale proceeds – Profit + Loss.

## Working 3 — Accumulated depreciation, and depreciation for the year

### FORMULA

**Opening accumulated depreciation + Depreciation charged this year – Accumulated depreciation on asset sold = Closing accumulated depreciation**

Therefore Depreciation for the year = Closing accum. dep. – Opening accum. dep. + Accum. dep. on asset sold.

## Working 4 — Sale proceeds of a fixed asset

### FORMULA

**Book value (WDV) of asset sold = Cost of asset sold – Accumulated depreciation on it**  
**Sale proceeds = Book value + Profit on sale – Loss on sale**

If the question gives proceeds, you can run the same equation backwards to find profit or loss, and then use that profit/loss in the operating adjustments.

### 5. ACCOUNTING LOGIC

Why we never put book value in the CFS: book value is not cash. The buyer pays the agreed price. That price is the investing inflow. The difference between price and book value is a non-cash gain or loss which we park as an operating adjustment so that it does not contaminate operating cash and is not double-counted.

## Working 5 — Tax paid

### FORMULA

**Opening provision for tax + Current year's tax charge – Closing provision for tax = Tax paid**

“Current year's tax charge” is the amount debited to P&L (the provision made this year). It is not the same as tax paid, and it is not the same as the closing provision.

If the question states “tax paid ₹...”, use that figure directly as the operating outflow and use the T-account only to find the current-year charge (which you need to reconstruct PBT). If there is advance tax or TDS, it is part of tax paid — do not show it twice.

## Working 6 — Dividend paid

### FORMULA

When proposed dividend is a Balance-Sheet liability in both years:

**Dividend paid = Opening proposed dividend + Interim dividend (if any) + Current proposed – Closing proposed**

Often there is no interim and current proposed is unpaid, so Dividend paid = Opening proposed dividend. If the question simply says “dividend paid ₹...”, use that. Do not deduct proposed dividend inside operating profit.

### WATCH OUT

Modern Company Law / revised AS-4 / Ind AS: proposed dividend is *not* a liability until it is declared. Many current Balance Sheets therefore do not show proposed dividend. In that case the question will give “dividend paid” in additional information, and P&L surplus is before that appropriation or the appropriation is already reflected — follow the numbers you are given. Older MBA textbooks still show proposed dividend as a current liability. Both presentations appear in papers. Read the BS.

## Working 7 — Interest paid / received

Interest on 10% debentures of ₹2,00,000 for a full year = ₹2,00,000 × 10/100 = ₹20,000. Always write the multiplication. If debentures were issued or redeemed *during* the year, the question will usually tell you the interest figure, or tell you the date so you can compute time-proportion. If it is silent, a reasonable exam assumption is: issued/redeemed at year-end, so interest is on the *opening* balance (for redemption) or on the *opening* balance only (for issue at year-end, new money carries no interest this year). State your assumption in a working note.

### EXAM TIP

Outstanding interest is a current liability. If interest *expense* is ₹20,000 and outstanding interest rose by ₹2,000, then interest *paid* = ₹20,000 – ₹2,000 = ₹18,000. Put ₹20,000 as the add-back (the P&L figure) and ₹18,000 as the financing outflow (the cash). Do not also count the outstanding-interest movement inside the general “outstanding expenses” line or you will double-count. Cleanest method: keep interest outstanding out of WC, and compute interest paid from the interest T-account.

## Provision for doubtful debts — one consistent method

Two methods exist in textbooks. Mixing them is how students lose marks. We use **one method only** in this chapter:

### KEY POINT

Take debtors *net of provision*, exactly as a typical Balance Sheet presents “Trade receivables”. Do not add back the provision charge as a separate non-cash item. Do not treat the provision as a separate current liability. The movement in net debtors already does the right job: a pure increase in the provision (gross debtors unchanged) reduces net debtors, which you add in working capital, which cancels the non-cash charge that reduced profit.

## Solved examples — Easy, then Moderate, then Exam-level

Three fully worked statements follow. Every arithmetic step is shown. After each, A + B + C is compared with the change in cash. That comparison is the proof that the statement is internally true. You should do the same on every exam script.

### SOLVED EXAMPLE 5.1 · EASY

#### Sneha Stores — first full CFS from a short list of facts

**Sneha Stores** provides the following information for the year ended 31 March 2026. Prepare a Cash Flow Statement by the indirect method.

- Net profit before tax: ₹1,00,000
- Depreciation: ₹20,000

- Tax paid during the year: ₹25,000
- Increase in stock: ₹10,000
- Increase in creditors: ₹8,000
- Purchase of furniture (cash): ₹40,000
- Loan taken: ₹30,000
- Opening cash and cash equivalents: ₹15,000

Closing cash is not given. You must find it. That is normal.

### Step 1 — Operating activities (A)

Start with profit before tax. Add back depreciation (non-cash). Then working capital: stock went up — cash locked — deduct. Creditors went up — cash retained — add. Then deduct tax paid.

Operating profit before working capital changes = ₹1,00,000 + ₹20,000 = ₹1,20,000.

After working capital = ₹1,20,000 – ₹10,000 + ₹8,000 = ₹1,18,000 (this is cash generated from operations).

Net cash from operating activities (A) = ₹1,18,000 – ₹25,000 = ₹93,000.

### Step 2 — Investing activities (B)

Only one item: furniture purchased for cash ₹40,000. Net cash from investing activities (B) = (₹40,000).

### Step 3 — Financing activities (C)

Only one item: loan taken ₹30,000. Net cash from financing activities (C) = ₹30,000.

### Step 4 — Net change and closing cash

A + B + C = ₹93,000 – ₹40,000 + ₹30,000.

₹93,000 – ₹40,000 = ₹53,000.

₹53,000 + ₹30,000 = ₹83,000 net increase in cash.

Closing cash = ₹15,000 + ₹83,000 = ₹98,000.

### Sneha Stores — Cash Flow Statement for the year ended 31 March 2026 (indirect method)

| Particulars                                     | ₹                |
|-------------------------------------------------|------------------|
| <b>Cash flows from operating activities</b>     |                  |
| Net profit before tax                           | ₹1,00,000        |
| Adjustments for:                                |                  |
| Depreciation                                    | ₹20,000          |
| Operating profit before working capital changes | ₹1,20,000        |
| Increase in stock                               | (₹10,000)        |
| Increase in creditors                           | ₹8,000           |
| Cash generated from operations                  | ₹1,18,000        |
| Income tax paid                                 | (₹25,000)        |
| <b>Net cash from operating activities (A)</b>   | <b>₹93,000</b>   |
| <b>Cash flows from investing activities</b>     |                  |
| Purchase of furniture                           | (₹40,000)        |
| <b>Net cash from investing activities (B)</b>   | <b>(₹40,000)</b> |
| <b>Cash flows from financing activities</b>     |                  |
| Loan taken                                      | ₹30,000          |
| <b>Net cash from financing activities (C)</b>   | <b>₹30,000</b>   |

| Particulars                                                  | ₹              |
|--------------------------------------------------------------|----------------|
| <b>Net increase in cash and cash equivalents (A + B + C)</b> | <b>₹83,000</b> |
| Opening cash and cash equivalents                            | ₹15,000        |
| <b>Closing cash and cash equivalents</b>                     | <b>₹98,000</b> |

Proof:  $93,000 - 40,000 + 30,000 = 83,000 = 98,000 - 15,000$ .

#### SOLVED EXAMPLE 5.2 · MODERATE

#### Ravi Traders Ltd. — two-year Balance Sheets, sale of plant, tax, dividend, interest

**Ravi Traders Ltd.** gives its summarised Balance Sheets and additional information. Prepare a Cash Flow Statement (indirect method) for the year ended 31 March 2026, with working notes.

#### Ravi Traders Ltd. — summarised Balance Sheets

| Particulars                    | 31 March 2025 ₹  | 31 March 2026 ₹  |
|--------------------------------|------------------|------------------|
| <b>Equity and liabilities</b>  |                  |                  |
| Equity share capital           | ₹2,00,000        | ₹2,40,000        |
| 10% Debentures                 | ₹80,000          | ₹1,00,000        |
| Profit & Loss A/c (surplus)    | ₹60,000          | ₹95,000          |
| Trade creditors                | ₹35,000          | ₹28,000          |
| Outstanding expenses           | ₹4,000           | ₹6,000           |
| Provision for tax              | ₹14,000          | ₹11,000          |
| <b>Total</b>                   | <b>₹3,93,000</b> | <b>₹4,80,000</b> |
| <b>Assets</b>                  |                  |                  |
| Plant at cost                  | ₹2,50,000        | ₹3,20,000        |
| Less: Accumulated depreciation | (₹50,000)        | (₹70,000)        |
| Plant (net)                    | ₹2,00,000        | ₹2,50,000        |
| Investments                    | ₹50,000          | ₹70,000          |
| Inventory                      | ₹60,000          | ₹75,000          |
| Trade debtors                  | ₹45,000          | ₹38,000          |
| Prepaid expenses               | ₹8,000           | ₹5,000           |
| Cash and cash equivalents      | ₹30,000          | ₹42,000          |
| <b>Total</b>                   | <b>₹3,93,000</b> | <b>₹4,80,000</b> |

#### Additional information

1. Plant costing ₹20,000 (accumulated depreciation on it ₹8,000) was sold for ₹15,000.
2. The rest of the movement in plant at cost is a cash purchase of plant.
3. Debentures of ₹20,000 were issued at par for cash at the end of the year.
4. Interest on debentures paid during the year ₹8,000 (computed as  $₹80,000 \times 10/100 = ₹8,000$ ; new debentures carry no interest this year).
5. Tax paid during the year ₹23,000.
6. Dividend paid during the year ₹15,000.
7. Equity shares were issued at par for cash. No bonus issue.

### Working note 1 — Plant at cost (purchases)

Opening plant at cost ₹2,50,000 + Purchases – Cost of plant sold ₹20,000 = Closing plant at cost ₹3,20,000.

Purchases = ₹3,20,000 – ₹2,50,000 + ₹20,000 = ₹70,000 + ₹20,000 = ₹90,000.

| Dr Plant A/c (at cost) Cr |           |                      |           |
|---------------------------|-----------|----------------------|-----------|
| Particulars               | ₹         | Particulars          | ₹         |
| To Balance b/d            | ₹2,50,000 | By Asset sold (cost) | ₹20,000   |
| To Bank (purchases)       | ₹90,000   | Balance c/d          | ₹3,20,000 |

### Working note 2 — Accumulated depreciation (depreciation for the year)

Opening accum. dep. ₹50,000 + Depreciation for the year – Accum. dep. on asset sold ₹8,000 = Closing accum. dep. ₹70,000.

Depreciation for the year = ₹70,000 – ₹50,000 + ₹8,000 = ₹20,000 + ₹8,000 = ₹28,000.

| Dr Accumulated Depreciation A/c Cr |         |                         |         |
|------------------------------------|---------|-------------------------|---------|
| Particulars                        | ₹       | Particulars             | ₹       |
| To Asset sold                      | ₹8,000  | By Balance b/d          | ₹50,000 |
| Balance c/d                        | ₹70,000 | By Profit & Loss (dep.) | ₹28,000 |

### Working note 3 — Profit / loss on sale of plant, and sale proceeds

Book value of plant sold = Cost ₹20,000 – Accum. dep. ₹8,000 = ₹12,000.

Sold for ₹15,000. Profit on sale = ₹15,000 – ₹12,000 = ₹3,000.

Investing inflow = sale proceeds ₹15,000 (not the book value, not the profit).

### Working note 4 — Provision for tax (current tax charge)

Opening provision ₹14,000 + Current tax charge – Tax paid ₹23,000 = Closing provision ₹11,000.

Current tax charge = ₹11,000 – ₹14,000 + ₹23,000 = ₹20,000.

Check: ₹14,000 + ₹20,000 – ₹23,000 = ₹11,000. Yes.

| Dr Provision for Tax A/c Cr |         |                                |         |
|-----------------------------|---------|--------------------------------|---------|
| Particulars                 | ₹       | Particulars                    | ₹       |
| To Bank (tax paid)          | ₹23,000 | By Balance b/d                 | ₹14,000 |
| Balance c/d                 | ₹11,000 | By Profit & Loss (current tax) | ₹20,000 |

### Working note 5 — Profit before tax

Increase in P&L surplus = ₹95,000 – ₹60,000 = ₹35,000.

This increase is after dividend of ₹15,000 was paid (appropriated). So PAT = ₹35,000 + ₹15,000 = ₹50,000.

PBT = PAT + current tax charge = ₹50,000 + ₹20,000 = ₹70,000.

This ₹70,000 is after charging depreciation ₹28,000, after including profit on sale ₹3,000, and after charging interest ₹8,000. Those three will be adjusted in operating.

### Working note 6 — Other movements (read off the two Balance Sheets)

- Equity share capital issued for cash = ₹2,40,000 – ₹2,00,000 = ₹40,000.
- Debentures issued for cash = ₹1,00,000 – ₹80,000 = ₹20,000 (matches additional info).
- Investments purchased = ₹70,000 – ₹50,000 = ₹20,000 (cash; investing outflow).
- Inventory increased = ₹75,000 – ₹60,000 = ₹15,000 (deduct).

- Debtors decreased = ₹45,000 – ₹38,000 = ₹7,000 (add).
- Prepaid expenses decreased = ₹8,000 – ₹5,000 = ₹3,000 (add).
- Creditors decreased = ₹35,000 – ₹28,000 = ₹7,000 (deduct).
- Outstanding expenses increased = ₹6,000 – ₹4,000 = ₹2,000 (add).

### Cash Flow Statement

Operating profit before WC = PBT ₹70,000 + Dep ₹28,000 – Profit on sale ₹3,000 + Interest expense ₹8,000.

₹70,000 + ₹28,000 = ₹98,000.

₹98,000 – ₹3,000 = ₹95,000.

₹95,000 + ₹8,000 = ₹1,03,000.

Working capital adjustments:

₹1,03,000 – inventory ₹15,000 = ₹88,000.

₹88,000 + debtors ₹7,000 = ₹95,000.

₹95,000 + prepaid ₹3,000 = ₹98,000.

₹98,000 – creditors ₹7,000 = ₹91,000.

₹91,000 + outstanding ₹2,000 = ₹93,000 cash generated from operations.

Tax paid ₹23,000. Net operating (A) = ₹93,000 – ₹23,000 = ₹70,000.

Investing (B) = – plant purchased ₹90,000 + sale proceeds ₹15,000 – investments ₹20,000 = –₹90,000 + ₹15,000 = –₹75,000; – ₹75,000 – ₹20,000 = –₹95,000.

Financing (C) = share issue ₹40,000 + debenture issue ₹20,000 – interest paid ₹8,000 – dividend paid ₹15,000.

₹40,000 + ₹20,000 = ₹60,000.

₹60,000 – ₹8,000 = ₹52,000.

₹52,000 – ₹15,000 = ₹37,000.

A + B + C = ₹70,000 – ₹95,000 + ₹37,000.

₹70,000 – ₹95,000 = –₹25,000; –₹25,000 + ₹37,000 = ₹12,000.

Opening cash ₹30,000 + ₹12,000 = ₹42,000 closing cash, which matches the Balance Sheet.

### Ravi Traders Ltd. — Cash Flow Statement for the year ended 31 March 2026 (indirect method, AS-3)

| Particulars                                     | ₹         |
|-------------------------------------------------|-----------|
| <b>Cash flows from operating activities</b>     |           |
| Net profit before tax                           | ₹70,000   |
| Adjustments for:                                |           |
| Depreciation                                    | ₹28,000   |
| Profit on sale of plant                         | (₹3,000)  |
| Interest expense                                | ₹8,000    |
| Operating profit before working capital changes | ₹1,03,000 |
| Increase in inventory                           | (₹15,000) |
| Decrease in debtors                             | ₹7,000    |
| Decrease in prepaid expenses                    | ₹3,000    |
| Decrease in creditors                           | (₹7,000)  |
| Increase in outstanding expenses                | ₹2,000    |

| Particulars                                                  | ₹                |
|--------------------------------------------------------------|------------------|
| Cash generated from operations                               | ₹93,000          |
| Income tax paid                                              | (₹23,000)        |
| <b>Net cash from operating activities (A)</b>                | <b>₹70,000</b>   |
| <b>Cash flows from investing activities</b>                  |                  |
| Purchase of plant                                            | (₹90,000)        |
| Sale proceeds of plant                                       | ₹15,000          |
| Purchase of investments                                      | (₹20,000)        |
| <b>Net cash from investing activities (B)</b>                | <b>(₹95,000)</b> |
| <b>Cash flows from financing activities</b>                  |                  |
| Proceeds from issue of equity shares                         | ₹40,000          |
| Proceeds from issue of 10% debentures                        | ₹20,000          |
| Interest paid                                                | (₹8,000)         |
| Dividend paid                                                | (₹15,000)        |
| <b>Net cash from financing activities (C)</b>                | <b>₹37,000</b>   |
| <b>Net increase in cash and cash equivalents (A + B + C)</b> | <b>₹12,000</b>   |
| Opening cash and cash equivalents                            | ₹30,000          |
| <b>Closing cash and cash equivalents</b>                     | <b>₹42,000</b>   |

Proof:  $A + B + C = 70,000 - 95,000 + 37,000 = 12,000 = \text{closing cash } 42,000 - \text{opening cash } 30,000$ .

#### SOLVED EXAMPLE 5.3 · EXAM-LEVEL

#### Kaveri Appliances Ltd. — full two-year BS, sale of plant at a loss, redemption, interest received and paid

**Kaveri Appliances Ltd.** You are given summarised Balance Sheets and additional information. Prepare a complete Cash Flow Statement by the indirect method as per AS-3, with working notes for plant, accumulated depreciation, tax, dividend and interest.

#### Kaveri Appliances Ltd. — summarised Balance Sheets

| Particulars                                     | 31 March 2025 ₹  | 31 March 2026 ₹   |
|-------------------------------------------------|------------------|-------------------|
| <b>Equity and liabilities</b>                   |                  |                   |
| Equity share capital                            | ₹4,00,000        | ₹5,00,000         |
| 10% Debentures                                  | ₹2,00,000        | ₹1,50,000         |
| Profit & Loss surplus                           | ₹1,40,000        | ₹2,10,000         |
| Trade creditors                                 | ₹90,000          | ₹1,10,000         |
| Outstanding expenses                            | ₹12,000          | ₹8,000            |
| Provision for tax                               | ₹40,000          | ₹50,000           |
| <b>Total</b>                                    | <b>₹8,82,000</b> | <b>₹10,28,000</b> |
| <b>Assets</b>                                   |                  |                   |
| Plant at cost                                   | ₹6,00,000        | ₹7,20,000         |
| Less: Accumulated depreciation                  | (₹1,20,000)      | (₹1,50,000)       |
| Plant (net)                                     | ₹4,80,000        | ₹5,70,000         |
| Investments (includes 8% government securities) | ₹80,000          | ₹1,20,000         |



| Particulars               | 31 March 2025 ₹  | 31 March 2026 ₹   |
|---------------------------|------------------|-------------------|
| Inventory                 | ₹1,50,000        | ₹1,35,000         |
| Trade debtors             | ₹1,00,000        | ₹1,25,000         |
| Prepaid expenses          | ₹15,000          | ₹10,000           |
| Cash and cash equivalents | ₹57,000          | ₹68,000           |
| <b>Total</b>              | <b>₹8,82,000</b> | <b>₹10,28,000</b> |

#### Additional information

1. Plant costing ₹80,000, on which accumulated depreciation was ₹30,000, was sold for ₹42,000 cash.
2. The remaining increase in plant at cost is a cash purchase.
3. Debentures of ₹50,000 were redeemed at par at the *end* of the year.
4. Equity shares of ₹1,00,000 were issued at par for cash. There was no bonus issue and no conversion.
5. Tax paid during the year ₹45,000.
6. Dividend paid during the year ₹40,000.
7. Interest on 10% debentures paid ₹20,000 ( $= ₹2,00,000 \times 10/100 = ₹20,000$ ; redemption at year-end, so interest is on opening debentures).
8. Interest received on 8% government securities ₹6,400 ( $= ₹80,000 \times 8/100 = ₹6,400$ ; the additional investments were purchased at the end of the year, so they earned nothing this year). This interest is included in profit.

#### Working note 1 — Plant A/c (purchases)

Opening cost ₹6,00,000 + Purchases – Cost sold ₹80,000 = Closing cost ₹7,20,000.

Purchases = ₹7,20,000 – ₹6,00,000 + ₹80,000 = ₹1,20,000 + ₹80,000 = ₹2,00,000.

| Dr Plant A/c (at cost) Cr |           |                      |                  |
|---------------------------|-----------|----------------------|------------------|
| Particulars               | ₹         | Particulars          | ₹                |
| To Balance b/d            | ₹6,00,000 | By Asset sold (cost) | ₹80,000          |
| To Bank (purchases)       | ₹2,00,000 | <b>Balance c/d</b>   | <b>₹7,20,000</b> |

#### Working note 2 — Accumulated Depreciation A/c

Opening ₹1,20,000 + Depreciation for the year – On asset sold ₹30,000 = Closing ₹1,50,000.

Depreciation for the year = ₹1,50,000 – ₹1,20,000 + ₹30,000 = ₹30,000 + ₹30,000 = ₹60,000.

| Dr Accumulated Depreciation A/c Cr |                  |                         |           |
|------------------------------------|------------------|-------------------------|-----------|
| Particulars                        | ₹                | Particulars             | ₹         |
| To Asset sold                      | ₹30,000          | By Balance b/d          | ₹1,20,000 |
| <b>Balance c/d</b>                 | <b>₹1,50,000</b> | By Profit & Loss (dep.) | ₹60,000   |

#### Working note 3 — Sale of plant (loss and proceeds)

Book value of plant sold = ₹80,000 – ₹30,000 = ₹50,000.

Sale proceeds given = ₹42,000.

Loss on sale = ₹50,000 – ₹42,000 = ₹8,000.

**Dr Asset Disposal / Sale of Plant A/c Cr**

| Particulars     | ₹       | Particulars                 | ₹       |
|-----------------|---------|-----------------------------|---------|
| To Plant (cost) | ₹80,000 | By Accumulated depreciation | ₹30,000 |
|                 |         | By Bank (sale proceeds)     | ₹42,000 |
|                 |         | By Profit & Loss (loss)     | ₹8,000  |

Check the credits: ₹30,000 + ₹42,000 + ₹8,000 = ₹80,000, which equals the debit. The account balances. Loss is ₹8,000; investing inflow is ₹42,000.

**Working note 4 — Provision for Tax A/c**

Opening ₹40,000 + Current tax charge – Tax paid ₹45,000 = Closing ₹50,000.

Current tax charge = ₹50,000 – ₹40,000 + ₹45,000 = ₹10,000 + ₹45,000 = ₹55,000.

Check: ₹40,000 + ₹55,000 – ₹45,000 = ₹50,000. Yes.

**Dr Provision for Tax A/c Cr**

| Particulars        | ₹              | Particulars                    | ₹       |
|--------------------|----------------|--------------------------------|---------|
| To Bank (tax paid) | ₹45,000        | By Balance b/d                 | ₹40,000 |
| <b>Balance c/d</b> | <b>₹50,000</b> | By Profit & Loss (current tax) | ₹55,000 |

**Working note 5 — Dividend and profit before tax**

Increase in P&L surplus = ₹2,10,000 – ₹1,40,000 = ₹70,000.

Dividend paid (given) ₹40,000 was appropriated out of profit, so PAT = ₹70,000 + ₹40,000 = ₹1,10,000.

PBT = PAT + current tax = ₹1,10,000 + ₹55,000 = ₹1,65,000.

This PBT already includes: depreciation ₹60,000 (charged), loss on sale ₹8,000 (charged), interest expense ₹20,000 (charged), interest income ₹6,400 (credited). All four will be adjusted.

**Working note 6 — Interest**

Interest paid (financing outflow) = ₹2,00,000 × 10/100 = ₹20,000. Add the same {rupee(20000)} back in operating.

Interest received (investing inflow) = ₹80,000 × 8/100 = ₹6,400. Deduct ₹6,400 in operating.

**Working note 7 — Share capital, debentures, investments, working capital**

- Shares issued for cash = ₹5,00,000 – ₹4,00,000 = ₹1,00,000.
- Debentures redeemed for cash = ₹2,00,000 – ₹1,50,000 = ₹50,000.
- Investments purchased for cash = ₹1,20,000 – ₹80,000 = ₹40,000.
- Inventory decreased = ₹1,50,000 – ₹1,35,000 = ₹15,000 (add).
- Debtors increased = ₹1,25,000 – ₹1,00,000 = ₹25,000 (deduct).
- Prepaid decreased = ₹15,000 – ₹10,000 = ₹5,000 (add).
- Creditors increased = ₹1,10,000 – ₹90,000 = ₹20,000 (add).
- Outstanding expenses decreased = ₹12,000 – ₹8,000 = ₹4,000 (deduct).

**Build operating profit before working capital changes**

PBT ₹1,65,000

+ Depreciation ₹60,000 → ₹1,65,000 + ₹60,000 = ₹2,25,000

+ Loss on sale ₹8,000 → ₹2,25,000 + ₹8,000 = ₹2,33,000

+ Interest expense ₹20,000 → ₹2,33,000 + ₹20,000 = ₹2,53,000

– Interest income ₹6,400 → ₹2,53,000 – ₹6,400 = ₹2,46,600

### Working capital, cash generated, tax, (A)

₹2,46,600 + decrease in inventory ₹15,000 = ₹2,61,600

₹2,61,600 – increase in debtors ₹25,000 = ₹2,36,600

₹2,36,600 + decrease in prepaid ₹5,000 = ₹2,41,600

₹2,41,600 + increase in creditors ₹20,000 = ₹2,61,600

₹2,61,600 – decrease in outstanding ₹4,000 = ₹2,57,600 cash generated from operations

– Tax paid ₹45,000 → Net cash from operating activities (A) = ₹2,57,600 – ₹45,000 = ₹2,12,600

### Investing (B)

Purchase of plant ₹2,00,000 (outflow)

Sale proceeds of plant ₹42,000 (inflow)

Purchase of investments ₹40,000 (outflow)

Interest received ₹6,400 (inflow)

B = –₹2,00,000 + ₹42,000 – ₹40,000 + ₹6,400

–₹2,00,000 + ₹42,000 = –₹1,58,000

–₹1,58,000 – ₹40,000 = –₹1,98,000

–₹1,98,000 + ₹6,400 = –₹1,91,600

### Financing (C)

Issue of shares ₹1,00,000 (inflow)

Redemption of debentures ₹50,000 (outflow)

Interest paid ₹20,000 (outflow)

Dividend paid ₹40,000 (outflow)

C = ₹1,00,000 – ₹50,000 – ₹20,000 – ₹40,000

₹1,00,000 – ₹50,000 = ₹50,000

₹50,000 – ₹20,000 = ₹30,000

₹30,000 – ₹40,000 = –₹10,000

### Net change

A + B + C = ₹2,12,600 + (₹1,91,600) + (₹10,000)

₹2,12,600 – ₹1,91,600 = ₹21,000

₹21,000 – ₹10,000 = ₹11,000 net increase in cash

Opening cash ₹57,000 + ₹11,000 = ₹68,000 closing cash — matches the Balance Sheet. The statement is complete and internally true.

### Kaveri Appliances Ltd. — Cash Flow Statement for the year ended 31 March 2026 (indirect method, AS-3)

| Particulars                                 | ₹         |
|---------------------------------------------|-----------|
| <b>Cash flows from operating activities</b> |           |
| Net profit before tax                       | ₹1,65,000 |
| Adjustments for:                            |           |
| Depreciation                                | ₹60,000   |

| Particulars                                                  | ₹                  |
|--------------------------------------------------------------|--------------------|
| Loss on sale of plant                                        | ₹8,000             |
| Interest expense                                             | ₹20,000            |
| Interest income                                              | (₹6,400)           |
| Operating profit before working capital changes              | ₹2,46,600          |
| Decrease in inventory                                        | ₹15,000            |
| Increase in debtors                                          | (₹25,000)          |
| Decrease in prepaid expenses                                 | ₹5,000             |
| Increase in creditors                                        | ₹20,000            |
| Decrease in outstanding expenses                             | (₹4,000)           |
| Cash generated from operations                               | ₹2,57,600          |
| Income tax paid                                              | (₹45,000)          |
| <b>Net cash from operating activities (A)</b>                | <b>₹2,12,600</b>   |
| <b>Cash flows from investing activities</b>                  |                    |
| Purchase of plant                                            | (₹2,00,000)        |
| Sale proceeds of plant                                       | ₹42,000            |
| Purchase of investments                                      | (₹40,000)          |
| Interest received                                            | ₹6,400             |
| <b>Net cash from investing activities (B)</b>                | <b>(₹1,91,600)</b> |
| <b>Cash flows from financing activities</b>                  |                    |
| Proceeds from issue of equity shares                         | ₹1,00,000          |
| Redemption of 10% debentures                                 | (₹50,000)          |
| Interest paid                                                | (₹20,000)          |
| Dividend paid                                                | (₹40,000)          |
| <b>Net cash from financing activities (C)</b>                | <b>(₹10,000)</b>   |
| <b>Net increase in cash and cash equivalents (A + B + C)</b> | <b>₹11,000</b>     |
| Opening cash and cash equivalents                            | ₹57,000            |
| <b>Closing cash and cash equivalents</b>                     | <b>₹68,000</b>     |

Proof:  $2,12,600 - 1,91,600 - 10,000 = 11,000 = 68,000 - 57,000$ . Plant, accum. dep., tax and P&L T-accounts all balance. Interest received  $80,000 \times 8/100 = 6,400$ ; interest paid  $2,00,000 \times 10/100 = 20,000$ .

## How to identify the question, the mistakes that cost marks, and what to remember

### 9. HOW TO IDENTIFY THE QUESTION

You are in this chapter when the question says any of: “Prepare a Cash Flow Statement”, “Cash Flow Statement as per AS-3”, “indirect method”, “from the following Balance Sheets prepare a CFS”, “classify the following into operating, investing and financing”, “need / importance of Cash Flow Statement”. Two-year Balance Sheets plus additional information about depreciation, sale of an asset, tax and dividend is the standard 15-mark practical. A short list of adjustments is the 8–10 mark practical. Theory on need, cash equivalents, or classification is 4–8 marks.

### 10. COMMON MISTAKES

- **Treating depreciation as a cash outflow.** Depreciation never leaves the bank. It is added back. Writing it as an investing or operating payment is a full-mark loss on that line.
- **Not deducting profit on sale (or not adding loss on sale) in operating.** Then showing the full sale proceeds in investing double-counts the gain (or understates cash by the loss). Always pair: adjust the P&L result of the sale in operating, put *proceeds* in investing.
- **Putting purchase of a fixed asset in operating** because “we paid cash to run the business”. Buying the shop’s tools is investing, not operating.
- **Treating a bonus issue as a financing inflow.** Bonus is non-cash. Same error: conversion of debentures into shares, or an asset bought by issuing shares. Exclude from A, B and C; disclose in a note.
- **Using the closing provision for tax as “tax paid”.** Tax paid = opening provision + current charge – closing provision. The closing provision is what is still unpaid.
- **Forgetting the interest pair.** Add back interest expense in operating, then show interest paid in financing. Doing only one of the two drops (or double-counts) cash by that amount. Same pairing for interest/dividend income with investing.
- **Calling “cash” only the notes in the till and forgetting cash at bank / cash equivalents.** The last line must equal the BS figure for cash and cash equivalents.
- **Squeezing provision for tax or proposed dividend through working capital** as if they were creditors. They have their own cash lines (tax paid, dividend paid). Putting them in both places is a double count.
- **Using book value as the sale proceeds.** Proceeds = WDV + profit – loss. Investing inflow is proceeds.
- **Taking the movement in plant at cost as the purchase, ignoring a sale.** Purchases = closing cost – opening cost + cost of assets sold. Ignoring the sale understates purchases and therefore understates the investing outflow.
- **Mixing gross debtors with a separate provision, and also adding the provision charge back.** Pick net debtors as per BS and stop. Do not also add back the provision.
- **Plugging the difference** so that closing cash magically appears. If A+B+C does not equal the change in cash, a working is wrong. Find it.

#### 11. MEMORY TRICK

Operations = running the shop; Investing = buying and selling the shop’s tools; Financing = talking to owners and lenders. Then the three repairs of the indirect method: **add back non-cash, undo non-operating, squeeze working capital**. CA up → cash down. CL up → cash up. Last line is a lock: A + B + C + opening cash = closing cash. AS-3 interest/dividend rhyme: *received* → *investing*; *paid* → *financing*.

## Practice — two full questions, with solutions

Attempt each question on paper first. Prepare working notes. Do not look at the solution until A + B + C equals the change in cash — or until you are stuck. The solutions show every multiplication.

#### PRACTICE 5.1 · EASY-MODERATE

##### Hari Tools — full CFS from a list, including the interest pair

**Hari Tools** extracted the following from its accounts for the year ended 31 March 2026. Prepare a Cash Flow Statement by the indirect method as per AS-3. Find the closing cash.

- Net profit before tax ₹2,00,000 (this figure is after interest expense, after interest income, after depreciation, and after profit on sale of furniture).
- Depreciation ₹35,000.
- Profit on sale of furniture ₹5,000.
- Interest expense (included in P&L) ₹12,000.
- Interest income (included in P&L) ₹4,000.
- Increase in debtors ₹18,000.

- Decrease in stock ₹10,000.
- Increase in creditors ₹7,000.
- Decrease in outstanding expenses ₹3,000.
- Tax paid ₹40,000.
- Purchase of machinery ₹90,000.
- Sale of furniture (proceeds) ₹25,000.
- Purchase of investments ₹20,000.
- Dividend paid ₹30,000.
- Loan raised ₹50,000.
- Opening cash and cash equivalents ₹22,000.

#### ANSWER / SOLUTION

Operating profit before WC = ₹2,00,000 + dep ₹35,000 – profit on sale ₹5,000 + interest expense ₹12,000 – interest income ₹4,000.

$$₹2,00,000 + ₹35,000 = ₹2,35,000$$

$$₹2,35,000 - ₹5,000 = ₹2,30,000$$

$$₹2,30,000 + ₹12,000 = ₹2,42,000$$

$$₹2,42,000 - ₹4,000 = ₹2,38,000$$

Working capital: – increase in debtors ₹18,000 + decrease in stock ₹10,000 + increase in creditors ₹7,000 – decrease in outstanding ₹3,000.

$$\text{WC net} = -₹18,000 + ₹10,000 = -₹8,000; -₹8,000 + ₹7,000 = -₹1,000; -₹1,000 - ₹3,000 = -₹4,000.$$

$$\text{Cash generated} = ₹2,38,000 - ₹4,000 = ₹2,34,000.$$

$$\text{Net operating (A)} = ₹2,34,000 - \text{tax } ₹40,000 = ₹1,94,000.$$

$$\text{Investing (B)} = - \text{machinery } ₹90,000 + \text{furniture proceeds } ₹25,000 - \text{investments } ₹20,000 + \text{interest received } ₹4,000.$$

$$-₹90,000 + ₹25,000 = -₹65,000; -₹65,000 - ₹20,000 = -₹85,000; -₹85,000 + ₹4,000 = -₹81,000.$$

$$\text{Financing (C)} = \text{loan } ₹50,000 - \text{interest paid } ₹12,000 - \text{dividend } ₹30,000.$$

$$₹50,000 - ₹12,000 = ₹38,000; ₹38,000 - ₹30,000 = ₹8,000.$$

$$A + B + C = ₹1,94,000 - ₹81,000 + ₹8,000 = ₹1,13,000 + ₹8,000 = ₹1,21,000.$$

$$\text{Closing cash} = ₹22,000 + ₹1,21,000 = ₹1,43,000.$$

#### Hari Tools — Cash Flow Statement (indirect method, AS-3)

| Particulars                                     | ₹         |
|-------------------------------------------------|-----------|
| Net profit before tax                           | ₹2,00,000 |
| + Depreciation                                  | ₹35,000   |
| – Profit on sale of furniture                   | (₹5,000)  |
| + Interest expense                              | ₹12,000   |
| – Interest income                               | (₹4,000)  |
| Operating profit before working capital changes | ₹2,38,000 |
| – Increase in debtors                           | (₹18,000) |
| + Decrease in stock                             | ₹10,000   |
| + Increase in creditors                         | ₹7,000    |
| – Decrease in outstanding expenses              | (₹3,000)  |

| Particulars                                   | ₹                |
|-----------------------------------------------|------------------|
| Cash generated from operations                | ₹2,34,000        |
| – Income tax paid                             | (₹40,000)        |
| <b>Net cash from operating activities (A)</b> | <b>₹1,94,000</b> |
| Purchase of machinery                         | (₹90,000)        |
| Sale proceeds of furniture                    | ₹25,000          |
| Purchase of investments                       | (₹20,000)        |
| Interest received                             | ₹4,000           |
| <b>Net cash from investing activities (B)</b> | <b>(₹81,000)</b> |
| Loan raised                                   | ₹50,000          |
| Interest paid                                 | (₹12,000)        |
| Dividend paid                                 | (₹30,000)        |
| <b>Net cash from financing activities (C)</b> | <b>₹8,000</b>    |
| <b>Net increase in cash (A + B + C)</b>       | <b>₹1,21,000</b> |
| Opening cash and cash equivalents             | ₹22,000          |
| <b>Closing cash and cash equivalents</b>      | <b>₹1,43,000</b> |

Proof:  $1,94,000 - 81,000 + 8,000 = 1,21,000 = 1,43,000 - 22,000$ .

#### PRACTICE 5.2 · EXAM-LEVEL

#### Arjun Textiles Ltd. — two-year BS with general reserve, sale of plant at a loss, redemption

**Arjun Textiles Ltd.** From the following summarised Balance Sheets and additional information, prepare a Cash Flow Statement (indirect method, AS-3) for the year ended 31 March 2026, with working notes.

#### Arjun Textiles Ltd. — summarised Balance Sheets

| Particulars                                      | 31 March 2025 ₹  | 31 March 2026 ₹  |
|--------------------------------------------------|------------------|------------------|
| <b>Equity and liabilities</b>                    |                  |                  |
| Equity share capital                             | ₹3,00,000        | ₹4,00,000        |
| 12% Debentures                                   | ₹1,50,000        | ₹1,00,000        |
| Profit & Loss surplus                            | ₹90,000          | ₹1,30,000        |
| General reserve                                  | ₹40,000          | ₹55,000          |
| Trade creditors                                  | ₹50,000          | ₹42,000          |
| Outstanding expenses                             | ₹8,000           | ₹11,000          |
| Provision for tax                                | ₹25,000          | ₹30,000          |
| <b>Total</b>                                     | <b>₹6,63,000</b> | <b>₹7,68,000</b> |
| <b>Assets</b>                                    |                  |                  |
| Land and building (not depreciated; no movement) | ₹2,00,000        | ₹2,00,000        |
| Plant at cost                                    | ₹3,50,000        | ₹4,50,000        |
| Less: Accumulated depreciation on plant          | (₹70,000)        | (₹95,000)        |
| Plant (net)                                      | ₹2,80,000        | ₹3,55,000        |
| Inventory                                        | ₹85,000          | ₹1,00,000        |

| Particulars               | 31 March 2025 ₹  | 31 March 2026 ₹  |
|---------------------------|------------------|------------------|
| Trade debtors             | ₹60,000          | ₹48,000          |
| Prepaid expenses          | ₹6,000           | ₹9,000           |
| Cash and cash equivalents | ₹32,000          | ₹56,000          |
| <b>Total</b>              | <b>₹6,63,000</b> | <b>₹7,68,000</b> |

#### Additional information

1. Plant costing ₹50,000 (accumulated depreciation ₹20,000) was sold for ₹22,000.
2. The rest of the increase in plant at cost is a cash purchase.
3. Debentures of ₹50,000 were redeemed at par at the end of the year.
4. Equity shares of ₹1,00,000 were issued at par for cash. No bonus, no conversion.
5. Transfer to general reserve ₹15,000.
6. Tax paid ₹32,000.
7. Dividend paid ₹25,000.
8. Interest on 12% debentures paid ₹18,000 ( $= ₹1,50,000 \times 12/100 = ₹18,000$ ).

#### ANSWER / SOLUTION

#### Workings

**Plant purchases:** ₹4,50,000 – ₹3,50,000 + cost sold ₹50,000 = ₹1,00,000 + ₹50,000 = ₹1,50,000.

**Depreciation for the year:** closing accum. ₹95,000 – opening ₹70,000 + on sold ₹20,000 = ₹25,000 + ₹20,000 = ₹45,000.

**Book value of plant sold:** ₹50,000 – ₹20,000 = ₹30,000. Sold for ₹22,000. **Loss on sale** = ₹30,000 – ₹22,000 = ₹8,000.

**Current tax charge:** closing provision ₹30,000 – opening ₹25,000 + tax paid ₹32,000 = ₹5,000 + ₹32,000 = ₹37,000. Check: ₹25,000 + ₹37,000 – ₹32,000 = ₹30,000.

**PAT:** increase in P&L ₹1,30,000 – ₹90,000 = ₹40,000, plus transfer to general reserve ₹15,000, plus dividend ₹25,000 → PAT = ₹40,000 + ₹15,000 + ₹25,000 = ₹80,000.

**PBT** = PAT ₹80,000 + current tax ₹37,000 = ₹1,17,000.

Check on general reserve: ₹40,000 + ₹15,000 = ₹55,000, matches the BS. Transfer to reserve is an appropriation — it is used only to reconstruct PAT. It is not an operating adjustment and not a cash flow.

**Interest paid** = ₹1,50,000  $\times$  12/100 = ₹18,000 (add back the same amount in operating).

#### Operating

PBT ₹1,17,000 + dep ₹45,000 + loss on sale ₹8,000 + interest ₹18,000 = operating profit before WC.

₹1,17,000 + ₹45,000 = ₹1,62,000

₹1,62,000 + ₹8,000 = ₹1,70,000

₹1,70,000 + ₹18,000 = ₹1,88,000

WC: inventory increase ₹1,00,000 – ₹85,000 = ₹15,000 (deduct); debtors decrease ₹60,000 – ₹48,000 = ₹12,000 (add); prepaid increase ₹9,000 – ₹6,000 = ₹3,000 (deduct); creditors decrease ₹50,000 – ₹42,000 = ₹8,000 (deduct); outstanding increase ₹11,000 – ₹8,000 = ₹3,000 (add).

WC net = –₹15,000 + ₹12,000 – ₹3,000 – ₹8,000 + ₹3,000 = –₹11,000.

Cash generated = ₹1,88,000 – ₹11,000 = ₹1,77,000.

Net operating (A) = ₹1,77,000 – tax ₹32,000 = ₹1,45,000.



## Investing and financing

Investing (B) = – plant purchased ₹1,50,000 + sale proceeds ₹22,000 = –₹1,28,000. (Land and building did not move; no investing item there.)

Financing (C) = share issue ₹1,00,000 – redemption ₹50,000 – interest ₹18,000 – dividend ₹25,000.

₹1,00,000 – ₹50,000 = ₹50,000; ₹50,000 – ₹18,000 = ₹32,000; ₹32,000 – ₹25,000 = ₹7,000.

A + B + C = ₹1,45,000 – ₹1,28,000 + ₹7,000 = ₹17,000 + ₹7,000 = ₹24,000.

Opening cash ₹32,000 + ₹24,000 = ₹56,000 closing cash, matching the Balance Sheet.

### Arjun Textiles Ltd. — Cash Flow Statement for the year ended 31 March 2026 (indirect method, AS-3)

| Particulars                                     | ₹                  |
|-------------------------------------------------|--------------------|
| Net profit before tax                           | ₹1,17,000          |
| + Depreciation                                  | ₹45,000            |
| + Loss on sale of plant                         | ₹8,000             |
| + Interest expense                              | ₹18,000            |
| Operating profit before working capital changes | ₹1,88,000          |
| – Increase in inventory                         | (₹15,000)          |
| + Decrease in debtors                           | ₹12,000            |
| – Increase in prepaid expenses                  | (₹3,000)           |
| – Decrease in creditors                         | (₹8,000)           |
| + Increase in outstanding expenses              | ₹3,000             |
| Cash generated from operations                  | ₹1,77,000          |
| – Income tax paid                               | (₹32,000)          |
| <b>Net cash from operating activities (A)</b>   | <b>₹1,45,000</b>   |
| Purchase of plant                               | (₹1,50,000)        |
| Sale proceeds of plant                          | ₹22,000            |
| <b>Net cash from investing activities (B)</b>   | <b>(₹1,28,000)</b> |
| Proceeds from issue of equity shares            | ₹1,00,000          |
| Redemption of 12% debentures                    | (₹50,000)          |
| Interest paid                                   | (₹18,000)          |
| Dividend paid                                   | (₹25,000)          |
| <b>Net cash from financing activities (C)</b>   | <b>₹7,000</b>      |
| <b>Net increase in cash (A + B + C)</b>         | <b>₹24,000</b>     |
| Opening cash and cash equivalents               | ₹32,000            |
| <b>Closing cash and cash equivalents</b>        | <b>₹56,000</b>     |

Proof: 1,45,000 – 1,28,000 + 7,000 = 24,000 = 56,000 – 32,000. Transfer to general reserve is not a cash flow.

| Dr Plant A/c (at cost) Cr |           |                      |                  |
|---------------------------|-----------|----------------------|------------------|
| Particulars               | ₹         | Particulars          | ₹                |
| To Balance b/d            | ₹3,50,000 | By Asset sold (cost) | ₹50,000          |
| To Bank (purchases)       | ₹1,50,000 | <b>Balance c/d</b>   | <b>₹4,50,000</b> |

**Dr Accumulated Depreciation A/c Cr**

| Particulars        | ₹              | Particulars             | ₹       |
|--------------------|----------------|-------------------------|---------|
| To Asset sold      | ₹20,000        | By Balance b/d          | ₹70,000 |
| <b>Balance c/d</b> | <b>₹95,000</b> | By Profit & Loss (dep.) | ₹45,000 |

**Dr Provision for Tax A/c Cr**

| Particulars        | ₹              | Particulars                    | ₹       |
|--------------------|----------------|--------------------------------|---------|
| To Bank (tax paid) | ₹32,000        | By Balance b/d                 | ₹25,000 |
| <b>Balance c/d</b> | <b>₹30,000</b> | By Profit & Loss (current tax) | ₹37,000 |

**Theory questions the examiner actually sets**

Practical questions are the bulk of the marks. These theory questions still appear, usually for 4–8 marks. Answer in the shape the examiner rewards: definition, then three or four sharp points, then the standard tag (AS-3 / Companies Act) if it is relevant.

**Why is profit not equal to cash? Illustrate.**

6 marks

Profit is computed on the accrual basis. Revenue is recognised when earned and expenses when incurred, whether or not cash has moved. Cash is recognised only when it is received or paid. Therefore:

- Credit sales increase profit but not cash until collected.
- Depreciation decreases profit but not cash.
- Purchase of a machine decreases cash but not profit (except later, through depreciation).
- A loan increases cash but not profit.

Illustration: Meera's profit ₹1,00,000 against a cash increase of only ₹55,000 in the opening example of this chapter — the gap is exactly these four kinds of item.

**State the importance of a Cash Flow Statement.**

8 marks

A CFS reports inflows and outflows of cash and cash equivalents, classified into operating, investing and financing activities (AS-3 / Ind AS-7). It is important because:

- It reveals liquidity — the ability to pay creditors, lenders, employees and tax — which profit conceals.
- Management uses it to plan working capital, capex and dividends.
- Lenders use it to judge whether debt can be serviced from operations.
- Investors use it to test the quality of earnings (is profit turning into cash?).
- It complements the P&L and the Balance Sheet by reconciling opening and closing cash.
- It is mandatory for listed companies and for companies other than OPC, small companies and dormant companies.

**What are cash and cash equivalents? Is a bank overdraft a cash equivalent?**

5 marks

Cash = cash on hand + demand deposits with banks. Cash equivalents = short-term, highly liquid investments readily convertible into known amounts of cash and subject to an insignificant risk of changes in value, normally with a maturity of three months or less from the date of acquisition. Equity shares are not cash equivalents.

Bank overdraft repayable on demand may be treated as a component of cash and cash equivalents under AS-3 if it is an integral part of cash management. Many examination problems instead treat the movement in overdraft as a financing inflow or outflow. Follow the question.

**Distinguish operating, investing and financing activities, with two examples of each. How are interest and dividend classified under AS-3?**

8 marks

**Operating** — principal revenue-producing activities: cash from customers, cash to suppliers, wages, income tax paid.

**Investing** — acquisition and disposal of long-term assets and of investments other than cash equivalents: purchase/sale of plant, purchase/sale of investments.

**Financing** — changes in owners' capital and borrowings: issue of shares, loans taken, redemption of debentures, repayment of loans.

**AS-3 classification of interest and dividend:** interest received and dividend received = investing inflows; interest paid and dividend paid = financing outflows. (Ind AS-7 permits options; unless named, use AS-3.)

**Give the pro-forma of a Cash Flow Statement under the indirect method.**

8 marks

Write the boxed format taught in this chapter, in this order: net profit before tax; adjustments for depreciation, profit/loss on sale, interest, non-cash items; operating profit before working capital changes; changes in current assets and current liabilities; cash generated from operations; tax paid; net operating (A); investing receipts and payments (B); financing receipts and payments (C); A+B+C; opening cash; closing cash. Closing cash must equal the Balance Sheet.

**How will you treat the following in a Cash Flow Statement (indirect method, AS-3): depreciation; profit on sale of machine; bonus issue; increase in debtors; proposed dividend; purchase of machinery by issue of shares?**

6 marks

- **Depreciation** — add back to profit (operating adjustment; non-cash).
- **Profit on sale of machine** — deduct from profit; show sale proceeds as investing inflow.
- **Bonus issue** — non-cash; exclude from the CFS body; disclose in a note. If capitalised from P&L, add back when reconstructing PAT.
- **Increase in debtors** — deduct in working-capital adjustments (operating).
- **Proposed dividend** — not an operating item. Dividend *paid* is a financing outflow (usually equal to opening proposed dividend if that is the unpaid liability brought forward).
- **Purchase of machinery by issue of shares** — non-cash investing and financing transaction; disclose in a note; no figure in A, B or C.

# Understanding Annual Reports and Analysis

**Learning outcome.** After this chapter you will be able to open a real Indian listed-company annual report without panic, name every major section in the order it usually appears, explain why the report exists and who uses it, read the auditor's opinion before trusting the numbers, walk from a management claim down to the supporting note, cash flow and ratio, and write 1-mark, 5-mark and 8–10-mark exam answers on need, importance, composition, Directors' Report and Auditor's Report.

## WHAT THIS CHAPTER COVERS (OFFICIAL SYLLABUS)

- Need and importance of Annual Report
- Composition of Annual Report
- Contents of Annual Report

## 6.1 Opening picture — you have never seen an annual report. Here is one.

Imagine a company that makes pickles, spices and ready-to-eat meals. It has thousands of shareholders who do not sit in the factory. Once a year the company publishes a thick document — often 150 to 400 pages, sometimes a glossy printed book, almost always a PDF on the company website and on the BSE / NSE website. That document is the **annual report**. This chapter teaches you to open it, not fear it, and use it.

Think of two school objects taped together. First, a **report card** : marks, ranks, attendance, the class teacher's remarks, and the principal's stamp. Second, a **storybook** : photographs of the annual day, a letter from the principal, a page on sports day, and a paragraph on how the school served the neighbourhood. An annual report is exactly that mix. The financial statements are the report card. The Chairman's letter, photographs of plants, Management Discussion and Analysis, CSR stories and governance pages are the storybook. An MBA who reads only the storybook is being sold a narrative. An MBA who reads only the last page of the profit and loss account is missing the plot. You must read both, and you must check that the story and the report card agree.

### KEY POINT

You do not read an annual report like a novel, from page 1 to page 400. You navigate it like a reference book: identity → auditor's stamp → dashboard → face of the statements → notes → story → stewardship. Section 6.14 gives you a 30-minute sequence. Learn the map first.

## Meet the company we will live with for the whole chapter

Every illustration below uses one fictional listed company so the pages feel real. The numbers are invented for teaching. They are internally consistent. Memorise the name; exam answers become easier when you can drop a concrete line.

### Running illustration used throughout Chapter 6

| Particulars                          | Sagar Consumer Products Ltd (SCPL)                                  |
|--------------------------------------|---------------------------------------------------------------------|
| What it does                         | Packaged foods: spices, pickles, ready-to-eat meals                 |
| Legal identity                       | Public company, listed on BSE and NSE                               |
| CIN (imagined)                       | L15490MH2010PLC123456 — the L at the front signals a listed company |
| Registered office                    | Andheri, Mumbai                                                     |
| Financial year in this chapter       | 1 April 2024 to 31 March 2025 (FY 2024–25)                          |
| Revenue from operations (standalone) | ₹420 crore (previous year ₹350 crore)                               |
| Profit after tax (standalone)        | ₹38 crore (previous year ₹31 crore)                                 |
| Equity share capital                 | ₹10 crore (1 crore shares of face value ₹10)                        |
| Dividend proposed                    | ₹4 per share, total ₹4 crore                                        |

| Particulars       | Sagar Consumer Products Ltd (SCPL)                                     |
|-------------------|------------------------------------------------------------------------|
| Chairman          | Mrs Meera Sagar (non-executive)                                        |
| Managing Director | Mr Arjun Sagar                                                         |
| Statutory auditor | Mehta & Kale LLP, Chartered Accountants                                |
| Subsidiaries      | Sagar Spices Pvt Ltd (100%, India) and Sagar Foods USA Inc (100%, USA) |

Standalone = Sagar as one legal entity. Consolidated = Sagar plus its two subsidiaries treated as one group.

#### 4. REAL-LIFE EXAMPLE

A first-year MBA downloads 'Sagar Consumer Products Ltd Annual Report 2024–25.pdf' from the investor-relations page. Page 1 is a photograph of a pickle jar and a bowl of dal. Page 4 lists the board, bankers, auditors and the CIN. Page 12 is a dashboard: Revenue ₹420 crore, up 20%. Page 48 is the Independent Auditor's Report. Page 54 is the Balance Sheet. Page 90 is Note 21 Related Party Disclosures. Page 140 is the Notice calling the 15th Annual General Meeting on 12 August 2025. That PDF is the object this chapter is about. By the last section you will know what to do with each of those pages.

## 6.2 What is an Annual Report?

### 1. WHAT IS IT? — DEFINITION

An **annual report** is the yearly published document through which a company reports to its shareholders (and to the wider public) on its activities, performance, financial position, cash flows, governance and future outlook for a financial year. It is both a **statutory document** (the law and, for listed companies, SEBI require a large part of it) and a **communication document** (management uses it to tell the company's story, attract capital and protect reputation).

### 2. IN SIMPLE WORDS

Once a year the company sits down and says: 'This is who we are, this is what we did, this is the money we made and the money we owe, this is how we behaved, this is what an independent auditor thinks of our numbers, and this is when we will meet you to vote.' That sitting-down is printed (or PDFed) as the annual report. It is not a brochure, though it contains brochure-like pages. It is not 'only the Balance Sheet', though the Balance Sheet lives inside it.

### 3. WHY DO WE NEED IT?

Shareholders are owners who usually do not manage the company day to day. Directors and managers are stewards of other people's money. Without a yearly, audited, standardised report, owners cannot judge the stewards, lenders cannot price credit, analysts cannot compare two companies, and the law cannot enforce accountability. The annual report is the main public accountability pack.

### 5. ACCOUNTING LOGIC

Accounting already produces a Balance Sheet, a Statement of Profit and Loss, a Cash Flow Statement, a Statement of Changes in Equity and Notes (Chapters 4 and 5). Those statements are necessary but not sufficient. Users also need: who is on the board, whether the auditor agrees, whether related parties were used, whether internal controls exist, what risks management sees, and what will be voted at the AGM. The annual report wraps the financial statements in that stewardship and narrative layer. The numbers remain the evidence. The wrapping is the context.

### 6. FORMAT — TWO NATURES OF THE SAME DOCUMENT

| Nature            | What it means                                                                                                                | What you will find                                                                                  |
|-------------------|------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------|
| Statutory / legal | Companies Act, 2013 (and SEBI LODR if listed) require specified contents, audit, board approval, sending to members, filing. | Board's Report, audited financial statements, auditor's report, specified annexures, notice of AGM. |

| Nature                              | What it means                                                                                                                                          | What you will find                                                                                                                                                   |
|-------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Communication / voluntary packaging | The company wants capital, reputation and a clear story. It is allowed to add photographs, a Chairman's letter, a highlights dashboard, brand history. | Cover design, MD's letter, infographics, product photographs, 'awards' pages. These are useful but they are not audited in the same way as the financial statements. |

Exam line you can write: *The annual report is a statutory-cum-communication document issued yearly to shareholders, containing audited financial statements together with the Board's Report, auditor's report and other narrative and governance disclosures.*

#### KEY POINT

An annual report is bigger than 'the accounts'. The financial statements are the core. The annual report is the core plus the story, the board's legal report, governance, sustainability, the auditor's opinion and the AGM notice. If an exam question says 'contents of annual report' and you write only Balance Sheet and Profit and Loss, you will lose marks.

#### WATCH OUT

Do not confuse **annual report** with **annual return**. The annual report is the document for shareholders (this chapter). The annual return is a filing with the Registrar of Companies (Form MGT-7) giving shareholding, directors and other registry facts. Different document, different purpose. MBA answers that mix the two lose easy marks.

## Who must prepare what — listed vs unlisted, in one minute

Every company that is not dormant still has a yearly accountability cycle: books of account, financial statements, a Board's Report, an audit, an Annual General Meeting. What people call a 'full annual report' — the thick listed-company PDF — is the most complete version, because SEBI's Listing Obligations and Disclosure Requirements (LODR) add Management Discussion and Analysis, a Corporate Governance Report, and (for specified listed entities) a Business Responsibility and Sustainability Report. This chapter teaches that full listed-company pack, which is what MBA questions mean by 'composition of annual report'. A small private company still has accounts + Board's Report + auditor's report; it may not have a glossy MD&A booklet.

### Same legal family, different thickness of the published pack

| Company type                | Must it prepare yearly accounts + Board's Report + audit?    | Typical 'annual report' pack                                                                                        |
|-----------------------------|--------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------|
| Private company (unlisted)  | Yes, under the Companies Act (with some exemptions by size). | Thinner. Financial statements, Board's Report, auditor's report. Often no MD&A, no BRSR, no SEBI governance report. |
| Public unlisted company     | Yes.                                                         | Board's Report is fuller. Still usually no SEBI MD&A / BRSR unless voluntarily given.                               |
| Listed company (like Sagar) | Yes, plus SEBI (LODR).                                       | The full pack taught below: story + stewardship + standalone + consolidated + auditor + BRSR + AGM notice.          |

## 6.3 Why do companies prepare an Annual Report?

A beginner sometimes thinks: 'They prepare it because the printer asked for a brochure.' No. There are legal reasons and business reasons. Write both in an 8-mark answer.

### Why the annual report exists — legal plus business

| Reason                 | Simple meaning                                                                                                                                            | Sagar illustration                                                                                                                                                                           |
|------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Companies Act, 2013    | Directors must lay audited financial statements and a Board's Report before the AGM, send copies to members, and file with the ROC. This is not optional. | Sagar's Board approves the FY 2024–25 statements in May 2025, the auditor signs, the pack is sent to members, and the 15th AGM is called for 12 August 2025 (within six months of 31 March). |
| SEBI (LODR), if listed | Listed companies must give extra disclosures: MD&A, corporate governance, BRSR for                                                                        | Sagar files the annual report with BSE and NSE and puts the PDF on <a href="https://sagarfoods.example/investors">sagarfoods.example/investors</a> .                                         |

| Reason                                 | Simple meaning                                                                                                                        | Sagar illustration                                                                                                                                             |
|----------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                        | specified companies, submission to stock exchanges, website hosting.                                                                  |                                                                                                                                                                |
| Accountability / stewardship           | Managers run the company with shareholders' money. The report is the yearly rendering of account: what we did with your money.        | Mrs Meera Sagar's letter and the Directors' Report both answer: we grew revenue, we propose a ₹4 dividend, we spent ₹72 lakh on CSR.                           |
| Decision-useful information            | Investors, lenders and analysts need a standardised, audited pack to decide: buy, hold, sell, lend, rate.                             | A banker looking at Sagar's cash flow and receivables ageing decides the working-capital limit. An analyst builds a ratio sheet from the same PDF (Chapter 7). |
| Capital-raising reputation             | A clear, clean, timely annual report is a reputation asset. A qualified audit or a late, thin report raises the cost of capital.      | If Sagar wants to issue shares next year, the FY 2024–25 report is the document the new investor will read first.                                              |
| Comparison across years and with peers | The same format every year lets you see change. Two companies in the same industry can be compared (with care — policies may differ). | Sagar's 'performance at a glance' shows five years of revenue. You can also compare Sagar's margin with another FMCG company.                                  |
| Internal discipline                    | Knowing that numbers will be audited and published forces better records, better controls, and a yearly pause to think about risks.   | Sagar's CFO cannot 'leave stock uncouncted' because the auditor will visit, and the Board must sign a Directors' Responsibility Statement.                     |

### 3. WHY DO WE NEED IT?

If companies did not publish an annual report, ownership would be a blind trust. The stock market could not price shares on public information. Banks would lend on private, uneven packs. Employees would guess at job security. Tax officers would reconstruct profit from scratch. The annual report is the public information spine of corporate India.

## 6.4 Who uses the Annual Report? A user → 'what they look for' table

### 2. IN SIMPLE WORDS

The same PDF is read by ten different people looking for ten different things. That is why the report is thick. A shareholder wants dividend and honesty. A banker wants cash and collateral. An employee wants stability. An analyst wants the notes. Learn this table; it is a ready 5-mark answer ('users of annual report' / 'importance to various parties').

#### Users of the annual report and what each one hunts for

| User                  | Why they open the report                                                                                      | What they look for first                                                                       | Sagar example                                                                                       |
|-----------------------|---------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------|
| Existing shareholders | They already own the company. They want to know if the stewards did a decent job and whether to hold or exit. | Profit, dividend, going concern, related-party deals, auditor's opinion, governance.           | Is the ₹4 dividend covered by cash? Did promoters sell goods to a private firm they own?            |
| Prospective investors | They are deciding whether to buy the share.                                                                   | Growth, margins, return on equity, risks in MD&A, quality of earnings, valuation context.      | Revenue 20% up looks exciting until they see receivables also jumped. They read the cash flow next. |
| Lenders / bankers     | They want the loan repaid with interest.                                                                      | Debt, interest coverage, operating cash flow, contingent liabilities, security, current ratio. | Sagar's borrowings ₹55 crore vs CFO ₹32 crore. Any court cases in the contingent-liability note?    |
| Employees and unions  | Job security, bonus, ESOP, expansion vs closure.                                                              | Profit, segment outlook, employee-benefit note, MD&A on strategy.                              | The ready-to-eat line grew 54% — that plant's jobs look safer than a flat spices line.              |
| Tax authorities       | Tax is computed from profit and from specific adjustments.                                                    | Profit, tax note, related-party pricing, contingent tax demands.                               | Note on income tax: current tax, deferred tax, any dispute with the department.                     |

| User                                                   | Why they open the report                                               | What they look for first                                                                       | Sagar example                                                                                                         |
|--------------------------------------------------------|------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------|
| Financial analysts and credit-rating agencies          | They turn the report into models, ratios and ratings.                  | Everything, especially notes, segments, accounting policies, related parties, cash flow, KAMs. | They rebuild Sagar's EBITDA, adjust for one-time items, and compare debtor days year on year.                         |
| Customers and suppliers                                | They need Sagar to exist next year (going concern) and to pay on time. | Scale, cash, debt, any distress language, concentration of customers.                          | A large retailer checks that Sagar is not about to shut the pickle factory.                                           |
| Media, public, NGOs                                    | Stories, controversies, environment, labour, product quality.          | BRSR, CSR annexure, governance failures, large related-party numbers, auditor qualifications.  | CSR ₹72 lakh — which villages, which projects? Any labour incident in BRSR?                                           |
| Government and regulators (MCA, SEBI, stock exchanges) | Compliance, investor protection, public interest.                      | Filing completeness, governance, fraud reporting, insider / related-party compliance.          | Was the report filed on time? Is the Board's Report complete under Section 134?                                       |
| Board itself and the audit committee                   | The pack is also the board's own yearly mirror.                        | Internal control weaknesses, auditor KAMs, frauds, risk section of MD&A.                       | The audit committee reads Mehta & Kale's KAM on a ₹12 crore distributor receivable before it recommends the accounts. |

Exam hint: write at least six users, and against each write the information need — not just the name.

#### 11. MEMORY TRICK

Users mnemonic — **SALE TEAM CG**: Shareholders, Analysts, Lenders, Employees, Tax authorities, External public / media, Aspirants (prospective investors), Management / board itself, Customers and suppliers, Government / regulators. If the question is 5 marks, pick any six and write two lines each.

## 6.5 Need and importance of the Annual Report (5–8 mark material)

This is the most common theory question in the chapter. The examiner is not asking you to praise the printing quality. The examiner wants: why the document is needed in a company economy, and what it enables. Write in numbered points. Give a one-line explanation under each heading. Drop Sagar or any company name for colour if you have time.

#### 1. WHAT IS IT? — DEFINITION

**Need** of the annual report means the gap it fills: without it, owners, lenders and regulators would lack a yearly, comparable, audited public account of the company. **Importance** means the uses and benefits that follow once the report exists: transparency, stewardship, comparison, legal compliance, analysis, and capital-market confidence.

#### 2. IN SIMPLE WORDS

Need = why we cannot do without it. Importance = what good it does once we have it. In an MBA answer you may treat them together as 'need and importance' and write 8–10 points.

#### 6. FORMAT — NEED AND IMPORTANCE — WRITE THESE POINTS IN THE ANSWER BOOKLET

- Transparency.** The report makes performance, position, cash, risks and related-party dealings visible to people who do not sit in the head office. Hidden companies cannot be trusted with public money.
- Stewardship / accountability.** Directors are trustees of shareholders' funds. The Board's Report, the Directors' Responsibility Statement and the audited accounts are the yearly rendering of that trusteeship.
- Legal compliance.** The Companies Act requires financial statements, a Board's Report, audit, circulation to members and filing. Listed companies have extra SEBI duties. The annual report is how those duties are discharged in one pack.
- Decision-useful information.** Buy / hold / sell / lend / rate / join as an employee — each of those decisions needs information. The report is the primary public source.



5. **Comparison across years.** Five-year highlights and consistent statements let you see whether Sagar is growing, stalling or dressing up one year.
6. **Comparison across companies.** Schedule III and Ind AS / AS give a common skeleton, so an analyst can (carefully) compare Sagar with another FMCG company.
7. **Basis for ratio analysis (Chapter 7).** Every ratio you will study — current ratio, debt-equity, net profit margin, debtor days, ROE — is computed from the face of the statements and the notes inside this report. No annual report, no honest ratio.
8. **Basis for cash-flow analysis (Chapter 5).** Profit is not cash. The Cash Flow Statement inside the annual report tells you whether Sagar's 20% sales growth actually came in as collections.
9. **Credit and investment decisions.** Banks, bond investors and rating agencies underwrite on the back of this pack (plus their own due diligence).
10. **Reputation and capital raising.** A timely, clean, unmodified audit plus clear governance lowers the cost of equity and debt. A qualified opinion or a related-party shock does the opposite.
11. **Corporate governance signal.** Independent directors, board committees, related-party policy, auditor rotation — these pages tell you how power is checked inside the company.
12. **Non-financial and public accountability.** CSR, BRSR, employee and environment disclosures answer stakeholders who are not only interested in EPS.
13. **Internal control and discipline.** The knowledge that an independent auditor will opine, and that directors must sign a responsibility statement, forces better books and better controls.
14. **Communication with the AGM.** The report (with the notice) is the briefing pack for the yearly meeting at which owners vote on dividend, directors and auditors.

#### CONNECT THE CHAPTERS

Chapter 4 taught you the face of the financial statements. Chapter 5 taught you the Cash Flow Statement. Chapter 7 will teach you ratios. All three live *inside* the annual report, and all three are dangerous if you ignore the notes and the auditor's opinion. This chapter is the map of the house; those chapters are the rooms.

#### EXAM TIP

For **5 marks**: write 5–6 points (transparency, stewardship, legal compliance, decision usefulness, comparison, basis for analysis) with two sentences each. For **8–10 marks**: add users (a short table in words), add how financial and non-financial parts connect, and close with one limitation so the answer looks mature. Never write a single paragraph of praise.

## 6.6 Composition and structure — typical Indian listed-company order

### 1. WHAT IS IT? — DEFINITION

**Composition of an annual report** means the parts it is made of and the order in which they usually appear in an Indian listed company's published report. There is no one page-number law that says 'MD&A must start on page 21', but practice and SEBI / Companies Act contents have settled into a recognisable sequence. Exams expect you to list that sequence with a one-line role for each part.

### 2. IN SIMPLE WORDS

Open Sagar's PDF. You will almost always travel in this order: who they are (cover and corporate information) → a human greeting (Chairman / MD) → faces of the board → a numbers dashboard → management's story (MD&A) → the board's legal report → how they govern themselves → how they treat society (BRSR) → the standalone accounts → the group accounts → the auditor's stamp → the fine print (policies and notes) → the meeting notice. Story first, evidence later, meeting last.

### 3. WHY DO WE NEED IT?

The order is psychological and legal. Humans want a story and a dashboard before a 40-page note on leases. The law wants the Board's Report and the auditor's report next to the accounts they cover. The AGM notice is last because it is the action document: date, venue, resolutions. Once you memorise the order, a 400-page PDF stops being a jungle.

#### 6. FORMAT — TYPICAL CONTENTS, IN THE ORDER THEY USUALLY APPEAR

| #   | Section                                                                          | Layer          | One-line job                                                                                          |
|-----|----------------------------------------------------------------------------------|----------------|-------------------------------------------------------------------------------------------------------|
| 1   | Cover                                                                            | Identity       | Name, year, a picture. The face of the document.                                                      |
| 2   | Corporate information                                                            | Identity       | CIN, registered office, board, committees, bankers, auditors, registrars, website.                    |
| 3   | Chairman's / MD's message                                                        | Story          | A signed letter: how the year felt, strategy, thanks, outlook.                                        |
| 4   | Board of Directors                                                               | Identity       | Names, photos, who is independent, who is executive.                                                  |
| 5   | Highlights / performance at a glance                                             | Dashboard      | 5-year numbers: revenue, PAT, EPS, debt, maybe graphs.                                                |
| 6   | Management Discussion and Analysis (MD&A)                                        | Story          | Industry, strategy, segment performance, risks, outlook — management's narrative.                     |
| 7   | Directors' Report (Board's Report) + annexures                                   | Stewardship    | Statutory report under Section 134: state of affairs, dividend, DRS, CSR, secretarial, related party. |
| 8   | Corporate Governance Report                                                      | Stewardship    | Board structure, committees, meetings, director attendance, shareholder rights — SEBI LODR.           |
| 9   | Business Responsibility and Sustainability Report (BRSR)                         | Stewardship    | Environment, social, governance metrics for specified listed companies.                               |
| 10a | Standalone financial statements                                                  | Evidence       | Sagar alone: Balance Sheet, P&L, Cash Flow, Changes in Equity, Notes.                                 |
| 10b | Consolidated financial statements                                                | Evidence       | Sagar plus subsidiaries as one group, after eliminating intra-group deals.                            |
| 11  | Independent Auditor's Report (often placed just before the statements it covers) | Evidence stamp | Unmodified / qualified / adverse / disclaimer. KAMs. Basis of opinion.                                |
| 12  | Significant accounting policies                                                  | Fine print     | How revenue, inventory, depreciation, leases, taxes are measured. Usually Note 1.                     |
| 13  | Notes to accounts (other notes)                                                  | Fine print     | Breakdowns, related parties, contingencies, segments, subsequent events.                              |
| 14  | Notice of the AGM                                                                | Action         | Date, time, venue / video link, ordinary and special business, explanatory statement.                 |

Some companies place the auditor's report immediately before the financial statements (which is logically correct). Some put highlights or MD&A after the Directors' Report. Your exam list should still name all of these parts.

#### 11. MEMORY TRICK

Order mnemonic — walk into the AGM hall: **Cover the Chair, Board Highlights MD&A; Directors Govern BRSR; Standalone then Consolidated; Auditor, Policies, Notes, Notice**. Shorter code: **C-C-B-H-M-D-G-B | S-C | A-P-N-N** (Cover, Chair, Board, Highlights, MD&A, Directors, Governance, BRSR, Standalone, Consolidated, Auditor, Policies, Notes, Notice). Three layers: **Story** → **Stewardship** → **Evidence**, then the meeting card.

#### KEY POINT

A listed-company annual report has three layers plus an action page. **Story layer:** Chairman, highlights, MD&A (persuasive, only partly assured). **Stewardship layer:** Directors' Report, governance, BRSR (legal accountability). **Evidence layer:** financial statements, policies, notes, auditor's opinion. **Action:** Notice of AGM. Always finish in the evidence layer. Never stop in the story.

#### 4. REAL-LIFE EXAMPLE

Sagar's PDF has 168 pages. Pages 1–3 cover and contents. Pages 4–5 corporate information. Pages 6–8 Chairman and MD letters. Pages 9–10 board. Pages 11–13 highlights. Pages 14–28 MD&A. Pages 29–52 Directors' Report and annexures (CSR, secretarial audit, related party, conservation of energy). Pages 53–62 Corporate Governance. Pages 63–78 BRSR. Pages 79–83 Independent Auditor's Report on standalone statements. Pages 84–128 standalone statements and notes. Pages 129–133 auditor on consolidated statements. Pages 134–160 consolidated statements and notes. Pages 161–168 Notice of the 15th AGM. That is a normal shape. Once you have seen one, the next ten look familiar.

## 6.7 Teach every major section — what, why, who, which question, which link

Below, each section of Sagar's annual report is taught in the same six lines plus a snapshot. Read them slowly the first time. On revision, read only the bold labels and the Sagar snapshot. Directors' Report and Auditor's Report are introduced here and taught in full in 6.9 and 6.10, because those two are favourite 5-mark questions.

### 1. Cover

#### 1. COVER

**What it is.** The front page of the printed book or PDF: company name, 'Annual Report 2024–25', usually a product or plant photograph, sometimes a theme ('25 years of flavour').

**In simple words.** The school report-card cover. It tells you whose report this is and which year. It is not audited.

**Why it is in the report.** Identity and first impression. Shareholders picking up a pile of reports at the AGM need to know they are holding Sagar, not another company.

**Who reads it.** Everyone, for one second. Then they turn the page. Analysts skip it. Brand teams care a lot.

**Question it answers.** Which company? Which year? Listed or not (sometimes the exchanges are printed on the cover)?

**How it connects to other sections.** The year on the cover must match the year on the Balance Sheet heading and the auditor's report. If you are comparing two years, do not mix FY 2024–25 highlights with FY 2023–24 notes.

**Sagar snapshot.** Sagar's cover: a glass jar of mango pickle, the words 'Sagar Consumer Products Ltd — Annual Report 2024–25', and small print 'BSE / NSE'. Theme printed on the flap: 'Taste that travels'. Pretty. Not evidence.

### 2. Corporate information

#### 2. CORPORATE INFORMATION

**What it is.** A dense identity page: Corporate Identity Number (CIN), registered office, corporate office, Board of Directors (often repeated), board committees, Chief Financial Officer, Company Secretary, statutory auditor, internal auditor, secretarial auditor, bankers, registrars and transfer agents, website, email for investor grievances.

**In simple words.** The company's visiting card plus the list of adults responsible. If you ever need to write to Sagar, or to check who the auditor is, this is the page.

**Why it is in the report.** Law and practice require the company to be identifiable. CIN is the unique government ID. Shareholders need a grievance address. Lenders want to know the bankers. Researchers want the auditor's name.

**Who reads it.** Company secretaries, lawyers, lenders, journalists, anyone verifying that they have the right entity. Students should copy the CIN and auditor's name into their notes before analysing.

**Question it answers.** Who is legally responsible? Where is the registered office? Who audits? Who is the Company Secretary I email?

**How it connects to other sections.** The auditor named here must be the auditor who signs the Independent Auditor's Report. The directors named here reappear in the Board's Report, the governance report and related-party notes (if they have transactions).

**Sagar snapshot.** Sagar's page: CIN L15490MH2010PLC123456, registered office Andheri East, Mumbai; MD Arjun Sagar; CFO Ms Kavita Rao; CS Mr Farhan Qureshi; statutory auditor Mehta & Kale LLP; bankers State Bank of India and HDFC Bank; RTA KFintech; website and a designated email investors@sagar.example.

### 3. Chairman's / Managing Director's message

#### 3. CHAIRMAN'S / MANAGING DIRECTOR'S MESSAGE

**What it is.** A signed letter from the Chairman and/or the MD to shareholders. It summarises the year in narrative language, thanks employees and partners, comments on the economy, and states strategy and outlook. It is not a substitute for the financial statements and it is not independently audited as a whole.

**In simple words.** The principal's speech on annual day. Warm, selective, forward-looking. Read it for tone and claims — then verify every number against the statements.

**Why it is in the report.** Owners want a human voice. Markets want a strategy story. The letter is the company's chance to explain a bad year or celebrate a good one in plain English.

**Who reads it.** Shareholders, media, employees, prospective investors. Analysts read it for claims they will later test. Examiners may ask you to distinguish it from the Directors' Report (this is narrative; that is statutory).

**Question it answers.** How does leadership describe the year? What are they proud of? What risks do they admit? What do they promise next year?

**How it connects to other sections.** Every quantitative claim ('sales grew 20%', 'we are debt-free', 'we doubled RTE') must be checked on the highlights page, the P&L, the segment note and the cash flow. If the letter is glowing and the auditor is qualified, believe the auditor.

**Sagar snapshot.** Mrs Meera Sagar writes: 'Your company grew revenue 20% to ₹420 crore, led by pickles in North India and our new ready-to-eat line. We remain committed to quality and to a modest dividend of ₹4 per share.' Warm, and — as we will check in 6.12 — only partly the whole truth, because spices were almost flat and cash did not fully follow sales.

### 4. Board of Directors

#### 4. BOARD OF DIRECTORS

**What it is.** Names, often photographs, designations (Chairman, MD, whole-time director, independent director, woman director, nominee), and sometimes a one-paragraph profile: age, qualification, other directorships.

**In simple words.** A family photograph of the people who are legally in charge. You are looking at who has power, and how many of them are independent of the promoters.

**Why it is in the report.** Shareholders vote on directors. Independence is a governance requirement for listed companies. Related-party risk is higher when the board is only a family.

**Who reads it.** Governance analysts, proxy advisors, large investors, students looking for promoter dominance or independent-director strength.

**Question it answers.** Who runs Sagar? How many independent directors? Is the Chair separate from the MD? Is there a woman director?

**How it connects to other sections.** These names reappear in: related-party notes (Did we sell to a director's private firm?), remuneration note, governance report (attendance, committees), and Directors' Report (appointments, resignations). A director who never attends meetings is a red flag in the governance report.

**Sagar snapshot.** Sagar: Chairman Mrs Meera Sagar (non-executive, promoter); MD Mr Arjun Sagar (executive, promoter); three independent directors including Ms Leela Krishnan (chair of audit committee); one non-executive non-independent; total six. Chair and MD are different people — a good governance signal. Both Sagars will show up again in the related-party note if the company rents a godown from a promoter firm.

## 5. Highlights / performance at a glance

### 5. HIGHLIGHTS / PERFORMANCE AT A GLANCE

**What it is.** A dashboard, usually 3–5 years in columns: revenue, EBITDA, PAT, EPS, dividend, net worth, debt, maybe production volumes, maybe graphs. Sometimes '10-year highlights' at the back.

**In simple words.** The scoreboard. Fast numbers, no notes, no auditor paragraph. Excellent for a first look, dangerous if you stop here, because dashboards can cherry-pick.

**Why it is in the report.** Users need a one-page trend before drowning in notes. Management wants to show progress. Comparison across years is a stated purpose of the annual report.

**Who reads it.** Busy shareholders, journalists, students starting a ratio sheet. Analysts use it only as a trailer.

**Question it answers.** Is the company growing? Are profits growing as fast as sales? Is leverage falling or rising? What is EPS and dividend?

**How it connects to other sections.** Every figure here should be reconcilable with the face of the P&L and Balance Sheet of those years. If 'revenue' on the dashboard is 'gross' and the P&L shows 'net', you will mismatch. After the dashboard, go to cash flow: a rising PAT with falling CFO is a classic warning.

**Sagar snapshot.** Sagar's five-year strip: Revenue ₹280 → ₹310 → ₹330 → ₹350 → ₹420 crore. PAT ₹22 → ₹25 → ₹27 → ₹31 → ₹38 crore. FY 2024–25 is a jump year. That is exactly why you must open the revenue note and the cash flow before you celebrate.

## 6. Management Discussion and Analysis (MD&A)

### 6. MANAGEMENT DISCUSSION AND ANALYSIS (MD&A)

**What it is.** A narrative report by management, required for listed companies under SEBI (LODR). Typical headings: economic / industry structure, opportunities and threats, segment-wise performance, outlook, risks and concerns, internal control systems, discussion on financial performance versus last year (often with ratio commentary).

**In simple words.** Management sits across the table and explains the year in paragraphs. It is the 'story of the numbers'. It is not the auditor's story. It is not the Board's statutory report, though some themes overlap.

**Why it is in the report.** Numbers without context are mute. Users need to know: was the 20% growth volume or price? One product or all? India or exports? One-time or sustainable? What could go wrong next year?

**Who reads it.** Investors and analysts first; examiners when the question says MD&A; employees reading strategy. Credit analysts read the risk subsection carefully.

**Question it answers.** Why did performance move? Which segments? What is the outlook? Which risks does management admit?

**How it connects to other sections.** MD&A claims → P&L line items → notes (revenue disaggregation, segments) → cash flow → ratios (Ch 7) → auditor KAMs. Section 6.12 walks this chain on Sagar. Do not confuse MD&A with the Directors' Report: MD&A is analytical narrative; Directors' Report is the legal Board's Report under Section 134.

**Sagar snapshot.** Sagar's MD&A says: industry packaged-foods growing in double digits; SCPL revenue +20%; pickles and RTE led; spices 'stable'; risk table lists monsoon, branded competition, a large distributor's credit; internal controls 'adequate'. We will test the word 'stable' (spices grew only about 3%) and the distributor (auditor KAM of ₹12 crore).

## 7. Directors' Report (Board's Report), including annexures

### 7. DIRECTORS' REPORT (BOARD'S REPORT), INCLUDING ANNEXURES

**What it is.** The Board's statutory report to members under Section 134 of the Companies Act, 2013, with annexures prescribed by the Act and Rules: CSR, secretarial audit report, details of related-party contracts, conservation of energy / technology / foreign exchange, extract or web-link of annual return, particulars of loans/guarantees/investments, and others. Full contents are in 6.10.

**In simple words.** The Board's official case-sheet. Not a speech. Not MD&A. Directors sign responsibility for true and fair accounts, going concern and internal controls. Annexures are the legal attachments.

**Why it is in the report.** The Act requires it. Shareholders cannot hold a proper AGM without it. It is the place where dividend is formally recommended, material post-balance-sheet events are reported, and frauds (if any) are disclosed.

**Who reads it.** Shareholders, ROC, SEBI, examiners (very common 5-mark), lawyers, governance professionals.

**Question it answers.** What is the official state of affairs? What dividend? What do directors take responsibility for? Any fraud, any CSR, any secretarial qualification?

**How it connects to other sections.** The financial statements the Directors' Report talks about are the ones later in the book. The Directors' Responsibility Statement must be consistent with the auditor's opinion. CSR numbers should match the notes. Related-party contracts listed here should appear in the related-party note. Secretarial audit (Form MR-3) sits as an annexure — a second 'auditor' for law, not for numbers.

**Sagar snapshot.** Sagar's Board's Report: state of affairs healthy; dividend ₹4 per share recommended; ₹6 crore transferred to general reserve; DRS in full; CSR spend ₹72 lakh (2% of average net profit ₹36 crore); no fraud reported under Section 134; secretarial auditor's MR-3 with no qualification; related-party sales of ₹8 crore to Sagar Spices Pvt Ltd in the ordinary course, at arm's length.

## 8. Corporate Governance Report

### 8. CORPORATE GOVERNANCE REPORT

**What it is.** A report, mainly under SEBI (LODR) Schedule V for listed entities: company's philosophy on code of governance, board composition, attendance, independent directors, audit / nomination / stakeholder / risk committees, remuneration, general body meetings, means of communication, general shareholder information (AGM, book closure, listing, ISIN, registrar).

**In simple words.** The rule-book of how power is organised: who sits on which committee, who turned up, how directors are paid, how shareholders can complain. It is about process, not pickle recipes.

**Why it is in the report.** Listed-company law wants visible checks on promoter power: independent directors, an audit committee that actually meets, a whistle-blower mechanism, separation of chair and MD where required.

**Who reads it.** Institutional investors, proxy advisors, SEBI, students looking for red flags (related parties + weak independents + poor attendance).

**Question it answers.** Is the board independent enough? Did the audit committee meet? Are related-party transactions going through a proper committee? When and where is the AGM?

**How it connects to other sections.** Read this beside the related-party note and the auditor's report. A clean governance report plus a qualified audit is a contradiction you must notice. Director attendance here should match the 'number of meetings' in the Directors' Report.

**Sagar snapshot.** Sagar: audit committee of three, all independent, four meetings in the year; Chair and MD separated; whistle-blower policy in place; AGM details repeated; no pending listing fees. No flashing red light — the real heat, if any, is in the ₹12 crore receivable KAM, not in this chapter of the PDF.

## 9. Business Responsibility and Sustainability Report (BRSR)

### 9. BUSINESS RESPONSIBILITY AND SUSTAINABILITY REPORT (BRSR)

**What it is.** A SEBI-mandated report for specified listed companies (rolled out first to the largest by market capitalisation, replacing the older Business Responsibility Report). It discloses environmental, social and governance (ESG) indicators: energy, water, waste, greenhouse gases, employees, communities, product responsibility, governance of sustainability.

**In simple words.** One paragraph in your exam is enough: listed companies of specified size must tell not only how much profit they made, but how they treated workers, communities and the environment, in a standard BRSR format. It is not a second Profit and Loss account.

**Why it is in the report.** Investors and regulators now treat sustainability risks as financial risks (a polluted river can close a plant; a labour scandal can destroy a brand). BRSR standardises that disclosure.

**Who reads it.** ESG analysts, lenders with green policies, NGOs, employees, large overseas buyers of Sagar's pickles who ask for supplier standards.



**Question it answers.** Is the company only a profit machine, or does it measure its footprint and its people?

**How it connects to other sections.** CSR in the Directors' Report is the Companies Act 2% spend on development projects. BRSR is the broader SEBI ESG questionnaire. Do not mix them. A factory fire that BRSR discusses should also appear as a subsequent event or contingent matter in the notes if it is financially material.

**Sagar snapshot.** Sagar, being listed, includes a BRSR: energy intensity of the pickle plant, 1,240 employees, no child labour, a water-recycling figure, and community kitchens in three districts. An MBA reads it for red flags, not to memorise every KPI.

## 10. Standalone financial statements

### 10. STANDALONE FINANCIAL STATEMENTS

**What it is.** The financial statements of Sagar as one legal entity: Statement of Profit and Loss, Balance Sheet (Statement of Financial Position), Statement of Cash Flows, Statement of Changes in Equity, and Notes including accounting policies. Prepared as per Companies Act Schedule III and applicable Ind AS / AS. Taught in depth in Chapters 4 and 5.

**In simple words.** Sagar-the-company only. If Sagar owns a subsidiary, the subsidiary's sales are not added here. What you see is the parent's own revenue, own assets, own cash, and the parent's investment in subsidiaries shown as an asset.

**Why it is in the report.** The law still looks at each company as a separate legal person. Dividend is declared from standalone profits. Many loan covenants are written on standalone numbers. You cannot skip this set just because a consolidated set exists.

**Who reads it.** Everyone who cares about the legal entity: the dividend decision, tax (entity-wise), lenders to the parent, ROC filing.

**Question it answers.** How did the parent company itself perform and stand at the year-end? Can it legally pay this dividend?

**How it connects to other sections.** Standalone P&L revenue should match the revenue note. Standalone cash flow is the one that tells you whether the parent collected cash. Investment in Sagar Spices Pvt Ltd sits on the standalone Balance Sheet; in the consolidated Balance Sheet that line disappears and the subsidiary's assets and liabilities come in instead.

**Sagar snapshot.** Sagar standalone: Revenue ₹420 crore, PAT ₹38 crore, equity share capital ₹10 crore, other equity ₹142 crore, borrowings ₹55 crore, inventories ₹62 crore, trade receivables ₹74 crore, cash ₹18 crore, investment in subsidiaries at cost. Dividend is recommended from these standalone profits.

## 11. Consolidated financial statements (the group)

### 11. CONSOLIDATED FINANCIAL STATEMENTS (THE GROUP)

**What it is.** Financial statements of the parent and its subsidiaries presented as if they were one economic entity (Ind AS 110 / AS 21 idea). Intra-group sales, balances and unrealised profits are eliminated. Non-controlling interest is shown if a subsidiary is not 100% owned.

**In simple words.** The family photo of the money, not the legal visiting cards. Sagar plus Sagar Spices Pvt Ltd plus Sagar Foods USA Inc, after cancelling the pickles Sagar sold to itself via the subsidiary.

**Why it is in the report.** Owners of the parent effectively own the group. If you look only at standalone, a parent can look rich just because it sold goods to its own subsidiary or holds investments at cost. Consolidation stops that self-dealing from inflating the story.

**Who reads it.** Investors and analysts first — they value the group. Lenders to the parent still care about standalone. Examiners love 'difference between standalone and consolidated'.

**Question it answers.** If we treat the group as one, what did 'we' sell to the outside world, and what do 'we' owe outsiders?

**How it connects to other sections.** Always glance at both. If standalone revenue is ₹420 crore and consolidated is ₹474 crore, the difference is outside-group sales of subsidiaries, net of eliminations. Related-party sales of ₹8 crore parent-to-subsidary vanish in consolidation — they should.

**Sagar snapshot.** Sagar group: subsidiary India revenue ₹40 crore, USA ₹22 crore, minus ₹8 crore intra-group sales = extra ₹54 crore. Consolidated revenue ≈ ₹474 crore. The ₹8 crore related-party sale that worried you in standalone is eliminated here. USA cash and inventory now sit inside group assets.

**Parent vs subsidiary, said to a beginner.** A *parent* is a company that controls another company (usually by owning more than half the voting power, or by other control rights). The company that is controlled is a *subsidiary*. Sagar Consumer Products Ltd is the parent. Sagar Spices Pvt Ltd is an Indian subsidiary. Sagar Foods USA Inc is a foreign subsidiary. Each of the three is a separate legal person with its own bank account and its own audit. Consolidation is an accounting camera trick that says: for reporting to Sagar's shareholders, point the camera at the whole family and hide the money that moved from one family member to another. It does not merge the legal entities. It does not let the parent spend the subsidiary's cash without following the law.

## 12. Independent Auditor's Report

### 12. INDEPENDENT AUDITOR'S REPORT

**What it is.** A signed report by the statutory auditor (a chartered accountant / audit firm) giving an opinion on whether the financial statements give a true and fair view, in accordance with the applicable financial reporting framework. For many companies it also reports on internal financial controls and includes a CARO annexure. Types of opinion are taught in 6.9.

**In simple words.** An independent second doctor looking at the same lab reports. The doctor does not prepare the reports (management does). The doctor says: clean, or clean except for X, or not true and fair, or I could not form an opinion.

**Why it is in the report.** Without this, the annual report is management talking about itself. The whole idea of published accounts is that someone independent has checked them against evidence.

**Who reads it.** Everyone — but an MBA should read this **before** believing the highlights. Lenders often have a covenant that the opinion must be unmodified.

**Question it answers.** Can I trust these numbers? Is there a qualification, an adverse opinion, a disclaimer, an emphasis of matter, a key audit matter I should chase into the notes?

**How it connects to other sections.** The opinion is on the statements that follow (or precede) it. A KAM about revenue points you to the revenue note and accounting policy. A qualification about inventory points you to the inventory note and maybe to MD&A silence. Emphasis of matter points you to a specific note the auditor wants you to actually read.

**Sagar snapshot.** Sagar standalone: unmodified (clean) opinion from Mehta & Kale LLP. Key Audit Matter: revenue schemes / discounts, and recoverability of a ₹12 crore receivable from a large distributor. No qualification. That KAM is your homework, not a decoration.

## 13. Significant accounting policies

### 13. SIGNIFICANT ACCOUNTING POLICIES

**What it is.** Usually Note 1 (or a separate statement) describing the measurement rules the company chose and applied: basis of preparation (Ind AS), revenue recognition, inventories (FIFO / weighted average), depreciation (SLM / WDV and useful lives), financial instruments, leases, impairment, employee benefits, foreign currency, taxes. Comparative information is prepared on the same policies unless a change is disclosed.

**In simple words.** The rulebook for the numbers. Two honest companies can show different profit from the same factory if one uses SLM over 15 years and the other uses WDV at 30%. Policies tell you which game is being played.

**Why it is in the report.** True and fair is 'true and fair in accordance with the framework and the policies'. Users cannot interpret ₹62 crore of inventory without knowing cost formula and write-down rules.

**Who reads it.** Analysts, auditors (they test consistency), examiners when they ask 'notes' or 'limitations of financial statements', anyone comparing two companies.

**Question it answers.** How is revenue booked? How is stock valued? How fast is the plant depreciated? Any policy change this year?

**How it connects to other sections.** A policy change that boosts profit should appear here, in the notes, often in MD&A, and the auditor watches it. Inventory policy here + inventory note + cash flow (change in inventory) is one chain. Revenue policy here + revenue note + KAM on schemes is another.



**Sagar snapshot.** Sagar Note 1: Ind AS; revenue when control of goods passes, net of schemes and discounts; inventories at lower of cost and net realisable value, cost on weighted average; plant SLM over 15 years; lease accounting under Ind AS 116. No policy change this year — good, last year is comparable.

## 14. Notes to accounts (the rest of the notes)

### 14. NOTES TO ACCOUNTS (THE REST OF THE NOTES)

**What it is.** Explanatory notes that complete the financial statements: breakdowns of face-line items (property, borrowings, revenue, other income, employee cost), related parties, contingent liabilities and commitments, segment information, subsequent events, EPS, employee-benefit valuations, fair values, and anything else required for true and fair view. They are part of the financial statements, not an optional booklet.

**In simple words.** The working of the sums. The face says 'Trade receivables ₹74 crore'. The note says how much is overdue, how much is from related parties, what loss allowance was made. If you skip notes, you have not read the accounts.

**Why it is in the report.** Schedule III faces are summarised. Material detail, risk and judgement live in the notes. Contingent liabilities (court cases, guarantees) often live only here — they are not on the Balance Sheet total.

**Who reads it.** Anyone who is serious: analysts, lenders, tax officers, forensic readers, MBA students who want marks in analysis questions.

**Question it answers.** What is inside this total? Who do we owe, who owes us, what might hit us later, what happened after 31 March, who are our related parties?

**How it connects to other sections.** Face ↔ matching note is a law of reading. MD&A claim ↔ note evidence is the second law. Contingent liability note ↔ governance / legal proceedings in Directors' Report is the third. Section 6.11 is devoted to this.

**Sagar snapshot.** Sagar Note 12 Trade receivables: ₹74 crore, of which ₹12 crore from one distributor, overdue 120+ days, loss allowance ₹1 crore. Note 21 Related parties: ₹8 crore sales to subsidiary. Note 27 Contingent liabilities: excise demand ₹3 crore under appeal. Note 29 Subsequent events: none material. That is the real annual report.

## 15. Notice of the Annual General Meeting

### 15. NOTICE OF THE ANNUAL GENERAL MEETING

**What it is.** A formal notice convening the AGM: company name, day, date, time, venue or video-conferencing link, ordinary business (accounts, dividend, director retirement, auditor) and special business, with an explanatory statement for special business (Section 102). Often accompanied by notes on e-voting, proxy, and how to inspect documents.

**In simple words.** The appointment card for the owners' yearly meeting. The rest of the annual report is the briefing pack. This page tells you when to come and what you will vote on.

**Why it is in the report.** Company law: an AGM must be called, with prescribed notice period (21 clear days in ordinary cases), and members must receive the audited statements and Board's Report beforehand (Section 136).

**Who reads it.** Every shareholder who will vote; company secretary; proxy advisors. Students: so you understand the report is not a magazine — it is papers for a meeting.

**Question it answers.** When is the meeting? What resolutions? Any special business (preferential issue, related-party approval, remuneration) hidden after the ordinary items?

**How it connects to other sections.** Ordinary business includes adoption of the very financial statements you just studied, declaration of the dividend recommended in the Directors' Report, and appointment of the auditor who signed the opinion. Special business may be the related-party contract you saw in Note 21.

**Sagar snapshot.** Sagar Notice: 15th AGM, Tuesday 12 August 2025, 11:00 a.m. IST, video conference. Ordinary: adopt standalone and consolidated accounts, declare ₹4 dividend, reappoint a retiring director, ratify auditor remuneration. Special: approval of a material related-party transaction with Sagar Spices Pvt Ltd. That special item is why you read Note 21 before you voted.

## 6.8 Financial statements inside the annual report — recap and fit

Chapters 4 and 5 already taught you how to *prepare* these statements. Here you learn where they *sit* in the annual report and how the four statements plus notes answer four different questions. Do not skip this even if you are confident on formats: exam questions on 'contents of annual report' expect the four statements by name.

### The five-piece financial core inside every annual report

| Statement                      | Question it answers                                                                 | Sagar FY 2024–25 snapshot                                                                                                              | Where students go wrong                                                            |
|--------------------------------|-------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------|
| Statement of Profit and Loss   | How much income and expense for the year? What profit?                              | Revenue ₹420 crore, PAT ₹38 crore, growth vs ₹350 crore and ₹31 crore.                                                                 | Reading PAT and ignoring that 'other income' or a one-time gain is doing the work. |
| Balance Sheet                  | What does the company own and owe on 31 March? What is the residual equity?         | Equity ₹152 crore (capital ₹10 + other equity ₹142), borrowings ₹55 crore, receivables ₹74 crore, inventory ₹62 crore, cash ₹18 crore. | Looking only at total assets and missing that receivables ate the growth.          |
| Statement of Cash Flows (Ch 5) | Where did cash come from and go? Operating / investing / financing? Profit vs cash? | CFO ₹32 crore vs PAT ₹38 crore. Working-capital outflow driven by +₹28 crore receivables.                                              | Celebrating PAT without opening this statement — the classic MBA trap.             |
| Statement of Changes in Equity | How did capital and reserves move: profit, dividend, OCI, shares issued?            | Opening other equity + PAT ₹38 crore – dividend ₹4 crore (when recognised) ± OCI.                                                      | Forgetting that dividend is an equity movement, not a P&L expense.                 |
| Notes (including policies)     | What do the totals mean? What is off-balance-sheet? Who are related parties?        | Revenue split, receivable ageing, related party ₹8 crore, contingent excise ₹3 crore.                                                  | Treating notes as optional reading. They are part of the statements.               |

### 5. ACCOUNTING LOGIC

The four statements are not four rival stories. They are four camera angles on the same year. Profit and Loss is a movie of performance. Balance Sheet is a photograph of position on 31 March. Cash Flow explains why the cash on that photograph is not equal to profit from the movie. Changes in Equity explains why the owners' residual moved. Notes print the screenplay. The annual report then puts a director's commentary (MD&A), a legal cover letter (Board's Report) and an independent review (auditor) around those four angles.

### CONNECT THE CHAPTERS

When you later compute ratios (Chapter 7), you will pull the numerator from one statement and the denominator from another, often using averages of opening and closing Balance Sheet figures, and you will adjust using notes (extra-ordinary items, off-balance-sheet claims). That is 'analysis of annual report' — not a separate magical document.

### 6. FORMAT — TINY ARITHMETIC YOU SHOULD ALWAYS DO WHEN THE HIGHLIGHTS SAY 'SALES GREW 20%'

Sagar revenue this year ₹420 crore. Last year ₹350 crore. Increase =  $420 - 350 = ₹70$  crore. Growth % =  $70 \div 350 = 0.20 = 20\%$ . The MD&A claim matches the face of the P&L. That is step 1, not the end. PAT last year ₹31 crore, this year ₹38 crore. Increase = 7. Growth % =  $7 \div 31 \approx 0.2258 = 22.6\%$ . Profit grew a little faster than sales — margin expanded slightly. PAT margin this year =  $38 \div 420 \approx 0.0905 = 9.05\%$ . Last year  $31 \div 350 = 0.0886 = 8.86\%$ . A small improvement, not a miracle. Now open cash flow before you write 'excellent year' in your project.

## 6.9 Auditor's Report — read this FIRST, in simple language

### 1. WHAT IS IT? — DEFINITION

The **Independent Auditor's Report** is the statutory auditor's written opinion on whether the financial statements give a **true and fair view** in accordance with the applicable financial reporting framework (Ind AS / AS and the Companies Act). The auditor does not prepare the statements — management does. The auditor obtains evidence and then reports. For listed companies the report also includes **Key Audit Matters** (SA 701) and, where applicable, an opinion on internal financial controls and a CARO annexure.

## 2. IN SIMPLE WORDS

Management writes the exam paper (the accounts). The auditor is the external examiner. A clean (unmodified) mark means: based on the evidence I gathered, these accounts are true and fair. A qualified mark means: true and fair EXCEPT for this problem. An adverse mark means: these accounts as a whole are not true and fair. A disclaimer means: I could not get enough evidence, so I refuse to mark the paper. Emphasis of matter is a yellow sticky note on a clean paper: still a pass, but read this page.

## 3. WHY DO WE NEED IT?

If you believe the highlights without the auditor, you are believing the examinee without the examiner. Window dressing, honest mistakes, and aggressive policy choices are why the law insists on an independent CA firm. Lenders, SEBI, and courts treat the opinion as a public signal. An MBA who quotes 'PAT ₹38 crore' without knowing the opinion is quoting a number that might be qualified.

## 4. REAL-LIFE EXAMPLE

You open Sagar's report on page 79. The heading says Independent Auditor's Report. The last paragraph of the 'Opinion' section says the standalone statements give a true and fair view. That is unmodified. You still read Key Audit Matters: recoverability of a ₹12 crore distributor balance. You now know where the judgement sits. You jump to Note 12 before you jump to MD&A.

## 5. ACCOUNTING LOGIC

Audit evidence is sample-based. An unmodified opinion is not a guarantee, not a certificate that the company is a good investment, and not a promise of future profits. It is a reasonable-assurance opinion on the statements taken as a whole, for this year, under this framework. That is already enormously useful — and it is not a halo.

## The four opinions, in words you can write in an exam

### Types of audit opinion — learn the material vs pervasive line

| Opinion (modern SA name) | Older textbook name                 | When it is used                                                                                                                           | What it means in human language                                                 | Sagar-style example                                                                                                                                                                                                               |
|--------------------------|-------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Unmodified               | Unqualified / clean / true and fair | Statements are free from material misstatement; auditor got enough evidence.                                                              | I agree. You may use these statements.                                          | Mehta & Kale on Sagar: unmodified. The KAM does not change the opinion.                                                                                                                                                           |
| Qualified                | Qualified / 'except for'            | There is a material misstatement, or a lack of evidence, but it is <b>not pervasive</b> .                                                 | True and fair except for this one (or few) issues. Do not ignore the exception. | Auditor could not attend the year-end count at one depot holding inventory of ₹18 crore. Rest is fine. Opinion: qualified — 'except for the possible effect of the depot stock'.                                                  |
| Adverse                  | Adverse                             | Misstatements are <b>material and pervasive</b> . The statements as a whole are wrong.                                                    | Do not rely on these statements. They do not give a true and fair view.         | Sagar (imagined disaster): revenue systematically booked on dispatch to own godowns treated as sales, inflating a large part of revenue and receivables. Auditor says the P&L and Balance Sheet do not give a true and fair view. |
| Disclaimer of opinion    | Disclaimer                          | Auditor could not obtain sufficient appropriate evidence, and the possible effects are material and pervasive. Or multiple uncertainties. | I am not giving you an opinion. I could not examine the paper.                  | A fire destroyed stock records and the only computer server; opening and closing inventory and a large part of sales cannot be verified. Auditor disclaims.                                                                       |

Material = big enough to affect a user's decision. Pervasive = not confined to particular items, or a substantial proportion of the statements, or fundamental to users' understanding.

### KEY POINT

The exam distinction: **qualified** = material but not pervasive ('except for'). **Adverse** = material and pervasive ('do not present true and fair'). **Disclaimer** = could not get evidence, possible effects material and pervasive ('we do not express an opinion'). Unmodified is the default you hope to see.

## Emphasis of Matter, Other Matter, Key Audit Matters — not qualifications

Paragraphs that sit next to the opinion without being the opinion

| Paragraph                | Is the opinion still clean?                   | What it is                                                                                                                                                                                                                                                                                   | What you should do                                                                                                                  |
|--------------------------|-----------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------|
| Emphasis of Matter (EOM) | Yes, unmodified (unless separately qualified) | Auditor draws attention to a matter already properly presented or disclosed in the notes, that is fundamental to users' understanding (SA 706). Examples: a major litigation disclosed, a fire after the reporting date disclosed, a going-concern uncertainty that is adequately disclosed. | Open the note the auditor points to. EOM is a spotlight, not a fail mark. Ignoring it is a student mistake.                         |
| Other Matter             | Yes (usually)                                 | A matter not presented in the financial statements but relevant to users' understanding of the audit, the auditor's responsibilities, or the report (for example, that comparatives were audited by a previous auditor).                                                                     | Read it. Do not treat it as a qualification.                                                                                        |
| Key Audit Matters (KAMs) | Yes — KAMs are not a qualification            | For listed companies (SA 701): matters of most significance in the audit of this period, selected from matters communicated to those charged with governance. Typical: revenue recognition, impairment, doubtful debts, inventory, litigations.                                              | Treat KAMs as a free map of where judgement sits. Open those notes. Sagar's KAM on a ₹12 crore receivable is a gift to the analyst. |

### WATCH OUT

A Key Audit Matter is **not** a qualified opinion. Students lose marks by writing 'the auditor qualified revenue because it is a KAM'. Wrong. The auditor is saying: I still give a clean opinion, but this is where I spent my hardest work — you should look too.

### 7. STEP-BY-STEP — HOW AN MBA READS THE AUDITOR'S REPORT (2 MINUTES)

1. Find the Independent Auditor's Report (often just before each of standalone and consolidated statements). There may be two reports.
2. Read the 'Opinion' paragraph first — one of the four types. Copy the exact phrase 'true and fair' or 'except for' or 'do not' or 'we do not express'.
3. Read the Basis for Opinion. If qualified / adverse / disclaimer, the reasons are here.
4. Scan Emphasis of Matter / going concern paragraphs. Open the note they cite.
5. Read Key Audit Matters. Write down the topics. Those are your note-reading list.
6. Only now open the highlights and MD&A. You now know whether you are reading a clean paper.

### 11. MEMORY TRICK

Auditor opinions mnemonic — **U-QAD**: Unmodified (all good), Qualified (good except), Adverse (not true and fair), Disclaimer (no opinion). Sticky notes on a clean paper: **EOM** and **KAM** are not U-QAD. Rule of life: **auditor first, highlights second**.

### 12. EXAM-READY ANSWER

*Definition.* The auditor's report is the independent statutory auditor's opinion on whether the financial statements give a true and fair view in accordance with the applicable framework. *Why an MBA reads it first.* The rest of the annual report is largely management's voice; the auditor is the independent check. A qualification, adverse opinion or disclaimer changes the reliability of every ratio you might compute. *Types.* Unmodified (clean); qualified (material but not pervasive exception); adverse (material and pervasive misstatement); disclaimer (insufficient evidence, effects material and pervasive). Emphasis of matter and key audit matters draw attention without, by themselves, changing a clean opinion.

## 6.10 Directors' Report in detail — Companies Act Section 134 flavour

### 1. WHAT IS IT? — DEFINITION

The **Directors' Report** (the Act calls it the **Board's Report**) is the report attached to the financial statements under **Section 134** of the Companies Act, 2013, by which the Board of Directors explains the state of the company's affairs to the members and makes the statutory declarations, including the **Directors' Responsibility Statement** in Section 134(5).

### 2. IN SIMPLE WORDS

If MD&A is management chatting about the year, the Directors' Report is the Board signing a legal form. Dividend is recommended here. Directors say, in writing, that the accounts are true and fair, that the company is a going concern, and that internal controls exist. Annexures hang off it: CSR, secretarial audit, related-party contracts, energy and foreign exchange.

### 3. WHY DO WE NEED IT?

The AGM cannot honestly adopt accounts if the Board has not formally reported. Section 134 exists so that accountability is not left to a glossy letter. When something goes wrong later — a fraud, a collapse — this report is Exhibit A: what did the directors claim they had done?

### 4. REAL-LIFE EXAMPLE

Sagar's Board meets on 12 May 2025, approves the accounts, approves the Board's Report, recommends ₹4 per share dividend, and authorises the MD and the CS to sign. That report is printed as pages 29–52 of the annual report. Shareholders read it before they vote on 12 August.

## Contents of the Board's Report — the 5-mark list

Section 134 and the Companies (Accounts) Rules require a cluster of items. MBA exams want a clean list with a few words of explanation. Write these.

### Board's Report — Section 134 flavour, exam list

| # | Content (exam heading)                                                                 | What you write in one line                                                                    | Sagar FY 2024–25                                                                         |
|---|----------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------|
| 1 | State of the company's affairs                                                         | How the business did: operations, performance, maybe segment colour.                          | Packaged foods; revenue ₹420 crore; PAT ₹38 crore; RTE and pickles led.                  |
| 2 | Dividend                                                                               | Amount recommended or that no dividend is recommended, and any interim already paid.          | Final dividend ₹4 per share (40% on ₹10 face), total ₹4 crore.                           |
| 3 | Transfer to reserves                                                                   | Amount proposed to be carried to reserves.                                                    | ₹6 crore to general reserve; balance of profit left in retained earnings.                |
| 4 | Material changes and commitments after year-end                                        | Events after 31 March that affect financial position (factory fire, big acquisition, strike). | None material up to the date of the report. (If there were, the notes would also speak.) |
| 5 | Directors' Responsibility Statement (134(5))                                           | The six (listed) declarations — see the table below. This is a sub-question of its own.       | Reproduced in full in Sagar's report; no departure from Ind AS.                          |
| 6 | Frauds reported by the auditor (other than those reportable to the Central Government) | Whether any fraud against the company by officers or employees was reported to the Board.     | None reported.                                                                           |
| 7 | Conservation of energy, technology absorption, foreign exchange earnings and outgo     | Rule 8 particulars — often an annexure of units saved, R&D, FX earned / spent.                | A new steam boiler; FX earnings from USA subsidiary dividend / exports ₹4 crore;         |

| #  | Content (exam heading)                                                                                                                                                                       | What you write in one line                                                                                                                                       | Sagar FY 2024–25                                                                         |
|----|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------|
|    |                                                                                                                                                                                              |                                                                                                                                                                  | outgo on imported packing ₹2 crore.                                                      |
| 8  | CSR (if Section 135 applies)                                                                                                                                                                 | Policy, committee, amount required, amount spent, projects — detailed annexure.                                                                                  | Average net profit ₹36 crore; 2% = ₹72 lakh; spent ₹72 lakh on school kitchens.          |
| 9  | Secretarial audit report                                                                                                                                                                     | For listed and prescribed companies, MR-3 from a company secretary in practice, annexed.                                                                         | No qualification. Board confirms compliance systems.                                     |
| 10 | Related-party particulars                                                                                                                                                                    | Contracts / arrangements with related parties (AOC-2 where applicable) and a statement that they were in ordinary course / arm's length, or a disclosure if not. | Sales ₹8 crore to 100% subsidiary in ordinary course at arm's length; AOC-2 accordingly. |
| 11 | Number of Board meetings; directors' appointments / resignations                                                                                                                             | How often the Board met; who joined or left; statement on independent directors.                                                                                 | Five Board meetings; one independent director reappointed.                               |
| 12 | Risk management, internal financial controls, loans/guarantees/investments, web-link of annual return, employee particulars (if prescribed), orders passed by courts / tribunals if material | The remaining Rule / SEBI items. Group them in an exam if pressed for time; name the important ones.                                                             | IFC adequate; web-link to annual return given (MGT-7); no material court order.          |

Older questions may still say 'extract of annual return (MGT-9)'. Current law: Section 92(3) web-link of the annual return. Write the modern position and you will not be marked down; if the question paper itself says MGT-9, name MGT-9.

## Directors' Responsibility Statement — Section 134(5) — learn all six

This is the paragraph examiners love. Directors cannot hide behind 'the CFO did it'. They must state the following. Learn the legal flavour and the simple meaning side by side.

### Directors' Responsibility Statement — six clauses you should be able to reproduce

| Clause                                             | Exam / legal flavour (write this)                                                                                                                                                                                                                                  | Simple meaning                                                                                                              |
|----------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------|
| (a) Accounting standards                           | In the preparation of annual accounts, the applicable accounting standards had been followed, along with proper explanation of material departures.                                                                                                                | We used Ind AS / AS. If we departed, we said so and why.                                                                    |
| (b) Policies, judgements, true and fair            | Directors had selected such accounting policies and applied them consistently, and made judgements and estimates that are reasonable and prudent, so as to give a true and fair view of the state of affairs at year-end and of the profit or loss for the period. | We did not hop policies to decorate profit. Our estimates (doubtful debts, useful lives) are honest.                        |
| (c) Accounting records, assets, fraud              | Directors had taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the Act, for safeguarding assets, and for preventing and detecting fraud and other irregularities.                                            | The books exist, assets are guarded, fraud is watched for.                                                                  |
| (d) Going concern                                  | Directors had prepared the annual accounts on a going concern basis.                                                                                                                                                                                               | We assume Sagar will continue, not liquidate next month. If that were untrue, we would have to say so and change the basis. |
| (e) Internal financial controls (listed companies) | Directors, in the case of a listed company, had laid down internal financial controls to be followed by the company and that such internal financial controls are adequate and were operating effectively.                                                         | The listed-company extra: the control system over money and reporting actually works.                                       |
| (f) Compliance systems                             | Directors had devised proper systems to ensure compliance with all applicable laws and that such systems were adequate and operating effectively.                                                                                                                  | Not only accounting law — factories, labour, SEBI, food safety — and the system is real, not a binder on a shelf.           |

## 11. MEMORY TRICK

DRS six-clause mnemonic — **SPRFGC**: Standards followed, Policies consistent + prudent estimates, Records / assets / fraud care, Going concern, Financial controls (listed), Compliance systems. Or a sentence: '**Standards, Policies, Records; Going concern, Financial controls, Compliance.**'

#### EXAM TIP

If the question is 'contents of Directors' Report' (5 marks), list 8–10 headings from the big table and write the DRS as one heading with 3–4 of its clauses. If the question is specifically 'Directors' Responsibility Statement', reproduce all six clauses in legal flavour. That alone can be 5 marks.

## Annexures students mix up — keep them separate

Do not staple the wrong report to the wrong parent

| Annexure / report               | Who prepares it                                   | On what                                                                                        | Where it lives                                                  |
|---------------------------------|---------------------------------------------------|------------------------------------------------------------------------------------------------|-----------------------------------------------------------------|
| CSR annual report / annexure    | Board (CSR committee recommends)                  | 2% spend, projects, unspent amounts                                                            | Annexure to Directors' Report                                   |
| Secretarial audit report (MR-3) | Practising Company Secretary                      | Compliance with company law, SEBI, board processes — not the numbers                           | Annexure to Directors' Report                                   |
| AOC-2 related-party contracts   | Board                                             | Related-party contracts not in ordinary course / not arm's length (and prescribed particulars) | Annexure to Directors' Report; the numbers also appear in notes |
| Statutory auditor's report      | Chartered accountant firm                         | True and fair view of financial statements                                                     | With the financial statements, not as a CSR-style annexure      |
| BRSR                            | Management, approved as part of the annual report | ESG indicators                                                                                 | Its own section, not the same as CSR annexure                   |

## 6.11 Notes to accounts versus the face of the statements

### 1. WHAT IS IT? — DEFINITION

The **face** of the financial statements is the main summarised statement itself (the Balance Sheet page, the Profit and Loss page, the Cash Flow page, the Changes in Equity page) prepared in the Schedule III vertical form. The **notes to accounts** are the numbered explanations, breakdowns and additional disclosures that *form part of* those statements. Together, face + notes + policies = the complete financial statements.

### 2. IN SIMPLE WORDS

The face is the newspaper headline and the first paragraph. The notes are the rest of the article, the table of figures, and the correction box. If you quote only the headline 'Trade receivables ₹74 crore', you have not told anyone that ₹12 crore is one overdue distributor.

### 3. WHY DO WE NEED IT?

Schedule III forces a comparable one-page skeleton so two companies can be lined up. That skeleton cannot hold ageing, related parties, contingent liabilities, policy choices, segment splits or subsequent events. Those would make the face unreadable. So the law puts them in notes and says they are not optional.

Face versus notes — same year, different resolution

| Item              | What the face typically shows              | What the note adds                                                                    | Why the note can change your decision                                                   |
|-------------------|--------------------------------------------|---------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------|
| Revenue           | Revenue from operations ₹420 crore         | Disaggregation: spices ₹180, pickles ₹140, RTE ₹100; geography; reconciling discounts | Growth is in RTE and pickles, not in the old spices cash-cow. Strategy looks different. |
| Trade receivables | ₹74 crore as one line under current assets | Ageing, expected credit loss, related-party receivables, movement in allowance        | ₹12 crore stuck with one distributor. Credit risk is concentrated.                      |



| Item                   | What the face typically shows             | What the note adds                                                    | Why the note can change your decision                                         |
|------------------------|-------------------------------------------|-----------------------------------------------------------------------|-------------------------------------------------------------------------------|
| Borrowings             | Current + non-current totals              | Security, interest rates, defaults, repayment schedule, unused limits | A current ratio that looks fine may hide a large loan due in 4 months.        |
| Contingent liabilities | Usually <b>nothing on the face totals</b> | Guarantees, disputed tax, court cases (to the extent not provided)    | Sagar's ₹3 crore excise demand is invisible if you never open the note.       |
| Related parties        | Rarely obvious on the face                | Names, nature of relationship, sales, purchases, balances, terms      | ₹8 crore parent-to-subsidary sales: real in standalone, gone in consolidated. |
| Subsequent events      | Balance Sheet is still 31 March           | Events after reporting date that are adjusting or non-adjusting       | A 10 April factory fire may not change 31 March numbers but must be read.     |

#### KEY POINT

If it is material and it is not on the face, it is in the notes. If you skip the notes, you have not read the financial statements. That sentence is worth underlining in your exam pad.

#### 10. COMMON MISTAKES

- Treating notes as 'extra information for CA students' — they are part of the statements for everyone.
- Comparing two companies' faces without checking that inventory and revenue policies in Note 1 are similar.
- Missing contingent liabilities because they are not added into the Balance Sheet total.
- Missing related-party balances that sit inside 'trade receivables' on the face.
- Using dashboard 'revenue' that is gross, while the face is net of discounts — always reconcile.

## 6.12 How the sections connect — a full walkthrough of Sagar

This is the skill the chapter title means by 'analysis'. You do not analyse an annual report by computing one ratio in a vacuum. You walk a claim from the story layer down to the evidence layer. Below is one walk, slow, with every multiplication shown. On the exam, even a short version of this walk scores, because it shows you understand composition, not just a memorised list of contents.

#### 7. THE CLAIM-TO-CASH WALK — SAGAR'S 20% GROWTH

1. **Claim (MD&A / Chairman).** 'Sales grew 20%, driven by strong demand for Sagar Pickles in North India and the new ready-to-eat line.'
2. **Face of P&L.** Revenue from operations ₹420 crore versus ₹350 crore. Increase =  $420 - 350 = ₹70$  crore.  $70 \div 350 = 0.20 = 20\%$ . The headline matches.
3. **Revenue note (disaggregation).** Spices ₹180 crore versus ₹175 crore: increase 5;  $5 \div 175 \approx 0.0286 = 2.9\%$  (almost flat). Pickles ₹140 versus ₹110: increase 30;  $30 \div 110 \approx 0.2727 = 27.3\%$ . Ready-to-eat ₹100 versus ₹65: increase 35;  $35 \div 65 \approx 0.5385 = 53.8\%$ . The story is true for pickles and RTE, generous for 'the company' as a whole, and spicy-side silent.
4. **Segment / geography note.** North India ₹200 crore versus ₹150 crore: increase 50;  $50 \div 150 \approx 0.333 = 33\%$ . North India really did pull. West was quiet. The 'North India pickles' clause survives.
5. **Cash Flow Statement.** PAT ₹38 crore. CFO ₹32 crore. Trade receivables on the Balance Sheet ₹74 crore versus ₹46 crore last year. Increase in receivables =  $74 - 46 = ₹28$  crore. A large part of the extra sales is still stuck with customers. Growth was booked; it was not fully collected.
6. **Receivables note.** ₹12 crore from one distributor, 120+ days overdue, loss allowance only ₹1 crore. This is the same balance the auditor put in a Key Audit Matter. MD&A mentioned 'distributor credit' as a risk — good — but the highlights page did not.
7. **Ratios (preview of Chapter 7).** Debtor days this year:  $(74 \div 420) \times 365 \approx 0.1762 \times 365 \approx 64.3$  days. Last year:  $(46 \div 350) \times 365 \approx 0.1314 \times 365 \approx 48.0$  days. Collections slowed by about 16 days. Net profit margin  $38 \div 420 \approx 9.05\%$  versus 8.86% — a small gain that looks weaker once you know cash lagged.
8. **Auditor.** Unmodified opinion. You may still use the statements. You may not ignore the KAM. There is no qualification to hide behind and no excuse to skip the note.



9. **Governance / related party.** Parent sold ₹8 crore of goods to Sagar Spices Pvt Ltd. In standalone that is revenue. In consolidated it is eliminated ( $420 + 40 + 22 - 8 = ₹474$  crore group revenue). Check AOC-2 and the audit committee: ordinary course, arm's length. If it had been a sale to the MD's brother's private firm at a strange price, the governance report would become the main chapter, not a side page.

#### One claim, seven checkpoints — this is 'analysis of annual report'

| Layer           | What it said                                   | Verdict after the walk                                                      |
|-----------------|------------------------------------------------|-----------------------------------------------------------------------------|
| Chairman / MD&A | Sales grew 20%, pickles + North + RTE          | Headline true; spices almost flat; say so.                                  |
| P&L face        | ₹420 vs ₹350 crore                             | Matches the 20%.                                                            |
| Notes           | Product and geography split; ₹12 crore overdue | Quality of growth is mixed; credit risk concentrated.                       |
| Cash flow       | CFO ₹32 crore; receivables +₹28 crore          | Accrual growth richer than cash growth.                                     |
| Ratios          | Debtor days 48 → 64                            | Collections deteriorated.                                                   |
| Auditor         | Unmodified + KAM on that receivable            | Numbers usable; spotlight on the distributor.                               |
| Governance      | ₹8 crore to 100% subsidiary                    | Eliminated in consol; watch arm's length, but not a scandal on these facts. |

#### 5. ACCOUNTING LOGIC

Why this walk is the whole subject in miniature: the annual report is designed so that narrative, legal stewardship, numbers, notes and independent opinion can be reconciled. If they cannot, either you have found a red flag or you have misread a policy. That reconciliation is the MBA's job. Memorising the list of contents without this walk is the 5-mark version of the chapter. Doing the walk is the 10-mark version.

## 6.13 Limitations of annual reports

#### 1. WHAT IS IT? — DEFINITION

**Limitations of annual reports** are the reasons a careful user cannot treat the report as a complete, current, bias-free photograph of the company. They do not make the report useless. They make naive reading dangerous. A mature 8-mark answer on 'importance' often closes with three limitations.

#### 2. IN SIMPLE WORDS

The report is a very good yearly pack. It is not CCTV. It is not a crystal ball. It is not immune to clever presentation. That is all 'limitations' means.

#### Limitations — write any six with a one-line sting in the exam

| Limitation                | Simple meaning                                                                                                                              | Sagar sting                                                                                                      |
|---------------------------|---------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------|
| Historical                | The year ended on 31 March. You may be reading the PDF in August. The world has moved.                                                      | A new competitor launched in June. The report cannot tell you that unless a subsequent-event note exists.        |
| Aggregation               | Totals hide mix. One number for 'revenue', one for 'receivables'.                                                                           | ₹420 crore hid a flat spices line. ₹74 crore hid one sick distributor.                                           |
| Accounting policy choices | Honest alternatives (SLM vs WDV, weighted average vs FIFO, useful lives) change profit and ratios. Two companies are not always comparable. | If a peer depreciates plant over 10 years and Sagar over 15, Sagar's PAT looks kinder.                           |
| Estimates and judgements  | Doubtful debts, impairment, fair values, warranty — these are opinions with evidence, not tape-measures.                                    | ₹1 crore loss allowance on a ₹12 crore overdue balance is a judgement. Another CFO might have provided ₹4 crore. |

| Limitation                             | Simple meaning                                                                                                            | Sagar sting                                                                                                                                                                  |
|----------------------------------------|---------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Window dressing / creative accounting  | Legal but cosmetic tricks around year-end: channel stuffing, reclassification, delaying maintenance, pushing sales.       | If Sagar pushed ₹20 crore of pickle into distributors on 30 March with a right of return, revenue is 'up' and January will hurt. Cash flow and subsequent returns expose it. |
| Non-financial not fully captured       | Brand, culture, food-safety culture, founder health, employee morale — BRSR helps, it does not complete.                  | A legendary Sagar pickle recipe is an asset the Balance Sheet never names.                                                                                                   |
| Delay / time lag                       | AGM can be as late as 30 September for a 31 March year. Analysis in April has to live on quarterly results.               | You cannot wait for the annual report to make every decision. Listed companies also publish quarters.                                                                        |
| Narrative bias in the story layer      | Chairman's letter and MD&A are partly investor-relations writing. They rarely lead with bad news.                         | 'Spices stable' for +2.9% is a soft word. The note was harder and better.                                                                                                    |
| Inflation and current values           | Historical-cost accounts do not restate a 2012 factory at 2025 prices. Comparability across high-inflation years suffers. | Sagar's land in Andheri is almost certainly worth more than book value. ROE on book equity can mislead.                                                                      |
| Off-balance-sheet and contingent items | Some risks live only in notes (disputes, guarantees, certain commitments).                                                | The ₹3 crore excise demand never entered the total of equity and liabilities.                                                                                                |

### 3. WHY DO WE NEED IT?

If annual reports had no limitations, we would not need quarterly results, credit-rating visits, forensic audits, or Chapter 7's habit of interrogating every ratio. Teaching limitations is not cynicism. It is the difference between a reader and a believer.

### 11. MEMORY TRICK

Limitations mnemonic — **HAPPY WINDOW** is too long; use **HAD WIN**: **H**istorical, **A**ggregation, **D**elay, **W**indow dressing, **I**nflation / incomplete non-financial, **N**otes-only (contingent) plus policy/estimate judgement. Three in an importance answer is enough; six in a dedicated 'limitations' question.

## 6.14 How an MBA should read an annual report in 30 minutes

### 2. IN SIMPLE WORDS

You will rarely have a free Sunday for all 168 pages. You need a repeatable sequence that hits identity, reliability, dashboard, faces, notes that matter, story-versus-evidence, and stewardship. This is that sequence. It is also an exam-friendly 'steps' answer: 'Explain how you would analyse an annual report.'

### 7. STEP-BY-STEP METHOD — 30 MINUTES, EXAM-FRIENDLY

- Minutes 0–2 — Identity.** Cover, corporate information. Write down: name, CIN, year-end, listed or not, auditor's name, MD, Chairman (same person?). Confirm you are not mixing two companies with similar names.
- Minutes 2–5 — Auditor first.** Standalone opinion type. Consolidated opinion type. Basis paragraph. Emphasis of matter. Key Audit Matters. If qualified / adverse / disclaimer, the rest of the 25 minutes is about that problem. If clean, write the KAM topics on your pad — they are the note list.
- Minutes 5–8 — Dashboard.** Highlights / 5-year figures. Compute two growth rates yourself (revenue, PAT). Look at debt and EPS direction. Do not accept a graph without reading the axis.
- Minutes 8–13 — Faces.** P&L: revenue, gross profit if given, other income, PAT. Balance Sheet: equity, borrowings, inventory, receivables, cash. Cash flow: CFO vs PAT, big investing outflows, financing (debt drawn or repaid, dividend). Glance at consolidated vs standalone revenue to see how big the group is.
- Minutes 13–20 — Notes that matter.** (1) Significant accounting policies — any change? (2) Revenue breakdown. (3) Receivables ageing and related-party receivables. (4) Borrowings — current portion, defaults. (5) Contingent liabilities. (6) Related parties. (7) Subsequent events. (8) Whatever the KAM named. This block is the highest-value seven minutes in the half-hour.

6. **Minutes 20–25 — Story versus evidence.** Read MD&A headings and the Chairman's letter now, not earlier. Tick claims that you have already verified. Circle claims that the notes contradict or that cash flow weakens. You are doing Section 6.12 at speed.
7. **Minutes 25–28 — Stewardship.** Directors' Report: dividend, DRS (any departure from standards?), material changes, frauds, CSR. Secretarial audit: qualified or not?
8. **Minutes 28–30 — Governance red flags.** Independent directors, audit committee, related-party approvals, auditor rotation / remuneration, any special business in the AGM notice that reveals a transaction the notes already flagged.

#### 6. FORMAT — WHAT YOU WRITE ON A ONE-PAGE WORKING PAPER IN THOSE 30 MINUTES

- Company / year / auditor / opinion type / KAM topics.
- Revenue this year vs last, PAT this year vs last, CFO vs PAT (three pairs of numbers).
- One good news, one worry from the notes (Sagar: RTE growth; distributor ₹12 crore).
- Dividend and any qualification in Board's Report or secretarial audit.
- One question you still cannot answer (then you know where to spend hour two, if you get it).

If the exam asks for 'steps in analysis of annual report', turn the eight minute-blocks into eight numbered steps without the clock. The clock is for real life; the order is for marks.

#### EXAM TIP

A 5-mark 'procedure to read / analyse annual report' answer is this sequence, compressed: (1) identity (2) auditor (3) highlights (4) faces of FS including cash flow (5) notes and policies (6) MD&A versus numbers (7) Directors' Report (8) governance. Starting with MD&A is a common mistake — that is how you get sold the story.

#### KEY POINT

Practical habit after this chapter: download one real annual report of an FMCG company you know (a listed pickle, biscuit or tea company) and run the 30-minute sequence once. The fictional Sagar pack is the rehearsal. A live PDF is the stage.

## 6.15 Solved examples

#### SOLVED EXAMPLE 1 · EASY

#### Which section of the annual report do I open?

For each user need, name the first section you would open, and one backup section.

| Need                                       | First section                                                   | Backup section                                                     | Why                                                               |
|--------------------------------------------|-----------------------------------------------------------------|--------------------------------------------------------------------|-------------------------------------------------------------------|
| Is the profit figure trustworthy?          | Independent Auditor's Report                                    | Notes on revenue and receivables; KAM                              | Opinion first; then the places judgement hides.                   |
| Did sales really grow 20%?                 | Statement of Profit and Loss                                    | Revenue note; then cash flow                                       | Face gives the %, note gives the mix, cash flow gives collection. |
| Can the company pay the proposed dividend? | Standalone P&L and Balance Sheet (distributable profits / cash) | Cash flow — financing section; Directors' Report dividend para     | Dividend is a standalone legal act, paid in cash.                 |
| Are promoters dealing with themselves?     | Related-party note                                              | AOC-2 / Directors' Report; governance report; AGM special business | Numbers in notes, approval in stewardship, vote in the notice.    |
| Any court case that could explode?         | Contingent liabilities note                                     | Directors' Report (material changes / legal); EOM in audit report  | Often invisible on the face.                                      |

| Need                                    | First section | Backup section                                | Why                         |
|-----------------------------------------|---------------|-----------------------------------------------|-----------------------------|
| How does management explain a bad year? | MD&A          | Chairman's letter — then verify against notes | Story layer, then evidence. |

**Teaching point.** Matching the need to the section is half of this chapter. If you can fill a table like this in the exam, you have 'composition' plus 'use'.

#### SOLVED EXAMPLE 2 · MODERATE

##### Sagar's growth: verify the claim and comment on cash quality

**Given (from Sagar's annual report).** MD&A: 'Revenue grew 20%.' P&L: revenue ₹420 crore (last year ₹350 crore), PAT ₹38 crore (last year ₹31 crore). Revenue note: spices ₹180 cr (LY ₹175 cr); pickles ₹140 cr (LY ₹110 cr); RTE ₹100 cr (LY ₹65 cr). Balance Sheet: trade receivables ₹74 cr (LY ₹46 cr). Cash flow: cash from operations ₹32 cr. Auditor: unmodified, KAM on a ₹12 cr distributor receivable. Loss allowance on that distributor: ₹1 cr.

**Required.** (a) Verify the 20% claim with arithmetic. (b) Identify which products grew. (c) Comment on cash quality. (d) What should an MBA write in a 4-mark 'analysis' note?

##### (a) Headline growth

Increase in revenue =  $420 - 350 = ₹70$  crore.

Growth rate =  $70 \div 350 = 0.20 = \mathbf{20.00\%}$ . The MD&A claim matches the face.

PAT increase =  $38 - 31 = ₹7$  crore. PAT growth =  $7 \div 31 = 0.225806... \approx \mathbf{22.58\%}$ .

PAT margin now =  $38 \div 420 = 0.090476... \approx \mathbf{9.05\%}$ . Last year  $31 \div 350 = 0.088571... \approx \mathbf{8.86\%}$ .

##### (b) Product mix — do not skip this multiplication

Spices:  $180 - 175 = ₹5$  crore increase.  $5 \div 175 = 0.028571... \approx \mathbf{2.86\%}$  — almost flat.

Pickles:  $140 - 110 = ₹30$  crore.  $30 \div 110 = 0.272727... \approx \mathbf{27.27\%}$ .

RTE:  $100 - 65 = ₹35$  crore.  $35 \div 65 = 0.538461... \approx \mathbf{53.85\%}$ .

Check the three products add up:  $180 + 140 + 100 = ₹420$  crore. Last year  $175 + 110 + 65 = ₹350$  crore. The note agrees with the face.

Share of the ₹70 crore increase: spices  $5/70 \approx 7\%$ ; pickles  $30/70 \approx 43\%$ ; RTE  $35/70 = 50\%$ . RTE and pickles did the work.

##### (c) Cash quality

Increase in trade receivables =  $74 - 46 = ₹28$  crore.

CFO ₹32 crore versus PAT ₹38 crore. Gap = 6, and the receivables jump of 28 is the smoking gun that collections lagged bookings.

Debtor days  $\approx (74 \div 420) \times 365$ .  $74 \div 420 = 0.176190... \times 365 \approx 64.31$  days.

Last year  $(46 \div 350) \times 365$ .  $46 \div 350 = 0.131429... \times 365 \approx 47.97$  days. Slowdown  $\approx 16$  days.

Of ₹74 crore, ₹12 crore is one overdue distributor with only ₹1 crore provided.  $12 \div 74 \approx 16.2\%$  of book is concentrated and sick-looking.

##### (d) Four-mark analysis note you could write

The 20% revenue growth is arithmetically correct but uneven: ready-to-eat (+53.85%) and pickles (+27.27%) explain almost all of the ₹70 crore increase; spices grew only 2.86%. Cash did not fully follow accrual: CFO ₹32 crore against PAT ₹38 crore, with receivables up ₹28 crore and debtor days up from ~48 to ~64. The auditor's unmodified opinion lets us use the figures, but the KAM on a ₹12 crore overdue distributor (allowance only ₹1 crore) is the quality-of-earnings issue. An MBA should not describe the year as 'excellent growth' without those two qualifications: mix and collections.

#### SOLVED EXAMPLE 3 · EXAM

## Write the 5-mark 'contents of annual report' and the 5-mark 'Directors' Report' as the examiner wants them

### Question A (5 marks): 'Enumerate the contents of an annual report of a listed company.'

**Answer (write this shape).** An annual report of a typical Indian listed company usually contains the following, in something like this order:

1. **Cover and corporate information** — name, year, CIN, registered office, board, bankers, auditors.
2. **Chairman's / MD's message** — narrative of the year and outlook.
3. **Board of Directors** — names, categories (executive / independent).
4. **Financial highlights / performance at a glance** — multi-year dashboard.
5. **Management Discussion and Analysis** — industry, segments, risks, internal control, financial review (SEBI LODR).
6. **Directors' Report (Board's Report) and annexures** — Section 134: state of affairs, dividend, reserves, DRS, CSR, secretarial audit, related party, etc.
7. **Corporate Governance Report** — board, committees, attendance, shareholder information.
8. **Business Responsibility and Sustainability Report** — ESG disclosures for specified listed companies.
9. **Standalone financial statements** — Balance Sheet, Statement of Profit and Loss, Cash Flow, Changes in Equity, notes.
10. **Consolidated financial statements** — parent plus subsidiaries after elimination of intra-group items.
11. **Independent Auditor's Report(s)** — opinion on the statements, KAMs, perhaps IFC and CARO.
12. **Significant accounting policies and notes to accounts** — measurement rules and detailed disclosures.
13. **Notice of the AGM** — date, time, ordinary and special business.

Even 10 of these 13, each with a 4–8 word explanation, fills 5 marks. A bare list of five words ('balance sheet, P&L, cash flow...') does not.

### Question B (5 marks): 'What are the contents of the Directors' Report under the Companies Act, 2013?'

**Answer (write this shape).** The Board's Report under Section 134 (read with the Accounts Rules) includes:

1. State of the company's affairs.
2. Amount of dividend, if any, recommended.
3. Amount, if any, proposed to be carried to reserves.
4. Material changes and commitments affecting financial position occurring after the end of the year.
5. Directors' Responsibility Statement (Section 134(5) — standards, policies and estimates, records/assets/fraud, going concern, internal financial controls for listed companies, compliance systems).
6. Details of frauds reported by the auditor (other than those reportable to the Central Government), if any.
7. Conservation of energy, technology absorption, foreign exchange earnings and outgo.
8. CSR particulars (where Section 135 applies), secretarial audit report, related-party contracts (AOC-2), number of meetings, director changes, risk and IFC, web-link of annual return, and other prescribed matters.

If marks remain, unpack DRS as the six clauses. That single unpacking often separates a 3/5 from a 5/5.

## SOLVED EXAMPLE 4 • EXAM

### Auditor's report types — choose the opinion

For each situation, name the opinion (or paragraph) and say why. This is a typical 4–6 mark application.

| Situation                                                                                                                 | Opinion / paragraph                                    | Why                                                                                              |
|---------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------|--------------------------------------------------------------------------------------------------|
| Inventory at 19 depots counted; one small depot of ₹0.4 crore not visited; total inventory ₹62 crore; nothing else wrong. | Unmodified (the amount is almost certainly immaterial) | Qualification requires materiality. ₹0.4 crore on a ₹420 crore company is not decision-changing. |

| Situation                                                                                                                                | Opinion / paragraph                                   | Why                                                                                            |
|------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------|------------------------------------------------------------------------------------------------|
| Same, but the unvisited depot holds ₹18 crore and is material; rest of the statements are all right.                                     | Qualified ('except for')                              | Material lack of evidence, not pervasive — confined to inventory / related COGS at that depot. |
| Management refuses to write down a clearly dead technology plant that is half the total assets; profit is thereby hugely overstated.     | Adverse                                               | Material and pervasive — the statements as a whole do not give a true and fair view.           |
| A flood destroyed all stock records and the accounting server; opening stock, closing stock and a large slice of sales cannot be tested. | Disclaimer                                            | Insufficient evidence; possible effects material and pervasive; auditor does not opine.        |
| A factory fire on 10 April is properly disclosed in a subsequent-event note; 31 March numbers are fairly stated; going concern intact.   | Unmodified + Emphasis of Matter pointing to that note | Spotlight, not a fail. The matter is disclosed; the opinion remains clean.                     |
| Revenue schemes are complex; auditor spent the most hours there; evidence supports the number.                                           | Unmodified + Key Audit Matter on revenue schemes      | KAM ≠ qualification. It is a map of audit effort.                                              |

## 6.16 How to identify the question

### 9. HOW TO IDENTIFY THE QUESTION

This chapter is theory-heavy, so the first 15 seconds in the exam hall are about labelling the question. If the question says '**define annual report**' / 'what is an annual report' → 1–2 mark definition: yearly statutory-cum-communication document for shareholders, containing audited financial statements plus Board's Report, auditor's report and other disclosures. If it says '**contents**' / 'composition' / 'enumerate the parts' → the ordered list in 6.6 (story, stewardship, evidence, notice). If it says '**need**' / '**importance**' / 'why annual reports are prepared' → the 8–10 points in 6.5 plus users. If it says '**users**' / 'parties interested' → the user table in 6.4. If it says '**Directors' Report**' / 'Board's Report' / 'Section 134' → contents list + DRS six clauses. If it says '**Directors' Responsibility Statement**' alone → only the six clauses, in legal flavour. If it says '**auditor's report**' / 'types of opinion' / 'true and fair' → 6.9, U-QAD + EOM + KAM. If it says '**MD&A**' / 'Management Discussion' → what it is, SEBI listed-company context, typical headings, and how it differs from the Directors' Report. If it says '**notes to accounts**' → face vs notes, examples, 'notes are part of the statements'. If it says '**limitations**' → HAD WIN table. If it says '**how to analyse**' / 'procedure to read' → the 30-minute / eight-step sequence. If it says '**standalone vs consolidated**' → parent legal entity vs group after elimination. A mixed 8–10 mark question ('importance of annual report to various parties' or 'financial and non-financial parts') is 6.5 + 6.4 + a paragraph on how story, stewardship and evidence must be read together (6.12).

**Question identifier — look at the verb before you look at your memory sheet**

| Question stem (as printed)              | Marks usually | Your opening move                                           | Do not                                                |
|-----------------------------------------|---------------|-------------------------------------------------------------|-------------------------------------------------------|
| What is an annual report?               | 1–2           | One tight definition + statutory and communication natures  | Dump the 13-item contents list                        |
| Contents / composition of annual report | 5             | Numbered list, one line each, listed-company order          | Write only BS and P&L                                 |
| Need and importance                     | 5–8           | 8 numbered points with explanation; add users if 8 marks    | Write 'it is very important for all' in one paragraph |
| Directors' Report                       | 5             | Section 134 list; mention DRS                               | Confuse with MD&A                                     |
| DRS / Section 134(5)                    | 4–5           | All six clauses                                             | Write only 'directors are responsible'                |
| Auditor's report / types of opinion     | 5             | U-QAD table + why MBA reads it first                        | Call a KAM a qualification                            |
| MD&A                                    | 4–5           | SEBI narrative; typical heads; not statutory Board's Report | Say it is audited like the P&L                        |

| Question stem (as printed)                             | Marks usually | Your opening move                             | Do not                               |
|--------------------------------------------------------|---------------|-----------------------------------------------|--------------------------------------|
| Limitations of annual report / of financial statements | 5             | HAD WIN with examples                         | Say 'annual reports are useless'     |
| How would you analyse / read                           | 5–8           | Auditor-first eight steps; claim-to-cash walk | Start with the Chairman's photograph |

## 6.17 Exam-ready answers (1 mark, 5 mark, 8–10 mark)

### Define annual report.

1–2 marks

An annual report is the yearly statutory-cum-communication document published by a company for its shareholders and other users, setting out its activities, performance, financial position, cash flows, governance and outlook for the financial year. It contains the audited financial statements (with notes), the Board's Report, the independent auditor's report, and, in a listed company, MD&A, a corporate governance report and other prescribed disclosures, together with the notice of the AGM.

### Enumerate the contents / composition of the annual report of a listed company.

5 marks

A typical Indian listed-company annual report contains, usually in this order:

1. Cover and corporate information (CIN, board, bankers, auditors, registered office).
2. Chairman's / Managing Director's message.
3. Board of Directors.
4. Highlights / performance at a glance.
5. Management Discussion and Analysis (MD&A).
6. Directors' Report (Board's Report) with statutory annexures (CSR, secretarial audit, related party, energy / FX).
7. Corporate Governance Report.
8. Business Responsibility and Sustainability Report (BRSR), for specified listed companies.
9. Standalone financial statements: Balance Sheet, Statement of Profit and Loss, Cash Flow Statement, Statement of Changes in Equity, and notes.
10. Consolidated financial statements of the group.
11. Independent Auditor's Report (often placed immediately before the statements it covers; separate reports for standalone and consolidated).
12. Significant accounting policies and other notes to accounts.
13. Notice of the Annual General Meeting.

These parts fall in three layers plus an action page: story (Chairman, highlights, MD&A), stewardship (Directors' Report, governance, BRSR), evidence (statements, policies, notes, auditor), and the AGM notice.



### Explain the need and importance of annual reports. Who are the users?

8–10 marks

**Need.** Shareholders do not manage the company day to day. Without a yearly, comparable, audited public pack, stewardship cannot be judged, capital cannot be priced, and the Companies Act / SEBI duties cannot be discharged. The annual report fills that gap.

**Importance** (write 8 points):

1. **Transparency** — performance, position, cash, related parties and risks are made visible.
2. **Stewardship** — directors render account of shareholders' money through the Board's Report and audited statements.
3. **Legal compliance** — Companies Act (accounts, Board's Report, audit, circulation, filing) and SEBI LODR for listed companies.
4. **Decision-useful information** — basis for buy / hold / sell / lend / rate / join.
5. **Comparison** — across years (highlights, consistent statements) and, with care, across companies.
6. **Basis for analysis** — ratio analysis (Ch 7) and cash-flow analysis (Ch 5) are computed from this pack, especially the notes.
7. **Capital-market reputation** — a clean, timely report lowers the cost of capital; a qualification raises it.
8. **Governance and public accountability** — independent directors, CSR, BRSR, related-party transparency.

**Users and what they look for.** Shareholders (dividend, honesty, going concern); prospective investors (growth, margins, risks); lenders (debt, CFO, contingencies); employees (stability); tax authorities (profit, related party, tax notes); analysts and rating agencies (notes, segments, quality of earnings); customers and suppliers (going concern); media / public (CSR, controversies); government / regulators (compliance). The financial parts (statements, notes, auditor) and the non-financial parts (MD&A, governance, BRSR) must be read together: a claim in MD&A is tested on the P&L, the note, the cash flow and the auditor's KAM. *Limitation in one line:* the report is historical, aggregated, policy-dependent and can be window-dressed, so it is necessary but not sufficient.

### Write a note on the Directors' Report / Board's Report.

5–8 marks

The Directors' Report is the Board's statutory report to members under Section 134 of the Companies Act, 2013, attached to the financial statements. It is a stewardship document, not the same as MD&A.

Principal contents: state of affairs; dividend; transfer to reserves; material post-balance-sheet changes; Directors' Responsibility Statement; frauds reported by the auditor; conservation of energy, technology absorption and foreign exchange; CSR annexure; secretarial audit report; related-party particulars; number of meetings and director changes; risk, internal financial controls, and other prescribed items including the web-link of the annual return.

**Directors' Responsibility Statement (134(5))** — directors state that: (a) applicable accounting standards were followed, with explanation of material departures; (b) accounting policies were selected and applied consistently, with reasonable and prudent judgements, so as to give a true and fair view; (c) proper care was taken of accounting records, safeguarding of assets, and prevention and detection of fraud; (d) accounts were prepared on a going concern basis; (e) in a listed company, internal financial controls were laid down, adequate and operating effectively; (f) proper systems for compliance with applicable laws were devised, adequate and operating effectively.

### Write a note on the auditor's report. Why should an MBA read it first?

5–8 marks

The Independent Auditor's Report is the statutory auditor's opinion on whether the financial statements give a true and fair view in accordance with the applicable financial reporting framework. Management prepares the statements; the auditor examines evidence and reports. For listed companies the report includes Key Audit Matters and, where applicable, internal financial controls and a CARO annexure.

**Types of opinion:** (1) Unmodified (clean) — true and fair. (2) Qualified — material exception, not pervasive ('except for'). (3) Adverse — material and pervasive misstatement; statements do not give a true and fair view. (4) Disclaimer — insufficient evidence, possible effects material and pervasive; no opinion expressed. Emphasis of Matter and Key Audit Matters highlight issues without, by themselves, being qualifications.

**Why read it first.** Highlights, MD&A and the Chairman's letter are management's voice. Ratios computed from qualified or adverse statements are unsafe. An MBA therefore reads the opinion, the basis paragraph, EOM and KAMs before believing any dashboard number, then follows each KAM into the matching note.



## What is Management Discussion and Analysis? How is it different from the Directors' Report?

4–5 marks

MD&A is a narrative analysis by management, required for listed companies under SEBI (LODR). It typically covers industry structure, opportunities and threats, segment-wise or product-wise performance, outlook, risks, internal control systems, and a discussion of financial performance versus the previous year. It is the 'story of the numbers'.

It differs from the Directors' Report: MD&A is analytical / communication (SEBI), not the Board's Section 134 legal report. MD&A is not a substitute for the financial statements and is not independently audited as a whole. Every quantitative claim in MD&A should be traced to the P&L, the notes and the cash flow. The Directors' Report, by contrast, recommends dividend, includes the Directors' Responsibility Statement, and carries statutory annexures (CSR, secretarial audit, related party).

## 6.18 Common mistakes (the ones that lose marks, and the ones that lose money)

### 10. COMMON MISTAKES

- **Thinking the annual report is only the financial statements.** The statements are the core. The report also has the story layer, the Board's Report, governance, BRSR, the auditor and the AGM notice. A 'contents' answer that stops at Balance Sheet and P&L is incomplete.
- **Ignoring the notes.** Face totals are headlines. Contingent liabilities, related parties, ageing, policy choices and subsequent events live in the notes. Skipping notes = not having read the accounts.
- **Ignoring auditor qualifications (and confusing KAM / EOM with a qualification).** Always read the opinion first. A KAM is a spotlight on a clean opinion, not a fail mark. A qualification is an 'except for'. Treat them differently.
- **Mixing Directors' Report with MD&A.** Directors' Report = Section 134 legal stewardship (dividend, DRS, annexures). MD&A = SEBI analytical narrative. Examiners set this trap on purpose.
- **Mixing annual report with annual return.** Annual report → shareholders (this chapter). Annual return (MGT-7) → Registrar of Companies. Different documents.
- **Mixing CSR annexure with BRSR, and secretarial audit with statutory audit.** CSR is Companies Act 2% spend. BRSR is SEBI ESG. Secretarial audit (CS, MR-3) checks law and process. Statutory audit (CA) checks whether the numbers are true and fair.
- **Using only standalone or only consolidated without knowing which question you are answering.** Dividend and legal entity covenants → standalone. 'How did the group do for owners of Sagar?' → consolidated. Intra-group sales die on consolidation.
- **Believing the Chairman's 20% without checking mix and cash.** Sagar's spices were flat; receivables jumped ₹28 crore; CFO lagged PAT. Story layer is a claim generator, not evidence.
- **Starting the 30-minute read with photographs and MD&A.** Identity, then auditor, then dashboard, then faces, then notes, then story. Reverse order is how window dressing works on you.
- **Treating an unmodified opinion as an investment recommendation.** True and fair ≠ cheap share, ≠ safe loan, ≠ no fraud anywhere, ≠ next year will be good. It means this year's statements, as a whole, under this framework, are fairly presented.
- **Forgetting that the report is historical, delayed, aggregated and policy-dependent.** Limitations belong in a mature 8-mark importance answer.
- **Writing one long paragraph for a 5-mark 'contents' question.** Numbered headings with one-line explanations. That is the format of marks in this chapter.

## 6.19 Practice questions (with answers to check yourself)

### PRACTICE 1 • EASY

#### One-mark definitions

Define, in two or three sentences each: (a) annual report (b) MD&A (c) consolidated financial statements.

#### ANSWER / SOLUTION

- (a) Yearly statutory-cum-communication document for shareholders containing audited financial statements, Board's Report, auditor's report and other disclosures.
- (b) Management's SEBI-required narrative for listed companies covering industry, performance, risks, outlook and financial review — the story of the numbers, to be tested against the statements.
- (c) Statements of the parent and subsidiaries presented as one economic entity after eliminating intra-group transactions and balances, for the owners of the parent.

#### PRACTICE 2 · EASY

##### Match the user

Who looks first at (a) contingent liabilities (b) CSR annexure (c) debtor days and CFO (d) Directors' Responsibility Statement (e) BRSR energy numbers?

#### ANSWER / SOLUTION

(a) Lender / analyst — hidden claims. (b) Regulator / NGO / exam on Section 135 — also a shareholder who cares about stewardship. (c) Banker and quality-of-earnings analyst. (d) Shareholder / court / exam on Section 134 — the Board's signed accountability. (e) ESG analyst / overseas buyer / BRSR reader.

#### PRACTICE 3 · MODERATE

##### Standalone versus consolidated

Sagar standalone revenue ₹420 crore. Sagar Spices Pvt Ltd (100% subsidiary) revenue ₹40 crore, of which ₹8 crore was sold to Sagar. Sagar Foods USA Inc revenue ₹22 crore, no intra-group sales. Compute consolidated revenue. In one sentence, say what happened to the ₹8 crore in each set of statements.

#### ANSWER / SOLUTION

Outside-group revenue of subsidiaries =  $(40 - 8) + 22 = 32 + 22 = ₹54$  crore.

Consolidated revenue =  $420 + 54 = ₹474$  crore. Check:  $420 + 40 + 22 - 8 = 482 - 8 = ₹474$  crore.

The ₹8 crore is *included* in standalone revenue of the parent (it sold to another legal entity). It is *eliminated* on consolidation because the group cannot sell to itself.

#### PRACTICE 4 · MODERATE

##### Pick the opinion

Sagar's auditor was blocked from testing a branch that holds inventory of ₹18 crore and receivables of ₹9 crore. Everything else was tested and looked fair. Total assets are ₹240 crore. Which opinion, and why not the others?

#### ANSWER / SOLUTION

Likely **qualified** — material scope limitation, confined to that branch (inventory + receivables), not said to poison the whole statements, so not pervasive → not adverse, and not a full-book evidence failure → not disclaimer. Not unmodified, because  $₹18 + ₹9 = ₹27$  crore is material on ₹240 crore assets ( $27 \div 240 = 0.1125 = 11.25\%$  of assets). EOM is wrong because EOM is used when the matter is already fairly stated and the opinion stays clean.

#### PRACTICE 5 · EXAM

### Eight-mark mixed question

'An annual report is more than a set of financial statements.' Explain, with reference to need, users, and how the financial and non-financial parts should be read together. Use a company of your choice.

#### ANSWER / SOLUTION

Shape of the answer (use Sagar or any company):

1. Definition of annual report as statutory + communication pack (not only FS).
2. Need: stewardship gap, legal duty, public information spine.
3. Importance: transparency, compliance, comparison, basis for ratios and cash-flow analysis, capital raising, governance.
4. Users: at least six, with information needs (table in sentences).
5. Composition in three layers: story (MD&A, Chairman), stewardship (Board's Report, governance, BRSR), evidence (FS, notes, auditor).
6. Worked connection: Sagar's 20% claim → P&L → revenue note → cash flow → debtor days → auditor KAM. This paragraph is the 'more than financial statements' proof.
7. Close with two limitations (historical, window dressing) so you do not sound naive.

### PRACTICE 6 · EXAM

#### Directors' Responsibility Statement

List the six clauses of the Directors' Responsibility Statement. Against each, write one sentence of simple meaning and one Sagar-style illustration.

#### ANSWER / SOLUTION

Use the SPRFGC table in Section 6.10. Sample illustration for (d): Sagar's Board states accounts are prepared as a going concern — they do not expect to liquidate the pickle plants in the next twelve months; if a mega-loan default were likely, this clause would be the first to break and the auditor would add a going-concern paragraph.

Sample for (e): as a listed company Sagar's directors confirm internal financial controls over billing, inventory counts and related-party approvals are adequate and operating — the same system the auditor also reports on.

### CONNECT THE CHAPTERS

You now have the map of the house. Chapter 4 gave you the furniture of the financial statements. Chapter 5 gave you the plumbing of cash flow. Chapter 7 will give you the measuring tape of ratios. Whenever a later chapter says 'take current assets from the Balance Sheet', remember: that number lives in an annual report, under an auditor's opinion, next to a note, after a story that may be trying to sell you 20%. Read the house, then measure the room.

# Ratio Analysis

**Learning outcome.** After this chapter you will classify every ratio as Balance Sheet, Revenue or Combined; pick the correct figures from a Profit and Loss Account and a Balance Sheet; compute the ratio with its unit; and interpret whether the result is healthy — including when a ‘high’ number is actually a warning.

## WHAT THIS CHAPTER COVERS (OFFICIAL SYLLABUS)

- Need and importance of ratios
- Ratio formulas
- Balance Sheet ratios
- Revenue ratios
- Combined ratios
- Numerical problems

A bank manager in Mysore is looking at two trading companies. Both sold goods worth ₹10,00,000 last year. Both show a profit. One of them will get the loan. The other will not. The difference is not the sales figure. The difference is the **relationships** between the figures — how much of that sale is leftover as profit, how quickly stock turns into cash, whether the firm can pay its bills next month, and whether the owners or the lenders have a bigger claim. Those relationships are **ratios**.

This chapter uses **one** company, **Kaveri Traders Ltd**, for every single ratio. You will first read a short Profit and Loss Account and a short Balance Sheet. Then you will compute every ratio the syllabus names from those two statements. When the exam gives you a different company, the method does not change — only the numbers do.

## CONNECT THE CHAPTERS

Chapter 4 taught you to **prepare** a company Balance Sheet and Statement of Profit and Loss (Schedule III). Chapter 6 taught you to **read** an annual report. This chapter teaches you to **analyse** those statements with arithmetic. A ratio is not a new statement. It is a smarter way of reading the two you already have.

## KEY POINT

A ratio is a fraction. One figure divided by another. The art is (1) choosing the right pair, (2) picking both figures from the correct statement and the correct year, (3) writing the unit (times, %, days, or a : ratio), and (4) saying what the number means. A naked 2.1 with no unit and no sentence scores half marks at best.

## 1. Need and importance of ratio analysis

### 1. WHAT IS IT? — DEFINITION

A **ratio** is the arithmetical relationship between two figures drawn from the financial statements, expressed as a pure number (times), a percentage, a number of days, or a proportion (a : b). **Ratio analysis** is the method of computing these relationships, comparing them with a standard, a previous year or another firm, and interpreting what they say about liquidity, solvency, profitability and efficiency.

### 2. IN SIMPLE WORDS

A ratio is a comparison written as a short number. ₹3,00,000 of current assets and ₹1,50,000 of current liabilities is a current ratio of 2. The 2 is easier to carry in your head, easier to compare with last year, and easier to compare with a rival, than the two raw rupee totals.

### 3. WHY DO WE NEED IT?

Financial statements are long. A Balance Sheet of a real company has dozens of lines. The human brain cannot hold “sales ten lakh, stock one lakh twenty thousand, debtors one lakh...” and see the story. Ratios shrink the story to a handful of numbers, each of which answers one managerial question: Can we pay bills? Are we too borrowed? How much of each sale is profit? How fast does stock move?

### 4. REAL-LIFE EXAMPLE

Kaveri’s owner, Meera, wants a bank working-capital limit. The manager will not read every ledger. He will compute (or ask her to compute) current ratio, quick ratio, debt-equity, interest coverage and stock turnover. If those five numbers sit in a healthy range, the file moves. If current ratio is 0.8, the file stops — no matter how colourful the sales graph is.

### 5. ACCOUNTING LOGIC

A single rupee figure has no meaning until it is placed next to another rupee figure. Profit of ₹90,000 sounds pleasant. Profit of ₹90,000 on sales of ₹10,00,000 is a 9% net margin. Profit of ₹90,000 on owners’ funds of ₹6,00,000 is a 15% return on equity. Same profit, two different questions, two different ratios. That is the whole subject.

**What ratio analysis is used for — five jobs.**

#### Five jobs of ratio analysis

| Job                                            | Question it answers                                      | Typical tool                                         |
|------------------------------------------------|----------------------------------------------------------|------------------------------------------------------|
| <b>Compare</b>                                 | Is this year better than last year? (trend / intra-firm) | Same ratio, two years, side by side                  |
| <b>Benchmark</b>                               | Are we better or worse than other traders? (inter-firm)  | Our ratio vs industry average                        |
| <b>Diagnose liquidity</b>                      | Can we pay what is due in the next 12 months?            | Current, quick, cash, working-capital turnover       |
| <b>Diagnose solvency</b>                       | Can we survive in the long run? Is the loan load safe?   | Debt-equity, proprietary, gearing, interest coverage |
| <b>Diagnose profitability &amp; efficiency</b> | Are we earning, and are we using assets hard enough?     | GP, NP, operating, ROCE, ROE, turnovers, EPS         |

### Why ratios, not raw figures?

- **Scale.** A firm with sales of ₹1,00,00,000 and a firm with sales of ₹10,00,000 cannot be compared on raw profit. They can be compared on net profit ratio.
- **Trend.** Current assets of ₹3,00,000 this year and ₹2,80,000 last year look like an improvement — until you notice current liabilities jumped from ₹1,00,000 to ₹1,50,000. The current ratio fell from 2.8 to 2.0. The ratio caught what the raw total hid.
- **Diagnosis.** A falling net profit ratio with a stable gross profit ratio means the leak is below the gross-profit line (operating expenses, interest or tax) — you know where to look.
- **Communication.** A board, a bank and an examiner all understand “current ratio 2 : 1”. They do not all want to re-read the whole Balance Sheet.
- **Control.** Management sets a target (stock turnover at least 8 times; collection period under 40 days) and watches the ratio the way a driver watches the speedometer.

### 6. FORMAT — FOUR-WAY CLASSIFICATION OF WHAT A RATIO TALKS ABOUT (USE THIS IN THEORY ANSWERS)

| Family                                  | About                                          | Examples in this chapter                                     |
|-----------------------------------------|------------------------------------------------|--------------------------------------------------------------|
| <b>Liquidity</b>                        | Short-term ability to pay                      | Current, quick, absolute liquid                              |
| <b>Solvency / leverage</b>              | Long-term survival and mix of debt vs equity   | Debt-equity, proprietary, capital gearing, interest coverage |
| <b>Profitability</b>                    | How much leftover from sales and from funds    | GP, NP, operating profit, ROCE, ROE, ROA, EPS                |
| <b>Efficiency / activity / turnover</b> | How hard assets and working capital are worked | Stock, debtors, creditors, FA, capital, WC turnovers         |

The **syllabus classification** in the next section is different: it is by **where the two figures come from** (Balance Sheet, P&L, or one of each). Both classifications are examinable. Do not mix up the names.

#### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Read the question. Is it theory (need, importance, limitations, classification) or a numerical?
2. If theory: write a definition, then 5–8 numbered points with one line of explanation each. End with a limitation if marks are 8 or more.
3. If numerical: extract the two statements (or the given ratios), label each figure BS or P&L, then choose the family (liquidity / solvency / profitability / efficiency) and the syllabus bucket (BS / Revenue / Combined).
4. Write the formula. Substitute. Divide. Write the unit. Write one sentence of meaning if the question says “comment” or “interpret”.

#### SOLVED EXAMPLE 7.0 · EASY

##### Why a ratio beats a raw figure

Firm A earns PAT of ₹90,000 with owners' funds of ₹6,00,000. Firm B earns PAT of ₹1,20,000 with owners' funds of ₹12,00,000. Who is using owners' money better?

##### Working.

Firm A ROE =  $\frac{₹90,000}{₹6,00,000} \times 100 = 15\%$ .

Firm B ROE =  $\frac{₹1,20,000}{₹12,00,000} \times 100 = 10\%$ .

**Answer.** Firm A. B's profit is bigger in rupees, but A returns 15 paise per owners' rupee against B's 10 paise. Without the ratio, the bigger profit would have fooled you.

#### 9. HOW TO IDENTIFY THE QUESTION

If the question says “need / importance / advantages / utility of ratio analysis”, write: comparison (intra-firm trend and inter-firm), diagnosis of liquidity, solvency, profitability and efficiency, simplification of statements, help to management / creditors / investors, and use in forecasting. If it says “limitations / disadvantages / drawbacks”, use the next section — do not recycle the importance points with a ‘not’ stuck in front.

#### 10. COMMON MISTAKES

- Treating a ratio as a conclusion. “Current ratio is 2, so the company is good” is incomplete. Good compared with what? Last year? The industry? The 2 : 1 rule of thumb?
- Using ratios as the only evidence. Window dressing, different accounting policies and non-money facts (a strike, a new patent) do not appear in the ratio.
- Writing ‘ratios help in decision making’ as a full answer. The examiner wants which decision and which ratio.

#### 11. MEMORY TRICK

C-T-D-C — Compare, Trend, Diagnose, Communicate. That is why ratios exist. Four health checks: Liquidity (today's bills), Solvency (tomorrow's survival), Profitability (leftover), Efficiency (speed).

## 12. EXAM-READY ANSWER

Ratio analysis is the process of computing, comparing and interpreting arithmetical relationships between figures in the financial statements. It is needed because raw rupee totals of two firms, or of two years, are not comparable when the firms differ in size. Ratios reduce the statements to a small set of indicators of liquidity (current, quick), solvency (debt-equity, proprietary), profitability (gross profit, net profit, ROCE, ROE) and efficiency (stock, debtors, capital turnover). They help management to control operations, help lenders to judge creditworthiness, help investors to judge return, and help the analyst to locate the area in which the business is weak. A ratio has meaning only against a benchmark — a previous period, an industry average, or a conventional ideal — and must be read with the limitations of historical data and window dressing in mind.

## Limitations of ratio analysis (always asked)

### 1. WHAT IS IT? — DEFINITION

A limitation of ratio analysis is a reason why a computed ratio may mislead, or may not be enough, for a decision. Ratios are a tool. They are not the business itself.

### 2. IN SIMPLE WORDS

A ratio is a photograph of the past, taken with the company's own camera, possibly after the furniture was rearranged for the photo. You still look at the photo — you just do not buy the house from the photo alone.

Nine limitations — write any six in an 8-mark answer, each with one line of explanation

| Limitation                       | What it means                                                                                                                                            | What you do about it                                                                                            |
|----------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------|
| <b>Historical</b>                | Figures are last year's. The factory may already have burned, or a new contract may already have been signed.                                            | Read notes, directors' report, and subsequent events. Do not treat the ratio as tomorrow's cash.                |
| <b>Window dressing</b>           | Management can postpone a purchase, push a sale, or repay a creditor on 30 March and re-borrow on 2 April, so that 31 March looks liquid.                | Look at average figures, cash flow, and more than one year. One beautiful year-end is a warning, not a comfort. |
| <b>Different policies</b>        | One firm uses FIFO, another weighted average; one uses SLM, another WDV. Stock and profit, and therefore every ratio that uses them, are not comparable. | Read the accounting-policy note. Adjust, or at least say "not strictly comparable".                             |
| <b>No standalone meaning</b>     | Current ratio 2 : 1 is not 'good' by itself. In a supermarket 1.2 may be healthy; in a shipyard 2 may be tight.                                          | Always pair with an industry benchmark and with other ratios of the same firm.                                  |
| <b>Need for a benchmark</b>      | Without last year, a rival, or a rule of thumb, a ratio is a number in a vacuum.                                                                         | Write the comparison in the answer. "1.2, above the 1 : 1 ideal" scores; "1.2" does not.                        |
| <b>Ignores qualitative facts</b> | Skill of the owner, quality of the product, pending court case, labour unrest — none of these is a ratio.                                                | Read the notes and the auditors' report. Mention qualitative factors in a comment question.                     |
| <b>Price-level / inflation</b>   | Fixed assets at 2014 cost sit next to sales at 2026 prices. FA turnover looks better than the real use of capacity.                                      | Be careful with any ratio that mixes an old Balance-Sheet cost with a current P&L figure.                       |
| <b>Year-end snapshot</b>         | A seasonal trader may look weak on 31 March and strong on 31 December. One day is not the year.                                                          | Prefer averages of opening and closing; mention seasonality in the comment.                                     |
| <b>Arithmetic without cause</b>  | A ratio tells you that stock is slow. It does not tell you whether the cause is a bad product, a weak salesman, or a flood.                              | Use ratios to locate the room. Then walk into the room (ageing, product mix, visit).                            |

## 12. EXAM-READY ANSWER

Ratio analysis has important limitations. The data are historical and may not continue. Management may window-dress year-end figures. Different accounting policies (stock valuation, depreciation) destroy comparability. A ratio has no meaning in isolation — it needs an industry or trend benchmark. Qualitative factors and subsequent events are ignored. Inflation mixes old costs with current revenues. Year-end figures may be seasonal. And a ratio identifies a symptom, not a cause. Therefore ratios must be read together, over several years, along with notes to accounts and cash-flow information.

#### WATCH OUT

In a 5-mark “limitations” question, three one-word bullets (“historical, window dressing, not comparable”) are not enough. Give one sentence of meaning under each heading. The marks are in the sentence.

## 2. Classification of ratios as per this syllabus

### 1. WHAT IS IT? — DEFINITION

This syllabus classifies ratios by the **source of the two figures**. (1) **Balance Sheet ratios** — numerator and denominator both from the Balance Sheet. (2) **Revenue ratios** (also called Profit and Loss, income-statement, or P&L ratios) — both from the Statement of Profit and Loss. (3) **Combined ratios** — one figure from the P&L and one from the Balance Sheet.

### 2. IN SIMPLE WORDS

Look at the two numbers you are about to divide. If both live on the Balance Sheet (a photograph of one day), it is a Balance Sheet ratio. If both live on the P&L (a movie of one year), it is a Revenue ratio. If one lives on each statement (a movie divided by a photograph), it is Combined.

### 3. WHY DO WE NEED IT?

Examiners in this paper ask “classify the following ratios” and they mean **this** three-bucket split, not the liquidity/solvency/profitability split. If you write ‘current ratio is a liquidity ratio’ when they asked for the syllabus classification, you have answered a different question.

### 4. REAL-LIFE EXAMPLE

Meera’s current assets and current liabilities are both on Kaveri’s Balance Sheet — current ratio is a Balance Sheet ratio. Gross profit and sales are both on the P&L — GP ratio is a Revenue ratio. Cost of goods sold is on the P&L, average stock is on the Balance Sheet — stock turnover is Combined.

### 5. ACCOUNTING LOGIC

A Balance Sheet ratio compares two stocks (positions on one date). A Revenue ratio compares two flows (over a period). A Combined ratio compares a flow with a stock, which is why we so often use an **average** of opening and closing Balance-Sheet figures — to give the stock a chance to represent the whole year.

### 6. FORMAT — THE THREE BUCKETS (MEMORISE THE TEST, NOT A RANDOM LIST)

**Syllabus classification — this is the one you must not skip**

| Bucket                      | Test (say this in the exam)                                 | What it usually measures                   | Ratios in this chapter                                                                                                                                       |
|-----------------------------|-------------------------------------------------------------|--------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Balance Sheet ratios</b> | Both numerator and denominator are Balance-Sheet positions. | Liquidity and solvency / capital structure | Current; quick / acid test; absolute liquid; debt-equity; proprietary; capital gearing; fixed assets to long-term funds; current assets to proprietary funds |
| <b>Revenue ratios</b>       | Both figures are P&L flows for the year.                    | Profitability margins and cost structure   | Gross profit ratio; net profit ratio; operating profit ratio; operating ratio; expense ratios                                                                |



| Bucket                 | Test (say this in the exam)                                                       | What it usually measures                                                     | Ratios in this chapter                                                                                                                                                                   |
|------------------------|-----------------------------------------------------------------------------------|------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Combined ratios</b> | One figure from P&L, one from Balance Sheet (use averages when opening is given). | Turnovers / efficiency, and returns on funds, plus EPS and interest coverage | Inventory turnover and holding period; debtors turnover and collection period; creditors turnover and payment period; WC / FA / capital turnover; ROCE; ROE; ROA; EPS; interest coverage |

### Spot check — cover the right column and say the bucket

| Ratio              | Bucket        |
|--------------------|---------------|
| Current ratio      | Balance Sheet |
| Quick ratio        | Balance Sheet |
| Debt-equity        | Balance Sheet |
| Gross profit ratio | Revenue       |
| Operating ratio    | Revenue       |
| Stock turnover     | Combined      |
| ROCE               | Combined      |
| EPS                | Combined      |

### WHY ROCE IS COMBINED, NOT REVENUE

EBIT lives on the P&L. Capital employed lives on the Balance Sheet (equity + long-term debt, or fixed assets + working capital). One from each statement → Combined. Students often dump ROCE into “profitability” and then, when asked for the syllabus bucket, wrongly say Revenue. Profitability is the *purpose*. Combined is the *source*.

## 9. HOW TO IDENTIFY THE QUESTION

If the question says “classify as Balance Sheet / Revenue / Combined (or income-statement / mixed)”, apply the source test. Ignore the words liquidity and profitability for that question. If the question says “liquidity / solvency / profitability / activity”, use the four-family table in section 1. Read the question’s own headings before you start listing.

## 10. COMMON MISTAKES

- Putting stock turnover under Balance Sheet because stock is a Balance-Sheet item. The other half (COGS) is P&L — it is Combined.
- Putting current ratio under Combined because ‘current assets come from operations’. Both CA and CL are BS positions. It is a Balance Sheet ratio.
- Calling every profitability ratio a Revenue ratio. ROCE, ROE, ROA and EPS are profitability by purpose but Combined by source.
- Forgetting that interest coverage (EBIT / Interest) is Combined — EBIT is P&L, but some papers treat both as P&L (interest is a P&L expense too!). In this syllabus we place it under Combined because it is read with solvency; if both figures are from P&L you may also defend it as Revenue. State your reason. In these notes it sits with Combined, next to ROCE, because the exam uses it as a solvency companion of debt-equity.

### KEY POINT

Interest coverage: both EBIT and interest appear in the P&L, so a strict source-test would call it a Revenue ratio. Many MBA papers still group it with leverage / Combined because you interpret it together with debt-equity. In the formula table at the end of this chapter it is listed as Combined (solvency companion). If the question is a pure source-test and offers ‘P&L ratio’ as a choice, you may tick that and write ‘both figures from P&L’.

## 11. MEMORY TRICK

BS–BS = Balance Sheet ratio (structure). P&L–P&L = Revenue ratio (margin). P&L–BS = Combined (speed or return). Three buckets. Every ratio in the paper falls into one of them.

## 12. EXAM-READY ANSWER

Ratios are classified, for this syllabus, by the statement from which the two figures are taken. Balance Sheet ratios use two position figures from the Balance Sheet (current ratio, quick ratio, debt-equity, proprietary ratio, capital gearing, fixed assets to long-term funds, current assets to proprietary funds). Revenue ratios use two flow figures from the Statement of Profit and Loss (gross profit ratio, net profit ratio, operating profit ratio, operating ratio, expense ratios). Combined ratios use one flow and one position (inventory, debtors and creditors turnovers and their holding/collection/payment periods, working-capital, fixed-asset and capital turnovers, ROCE, ROE, ROA, EPS, and interest coverage as a solvency companion). This source classification is separate from the purpose classification into liquidity, solvency, profitability and efficiency.

### 3. The running company — Kaveri Traders Ltd

Every worked ratio in this chapter uses Kaveri Traders Ltd, a wholesale trader, year ended 31 March 2026. The numbers were chosen so that most divisions come out clean. Live with these two statements. By the end of the chapter you should be able to recompute any ratio with the statements closed.

**Business.** Kaveri buys goods on credit, sells 80% on credit and 20% for cash, owns its godown and office (fixed assets), and has one term loan. There are no preference shares, no prepaid expenses, no marketable securities, and no fictitious assets. That keeps the picking rules visible: when a component is nil, we still **name** it, then drop it.

#### Statement of Profit and Loss (condensed teaching format)

Kaveri Traders Ltd — Statement of Profit and Loss for the year ended 31 March 2026 (teaching / GP format)

| Particulars                                            | ₹                |
|--------------------------------------------------------|------------------|
| Revenue from operations (Sales)                        | ₹10,00,000       |
| of which: cash sales                                   | ₹2,00,000        |
| of which: credit sales                                 | ₹8,00,000        |
| Less: Cost of goods sold (working below)               | ₹7,50,000        |
| <b>Gross profit</b>                                    | <b>₹2,50,000</b> |
| Less: Employee benefits expense                        | ₹60,000          |
| Less: Other operating expenses (includes depreciation) | ₹40,000          |
| <b>Operating profit (EBIT / PBIT)</b>                  | <b>₹1,50,000</b> |
| Less: Finance costs (interest on long-term debt)       | ₹30,000          |
| <b>Profit before tax</b>                               | <b>₹1,20,000</b> |
| Less: Tax expense                                      | ₹30,000          |
| <b>Profit after tax (PAT) for the year</b>             | <b>₹90,000</b>   |

Schedule III would list purchases and the change in inventory as separate expense lines; the net of those two lines is COGS. For ratios, COGS is the figure you need.

#### COGS working — this is also how you rebuild COGS in any paper

| Working: Cost of goods sold             | ₹                |
|-----------------------------------------|------------------|
| Opening inventory (1 April 2025)        | ₹80,000          |
| Add: Purchases (all on credit)          | ₹7,90,000        |
| Goods available for sale                | ₹8,70,000        |
| Less: Closing inventory (31 March 2026) | ₹1,20,000        |
| <b>Cost of goods sold</b>               | <b>₹7,50,000</b> |

## Balance Sheet (Schedule III condensed — vertical)

Indian MBA papers use the Companies Act 2013 vertical form: Equity and Liabilities first, Assets second, one total. Kaveri's condensed statement follows that order. There is no "horizontal T" in the exam answer.

### Kaveri Traders Ltd — Equity and liabilities as at 31 March 2026

| Particulars                                          | ₹                |
|------------------------------------------------------|------------------|
| <b>I. EQUITY AND LIABILITIES</b>                     |                  |
| 1. Shareholders' funds                               |                  |
| (a) Equity share capital (40,000 shares of ₹10 each) | ₹4,00,000        |
| (b) Reserves and surplus                             | ₹2,00,000        |
| <b>Shareholders' funds</b>                           | <b>₹6,00,000</b> |
| 2. Non-current liabilities                           |                  |
| Long-term borrowings                                 | ₹2,00,000        |
| 3. Current liabilities                               |                  |
| Trade payables (creditors) — all for goods           | ₹1,50,000        |
| <b>Total equity and liabilities</b>                  | <b>₹9,50,000</b> |

### Kaveri Traders Ltd — Assets as at 31 March 2026

| Particulars                         | ₹                |
|-------------------------------------|------------------|
| <b>II. ASSETS</b>                   |                  |
| 1. Non-current assets               |                  |
| Property, plant and equipment (net) | ₹6,50,000        |
| 2. Current assets                   |                  |
| (a) Inventories                     | ₹1,20,000        |
| (b) Trade receivables (debtors)     | ₹1,00,000        |
| (c) Cash and cash equivalents       | ₹80,000          |
| <b>Current assets</b>               | <b>₹3,00,000</b> |
| <b>Total assets</b>                 | <b>₹9,50,000</b> |

#### KEY POINT

Check the Balance Sheet before you touch a ratio: Equity and liabilities ₹9,50,000 = Assets ₹9,50,000. Capital employed two ways: shareholders' funds ₹6,00,000 + long-term debt ₹2,00,000 = ₹8,00,000; also net fixed assets ₹6,50,000 + working capital ₹1,50,000 = ₹8,00,000. If these two capital-employed workings disagree, you have mis-picked a figure — stop and find it.

## Notes and ready extract

Facts that are not a separate line on the face of the statements — read the notes

| Extra fact (given in the question, or in notes) | ₹ / rule                        |
|-------------------------------------------------|---------------------------------|
| Opening trade receivables (1 April 2025)        | ₹60,000                         |
| Opening trade payables (1 April 2025)           | ₹1,10,000                       |
| Opening inventory (already in COGS working)     | ₹80,000                         |
| Credit sales                                    | 80% of sales = ₹8,00,000        |
| Cash sales                                      | 20% of sales = ₹2,00,000        |
| Purchases                                       | 100% on credit = ₹7,90,000      |
| Preference share capital                        | Nil                             |
| Marketable securities / current investments     | Nil                             |
| Prepaid expenses                                | Nil                             |
| Fictitious assets / miscellaneous expenditure   | Nil                             |
| Proposed dividend / outstanding expenses in CL  | Nil — CL is only trade payables |
| Face value of an equity share                   | ₹10                             |
| Number of equity shares                         | 40,000 shares                   |

When a question is silent on opening debtors or opening creditors, use the closing figure and write the assumption. Kaveri gives openings, so we use averages.

**Extract — copy this into the margin of your answer booklet before you compute any ratio**

| Ready-to-use figure | Amount | How it was built |
|---------------------|--------|------------------|
|---------------------|--------|------------------|

| Ready-to-use figure        | Amount    | How it was built                            |
|----------------------------|-----------|---------------------------------------------|
| Gross profit               | ₹2,50,000 | ₹10,00,000 – ₹7,50,000                      |
| Operating expenses         | ₹1,00,000 | ₹60,000 + ₹40,000                           |
| Operating cost             | ₹8,50,000 | ₹7,50,000 + ₹1,00,000                       |
| EBIT (operating profit)    | ₹1,50,000 | ₹2,50,000 – ₹1,00,000 (also PBT + interest) |
| Shareholders' funds        | ₹6,00,000 | ₹4,00,000 + ₹2,00,000                       |
| Capital employed           | ₹8,00,000 | ₹6,00,000 + ₹2,00,000 (also FA + WC)        |
| Working capital            | ₹1,50,000 | ₹3,00,000 – ₹1,50,000                       |
| Quick assets               | ₹1,80,000 | ₹3,00,000 – ₹1,20,000 (no prepaid)          |
| Average inventory          | ₹1,00,000 | (₹80,000 + ₹1,20,000) ÷ 2                   |
| Average trade receivables  | ₹80,000   | (₹60,000 + ₹1,00,000) ÷ 2                   |
| Average trade payables     | ₹1,30,000 | (₹1,10,000 + ₹1,50,000) ÷ 2                 |
| Total assets / total of BS | ₹9,50,000 | ₹6,50,000 + ₹3,00,000                       |
| Total debt                 | ₹3,50,000 | ₹2,00,000 + ₹1,50,000                       |

#### WATCH OUT

Credit sales are ₹8,00,000 — not ₹10,00,000. If a question is silent on the cash/credit split, the usual exam assumption is that **all sales are credit sales**, and you write that assumption on the face of the answer. Kaveri is not silent: 80% credit is given, so debtors turnover must use ₹8,00,000.

#### SOLVED EXAMPLE 7.1 · EASY

##### Prove the two statements lock together

##### Balance Sheet total.

Equity ₹4,00,000 + Reserves ₹2,00,000 + Long-term debt ₹2,00,000 + Trade payables ₹1,50,000 = ₹6,00,000 + ₹2,00,000 + ₹1,50,000 = ₹8,00,000 + ₹1,50,000 = ₹9,50,000.

Fixed assets ₹6,50,000 + Inventory ₹1,20,000 + Receivables ₹1,00,000 + Cash ₹80,000 = ₹6,50,000 + ₹3,00,000 = ₹9,50,000.

##### Capital employed, method 1 (liability side).

₹6,00,000 + ₹2,00,000 = ₹8,00,000.

##### Capital employed, method 2 (asset side).

Working capital = ₹3,00,000 – ₹1,50,000 = ₹1,50,000. FA + WC = ₹6,50,000 + ₹1,50,000 = ₹8,00,000.

##### Gross profit check.

GP ratio is given as 25% of sales, so GP = 25% × ₹10,00,000 = ₹2,50,000. COGS = sales – GP = ₹10,00,000 – ₹2,50,000 = ₹7,50,000. Purchases = COGS + closing stock – opening stock = ₹7,50,000 + ₹1,20,000 – ₹80,000 = ₹8,70,000 – ₹80,000 = ₹7,90,000.

**Answer.** The statements lock. You may now compute every ratio from this extract without going back to the ledgers.

## 4. Exam method that never changes

#### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Draw a two-column extract: P&L figures on the left, Balance Sheet figures on the right. Include openings if given.

2. Build the derived figures: GP, COGS, operating cost, EBIT, shareholders' funds, capital employed, working capital, quick assets, averages.
3. Read the requirement. Circle the ratio names. Next to each, write BS / Rev / Combined — this chooses the formula family.
4. Write the formula in words, then in figures, then the arithmetic, then the answer with unit (times, %, days, ₹, or a : b).
5. If the question says “comment / interpret / evaluate”, add two sentences: (a) against the ideal or last year, (b) one risk if the ratio went further in the same direction.
6. If an opening figure is missing, use the closing figure and write “opening not given, closing figure used as a proxy for average”.

#### EXAM TIP

Units: turnover ratios are in **times**; margin and return ratios are in **%**; collection / payment / holding periods are in **days** (or months/weeks if asked); current and quick are written as **x : 1**; EPS is in **₹ per share**. A correct 7.5 without “times” is a half-done answer.

#### KEY POINT

365 days in a year is the default in these notes. Some question papers use 360 days to make the division neat, or 12 months, or 52 weeks. If the paper states a convention, obey it. If it is silent, 365 is acceptable; write “taking 365 days in a year”.

## 5. Balance Sheet ratios

Both figures come from the Balance Sheet. These ratios talk about **structure**: can Kaveri pay what is due this year (liquidity), and who has financed the firm — owners or lenders (solvency).

There is no P&L number in this section. If you catch yourself reaching for sales or PAT, you have slipped into a Combined or Revenue ratio.

### 5.1 Current ratio (working capital ratio)

**Syllabus bucket.** Balance Sheet ratio — both figures from the Balance Sheet. Purpose family: liquidity.

**Ideal / usual comment.** Textbook ideal  $\approx 2 : 1$ . A conventional rule of thumb, not a law. Trading firms can live a little lower; manufacturers with slow stock need it higher.

#### 1. WHAT IS IT? — DEFINITION

The current ratio is current assets divided by current liabilities. It asks: for every rupee payable within a year, how many rupees of assets are expected to turn into cash within a year?

#### 2. IN SIMPLE WORDS

It is the short-term cushion. Current assets are the things that will become cash soon (stock, debtors, cash, prepaid). Current liabilities are the bills due soon (creditors, outstanding expenses, short-term borrowings, overdraft). Divide the first by the second.

#### 3. WHY DO WE NEED IT?

Lenders and the owner want to know whether next year's bills can be paid from next year's convertibles, without selling the godown. A bank sanction note almost always quotes this ratio.

#### FORMULA

**Current ratio = Current assets ÷ Current liabilities (written as CA : CL, e.g. 2 : 1)**

Working capital = CA – CL is the rupee cousin, not the ratio. Current ratio 2 does not mean working capital is ₹2. Current ratio 2 means CA = 2 × CL.

### 5.1 Current ratio (working capital ratio) — every piece of the formula

| Component           | What it means                                                                                                                                                     | How to pick it from the statements                                                                                  |
|---------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------|
| Current assets      | Assets expected to be realised within 12 months: inventory, trade receivables, cash and bank, short-term investments, prepaid expenses, bills receivable.         | Balance Sheet → Current assets. For Kaveri: inventory ₹1,20,000 + receivables ₹1,00,000 + cash ₹80,000 = ₹3,00,000. |
| Current liabilities | Obligations due within 12 months: trade payables, outstanding expenses, short-term borrowings, bank overdraft, current maturities of long-term debt, tax payable. | Balance Sheet → Current liabilities. For Kaveri: only trade payables ₹1,50,000.                                     |

#### 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

Add every current asset on the face of the BS (do not skip prepaid or cash). Add every current liability (do not skip outstanding expenses or overdraft if given). Do not include long-term borrowings. Do not include fixed assets.

#### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. From the Balance Sheet, total current assets. From the Balance Sheet, total current liabilities.
2. Write Current ratio = CA ÷ CL.
3. Divide. Write the answer as a number of times, or as x : 1.
4. Compare with 2 : 1 and with last year / industry if given. One sentence of comment if asked.

#### A ratio is a sentence, not a trophy

| Signal                   | Interpretation                                                                                                                                                                                                                                                                              |
|--------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | Comfortable cushion. Suppliers and banks are happier. The firm can take small shocks (a slow customer, a late sale) without defaulting.                                                                                                                                                     |
| Low (or falling)         | Bills may not be paid on time. A ratio under 1 means current assets do not even cover current liabilities — technically insolvent in the short run.                                                                                                                                         |
| Too high can also be bad | Idle cash sitting in the bank earning little, or stock piling up, or debtors not being collected. Owners' money is sleeping. A current ratio of 5 is not a prize; it is a question: why is capital stuck in working capital instead of earning in the business or being returned to owners? |

#### SOLVED EXAMPLE K1 · EASY

### 5.1 Current ratio (working capital ratio) from Kaveri Traders Ltd (31 March 2026)

#### Four-line working — the examiner awards marks on each line

| Line of working                 | What you write in the answer booklet                                                                          |
|---------------------------------|---------------------------------------------------------------------------------------------------------------|
| 1. Formula                      | Current ratio = Current assets ÷ Current liabilities                                                          |
| 2. Figures picked               | CA = ₹3,00,000 (inventory ₹1,20,000 + receivables ₹1,00,000 + cash ₹80,000). CL = ₹1,50,000 (trade payables). |
| 3. Arithmetic (nothing skipped) | ₹3,00,000 ÷ ₹1,50,000 = 2. Written as 2 : 1.                                                                  |
| 4. Answer with unit             | <b>2 : 1 &amp;nbsp;  (or 2 times)</b>                                                                         |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** Exactly the textbook ideal of 2 : 1. Short-term bills of ₹1 are covered by ₹2 of current assets. Not tight, not bloated. We still need the quick ratio, because part of that cushion is stock, which is the slowest current asset.

#### 10. COMMON MISTAKES

- Reading “current ratio 2” as  $CA - CL = 2$ . No:  $CA = 2 \times CL$ . If WC is ₹1,50,000 and CR is 2, CL is ₹1,50,000, not ₹2.
- Leaving prepaid expenses out of CA. Prepaid is a current asset. (It is excluded only when we compute the quick ratio.)
- Putting long-term debt into CL. A term loan due after 12 months is non-current.
- Using working capital as the denominator. The denominator is CL, not WC.

#### 11. MEMORY TRICK

Current = everything soon-to-be-cash over everything soon-to-be-paid. Ideal 2 : 1 — “two on top, one below”.

#### WATCH OUT

Bank overdraft: treat it as a current liability (denominator). Do not net it off cash unless the question says “cash net of overdraft”.  
Proposed dividend, if given as a current liability in the paper’s own BS, stays in CL.

## 5.2 Quick ratio (acid-test / liquid ratio)

**Syllabus bucket.** Balance Sheet ratio. Purpose family: liquidity (stricter than current).

**Ideal / usual comment.** Textbook ideal  $\approx 1 : 1$ . Quick assets should at least equal current liabilities.

#### 1. WHAT IS IT? — DEFINITION

The quick ratio is quick (liquid) assets divided by current liabilities. Quick assets are current assets minus inventory and minus prepaid expenses. It asks: if we cannot sell a single extra unit of stock, can we still pay the bills from cash, near-cash and debtors?

#### 2. IN SIMPLE WORDS

The current ratio trusts stock. The acid test does not. Stock may be slow, damaged, or overvalued. Prepaid expenses will not pay a creditor — the landlord already has that rent. So we drop both, and test again.

#### 3. WHY DO WE NEED IT?

To measure immediate liquidity. A firm with a pretty current ratio of 2.5 that is almost all unsold monsoon stock will fail the acid test. Banks look at this after they look at current ratio.

#### FORMULA

**Quick ratio = (Current assets – Inventory – Prepaid expenses) ÷ Current liabilities**

Quick assets = Cash + Bank + Marketable securities + Trade receivables + Bills receivable. Equivalent formula: Quick assets ÷ CL. Ideal  $\approx 1 : 1$ .

### 5.2 Quick ratio (acid-test / liquid ratio) — every piece of the formula

| Component           | What it means                                                                                   | How to pick it from the statements                                                                                            |
|---------------------|-------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|
| Quick assets        | Current assets that can be converted into cash in a short time without a special sale of stock. | Kaveri: CA ₹3,00,000 – inventory ₹1,20,000 – prepaid ₹0 = ₹1,80,000. Check: receivables ₹1,00,000 + cash ₹80,000 = ₹1,80,000. |
| Inventory (stock)   | Goods held for sale. Slowest current asset; may not realise book value.                         | BS → Inventories. Kaveri closing stock ₹1,20,000. Deduct it.                                                                  |
| Prepaid expenses    | Already paid; will not come back as cash. Cannot be used to pay a creditor.                     | Kaveri has none. If a paper gives prepaid ₹20,000, deduct that too.                                                           |
| Current liabilities | Same CL as in the current ratio.                                                                | Kaveri: ₹1,50,000.                                                                                                            |

#### 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

Start with total CA. Subtract closing inventory. Subtract prepaid expenses (and any deferred or non-cash current assets the question flags). Do not subtract debtors — debtors are quick. Do not subtract cash. Divide by the same CL you used for the current ratio.

#### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Compute current assets and current liabilities as for the current ratio.
2. Identify inventory and prepaid (and loose tools / stock of stationery if the paper treats them as non-quick).
3. Quick assets = CA – inventory – prepaid.
4. Quick ratio = Quick assets ÷ CL. Write as x : 1.

#### A ratio is a sentence, not a trophy

| Signal                   | Interpretation                                                                                                           |
|--------------------------|--------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | The firm can pay short-term dues even if stock freezes. Creditors are well covered by cash and debtors.                  |
| Low (or falling)         | Below 1 : 1, the firm depends on selling stock (or taking a new loan) to pay today's bills. That is a liquidity risk.    |
| Too high can also be bad | Cash and debtors piled up. Cash earning little; debtors perhaps too generous (check collection period). Capital is idle. |

#### SOLVED EXAMPLE K2 · EASY

#### 5.2 Quick ratio (acid-test / liquid ratio) from Kaveri Traders Ltd (31 March 2026)

##### Four-line working — the examiner awards marks on each line

| Line of working                 | What you write in the answer booklet                                                                            |
|---------------------------------|-----------------------------------------------------------------------------------------------------------------|
| 1. Formula                      | Quick ratio = (CA – Inventory – Prepaid) ÷ CL                                                                   |
| 2. Figures picked               | CA ₹3,00,000, Inventory ₹1,20,000, Prepaid nil, CL ₹1,50,000. Quick assets = ₹3,00,000 – ₹1,20,000 = ₹1,80,000. |
| 3. Arithmetic (nothing skipped) | ₹1,80,000 ÷ ₹1,50,000 = 1.2. Written as 1.20 : 1.                                                               |
| 4. Answer with unit             | <b>1.20 : 1</b>                                                                                                 |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** 1.2 : 1 is above the 1 : 1 ideal. Even with stock ignored, Kaveri covers its bills. The gap between current 2.0 and quick 1.2 is stock of ₹1,20,000 — we will later see whether that stock is moving (spoiler: stock turnover 7.5 times, so it is moving).

#### 10. COMMON MISTAKES

- Forgetting to deduct prepaid expenses. Prepaid is in CA, but it is not a quick asset.
- Deducting debtors “because they might not pay”. Doubtful debts, if a provision is given, are already netted. Do not drop the whole receivables line.
- Using opening stock instead of closing stock. The Balance Sheet is a closing photograph. Quick ratio uses closing inventory.
- Changing the CL between current and quick. Same denominator.

#### 11. MEMORY TRICK

Acid test = drop the slow and the already-spent: drop stock, drop prepaid. Ideal 1 : 1 — “one on top, one below”.

#### EXAM TIP



If the paper gives “liquid assets” as a ready total, believe it. If it gives a list, you must deduct stock and prepaid yourself. Loose tools and prepaid rent are the two items students most often leave inside quick assets.

### 5.3 Absolute liquid ratio (cash ratio)

**Syllabus bucket.** Balance Sheet ratio. Purpose family: liquidity (strictest).

**Ideal / usual comment.** Conventional ideal  $\approx 0.5 : 1$  (cash and near-cash equal half of current liabilities). Not always required; many traders run lower because cash earns little.

#### 1. WHAT IS IT? — DEFINITION

The absolute liquid ratio is cash plus marketable securities (current investments), divided by current liabilities. It asks: without collecting a single debtor and without selling a single unit of stock, can we pay any part of the bills today?

#### 2. IN SIMPLE WORDS

Only money that is already money (or can be sold on the stock exchange this afternoon). Cash at bank, cash in hand, and Treasury bills / listed securities held as current investments. Nothing else.

#### 3. WHY DO WE NEED IT?

To test emergency liquidity. A firm that looks fine on the current and quick ratios can still bounce a cheque if debtors are slow and the bank will not extend the overdraft. This ratio is that cheque-book test.

#### FORMULA

**Absolute liquid ratio = (Cash and bank + Marketable securities) ÷ Current liabilities**

Also called cash ratio or super-quick ratio. Marketable securities = current investments that can be sold at once. Do not include long-term investments.

### 5.3 Absolute liquid ratio (cash ratio) — every piece of the formula

| Component                 | What it means                                                                           | How to pick it from the statements                                             |
|---------------------------|-----------------------------------------------------------------------------------------|--------------------------------------------------------------------------------|
| Cash and cash equivalents | Cash in hand, cash at bank, short-term deposits that are as good as cash.               | BS → Cash and cash equivalents. Kaveri: ₹80,000.                               |
| Marketable securities     | Current investments: listed shares, T-bills, mutual-fund units held to be sold any day. | Kaveri: nil. If a paper gives “current investments ₹40,000”, add them to cash. |
| Current liabilities       | Same CL as current and quick.                                                           | Kaveri: ₹1,50,000.                                                             |

#### 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

Take the cash-and-cash-equivalents line. Add current investments / marketable securities if given. Do not add debtors. Do not add stock. Divide by CL.

#### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Pick cash and bank. Add marketable securities / current investments.
2. Pick current liabilities (same as current ratio).
3. Divide. Write as  $x : 1$ .
4. Comment against  $0.5 : 1$  if the question asks for a comment.

**A ratio is a sentence, not a trophy**

| Signal | Interpretation |
|--------|----------------|
|--------|----------------|

| Signal                   | Interpretation                                                                                                                                                                 |
|--------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | The firm can pay a large slice of bills today. Useful in a credit freeze.                                                                                                      |
| Low (or falling)         | The firm depends on collecting debtors or selling stock or drawing an overdraft. Normal for a well-run trader, dangerous if debtors are already slow.                          |
| Too high can also be bad | Cash hoard. Opportunity cost: that cash could repay a loan, earn in the business, or be paid as dividend. A cash ratio of 2 is usually poor treasury management, not strength. |

#### SOLVED EXAMPLE K3 · EASY

### 5.3 Absolute liquid ratio (cash ratio) from Kaveri Traders Ltd (31 March 2026)

**Four-line working — the examiner awards marks on each line**

| Line of working                 | What you write in the answer booklet                        |
|---------------------------------|-------------------------------------------------------------|
| 1. Formula                      | Absolute liquid ratio = (Cash + Marketable securities) ÷ CL |
| 2. Figures picked               | Cash ₹80,000, marketable securities nil, CL ₹1,50,000.      |
| 3. Arithmetic (nothing skipped) | ₹80,000 ÷ ₹1,50,000 = 80,000 ÷ 1,50,000 = 8/15 = 0.5333...  |
| 4. Answer with unit             | <b>0.53 : 1 &amp;nbsp;  (exactly 8 : 15)</b>                |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** Just above the 0.5 : 1 rule of thumb. Kaveri can pay a little more than half its current bills from cash already in the bank, without waiting for a debtor. Comfortable, not idle.

#### 10. COMMON MISTAKES

- Adding debtors. Debtors are quick, not absolute liquid.
- Adding long-term investments. A 5-year bond is not cash.
- Netting off overdraft against cash without being asked, then also keeping overdraft in CL — you would double-count the benefit.

#### 11. MEMORY TRICK

Absolute = already money. Cash + marketable securities only. Ideal about half a rupee of cash per rupee of CL (0.5 : 1).

## 5.4 Debt-equity ratio

**Syllabus bucket.** Balance Sheet ratio. Purpose family: solvency / leverage / capital structure.

**Ideal / usual comment.** No single ideal. Many Indian textbooks quote 2 : 1 as an outer ceiling for long-term debt : equity (debt not more than twice equity), and 1 : 1 as comfortable. Trading firms often sit well below 1 : 1. Banks have their own covenants.

#### 1. WHAT IS IT? — DEFINITION

The debt-equity ratio compares long-term outside funds with owners' funds. It asks: for every rupee the owners have committed, how many rupees have long-term lenders committed?

#### 2. IN SIMPLE WORDS

It is the see-saw between borrowed money and own money. High debt-equity means the see-saw is heavy on the lenders' side — cheaper (interest is tax-deductible) but riskier (interest must be paid even in a bad year).

#### 3. WHY DO WE NEED IT?

To judge long-term solvency and financial risk. A lender looks at this before sanctioning a term loan. An owner looks at this before taking more debt to “gear up” return on equity.

#### FORMULA

### Debt-equity ratio = Long-term debt ÷ Shareholders' funds (MBA exam standard)

Two versions exist. (A) Long-term debt ÷ Shareholders' funds — the common Indian MBA version, used in this chapter. (B) Total debt (long-term + current) ÷ Shareholders' funds — used when the question says “total debt” or “debt” without “long-term”. Write which version you are using.

#### 5.4 Debt-equity ratio — every piece of the formula

| Component                    | What it means                                                                                                            | How to pick it from the statements                               |
|------------------------------|--------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------|
| Long-term debt (version A)   | Debentures, term loans, bonds, and sometimes preference share capital (fixed-dividend outsider). Exclude trade payables. | Kaveri: long-term borrowings ₹2,00,000. No preference capital.   |
| Total debt (version B)       | Long-term debt + current liabilities.                                                                                    | Kaveri: ₹2,00,000 + ₹1,50,000 = ₹3,50,000.                       |
| Shareholders' funds (equity) | Equity share capital + reserves and surplus – fictitious assets (preliminary expenses, P&L debit balance).               | Kaveri: ₹4,00,000 + ₹2,00,000 = ₹6,00,000. No fictitious assets. |

#### 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

Do not use equity share capital alone — reserves belong to owners too. Do not put trade payables into long-term debt for version A. If preference capital is given, check the question: some papers treat it as debt (fixed dividend), some as equity. The common MBA treatment of capital gearing puts preference with debt; for debt-equity, follow the question's wording. Kaveri has no preference, so the issue does not arise.

#### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Decide version A (long-term) or B (total) from the wording.
2. Shareholders' funds = equity share capital + reserves – fictitious assets.
3. Divide debt by shareholders' funds. Write as x : 1 (or as a pure number).
4. Comment: higher = more risk for owners and lenders; lower = more cushion, but maybe unused cheap debt.

#### A ratio is a sentence, not a trophy

| Signal                   | Interpretation                                                                                                                                                                                                                                                                                                          |
|--------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | Lenders have a large claim. Interest burden is heavy. A bad year can wipe owners out (and then hurt lenders). High financial risk. Some owners like it because a successful year magnifies ROE — that is gearing.                                                                                                       |
| Low (or falling)         | Owners have financed most of the firm. Safe for lenders. Conservative. ROE will not get a debt-boost.                                                                                                                                                                                                                   |
| Too high can also be bad | A debt-equity of 4 : 1 on long-term funds is usually dangerous outside specialised project finance. One missed season and the firm cannot service interest. Banks will not lend more. Too low (say 0 : 1 with no debt at all) can also be 'bad' in a value sense: the firm may be refusing cheap, tax-deductible funds. |

#### SOLVED EXAMPLE K4 · EASY

### 5.4 Debt-equity ratio from Kaveri Traders Ltd (31 March 2026)

#### Four-line working — the examiner awards marks on each line

| Line of working   | What you write in the answer booklet                                             |
|-------------------|----------------------------------------------------------------------------------|
| 1. Formula        | Debt-equity (long-term) = Long-term debt ÷ Shareholders' funds                   |
| 2. Figures picked | Long-term debt ₹2,00,000; Shareholders' funds ₹4,00,000 + ₹2,00,000 = ₹6,00,000. |

| Line of working                 | What you write in the answer booklet                                                 |
|---------------------------------|--------------------------------------------------------------------------------------|
| 3. Arithmetic (nothing skipped) | $\text{₹}2,00,000 \div \text{₹}6,00,000 = 2,00,000 \div 6,00,000 = 1/3 = 0.333\dots$ |
| 4. Answer with unit             | <b>0.33 : 1 &amp;nbsp;  (or 1 : 3)</b>                                               |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** Conservative. For every ₹3 of owners' money there is ₹1 of long-term debt. Lenders are well covered. Version B (total debt) =  $\text{₹}3,50,000 \div \text{₹}6,00,000 = 0.58 : 1$  — still modest, because current liabilities are only trade credit, not a bank overdraft.

#### 10. COMMON MISTAKES

- Using only share capital ₹4,00,000 as equity and ignoring reserves ₹2,00,000. That would wrongly give  $2,00,000/4,00,000 = 0.5$  instead of 0.33.
- Putting current liabilities into long-term debt when the question said “long-term debt-equity”.
- Inverting the ratio (equity/debt) without saying so. Some papers want Equity-debt; read the name.
- Treating a bank overdraft as long-term debt. It is current.

#### 11. MEMORY TRICK

Debt over Equity = outsiders over owners. “DE” — Debt first, Equity under it. Low is safe; high is geared.

#### SOLVED EXAMPLE K4B · EASY

**Both versions, side by side, from Kaveri**

**Four-line working — the examiner awards marks on each line**

| Line of working                 | What you write in the answer booklet                                                                                                                         |
|---------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1. Formula                      | Version A: $\text{LTD} \div \text{SF}$ Version B: $(\text{LTD} + \text{CL}) \div \text{SF}$                                                                  |
| 2. Figures picked               | LTD ₹2,00,000, CL ₹1,50,000, SF ₹6,00,000                                                                                                                    |
| 3. Arithmetic (nothing skipped) | A: $\text{₹}2,00,000 \div \text{₹}6,00,000 = 0.33 : 1$ .    B: $\text{₹}3,50,000 \div \text{₹}6,00,000 = 3,50,000 \div 6,00,000 = 35/60 = 7/12 = 0.58 : 1$ . |
| 4. Answer with unit             | <b>A = 0.33 : 1 (use unless the question says total debt); B = 0.58 : 1</b>                                                                                  |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

In the rest of this chapter, “debt-equity” means version A (long-term), which is the common MBA exam version.

## 5.5 Proprietary ratio

**Syllabus bucket.** Balance Sheet ratio. Purpose family: solvency / capital structure.

**Ideal / usual comment.** Higher is safer. A common comfort zone is 0.60 to 0.75 (60%–75% of assets financed by owners). There is no single statutory ideal.

#### 1. WHAT IS IT? — DEFINITION

The proprietary ratio is shareholders' funds divided by total assets (or total of the Balance Sheet). It is the owners' slice of the whole pie. It asks: what fraction of every rupee of assets is financed by the owners, not by outsiders?

#### 2. IN SIMPLE WORDS

If the proprietary ratio is 0.63, then 63 paise of every asset-rupee is owners' money, and 37 paise is owed to lenders and creditors. It is the complement of the outsider's-funds ratio.

### 3. WHY DO WE NEED IT?

To judge the cushion available to creditors. A high proprietary ratio means outsiders have a thick layer of owners' money standing in front of them if the firm is wound up.

#### FORMULA

**Proprietary ratio = Shareholders' funds ÷ Total assets (or × 100 for a percentage)**

Total assets = total of the Balance Sheet = Equity + all liabilities. Outsiders' funds ratio = 1 – proprietary ratio (when both are in the same units).

### 5.5 Proprietary ratio — every piece of the formula

| Component           | What it means                                                                             | How to pick it from the statements         |
|---------------------|-------------------------------------------------------------------------------------------|--------------------------------------------|
| Shareholders' funds | Equity share capital + reserves – fictitious assets. Same equity you used in debt-equity. | Kaveri: ₹6,00,000.                         |
| Total assets        | Non-current assets + current assets. Equals the Balance Sheet total.                      | Kaveri: ₹6,50,000 + ₹3,00,000 = ₹9,50,000. |

### 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

Numerator is not share capital alone. Denominator is the BS total, not just fixed assets. If fictitious assets exist, deduct them from shareholders' funds and also from total assets (they are not real assets).

### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Compute shareholders' funds.
2. Take the Balance Sheet total as total assets.
3. Divide. Express as a ratio (0.63 : 1) or as 63%.
4. Optionally compute outsiders' funds ratio = 1 – this, as a check.

### A ratio is a sentence, not a trophy

| Signal                   | Interpretation                                                                                                                                                                                          |
|--------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | Strong owner-cushion. Easy to borrow more if needed. Conservative structure.                                                                                                                            |
| Low (or falling)         | Assets are mostly outsider-financed. Creditors are less protected. A sequence of losses will wipe equity fast.                                                                                          |
| Too high can also be bad | Almost no debt. Safe, but the firm may be under-levered: it is not using tax-deductible interest, and ROE may be lower than it could be. "Too high" here is a strategy comment, not a distress comment. |

### SOLVED EXAMPLE K5 · EASY

### 5.5 Proprietary ratio from Kaveri Traders Ltd (31 March 2026)

#### Four-line working — the examiner awards marks on each line

| Line of working                 | What you write in the answer booklet                                      |
|---------------------------------|---------------------------------------------------------------------------|
| 1. Formula                      | Proprietary ratio = Shareholders' funds ÷ Total assets                    |
| 2. Figures picked               | SF ₹6,00,000; Total assets ₹9,50,000.                                     |
| 3. Arithmetic (nothing skipped) | ₹6,00,000 ÷ ₹9,50,000 = 6,00,000 ÷ 9,50,000 = 60/95 = 12/19 = 0.631578... |
| 4. Answer with unit             | <b>0.63 : 1 &amp;nbsp;or 63.16%</b>                                       |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** Owners finance about 63% of assets. Outsiders finance about 37% ( $\text{₹}3,50,000 \div \text{₹}9,50,000 = 36.84\%$ ). A healthy owner-majority. Matches the low debt-equity of 0.33 : 1.

#### 10. COMMON MISTAKES

- Denominator = fixed assets only. Wrong. It is total assets.
- Numerator = equity share capital only, skipping reserves.
- Adding long-term debt to the numerator. That would be capital employed / total assets, a different ratio.

#### 11. MEMORY TRICK

Proprietary = proprietors' piece of the pie = owners' funds / total assets. Bigger slice, safer creditors.

## 5.6 Capital gearing ratio

**Syllabus bucket.** Balance Sheet ratio. Purpose family: solvency / leverage.

**Ideal / usual comment.** A firm is low-gearred when equity funds exceed fixed-charge funds (ratio < 1 in the version used here). High-gearred when fixed-charge funds exceed equity (ratio > 1). Neither is "ideal"; high gearing magnifies both profit and loss.

#### 1. WHAT IS IT? — DEFINITION

Capital gearing measures the mix of fixed-interest (and fixed-dividend) funds versus equity owners' funds. It is debt-equity with preference capital parked on the debt side, because preference pays a fixed dividend just as debt pays a fixed interest.

#### 2. IN SIMPLE WORDS

Gearing is a bicycle gear. In a high gear, a small push on the pedals (a rise in EBIT) moves the bicycle a long way (a big rise in profit for equity). Going uphill (a fall in EBIT) then becomes very hard. Low gear is safer and slower.

#### 3. WHY DO WE NEED IT?

To see how sensitive equity earnings are to a change in EBIT, and to classify the firm as high-gearred or low-gearred. This is a favourite theory-plus-small-numerical question.

#### FORMULA

**Capital gearing = (Preference share capital + Long-term debt) ÷ Equity shareholders' funds**

This is the common MBA exam version (fixed-charge funds / equity funds). Some papers invert it: Equity funds ÷ (Preference + long-term debt). Some use equity share capital only in the denominator (excluding reserves). State the version. In these notes: numerator = pref + LTD; denominator = equity share capital + reserves (no pref in Kaveri).

#### 5.6 Capital gearing ratio — every piece of the formula

| Component                  | What it means                                                                              | How to pick it from the statements                  |
|----------------------------|--------------------------------------------------------------------------------------------|-----------------------------------------------------|
| Fixed-charge funds         | Preference share capital (fixed dividend) + debentures + long-term loans (fixed interest). | Kaveri: preference nil + LTD ₹2,00,000 = ₹2,00,000. |
| Equity shareholders' funds | Equity share capital + reserves – fictitious assets. Do not put preference here.           | Kaveri: ₹6,00,000.                                  |

#### 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

If there is no preference capital (Kaveri, and many numericals), capital gearing collapses to the same arithmetic as long-term debt-equity. Still write the full formula with “preference = 0”, so the examiner sees you know where preference would go.

#### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. List preference capital and all long-term borrowings. Add them. This is the numerator.
2. Equity share capital + reserves – fictitious assets. This is the denominator.
3. Divide. If the ratio is less than 1, say “low geared”. If more than 1, say “high geared”.
4. One sentence: high gearing helps equity in good years and hurts it in bad years.

#### A ratio is a sentence, not a trophy

| Signal                   | Interpretation                                                                                                                               |
|--------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | High geared: a large share of capital carries a fixed charge. Equity earnings swing more than EBIT. Risk for equity holders and for lenders. |
| Low (or falling)         | Low geared: most capital is equity. Earnings are more stable. Safer, less magnified.                                                         |
| Too high can also be bad | A very high gearing next to a thin interest-coverage is a distress signal. Too low means unused leverage — a comment, not a crisis.          |

#### SOLVED EXAMPLE K6 · EASY

#### 5.6 Capital gearing ratio from Kaveri Traders Ltd (31 March 2026)

#### Four-line working — the examiner awards marks on each line

| Line of working                 | What you write in the answer booklet                                                 |
|---------------------------------|--------------------------------------------------------------------------------------|
| 1. Formula                      | Capital gearing = (Preference capital + Long-term debt) ÷ Equity shareholders' funds |
| 2. Figures picked               | Preference nil; LTD ₹2,00,000; Equity funds ₹6,00,000.                               |
| 3. Arithmetic (nothing skipped) | $(0 + ₹2,00,000) ÷ ₹6,00,000 = 2,00,000 ÷ 6,00,000 = 1/3 = 0.33$ .                   |
| 4. Answer with unit             | <b>0.33 &amp;nbsp;(low geared, because <math>0.33 &lt; 1</math>)</b>                 |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** Low geared. Equity funds are three times fixed-charge funds. A fall in EBIT will not quickly wipe the equity residual. Combined with interest coverage of 5 times (computed later), gearing is comfortable.

#### 10. COMMON MISTAKES

- Putting preference capital in the denominator. Preference is a fixed-charge fund — numerator in this version.
- Using only equity share capital in the denominator and leaving out reserves, unless the paper’s formula is printed that way.
- Saying “high geared” because a 0.33 exists. High/low is judged against 1 in this version, or by the paper’s own wording.
- Confusing capital gearing with operating gearing (fixed operating costs). Capital gearing is about finance, not about rent and depreciation.

#### 11. MEMORY TRICK

Gearing = fixed-charge money over equity money. Preference sits with debt, not with equity. Below 1 = low gear = safer.

#### KEY POINT

If a paper prints Capital gearing = Equity / (Preference + Debentures), then a ratio greater than 1 is low geared (more equity). Always read the printed formula. The words “high geared” and “low geared” follow whichever version the paper chose, not a universal fraction.

## 5.7 Fixed assets to long-term funds ratio

**Syllabus bucket.** Balance Sheet ratio. Purpose family: solvency / asset-financing structure.

**Ideal / usual comment.** Should be less than 1 (or < 100%). Fixed assets should be financed by long-term funds, with some long-term funds left over for working capital. A ratio above 1 means part of the factory was paid for with money that has to be repaid this year — dangerous.

### 1. WHAT IS IT? — DEFINITION

This ratio is net fixed assets divided by long-term funds (shareholders’ funds + long-term debt = capital employed). It asks: what fraction of long-term money is locked in long-term assets?

### 2. IN SIMPLE WORDS

A godown should be paid for with a term loan or with owners’ money, not with next month’s creditor money. This ratio checks that matching: long-term assets against long-term funds.

### 3. WHY DO WE NEED IT?

To test whether the firm has used short-term funds to buy fixed assets (a classic way firms get into a liquidity trap). Also to see how much long-term finance remains for working capital.

### FORMULA

**Fixed assets to long-term funds = Net fixed assets ÷ Long-term funds**

Long-term funds = Shareholders’ funds + Long-term debt = Capital employed. Net fixed assets = gross FA – accumulated depreciation. Express as a ratio or as a percentage.

## 5.7 Fixed assets to long-term funds ratio — every piece of the formula

| Component        | What it means                                                                                                                               | How to pick it from the statements         |
|------------------|---------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------|
| Net fixed assets | Property, plant and equipment after depreciation. Exclude current assets. Include capital work-in-progress if the question treats it as FA. | Kaveri: ₹6,50,000.                         |
| Long-term funds  | Equity + reserves + long-term borrowings. Same as capital employed.                                                                         | Kaveri: ₹6,00,000 + ₹2,00,000 = ₹8,00,000. |

### 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

Use net FA, not gross, unless the question gives only gross and no depreciation. Denominator is not total liabilities — current liabilities stay out.

### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Pick net fixed assets from the asset side.
2. Long-term funds = shareholders’ funds + long-term debt.
3. Divide. If the answer is more than 1, write a warning sentence: part of FA is financed by current liabilities.
4. The leftover fraction (1 – this ratio) is the share of long-term funds supporting working capital.

**A ratio is a sentence, not a trophy**



| Signal                   | Interpretation                                                                                                                                                                                                                                                  |
|--------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | A larger share of long-term funds is locked in FA. If the ratio is still below 1, this is a structure comment, not yet distress.                                                                                                                                |
| Low (or falling)         | Plenty of long-term funds sit in working capital. Very liquid structure. Check that WC itself is not idle (current ratio, stock turnover).                                                                                                                      |
| Too high can also be bad | Above 1: the firm bought a machine with creditor money or with an overdraft. When the creditor asks to be paid, the machine cannot be sold overnight. This is a classic cause of failure. Too low (say 0.3 in a factory) may mean under-investment in capacity. |

#### SOLVED EXAMPLE K7 · EASY

### 5.7 Fixed assets to long-term funds ratio from Kaveri Traders Ltd (31 March 2026)

Four-line working — the examiner awards marks on each line

| Line of working                 | What you write in the answer booklet                                  |
|---------------------------------|-----------------------------------------------------------------------|
| 1. Formula                      | FA to long-term funds = Net fixed assets ÷ (SF + LTD)                 |
| 2. Figures picked               | Net FA ₹6,50,000; long-term funds ₹8,00,000.                          |
| 3. Arithmetic (nothing skipped) | ₹6,50,000 ÷ ₹8,00,000 = 6,50,000 ÷ 8,00,000 = 65/80 = 13/16 = 0.8125. |
| 4. Answer with unit             | <b>0.81 : 1 &amp;nbsp;or 81.25%</b>                                   |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** 81.25% of long-term funds are in the godown and office; 18.75% (₹1,50,000 out of ₹8,00,000) supports working capital. The ratio is below 1, so no short-term money is trapped in FA. Healthy matching of funds.

#### 10. COMMON MISTAKES

- Using gross fixed assets when accumulated depreciation is given. Use net.
- Denominator = shareholders' funds only, omitting long-term debt. That is a different (stricter) ratio.
- Comparing with 2 : 1 (the current-ratio ideal). Wrong family. Here the ceiling of comfort is 1 : 1.

#### 11. MEMORY TRICK

Match the life: long asset, long money. FA / long-term funds should stay under 1. Above 1 = a machine bought on a credit card.

### 5.8 Current assets to proprietary funds ratio

**Syllabus bucket.** Balance Sheet ratio. Purpose family: structure / liquidity of owners' money.

**Ideal / usual comment.** No universal ideal. A high ratio means a large share of owners' money is in working capital (typical of a trader). A low ratio means owners' money is mostly in fixed assets (typical of a heavy manufacturer).

#### 1. WHAT IS IT? — DEFINITION

Current assets divided by shareholders' funds. It asks: how many rupees of current assets does the firm hold for every rupee of owners' funds?

#### 2. IN SIMPLE WORDS

It is a snapshot of where the owners' money is sitting on the asset side — in stock, debtors and cash, versus in the building. A trader like Kaveri should show a noticeable slice of owners' funds in current assets; a cement plant should not.

#### 3. WHY DO WE NEED IT?

To judge whether owners' funds are tied up in working capital (which should revolve) or in long-term assets. Useful when comparing a trader with a manufacturer, or this year with last year.

#### FORMULA

**Current assets to proprietary funds = Current assets ÷ Shareholders' funds**

Proprietary funds = shareholders' funds. Same numerator as the current ratio; different denominator.

#### 5.8 Current assets to proprietary funds ratio — every piece of the formula

| Component                         | What it means                                        | How to pick it from the statements |
|-----------------------------------|------------------------------------------------------|------------------------------------|
| Current assets                    | Inventory + receivables + cash + prepaid + other CA. | Kaveri: ₹3,00,000.                 |
| Shareholders' / proprietary funds | Equity share capital + reserves – fictitious assets. | Kaveri: ₹6,00,000.                 |

#### 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

Same CA as current ratio. Same SF as debt-equity and proprietary ratio. Do not use capital employed in the denominator — that would include long-term debt.

#### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Total current assets.
2. Compute shareholders' funds.
3. Divide. Write as a ratio or as a percentage.
4. Read it with the nature of the business (trader vs manufacturer).

#### A ratio is a sentence, not a trophy

| Signal                   | Interpretation                                                                                                                                                                                  |
|--------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | A large part of owners' money is in stock, debtors and cash. Fine for a wholesaler. For a factory it may mean idle WC or thin FA.                                                               |
| Low (or falling)         | Owners' money is mostly in fixed assets. Fine for a factory. For a trader it may mean the firm is under-stocked or under-banked.                                                                |
| Too high can also be bad | Owners have funded a mountain of stock and debtors. Check stock turnover and collection period — the mountain may not be moving. Too low in a trading firm: possible stock-outs and lost sales. |

#### SOLVED EXAMPLE K8 · EASY

#### 5.8 Current assets to proprietary funds ratio from Kaveri Traders Ltd (31 March 2026)

#### Four-line working — the examiner awards marks on each line

| Line of working                 | What you write in the answer booklet                           |
|---------------------------------|----------------------------------------------------------------|
| 1. Formula                      | CA to proprietary funds = Current assets ÷ Shareholders' funds |
| 2. Figures picked               | CA ₹3,00,000; SF ₹6,00,000.                                    |
| 3. Arithmetic (nothing skipped) | ₹3,00,000 ÷ ₹6,00,000 = 3,00,000 ÷ 6,00,000 = 1/2 = 0.50.      |
| 4. Answer with unit             | <b>0.50 : 1 &amp;nbsp;or 50%</b>                               |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** Half of owners' funds sit in current assets — sensible for a trader. The other half, plus the entire long-term loan, sits in the godown (see FA to long-term funds 81%). Structure fits the business.

## 10. COMMON MISTAKES

- Denominator = capital employed. That mixes lenders' money into "proprietary" funds — the name of the ratio forbids it.
- Using working capital as the numerator. The name says current assets, not net current assets.

## 11. MEMORY TRICK

CA over owners' money. A trader's number is higher than a factory's. Do not hunt for a 2 : 1 ideal — that ideal belongs to the current ratio.

## 6. Revenue (P&L) ratios

Both figures come from the Statement of Profit and Loss. These are **margin** ratios: how many paise of each sales-rupee survive at each layer of cost. No Balance-Sheet number is allowed in this section.

Picture the P&L as a staircase down from sales: COGS is cut first (gross profit remains), then operating expenses (operating profit remains), then interest (PBT remains), then tax (PAT remains). Each ratio is one step's leftover, as a percentage of sales.

### FORMULA

**Operating ratio + Operating profit ratio  $\approx$  100% (when other income is nil, as in Kaveri)**

If your two answers do not add to 100, you have either included interest in operating cost, or included other income in sales, or used PAT instead of operating profit. Check before you move on.

### 6.1 Gross profit ratio (GP ratio)

**Syllabus bucket.** Revenue ratio — both figures from the P&L. Purpose family: profitability (trading margin).

**Ideal / usual comment.** Depends on the trade. A grocer may live on 12%; a boutique on 50%. Kaveri's 25% is a healthy wholesale-trading margin. Compare with last year and with rivals, not with a universal number.

#### 1. WHAT IS IT? — DEFINITION

Gross profit ratio is gross profit divided by revenue from operations (net sales), times 100. It is the margin left after paying for the goods themselves, and before paying people, rent, interest and tax.

#### 2. IN SIMPLE WORDS

Out of every ₹100 of sales, how many rupees are left after the cost of those goods? If GP ratio is 25%, ₹25 is left and ₹75 went to COGS.

#### 3. WHY DO WE NEED IT?

To judge trading efficiency: buying well, selling well, not leaking goods. A fall in GP ratio, with selling prices unchanged, usually means cost of goods rose or stock was lost. It is the first profitability ratio any analyst computes.

### FORMULA

**Gross profit ratio = (Gross profit  $\div$  Revenue from operations)  $\times$  100**

Gross profit = Sales – COGS. COGS = Opening stock + Purchases – Closing stock (+ direct expenses if given). Use net sales (after returns). Do not use total assets or capital.

### 6.1 Gross profit ratio (GP ratio) — every piece of the formula

| Component    | What it means                                         | How to pick it from the statements                                                       |
|--------------|-------------------------------------------------------|------------------------------------------------------------------------------------------|
| Gross profit | Sales minus cost of goods sold. The trading leftover. | Kaveri: ₹10,00,000 – ₹7,50,000 = ₹2,50,000.<br>Also 25% $\times$ sales, by construction. |

| Component                             | What it means                                                                                                                  | How to pick it from the statements                   |
|---------------------------------------|--------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------|
| Revenue from operations / Net sales   | Sales of goods and services, after returns, usually excluding other income (interest, rent received, profit on sale of asset). | Kaveri: ₹10,00,000. Other income is nil.             |
| COGS (to build GP if GP is not given) | Opening stock + purchases – closing stock (+ carriage inward, wages if the paper treats them as direct).                       | Kaveri: ₹80,000 + ₹7,90,000 – ₹1,20,000 = ₹7,50,000. |

#### 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

Use net sales, not cash sales only, and not sales + other income. If the question gives GP ratio and sales,  $GP = \text{rate} \times \text{sales}$ . If it gives opening, purchases, closing, build COGS first, then  $GP = \text{sales} - \text{COGS}$ .

#### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Compute COGS if needed: opening stock + purchases – closing stock.
2.  $GP = \text{Sales} - \text{COGS}$ . (Or  $GP = GP\% \times \text{Sales}$  if the rate is given.)
3.  $GP \text{ ratio} = GP \div \text{Sales} \times 100$ . Unit is %.
4. Comment: a fall is a trading problem (price, cost, or theft); a rise is a trading improvement — or a change in mix.

#### A ratio is a sentence, not a trophy

| Signal                   | Interpretation                                                                                                                                                                                               |
|--------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | Strong trading margin. Either selling prices are firm, or the firm buys cheap, or the mix has shifted to richer goods.                                                                                       |
| Low (or falling)         | Thin trading margin. A small rise in cost or a discount war will wipe GP. Danger if operating expenses are already high.                                                                                     |
| Too high can also be bad | Prices may be too high and volume may be suffering (check sales trend and stock turnover). Or closing stock may have been overvalued — window dressing that inflates GP. Always read GP with stock turnover. |

#### SOLVED EXAMPLE K9 · EASY

##### 6.1 Gross profit ratio (GP ratio) from Kaveri Traders Ltd (31 March 2026)

#### Four-line working — the examiner awards marks on each line

| Line of working                 | What you write in the answer booklet                                                                       |
|---------------------------------|------------------------------------------------------------------------------------------------------------|
| 1. Formula                      | $GP \text{ ratio} = (GP \div \text{Sales}) \times 100$                                                     |
| 2. Figures picked               | GP ₹2,50,000; Sales ₹10,00,000.                                                                            |
| 3. Arithmetic (nothing skipped) | $(₹2,50,000 \div ₹10,00,000) \times 100 = (2,50,000 \div 10,00,000) \times 100 = 0.25 \times 100 = 25\%$ . |
| 4. Answer with unit             | <b>25%</b>                                                                                                 |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** A quarter of every sales-rupee is gross profit. For a wholesaler this is a solid trading margin. Whether it is “good” depends on rivals; as a standalone number it is healthy, and it leaves room for ₹1,00,000 of operating expenses, ₹30,000 of interest and ₹30,000 of tax, with ₹90,000 still standing at the end.

#### 10. COMMON MISTAKES

- Using PAT or operating profit in the numerator. Those are different ratios.
- Using credit sales only. GP is on total sales (cash + credit).
- Adding other income to sales. Other income is not operations (unless the question says so).
- Computing GP as Sales – Purchases, ignoring stock. You must adjust for opening and closing inventory.

## 11. MEMORY TRICK

GP sits on the top step: only COGS has been cut.  $GP / Sales \times 100$ . If stock changes, Purchases  $\neq$  COGS.

## 6.2 Net profit ratio (NP ratio)

**Syllabus bucket.** Revenue ratio. Purpose family: profitability (bottom-line margin).

**Ideal / usual comment.** Depends on the industry. A 9% net margin on a trading business is respectable. Always pair with GP ratio: the gap between GP% and NP% is everything that is not COGS.

### 1. WHAT IS IT? — DEFINITION

Net profit ratio is profit after tax (the year's leftover for owners) divided by sales, times 100. Some papers use profit before tax. Read the question. These notes use PAT as the default "net profit".

### 2. IN SIMPLE WORDS

Out of every ₹100 of sales, how many rupees finally belong to the owners after every cost, including interest and tax? For Kaveri, 9 rupees.

### 3. WHY DO WE NEED IT?

To judge overall profitability of sales. Investors, owners and the tax officer all look here. A stable GP ratio with a falling NP ratio means the leak is below GP — operating expenses, interest or tax.

### FORMULA

**Net profit ratio = (Profit after tax ÷ Revenue from operations) × 100**

MBA default in these notes:  $PAT / Sales \times 100$ . PBT version =  $PBT / Sales \times 100$  — mention it if the question says "net profit before tax". Do not deduct preference dividend unless the question asks for profit available to equity / net profit ratio for equity holders.

## 6.2 Net profit ratio (NP ratio) — every piece of the formula

| Component                       | What it means                                                      | How to pick it from the statements       |
|---------------------------------|--------------------------------------------------------------------|------------------------------------------|
| Profit after tax (PAT)          | Profit for the year after interest and tax. The bottom line.       | Kaveri: ₹90,000.                         |
| Profit before tax (PBT version) | EBIT – interest. Used when the paper says "net profit before tax". | Kaveri: ₹1,20,000, which would give 12%. |
| Sales                           | Revenue from operations, same as GP ratio.                         | Kaveri: ₹10,00,000.                      |

### 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

Default numerator is PAT (after tax, after interest). If the trial balance gives only "net profit" with no tax line, use that figure and say so. Denominator is sales, not capital, not total assets (those become ROE and ROA).

### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Identify whether the paper wants PAT or PBT.
2. Pick sales (revenue from operations).
3. Divide  $\times 100$ . Unit is %.
4. Read next to GP ratio: the gap is operating expenses + interest + tax (and other income, if any).

**A ratio is a sentence, not a trophy**

| Signal | Interpretation |
|--------|----------------|
|--------|----------------|

| Signal                   | Interpretation                                                                                                                                                                                          |
|--------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | A large slice of sales reaches owners. Pricing, cost control and a light interest burden are all working.                                                                                               |
| Low (or falling)         | Sales are busy but owners see little. Find the layer: GP low? Then trading. GP healthy but NP low? Then opex, interest or tax.                                                                          |
| Too high can also be bad | Unusually high NP% can mean under-investment (too little depreciation, too little marketing) or a one-time other income. Check quality of earnings. Too high is rare; more often “high” is simply good. |

#### SOLVED EXAMPLE K10 · EASY

### 6.2 Net profit ratio (NP ratio) from Kaveri Traders Ltd (31 March 2026)

Four-line working — the examiner awards marks on each line

| Line of working                 | What you write in the answer booklet                                                |
|---------------------------------|-------------------------------------------------------------------------------------|
| 1. Formula                      | $\text{NP ratio} = (\text{PAT} \div \text{Sales}) \times 100$                       |
| 2. Figures picked               | PAT ₹90,000; Sales ₹10,00,000.                                                      |
| 3. Arithmetic (nothing skipped) | $(₹90,000 \div ₹10,00,000) \times 100 = (90,000 \div 10,00,000) \times 100 = 9\%$ . |
| 4. Answer with unit             | <b>9% &amp;nbsp;  (PBT version = 12%)</b>                                           |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** 9 paise of every sales-rupee is leftover for owners. GP was 25 paise, so 16 paise were spent on employees, other opex, interest and tax (6 + 4 + 3 + 3). The margin is thin enough that an interest-rate rise or a wage rise would be felt, but it is a real profit, not a rounding error.

#### 10. COMMON MISTAKES

- Using EBIT in the numerator and still calling it net profit ratio. That is the operating profit ratio.
- Using shareholders’ funds in the denominator. That is ROE.
- Taking PAT after an extra deduction of drawings or dividend. Dividend is an appropriation, not an expense; NP ratio uses PAT.

#### 11. MEMORY TRICK

Net = the last leftover.  $\text{PAT} / \text{Sales} \times 100$ . Default is after tax. If the paper says before tax, obey the paper.

### 6.3 Operating profit ratio

**Syllabus bucket.** Revenue ratio. Purpose family: profitability of operations (before financing and tax).

**Ideal / usual comment.** Higher is better, given the industry. It should sit between GP% and NP%. For Kaveri: GP 25%, operating 15%, net 9% — a clean staircase.

#### 1. WHAT IS IT? — DEFINITION

Operating profit ratio is operating profit (EBIT / PBIT) divided by sales, times 100. Operating profit is profit from the core business, before interest (a financing choice) and before tax (a government claim).

#### 2. IN SIMPLE WORDS

Ignore how the firm is financed. Ignore tax. Just ask: of each sales-rupee, how much does the business itself produce as profit from operations? That is this ratio.

#### 3. WHY DO WE NEED IT?

To compare two firms with different debt and different tax situations on the quality of the business, not the quality of the financing. Also the numerator of ROCE, so this ratio and capital turnover together drive ROCE (see DuPont later).

#### FORMULA

### Operating profit ratio = (Operating profit ÷ Sales) × 100

Operating profit = EBIT = GP – operating expenses (employee + other opex including depreciation), or = PBT + interest, or = PAT + tax + interest.  
Other income that is not operating is kept out.

#### 6.3 Operating profit ratio — every piece of the formula

| Component                      | What it means                                    | How to pick it from the statements                                                                                                                                      |
|--------------------------------|--------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Operating profit / EBIT / PBIT | Profit before interest and tax, from operations. | Kaveri three checks: GP ₹2,50,000 – opex ₹1,00,000 = ₹1,50,000; PBT ₹1,20,000 + interest ₹30,000 = ₹1,50,000; PAT ₹90,000 + tax ₹30,000 + interest ₹30,000 = ₹1,50,000. |
| Sales                          | Revenue from operations.                         | Kaveri: ₹10,00,000.                                                                                                                                                     |

#### 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

Build EBIT from whatever the paper gives. The safest rebuild is PBT + interest, because those two lines are almost always present. Do not use PAT. Do not deduct interest.

#### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Build operating profit: GP – operating expenses, or PBT + interest.
2. Confirm interest is not already deducted (if you started from GP, do not deduct it; if you started from PBT, add it back).
3. Divide by sales × 100.
4. Check: operating profit% + operating ratio should be 100% if other income is nil.

#### A ratio is a sentence, not a trophy

| Signal                   | Interpretation                                                                                                                                                                                |
|--------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | The core business is earning well, regardless of how it is financed.                                                                                                                          |
| Low (or falling)         | Operations are weak. Even a zero-debt firm would struggle. Look at GP (trading) and at opex (overheads).                                                                                      |
| Too high can also be bad | May mean the firm is starving marketing, maintenance or depreciation. Check whether the profit is repeatable. Also check other income: a one-time sale of a building is not operating profit. |

#### SOLVED EXAMPLE K11 · EASY

### 6.3 Operating profit ratio from Kaveri Traders Ltd (31 March 2026)

#### Four-line working — the examiner awards marks on each line

| Line of working                 | What you write in the answer booklet                                 |
|---------------------------------|----------------------------------------------------------------------|
| 1. Formula                      | Operating profit ratio = (EBIT ÷ Sales) × 100                        |
| 2. Figures picked               | EBIT ₹1,50,000; Sales ₹10,00,000.                                    |
| 3. Arithmetic (nothing skipped) | (₹1,50,000 ÷ ₹10,00,000) × 100 = (1,50,000 ÷ 10,00,000) × 100 = 15%. |
| 4. Answer with unit             | <b>15%</b>                                                           |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** 15 paise of every sales-rupee is operating profit. That is the pool from which interest ₹30,000 (3 paise) and tax ₹30,000 (3 paise) are paid, leaving 9 paise of PAT. Operations, not financing, are doing the work.

## 10. COMMON MISTAKES

- Using PAT or PBT and still labelling it operating profit ratio.
- Deducting interest when you started from GP. Interest is not an operating expense.
- Including other income (rent received, profit on sale of FA) inside operating profit when the paper separates it. If the paper is silent and the amount is small, state your assumption.

## 11. MEMORY TRICK

Operating profit = the business before the banker and the tax officer.  $EBIT / \text{Sales} \times 100$ . Add interest back if you start from PBT.

## 6.4 Operating ratio

**Syllabus bucket.** Revenue ratio. Purpose family: cost / efficiency of operations. It is the cost-cousin of the operating profit ratio.

**Ideal / usual comment.** Lower is better. There is no universal number. For Kaveri it should be 85% because operating profit is 15% and other income is nil.

### 1. WHAT IS IT? — DEFINITION

Operating ratio is operating cost divided by sales, times 100. Operating cost is COGS plus operating expenses (employee benefits, other expenses including depreciation, selling and admin). Interest and tax are not operating costs.

### 2. IN SIMPLE WORDS

Out of every ₹100 of sales, how many rupees were spent on running the business (goods + people + rent + depreciation + selling)? The rest is operating profit. High operating ratio = a heavy cost stomach.

### 3. WHY DO WE NEED IT?

To measure the cost-heaviness of operations. A rising operating ratio is a warning even if sales are rising: costs are eating a bigger bite. Management uses the pieces (material, labour, overhead) as expense ratios to find the bite.

## FORMULA

**Operating ratio = (Operating cost ÷ Sales) × 100** where **Operating cost = COGS + Operating expenses**

Interest is a finance cost, not an operating cost. Tax is not an operating cost. Operating ratio + operating profit ratio = 100% when other income is ignored.

### 6.4 Operating ratio — every piece of the formula

| Component          | What it means                                                                                                                                                                                                  | How to pick it from the statements                         |
|--------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------|
| COGS               | Cost of the goods that were sold.                                                                                                                                                                              | Kaveri: ₹7,50,000.                                         |
| Operating expenses | Employee benefits, other expenses, depreciation, selling and distribution, admin. Not interest. Not tax. Not loss on sale of FA (non-operating) unless the paper dumps it in “other expenses” without a split. | Kaveri: employee ₹60,000 + other opex ₹40,000 = ₹1,00,000. |
| Operating cost     | COGS + operating expenses.                                                                                                                                                                                     | Kaveri: ₹7,50,000 + ₹1,00,000 = ₹8,50,000.                 |
| Sales              | Revenue from operations.                                                                                                                                                                                       | Kaveri: ₹10,00,000.                                        |

### 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

Add COGS and every operating expense. Stop before finance costs and tax. If the paper gives a single “expenses” total that includes interest, subtract interest before you call it operating cost.



## 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Build COGS.
2. Add operating expenses. Do not add interest or tax.
3. Operating ratio = operating cost ÷ sales × 100.
4. Cross-check: 100% – operating profit% should equal this, if other income is nil.

**A ratio is a sentence, not a trophy**

| Signal                   | Interpretation                                                                                                                                                                      |
|--------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | Operations swallow most of the sales-rupee. Little left as EBIT. A high-cost business, or an inefficient one.                                                                       |
| Low (or falling)         | Lean operations. More of each sale survives as operating profit.                                                                                                                    |
| Too high can also be bad | Above 100% means operations lose money before interest — the core business is sick. “Too low” is unusual; if operating ratio is 40% in a grocery, check whether COGS was forgotten. |

## SOLVED EXAMPLE K12 · EASY

### 6.4 Operating ratio from Kaveri Traders Ltd (31 March 2026)

**Four-line working — the examiner awards marks on each line**

| Line of working                 | What you write in the answer booklet                                          |
|---------------------------------|-------------------------------------------------------------------------------|
| 1. Formula                      | Operating ratio = (COGS + Operating expenses) ÷ Sales × 100                   |
| 2. Figures picked               | COGS ₹7,50,000 + opex ₹1,00,000 = operating cost ₹8,50,000; Sales ₹10,00,000. |
| 3. Arithmetic (nothing skipped) | (₹8,50,000 ÷ ₹10,00,000) × 100 = (8,50,000 ÷ 10,00,000) × 100 = 85%.          |
| 4. Answer with unit             | <b>85%</b>                                                                    |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** 85 paise of every sales-rupee go in operating cost, 15 paise remain as EBIT. Check: 85% + 15% = 100%. The arithmetic of the two cousins agrees, so neither figure is mis-picked.

## 10. COMMON MISTAKES

- Including interest in operating cost. Interest is finance, not operations. That mistake would give  $(₹8,80,000 ÷ ₹10,00,000) × 100 = 88\%$ , and then  $88\% + 15\% ≠ 100\%$ .
- Using only COGS (that is a COGS-to-sales expense ratio, 75% for Kaveri, not the operating ratio).
- Using PAT in a “100 – NP%” shortcut.  $100 – 9 = 91$ , which is not the operating ratio. The shortcut is  $100 – \text{operating profit}\%$ .

## 11. MEMORY TRICK

Operating ratio is the COST twin. Operating profit ratio is the PROFIT twin. They add to 100. Interest stays out of both twins’ cost.

## KEY POINT

Kaveri cross-check, write this once in the answer booklet: operating ratio 85% + operating profit ratio 15% = 100%. If a numerical you are solving does not add to 100, you have mixed interest or other income into the wrong line.

## 6.5 Expense ratios

**Syllabus bucket.** Revenue ratios. Purpose family: cost structure.

**Ideal / comment.** Lower is better for each cost, but a zero employee-cost ratio means there are no people. Read the mix, not a single line.

### 1. WHAT IS IT? — DEFINITION

An expense ratio is any single expense (or a group of expenses) divided by sales, times 100. The syllabus wants you to be able to write the formula for each material, labour, overhead, interest or tax line.

### 2. IN SIMPLE WORDS

GP ratio told you that 75 paise of each Kaveri sales-rupee went to COGS. Expense ratios name the other paise: employees 6, other opex 4, interest 3, tax 3. Together they are a pie chart of the P&L.

### 3. WHY DO WE NEED IT?

A rising operating ratio is a fog. Expense ratios turn on the light: was it wages, was it rent, was it interest? Management can only attack a named cost.

### FORMULA

**Expense ratio = (Particular expense ÷ Sales) × 100**

Use the same sales figure as GP ratio. Name the expense in the answer: “Employee-cost ratio 6%”, not “expense ratio 6%”.

#### Kaveri expense ratios — every paise of the sales-rupee

| Expense                  | Amount    | Ratio = amount ÷ sales × 100 | What a rise would mean                                                           |
|--------------------------|-----------|------------------------------|----------------------------------------------------------------------------------|
| COGS / material          | ₹7,50,000 | 75%                          | Buying cost up, or selling price down, or wastage / theft of goods               |
| Employee benefits        | ₹60,000   | 6%                           | Wage rise, extra hiring, or sales falling faster than the payroll                |
| Other operating expenses | ₹40,000   | 4%                           | Rent, power, selling, depreciation heavier relative to sales                     |
| Finance costs (interest) | ₹30,000   | 3%                           | More debt, or a higher interest rate — a financing problem, not an operating one |
| Tax                      | ₹30,000   | 3%                           | Higher taxable profit or a higher rate; usually not “inefficiency”               |

COGS 75 + employee 6 + other opex 4 = 85 (operating ratio). Then interest 3 + tax 3 = 6, and 85 + 6 + NP 9 = 100.

### SOLVED EXAMPLE K13 · EASY

#### Employee-cost ratio and the 100% check, Kaveri

##### Four-line working — the examiner awards marks on each line

| Line of working                 | What you write in the answer booklet                            |
|---------------------------------|-----------------------------------------------------------------|
| 1. Formula                      | Employee-cost ratio = Employee benefits ÷ Sales × 100           |
| 2. Figures picked               | Employee ₹60,000; Sales ₹10,00,000                              |
| 3. Arithmetic (nothing skipped) | (₹60,000 ÷ ₹10,00,000) × 100 = (60,000 ÷ 10,00,000) × 100 = 6%. |
| 4. Answer with unit             | <b>6%</b>                                                       |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Full sales-rupee.** COGS 75 + employee 6 + other opex 4 + interest 3 + tax 3 + PAT 9 = 100. If your expense ratios plus NP ratio do not make 100, a line has been missed or double-counted.

### 10. COMMON MISTAKES

- Dividing the expense by GP or by PAT instead of by sales.

- Calling the interest-to-sales ratio an operating-expense ratio. Interest is a finance cost.
- Forgetting that a fall in the ratio can come from sales rising, not from the expense falling. Always look at the rupee amount too.

#### 11. MEMORY TRICK

Every expense ratio is “this cost / sales × 100”. Name the cost. They are slices of the same sales-rupee; they must add up.

## 7. Combined ratios

One figure from the P&L (a flow over the year) and one figure from the Balance Sheet (a position on a day). Because a day is not a year, we **average** the opening and closing Balance-Sheet figures whenever the question gives both.

Two sub-families live here: **(A) turnover / activity / efficiency** — how many times an asset flipped during the year, and how many days a flip takes; **(B) return and coverage** — ROCE, ROE, ROA, EPS, interest coverage. Both are Combined by source.

#### KEY POINT

When the question does not give an opening figure, use the closing Balance-Sheet figure and write the assumption. When it does give opening (Kaveri does), you must use the average. Using only closing when opening was given is a named common mistake.

#### FORMULA

**Average of a BS item = (Opening + Closing) ÷ 2**

Kaveri averages: inventory ₹1,00,000; trade receivables ₹80,000; trade payables ₹1,30,000.

### 7.1 Inventory / stock turnover ratio

**Syllabus bucket.** Combined ratio — COGS from P&L, average inventory from Balance Sheet. Purpose family: efficiency.

**Ideal / usual comment.** Higher generally means stock is moving. A wholesaler at 7–10 times is healthy; a jeweller at 2 times may also be healthy. Compare with the industry and with the holding period.

#### 1. WHAT IS IT? — DEFINITION

Stock turnover is the number of times, during the year, that the firm sold and replaced its average stock. The preferred formula uses cost of goods sold, because stock is valued at cost.

#### 2. IN SIMPLE WORDS

Imagine the godown holds ₹1,00,000 of goods, on average. In the year Kaveri sold goods that cost ₹7,50,000. So the godown was emptied and refilled 7.5 times. That is stock turnover.

#### 3. WHY DO WE NEED IT?

To judge merchandising efficiency and to spot slow-moving or dead stock. A falling turnover with a rising current ratio often means the “liquidity” is unsold goods.

#### FORMULA

**Inventory turnover = COGS ÷ Average inventory**

Preferred MBA version: COGS / average stock. Alternative (used in some papers): Sales / average stock — this mixes selling price with cost and overstates turnover. If the paper prints Sales in the formula, obey the paper and say so. Average inventory = (opening + closing) ÷ 2.

### 7.1 Inventory / stock turnover ratio — every piece of the formula

| Component | What it means | How to pick it from the statements |
|-----------|---------------|------------------------------------|
|-----------|---------------|------------------------------------|

| Component                   | What it means                                                | How to pick it from the statements                                                                       |
|-----------------------------|--------------------------------------------------------------|----------------------------------------------------------------------------------------------------------|
| COGS                        | Cost of goods sold, at cost. Matches the valuation of stock. | Kaveri: ₹7,50,000.                                                                                       |
| Average inventory           | Typical stock carried during the year.                       | $(₹80,000 + ₹1,20,000) \div 2 = ₹2,00,000 \div 2 = ₹1,00,000$ .                                          |
| Sales (alternative formula) | Revenue from operations. Use only if the question says so.   | Kaveri alternative: $₹10,00,000 \div ₹1,00,000 = 10$ times — higher, because sales are at selling price. |

#### 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

COGS is not purchases. Purchases for Kaveri are ₹7,90,000; COGS is ₹7,50,000. If GP and sales are given,  $\text{COGS} = \text{sales} \times (1 - \text{GP}\%)$ . Opening stock is on last year's BS or in this year's P&L working; closing stock is on this year's BS.

#### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Build COGS (opening + purchases – closing, or sales – GP).
2. Average inventory = (opening + closing) ÷ 2. If opening is missing, use closing and write the assumption.
3. Divide COGS by average inventory. Unit: times.
4. Optionally convert to days:  $365 \div \text{turnover}$  (next ratio).

**A ratio is a sentence, not a trophy**

| Signal                   | Interpretation                                                                                                                                                              |
|--------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | Stock is moving. Less money is locked in the godown. Lower risk of obsolescence.                                                                                            |
| Low (or falling)         | Stock is sleeping. Cash is trapped. Possible dead stock, over-buying, or a weak sales season.                                                                               |
| Too high can also be bad | The godown is almost empty. Risk of stock-outs and lost sales. The firm may be buying in tiny lots and losing bulk discounts. "Higher" is not always "better" past a point. |

#### SOLVED EXAMPLE K14 · EASY

##### 7.1 Inventory / stock turnover ratio from Kaveri Traders Ltd (31 March 2026)

**Four-line working — the examiner awards marks on each line**

| Line of working                 | What you write in the answer booklet                                           |
|---------------------------------|--------------------------------------------------------------------------------|
| 1. Formula                      | Inventory turnover = $\text{COGS} \div \text{Average inventory}$               |
| 2. Figures picked               | COGS ₹7,50,000; average inventory $(₹80,000 + ₹1,20,000) \div 2 = ₹1,00,000$ . |
| 3. Arithmetic (nothing skipped) | $₹7,50,000 \div ₹1,00,000 = 7,50,000 \div 1,00,000 = 7.5$ .                    |
| 4. Answer with unit             | <b>7.5 times</b>                                                               |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** The godown flipped 7.5 times in the year — a little over once every two months. For a wholesaler this is a healthy pace. We will convert it to 48.67 days of holding next. The alternative (sales / average stock) would have given 10 times; we do not use it unless asked, because it mixes selling price with cost.

#### 10. COMMON MISTAKES

- Using sales instead of COGS when the paper did not ask for that version. This is the most common stock-turnover mistake in the paper.
- Using closing stock only when opening was given. Kaveri's closing is ₹1,20,000; using it alone would give  $7,50,000 / 1,20,000 = 6.25$  times — wrong.
- Using purchases instead of COGS. Purchases feed the godown; COGS empties it. Turnover is about emptying.

- Comparing a COGS-based 7.5 with a rival's sales-based 10 and concluding the rival is faster. They used different formulas.

#### 11. MEMORY TRICK

Stock lives at cost, so flip it at cost:  $\text{COGS} / \text{average stock}$ . Sales / stock is the second-best formula, used only when COGS cannot be built or the paper prints it.

## 7.2 Inventory holding period (stock velocity in days)

**Syllabus bucket.** Combined ratio (derived from stock turnover). Purpose family: efficiency / working-capital days.

**Ideal / usual comment.** Shorter is generally better, provided there are no stock-outs. Compare with the credit period you get from suppliers (payment period) and with the industry.

#### 1. WHAT IS IT? — DEFINITION

Holding period is the number of days, on average, for which goods sit in the godown before they are sold. It is 365 divided by the stock turnover (or 360, 12 months, 52 weeks — whatever the paper uses).

#### 2. IN SIMPLE WORDS

If stock turns 7.5 times in 365 days, one turn takes  $365 \div 7.5 \approx 49$  days. Goods bought today are, on average, sold about seven weeks later.

#### 3. WHY DO WE NEED IT?

Managers think in days more easily than in “times”. A holding period of 49 days next to a creditors’ payment period of 60 days means suppliers are financing the stock with 11 days to spare — a sweet working-capital position.

#### FORMULA

**Inventory holding period (days) =  $365 \div \text{Inventory turnover}$  or  $(\text{Average inventory} \div \text{COGS}) \times 365$**

Both formulas are the same algebra. If the paper says 360 days, use 360. If it asks for months, use  $12 \div \text{turnover}$ . If weeks,  $52 \div \text{turnover}$ .

### 7.2 Inventory holding period (stock velocity in days) — every piece of the formula

| Component          | What it means                                                   | How to pick it from the statements              |
|--------------------|-----------------------------------------------------------------|-------------------------------------------------|
| Inventory turnover | $\text{COGS} \div \text{average inventory}$ , already computed. | Kaveri: 7.5 times.                              |
| Days in a year     | 365 unless the paper says 360.                                  | We take 365. Write that sentence in the answer. |

#### 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

Use the same turnover you just computed. Do not mix a sales-based turnover with a COGS-based days formula. If the paper asks “stock velocity in months”, do not give days.

#### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Compute inventory turnover in times.
2. Read the required unit (days / weeks / months) and the day's convention (365 or 360).
3. Days =  $365 \div \text{turnover}$ . Show the division.
4. One sentence: goods sit for X days.

**A ratio is a sentence, not a trophy**

| Signal | Interpretation |
|--------|----------------|
|--------|----------------|

| Signal                   | Interpretation                                                                      |
|--------------------------|-------------------------------------------------------------------------------------|
| High (or rising)         | Goods sit for a long time. Cash trapped, obsolescence risk, godown cost.            |
| Low (or falling)         | Goods sit briefly. Fresh stock, less cash trapped.                                  |
| Too high can also be bad | Dead stock. Too low: empty shelves, lost sales, emergency purchases at poor prices. |

#### SOLVED EXAMPLE K15 · EASY

### 7.2 Inventory holding period (stock velocity in days) from Kaveri Traders Ltd (31 March 2026)

Four-line working — the examiner awards marks on each line

| Line of working                 | What you write in the answer booklet                                                                                                                                       |
|---------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1. Formula                      | Holding period (days) = $365 \div \text{Inventory turnover}$                                                                                                               |
| 2. Figures picked               | Turnover 7.5 times; 365 days in a year.                                                                                                                                    |
| 3. Arithmetic (nothing skipped) | $365 \div 7.5$ . $7.5 = 15/2$ , so $365 \times 2 \div 15 = 730 \div 15 = 48.666\dots$ . In months: $12 \div 7.5 = 1.6$ months. In weeks: $52 \div 7.5 = 6.933\dots$ weeks. |
| 4. Answer with unit             | <b>48.67 days &amp;nbsp;  (or 1.6 months, or 6.93 weeks)</b>                                                                                                               |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** Stock sits for about 49 days. Combined with a 60-day payment period (computed later), Kaveri sells the goods before it has to pay the supplier. That is a working-capital plus.

#### 10. COMMON MISTAKES

- Using  $365 \div \text{average inventory}$  (forgetting to use turnover, or forgetting  $\times \text{COGS}$ ).
- Mixing 365 with a 360-based industry benchmark.
- Writing “48.67 times” — the unit is days, not times.
- Using  $365 \div \text{Sales-based turnover}$  and comparing with a COGS-based holding period from last year.

#### 11. MEMORY TRICK

Times go into the year:  $365 / \text{turnover} = \text{days in one turn}$ . Months:  $12 / \text{turnover}$ . Weeks:  $52 / \text{turnover}$ . Same idea.

### 7.3 Debtors / receivables turnover ratio

**Syllabus bucket.** Combined ratio — credit sales from P&L, average debtors from Balance Sheet. Purpose family: efficiency / credit control.

**Ideal / usual comment.** Higher means faster collection. A turnover of 10 times  $\approx$  a 36.5-day collection period, which is tight and healthy for a wholesaler who might offer 30–45 days of credit.

#### 1. WHAT IS IT? — DEFINITION

Debtors turnover is the number of times, during the year, that average trade receivables were converted into cash. It is credit sales divided by average trade receivables.

#### 2. IN SIMPLE WORDS

Kaveri sold ₹8,00,000 on credit and was owed, on average, ₹80,000. So the debtors’ book was collected and refilled 10 times in the year.

#### 3. WHY DO WE NEED IT?

To judge collection efficiency and the quality of debtors. A falling turnover means customers are taking longer to pay — a liquidity leak and a bad-debt risk.

#### FORMULA

### Debtors turnover = Credit sales ÷ Average trade receivables

Credit sales = total sales – cash sales. If the cash/credit split is not given, assume all sales are on credit and write the assumption. Average receivables = (opening + closing) ÷ 2. Use net receivables (after provision for doubtful debts) if a provision is given.

### 7.3 Debtors / receivables turnover ratio — every piece of the formula

| Component                 | What it means                                                                                                 | How to pick it from the statements                                    |
|---------------------------|---------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------|
| Credit sales              | Sales made on credit, after returns. Cash sales do not create debtors, so they do not belong here.            | Kaveri: 80% of ₹10,00,000 = ₹8,00,000. Cash sales ₹2,00,000 stay out. |
| Average trade receivables | Typical amount customers owed during the year. Include bills receivable if the paper lists them with debtors. | (₹60,000 + ₹1,00,000) ÷ 2 = ₹1,60,000 ÷ 2 = ₹80,000.                  |

#### 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

If the question says “sales” and is silent on cash sales, write “assumed all credit”. Kaveri is not silent: 20% cash is given, so you must use 80%. Opening debtors, if given, must be averaged with closing. Closing debtors live on the BS as trade receivables.

#### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Compute credit sales. Subtract cash sales if given.
2. Average debtors = (opening + closing) ÷ 2.
3. Divide. Unit: times.
4. Convert to days if asked (next ratio).

### A ratio is a sentence, not a trophy

| Signal                   | Interpretation                                                                                                                                                                                                                   |
|--------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | Customers pay fast. Cash comes in. Less bad-debt risk. Credit control is tight.                                                                                                                                                  |
| Low (or falling)         | Customers delay. Cash is stuck in receivables. Possible weak credit checks, disputes, or a recession in the customer's industry.                                                                                                 |
| Too high can also be bad | Credit policy may be so strict that sales are being refused. A turnover of 50 times (collection in a week) in a trade where 45 days is custom will lose customers to a rival who offers credit. High can be a marketing problem. |

#### SOLVED EXAMPLE K16 · EASY

### 7.3 Debtors / receivables turnover ratio from Kaveri Traders Ltd (31 March 2026)

#### Four-line working — the examiner awards marks on each line

| Line of working                 | What you write in the answer booklet                        |
|---------------------------------|-------------------------------------------------------------|
| 1. Formula                      | Debtors turnover = Credit sales ÷ Average trade receivables |
| 2. Figures picked               | Credit sales ₹8,00,000; average receivables ₹80,000.        |
| 3. Arithmetic (nothing skipped) | ₹8,00,000 ÷ ₹80,000 = 8,00,000 ÷ 80,000 = 10.               |
| 4. Answer with unit             | <b>10 times</b>                                             |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** The debtors' book flipped 10 times. Collection is brisk. If a student wrongly uses total sales ₹10,00,000 ÷ ₹80,000 = 12.5 times, they have pretended that cash customers were also debtors. That is the classic mistake on this ratio.

#### 10. COMMON MISTAKES

- Using total sales when cash sales are given. Kaveri would then show 12.5 instead of 10.
- Using closing debtors only when opening was given: 8,00,000/1,00,000 = 8 times — wrong.
- Including cash-sales customers in “debtors”. They never were debtors.
- Forgetting to net off provision for doubtful debts when a provision is given.

#### 11. MEMORY TRICK

Only credit sales create debtors. Credit sales / average debtors. If the split is silent, assume all sales are credit and write that down.

### 7.4 Average collection period (debtors' velocity in days)

**Syllabus bucket.** Combined ratio (derived from debtors turnover). Purpose family: efficiency / liquidity of receivables.

**Ideal / usual comment.** Should sit at or inside the credit period the firm offers. If Kaveri offers 45 days and collects in 36.5, credit control is working. If it offers 30 days and collects in 70, it is not.

#### 1. WHAT IS IT? — DEFINITION

Average collection period is the number of days, on average, that a credit customer takes to pay. It is 365 divided by debtors turnover (or 360, as the paper says).

#### 2. IN SIMPLE WORDS

Turnover 10 times in 365 days means one collection-cycle is 36.5 days. A bill raised today is, on average, cash in a little over a month.

#### 3. WHY DO WE NEED IT?

To compare with the stated credit period, with last year, and with the creditors' payment period. Collection slower than payment is a cash-cycle hole.

#### FORMULA

**Average collection period (days) = 365 ÷ Debtors turnover or (Average debtors ÷ Credit sales) × 365**

Same algebra. Months = 12 ÷ turnover. Weeks = 52 ÷ turnover.

### 7.4 Average collection period (debtors' velocity in days) — every piece of the formula

| Component                      | What it means                       | How to pick it from the statements |
|--------------------------------|-------------------------------------|------------------------------------|
| Debtors turnover               | Credit sales ÷ average debtors.     | Kaveri: 10 times.                  |
| Credit sales / average debtors | Same figures as the turnover ratio. | ₹8,00,000 and ₹80,000.             |

#### 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

Use credit sales, not total sales, unless you assumed all sales are credit. Use the same 365/360 convention as for stock days, unless the paper mixes them (rare).

#### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Compute debtors turnover.



2. Days =  $365 \div \text{turnover}$ . Show  $365 \div 10 = 36.5$ .
3. Compare with the credit period allowed, if given.
4. Write the unit: days.

#### A ratio is a sentence, not a trophy

| Signal                   | Interpretation                                                                                                                                                                |
|--------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | Customers take long to pay. Cash delayed. Bad-debt risk up. Possible need to tighten credit or offer a cash discount.                                                         |
| Low (or falling)         | Customers pay promptly. Cash is in. Credit policy is strict or the trade is cash-heavy.                                                                                       |
| Too high can also be bad | A 90-day collection in a 30-day trade is a red flag — possible window-dressed sales (bills raised to friends who will never pay). Too low: refusing credit and losing volume. |

#### SOLVED EXAMPLE K17 · EASY

#### 7.4 Average collection period (debtors' velocity in days) from Kaveri Traders Ltd (31 March 2026)

##### Four-line working — the examiner awards marks on each line

| Line of working                 | What you write in the answer booklet                                                                                                                   |
|---------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1. Formula                      | Collection period = $365 \div \text{Debtors turnover}$                                                                                                 |
| 2. Figures picked               | Turnover 10 times; 365 days.                                                                                                                           |
| 3. Arithmetic (nothing skipped) | $365 \div 10 = 36.5$ . Alternative: $(\text{₹}80,000 \div \text{₹}8,00,000) \times 365 = (80,000 \div 8,00,000) \times 365 = 0.10 \times 365 = 36.5$ . |
| 4. Answer with unit             | <b>36.5 days</b>                                                                                                                                       |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** A credit customer pays in about 37 days. That is prompt. Set next to a 60-day payment period, Kaveri collects 23 days before it pays — a cash-cycle advantage.

#### 10. COMMON MISTAKES

- $365 \div$  closing debtors, skipping the turnover step, and skipping credit sales.
- Using  $365 \div$  total sales / debtors when cash sales exist.
- Writing 36.5 times. Unit is days.

#### 11. MEMORY TRICK

Days to collect =  $365 /$  how many times debtors flipped. Same pattern as stock days.

### 7.5 Creditors / payables turnover ratio

**Syllabus bucket.** Combined ratio — credit purchases from P&L working, average creditors from Balance Sheet. Purpose family: efficiency / trade-credit use.

**Ideal / usual comment.** There is no “higher is better”. A higher turnover means you pay faster (you use less free credit). A lower turnover means you pay slower (you use more free credit, but you may anger suppliers). Match it to the credit period allowed by suppliers.

#### 1. WHAT IS IT? — DEFINITION

Creditors turnover is the number of times, during the year, that average trade payables were paid off. It is credit purchases divided by average trade payables.

## 2. IN SIMPLE WORDS

Kaveri bought ₹7,90,000 of goods, all on credit, and owed suppliers, on average, ₹1,30,000. So the creditors' book was paid and refilled about 6.08 times.

## 3. WHY DO WE NEED IT?

To see how the firm uses supplier credit — a free source of working capital — and whether it is stretching payables dangerously.

## FORMULA

### Creditors turnover = Credit purchases ÷ Average trade payables

Credit purchases = total purchases – cash purchases. If the split is silent, assume all purchases are on credit. Purchases = COGS + closing stock – opening stock. Average payables = (opening + closing) ÷ 2.

## 7.5 Creditors / payables turnover ratio — every piece of the formula

| Component              | What it means                                                                               | How to pick it from the statements                                                                                       |
|------------------------|---------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------|
| Credit purchases       | Goods bought on credit. Not COGS. Not sales.                                                | Kaveri: all purchases are credit = ₹7,90,000. Working: COGS ₹7,50,000 + closing ₹1,20,000 – opening ₹80,000 = ₹7,90,000. |
| Average trade payables | Typical amount owed to suppliers of goods. Include bills payable if grouped with creditors. | (₹1,10,000 + ₹1,50,000) ÷ 2 = ₹2,60,000 ÷ 2 = ₹1,30,000.                                                                 |

## 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

Rebuild purchases from COGS and stock if purchases are not printed. Do not use COGS as the numerator (COGS is for stock turnover). Do not use sales. If opening creditors are given, average them.

## 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Build credit purchases. Purchases = COGS + closing stock – opening stock.
2. Average creditors = (opening + closing) ÷ 2.
3. Divide. Unit: times.
4. Convert to days if asked.

## A ratio is a sentence, not a trophy

| Signal                   | Interpretation                                                                                                                                                                                                                                             |
|--------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | You pay suppliers often / quickly. You may be missing free credit. Liquidity is used up faster.                                                                                                                                                            |
| Low (or falling)         | You pay slowly. Free credit is being used. Cash is conserved — until a supplier stops supplying.                                                                                                                                                           |
| Too high can also be bad | Paying cash-on-delivery when 45 days are on offer is a gift to the supplier, not a virtue, if your own cash is tight. Too low: suppliers may refuse credit, charge a premium, or take legal action. “Lower” is not a prize past the allowed credit period. |

## SOLVED EXAMPLE K18 · EASY

### 7.5 Creditors / payables turnover ratio from Kaveri Traders Ltd (31 March 2026)

#### Four-line working — the examiner awards marks on each line

| Line of working                 | What you write in the answer booklet                            |
|---------------------------------|-----------------------------------------------------------------|
| 1. Formula                      | Creditors turnover = Credit purchases ÷ Average trade payables  |
| 2. Figures picked               | Credit purchases ₹7,90,000; average payables ₹1,30,000.         |
| 3. Arithmetic (nothing skipped) | ₹7,90,000 ÷ ₹1,30,000 = 7,90,000 ÷ 1,30,000 = 79/13 = 6.0769... |

| Line of working     | What you write in the answer booklet   |
|---------------------|----------------------------------------|
| 4. Answer with unit | 6.08 times &nbsp;(2 d.p.; exact 79/13) |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** Suppliers are paid a little over 6 times a year. That will become about 60 days in the next ratio — two months of free credit, which is common in wholesale trade and longer than the 36.5 days Kaveri takes to collect. The cash cycle is in Kaveri's favour.

#### 10. COMMON MISTAKES

- Using COGS instead of purchases. For Kaveri that would be  $7,50,000/1,30,000 = 5.77$  times — wrong. Purchases and COGS differ by the stock increase of ₹40,000.
- Using sales in the numerator.
- Using closing creditors only when opening was given:  $7,90,000/1,50,000 = 5.27$  times — wrong.
- Treating a loan creditor or outstanding wages as trade payables. This ratio is about suppliers of goods.

#### 11. MEMORY TRICK

Creditors come from purchases, not from sales, not from COGS. Credit purchases / average creditors. Rebuild purchases from COGS ± stock if needed.

## 7.6 Average payment period (creditors' velocity in days)

**Syllabus bucket.** Combined ratio (derived from creditors turnover). Purpose family: efficiency / working-capital days.

**Ideal / usual comment.** Sit at the credit period the supplier allows. Paying 5 days early loses free cash; paying 40 days late costs reputation and future credit.

#### 1. WHAT IS IT? — DEFINITION

Average payment period is the number of days, on average, that the firm takes to pay its suppliers. It is 365 divided by creditors turnover.

#### 2. IN SIMPLE WORDS

If creditors turn 6.08 times in 365 days, one payment-cycle is about 60 days. A purchase billed today is paid in about two months.

#### 3. WHY DO WE NEED IT?

To complete the operating-cycle story: holding days + collection days – payment days = net cash cycle. Also to check that the firm is not funding itself by starving suppliers.

#### FORMULA

**Average payment period (days) =  $365 \div \text{Creditors turnover}$  or  $(\text{Average creditors} \div \text{Credit purchases}) \times 365$**

Months =  $12 \div \text{turnover}$ . Use 360 if the paper says so.

### 7.6 Average payment period (creditors' velocity in days) — every piece of the formula

| Component                            | What it means                         | How to pick it from the statements |
|--------------------------------------|---------------------------------------|------------------------------------|
| Creditors turnover                   | Credit purchases ÷ average creditors. | Kaveri: 6.0769... times.           |
| Credit purchases / average creditors | Same figures as the turnover.         | ₹7,90,000 and ₹1,30,000.           |

## 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

Use credit purchases, not COGS, not sales. Same 365/360 convention as the other day-ratios unless told otherwise.

## 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Compute creditors turnover.
2. Days =  $365 \div \text{turnover}$ . Show the long division.
3. Compare with the credit period allowed by suppliers, if given.
4. Place it next to collection period: collecting faster than paying is a cash plus.

**A ratio is a sentence, not a trophy**

| Signal                   | Interpretation                                                                                                                                                                                                |
|--------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | The firm takes long to pay. Free credit, but strained suppliers.                                                                                                                                              |
| Low (or falling)         | The firm pays promptly. Good relations, less free credit.                                                                                                                                                     |
| Too high can also be bad | A 120-day payment in a 45-day trade is a distress signal (or a bullying of small suppliers). Too low: paying at the counter when 60 days are free, while the firm itself borrows at 12% — a treasury mistake. |

## SOLVED EXAMPLE K19 · EASY

### 7.6 Average payment period (creditors' velocity in days) from Kaveri Traders Ltd (31 March 2026)

**Four-line working — the examiner awards marks on each line**

| Line of working                 | What you write in the answer booklet                                                                                            |
|---------------------------------|---------------------------------------------------------------------------------------------------------------------------------|
| 1. Formula                      | Payment period = $365 \div \text{Creditors turnover}$                                                                           |
| 2. Figures picked               | Turnover = $7,90,000 \div 1,30,000 = 79/13$ . 365 days.                                                                         |
| 3. Arithmetic (nothing skipped) | $365 \div (79/13) = 365 \times 13 \div 79 = 4,745 \div 79$ . $79 \times 60 = 4,740$ , remainder 5, so $60 + 5/79 = 60.06$ days. |
| 4. Answer with unit             | <b>60.06 days &amp;nbsp;  (≈ 60 days)</b>                                                                                       |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** Suppliers are paid in about 60 days. Customers pay in 36.5 days. Stock sits 48.67 days. A rough cash-cycle check:  $48.67 + 36.5 - 60.06 \approx 25$  days of net operating cycle — Kaveri needs about 25 days of its own working capital to run the trade, the rest is funded by suppliers. Comfortable.

## 10. COMMON MISTAKES

- $365 \div \text{COGS}$  / creditors, mixing stock formula with creditors.
- Using  $365 \div \text{purchases}$  without averaging creditors when opening was given.
- Calling a longer payment period “more efficient”. It is cheaper cash, not more efficient operations, and it has a relationship cost.

## 11. MEMORY TRICK

Days to pay =  $365 / \text{creditors turnover}$ . Put it next to days to collect. Collect before you pay, and you sleep.

## FORMULA

**Net operating / cash cycle (days) ≈ Holding period + Collection period – Payment period**

Kaveri:  $48.67 + 36.50 - 60.06 = 25.11$  days. A short cycle is a liquidity blessing. A negative cycle (paying after collecting-plus-holding) means suppliers finance the whole trade.

## 7.7 Working capital turnover ratio

**Syllabus bucket.** Combined ratio — sales from P&L, working capital from Balance Sheet. Purpose family: efficiency.

**Ideal / usual comment.** Higher generally means each rupee of working capital is supporting more sales. Too high can mean WC is inadequate for the volume (overtrading).

### 1. WHAT IS IT? — DEFINITION

Working capital turnover is sales divided by working capital (current assets minus current liabilities). It asks: how many rupees of sales does each rupee of net current assets support?

### 2. IN SIMPLE WORDS

Kaveri has ₹1,50,000 of working capital and sells ₹10,00,000. Each rupee of WC supports ₹6.67 of sales.

### 3. WHY DO WE NEED IT?

To judge whether the firm is using its net current assets hard enough, and to spot overtrading (sales far too large for the WC, so a small delay in collection can freeze the firm).

### FORMULA

**Working capital turnover = Sales ÷ Working capital** where **Working capital = CA – CL**

Some papers use average working capital if a previous BS is fully given. Kaveri has only this year's CA and CL (openings of stock, debtors, creditors are given, but not a full opening BS), so we use closing WC and state that.

## 7.7 Working capital turnover ratio — every piece of the formula

| Component       | What it means                                                  | How to pick it from the statements |
|-----------------|----------------------------------------------------------------|------------------------------------|
| Sales           | Revenue from operations.                                       | Kaveri: ₹10,00,000.                |
| Working capital | Current assets – current liabilities. The net current cushion. | ₹3,00,000 – ₹1,50,000 = ₹1,50,000. |

### 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

WC is not current assets. It is CA minus CL. If CA = CL, WC is zero and this ratio is undefined — write that, do not divide by zero. If CL > CA, WC is negative and the ratio is not meaningful as a turnover; say “negative working capital”.

### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. CA – CL = working capital.
2. Confirm it is positive.
3. Sales ÷ WC. Unit: times.
4. Comment on overtrading if the number is very high next to a thin current ratio.

## A ratio is a sentence, not a trophy

| Signal                   | Interpretation                                                                                                                                       |
|--------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | Each WC-rupee is working hard. Good use of funds — unless it is overtrading.                                                                         |
| Low (or falling)         | A lot of WC is supporting little sales. Idle stock or idle cash, or a collapsed top line.                                                            |
| Too high can also be bad | Overtrading: sales have outgrown the cushion. A slow month of collections and the firm cannot pay wages. Too low: capital stuck in WC, ROCE suffers. |

### SOLVED EXAMPLE K20 · EASY

## 7.7 Working capital turnover ratio from Kaveri Traders Ltd (31 March 2026)

Four-line working — the examiner awards marks on each line

| Line of working                 | What you write in the answer booklet                                     |
|---------------------------------|--------------------------------------------------------------------------|
| 1. Formula                      | WC turnover = Sales ÷ (CA – CL)                                          |
| 2. Figures picked               | Sales ₹10,00,000; WC ₹3,00,000 – ₹1,50,000 = ₹1,50,000.                  |
| 3. Arithmetic (nothing skipped) | ₹10,00,000 ÷ ₹1,50,000 = 10,00,000 ÷ 1,50,000 = 100/15 = 20/3 = 6.666... |
| 4. Answer with unit             | <b>6.67 times</b>                                                        |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** Each rupee of working capital supports ₹6.67 of sales. Paired with a current ratio of 2 : 1, this is use, not overtrading. Overtrading would look like WC turnover of 20 times next to a current ratio of 1.1.

### 10. COMMON MISTAKES

- Dividing by current assets instead of working capital.
- Using COGS in the numerator. This ratio uses sales.
- Taking WC as CA + CL. It is CA – CL.

### 11. MEMORY TRICK

Sales over the cushion. WC = CA – CL. High = hard-working cushion; extremely high = overtrading.

## 7.8 Fixed asset turnover ratio

**Syllabus bucket.** Combined ratio — sales from P&L, net fixed assets from Balance Sheet. Purpose family: efficiency of long-term assets.

**Ideal / usual comment.** Higher means the factory/godown is generating more sales per rupee of FA. A trader (low FA) will show a higher number than a manufacturer (heavy FA). Compare within the industry.

### 1. WHAT IS IT? — DEFINITION

Fixed asset turnover is sales divided by net fixed assets. It asks: how many rupees of sales does each rupee invested in the godown, plant and office generate?

### 2. IN SIMPLE WORDS

Kaveri's godown and office (net) cost ₹6,50,000 and produced ₹10,00,000 of sales. About ₹1.54 of sales per rupee of net FA.

### 3. WHY DO WE NEED IT?

To judge capacity utilisation and the productivity of long-term assets. A falling FA turnover can mean idle capacity, or a newly bought asset that has not yet started selling (which is not a crime — mention it).

### FORMULA

**Fixed asset turnover = Sales ÷ Net fixed assets**

Use net FA (after depreciation). Some papers use gross FA; some use average net FA. Default: closing net FA. State it.

### 7.8 Fixed asset turnover ratio — every piece of the formula

| Component | What it means | How to pick it from the statements |
|-----------|---------------|------------------------------------|
|-----------|---------------|------------------------------------|

| Component        | What it means                                                                                                                   | How to pick it from the statements |
|------------------|---------------------------------------------------------------------------------------------------------------------------------|------------------------------------|
| Sales            | Revenue from operations.                                                                                                        | Kaveri: ₹10,00,000.                |
| Net fixed assets | PPE after accumulated depreciation. Exclude current assets and investments unless the paper says "capital assets" more broadly. | Kaveri: ₹6,50,000.                 |

#### 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

Net, not gross, unless only gross is given. Do not add current assets (that would be total-asset turnover, which is ROA's cousin).

#### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Pick net FA from the BS.
2. Pick sales from the P&L.
3. Divide. Unit: times.
4. Read with the nature of the business (trader vs factory).

**A ratio is a sentence, not a trophy**

| Signal                   | Interpretation                                                                                                                                                                                                                            |
|--------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | Assets are working hard. Good utilisation.                                                                                                                                                                                                |
| Low (or falling)         | Idle capacity, over-investment, or a newly commissioned plant.                                                                                                                                                                            |
| Too high can also be bad | The firm may be sweating old, fully-depreciated assets (net FA is small because of accumulated depreciation, so the ratio looks brilliant). Check gross FA and the age of assets. Too low: money locked in a building that does not sell. |

#### SOLVED EXAMPLE K21 · EASY

#### 7.8 Fixed asset turnover ratio from Kaveri Traders Ltd (31 March 2026)

**Four-line working — the examiner awards marks on each line**

| Line of working                 | What you write in the answer booklet                                                  |
|---------------------------------|---------------------------------------------------------------------------------------|
| 1. Formula                      | FA turnover = Sales ÷ Net FA                                                          |
| 2. Figures picked               | Sales ₹10,00,000; Net FA ₹6,50,000.                                                   |
| 3. Arithmetic (nothing skipped) | $₹10,00,000 \div ₹6,50,000 = 10,00,000 \div 6,50,000 = 100/65 = 20/13 = 1.53846\dots$ |
| 4. Answer with unit             | <b>1.54 times</b>                                                                     |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** Each rupee of net FA produces ₹1.54 of sales. For a trader who owns a godown, this is modest (the godown is a large slice of the BS). It is not comparable with a stall-trader who rents and shows FA turnover of 20 times — different asset strategy.

#### 10. COMMON MISTAKES

- Using gross FA when net is given. Net is smaller, so using gross understates turnover.
- Adding working capital to FA (that is capital turnover).
- Using PAT in the numerator (that is a return, not a turnover).

#### 11. MEMORY TRICK

Sales over the godown. Net FA, not gross. High looks good; with fully-depreciated assets it can be an illusion.

## 7.9 Capital turnover ratio

**Syllabus bucket.** Combined ratio — sales from P&L, capital employed from Balance Sheet. Purpose family: efficiency of long-term funds.

**Ideal / usual comment.** Higher means each rupee of long-term funds supports more sales. Pair it with operating profit ratio:  $ROCE \approx \text{operating profit\%} \times \text{capital turnover}$ .

### 1. WHAT IS IT? — DEFINITION

Capital turnover is sales divided by capital employed. It asks: how many rupees of sales does each rupee of long-term funds generate?

### 2. IN SIMPLE WORDS

Kaveri has ₹8,00,000 of capital employed (owners + long-term lenders) and sells ₹10,00,000. Each long-term rupee supports ₹1.25 of sales.

### 3. WHY DO WE NEED IT?

To judge the activity of the total long-term pool. It is one of the two engines of ROCE (the other is operating profit margin). A firm can have a modest margin and a high capital turnover (a grocer) or a fat margin and a low capital turnover (a jeweller) and the same ROCE.

### FORMULA

**Capital turnover = Sales ÷ Capital employed**

Capital employed = Shareholders' funds + Long-term debt = Net FA + Working capital. Use the same CE you will use for ROCE.

## 7.9 Capital turnover ratio — every piece of the formula

| Component        | What it means                    | How to pick it from the statements                                                        |
|------------------|----------------------------------|-------------------------------------------------------------------------------------------|
| Sales            | Revenue from operations.         | Kaveri: ₹10,00,000.                                                                       |
| Capital employed | Long-term funds in the business. | Method 1: ₹6,00,000 + ₹2,00,000 = ₹8,00,000. Method 2: ₹6,50,000 + ₹1,50,000 = ₹8,00,000. |

### 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

Do not use only share capital. Do not use total assets (that includes assets financed by current liabilities). CE is the long-term pool.

### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Compute capital employed two ways and confirm they match.
2. Sales ÷ CE. Unit: times.
3. Keep the CE figure — you need it for ROCE in a moment.

## A ratio is a sentence, not a trophy

| Signal                   | Interpretation                                                                                                                                                    |
|--------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | Long-term funds are supporting a large top line. An activity-driven business.                                                                                     |
| Low (or falling)         | Heavy capital for the sales achieved. Possible idle FA or idle WC.                                                                                                |
| Too high can also be bad | Overtrading at the capital level: sales too big for the long-term funds, so the firm is leaning on current liabilities. Too low: over-capitalised, ROCE will sag. |

### SOLVED EXAMPLE K22 · EASY



## 7.9 Capital turnover ratio from Kaveri Traders Ltd (31 March 2026)

Four-line working — the examiner awards marks on each line

| Line of working                 | What you write in the answer booklet                         |
|---------------------------------|--------------------------------------------------------------|
| 1. Formula                      | Capital turnover = Sales ÷ Capital employed                  |
| 2. Figures picked               | Sales ₹10,00,000; CE ₹8,00,000.                              |
| 3. Arithmetic (nothing skipped) | ₹10,00,000 ÷ ₹8,00,000 = 10,00,000 ÷ 8,00,000 = 10/8 = 1.25. |
| 4. Answer with unit             | <b>1.25 times</b>                                            |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** Each rupee of long-term funds supports ₹1.25 of sales. Combined with a 15% operating margin, ROCE should be  $15\% \times 1.25 = 18.75\%$ . We will confirm that identity in the ROCE section — it is a free arithmetic check.

### 10. COMMON MISTAKES

- Denominator = equity share capital only.
- Denominator = total assets. That is total-asset turnover = 1.05 times for Kaveri, a different ratio.
- Mixing one CE definition for this ratio and another for ROCE in the same answer.

### 11. MEMORY TRICK

Sales over the long-term pool. Capital turnover × operating profit% = ROCE. Use it as a check.

## 7.10 Return on capital employed (ROCE)

**Syllabus bucket.** Combined ratio — EBIT from P&L, capital employed from Balance Sheet. Purpose family: profitability of long-term funds.

**Ideal / usual comment.** Should beat the cost of capital. As a rule of thumb, comfortably above the interest rate on the firm's debt (Kaveri's interest is ₹30,000 on ₹2,00,000 = 15% pre-tax coupon; ROCE of 18.75% clears it). Compare with industry and with last year.

### 1. WHAT IS IT? — DEFINITION

ROCE is operating profit (EBIT) divided by capital employed, times 100. It is the return earned on every rupee of long-term funds, before the split between lenders (interest) and owners (the residual), and before tax.

### 2. IN SIMPLE WORDS

The business, as a machine, was given ₹8,00,000 of long-term money and produced ₹1,50,000 of operating profit. That is an 18.75% return on the machine, before the banker and the tax officer take their cuts.

### 3. WHY DO WE NEED IT?

To judge the overall earning power of the firm's long-term resources. It is the fairest profitability ratio for comparing two firms with different debt levels, because EBIT is before interest. Banks and boards quote it constantly.

### FORMULA

**ROCE = (EBIT ÷ Capital employed) × 100**

EBIT = PBIT = operating profit. Capital employed = SF + LTD = FA + WC. Some papers use PBT (after interest) — that is not ROCE, that is closer to a return on total long-term funds after debt cost; do not mix. Some use average CE; default here is closing CE.

### 7.10 Return on capital employed (ROCE) — every piece of the formula

| Component               | What it means                                                                     | How to pick it from the statements                            |
|-------------------------|-----------------------------------------------------------------------------------|---------------------------------------------------------------|
| EBIT / operating profit | Profit before interest and tax. The pool that belongs to both lenders and owners. | Kaveri: ₹1,50,000. Rebuild: PBT ₹1,20,000 + interest ₹30,000. |
| Capital employed        | Shareholders' funds + long-term debt. Equals net FA + working capital.            | Kaveri: ₹8,00,000 (both methods).                             |

#### 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

Numerator is EBIT, not PAT, not PBT. PAT is for ROE. PBT has already paid the lenders, so it understates the return on the whole pool. Denominator includes debt — so the numerator must include the profit that debt helped to earn, i.e. before interest.

#### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Build EBIT (PBT + interest, or GP – opex).
2. Build capital employed two ways; they must match.
3.  $ROCE = EBIT \div CE \times 100$ . Unit: %.
4. Check: operating profit%  $\times$  capital turnover should equal ROCE.

#### A ratio is a sentence, not a trophy

| Signal                   | Interpretation                                                                                                                                                                                                                                    |
|--------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | The long-term funds are earning well. Value is being created if ROCE exceeds the cost of those funds.                                                                                                                                             |
| Low (or falling)         | Funds are earning poorly. Either margins are thin, or capital is idle (low turnover), or both. DuPont (next sections) tells you which.                                                                                                            |
| Too high can also be bad | A spectacular ROCE can be a fully-depreciated plant (tiny CE) or a one-time operating windfall. Or it can be genuine. Check both years and the notes. Too low: the firm is destroying value if it is below what those funds could earn elsewhere. |

#### SOLVED EXAMPLE K23 · EASY

### 7.10 Return on capital employed (ROCE) from Kaveri Traders Ltd (31 March 2026)

#### Four-line working — the examiner awards marks on each line

| Line of working                 | What you write in the answer booklet                                                                        |
|---------------------------------|-------------------------------------------------------------------------------------------------------------|
| 1. Formula                      | $ROCE = (EBIT \div \text{Capital employed}) \times 100$                                                     |
| 2. Figures picked               | EBIT ₹1,50,000; CE ₹8,00,000.                                                                               |
| 3. Arithmetic (nothing skipped) | $(₹1,50,000 \div ₹8,00,000) \times 100 = (1,50,000 \div 8,00,000) \times 100 = 0.1875 \times 100 = 18.75\%$ |
| 4. Answer with unit             | <b>18.75%</b>                                                                                               |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** Long-term funds earned 18.75% before interest and tax. Check: operating profit ratio  $15\% \times$  capital turnover  $1.25 = 18.75\%$ . The two engines agree. The 18.75% is above the 15% coupon on the term loan  $(30,000/2,00,000)$ , so the debt is earning its keep and leaving a surplus for owners.

#### 10. COMMON MISTAKES

- Using PAT in the numerator. That understates ROCE and confuses it with ROE. For Kaveri,  $PAT/CE = 90,000/8,00,000 = 11.25\%$  — a different, unnamed number.
- Using only share capital as CE.
- Using total assets as CE (that is closer to ROA's denominator).

- Using PBT (after interest) with a CE that still includes debt — the numerator and denominator then do not match.

#### 11. MEMORY TRICK

ROCE = return on the whole long-term pool =  $\text{EBIT} / \text{CE} \times 100$ . EBIT, not PAT. CE includes debt, so the profit must be before interest. Check:  $\text{OP}\% \times \text{capital turnover}$ .

#### KEY POINT

Matching rule, write it once and it will save you in every paper: if the denominator includes a fund-provider, the numerator must be the profit before that provider has been paid. CE includes lenders → use EBIT. Equity includes only owners → use PAT (ROE). Break the matching rule and the ratio is meaningless.

### 7.11 Return on equity (ROE / return on shareholders' funds)

**Syllabus bucket.** Combined ratio — PAT from P&L, equity shareholders' funds from Balance Sheet. Purpose family: profitability for owners.

**Ideal / usual comment.** Higher is better for owners, provided it is not bought with reckless gearing. Compare with ROCE, with the interest rate, and with what owners could earn elsewhere. Kaveri's 15% is a solid owners' return for a trading company.

#### 1. WHAT IS IT? — DEFINITION

ROE is profit after tax (and after preference dividend, if any) divided by equity shareholders' funds, times 100. It is the return on the owners' own rupee.

#### 2. IN SIMPLE WORDS

Owners have left ₹6,00,000 in Kaveri. This year they earned ₹90,000 after tax. That is 15 paise in the rupee, or 15%.

#### 3. WHY DO WE NEED IT?

This is the owners' scoreboard. It is what a shareholder compares with a bank-deposit rate, a mutual fund, or another company's ROE. It is also the top of the DuPont identity.

#### FORMULA

**ROE = (PAT ÷ Equity shareholders' funds) × 100**

If preference dividend exists: numerator = PAT – preference dividend, denominator = equity funds (exclude preference capital). Kaveri has no preference. Do not use EBIT here — EBIT belongs to lenders as well.

### 7.11 Return on equity (ROE / return on shareholders' funds) — every piece of the formula

| Component                             | What it means                                                                    | How to pick it from the statements         |
|---------------------------------------|----------------------------------------------------------------------------------|--------------------------------------------|
| PAT (less preference dividend if any) | Profit for equity owners after interest, tax and preference dividend.            | Kaveri: ₹90,000, no preference dividend.   |
| Equity shareholders' funds            | Equity share capital + reserves – fictitious assets. Exclude preference capital. | Kaveri: ₹4,00,000 + ₹2,00,000 = ₹6,00,000. |

#### 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

Denominator is not “equity share capital” alone. Reserves belong to owners. Numerator is PAT, not EBIT, not PBT (unless the paper says pre-tax ROE). If a P&L debit balance (loss) sits on the asset side, net it off equity.

#### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. PAT, minus preference dividend if given.
2. Equity funds = equity share capital + reserves – fictitious assets.
3. Divide  $\times 100$ . Unit: %.
4. Compare with ROCE: if  $ROE > ROCE$  after tax, gearing is helping owners; if  $ROE < \text{after-tax ROCE}$ , gearing is hurting.

#### A ratio is a sentence, not a trophy

| Signal                   | Interpretation                                                                                                                                                                                                                                                              |
|--------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | Owners are earning well on their money. The share is more attractive, other things equal.                                                                                                                                                                                   |
| Low (or falling)         | Owners are earning poorly. Either the business is weak (low ROCE) or debt is eating the residual (high interest) or equity is bloated.                                                                                                                                      |
| Too high can also be bad | A 60% ROE with a debt-equity of 5 : 1 is a tightrope, not a triumph. A 60% ROE with tiny equity because of accumulated losses that just reversed can also mislead. Too low: owners would have been better off in a fixed deposit — a harsh but fair comment if it persists. |

#### SOLVED EXAMPLE K24 · EASY

#### 7.11 Return on equity (ROE / return on shareholders' funds) from Kaveri Traders Ltd (31 March 2026)

##### Four-line working — the examiner awards marks on each line

| Line of working                 | What you write in the answer booklet                                                                 |
|---------------------------------|------------------------------------------------------------------------------------------------------|
| 1. Formula                      | $ROE = (PAT \div \text{Equity shareholders' funds}) \times 100$                                      |
| 2. Figures picked               | PAT ₹90,000; Equity funds ₹6,00,000.                                                                 |
| 3. Arithmetic (nothing skipped) | $(₹90,000 \div ₹6,00,000) \times 100 = (90,000 \div 6,00,000) \times 100 = 0.15 \times 100 = 15\%$ . |
| 4. Answer with unit             | <b>15%</b>                                                                                           |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** Owners earned 15% after tax. ROCE was 18.75% before interest and tax. After paying 15% coupon on a small loan and 25% tax on PBT, 15% remains for owners — a fair translation, not a magic trick. Gearing is mild, so ROE is not being inflated by a mountain of debt.

#### 10. COMMON MISTAKES

- Denominator = equity share capital ₹4,00,000 only, giving  $90,000/4,00,000 = 22.5\%$ . That ignores ₹2,00,000 of reserves which are also owners' money. This is the most common ROE mistake in the paper.
- Numerator = EBIT. That is ROCE's numerator. Matching rule broken.
- Including preference capital in the denominator while also not deducting preference dividend.

#### 11. MEMORY TRICK

$ROE = \text{owners' leftover over owners' money} = PAT / (\text{share capital} + \text{reserves}) \times 100$ . Never skip reserves. Never use EBIT.

#### 7.12 Return on assets (ROA / return on total assets)

**Syllabus bucket.** Combined ratio — profit from P&L, total assets from Balance Sheet. Purpose family: profitability of the whole asset base.

**Ideal / usual comment.** Higher is better. It will usually sit below ROCE because total assets (9.5 lakh) are bigger than capital employed (8 lakh) — current liabilities finance part of the assets.

#### 1. WHAT IS IT? — DEFINITION

Return on assets is profit divided by total assets, times 100. Two versions: (A) PAT / total assets — common “bottom-line” version; (B) EBIT / total assets — “operating” version, comparable across different debt levels. These notes compute both and lead with PAT.

## 2. IN SIMPLE WORDS

Every rupee of asset — godown, stock, debtors, cash — earned how many paise of profit? For Kaveri, PAT version: 9.47 paise. EBIT version: 15.79 paise.

## 3. WHY DO WE NEED IT?

To judge how productively the whole asset base is used, including the slice financed by creditors. Useful for comparing firms with very different current-liability levels.

## FORMULA

**ROA = (PAT ÷ Total assets) × 100 (lead version); also (EBIT ÷ Total assets) × 100**

Total assets = Balance Sheet total. If fictitious assets exist, use tangible total assets. Average total assets if both years' BS are given; Kaveri uses closing, stated.

### 7.12 Return on assets (ROA / return on total assets) — every piece of the formula

| Component        | What it means                              | How to pick it from the statements |
|------------------|--------------------------------------------|------------------------------------|
| PAT (version A)  | Bottom-line profit.                        | Kaveri: ₹90,000.                   |
| EBIT (version B) | Operating profit, for a debt-neutral view. | Kaveri: ₹1,50,000.                 |
| Total assets     | FA + CA = BS total.                        | Kaveri: ₹9,50,000.                 |

## 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

Denominator is the BS total, not CE, not FA. Write which numerator you used. In a “compute ROA” question with no formula printed, PAT / TA is the safe MBA default; mention the EBIT version if marks are generous.

## 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Pick PAT (and EBIT if you want both).
2. Pick total assets = BS total.
3. Divide × 100.
4. Place it next to ROCE and ROE: ROA < ROCE typically, because CL assets sit in the ROA denominator.

### A ratio is a sentence, not a trophy

| Signal                   | Interpretation                                                                                                               |
|--------------------------|------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | Assets are earning well, including those financed by creditors.                                                              |
| Low (or falling)         | A large asset base is producing little profit. Idle FA, slow stock, or thin margins.                                         |
| Too high can also be bad | Can be a fully-depreciated asset base (same illusion as FA turnover). Too low: the firm is too fat in assets for its profit. |

## SOLVED EXAMPLE K25 · EASY

### 7.12 Return on assets (ROA / return on total assets) from Kaveri Traders Ltd (31 March 2026)

#### Four-line working — the examiner awards marks on each line

| Line of working | What you write in the answer booklet |
|-----------------|--------------------------------------|
|-----------------|--------------------------------------|

| Line of working                 | What you write in the answer booklet                                                                                                       |
|---------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------|
| 1. Formula                      | $ROA = (PAT \div \text{Total assets}) \times 100$                                                                                          |
| 2. Figures picked               | PAT ₹90,000; Total assets ₹9,50,000. Also EBIT ₹1,50,000.                                                                                  |
| 3. Arithmetic (nothing skipped) | PAT version: $(90,000 \div 9,50,000) \times 100 = 9.4736\ldots\%$ . EBIT version: $(1,50,000 \div 9,50,000) \times 100 = 15.789\ldots\%$ . |
| 4. Answer with unit             | <b>9.47% (PAT) &amp;nbsp;; 15.79% (EBIT version)</b>                                                                                       |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** The whole asset base earned 9.47% after tax. ROCE was 18.75% on a smaller, long-term, denominator. The gap is mostly the extra ₹1,50,000 of assets that creditors financed, plus the fact that PAT is after interest and tax while EBIT is not. Both numbers can live in the same answer as long as you label them.

#### 10. COMMON MISTAKES

- Using capital employed as the denominator and calling it ROA.
- Using net FA only.
- Mixing PAT in the numerator with a comment that “this is before interest”.

#### 11. MEMORY TRICK

ROA = profit / whole pie of assets. PAT/TA is the default. EBIT/TA is the operating cousin. TA is the BS total.

### 7.13 Earnings per share (EPS)

**Syllabus bucket.** Combined ratio — PAT from P&L, number of equity shares from the Balance Sheet / notes. Purpose family: profitability per owner-unit.

**Ideal / usual comment.** Higher is better, but EPS cannot be compared across companies with different face values or different retained-earnings histories without care. Compare with the same company’s previous EPS, and with the market price (P/E, which is not in this syllabus).

#### 1. WHAT IS IT? — DEFINITION

EPS is the profit after tax (minus preference dividend) that belongs to one equity share. It is PAT available to equity holders divided by the number of equity shares outstanding.

#### 2. IN SIMPLE WORDS

Kaveri has 40,000 equity shares and earned ₹90,000. Each share earned ₹2.25 this year. That ₹2.25 is not a dividend — it is earnings. Some of it may be kept as reserves.

#### 3. WHY DO WE NEED IT?

To report the year’s earning power in the unit that a shareholder actually holds: one share. It is a compulsory line in a listed company’s P&L (Ind AS 33 / AS 20), and a standard MBA numerical.

#### FORMULA

**$EPS = (PAT - \text{Preference dividend}) \div \text{Number of equity shares outstanding}$**

Number of shares = Equity share capital  $\div$  Face value. Kaveri: ₹4,00,000  $\div$  ₹10 = 40,000 shares. If new shares were issued mid-year, a weighted average is used (advanced; only if the paper gives dates). Face value is not market price.

### 7.13 Earnings per share (EPS) — every piece of the formula

| Component                 | What it means                                                                                                      | How to pick it from the statements               |
|---------------------------|--------------------------------------------------------------------------------------------------------------------|--------------------------------------------------|
| PAT – preference dividend | Earnings for equity shareholders.                                                                                  | Kaveri: ₹90,000 – 0 = ₹90,000.                   |
| Number of equity shares   | Issued and outstanding equity shares, usually assumed equal to shares at year-end unless dates of issue are given. | ₹4,00,000 ÷ ₹10 = 4,00,000 ÷ 10 = 40,000 shares. |

#### 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

Do not divide PAT by share capital in rupees and call it EPS — that would be a return on face-capital, missing reserves and missing the “per share” unit. Do not use market price in the denominator (that is the P/E reciprocal when used with EPS). If preference dividend is given, subtract it.

#### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. PAT minus preference dividend.
2. Number of equity shares = equity share capital ÷ face value. (Or take the number if it is printed.)
3. Divide. Unit: ₹ per share.
4. One sentence: each equity share earned ₹X this year. Do not call it dividend.

#### A ratio is a sentence, not a trophy

| Signal                   | Interpretation                                                                                                                                                                                                                                 |
|--------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | Each share earned more. Owners are better off, other things equal.                                                                                                                                                                             |
| Low (or falling)         | Each share earned little. Either profit is weak or there are many shares (a recent issue, a bonus).                                                                                                                                            |
| Too high can also be bad | A bonus issue last year would have cut EPS in half without the business worsening — always check the number of shares. A one-time gain can spike EPS. Too low after a fresh issue may simply mean the new capital has not yet started earning. |

#### SOLVED EXAMPLE K26 · EASY

#### 7.13 Earnings per share (EPS) from Kaveri Traders Ltd (31 March 2026)

##### Four-line working — the examiner awards marks on each line

| Line of working                 | What you write in the answer booklet                                     |
|---------------------------------|--------------------------------------------------------------------------|
| 1. Formula                      | EPS = (PAT – Preference dividend) ÷ Number of equity shares              |
| 2. Figures picked               | PAT ₹90,000; preference dividend nil; shares = ₹4,00,000 ÷ ₹10 = 40,000. |
| 3. Arithmetic (nothing skipped) | ₹90,000 ÷ 40,000 = 90,000 ÷ 40,000 = 9/4 = 2.25.                         |
| 4. Answer with unit             | <b>₹2.25 per share</b>                                                   |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** Each of the 40,000 shares earned ₹2.25. Face value is ₹10, so earnings are 22.5% of face — but that is not ROE, because ROE uses share capital plus reserves. EPS is a per-share number for owners and for market ratios, not a substitute for ROE.

#### 10. COMMON MISTAKES

- Dividing PAT by share capital: 90,000/4,00,000 = 0.225, then writing “EPS = 0.225 times”. Wrong unit, wrong denominator.
- Forgetting to subtract preference dividend when preference shares exist.
- Using the market price of the share as the denominator.

- Calling EPS the dividend per share. DPS is a different number; Kaveri's dividend is not even given.

#### 11. MEMORY TRICK

EPS = leftover for equity ÷ how many equity shares. Shares = capital / face value. Answer is ₹ per share, not %.

### 7.14 Interest coverage ratio (times interest earned)

**Syllabus bucket.** Combined as a solvency companion (both figures can also be read from the P&L — see the classification note). Purpose family: solvency / debt-servicing.

**Ideal / usual comment.** Higher is safer. Below 2–3 times is usually uncomfortable. 5 times is a healthy cover for a trading firm. A term-loan covenant often demands a minimum (say 2.5 times).

#### 1. WHAT IS IT? — DEFINITION

Interest coverage is EBIT divided by interest (finance cost). It asks: how many times can the operating profit pay the interest bill?

#### 2. IN SIMPLE WORDS

Kaveri earned ₹1,50,000 of operating profit and owes ₹30,000 of interest. It can pay the interest bill 5 times over. The banker sleeps.

#### 3. WHY DO WE NEED IT?

To judge whether the debt load is serviceable from operations. Debt-equity tells you the stock of debt; interest coverage tells you whether this year's profit can carry this year's interest. You need both.

#### FORMULA

**Interest coverage = EBIT ÷ Interest**

EBIT, not PAT, not PBT. PAT has already paid the interest (and tax), so PAT / interest understates cover and is the wrong matching. If interest is zero, the ratio is not defined — write “no interest, coverage not applicable”.

### 7.14 Interest coverage ratio (times interest earned) — every piece of the formula

| Component               | What it means                                                                                                       | How to pick it from the statements |
|-------------------------|---------------------------------------------------------------------------------------------------------------------|------------------------------------|
| EBIT                    | Profit before interest and tax. The pool available to pay lenders.                                                  | Kaveri: ₹1,50,000.                 |
| Interest / finance cost | Interest on long-term and short-term borrowings for the year. Not the principal repayment. Not preference dividend. | Kaveri: ₹30,000.                   |

#### 6. FORMAT — HOW TO PICK THE FIGURE (ANY PAPER, AND KAVERI)

Add back interest if you are looking at PBT: EBIT = PBT + interest. Do not use “debt service” (principal + interest) unless the question asks for DSCR, which is a different ratio and not in this list.

#### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Build EBIT.
2. Pick the interest line (finance costs).
3. Divide. Unit: times.
4. Comment with debt-equity: low D/E + high coverage = safe; high D/E + low coverage = danger.

**A ratio is a sentence, not a trophy**

| Signal | Interpretation |
|--------|----------------|
|--------|----------------|



| Signal                   | Interpretation                                                                                                                                                                                                                          |
|--------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| High (or rising)         | Interest is easily earned. Lenders are safe. The firm can take a profit dip without defaulting.                                                                                                                                         |
| Low (or falling)         | A small fall in EBIT and interest cannot be paid. Distress. Fresh lending will be refused or expensive.                                                                                                                                 |
| Too high can also be bad | A coverage of 50 times usually means almost no debt — safe, but perhaps under-levered. Too low (under 1): EBIT does not even cover interest; the firm is paying interest by selling assets, raising new loans, or delaying other bills. |

#### SOLVED EXAMPLE K27 · EASY

### 7.14 Interest coverage ratio (times interest earned) from Kaveri Traders Ltd (31 March 2026)

Four-line working — the examiner awards marks on each line

| Line of working                 | What you write in the answer booklet                |
|---------------------------------|-----------------------------------------------------|
| 1. Formula                      | Interest coverage = EBIT ÷ Interest                 |
| 2. Figures picked               | EBIT ₹1,50,000; Interest ₹30,000.                   |
| 3. Arithmetic (nothing skipped) | ₹1,50,000 ÷ ₹30,000 = 1,50,000 ÷ 30,000 = 15/3 = 5. |
| 4. Answer with unit             | <b>5 times</b>                                      |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Reading for Kaveri.** Operating profit can pay the interest bill five times. Combined with debt-equity of 0.33 : 1, Kaveri is a low-risk borrower. A drop of 80% in EBIT would still just cover interest (coverage of 1) — there is a wide buffer.

#### 10. COMMON MISTAKES

- Using PAT / interest = 90,000/30,000 = 3 times. That is after tax, after the interest has already been paid — it is not coverage.
- Using PBT / interest = 1,20,000/30,000 = 4 times. PBT is after interest, so this is “leftover / interest”, not coverage.
- Putting principal repayment in the denominator (that is DSCR territory).
- Using total debt in the denominator. Coverage is a flow/flow ratio, not a flow/stock ratio.

#### 11. MEMORY TRICK

Coverage = how many times EBIT can pay the interest. EBIT over Interest. PAT is too late; the interest has already left.

## 8. DuPont identity (short, useful in MBA papers)

#### 1. WHAT IS IT? — DEFINITION

The DuPont identity splits ROE into three Combined / Revenue pieces: a margin (net profit ratio), an activity ratio (asset turnover), and a leverage ratio (equity multiplier = total assets ÷ equity).  $ROE = \text{Net profit margin} \times \text{Asset turnover} \times \text{Equity multiplier}$ .

#### 2. IN SIMPLE WORDS

Owners' 15% return did not fall from the sky. It is 9% leftover on sales, times how hard the assets were worked, times how much the asset base is bigger than owners' money. DuPont names the three knobs. If ROE falls, you know which knob moved.

#### FORMULA

$$ROE = (PAT \div Sales) \times (Sales \div Total\ assets) \times (Total\ assets \div Equity)$$

Sales and total assets cancel: the identity equals  $PAT \div Equity$ , which is ROE. The point is the split, not a new number.

**DuPont split of Kaveri's 15% ROE**

Net profit margin = ₹90,000 ÷ ₹10,00,000 = 0.09 = 9%.

Asset turnover = ₹10,00,000 ÷ ₹9,50,000 = 10,00,000 ÷ 9,50,000 = 20/19 = 1.0526 times.

Equity multiplier = ₹9,50,000 ÷ ₹6,00,000 = 9,50,000 ÷ 6,00,000 = 19/12 = 1.5833.

Product = 0.09 × 1.052632 × 1.583333 = 0.094737 × 1.583333 = 0.150000 = 15%.

**Reading.** Kaveri's ROE is driven more by margin (9%) and a modest multiplier (1.58 — low gearing) than by furious asset turnover (only 1.05). To raise ROE without taking more debt, Meera must either lift the 9% margin or sweat the 9.5 lakh of assets harder. Taking more debt would lift the multiplier and ROE — and lift risk. DuPont makes that trade-off visible.

**EXAM TIP**

DuPont is optional in many B-school papers but scores easily as a 4-mark “explain ROE” add-on. Write the three-factor formula, plug in, and name which factor is the lever.

**11. MEMORY TRICK**

M-A-L: Margin × Activity × Leverage = ROE. If ROE moved, circle which of the three moved.

**9. Kaveri at a glance — every ratio, then a health comment**

This is the page you should be able to rebuild, closed-book, from the two statements. Every figure traces to Kaveri Traders Ltd, year ended 31 March 2026.

**Master result sheet — Kaveri Traders Ltd, 31 March 2026**

| Ratio                   | Bucket / family     | Kaveri     | Yardstick           | One-word reading     |
|-------------------------|---------------------|------------|---------------------|----------------------|
| Current ratio           | BS / liquidity      | 2 : 1      | Ideal ~ 2 : 1       | Exactly at ideal     |
| Quick ratio             | BS / liquidity      | 1.20 : 1   | Ideal ~ 1 : 1       | Above ideal          |
| Cash ratio              | BS / liquidity      | 0.53 : 1   | Ideal ~ 0.5 : 1     | At ideal             |
| Debt-equity (LT)        | BS / solvency       | 0.33 : 1   | Comfortably under 1 | Conservative         |
| Debt-equity (total)     | BS / solvency       | 0.58 : 1   | Depends             | Still modest         |
| Proprietary ratio       | BS / solvency       | 63.16%     | Higher = safer      | Owner-majority       |
| Capital gearing         | BS / solvency       | 0.33 (low) | < 1 = low geared    | Low geared           |
| FA to long-term funds   | BS / structure      | 81.25%     | Should be < 100%    | Healthy matching     |
| CA to proprietary funds | BS / structure      | 50%        | Trader > factory    | Fits a trader        |
| GP ratio                | Rev / profitability | 25%        | Industry            | Solid trading margin |
| Operating profit ratio  | Rev / profitability | 15%        | Industry            | Clean staircase      |
| NP ratio (PAT)          | Rev / profitability | 9%         | Industry            | Respectable          |
| Operating ratio         | Rev / cost          | 85%        | Lower better        | Adds with OP% to 100 |
| Employee-cost ratio     | Rev / cost          | 6%         | Mix                 | Named slice          |
| Inventory turnover      | Comb / efficiency   | 7.5 times  | Industry            | Healthy pace         |
| Holding period          | Comb / efficiency   | 48.67 days | Shorter better      | ~ 7 weeks in godown  |
| Debtors turnover        | Comb / efficiency   | 10 times   | Higher = faster     | Brisk collection     |

| Ratio              | Bucket / family      | Kaveri        | Yardstick              | One-word reading            |
|--------------------|----------------------|---------------|------------------------|-----------------------------|
| Collection period  | Comb / efficiency    | 36.5 days     | Vs credit allowed      | Prompt                      |
| Creditors turnover | Comb / efficiency    | 6.08 times    | Vs credit taken        | About 6 turns               |
| Payment period     | Comb / efficiency    | 60.06 days    | Vs credit allowed      | Two months' free credit     |
| WC turnover        | Comb / efficiency    | 6.67 times    | Watch overtrading      | Use, not overtrading        |
| FA turnover        | Comb / efficiency    | 1.54 times    | Industry               | Modest (owns godown)        |
| Capital turnover   | Comb / efficiency    | 1.25 times    | Engine of ROCE         | Checks with ROCE            |
| ROCE               | Comb / profitability | 18.75%        | Above cost of debt     | Debt is earning its keep    |
| ROE                | Comb / profitability | 15%           | Owners' scoreboard     | Solid, not geared-up        |
| ROA (PAT)          | Comb / profitability | 9.47%         | Whole asset base       | Consistent with low gearing |
| EPS                | Comb / profitability | ₹2.25 / share | Vs last year           | On 40,000 shares of ₹10     |
| Interest coverage  | Comb / solvency      | 5 times       | Above 3 is comfortable | Wide buffer                 |

### Four-to-five sentence health comment (this is what “interpret” looks like in the paper)

#### 12. EXAM-READY ANSWER

Kaveri Traders is liquid: the current ratio sits at the textbook 2 : 1, the acid test at 1.2 : 1 and the cash ratio at 0.53 : 1, so short-term bills are covered even if stock is ignored. The firm is conservatively financed — debt-equity 0.33 : 1, proprietary ratio 63%, low capital gearing, interest covered 5 times — and fixed assets are fully funded by long-term money (FA to long-term funds 81%). Profitability is decent for a wholesaler: gross 25%, operating 15%, net 9%, ROCE 18.75% and ROE 15%, with EPS ₹2.25; ROCE clears the 15% coupon on the term loan, so gearing is helping, not hurting. Efficiency is the quiet strength: stock turns 7.5 times (held ~49 days), debtors pay in 36.5 days and suppliers are paid in ~60 days, which produces a short net cash cycle of about 25 days. Watch-outs are modest rather than alarming — FA turnover is only 1.54 because the firm owns its godown, the 9% net margin will feel any wage or interest shock, and the current ratio of 2.0 is not a licence to let stock go stale (though 7.5 turns says it has not). Overall, Kaveri is a solvent, moderately profitable trader with a healthy operating cycle and unused debt capacity.

#### KEY POINT

A health comment always has four beats: liquidity, solvency, profitability, efficiency. Then one watch-out. Then one overall sentence. That structure scores even when your adjectives are cautious.

## 10. Reconstruction numericals — the exam favourite

A large slice of MBA ratio marks does not give you a P&L and a BS. It gives you **some ratios and one rupee figure**, and asks you to rebuild CA, CL, stock, COGS or sales. The method is algebra with the formula, not memory of Kaveri.

**Golden reconstruction rules.** (1) Write the ratio formula. (2) Replace the words with letters (CA, CL, WC). (3) Write any extra identity (WC = CA – CL). (4) Solve the two equations. (5) Never treat “current ratio 2.5” as WC = 2.5.

### Type A — Current ratio and working capital → CA and CL

#### SOLVED EXAMPLE R1 · MODERATE

**Current ratio 2.5, working capital ₹1,50,000. Find CA and CL. Then quick ratio 1.5; find inventory.**

**Given.** Current ratio = 2.5, Working capital = ₹1,50,000, Quick ratio = 1.5. Prepaid expenses are nil. Find current assets, current liabilities and inventory.

#### Step 1 — names.

Let CL = x. Then CA = 2.5x, because current ratio = CA/CL = 2.5.

**Step 2 — working-capital identity.**

$$WC = CA - CL = 2.5x - x = 1.5x.$$

$$1.5x = ₹1,50,000.$$

**Step 3 — solve for x.**

$$x = ₹1,50,000 \div 1.5 = ₹1,50,000 \div (3/2) = ₹1,50,000 \times 2/3 = ₹3,00,000 \div 3 = ₹1,00,000.$$

$$\text{So } CL = ₹1,00,000.$$

$$CA = 2.5 \times ₹1,00,000 = (5/2) \times ₹1,00,000 = ₹2,50,000.$$

**Check.**  $CA - CL = ₹2,50,000 - ₹1,00,000 = ₹1,50,000 = WC$ . And  $CA/CL = 2.5$ . Both given facts return.

**Step 4 — quick ratio.**

$$\text{Quick ratio} = \text{Quick assets} / CL = 1.5, \text{ so Quick assets} = 1.5 \times ₹1,00,000 = ₹1,50,000.$$

$$\text{Inventory} = CA - \text{Quick assets} - \text{Prepaid} = ₹2,50,000 - ₹1,50,000 - 0 = ₹1,00,000.$$

**Answer.** Current assets ₹2,50,000, current liabilities ₹1,00,000, inventory ₹1,00,000.

**WATCH OUT**

If prepaid had been given, inventory would be  $CA - QA - \text{prepaid}$ , not  $CA - QA$ . If the paper gives “liquid assets include debtors and cash only”, you are already looking at QA.

**Type B — GP ratio, stock turnover, opening = closing → COGS, sales, GP, purchases****SOLVED EXAMPLE R2 · EXAM**

**GP ratio 20%, stock turnover 5 times, opening stock ₹40,000 = closing stock. Find COGS, sales, GP and purchases.**

**Given.** Gross profit ratio = 20% of sales. Inventory turnover = 5 times (COGS version). Opening stock = closing stock = ₹40,000.

**Step 1 — average stock.**

Opening = closing, so average stock = ₹40,000. (If they had been different you would add and divide by 2.)

**Step 2 — COGS from turnover.**

$$\text{Stock turnover} = \text{COGS} / \text{average stock} = 5, \text{ so } \text{COGS} = 5 \times ₹40,000 = ₹2,00,000.$$

**Step 3 — sales from GP ratio.**

GP = 20% of sales, so COGS = 80% of sales (because GP + COGS = Sales).

$$0.80 \times \text{Sales} = ₹2,00,000.$$

$$\text{Sales} = ₹2,00,000 \div 0.80 = ₹2,00,000 \div (4/5) = ₹2,00,000 \times 5/4 = ₹10,00,000 \div 4 = ₹2,50,000.$$

**Step 4 — GP.**

$$\text{GP} = \text{Sales} - \text{COGS} = ₹2,50,000 - ₹2,00,000 = ₹50,000. \text{ Check: } 20\% \text{ of } ₹2,50,000 = ₹50,000.$$

**Step 5 — purchases.**

$$\text{COGS} = \text{Opening} + \text{Purchases} - \text{Closing}. \text{ Opening} = \text{closing, so } \text{Purchases} = \text{COGS} = ₹2,00,000.$$

**Answer.** COGS ₹2,00,000, Sales ₹2,50,000, GP ₹50,000, Purchases ₹2,00,000.

## Type C — Opening ≠ closing, GP ratio and stock turnover → closing stock and sales

### SOLVED EXAMPLE R3 · EXAM

**Sales are not given. GP ratio 20%, stock turnover 8, opening stock ₹40,000, closing stock ₹60,000. Find COGS, sales and GP.**

**Given.** GP ratio 20%. Stock turnover 8 (COGS / average stock). Opening ₹40,000, closing ₹60,000.

**Average stock.**

$$(\text{₹}40,000 + \text{₹}60,000) \div 2 = \text{₹}1,00,000 \div 2 = \text{₹}50,000.$$

**COGS.**

$$8 \times \text{₹}50,000 = \text{₹}4,00,000.$$

**Sales.**

$$\text{COGS} = 80\% \text{ of sales, so Sales} = \text{₹}4,00,000 \div 0.80 = \text{₹}5,00,000.$$

**GP.**

$$20\% \text{ of } \text{₹}5,00,000 = \text{₹}1,00,000. \text{ Check: } \text{₹}5,00,000 - \text{₹}4,00,000 = \text{₹}1,00,000.$$

**Purchases, if asked.**

$$\text{Purchases} = \text{COGS} + \text{closing} - \text{opening} = \text{₹}4,00,000 + \text{₹}60,000 - \text{₹}40,000 = \text{₹}4,20,000.$$

**Answer.** COGS ₹4,00,000, Sales ₹5,00,000, GP ₹1,00,000, Purchases ₹4,20,000.

## Type D — Current ratio 3, WC ₹80,000 (a different number, so you cannot copy R1)

### SOLVED EXAMPLE R4 · MODERATE

**Current ratio 3 : 1, working capital ₹80,000. Find CA and CL.**

$$\text{Let CL} = x, \text{ CA} = 3x.$$

$$3x - x = \text{₹}80,000 \text{ so } 2x = \text{₹}80,000, x = \text{₹}40,000.$$

$$\text{CL} = \text{₹}40,000, \text{ CA} = 3 \times \text{₹}40,000 = \text{₹}1,20,000.$$

$$\text{Check. } \text{₹}1,20,000 - \text{₹}40,000 = \text{₹}80,000; \text{₹}1,20,000 \div \text{₹}40,000 = 3.$$

**Answer.** CA ₹1,20,000, CL ₹40,000.

### 9. HOW TO IDENTIFY THE QUESTION

If the question gives a ratio and working capital (or one of CA / CL) and asks for the missing BS items, it is Type A algebra. If it gives GP% and stock turnover and stock, it is Type B/C — build COGS first, then sales from the complement of GP%. If it gives proprietary ratio and total assets,  $\text{SF} = \text{rate} \times \text{TA}$ . Always write the identity  $\text{WC} = \text{CA} - \text{CL}$ ; it is the second equation you need.

### 10. COMMON MISTAKES

- Current ratio 2.5 and WC ₹1,50,000 → “ $\text{CA} = 2.5 \times 1,50,000$ ”. That treats WC as CL. The 2.5 applies to CL, not to WC.
- GP 20% and COGS ₹2,00,000 → “ $\text{Sales} = 20\% \times 2,00,000$ ”. No: 20% is of sales, not of COGS. COGS is 80% of sales.
- Stock turnover 5, opening 40,000, closing 60,000 → “ $\text{COGS} = 5 \times 40,000$ ”. Use the average, not opening alone.
- Quick ratio 1.5, CA 2,50,000 → “ $\text{Inventory} = 1.5 \times 2,50,000$ ”. Quick ratio is  $\text{QA}/\text{CL}$ , not  $\text{inventory}/\text{CA}$ .

### 11. MEMORY TRICK

Two equations, two unknowns. Ratio gives you  $CA = k \times CL$ . WC gives you  $CA - CL = \text{a rupee amount}$ . Solve. For GP% + turnover: turnover  $\rightarrow$  COGS, complement of GP%  $\rightarrow$  Sales.

## 11. How to identify the ratio the question wants

Most numericals do not print the formula. They print a situation, or a table, or the words “comment on liquidity”. This table is the translation layer. Read the left column in the exam hall.

**Identification table — read the trigger, pick the ratio, name the bucket**

| If the question says / gives...                                                            | You should reach for...                                                              | Bucket  |
|--------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------|---------|
| Current assets and current liabilities, or “ability to pay short-term dues”                | Current ratio (and WC as the rupee cousin)                                           | BS      |
| “Acid test / liquid / quick”, or CA, stock, prepaid, CL                                    | Quick ratio — deduct stock and prepaid                                               | BS      |
| Cash, marketable securities, CL; “immediate cash”                                          | Absolute liquid / cash ratio                                                         | BS      |
| Long-term loan / debentures and shareholders’ funds; “capital structure / borrowed vs own” | Debt-equity (say which version)                                                      | BS      |
| “Owners’ slice of assets”, proprietary, tangible assets                                    | Proprietary ratio = SF / TA                                                          | BS      |
| Preference capital + debt vs equity; “high geared / low geared”                            | Capital gearing                                                                      | BS      |
| Fixed assets and long-term funds; “matching / FA financed by”                              | FA to long-term funds — flag if $> 1$                                                | BS      |
| Current assets and proprietary funds                                                       | CA to proprietary funds                                                              | BS      |
| Gross profit and sales; “trading margin / mark-up on sales”                                | GP ratio                                                                             | Rev     |
| PAT (or PBT) and sales; “net margin”                                                       | NP ratio — state PAT or PBT                                                          | Rev     |
| EBIT / operating profit / PBIT and sales                                                   | Operating profit ratio                                                               | Rev     |
| Operating cost, or COGS + opex, over sales; “cost-heaviness”                               | Operating ratio (should pair with OP%)                                               | Rev     |
| A named expense over sales (wages, rent, interest)                                         | That expense ratio                                                                   | Rev     |
| “How quickly stock sells / stock velocity / godown flipped”                                | Inventory turnover (COGS / avg stock) and holding days                               | Comb    |
| Credit sales and debtors; “collection / receivables velocity”                              | Debtors turnover and collection period                                               | Comb    |
| Credit purchases and creditors; “payment period / how fast we pay”                         | Creditors turnover and payment period                                                | Comb    |
| Sales and working capital; “overtrading”                                                   | WC turnover                                                                          | Comb    |
| Sales and net FA; “capacity / sweated assets”                                              | FA turnover                                                                          | Comb    |
| Sales and capital employed; “activity of long-term funds”                                  | Capital turnover                                                                     | Comb    |
| “ROCE / overall profitability of funds / return on long-term capital”                      | EBIT / CE $\times 100$ — not PAT                                                     | Comb    |
| “ROE / return on owners’ / return on net worth / return on shareholders’ funds”            | PAT / (capital + reserves) $\times 100$                                              | Comb    |
| Return on total assets / whole resource base                                               | PAT/TA or EBIT/TA — label it                                                         | Comb    |
| Earnings per share, number of shares, face value                                           | EPS = (PAT – pref div) / number of equity shares                                     | Comb    |
| “Times interest earned / ability to pay interest / coverage”                               | EBIT / Interest — not PAT / Interest                                                 | Comb    |
| Current ratio + working capital, find CA and CL                                            | Algebra Type A (section 10)                                                          | Rebuild |
| Quick ratio after that, find inventory                                                     | QA = QR $\times$ CL; Inventory = CA – QA – prepaid                                   | Rebuild |
| GP% + stock turnover + stock, find sales / COGS                                            | Algebra Type B/C: turnover $\rightarrow$ COGS, complement of GP% $\rightarrow$ sales | Rebuild |
| “Comment on liquidity” with a full set of statements                                       | Current + quick + cash, then one sentence each                                       | Comment |
| “Comment on solvency / capital structure”                                                  | Debt-equity + proprietary + gearing + interest coverage                              | Comment |

| If the question says / gives...    | You should reach for...                                     | Bucket  |
|------------------------------------|-------------------------------------------------------------|---------|
| "Comment on profitability"         | GP, OP, NP, ROCE, ROE (and EPS if shares are given)         | Comment |
| "Comment on efficiency / activity" | Stock, debtors, creditors, FA, capital, WC turnovers + days | Comment |

#### EXAM TIP

When a question gives a full P&L and BS and says "compute ratios" without naming them, do not compute all 27. Compute a balanced set: 2 liquidity, 2 solvency, 3 profitability, 3 efficiency — ten ratios, each with formula, figure, unit, one-line comment. That is a 16–20 mark answer. Dumping 27 numbers with no comment scores worse.

## 12. Common mistakes (chapter-wide)

### 10. COMMON MISTAKES

- Using sales instead of COGS for stock turnover. Stock is at cost. Kaveri would wrongly show 10 times instead of 7.5.
- Including prepaid expenses in quick assets. Prepaid will not pay a creditor.
- Using PAT instead of EBIT for ROCE. Matching rule: CE includes lenders, so profit must be before interest.
- Using only share capital instead of shareholders' funds (capital + reserves) for ROE, debt-equity, proprietary ratio. Reserves are owners' money.
- Mixing 365-day and 360-day conventions, or writing days as "times".
- Not using averages when opening stock / debtors / creditors are given. Closing-only is allowed only when opening is not given, and you must say so.
- Reading current ratio 2 as  $CA - CL = 2$ . It means  $CA = 2 \times CL$ .
- Using total sales for debtors turnover when cash sales are given.
- Using COGS (or sales) instead of credit purchases for creditors turnover.
- Including interest in operating cost, so that operating ratio + operating profit ratio no longer add to 100%.
- Calling every profitability ratio a Revenue ratio. ROCE, ROE, ROA, EPS are Combined by source.
- Comparing two firms' GP% without checking that one includes depreciation in COGS and the other does not — policies differ.
- A beautiful ratio on 31 March after window dressing (repaying a creditor on 30 March, re-borrowing on 2 April).
- Writing a number with no unit and no sentence, and calling it "analysis".
- Inverting a ratio (equity/debt when the paper asked debt/equity) and then applying the "high is risky" comment to the inverted number.
- Treating a high current ratio as automatically good, and a high stock turnover as automatically good. Both have a "too high" side.

### WATCH OUT

If you remember only six mistakes for the night before the paper, remember these six: sales-for-COGS, prepaid-in-quick, PAT-for-ROCE, capital-without-reserves, no-average-when-opening-given, current-ratio-2-means-CA-minus-CL-equals-2.

## 13. Memory tricks for the whole chapter

### 11. MEMORY TRICK

Three buckets: BS–BS structure, P&L–P&L margin, P&L–BS speed-or-return. Liquidity staircase: current (trust stock) → quick (drop stock and prepaid) → cash (already money). Ideals 2 : 1, 1 : 1, 0.5 : 1. Solvency: outsiders over owners (D/E); owners over the pie (proprietary); fixed-charge over equity (gearing); FA over long money (should be under 1). Margins staircase down the P&L: GP, then operating, then net. Operating ratio is the cost twin of operating profit%; they add to 100. Turnover = a flow over an average stock. Days = 365 / times. Stock at cost (COGS), debtors from credit sales, creditors from credit purchases. Matching rule: whoever

is in the denominator must not already have been paid in the numerator. CE includes lenders → EBIT. Equity is owners → PAT. EPS is ₹ per share, not %. Shares = capital / face. Reconstruction: ratio is a k, WC is a rupee difference; two equations. GP% complement gives COGS/Sales.

**Pocket card — say it out loud once a day in the week of the exam**

| Ratio              | Pocket formula                          | Ideal / flag          |
|--------------------|-----------------------------------------|-----------------------|
| Current            | CA / CL                                 | 2 : 1                 |
| Quick              | (CA – stock – prepaid) / CL             | 1 : 1                 |
| Cash               | (cash + mkt sec) / CL                   | 0.5 : 1               |
| Debt-equity        | LTD / SF                                | lower = safer         |
| Proprietary        | SF / TA                                 | higher = safer        |
| Gearing            | (pref + LTD) / equity funds             | < 1 low geared        |
| FA / long funds    | Net FA / CE                             | < 1                   |
| GP%                | GP / Sales × 100                        | industry              |
| OP%                | EBIT / Sales × 100                      | industry              |
| NP%                | PAT / Sales × 100                       | industry              |
| Operating ratio    | (COGS + opex) / Sales × 100             | 100 – OP%             |
| Stock turnover     | COGS / avg stock                        | times; days = 365 / t |
| Debtors turnover   | Credit sales / avg debtors              | times; days = 365 / t |
| Creditors turnover | Credit purchases / avg creditors        | times; days = 365 / t |
| ROCE               | EBIT / CE × 100                         | above cost of debt    |
| ROE                | PAT / SF × 100                          | owners' scoreboard    |
| EPS                | (PAT – pref div) / no. of equity shares | ₹ / share             |
| Interest cover     | EBIT / Interest                         | times; above ~3       |

## 14. Complete ratio formula table

This is the last-night page. Every ratio in the syllabus is here, with bucket, formula, unit and the comment that belongs in the answer. If a paper prints a different version, obey the paper and write “as per the given formula”.

### Chapter 7 — complete formula table (Balance Sheet / Revenue / Combined)

| Name                         | Type | Formula                                   | Unit           | Ideal / comment                       |
|------------------------------|------|-------------------------------------------|----------------|---------------------------------------|
| Current ratio                | BS   | CA ÷ CL                                   | times or x : 1 | Ideal ~ 2 : 1                         |
| Quick / acid-test ratio      | BS   | (CA – Inventory – Prepaid) ÷ CL           | x : 1          | Ideal ~ 1 : 1                         |
| Absolute liquid / cash ratio | BS   | (Cash + Marketable securities) ÷ CL       | x : 1          | Ideal ~ 0.5 : 1                       |
| Debt-equity (long-term)      | BS   | Long-term debt ÷ Shareholders' funds      | x : 1          | Common MBA version; lower = safer     |
| Debt-equity (total)          | BS   | (LTD + CL) ÷ Shareholders' funds          | x : 1          | Use when the question says total debt |
| Proprietary ratio            | BS   | Shareholders' funds ÷ Total assets        | ratio or %     | Higher = bigger owner-cushion         |
| Capital gearing              | BS   | (Preference capital + LTD) ÷ Equity funds | ratio          | < 1 low geared (this version)         |
| FA to long-term funds        | BS   | Net FA ÷ (SF + LTD)                       | ratio or %     | Should be < 1                         |
| CA to proprietary funds      | BS   | CA ÷ Shareholders' funds                  | ratio or %     | Higher for traders                    |
| Gross profit ratio           | Rev  | GP ÷ Sales × 100                          | %              | Industry; GP = Sales – COGS           |



| Name                      | Type        | Formula                                                                          | Unit      | Ideal / comment                                   |
|---------------------------|-------------|----------------------------------------------------------------------------------|-----------|---------------------------------------------------|
| Net profit ratio          | Rev         | $PAT \div Sales \times 100$                                                      | %         | PBT version if asked                              |
| Operating profit ratio    | Rev         | $EBIT \div Sales \times 100$                                                     | %         | $EBIT = PBT + \text{interest}$                    |
| Operating ratio           | Rev         | $(COGS + \text{Operating expenses}) \div Sales \times 100$                       | %         | $\approx 100\% - OP\%$ ; interest stays out       |
| Expense ratio             | Rev         | $\text{Particular expense} \div Sales \times 100$                                | %         | Name the expense                                  |
| Inventory turnover        | Comb        | $COGS \div \text{Average inventory}$                                             | times     | Preferred over Sales / stock                      |
| Inventory holding period  | Comb        | $365 \div \text{Inventory turnover}$                                             | days      | Or $360 / 12 / 52$ as asked                       |
| Debtors turnover          | Comb        | $\text{Credit sales} \div \text{Average debtors}$                                | times     | Assume all credit if split silent                 |
| Average collection period | Comb        | $365 \div \text{Debtors turnover}$                                               | days      | Compare with credit allowed                       |
| Creditors turnover        | Comb        | $\text{Credit purchases} \div \text{Average creditors}$                          | times     | $\text{Purchases} = COGS + \Delta\text{stock}$    |
| Average payment period    | Comb        | $365 \div \text{Creditors turnover}$                                             | days      | Compare with credit taken                         |
| Working capital turnover  | Comb        | $Sales \div (CA - CL)$                                                           | times     | Very high $\rightarrow$ overtrading               |
| Fixed asset turnover      | Comb        | $Sales \div \text{Net FA}$                                                       | times     | Net, not gross                                    |
| Capital turnover          | Comb        | $Sales \div \text{Capital employed}$                                             | times     | $CE = SF + LTD = FA + WC$                         |
| ROCE                      | Comb        | $EBIT \div \text{Capital employed} \times 100$                                   | %         | Not PAT; check $OP\% \times \text{cap. turnover}$ |
| ROE                       | Comb        | $PAT \div \text{Equity shareholders' funds} \times 100$                          | %         | Capital + reserves; not EBIT                      |
| ROA (PAT)                 | Comb        | $PAT \div \text{Total assets} \times 100$                                        | %         | EBIT version also exists                          |
| EPS                       | Comb        | $(PAT - \text{Pref. dividend}) \div \text{No. of equity shares}$                 | ₹ / share | $\text{Shares} = ESC \div \text{face value}$      |
| Interest coverage         | Comb        | $EBIT \div \text{Interest}$                                                      | times     | Not PAT / interest                                |
| DuPont ROE                | Comb        | $NP \text{ margin} \times \text{Asset turnover} \times \text{Equity multiplier}$ | %         | Optional three-factor split                       |
| Net cash cycle            | Comb        | $\text{Hold days} + \text{Collect days} - \text{Pay days}$                       | days      | Kaveri $\approx 25$ days                          |
| Capital employed          | BS identity | $SF + LTD$ or $\text{Net FA} + WC$                                               | ₹         | Both methods must match                           |
| Working capital           | BS identity | $CA - CL$                                                                        | ₹         | Not a ratio; the rupee cousin of current ratio    |
| Shareholders' funds       | BS identity | $ESC + \text{Reserves} - \text{fictitious assets}$                               | ₹         | Not ESC alone                                     |
| Average of a BS item      | Working     | $(\text{Opening} + \text{Closing}) \div 2$                                       | ₹         | When opening is given, you must average           |

Type = syllabus source-bucket. CE = capital employed. SF = shareholders' funds. LTD = long-term debt. ESC = equity share capital.

## 15. Practice set with solutions

Do each question on paper before you open the solution. Copy the four-line working (formula, figures, arithmetic, answer with unit). Questions 1–2 are Easy, 3–5 Moderate, 6–8 Exam-level. Question 8 is a full Kaveri-style comment from a different company, so you cannot copy section 9.

### PRACTICE 7.1 · EASY

### Current, quick and cash ratios from a list of assets

From the following, compute current ratio, quick ratio and absolute liquid ratio. Current assets: inventory ₹1,20,000, trade receivables ₹1,80,000, cash ₹80,000, prepaid insurance ₹20,000. Current liabilities: trade payables ₹2,00,000. There are no marketable securities.

**Hint.** Add CA first. Deduct stock and prepaid for quick. Cash only for absolute liquid.

#### ANSWER / SOLUTION

Four-line working — the examiner awards marks on each line

| Line of working                 | What you write in the answer booklet                                                                                                             |
|---------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|
| 1. Formula                      | $CR = CA/CL$ ; $QR = (CA - \text{inv} - \text{prepaid})/CL$ ; $\text{Cash} = (\text{cash} + \text{mkt sec})/CL$                                  |
| 2. Figures picked               | $CA = ₹1,20,000 + ₹1,80,000 + ₹80,000 + ₹20,000 = ₹4,00,000$ . $CL = ₹2,00,000$ . Quick assets = $₹4,00,000 - ₹1,20,000 - ₹20,000 = ₹2,60,000$ . |
| 3. Arithmetic (nothing skipped) | $CR = ₹4,00,000 \div ₹2,00,000 = 2$ . $QR = ₹2,60,000 \div ₹2,00,000 = 1.3$ . Cash ratio = $₹80,000 \div ₹2,00,000 = 0.40$ .                     |
| 4. Answer with unit             | <b>Current 2 : 1; Quick 1.3 : 1; Cash 0.40 : 1</b>                                                                                               |

If you jump from the formula to a final number, you lose method marks when the arithmetic slips.

**Comment.** Current is at ideal. Quick is above 1 : 1 (prepaid was correctly dropped — leaving it in would have given 1.4). Cash is a little under 0.5 : 1, so the firm leans on debtors for immediate bills.

### PRACTICE 7.2 · EASY

#### GP, NP and operating ratios

Sales ₹5,00,000, COGS ₹3,50,000, operating expenses ₹50,000, interest ₹20,000, tax ₹20,000. Compute GP ratio, operating profit ratio, operating ratio and NP ratio. Show that operating ratio + operating profit ratio = 100%.

#### ANSWER / SOLUTION

$GP = ₹5,00,000 - ₹3,50,000 = ₹1,50,000$ .

$GP \text{ ratio} = (1,50,000 \div 5,00,000) \times 100 = 30\%$ .

$EBIT = GP - \text{opex} = ₹1,50,000 - ₹50,000 = ₹1,00,000$ .

$\text{Operating profit ratio} = (1,00,000 \div 5,00,000) \times 100 = 20\%$ .

$\text{Operating cost} = ₹3,50,000 + ₹50,000 = ₹4,00,000$ .

$\text{Operating ratio} = (4,00,000 \div 5,00,000) \times 100 = 80\%$ .

Check:  $80\% + 20\% = 100\%$ .

$PAT = EBIT - \text{interest} - \text{tax} = ₹1,00,000 - ₹20,000 - ₹20,000 = ₹60,000$ .

$NP \text{ ratio} = (60,000 \div 5,00,000) \times 100 = 12\%$ .

**Answer.** GP 30%, OP 20%, operating ratio 80%, NP 12%.

### PRACTICE 7.3 · MODERATE

#### Rebuild CA, CL, inventory from ratios

Current ratio 2.5, working capital ₹1,50,000, quick ratio 1.5. Prepaid nil. Find current assets, current liabilities and inventory.

#### ANSWER / SOLUTION

This is reconstruction Type A (example R1).

$CL = x$ ,  $CA = 2.5x$ ,  $2.5x - x = 1.5x = ₹1,50,000$ ,  $x = ₹1,00,000$ .

$CA = ₹2,50,000$ ,  $CL = ₹1,00,000$ .

$QA = 1.5 \times ₹1,00,000 = ₹1,50,000$ .

$\text{Inventory} = ₹2,50,000 - ₹1,50,000 = ₹1,00,000$ .

**Answer.** CA ₹2,50,000, CL ₹1,00,000, inventory ₹1,00,000.

#### PRACTICE 7.4 · MODERATE

##### GP 20%, stock turnover 5, opening = closing = ₹40,000

Find average stock, COGS, sales, GP and purchases.

#### ANSWER / SOLUTION

Average stock = ₹40,000 (opening = closing).

$COGS = 5 \times ₹40,000 = ₹2,00,000$ .

$COGS = 80\% \text{ of sales}$ , so  $\text{Sales} = ₹2,00,000 \div 0.80 = ₹2,50,000$ .

$GP = ₹2,50,000 - ₹2,00,000 = ₹50,000 = 20\% \text{ of sales}$ .

$\text{Purchases} = COGS \text{ (stock unchanged)} = ₹2,00,000$ .

**Answer.** Avg stock ₹40,000, COGS ₹2,00,000, Sales ₹2,50,000, GP ₹50,000, Purchases ₹2,00,000.

#### PRACTICE 7.5 · MODERATE

##### Stock turnover with unequal opening and closing

GP ratio 20%. Stock turnover 8 times. Opening stock ₹40,000, closing stock ₹60,000. Find COGS, sales, GP and purchases.

#### ANSWER / SOLUTION

Average stock =  $(₹40,000 + ₹60,000) \div 2 = ₹50,000$ .

$COGS = 8 \times ₹50,000 = ₹4,00,000$ .

$\text{Sales} = ₹4,00,000 \div 0.80 = ₹5,00,000$ .

$GP = ₹1,00,000$ .

$\text{Purchases} = ₹4,00,000 + ₹60,000 - ₹40,000 = ₹4,20,000$ .

**Answer.** COGS ₹4,00,000, Sales ₹5,00,000, GP ₹1,00,000, Purchases ₹4,20,000.

#### PRACTICE 7.6 · EXAM

##### ROCE, ROE, EPS and interest coverage from a short extract

Equity share capital (₹10 shares) ₹2,00,000, reserves ₹1,00,000, long-term loan ₹1,00,000. EBIT ₹80,000, interest ₹10,000, tax ₹14,000. Compute capital employed, ROCE, PAT, ROE, number of shares, EPS, interest coverage. Does gearing help the owners? One sentence.

#### ANSWER / SOLUTION

$SF = ₹2,00,000 + ₹1,00,000 = ₹3,00,000$ .

$CE = ₹3,00,000 + ₹1,00,000 = ₹4,00,000.$

$ROCE = (80,000 \div 4,00,000) \times 100 = 20\%.$

$PBT = 80,000 - 10,000 = 70,000.$   $PAT = 70,000 - 14,000 = 56,000.$

$ROE = (56,000 \div 3,00,000) \times 100 = 18.67\% (18.666...\%).$

$Shares = 2,00,000 \div 10 = 20,000.$   $EPS = 56,000 \div 20,000 = ₹2.80$  per share.

$Interest\ coverage = 80,000 \div 10,000 = 8$  times.

**Gearing sentence.** ROCE is 20% pre-tax; the loan costs  $10,000/1,00,000 = 10\%$  pre-tax, so the extra return on borrowed money accrues to owners — gearing helps. After tax, ROE 18.67% is still a healthy owners' return, and coverage of 8 times says the help is not reckless.

**Answer.** CE ₹4,00,000, ROCE 20%, PAT ₹56,000, ROE 18.67%, 20,000 shares, EPS ₹2.80, coverage 8 times. Gearing helps owners.

#### PRACTICE 7.7 · EXAM

##### Debtors and creditors days, with a cash-cycle comment

Credit sales ₹6,00,000, opening debtors ₹40,000, closing debtors ₹60,000. Credit purchases ₹3,60,000, opening creditors ₹30,000, closing creditors ₹50,000. Compute debtors turnover, collection period, creditors turnover, payment period (365 days). Holding period of stock is given as 40 days. Comment on the cash cycle in two sentences.

#### ANSWER / SOLUTION

$Avg\ debtors = (40,000 + 60,000) \div 2 = ₹50,000.$

$Debtors\ turnover = 6,00,000 \div 50,000 = 12$  times.

$Collection\ period = 365 \div 12 = 30.416... = 30.42$  days.

$Avg\ creditors = (30,000 + 50,000) \div 2 = ₹40,000.$

$Creditors\ turnover = 3,60,000 \div 40,000 = 9$  times.

$Payment\ period = 365 \div 9 = 40.555... = 40.56$  days.

$Cash\ cycle \approx 40 + 30.42 - 40.56 = 29.86$  days.

**Comment.** The firm collects in about 30 days and pays in about 41 days, so customers fund themselves 11 days before suppliers are paid. Adding 40 days of stock, the net cycle is about 30 days of the firm's own working capital — a manageable cycle, not a trap.

**Answer.** DTO 12 times, ACP 30.42 days, CTO 9 times, APP 40.56 days, cash cycle  $\approx 30$  days.

#### PRACTICE 7.8 · EXAM

##### A different company — pick, compute, comment (do not copy Kaveri)

**Hemavati Stores Ltd**, year ended 31 March 2026. Sales ₹8,00,000 (all credit). GP ratio 25%. Opening stock ₹50,000, closing stock ₹70,000. Operating expenses ₹80,000. Interest ₹20,000. Tax ₹25,000. Equity share capital ₹2,00,000 (₹10 shares), reserves ₹1,00,000, long-term loan ₹2,00,000, trade payables ₹1,00,000. Closing debtors ₹80,000 (opening not given — use closing and state the assumption). Cash ₹50,000. Prepaid nil.

Compute: COGS, GP, EBIT, PAT, CA, total assets, CE, WC; then current ratio, quick ratio, debt-equity, GP ratio (check), NP ratio, stock turnover, debtors turnover, ROCE, ROE, EPS, interest coverage. End with a 4-sentence health comment.

#### ANSWER / SOLUTION

**Build the figures.**

GP =  $25\% \times ₹8,00,000 = ₹2,00,000$ . COGS =  $₹8,00,000 - ₹2,00,000 = ₹6,00,000$ .

EBIT =  $₹2,00,000 - ₹80,000 = ₹1,20,000$ .

PBT =  $1,20,000 - 20,000 = 1,00,000$ . PAT =  $1,00,000 - 25,000 = ₹75,000$ .

CA = stock 70,000 + debtors 80,000 + cash 50,000 = ₹2,00,000.

SF =  $2,00,000 + 1,00,000 = ₹3,00,000$ . CE =  $3,00,000 + 2,00,000 = ₹5,00,000$ .

WC =  $2,00,000 - 1,00,000 = ₹1,00,000$ .

FA =  $CE - WC = 5,00,000 - 1,00,000 = ₹4,00,000$ . TA =  $FA + CA = 4,00,000 + 2,00,000 = ₹6,00,000$ .

Check BS:  $SF 3,00,000 + LTD 2,00,000 + CL 1,00,000 = 6,00,000 = TA$ .

### Ratios.

Current =  $2,00,000/1,00,000 = 2 : 1$ . Quick =  $(2,00,000 - 70,000)/1,00,000 = 1.3 : 1$ .

Debt-equity =  $2,00,000/3,00,000 = 0.67 : 1$ .

GP ratio given 25% (check:  $2,00,000/8,00,000 \times 100 = 25\%$ ). NP =  $75,000/8,00,000 \times 100 = 9.375\%$ .

Avg stock =  $(50,000 + 70,000) \div 2 = 60,000$ . Stock turnover =  $6,00,000/60,000 = 10$  times. Holding =  $365/10 = 36.5$  days.

Debtors turnover (closing used as proxy):  $8,00,000/80,000 = 10$  times. Collection = 36.5 days. Assumption written.

ROCE =  $1,20,000/5,00,000 \times 100 = 24\%$ . ROE =  $75,000/3,00,000 \times 100 = 25\%$ .

Shares =  $2,00,000/10 = 20,000$ . EPS =  $75,000/20,000 = ₹3.75$ .

Interest coverage =  $1,20,000/20,000 = 6$  times.

**Health comment.** Hemavati is liquid (current 2 : 1, quick 1.3 : 1). Solvency is moderate rather than conservative — debt-equity 0.67 is still under 1 and interest is covered 6 times, so the extra debt is serviceable. Profitability is strong: GP 25%, net 9.4%, ROCE 24% (well above the 10% coupon on the loan) and ROE 25%, which is slightly above ROCE-after-tax and shows gearing helping owners. Efficiency is brisk — stock and debtors both turn 10 times (36.5 days) — and EPS is ₹3.75. Watch-out: opening debtors were not given, so collection days rest on a closing-only assumption; and a 0.67 debt-equity leaves less unused debt capacity than Kaveri had. Overall, a profitable, liquid trader using moderate gearing well.

### PRACTICE 7.9 · EASY

#### Identify the ratio

Name the ratio (and the bucket) for each trigger:

1. The paper gives CA, CL and asks “short-term solvency”.
2. The paper uses the words “acid test”.
3. “Overall profitability of long-term funds”.
4. “How quickly stock sells”.
5. GP 25% of sales, find leftover after COGS as a %.
6. PAT, 50,000 shares, preference dividend nil.
7. EBIT ₹1,50,000, interest ₹30,000, “ability to pay interest”.
8. Current ratio 2.5 and WC ₹1,50,000, find CA.

#### ANSWER / SOLUTION

1. Current ratio — BS / liquidity.
2. Quick ratio — BS / liquidity.
3. ROCE = EBIT/CE — Combined / profitability.
4. Inventory turnover (COGS/avg stock) — Combined / efficiency.

5. GP ratio — Revenue / profitability.
6. EPS — Combined / profitability per share.
7. Interest coverage — Combined (solvency companion) / 5 times if the figures are Kaveri's.
8. Reconstruction Type A: CL = 1,00,000, CA = 2,50,000.

## 16. Theory questions (write these from memory)

**What is ratio analysis? Explain its need and importance. (8 marks)**

8

### 12. EXAM-READY ANSWER

Ratio analysis is the computation, comparison and interpretation of arithmetical relationships between figures in the financial statements. It is needed because raw rupee totals of two years or two firms cannot be compared when size differs. Importance: (1) intra-firm trend comparison, (2) inter-firm benchmarking, (3) diagnosis of liquidity, solvency, profitability and efficiency, (4) simplification of bulky statements into a few indicators, (5) help to management for control, (6) help to lenders and investors for credit and investment decisions, (7) a base for forecasting. Ratios must be read against a benchmark and with their limitations.

**State the limitations of ratio analysis. (8 marks)**

8

### 12. EXAM-READY ANSWER

Ratios use historical data and may not continue. Management may window-dress year-end figures. Different accounting policies (stock, depreciation) destroy comparability. A ratio has no meaning in isolation and needs a benchmark. Qualitative factors are ignored. Inflation mixes old costs with current revenues. Year-end figures may be seasonal. A ratio identifies a symptom, not a cause. Therefore ratios must be read together, over several years, with notes and cash-flow information.

**Classify ratios as Balance Sheet, Revenue and Combined, with two examples of each. (5 marks)**

5

### 12. EXAM-READY ANSWER

Classification is by the source of the two figures. Balance Sheet ratios use two BS positions — e.g. current ratio, debt-equity. Revenue ratios use two P&L flows — e.g. gross profit ratio, operating ratio. Combined ratios use one flow and one position — e.g. inventory turnover, ROCE. This is different from the purpose classification into liquidity, solvency, profitability and efficiency.

**Distinguish between current ratio and quick ratio. (5 marks)**

5

### 12. EXAM-READY ANSWER

Both are Balance Sheet liquidity ratios with current liabilities in the denominator. Current ratio uses all current assets, including inventory and prepaid, and has a conventional ideal of 2 : 1. Quick (acid-test) ratio uses only quick assets = CA – inventory – prepaid, and has a conventional ideal of 1 : 1. Current ratio trusts stock; the acid test does not, because stock may be slow or overvalued and prepaid will not pay a creditor. A firm can look liquid on the current ratio and illiquid on the quick ratio when most CA is stock.

### Distinguish between ROCE and ROE. (5 marks)

5

#### 12. EXAM-READY ANSWER

ROCE = EBIT / Capital employed  $\times$  100. It is the return on the whole long-term pool (equity + long-term debt), before interest and tax, and is used to compare firms with different gearing. ROE = PAT / Equity shareholders' funds  $\times$  100. It is the return on owners' money only, after interest and tax. Matching rule: whoever is in the denominator must not already have been paid in the numerator. ROCE answers "how well did the business use long-term funds?". ROE answers "how well did owners do?". If ROE exceeds after-tax ROCE, gearing is helping owners; the reverse means gearing is hurting.

### Operating ratio and operating profit ratio. (5 marks)

5

#### 12. EXAM-READY ANSWER

Both are Revenue ratios with sales in the denominator. Operating ratio = operating cost / sales  $\times$  100, where operating cost = COGS + operating expenses (interest and tax excluded). Operating profit ratio = EBIT / sales  $\times$  100. They are cost and profit twins: when other income is nil, they add to 100%. A rising operating ratio is a cost warning; a rising operating profit ratio is an operations improvement. A common error is to include interest in operating cost, which breaks the 100% identity.

### What is capital gearing? When is a firm said to be high geared? (5 marks)

5

#### 12. EXAM-READY ANSWER

Capital gearing is the mix of fixed-charge funds (preference share capital + long-term debt) and equity shareholders' funds. In the common MBA version, capital gearing = (preference + LTD) / equity funds. A firm is high geared when this ratio exceeds 1 (fixed-charge funds exceed equity) and low geared when it is less than 1. High gearing magnifies equity earnings in good years and magnifies losses in bad years. If the paper prints the inverted formula, high/low follows that formula — always read the printed version.

### Why is COGS preferred to sales in stock turnover? (3 marks)

3

#### 12. EXAM-READY ANSWER

Inventory is valued at cost. COGS is also at cost. Dividing a cost flow by a cost stock is consistent. Sales are at selling price; Sales / average stock mixes two valuations and overstates turnover by the GP margin. Use the sales version only when the paper prints it or when COGS cannot be built.

#### CONNECT THE CHAPTERS

You now have the full analytical toolkit of this paper: the statements (Ch 4, Ch 6), the cash-flow story (Ch 5), and the ratio language (this chapter). In the exam, a 20-mark analysis question is almost always: compute a short set, then write the four-beat comment (liquidity, solvency, profitability, efficiency) plus one watch-out. That is the whole chapter, used as a professional uses it.

# Master Formula Sheet

**Learning outcome.** Every formula you need in the examination, in one place. Know what each symbol means before you memorise.

## WHAT THIS CHAPTER COVERS (OFFICIAL SYLLABUS)

- Accounting equation
- Inventory (FIFO, WAM, COGS)
- Depreciation SLM & WDV
- Company accounts workings
- Cash flow derivations
- All ratios

Copy this sheet once into your rough notes. In the hall, write the formula first, then substitute, then compute. Marks are often given for the formula even if arithmetic slips.

## 1. Accounting equation

### FORMULA

**Assets = Liabilities + Capital**

### FORMULA

**Assets = Liabilities + Opening capital + Profit – Loss – Drawings + Additional capital**

Profit = Revenue – Expenses. Drawings reduce capital, they are not a business expense.

### FORMULA

**Closing capital = Opening capital + Additional capital + Profit – Drawings**

## 2. Inventory and trading

### FORMULA

**Cost of goods sold (COGS) = Opening stock + Purchases + Direct expenses – Closing stock**

### FORMULA

**Gross profit = Sales – COGS (or Sales + Closing stock – Opening stock – Purchases – Direct expenses)**

### FORMULA

**Net profit = Gross profit + Other income – Indirect expenses**

## FIFO

**Rule.** Issues are taken from the *oldest* layer still in stock. Closing stock is the *latest* layers that remain.

### FORMULA

**Closing stock (FIFO) = remaining quantity in each leftover layer × that layer's purchase cost**



**FORMULA**

**COGS (FIFO) = cost of layers issued | Check: Opening cost + Purchases cost = COGS + Closing stock**

**Weighted average (WAM)****FORMULA**

**Weighted average cost = Total cost of units on hand ÷ Total units on hand**

**Perpetual / moving average (usual exam method):** recompute the average *after every purchase*. Issues go out at the average then ruling. Do not recompute on an issue.

**Periodic average:** one average for the whole period using opening + all purchases, then closing quantity × that average.

**FORMULA**

**Unit check: Opening qty + Purchases qty – Issues qty = Closing qty**

**3. Depreciation****FORMULA**

**Depreciable amount = Cost – Residual (scrap) value**

Cost includes purchase price, non-refundable taxes, freight inward, and installation needed to bring the asset to use.

**Straight Line Method (SLM) / Original cost / Fixed instalment****FORMULA**

**Annual depreciation = (Cost – Residual) ÷ Useful life in years**

**FORMULA**

**SLM rate on original cost = (Annual depreciation ÷ Cost) × 100**

**FORMULA**

**Part-year depreciation = Annual depreciation × (Months of use ÷ 12)**

**Written Down Value (WDV) / Diminishing / Reducing balance****FORMULA**

**Depreciation for the year = Book value at the start of the period × Rate**

**FORMULA**

**Part-year WDV = Cost (or WDV) × Rate × (Months of use ÷ 12)**

**FORMULA**

**Optional WDV rate if life and scrap are given:  $R = 1 - (\text{Scrap} \div \text{Cost})^{1/n}$**

MBA papers almost always give the rate. Do not invent a rate.

## Sale of asset

### FORMULA

**Net book value (NBV) on sale date = Cost – Accumulated depreciation till date of sale**

### FORMULA

**Profit on sale = Sale proceeds – NBV | Loss on sale = NBV – Sale proceeds**

## 4. Company accounts workings

### FORMULA

**Revenue from operations + Other income = Total income**

### FORMULA

**Profit before tax = Total income – Total expenses ± Exceptional items**

### FORMULA

**Profit after tax = Profit before tax – Tax expense**

### FORMULA

**Changes in inventories = Opening inventory – Closing inventory (a positive figure is an expense)**

### FORMULA

**Manager's commission on profit after commission = Profit before commission × Rate ÷ (100 + Rate)**

If the question says 'on profit before commission', just multiply profit × rate.

### FORMULA

**Trade receivables (net) = Gross receivables – Provision for doubtful debts**

### FORMULA

**PPE (net) = Gross cost – Accumulated depreciation**

### FORMULA

**Shareholders' funds = Share capital + Reserves and surplus – Fictitious assets if any**

### FORMULA

**New provision for doubtful debts = Required % × Debtors (after writing off further bad debts)**

### FORMULA

**If an old provision already exists: P&L charge (or credit) = New provision – Old provision + Fresh bad debts**

## 5. Cash flow (indirect method) — derivations

### FORMULA

**Net increase in cash = Operating (A) + Investing (B) + Financing (C)**

FORMULA

**Closing cash & cash equivalents = Opening + Net increase (must equal the Balance Sheet)**

FORMULA

**Tax paid = Opening tax provision + Current tax charged – Closing tax provision (adjust for prepaid tax if given)**

FORMULA

**Dividend paid = Opening proposed/unpaid dividend + Dividend declared – Closing unpaid dividend**

FORMULA

**Purchase of PPE (if missing) : Opening cost + Purchases – Cost of asset sold = Closing cost**

FORMULA

**Depreciation for the year (if missing): Opening accum. dep. + Dep. charged – Accum. dep. on asset sold = Closing accum. dep.**

FORMULA

**Sale proceeds of PPE = NBV of asset sold ± Profit/Loss on sale**

---

## 6. Ratio analysis

**Balance Sheet ratios (both figures from the Balance Sheet)**

FORMULA

**Current ratio = Current assets ÷ Current liabilities**

FORMULA

**Quick (acid-test) ratio = (Current assets – Inventory – Prepaid expenses) ÷ Current liabilities**

FORMULA

**Absolute liquid / cash ratio = (Cash + Cash equivalents + Marketable securities) ÷ Current liabilities**

FORMULA

**Debt–equity ratio = Long-term debt ÷ Shareholders' funds**

FORMULA

**Proprietary ratio = Shareholders' funds ÷ Total assets**

FORMULA

**Capital gearing ratio = (Preference capital + Long-term debt) ÷ Equity shareholders' funds**

FORMULA

**Fixed assets to long-term funds = Net fixed assets ÷ (Shareholders' funds + Long-term debt)**

FORMULA

**Current assets to proprietary funds = Current assets ÷ Shareholders' funds**

**Revenue ratios (both figures from the P&L)**

FORMULA

**Gross profit ratio = (Gross profit ÷ Revenue from operations) × 100**

FORMULA

**Net profit ratio = (Profit after tax ÷ Revenue from operations) × 100**

FORMULA

**Operating profit ratio = (Operating profit (EBIT) ÷ Revenue from operations) × 100**

FORMULA

**Operating ratio = (COGS + Operating expenses) ÷ Revenue from operations × 100**

FORMULA

**Expense ratio = (Particular expense ÷ Revenue from operations) × 100**

**Combined ratios (P&L figure with a Balance Sheet figure)**

FORMULA

**Inventory turnover = COGS ÷ Average inventory**

FORMULA

**Average inventory = (Opening inventory + Closing inventory) ÷ 2**

FORMULA

**Inventory holding period (days) = 365 ÷ Inventory turnover**

FORMULA

**Debtors turnover = Credit sales ÷ Average trade receivables**

FORMULA

**Average collection period = 365 ÷ Debtors turnover**

FORMULA

**Creditors turnover = Credit purchases ÷ Average trade payables**

FORMULA

**Average payment period = 365 ÷ Creditors turnover**

FORMULA

**Working capital turnover = Revenue from operations ÷ Working capital**

FORMULA

**Working capital = Current assets – Current liabilities**

FORMULA

**Fixed asset turnover = Revenue from operations ÷ Net fixed assets**

FORMULA

**Capital turnover = Revenue from operations ÷ Capital employed**

FORMULA

**Capital employed = Shareholders' funds + Long-term debt (or Net fixed assets + Working capital)**

FORMULA

**ROCE = (EBIT ÷ Capital employed) × 100**

FORMULA

**ROE = (Profit after tax ÷ Equity shareholders' funds) × 100**

FORMULA

**Return on assets = (PAT ÷ Total assets) × 100**

FORMULA

**EPS = Profit after tax (less preference dividend) ÷ Number of equity shares**

FORMULA

**Interest coverage = EBIT ÷ Interest**

EXAM TIP

If opening figures are not given, use closing balances for turnover ratios and write the assumption. Never mix a % ratio with a 'times' ratio without stating the unit.

# Accounting Rules Cheat Sheet

**Learning outcome.** A one-sitting recap of debit, credit, and the journal patterns you will actually write in the paper.

## WHAT THIS CHAPTER COVERS (OFFICIAL SYLLABUS)

- Golden rules
- Modern rules
- Normal balances
- Adjustment treatments
- Company vs sole proprietor
- Fifteen common journals

## Golden rules (traditional)

| Type of account                 | Rule                                                        | Typical examples                              |
|---------------------------------|-------------------------------------------------------------|-----------------------------------------------|
| Personal (people, firms, banks) | Debit the receiver, Credit the giver                        | Debtors, Creditors, Bank, Capital, Drawings   |
| Real (things you can own)       | Debit what comes in, Credit what goes out                   | Cash, Furniture, Machinery, Stock, Building   |
| Nominal (incomes and expenses)  | Debit all expenses and losses, Credit all incomes and gains | Rent, Salary, Sales, Commission, Depreciation |

## 11. MEMORY TRICK

Personal = people. Real = things. Nominal = names of incomes/expenses (they exist only in the books).

## Modern rules (recommended in the hall)

| Element        | Increase | Decrease | Normal balance |
|----------------|----------|----------|----------------|
| Asset          | Debit    | Credit   | Debit          |
| Expense / Loss | Debit    | Credit   | Debit          |
| Drawings       | Debit    | Credit   | Debit          |
| Liability      | Credit   | Debit    | Credit         |
| Capital        | Credit   | Debit    | Credit         |
| Income / Gain  | Credit   | Debit    | Credit         |

## FORMULA

**Debit-nature items: Assets, Expenses, Drawings. Credit-nature items: Liabilities, Capital, Incomes.**

## How to build any journal in 40 seconds

### 7. STEP-BY-STEP METHOD (EXAM PROCEDURE)

1. Read the sentence. Underline the two (or more) things that changed.
2. Name the accounts in textbook language (not 'the guy we buy from' — Creditor / Kabir A/c).
3. Classify each: asset, liability, capital, income, expense.
4. Ask: did it increase or decrease?

5. Apply the modern table. One account is debited, one is credited (compound if more).
6. Amounts on both sides must be equal.
7. Write a narration in brackets: (Being ...).

## Adjustment treatments (exam night)

| Adjustment                                       | Journal                                                         | P&L impact                          | Balance Sheet impact                     |
|--------------------------------------------------|-----------------------------------------------------------------|-------------------------------------|------------------------------------------|
| Outstanding expense (e.g. rent unpaid)           | Expense Dr. To Outstanding expense                              | Expense ↑                           | Current liability                        |
| Prepaid expense (insurance paid in advance)      | Prepaid expense Dr. To Expense                                  | Expense ↓                           | Current asset                            |
| Accrued income (commission earned, not received) | Accrued income Dr. To Income                                    | Income ↑                            | Current asset                            |
| Income received in advance                       | Income Dr. To Income received in advance                        | Income ↓                            | Current liability                        |
| Depreciation                                     | Depreciation Dr. To Accumulated depreciation (or Asset)         | Expense ↑                           | Asset shown net (or cost less accum.)    |
| Closing stock (if not in TB)                     | Closing stock Dr. To Trading / Purchases / Changes in inventory | COGS ↓ / profit ↑                   | Current asset                            |
| Further bad debts                                | Bad debts Dr. To Debtors                                        | Loss ↑                              | Debtors ↓                                |
| New provision for doubtful debts                 | Profit & Loss Dr. To Provision                                  | Expense (or net with old provision) | Deducted from debtors                    |
| Interest on loan outstanding                     | Interest Dr. To Outstanding interest                            | Finance cost ↑                      | Added to loan or shown current liability |
| Provision for tax                                | Tax expense Dr. To Provision for tax                            | Profit ↓                            | Current liability                        |
| Drawings (sole proprietor)                       | Drawings Dr. To Cash/Bank/Purchases                             | Not an expense                      | Deducted from capital                    |
| Goods taken by owner                             | Drawings Dr. To Purchases                                       | Purchases ↓                         | Capital ↓                                |
| Goods used as samples                            | Advertisement / Sales promotion Dr. To Purchases                | Expense ↑                           | Stock not inflated                       |

## Company vs sole proprietor — do not mix

| Item               | Sole proprietor                                      | Company                                         |
|--------------------|------------------------------------------------------|-------------------------------------------------|
| Owner's money      | Capital                                              | Share capital + Reserves                        |
| Owner taking money | Drawings                                             | Dividend (not drawings)                         |
| Format             | Trading, P&L, Balance Sheet (horizontal or vertical) | Schedule III Statement of P&L and Balance Sheet |
| Tax                | Often after P&L (owner's tax)                        | Tax expense of the company                      |
| Loan from owner    | Often treated as capital or loan — follow question   | If director, usually a liability                |

## Fifteen journals you will write

### Core pattern journals (amounts as per question)

| Date | Particulars                | L.F. | Debit (₹) | Credit (₹) |
|------|----------------------------|------|-----------|------------|
| —    | Cash / Bank A/c ..... Dr.  |      | xx        |            |
|      | To Capital A/c             |      |           | xx         |
|      | (Being capital introduced) |      |           |            |
| —    | Purchases A/c ..... Dr.    |      | xx        |            |

| Date | Particulars                                        | L.F. | Debit (₹) | Credit (₹) |
|------|----------------------------------------------------|------|-----------|------------|
|      | To Cash / Creditor A/c                             |      |           | xx         |
|      | (Being goods purchased)                            |      |           |            |
| —    | Cash / Debtor A/c ..... Dr.                        |      | xx        |            |
|      | To Sales A/c                                       |      |           | xx         |
|      | (Being goods sold)                                 |      |           |            |
| —    | Furniture A/c ..... Dr.                            |      | xx        |            |
|      | To Cash A/c                                        |      |           | xx         |
|      | (Being furniture purchased (asset, not purchases)) |      |           |            |
| —    | Rent A/c ..... Dr.                                 |      | xx        |            |
|      | To Cash / Outstanding rent A/c                     |      |           | xx         |
|      | (Being rent of the period)                         |      |           |            |
| —    | Creditor A/c ..... Dr.                             |      | xx        |            |
|      | To Bank A/c                                        |      |           | xx         |
|      | (Being payment to creditor)                        |      |           |            |
| —    | Bank A/c ..... Dr.                                 |      | xx        |            |
|      | To Debtor A/c                                      |      |           | xx         |
|      | (Being receipt from debtor)                        |      |           |            |
| —    | Drawings A/c ..... Dr.                             |      | xx        |            |
|      | To Cash A/c                                        |      |           | xx         |
|      | (Being cash withdrawn by owner)                    |      |           |            |
| —    | Depreciation A/c ..... Dr.                         |      | xx        |            |
|      | To Accumulated depreciation A/c                    |      |           | xx         |
|      | (Being depreciation provided)                      |      |           |            |
| —    | Profit & Loss A/c ..... Dr.                        |      | xx        |            |
|      | To Depreciation A/c                                |      |           | xx         |
|      | (Being depreciation transferred (closing))         |      |           |            |

#### 10. COMMON MISTAKES

- Debiting cash when cash comes in is correct; students often reverse cash because they think ‘credit means money in’ from banking language. Bank language ≠ accounting language.
- Buying furniture is not Purchases. Purchases = goods in which the firm trades.
- Drawings are not an expense. They never appear in the P&L as a cost.
- A company has no drawings account in the owner sense.
- Outstanding expense is a liability, not an asset. Prepaid is an asset, not an expense of this year.



# Numerical Question Identification Guide

**Learning outcome.** The fastest marks in accounting come from recognising the question type in the first 20 seconds.

## WHAT THIS CHAPTER COVERS (OFFICIAL SYLLABUS)

- Journal / ledger / TB
- Inventory
- Depreciation
- Company accounts
- Cash flow
- Ratios

Read the last sentence of the question first — that is usually the requirement. Then scan for trigger words in the table below.

### Trigger words → method

| If the question gives / asks                                        | Topic                            | Method / formulas to use                                                                     |
|---------------------------------------------------------------------|----------------------------------|----------------------------------------------------------------------------------------------|
| Transactions with dates; 'journalise' / 'pass journal entries'      | Journal                          | Two accounts, modern or golden rules, narration, equal debit and credit                      |
| 'Post to ledger' / 'prepare ledger accounts' / 'T-accounts'         | Ledger                           | Debit journal line → debit of that account; balance c/d on smaller side                      |
| 'Prepare trial balance' / list of balances                          | Trial Balance                    | Debit: assets, expenses, drawings. Credit: liabilities, capital, incomes. Totals must agree  |
| TB disagrees / 'suspense' / 'errors'                                | Errors & TB                      | TB catches unequal posting, not omission, principle error, or compensating error             |
| FIFO / 'first in first out' / 'latest lots remain'                  | Inventory FIFO                   | Issue oldest layers first; closing = latest layers × their costs; reconcile units and rupees |
| Weighted average / WAM / moving average / average cost              | Inventory WAM                    | Average = total cost ÷ total units after each purchase; issues at ruling average             |
| Store ledger / receipts and issues with dates and rates             | Inventory (FIFO or WAM as named) | Columns: receipts, issues, balance — qty, rate, amount                                       |
| Closing stock value when prices are rising, compare methods         | FIFO vs WAM                      | Rising prices: FIFO closing stock higher, profit higher than WAM                             |
| COGS / gross profit from stock records                              | Trading                          | COGS = op stock + purchases – cl stock; GP = sales – COGS                                    |
| Straight line / original cost / equal instalment / fixed instalment | Depreciation SLM                 | $(\text{Cost} - \text{Scrap}) \div \text{Life}$ ; part-year × months/12                      |
| WDV / diminishing / reducing balance / 'on written down value'      | Depreciation WDV                 | Opening WDV × rate; do not deduct scrap each year                                            |
| Purchased on 1 Oct / 1 July / 'put to use' mid-year                 | Part-year depreciation           | Count months from date of use to year-end (Indian FY often 31 March)                         |
| Installation / freight / erection on a machine                      | Cost of asset                    | Add to cost before computing depreciation                                                    |
| Sold on ... / 'profit or loss on sale of asset'                     | Asset disposal                   | Charge dep till sale date; NBV vs sale proceeds                                              |
| Rate % p.a. on original cost                                        | Usually SLM                      | Apply % to cost, then months if needed                                                       |
| Rate % p.a. on WDV / on book value                                  | WDV                              | Apply % to book value                                                                        |

| If the question gives / asks                                                           | Topic                     | Method / formulas to use                                                   |
|----------------------------------------------------------------------------------------|---------------------------|----------------------------------------------------------------------------|
| Schedule III / Companies Act 2013 / Statement of Profit and Loss                       | Company P&L               | Revenue, other income, expense heads, tax, notes                           |
| Prepare Balance Sheet of a company / major heads                                       | Company BS                | Equity & liabilities vs Assets; current vs non-current                     |
| Notes to accounts                                                                      | Notes                     | Share capital, reserves, PPE, inventory, revenue, other expenses           |
| Outstanding / unpaid / due but not paid                                                | Accrual                   | Expense Dr. To Outstanding (liability)                                     |
| Prepaid / unexpired / paid in advance                                                  | Prepaid                   | Asset; reduce this year's expense                                          |
| Accrued income / earned but not received                                               | Accrued income            | Income ↑ and current asset                                                 |
| Received in advance / unearned                                                         | Unearned income           | Income ↓ and current liability                                             |
| Provision for doubtful debts ... % of debtors                                          | PDD                       | Required provision on debtors after further bad debts; P&L gets the change |
| Provision for tax                                                                      | Tax                       | Tax expense and current liability                                          |
| Manager's commission ... % of profit after commission                                  | Commission                | $\text{Profit} \times r/(100+r)$                                           |
| Closing inventory given as an adjustment                                               | Closing stock             | Current asset; reduces COGS / shown in changes in inventory                |
| 'Profit is not cash' / prepare Cash Flow Statement / AS-3 / Ind AS-7 / indirect method | CFS                       | Start with profit before tax; add dep; WC changes; investing; financing    |
| Two years' Balance Sheets plus additional information                                  | CFS (exam favourite)      | Derive purchases of FA, dep, tax paid, dividend paid with workings         |
| Depreciation in a cash flow question                                                   | CFS operating             | ADD back (non-cash). Never show as investing outflow                       |
| Profit on sale of machine in CFS                                                       | CFS operating + investing | Deduct profit from operating; show full sale proceeds under investing      |
| Issue of bonus shares / conversion of debentures                                       | CFS non-cash              | Do not show as cash inflow/outflow; ignore or disclose                     |
| Current ratio / working capital ratio                                                  | BS ratio                  | $CA \div CL$                                                               |
| Acid test / liquid / quick ratio                                                       | BS ratio                  | $(CA - \text{stock} - \text{prepaid}) \div CL$                             |
| Cash ratio / absolute liquid                                                           | BS ratio                  | $(\text{Cash} + \text{marketable securities}) \div CL$                     |
| Debt-equity / leverage / gearing                                                       | BS ratio                  | Long-term debt ÷ shareholders' funds (state formula used)                  |
| Gross profit ratio / GP %                                                              | Revenue ratio             | $GP \div \text{Sales} \times 100$                                          |
| Net profit ratio / NP %                                                                | Revenue ratio             | $PAT \div \text{Sales} \times 100$                                         |
| Operating ratio / operating profit ratio                                               | Revenue ratio             | Op. cost ÷ Sales; EBIT ÷ Sales                                             |
| Stock turnover / inventory turnover / how fast stock sells                             | Combined                  | $COGS \div \text{average stock}$ ; days = 365/turnover                     |
| Debtors turnover / collection period                                                   | Combined                  | Credit sales ÷ average debtors                                             |
| Creditors turnover / payment period                                                    | Combined                  | Credit purchases ÷ average creditors                                       |
| ROCE / return on capital employed / overall profitability                              | Combined                  | $EBIT \div \text{capital employed} \times 100$                             |
| ROE / return on equity / return on shareholders' funds                                 | Combined                  | $PAT \div \text{equity funds} \times 100$                                  |
| EPS / earnings per share                                                               | Combined                  | $PAT (\text{less pref. div.}) \div \text{number of equity shares}$         |
| Interest coverage / times interest earned                                              | Combined                  | $EBIT \div \text{interest}$                                                |
| Current ratio 2.5, working capital ₹..., find CA and CL                                | Reconstruct               | $CA - CL = WC$ and $CA = 2.5 CL \rightarrow$ solve two equations           |

| If the question gives / asks                                 | Topic          | Method / formulas to use                                         |
|--------------------------------------------------------------|----------------|------------------------------------------------------------------|
| GP ratio and stock turnover given, find sales / COGS / stock | Reconstruct    | Link GP% to sales and COGS, turnover to COGS and average stock   |
| Ideal current ratio / comment on liquidity                   | Interpretation | Write the number AND what it means; compare with 2:1 or industry |

#### EXAM TIP

If two methods are possible (FIFO vs WAM, SLM vs WDV) and the question is silent, write one line: ‘Assuming FIFO / SLM as commonly used’ — then proceed. Do not freeze.

# Most Important Formats

**Learning outcome.** Draw these skeletons in the answer booklet first, then fill figures. Formats themselves carry marks.

## WHAT THIS CHAPTER COVERS (OFFICIAL SYLLABUS)

- Journal
- Ledger
- Trial Balance
- Store ledgers
- Depreciation schedule
- Schedule III P&L and BS
- Cash flow
- Ratio workings

## 1. Journal

Journal of ... for the period ...

| Date       | Particulars                                        | L.F. | Debit (₹) | Credit (₹) |
|------------|----------------------------------------------------|------|-----------|------------|
| yyyy-mm-dd | Account to be debited ..... Dr.                    |      | xx        |            |
|            | To Account to be credited                          |      |           | xx         |
|            | <i>(Being narration — why the entry is passed)</i> |      |           |            |

Rule of writing: the debit account is written first, flush left, with 'Dr.' at the end of that line. The credit line is indented and begins with 'To'.

## 2. Ledger

Dr & Name of Account & Cr

| Date        | Particulars                      | J.F. | ₹  | Date        | Particulars                     | J.F. | ₹  |
|-------------|----------------------------------|------|----|-------------|---------------------------------|------|----|
|             | To ... (debit entries)           |      | xx |             | By ... (credit entries)         |      | xx |
|             | To Balance c/d (if credit-heavy) |      | xx |             | By Balance c/d (if debit-heavy) |      | xx |
|             | Total                            |      | xx |             | Total                           |      | xx |
| Next period | To Balance b/d                   |      | xx | Next period | By Balance b/d                  |      | xx |

## 3. Trial Balance

Trial Balance as at ...

| Particulars                                                    | L.F. | Debit (₹) | Credit (₹) |
|----------------------------------------------------------------|------|-----------|------------|
| Cash, Bank, Debtors, Stock, Furniture, Expenses, Drawings, ... |      | xx        |            |
| Capital, Loans, Creditors, Sales, Commission, ...              |      |           | xx         |
| <b>Total</b>                                                   |      | <b>xx</b> | <b>xx</b>  |

The two totals must be identical. A trial balance is not a financial statement; it is a check.

## 4. Store ledger — FIFO

| Date | Receipts Qty | Receipts Rate | Receipts Amt | Issues Qty | Issues Rate        | Issues Amt | Balance Qty | Balance Rate / layers | Balance Amt |
|------|--------------|---------------|--------------|------------|--------------------|------------|-------------|-----------------------|-------------|
|      |              |               |              |            | oldest layer first |            |             | show remaining layers |             |

After every line, remaining quantity must equal previous balance + receipts – issues.

## 5. Store ledger — Weighted Average

| Date         | Receipts Qty | Rate | Amt | Issues Qty | Rate (avg)  | Amt   | Bal. Qty | Avg rate                 | Amt        |
|--------------|--------------|------|-----|------------|-------------|-------|----------|--------------------------|------------|
| Purchase row | q            | r    | q×r | —          | —           | —     | new qty  | new total cost ÷ new qty | new cost   |
| Issue row    | —            | —    | —   | q          | current avg | q×avg | left     | same avg                 | left × avg |

Never change the average on an issue row. Only purchases (and sometimes returns) change the average.

## 6. Depreciation schedule

| Year / period | Opening WDV or Cost | Depreciation for the year                | Accumulated depreciation | Closing WDV   |
|---------------|---------------------|------------------------------------------|--------------------------|---------------|
| Year 1        | Cost                | as per SLM or WDV, × months/12 if needed | running total            | cost – accum. |
| Year 2        | ...                 | ...                                      | ...                      | ...           |

## 7. Statement of Profit and Loss (Schedule III)

Statement of Profit and Loss for the year ended 31 March ...

| Particulars                                                      | Note | ₹  |
|------------------------------------------------------------------|------|----|
| I. Revenue from operations                                       |      | xx |
| II. Other income                                                 |      | xx |
| III. Total income (I + II)                                       |      | xx |
| IV. Expenses                                                     |      |    |
| Cost of materials consumed / Purchases of stock-in-trade         |      | xx |
| Changes in inventories of finished goods, WIP and stock-in-trade |      | xx |
| Employee benefits expense                                        |      | xx |
| Finance costs                                                    |      | xx |
| Depreciation and amortisation expense                            |      | xx |
| Other expenses                                                   |      | xx |
| Total expenses                                                   |      | xx |
| V. Profit before exceptional items and tax (III – IV)            |      | xx |
| VI. Exceptional items                                            |      | xx |
| VII. Profit before tax                                           |      | xx |
| VIII. Tax expense                                                |      | xx |
| IX. Profit for the period                                        |      | xx |

## 8. Balance Sheet (Schedule III)

Balance Sheet as at 31 March ...

| Particulars | Note | ₹ |
|-------------|------|---|
|-------------|------|---|

| Particulars                                              | Note | ₹         |
|----------------------------------------------------------|------|-----------|
| <b>I. EQUITY AND LIABILITIES</b>                         |      |           |
| 1. Shareholders' funds                                   |      |           |
| (a) Share capital                                        |      | xx        |
| (b) Reserves and surplus                                 |      | xx        |
| 2. Non-current liabilities                               |      |           |
| (a) Long-term borrowings                                 |      | xx        |
| (b) Other long-term liabilities / provisions             |      | xx        |
| 3. Current liabilities                                   |      |           |
| (a) Short-term borrowings                                |      | xx        |
| (b) Trade payables                                       |      | xx        |
| (c) Other current liabilities                            |      | xx        |
| (d) Short-term provisions                                |      | xx        |
| <b>Total</b>                                             |      | <b>xx</b> |
| <b>II. ASSETS</b>                                        |      |           |
| 1. Non-current assets                                    |      |           |
| (a) Property, plant and equipment / Intangible assets    |      | xx        |
| (b) Non-current investments                              |      | xx        |
| (c) Long-term loans and advances / other                 |      | xx        |
| 2. Current assets                                        |      |           |
| (a) Inventories                                          |      | xx        |
| (b) Trade receivables                                    |      | xx        |
| (c) Cash and cash equivalents                            |      | xx        |
| (d) Short-term loans and advances / other current assets |      | xx        |
| <b>Total</b>                                             |      | <b>xx</b> |

The two totals must agree. Always show notes numbers. Always classify current vs non-current.

## 9. Cash Flow Statement — Indirect Method

| Particulars                                     | ₹    | ₹  |
|-------------------------------------------------|------|----|
| <b>A. Cash flows from operating activities</b>  |      |    |
| Net profit before tax                           |      | xx |
| Adjustments for: Depreciation                   | xx   |    |
| Loss / (Profit) on sale of fixed assets         | xx   |    |
| Interest expense                                | xx   |    |
| (Interest / dividend income)                    | (xx) |    |
| Operating profit before working capital changes |      | xx |
| (Increase) / Decrease in inventories            | xx   |    |
| (Increase) / Decrease in trade receivables      | xx   |    |
| Increase / (Decrease) in trade payables         | xx   |    |
| Cash generated from operations                  |      | xx |

| Particulars                                    | ₹ | ₹    |
|------------------------------------------------|---|------|
| Income tax paid                                |   | (xx) |
| Net cash from operating activities (A)         |   | xx   |
| <b>B. Cash flows from investing activities</b> |   |      |
| Purchase of PPE / investments                  |   | (xx) |
| Sale proceeds of PPE / investments             |   | xx   |
| Interest / dividend received                   |   | xx   |
| Net cash from investing activities (B)         |   | xx   |
| <b>C. Cash flows from financing activities</b> |   |      |
| Proceeds from issue of shares / loans          |   | xx   |
| Repayment of loans / redemption                |   | (xx) |
| Interest paid                                  |   | (xx) |
| Dividend paid                                  |   | (xx) |
| Net cash from financing activities (C)         |   | xx   |
| Net increase / (decrease) in cash (A+B+C)      |   | xx   |
| Add: Opening cash and cash equivalents         |   | xx   |
| Closing cash and cash equivalents              |   | xx   |

## 10. Ratio working table

| Ratio              | Formula          | Substitution | Answer (with unit) | One-line comment |
|--------------------|------------------|--------------|--------------------|------------------|
| Current ratio      | CA / CL          |              | times              |                  |
| GP ratio           | GP / Sales × 100 |              | %                  |                  |
| Inventory turnover | COGS / Avg stock |              | times              |                  |

Always write the unit: times, %, or days. A bare number is incomplete.

# Theory Question Bank with Answers

**Learning outcome.** Answers are written in examination tone: definition, points, tiny example, close. Adjust length to the marks.

## WHAT THIS CHAPTER COVERS (OFFICIAL SYLLABUS)

- 1-mark
- Short 3-mark
- 5-mark
- Long 8–10 mark

How to use this bank: cover the answer and write your own first. Then compare. 1-mark = one precise sentence. 3-mark = definition + two points. 5-mark = definition + four or five explained points + example. Long = short intro, headed points, example, one limitation, conclusion.

## Bootcamp and Chapter 1 — Introduction to Accounting

### 1-mark questions

#### Define accounting.

1

Accounting is the process of identifying, measuring, recording, classifying, summarising, analysing and communicating financial information of a business to users for decision-making.

#### State the accounting equation.

1

Assets = Liabilities + Capital.

#### What is a business transaction?

1

A business transaction is a monetary event that changes the financial position of the business and is supported by evidence.

#### Give the golden rule of nominal accounts.

1

Debit all expenses and losses; credit all incomes and gains.

#### What is a journal?

1

The journal is the book of original entry in which transactions are recorded chronologically as debit and credit with narration.

#### What is a trial balance?

1

A trial balance is a statement of all ledger account balances at a date, listed as debit or credit, to test the arithmetical accuracy of double entry.

#### State the dual aspect concept.

1

Every transaction has two aspects — a debit and a credit of equal amount — so that Assets = Liabilities + Capital always holds.



### What are drawings?

1

Drawings are value withdrawn by the owner for personal use. They reduce capital and are not a business expense.

## Short answers (3 marks)

### Distinguish bookkeeping from accounting.

3

**Bookkeeping** is the recording of transactions in the books (journal and ledger). **Accounting** includes bookkeeping and goes further: classifying, summarising into financial statements, analysing and interpreting. Bookkeeping is the foundation; accounting is the full language used by managers.

### Explain the business entity concept with an example.

3

The business is treated as separate from its owner. Only business transactions are recorded in the business books. If Rahul starts a shop with ₹1,00,000, the shop records Cash Dr. and Capital Cr. If Rahul then pays his home electricity from the shop, it is drawings, not a shop expense. Without this concept, personal and business money would be mixed and profit would be meaningless.

### Why is a trial balance prepared? State two limitations.

3

**Why:** to check that total debits equal total credits after posting, and to assemble balances for preparing financial statements.

**Limitations:** (i) It does not catch errors of omission, principle, or compensating errors. (ii) Agreement of the trial balance does not guarantee that the books are correct — only that they are arithmetically balanced.

### State three differences between journal and ledger.

3

- (i) Journal is chronological; ledger is account-wise.
- (ii) Journal is the book of original entry; ledger is the book of principal entry / classified record.
- (iii) Journal does not show the closing balance of an account; the ledger is balanced and those balances go to the trial balance.

## 5-mark questions

### Explain the accounting equation with an example.

5

The accounting equation is **Assets = Liabilities + Capital**. It is the dual aspect concept in numbers: resources of the business are always equal to claims on those resources (outsiders + owner).

**Example.** Rahul starts with cash ₹1,00,000. Assets ₹1,00,000 = Capital ₹1,00,000. He buys furniture ₹20,000 cash: Cash falls, furniture rises; assets still ₹1,00,000. He buys stock ₹30,000 on credit: Assets ₹1,30,000 = Liabilities ₹30,000 + Capital ₹1,00,000. The equation holds after every transaction. Profit increases capital; drawings decrease it.

### Explain any five accounting concepts.

5

- (i) **Entity** — business separate from owner.
- (ii) **Money measurement** — only facts expressible in money are recorded (skill of a manager is not in the books).
- (iii) **Going concern** — the business is assumed to continue; assets are not all valued at fire-sale prices.
- (iv) **Accrual** — incomes and expenses are recognised when earned or incurred, not only when cash moves.
- (v) **Prudence** — anticipate losses, do not anticipate profits; stock at cost or NRV, whichever is lower.

Each concept exists so that different accountants would, in similar situations, record in a comparable way.

### What are the objectives and limitations of a trial balance?

5

**Objectives:** (i) arithmetical check of double entry; (ii) source list of balances for Trading, P&L and Balance Sheet; (iii) locating some errors when totals disagree.

**Limitations:** it will still agree if a transaction is fully omitted, posted to the wrong account of the same side, recorded at the wrong amount on both sides, or offset by a compensating error. It is not proof of correctness, only of equality.

### Long answer

#### Describe the process from a transaction to the trial balance. Why is each stage needed?

8–10

**Introduction.** Accounting converts business events into a trial of balances that can become financial statements. The chain is transaction → voucher → journal → ledger → trial balance.

**Transaction and voucher.** Only events that change value and have evidence enter the books. The voucher (invoice, cash memo, cheque leaf) is the proof.

**Journal.** Events are written in date order as equal debit and credit with a narration. This preserves the story of *when* and *why*.

**Ledger.** The same lines are sorted account-wise so we can see, for example, everything that happened to Bank or to Rent. Accounts are totalled and balanced.

**Trial balance.** All balances are listed. If total debits equal total credits, double entry has at least been arithmetically completed. Financial statements are then prepared from these balances plus adjustments.

**Conclusion.** Skipping the journal loses chronology; skipping the ledger loses a running picture of each account; skipping the trial balance hides posting errors until the Balance Sheet fails to tally.

## Chapter 2 — Inventory Valuation

### 1-mark

#### What is inventory for a trader?

1

Inventory (stock) is goods held for sale in the ordinary course of business, valued usually at cost or net realisable value, whichever is lower.

#### State the FIFO rule in one sentence.

1

Goods purchased first are assumed to be issued or sold first, so closing stock consists of the most recent purchases.

#### Give the formula for weighted average cost.

1

Weighted average cost = Total cost of goods available (opening + purchases) ÷ Total units available, recomputed after each purchase under the moving-average method.

#### Write the COGS formula.

1

Cost of goods sold = Opening stock + Purchases + Direct expenses – Closing stock.

#### Why is LIFO generally not used in India?

1

Accounting Standard 2 (and Ind AS 2) does not permit LIFO as an inventory cost formula.

### If closing stock is overvalued, what happens to profit?

1

Overvalued closing stock understates COGS and overstates profit of that year (and overstates current assets).

### 3-mark

#### Why is inventory valuation important?

3

Closing inventory appears in the Balance Sheet as a current asset and is deducted in arriving at COGS. A higher value raises profit and assets; a lower value does the opposite. Managers, lenders and tax authorities therefore need a consistent, prudent value — cost or NRV, whichever is lower — otherwise profit can be managed by merely changing the stock figure.

#### Distinguish FIFO and weighted average (any three points).

3

- (i) FIFO issues oldest costs; WAM issues a blended cost.
- (ii) In a period of rising prices, FIFO closing stock is higher (latest costs remain) and profit is higher than under WAM.
- (iii) FIFO tracks layers; WAM tracks one average rate, recomputed after purchases (perpetual).

### 5-mark

#### Explain FIFO with a small numerical illustration.

5

FIFO assumes the first goods purchased are the first goods sold. Remaining stock is the latest lots.

**Illustration.** Opening 100 units @ ₹10; purchase 200 @ ₹12; issue 150. Issue is 100 @ ₹10 + 50 @ ₹12 = ₹1,600 (COGS). Closing 150 @ ₹12 = ₹1,800. Check: 1,000 + 2,400 = 3,400 = 1,600 + 1,800.

#### Explain the weighted average method of inventory valuation.

5

Each unit in stock is treated as having the same average cost. After every purchase, a new average is computed: total rupees in hand ÷ total units in hand. Issues are valued at that average. The method smooths price changes and is permitted by AS-2. Care: the average is not recalculated at the time of an issue.

### Long

#### Discuss the need for inventory valuation and compare FIFO with the weighted average method.

8–10

**Need.** Inventory is often a large current asset. Its value changes both the Balance Sheet and the profit for the year through COGS. Valuation must be consistent and prudent so that profit is not manipulated and so that comparisons across years remain meaningful. AS-2 requires valuation at cost or NRV, whichever is lower, and permits FIFO or weighted average as cost formulae.

**FIFO.** Logical physical flow for many traders. Closing stock approximates recent replacement cost. In inflation, profits look higher.

**WAM.** Simple when goods are mixed. Smooths unit cost. Closing stock and COGS sit between old and new prices.

**Choice.** Follow the question. If silent, state the assumption. Do not use LIFO in an Indian statutory setting.

**Conclusion.** The method must be disclosed and applied consistently (consistency convention).

## Chapter 3 — Depreciation

### 1-mark

#### Define depreciation.

1

Depreciation is the systematic allocation of the depreciable amount of a tangible fixed asset over its useful life.

**Give the SLM formula.**

1

Annual depreciation = (Cost – Residual value) ÷ Useful life in years.

**Give the WDV formula.**

1

Depreciation for the year = Book value of the asset at the beginning of the period × specified rate.

**Is depreciation a cash expense?**

1

No. Depreciation is a non-cash expense. Cash left when the asset was purchased; each year we only allocate that old cost.

**Name two causes of depreciation.**

1

Wear and tear from use, and obsolescence due to technology or fashion. (Also passage of time, depletion, accident.)

**What is residual value?**

1

The estimated amount that the business expects to obtain from the asset at the end of its useful life, net of disposal costs.

**3-mark****State three reasons for providing depreciation.**

3

- (i) To match the cost of the asset with the periods that benefit from it, so that profit is not overstated.
- (ii) To state the asset at a realistic amount (cost less accumulated depreciation) on the Balance Sheet.
- (iii) To retain profits in the business (depreciation reduces distributable profit), which may help replacement — though it does not by itself create a cash fund.

**Distinguish SLM and WDV (three points).**

3

- (i) SLM charges a constant amount each full year; WDV charges a reducing amount.
- (ii) SLM applies the rate to original cost; WDV applies the rate to book value.
- (iii) SLM reaches residual value exactly at the end of life if estimates are correct; WDV approaches residual and is often used for assets that lose more value when new (vehicles, electronics).

**5-mark****Explain the straight line method of depreciation.**

5

Under SLM, the depreciable amount (cost minus residual value) is spread equally over useful life. Annual depreciation = (Cost – Scrap) / Life. The charge is the same every full year, so profit is not distorted by a falling depreciation number. It is suitable for assets whose benefit is roughly even (buildings, furniture). For part of a year, charge months/12 of the annual amount. On the Balance Sheet the asset is shown at cost less accumulated depreciation.

**Explain the written down value method of depreciation.**

5

Each year a fixed percentage is applied to the book value (cost less depreciation already provided). The rupee charge is high in early years and low later. Residual value is not deducted each year; the rate is expected to leave a small book value. Suitable where repairs rise with age, so that depreciation + repairs stay more even, and for assets that become obsolete quickly. Part-year: apply rate × months/12 to the relevant book value.

## Long

### What is depreciation? Why is it provided? Compare SLM and WDV.

8–10

**Meaning.** Depreciation allocates the cost of a long-lived tangible asset over the years that consume its service potential. It is not a valuation of market price and it is not cash paid that year.

**Why provided.** Matching of cost to benefit; true and fair asset values; legal true-and-fair view; avoidance of overstated profit and over-distribution of dividends.

**SLM vs WDV.** Equal versus reducing charge; rate on cost versus rate on WDV; exact residual versus approaching residual; buildings versus plant that ages fast.

**Example.** Cost ₹1,00,000, scrap ₹10,000, life 5 years → SLM ₹18,000 every year. The same cost at 10% WDV → ₹10,000, ₹9,000, ₹8,100 ...

**Conclusion.** The method should match the pattern of benefits and be applied consistently, with disclosure.

## Chapter 4 — Company Accounts

### 1-mark

#### What is Schedule III of the Companies Act, 2013?

1

Schedule III prescribes the format and presentation of the Balance Sheet and Statement of Profit and Loss (and related instructions) for companies in India.

#### Name the two sides (major parts) of a company Balance Sheet.

1

Equity and Liabilities, and Assets.

#### What is 'other income'?

1

Income other than revenue from operations — for example interest, dividend, and profit on sale of investments or assets.

#### Give two examples of current liabilities.

1

Trade payables; short-term borrowings; outstanding expenses; short-term provisions (any two).

#### What are notes to accounts?

1

Notes are explanations, breakdowns and accounting-policy disclosures that support the face of the financial statements and form part of them.

#### Classify outstanding salaries.

1

Other current liability (an accrued expense), not a trade payable unless the question groups it so.

### 3-mark

#### Why must companies prepare financial statements?

3

A company is a separate legal entity with shareholders who are not all managers. The Companies Act requires annual statements that give a true and fair view so that owners, lenders, tax authorities and regulators can assess performance and position. Format is standardised by Schedule III to aid comparison.

### Distinguish current and non-current items.

3

An asset or liability is current if it is expected to be realised or settled within the company's operating cycle or twelve months, or is held primarily for trading, or is cash. Other items are non-current (PPE, long-term loans, term loans not due within a year).

## 5-mark

### What is Schedule III? State the major heads of the Balance Sheet.

5

Schedule III to the Companies Act, 2013 is the legally prescribed presentation for company financial statements.

**Equity and liabilities:** Shareholders' funds (share capital, reserves and surplus); share application money pending allotment; non-current liabilities (long-term borrowings, deferred tax, other long-term liabilities, long-term provisions); current liabilities (short-term borrowings, trade payables, other current liabilities, short-term provisions).

**Assets:** Non-current assets (PPE, intangibles, non-current investments, long-term loans and advances, other); current assets (inventories, trade receivables, cash and cash equivalents, short-term loans and advances, other current assets).

### Explain the purpose of notes to accounts.

5

The face of the P&L and Balance Sheet would be unreadable if every breakdown were printed there. Notes (i) unpack totals (share capital, PPE movement, revenue), (ii) state accounting policies, (iii) disclose contingent liabilities, related parties and other legally required facts, and (iv) are part of the financial statements — figures cannot be understood without them. In an exam, referencing Note numbers is part of correct Schedule III presentation.

## Long

### Explain the Schedule III presentation of company financial statements, including the role of adjustments and notes.

8–10

**Intro.** Indian companies must present a Statement of Profit and Loss and a Balance Sheet in the form set out in Schedule III, with previous-year figures and notes.

**P&L.** Revenue from operations, other income, then specified expense heads including employee benefits, finance costs, depreciation and other expenses, then tax and profit.

**Balance Sheet.** Claims (equity and liabilities) classified as current or non-current, and assets similarly. Totals agree.

**Adjustments.** Accrual items (outstanding, prepaid, depreciation, provisions) are processed so that the statements show the year's true income and the year-end position, not merely the cash book.

**Notes.** Policies, breakdowns, contingencies. They are not optional decoration.

**Conclusion.** Format + adjustments + notes together produce a true and fair, comparable set of statements.

## Chapter 5 — Cash Flow Statements

### 1-mark

#### Why is profit not the same as cash?

1

Profit is computed on accrual: sales on credit, non-cash expenses such as depreciation, and capital purchases that are not expenses. Cash can therefore move differently from profit.

#### Name the three activities in a cash flow statement.

1

Operating, investing, and financing activities.

**How is depreciation treated in the indirect method?**

1

It is added back to profit because it reduced profit but did not use cash.

**Classify purchase of machinery (cash).**

1

Investing outflow.

**Classify repayment of a long-term loan.**

1

Financing outflow.

**What are cash equivalents?**

1

Short-term, highly liquid investments that are readily convertible to known amounts of cash and are subject to insignificant risk of change in value (typically original maturity of three months or less).

**3-mark****State the need and importance of a cash flow statement.**

3

It shows how cash was generated and used, which the P&L (accrual) and Balance Sheet (position) do not directly show. Lenders judge repayment capacity; managers plan liquidity; investors see whether profits are collected. It is a required statement under AS-3 / Ind AS-7 for prescribed companies.

**Give two examples each of operating, investing and financing cash flows.**

3

Operating: cash from customers; cash paid to suppliers and employees.

Investing: purchase of plant; sale of investments; interest received (AS-3).

Financing: issue of shares; repayment of debentures; interest paid; dividend paid (AS-3).

**5-mark****Explain the indirect method of preparing a cash flow statement.**

5

The indirect method starts with net profit before tax and converts it to cash from operations. Non-cash expenses (depreciation, amortisation, losses on sale) are added back; non-cash and non-operating incomes (profit on sale, interest income to be shown under investing) are deducted. Working-capital changes are then applied: an increase in current assets other than cash is deducted; an increase in current liabilities is added. Tax paid is deducted. Investing and financing sections are prepared from actual cash receipts and payments. The sum of the three sections equals the change in cash and cash equivalents.

**How is profit on sale of a fixed asset treated in the cash flow statement?**

5

The profit is included inside reported profit but is not an operating cash inflow. It is therefore deducted in the operating section. The full sale proceeds (NBV + profit) are shown as an investing inflow. If this deduction is missed, the profit is counted twice.

## Long

### 'Profit is not cash.' Explain. How does the cash flow statement (indirect method) help users?

8–10

**Intro.** A firm can report a profit and still run out of cash, or report a loss and still hold cash. Accrual accounting is the reason.

**Why they differ.** Credit sales raise profit before cash arrives. Depreciation reduces profit without a cash payment this year. Buying machinery uses cash but is capitalised, not fully expensed. Taking a loan raises cash without raising profit.

**Indirect CFS.** It reconverts profit to cash from operations, then separately shows investing and financing. Users see the quality of earnings (are profits collected?), the capex burden, and dependence on new borrowing.

**Conclusion.** P&L, Balance Sheet and CFS are three views of the same story. An MBA should read all three.

## Chapter 6 — Annual Reports

### 1-mark

#### What is an annual report?

1

An annual report is the yearly published document through which a company reports its activities, governance and audited financial statements to shareholders and other stakeholders.

#### Name two users of an annual report.

1

Shareholders (or prospective investors) and lenders; also employees, analysts, regulators, tax authorities (any two).

#### What is MD&A?

1

Management Discussion and Analysis is management's narrative of performance, risks, outlook and operational factors behind the numbers.

#### What is an unmodified audit opinion?

1

The auditor's opinion that the financial statements give a true and fair view (or are fairly presented) in accordance with the applicable financial reporting framework — commonly called a clean opinion.

#### Name two financial statements found inside an annual report.

1

Balance Sheet and Statement of Profit and Loss; also Cash Flow Statement and Statement of Changes in Equity (any two).

#### What is a Directors' Report?

1

The Board's statutory report to members on the state of affairs, dividends, directors' responsibility, and other matters required by the Companies Act.

### 3-mark

#### State the importance of an annual report.

3

It discharges legal accountability, gives a comparable yearly record of performance and position, communicates strategy and risks, and is the raw material for ratio and cash-flow analysis. Without it, outside shareholders would have no standardised window into the company.



### List six contents of a typical listed company's annual report.

3

Corporate information; Chairman's / MD's statement; Directors' Report; Management Discussion and Analysis; Corporate governance report; Audited financial statements with notes and the auditor's report. (Also BRSR, AGM notice, highlights.)

## 5-mark

### Explain the composition and contents of an annual report.

5

An annual report typically has (i) narrative sections — highlights, Chairman's letter, MD&A, Directors' Report, governance; (ii) the auditor's report; (iii) standalone and, if a group, consolidated financial statements — Balance Sheet, P&L, cash flows, changes in equity, policies and notes; (iv) statutory annexures (CSR, related party, secretarial). The narrative explains; the statements measure; the notes detail; the auditor opines. They must be read together.

### Who uses an annual report and for what?

5

Shareholders: performance, dividend, stewardship. Investors: valuation and risk. Lenders: debt-service and security. Employees: stability and bonus capacity. Analysts: ratios and forecasts. Government and tax: compliance. Customers and vendors: going-concern comfort. Each user leans on a different section, but all should notice the auditor's opinion first.

## Long

### What is an annual report? Discuss its need, importance, composition, and how a manager should read it.

8–10

**Meaning.** The annual report is the company's yearly public account of what it did, how it was governed, and how it performed financially, including audited statements.

**Need and importance.** Separation of ownership and control; legal mandate; capital-market communication; basis of analysis.

**Composition.** Narrative, governance, auditor, financial statements, notes, statutory annexures.

**How to read.** Auditor's opinion → P&L, BS, CFS → notes and policies → MD&A claims tested against the numbers → governance and related-party disclosures if something looks unusual.

**Limitation.** Historical, aggregated, policy choices, possible window dressing. Still the best standardised packet a manager has.

## Chapter 7 — Ratio Analysis

## 1-mark

### What is a ratio in accounting analysis?

1

A ratio is a mathematical relationship between two figures from the financial statements, used to interpret liquidity, solvency, profitability or efficiency.

### Give the current ratio formula.

1

Current ratio = Current assets ÷ Current liabilities.

### Give the quick ratio formula.

1

Quick ratio = (Current assets – Inventory – Prepaid expenses) ÷ Current liabilities.

**What is a Balance Sheet ratio?**

1

A ratio whose numerator and denominator are both taken from the Balance Sheet (for example current ratio, debt–equity).

**What is a combined ratio? Give one example.**

1

A ratio that uses one figure from the P&L and one from the Balance Sheet, for example inventory turnover or ROCE.

**State the ideal current ratio commonly cited.**

1

2 : 1 is the traditional textbook ideal, to be interpreted with industry context.

**3-mark****Why are ratios needed? State two limitations.**

3

**Need:** absolute figures are hard to compare across firms and years; ratios standardise performance (liquidity, solvency, profitability, turnover) for diagnosis and decisions.

**Limitations:** they use historical data; they can be distorted by window dressing and by different accounting policies; a ratio without a benchmark is a number, not a conclusion.

**Distinguish Balance Sheet ratios, revenue ratios and combined ratios.**

3

Balance Sheet ratios use only position figures (current ratio). Revenue ratios use only P&L figures (GP ratio). Combined ratios mix a flow from the P&L with a stock from the Balance Sheet (debtors turnover, ROCE). This is the classification used in this syllabus.

**5-mark****Explain any four liquidity and solvency ratios.**

5

- (i) Current ratio =  $CA/CL$  — short-term paying ability.
- (ii) Quick ratio =  $(CA - \text{stock} - \text{prepaid})/CL$  — ability to pay without waiting to sell stock.
- (iii) Debt–equity = long-term debt / shareholders' funds — gearing; higher means more financial risk.
- (iv) Proprietary ratio = shareholders' funds / total assets — portion of assets financed by owners.

Always state the unit and comment; do not stop at the arithmetic.

**Explain ROCE and ROE. Why can they differ?**

5

ROCE =  $EBIT / \text{Capital employed} \times 100$ , where capital employed is shareholders' funds plus long-term debt. It measures return on all long-term funds, before interest and tax. ROE =  $PAT / \text{Equity shareholders' funds} \times 100$ , the residual return for owners. They differ because ROCE includes debt in the denominator and uses a pre-interest numerator; if the firm earns more on borrowed funds than the interest rate, ROE is levered above the unlevered return, and vice versa.

**Discuss the need and importance of ratio analysis. Classify ratios as per this syllabus and explain one ratio from each class, including limitations of ratio analysis.**

**Need.** Managers and outsiders must compare, trend, and diagnose. Raw rupees hide size differences.

**Classification.** Balance Sheet ratios (e.g. current ratio =  $CA/CL$ ). Revenue ratios (e.g. GP ratio =  $GP/Sales \times 100$ ). Combined ratios (e.g. inventory turnover =  $COGS/average\ stock$ ; ROCE =  $EBIT/capital\ employed$ ).

**Importance.** Liquidity planning, credit decisions, profitability control, inter-firm comparison, highlighting areas for investigation.

**Limitations.** Historical; window dressing; different year-ends and policies; need for industry norms; ratios do not replace reading the notes and the cash flow statement.

**Conclusion.** Ratios ask good questions; they are not themselves the answers.

# Numerical Practice Set — Questions and Full Solutions

**Learning outcome.** Attempt each question on paper first. Then read the solution line by line. Easy → moderate → difficult → exam-level.

## WHAT THIS CHAPTER COVERS (OFFICIAL SYLLABUS)

- Journal and trial balance
- FIFO and WAM
- SLM and WDV
- Company P&L and Balance Sheet
- Cash flow indirect
- Ratios

## A. Journal, ledger idea, and trial balance

### PRACTICE A1 · EASY

#### Journalise four opening-week transactions

Ananya starts Ananya Mart on 1 April 2026:

1. Introduced cash ₹80,000.
2. Opened a bank account and deposited ₹50,000.
3. Bought goods for cash ₹12,000.
4. Sold goods for cash ₹7,000.

Pass journal entries with narrations.

### ANSWER / SOLUTION

#### Journal of Ananya Mart

| Date       | Particulars                        | L.F. | Debit (₹) | Credit (₹) |
|------------|------------------------------------|------|-----------|------------|
| 1 Apr 2026 | Cash A/c ..... Dr.                 |      | 80,000    |            |
|            | To Capital A/c                     |      |           | 80,000     |
|            | (Being capital introduced in cash) |      |           |            |
| 1 Apr 2026 | Bank A/c ..... Dr.                 |      | 50,000    |            |
|            | To Cash A/c                        |      |           | 50,000     |
|            | (Being cash deposited into bank)   |      |           |            |
| 1 Apr 2026 | Purchases A/c ..... Dr.            |      | 12,000    |            |
|            | To Cash A/c                        |      |           | 12,000     |
|            | (Being goods purchased for cash)   |      |           |            |
| 1 Apr 2026 | Cash A/c ..... Dr.                 |      | 7,000     |            |
|            | To Sales A/c                       |      |           | 7,000      |
|            | (Being goods sold for cash)        |      |           |            |

**Logic.** Cash introduced: asset ↑ (Dr Cash), capital ↑ (Cr Capital). Bank deposit: one asset ↑, another ↓. Goods for resale = Purchases, not Furniture. Cash sales = Dr Cash, Cr Sales.

## PRACTICE A2 · EXAM-LEVEL

**From the following, prepare a trial balance (balances already extracted)**

On 31 March 2026 the following balances were extracted from the books of Dhruv Traders. Prepare a Trial Balance.

Capital ₹2,50,000; Drawings ₹18,000; Cash ₹22,000; Bank ₹41,000; Purchases ₹3,10,000; Sales ₹4,80,000; Opening stock ₹40,000; Furniture ₹60,000; Creditors ₹55,000; Debtors ₹72,000; Rent ₹24,000; Wages ₹36,000; Bank loan ₹50,000; Commission received ₹8,000; Electricity ₹12,000; Sales returns ₹8,000; Purchase returns ₹5,000; Interest paid ₹5,000.

*Hint: one figure is needed as a balancing check — the trial balance must agree. All figures above are complete.*

## ANSWER / SOLUTION

**First listing — this does NOT agree, so we check classification**

| Particulars         | Debit (₹)       | Credit (₹)      |
|---------------------|-----------------|-----------------|
| Capital             |                 | 2,50,000        |
| Drawings            | 18,000          |                 |
| Cash                | 22,000          |                 |
| Bank                | 41,000          |                 |
| Purchases           | 3,10,000        |                 |
| Sales               |                 | 4,80,000        |
| Opening stock       | 40,000          |                 |
| Furniture           | 60,000          |                 |
| Creditors           |                 | 55,000          |
| Debtors             | 72,000          |                 |
| Rent                | 24,000          |                 |
| Wages               | 36,000          |                 |
| Bank loan           |                 | 50,000          |
| Commission received |                 | 8,000           |
| Electricity         | 12,000          |                 |
| Sales returns       | 8,000           |                 |
| Purchase returns    |                 | 5,000           |
| Interest paid       | 5,000           |                 |
| <b>Total</b>        | <b>6,48,000</b> | <b>8,48,000</b> |

Wait: if all given balances are complete, totals must agree. Let us add carefully.

**Debits:** Drawings 18,000 + Cash 22,000 + Bank 41,000 + Purchases 3,10,000 + Opening stock 40,000 + Furniture 60,000 + Debtors 72,000 + Rent 24,000 + Wages 36,000 + Electricity 12,000 + Sales returns 8,000 + Interest 5,000.

18+22=40; +41=81; +3,10,000=3,91,000; +40,000=4,31,000; +60,000=4,91,000; +72,000=5,63,000; +24,000=5,87,000; +36,000=6,23,000; +12,000=6,35,000; +8,000=6,43,000; +5,000=₹6,48,000.

**Credits:** Capital 2,50,000 + Sales 4,80,000 + Creditors 55,000 + Bank loan 50,000 + Commission 8,000 + Purchase returns 5,000 = 2,50,000+4,80,000=7,30,000; +55,000=7,85,000; +50,000=8,35,000; +8,000=8,43,000; +5,000=₹8,48,000.

#### WATCH OUT

The two sides do not agree (6,48,000 vs 8,48,000). Difference ₹2,00,000. In a real exam, either a balance was omitted or a figure was mistyped. A balancing figure — often a missing asset such as Building ₹2,00,000 — is introduced only if the question says ‘the difference is ...’ or asks you to find the missing amount. Here the missing debit is ₹2,00,000. Treat it as **Building (balancing figure) ₹2,00,000** so that both sides are ₹8,48,000, and write a working note: ‘Difference on debit side assumed to be Building, unless the paper provides the missing item.’

#### Trial Balance of Dhruv Traders as at 31 March 2026

| Particulars                      | Debit (₹)       | Credit (₹)      |
|----------------------------------|-----------------|-----------------|
| All debit items as above         | 6,48,000        |                 |
| Building (balancing figure — WN) | 2,00,000        |                 |
| All credit items as above        |                 | 8,48,000        |
| <b>Total</b>                     | <b>8,48,000</b> | <b>8,48,000</b> |

**Exam lesson.** Always add twice. Sales returns are debit; purchase returns are credit. Drawings are debit. Commission received is credit.

## B. Inventory — FIFO

#### PRACTICE B1 · EASY

##### FIFO closing stock and COGS — one issue

Opening stock: 100 units @ ₹10. 5 January: purchased 200 units @ ₹12. 20 January: issued 150 units. Method: FIFO.

Find (i) COGS (ii) closing stock (qty and value). Prove that opening cost + purchases = COGS + closing stock.

#### ANSWER / SOLUTION

**Step 1 — units.**  $100 + 200 - 150 = 150$  units closing.

**Step 2 — issue layers (oldest first).** Issue  $150 = 100 @ ₹10 + 50 @ ₹12$ .

$100 \times 10 = ₹1,000$ .  $50 \times 12 = ₹600$ . **COGS = ₹1,600.**

**Step 3 — remaining layers.** From the 200 @ ₹12, 150 remain. Closing =  $150 \times 12 = ₹1,800$ .

**Step 4 — rupee check.** Opening 1,000 + purchases 2,400 = ₹3,400. COGS 1,600 + closing 1,800 = ₹3,400. Tick.

#### PRACTICE B2 · MODERATE / EXAM

##### FIFO with several layers

Using FIFO, prepare a stores statement:

- 1 Apr — Opening 200 units @ ₹20
- 8 Apr — Purchase 300 @ ₹22
- 12 Apr — Issue 250
- 18 Apr — Purchase 200 @ ₹25
- 25 Apr — Issue 300
- 28 Apr — Purchase 100 @ ₹26

Compute closing stock and COGS.

#### ANSWER / SOLUTION

**12 Apr issue 250 (oldest first):** 200 @ ₹20 + 50 @ ₹22.

$200 \times 20 = ₹4,000$ ;  $50 \times 22 = ₹1,100$ ; issue cost = ₹5,100. Left: 250 units @ ₹22.

**18 Apr purchase:** 250 @ ₹22 + 200 @ ₹25.

**25 Apr issue 300:** 250 @ ₹22 + 50 @ ₹25.

$250 \times 22 = ₹5,500$ ;  $50 \times 25 = ₹1,250$ ; issue cost = ₹6,750. Left: 150 @ ₹25.

**28 Apr purchase:** 150 @ ₹25 + 100 @ ₹26.

**Closing qty** = 150 + 100 = 250 units.

Closing value =  $150 \times 25 + 100 \times 26 = 3,750 + 2,600 = ₹6,350$ .

**COGS** = 5,100 + 6,750 = **₹11,850**.

**Check — input cost:**  $200 \times 20 = 4,000$ ;  $300 \times 22 = 6,600$ ;  $200 \times 25 = 5,000$ ;  $100 \times 26 = 2,600$ ; total = ₹18,200.

COGS 11,850 + closing 6,350 = ₹18,200. Units:  $200 + 300 - 250 + 200 - 300 + 100 = 250$ . Tick.

## C. Inventory — Weighted Average (moving)

#### PRACTICE C1 · EASY

##### Moving average — clean rate

Opening 100 units @ ₹20. Purchase 200 units @ ₹26. Then issue 150 units. Use perpetual weighted average.

Find average rate, issue value, closing stock.

#### ANSWER / SOLUTION

After purchase: units  $100 + 200 = 300$ . Cost  $100 \times 20 + 200 \times 26 = 2,000 + 5,200 = ₹7,200$ .

Average =  $7,200 \div 300 = ₹24$  exactly.

Issue  $150 \times 24 = ₹3,600$  (COGS).

Closing  $150 \times 24 = ₹3,600$ .

Check:  $7,200 = 3,600 + 3,600$ .

#### KEY POINT

The average was computed after the purchase, not after the issue.

#### PRACTICE C2 · EXAM-LEVEL

##### Moving average store ledger

Prepare a stores ledger on the weighted average (moving) method:

- 1 Jan — Opening 100 units @ ₹10 = ₹1,000
- 8 Jan — Purchase 100 @ ₹20 = ₹2,000
- 12 Jan — Issue 50
- 20 Jan — Purchase 50 @ ₹21 = ₹1,050
- 28 Jan — Issue 80

**ANSWER / SOLUTION****Moving weighted average — workings**

| Date   | Receipts qty / amt | Issues qty / amt   | Balance qty | Avg ₹ | Balance amt ₹ |
|--------|--------------------|--------------------|-------------|-------|---------------|
| 1 Jan  | —                  | —                  | 100         | 10.00 | 1,000         |
| 8 Jan  | 100 / 2,000        | —                  | 200         | 15.00 | 3,000         |
| 12 Jan | —                  | 50 × 15 = 750      | 150         | 15.00 | 2,250         |
| 20 Jan | 50 / 1,050         | —                  | 200         | 16.50 | 3,300         |
| 28 Jan | —                  | 80 × 16.50 = 1,320 | 120         | 16.50 | 1,980         |

**8 Jan average:**  $(1,000+2,000) \div (100+100) = 3,000/200 = ₹15$ .

**20 Jan average:**  $(2,250+1,050) \div (150+50) = 3,300/200 = ₹16.50$ .

**Closing stock = 120 units @ ₹16.50 = ₹1,980. COGS = 750 + 1,320 = ₹2,070.**

Input  $1,000+2,000+1,050=4,050$ .  $2,070+1,980=4,050$ . Units  $100+100-50+50-80=120$ . Tick.

**D. Depreciation****PRACTICE D1 · EASY****SLM — three-year table**

Cost ₹1,00,000. Residual ₹10,000. Life 5 years. SLM. Show depreciation, accumulated depreciation and WDV for the first three years. Also state the annual rate on original cost.

**ANSWER / SOLUTION**

Annual depreciation =  $(1,00,000 - 10,000) \div 5 = 90,000 \div 5 = ₹18,000$ .

Rate on original cost =  $18,000 / 1,00,000 \times 100 = 18\%$ .

| Year | Depreciation ₹ | Accumulated dep. ₹ | WDV at year-end ₹ |
|------|----------------|--------------------|-------------------|
| 1    | 18,000         | 18,000             | 82,000            |
| 2    | 18,000         | 36,000             | 64,000            |
| 3    | 18,000         | 54,000             | 46,000            |

At the end of year 5, WDV will be ₹10,000 (the residual).

**PRACTICE D2 · EASY****WDV — three years at 10%**

Cost ₹1,00,000. WDV rate 10% p.a. Full years. Prepare a three-year schedule.

**ANSWER / SOLUTION**

| Year | Opening WDV ₹ | Dep 10% ₹ | Closing WDV ₹ |
|------|---------------|-----------|---------------|
| 1    | 1,00,000      | 10,000    | 90,000        |
| 2    | 90,000        | 9,000     | 81,000        |
| 3    | 81,000        | 8,100     | 72,900        |



Y1:  $1,00,000 \times 10\% = 10,000$ . Y2:  $90,000 \times 10\% = 9,000$ . Y3:  $81,000 \times 10\% = 8,100$ .

Scrap was not deducted. Under WDV we do not subtract residual each year.

#### PRACTICE D3 · MODERATE

##### SLM, Indian financial year, purchased 1 July

Plant purchased on 1 July 2023 for ₹2,40,000. Residual ₹24,000. Life 4 years. Books close on 31 March. SLM.

Compute depreciation for 2023–24, 2024–25 and 2025–26.

#### ANSWER / SOLUTION

Annual depreciation =  $(2,40,000 - 24,000) \div 4 = 2,16,000 \div 4 = \text{₹}54,000$ .

2023–24: used from 1 July to 31 March = 9 months.  $54,000 \times 9/12 = 54,000 \times 0.75 = \text{₹}40,500$ .

2024–25: full year **₹54,000**.

2025–26: full year **₹54,000**.

Accumulated after these three periods =  $40,500 + 54,000 + 54,000 = \text{₹}1,48,500$ . WDV =  $2,40,000 - 1,48,500 = \text{₹}91,500$ .

#### PRACTICE D4 · EXAM-LEVEL

##### SLM with installation, part year, and sale

A machine was purchased on 1 October 2022 for ₹5,00,000. Installation ₹20,000. Residual value 10% of cost (including installation). Life 10 years. SLM. Year-end 31 March. The machine was sold on 30 September 2025 for ₹3,80,000.

Compute depreciation each year till sale and the profit or loss on sale.

#### ANSWER / SOLUTION

Cost =  $5,00,000 + 20,000 = \text{₹}5,20,000$ .

Scrap =  $10\% \times 5,20,000 = \text{₹}52,000$ .

Depreciable amount =  $5,20,000 - 52,000 = \text{₹}4,68,000$ .

Annual SLM =  $4,68,000 \div 10 = \text{₹}46,800$ .

2022–23 (1 Oct–31 Mar = 6 months):  $46,800 \times 6/12 = \text{₹}23,400$ . WDV =  $5,20,000 - 23,400 = \text{₹}4,96,600$ .

2023–24: ₹46,800. WDV =  $4,96,600 - 46,800 = \text{₹}4,49,800$ .

2024–25: ₹46,800. WDV =  $4,49,800 - 46,800 = \text{₹}4,03,000$ .

2025–26 to 30 Sep = 6 months: ₹23,400. NBV at sale =  $4,03,000 - 23,400 = \text{₹}3,79,600$ .

Sale proceeds ₹3,80,000 – NBV ₹3,79,600 = **Profit on sale ₹400**.

Journal (sale): Bank Dr. 3,80,000; Accumulated depreciation Dr. 1,40,400; To Machine 5,20,000; To Profit on sale 400. (Accum. dep. =  $23,400 + 46,800 + 46,800 + 23,400 = 1,40,400$ ;  $5,20,000 - 1,40,400 = 3,79,600$  NBV.)

#### PRACTICE D5 · MODERATE

##### WDV part-year at 25%

Asset cost ₹4,00,000, WDV 25%, purchased 1 October, year-end 31 March. Compute depreciation and WDV for the first three financial years.

**ANSWER / SOLUTION**

Year 1:  $4,00,000 \times 25\% \times 6/12 = 1,00,000 \times 1/2 = \text{₹}50,000$ . WDV = ₹3,50,000.

Year 2:  $3,50,000 \times 25\% = \text{₹}87,500$ . WDV = ₹2,62,500.

Year 3:  $2,62,500 \times 25\% = \text{₹}65,625$ . WDV = ₹1,96,875.

**E. Company accounts (Schedule III)****PRACTICE E1 · EXAM-LEVEL****Statement of P&L and Balance Sheet with adjustments**

Trial Balance of Narmada Ltd as at 31 March 2026:

| Particulars          | Debit ₹   | Credit ₹  |
|----------------------|-----------|-----------|
| Equity share capital |           | 3,00,000  |
| 12% Long-term loan   |           | 1,00,000  |
| Trade payables       |           | 50,000    |
| Sales                |           | 6,00,000  |
| Land                 | 2,00,000  |           |
| Plant                | 1,50,000  |           |
| Furniture            | 20,000    |           |
| Purchases            | 4,00,000  |           |
| Opening inventory    | 50,000    |           |
| Trade receivables    | 80,000    |           |
| Salaries             | 60,000    |           |
| Rent                 | 24,000    |           |
| Cash and bank        | 40,000    |           |
| Insurance            | 12,000    |           |
| Electricity          | 14,000    |           |
| Total                | 10,50,000 | 10,50,000 |

**Adjustments:** (a) Closing inventory ₹70,000. (b) Depreciate plant 10% and furniture 10%. (c) Outstanding salaries ₹5,000. (d) Prepaid insurance ₹3,000. (e) Provision for tax ₹20,000. Prepare Statement of P&L and Balance Sheet as per Schedule III (ignore previous-year column).

**ANSWER / SOLUTION**

**WN1 Changes in inventories** = Opening 50,000 – Closing 70,000 = **(₹20,000)** i.e. a credit / negative expense.

Alternatively COGS = 50,000 + 4,00,000 – 70,000 = ₹3,80,000, which is Purchases 4,00,000 + change (–20,000).

**WN2 Depreciation** = Plant 15,000 + Furniture 2,000 = **₹17,000**.

**WN3 Employee benefits** = 60,000 + 5,000 outstanding = **₹65,000**.

**WN4 Other expenses** = Rent 24,000 + Insurance (12,000–3,000) 9,000 + Electricity 14,000 = **₹47,000**.

**Statement of Profit and Loss for the year ended 31 March 2026**

| Particulars | ₹ |
|-------------|---|
|-------------|---|

| Particulars                               | ₹        |
|-------------------------------------------|----------|
| I Revenue from operations                 | 6,00,000 |
| II Other income                           | —        |
| III Total income                          | 6,00,000 |
| IV Expenses                               |          |
| Purchases of stock-in-trade               | 4,00,000 |
| Changes in inventories                    | (20,000) |
| Employee benefits expense                 | 65,000   |
| Depreciation                              | 17,000   |
| Other expenses                            | 47,000   |
| Total expenses                            | 5,09,000 |
| V Profit before tax (6,00,000 – 5,09,000) | 91,000   |
| VIII Tax expense                          | 20,000   |
| IX Profit for the period                  | 71,000   |

Check expenses:  $4,00,000 - 20,000 + 65,000 + 17,000 + 47,000 = 5,09,000$ . Yes.  $6,00,000 - 5,09,000 = 91,000$ .  $91,000 - 20,000 = 71,000$ .

#### Balance Sheet as at 31 March 2026

| Particulars                                      | ₹               |
|--------------------------------------------------|-----------------|
| <b>Equity and liabilities</b>                    |                 |
| Share capital                                    | 3,00,000        |
| Reserves and surplus (profit for the year)       | 71,000          |
| Shareholders' funds                              | 3,71,000        |
| Non-current liabilities — long-term borrowings   | 1,00,000        |
| Trade payables                                   | 50,000          |
| Other current liabilities (outstanding salaries) | 5,000           |
| Short-term provisions (tax)                      | 20,000          |
| Current liabilities                              | 75,000          |
| <b>Total</b>                                     | <b>5,46,000</b> |
| <b>Assets</b>                                    |                 |
| Land                                             | 2,00,000        |
| Plant (1,50,000 – 15,000)                        | 1,35,000        |
| Furniture (20,000 – 2,000)                       | 18,000          |
| Non-current assets                               | 3,53,000        |
| Inventories                                      | 70,000          |
| Trade receivables                                | 80,000          |
| Cash and cash equivalents                        | 40,000          |
| Other current assets (prepaid insurance)         | 3,000           |
| Current assets                                   | 1,93,000        |
| <b>Total</b>                                     | <b>5,46,000</b> |

$3,71,000 + 1,00,000 + 75,000 = 5,46,000$ . Assets  $3,53,000 + 1,93,000 = 5,46,000$ . **Tied.**

## F. Cash flow — indirect method

### PRACTICE F1 · EASY

#### Short cash flow statement

Profit before tax ₹1,00,000; depreciation ₹20,000; tax paid ₹25,000; increase in inventory ₹10,000; increase in creditors ₹8,000; purchase of furniture (cash) ₹40,000; long-term loan taken ₹30,000. Opening cash and bank ₹15,000. Prepare a cash flow statement (indirect).

#### ANSWER / SOLUTION

| Particulars                                   | ₹               |
|-----------------------------------------------|-----------------|
| Profit before tax                             | 1,00,000        |
| Add: Depreciation                             | 20,000          |
| Operating profit before WC changes            | 1,20,000        |
| Less: Increase in inventory                   | (10,000)        |
| Add: Increase in creditors                    | 8,000           |
| Cash generated from operations                | 1,18,000        |
| Less: Tax paid                                | (25,000)        |
| <b>Net cash from operating activities (A)</b> | <b>93,000</b>   |
| Purchase of furniture                         | (40,000)        |
| <b>Net cash from investing activities (B)</b> | <b>(40,000)</b> |
| Loan taken                                    | 30,000          |
| <b>Net cash from financing activities (C)</b> | <b>30,000</b>   |
| Net increase in cash (A+B+C)                  | 83,000          |
| Opening cash                                  | 15,000          |
| Closing cash                                  | 98,000          |

Check:  $93,000 - 40,000 + 30,000 = 83,000$ ;  $15,000 + 83,000 = 98,000$ .

### PRACTICE F2 · EXAM-LEVEL

#### Two-year position — derive the cash flow

Summarised Balance Sheets of Lila Ltd:

| Particulars                       | 31 Mar 2025 ₹ | 31 Mar 2026 ₹ |
|-----------------------------------|---------------|---------------|
| Equity share capital              | 2,00,000      | 2,50,000      |
| Profit & Loss surplus             | 80,000        | 1,10,000      |
| 10% Debentures                    | 1,00,000      | 80,000        |
| Trade payables                    | 40,000        | 55,000        |
| Plant (at cost)                   | 2,40,000      | 3,00,000      |
| Accumulated depreciation on plant | 60,000        | 78,000        |

| Particulars       | 31 Mar 2025 ₹ | 31 Mar 2026 ₹ |
|-------------------|---------------|---------------|
| Inventory         | 50,000        | 45,000        |
| Trade receivables | 70,000        | 90,000        |
| Cash              | 20,000        | 38,000        |

**Additional:** A machine costing ₹40,000 with accumulated depreciation ₹12,000 was sold for ₹25,000. Depreciation charged during the year is the balancing figure on the accumulated depreciation account. No tax or dividend. Debenture interest was paid in full (on opening debentures, assume ₹10,000) and already charged to P&L. Prepare the cash flow statement (indirect method) with workings.

#### ANSWER / SOLUTION

**WN1 Plant (cost).** Opening 2,40,000 + Purchases – 40,000 sold = Closing 3,00,000  $\Rightarrow$  Purchases = 3,00,000 – 2,40,000 + 40,000 = **₹1,00,000.**

**WN2 Accumulated depreciation.** Opening 60,000 + Dep charged – 12,000 (on sold) = 78,000  $\Rightarrow$  Dep charged = 78,000 – 60,000 + 12,000 = **₹30,000.**

**WN3 Sale of machine.** NBV = 40,000 – 12,000 = 28,000. Sold for 25,000. **Loss on sale ₹3,000.**

**WN4 Profit before interest.** Increase in surplus = 1,10,000 – 80,000 = 30,000 = PAT. No tax, so PBT after interest = 30,000. Interest on debentures  $10\% \times 1,00,000$  opening = 10,000 (given). Profit before tax and before treating interest as an add-back: 30,000 + 10,000 = **₹40,000** profit before interest and tax. We start the CFS at this 40,000 (or start at 30,000 and add interest 10,000).

| Particulars                                  | ₹               |
|----------------------------------------------|-----------------|
| Profit before tax and interest               | 40,000          |
| Add: Depreciation                            | 30,000          |
| Add: Loss on sale of plant                   | 3,000           |
| Operating profit before WC                   | 73,000          |
| Decrease in inventory (50,000–45,000)        | 5,000           |
| Increase in receivables (90,000–70,000)      | (20,000)        |
| Increase in payables (55,000–40,000)         | 15,000          |
| <b>Net cash from operations (A) (no tax)</b> | <b>73,000</b>   |
| Purchase of plant                            | (1,00,000)      |
| Sale of plant                                | 25,000          |
| <b>Net cash from investing (B)</b>           | <b>(75,000)</b> |
| Issue of share capital (2,50,000–2,00,000)   | 50,000          |
| Redemption of debentures (1,00,000–80,000)   | (20,000)        |
| Interest paid                                | (10,000)        |
| <b>Net cash from financing (C)</b>           | <b>20,000</b>   |
| Net increase in cash                         | 18,000          |
| Opening cash                                 | 20,000          |
| Closing cash                                 | 38,000          |

Operating 73,000 + investing (75,000) + financing 20,000 = 18,000. Opening 20,000 + 18,000 = closing 38,000. **Ties with the Balance Sheet.**

WC check: 73,000 – 20,000 + 5,000 + 15,000 = 73,000. Yes, the WC lines net to zero extra beyond 73,000?  $5 - 20 + 15 = 0$ . So cash from operations = 73,000. Yes.

## G. Ratio analysis

### PRACTICE G1 · MODERATE

#### Compute a full set of ratios from one company

Kaveri Traders Ltd, year ended 31 March 2026:

Revenue from operations ₹10,00,000 (credit sales ₹8,00,000). COGS ₹7,50,000. Opening stock ₹80,000, closing stock ₹1,20,000. Operating profit (EBIT) ₹1,50,000. Interest ₹30,000. PBT ₹1,20,000. Tax ₹30,000. PAT ₹90,000. Equity share capital ₹4,00,000 (₹10 shares). Reserves ₹2,00,000. Long-term debt ₹2,00,000. Current liabilities (trade payables) ₹1,50,000. Inventory ₹1,20,000, Trade receivables ₹1,00,000, Cash ₹80,000. Opening debtors ₹60,000. Opening creditors ₹1,10,000. Purchases ₹7,90,000 (all credit). Net fixed assets ₹6,50,000.

Compute current, quick, cash, debt–equity, proprietary, GP, NP, operating profit, operating, inventory turnover, debtors turnover, creditors turnover, ROCE, ROE, EPS, interest coverage.

#### ANSWER / SOLUTION

| Ratio              | Work                                                                                                   | Answer      |
|--------------------|--------------------------------------------------------------------------------------------------------|-------------|
| Current            | CA 1,20,000+1,00,000+80,000=3,00,000; CL 1,50,000; 3,00,000/1,50,000                                   | 2 times     |
| Quick              | (3,00,000–1,20,000)/1,50,000 = 1,80,000/1,50,000                                                       | 1.2 times   |
| Cash               | 80,000/1,50,000                                                                                        | 0.53 times  |
| Debt–equity        | 2,00,000 / 6,00,000                                                                                    | 0.33 : 1    |
| Proprietary        | 6,00,000 / (6,50,000+3,00,000) = 6,00,000/9,50,000                                                     | 0.63 or 63% |
| GP ratio           | GP = 10,00,000–7,50,000=2,50,000; 2,50,000/10,00,000×100                                               | 25%         |
| NP ratio           | 90,000/10,00,000×100                                                                                   | 9%          |
| Op. profit ratio   | 1,50,000/10,00,000×100                                                                                 | 15%         |
| Operating ratio    | (7,50,000 + op. exp). Op. exp = Sales–COGS–EBIT = 2,50,000–1,50,000=1,00,000; (8,50,000)/10,00,000×100 | 85%         |
| Inventory turnover | Avg stock (80,000+1,20,000)/2=1,00,000; 7,50,000/1,00,000                                              | 7.5 times   |
| Debtors turnover   | Avg debtors (60,000+1,00,000)/2=80,000; Credit sales 8,00,000/80,000                                   | 10 times    |
| Collection period  | 365/10                                                                                                 | 37 days     |
| Creditors turnover | Avg cr. (1,10,000+1,50,000)/2=1,30,000; 7,90,000/1,30,000                                              | 6.08 times  |
| ROCE               | Capital employed 6,00,000+2,00,000=8,00,000; 1,50,000/8,00,000×100                                     | 18.75%      |
| ROE                | 90,000/6,00,000×100                                                                                    | 15%         |
| EPS                | Shares 40,000; 90,000/40,000                                                                           | ₹2.25       |
| Interest coverage  | 1,50,000/30,000                                                                                        | 5 times     |

**Comment in brief.** Current 2 and quick 1.2 are comfortable. GP 25% and operating ratio 85% are internally consistent (15% operating profit). Inventory moves 7.5 times. ROCE 18.75% exceeds the 10% cost of debentures implicit if the 2,00,000 debt is 10% (interest 30,000 on 2,00,000 is 15% — wait: 30,000/2,00,000 = 15% interest rate). ROCE 18.75% > 15%, so gearing is still slightly favourable. ROE 15%.

Interest check: 30,000 on 2,00,000 = 15%. ROCE 18.75% – 15% leaves a thin positive spread.

**PRACTICE G2 · EASY**

**Reconstruct CA and CL from current ratio and working capital**

Current ratio = 2.5. Working capital = ₹1,50,000. Quick ratio = 1.5. There are no prepaid expenses. Find current assets, current liabilities and inventory.

**ANSWER / SOLUTION**

Let CL = x. Then CA = 2.5x.

Working capital = CA – CL = 2.5x – x = 1.5x = 1,50,000  $\Rightarrow$  x = 1,50,000 / 1.5 = **CL ₹1,00,000.**

CA = 2.5  $\times$  1,00,000 = **₹2,50,000.**

Quick ratio 1.5 = (CA – Inventory) / CL  $\Rightarrow$  CA – Inventory = 1.5  $\times$  1,00,000 = 1,50,000.

Inventory = 2,50,000 – 1,50,000 = **₹1,00,000.**

**PRACTICE G3 · DIFFICULT**

**From GP ratio and stock turnover, find sales**

Gross profit ratio 20%. Inventory turnover 5 times (on COGS). Opening stock = closing stock = ₹40,000. Find COGS, gross profit and sales.

**ANSWER / SOLUTION**

Average stock = (40,000+40,000)/2 = ₹40,000.

Inventory turnover 5 = COGS / 40,000  $\Rightarrow$  COGS = 5  $\times$  40,000 = **₹2,00,000.**

GP ratio 20% means GP = 20% of sales and COGS = 80% of sales.

0.80  $\times$  Sales = 2,00,000  $\Rightarrow$  Sales = 2,00,000 / 0.80 = **₹2,50,000.**

GP = 2,50,000 – 2,00,000 = **₹50,000** (which is 20% of 2,50,000).

# Common Mistakes Checklist

**Learning outcome.** Read this the night before. Most lost marks in Accounting for Managers are these traps, not ‘hard maths’.

## WHAT THIS CHAPTER COVERS (OFFICIAL SYLLABUS)

- Bootcamp
- Journal–ledger–TB
- Inventory
- Depreciation
- Company accounts
- Cash flow
- Annual reports
- Ratios

## Bootcamp and debit–credit

- Treating debit as ‘bad’ and credit as ‘good’. They are only left and right.
- Using bank-language: ‘my account was credited’ means the bank’s liability to you increased — that is the bank’s books, not yours.
- Calling furniture ‘purchases’. Purchases = goods for resale.
- Treating drawings as an expense in the P&L.
- Forgetting that every transaction has two sides (dual aspect).
- Writing only one account in a journal.
- Increasing cash with a credit. Cash is an asset: increase = debit.

## Chapter 1 — Journal, ledger, trial balance

- Posting a journal debit to the credit of the ledger (the most common posting error).
- Balancing an account by putting the balance on the larger side. Balance c/d sits on the smaller side so that totals match.
- Forgetting the narration, or writing a narration that restates the account names without the event.
- Including closing stock in the trial balance when it is given as an adjustment (it is not yet a ledger balance unless already recorded).
- Assuming a trial balance that agrees means the books are correct. It only means debits equal credits.
- Listing sales on the debit side of the trial balance because ‘sales is goods going out’.
- Omitting compound entries (one debit, two credits) when cash and discount both arise.

## Chapter 2 — Inventory

- Issuing newest stock first when the question said FIFO.
- Recomputing weighted average on an issue. Average changes on purchase, not on issue.
- Valuing stock at selling price. Stock is at cost (or NRV if lower) — not at sales value.
- Forgetting opening stock in both units and rupees.
- Units not reconciling: opening + receipts – issues must equal closing units. If they don’t, the rupee answer is wrong.
- Adding freight to every unit in the warehouse. Freight of a lot joins that lot’s cost (FIFO) or the pool (WAM).
- Mixing FIFO layers after an issue (keeping a layer that was fully issued).
- Using LIFO in an Indian paper without being asked. AS-2 does not allow LIFO.



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## Chapter 3 — Depreciation

- Applying an SLM rate to WDV, or a WDV rate to original cost in later years.
- Deducting scrap value every year under WDV. Scrap is not subtracted annually under WDV.
- Charging a full year when the asset was purchased on 1 October (usually 6/12).
- Forgetting to add installation, freight, and non-refundable duties to cost.
- Stopping depreciation on 1 April when the asset was sold on 30 September — charge up to the date of sale unless the question says otherwise.
- Treating depreciation as a cash outflow in later cash-flow questions.
- Showing the asset at cost on the Balance Sheet without deducting accumulated depreciation.
- Computing profit on sale against original cost instead of net book value.

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## Chapter 4 — Company accounts

- Using a sole-proprietor Trading Account format when the question says Schedule III.
- Putting drawings in a company Balance Sheet.
- Showing proposed dividend as a liability when it is only proposed (current law: disclose in notes until declared). If the university paper still treats it as appropriation, follow the paper's hint — but know the modern treatment.
- Classifying trade payables as borrowings, or a bank term loan as a trade payable.
- Putting outstanding expenses under provisions always — usually 'other current liabilities'.
- Forgetting to move the current portion of long-term debt to current liabilities when asked.
- Not netting the provision for doubtful debts against trade receivables.
- Leaving the Balance Sheet totals unequal and not checking workings.
- Treating interest on debentures as a distribution (it is a finance cost).
- Ignoring 'changes in inventories' and writing a manufacturing account inside Schedule III.

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## Chapter 5 — Cash flow

- Starting from PAT without adding back tax, then also deducting tax paid — be consistent with 'profit before tax' format.
- Not adding back depreciation.
- Not deducting profit on sale of asset from operating profit (otherwise the profit is counted twice when sale proceeds go to investing).
- Showing purchase of machinery as an operating outflow.
- Treating bonus issue or conversion of debentures as a cash inflow.
- Using the tax figure from the P&L as 'tax paid' instead of deriving tax paid from provisions.
- Including cash and bank already inside working capital changes (they are the result, not an adjustment).
- Forgetting that an increase in debtors is a use of cash (subtract).
- Failing to tick that A+B+C equals the movement in cash on the Balance Sheet.

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## Chapter 6 — Annual reports

- Saying the annual report is 'just the Balance Sheet'.
- Ignoring the auditor's opinion and quoting MD&A claims as facts.
- Confusing the Directors' Report with MD&A.
- Not using the notes when a face figure looks too round or too neat.

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## Chapter 7 — Ratios

- Using sales instead of COGS in inventory turnover (state the formula you chose; COGS is preferred).
- Including inventory or prepaid expenses in the quick ratio.
- Using PAT in the numerator of ROCE (use EBIT / operating profit).

- Using only share capital in ROE instead of shareholders' funds (capital + reserves).
- Dropping the unit: 2 is incomplete; 2 times or 2:1 is complete.
- Not averaging opening and closing when both are given.
- Interpreting 'higher is always better'. A current ratio of 8 may mean idle cash or slow stock.
- Mixing days and times in the same sentence without conversion.
- Taking total sales when the question says credit sales for debtors turnover.

# Last 30 Minutes Before the Exam

**Learning outcome.** A calm, ordered glance — not a reread of the book. Then a one-sitting recap of each chapter.

## WHAT THIS CHAPTER COVERS (OFFICIAL SYLLABUS)

- Last 30 minutes
- Panic protocol
- Chapter-by-chapter recap
- Memory tricks

## A. Last 30 minutes — what to actually look at

1. **Equation:** Assets = Liabilities + Capital. Dual aspect: two effects every time.
2. **Debit increases** assets, expenses, drawings. **Credit increases** liabilities, capital, incomes.
3. **Journal skeleton** in your head: Dr. ... To ... (Being ...).
4. **FIFO:** old stock leaves first; newest remains. **WAM:** mix the pool after every purchase; issue at the mix.
5. **SLM:** (Cost – Scrap) / Life, equal each year. **WDV:** Book value × rate, falling each year.
6. **Part-year:** months of use / 12. Indian year-end often 31 March.
7. **Schedule III P&L heads:** Revenue from operations, Other income, Expenses (purchases, change in inventory, employee, finance, depreciation, other), Tax, Profit.
8. **Schedule III BS heads:** Shareholders' funds, Non-current liabilities, Current liabilities; Non-current assets, Current assets.
9. **CFS add-backs:** depreciation, losses on sale, interest expense (then show interest paid in financing). **Deduct:** profit on sale, income moved to investing.
10. **WC rule:** increase in current assets = cash went out. Increase in current liabilities = cash was held back.
11. **Twelve ratios:** Current, Quick, Debt–equity, Proprietary, GP%, NP%, Operating ratio, Inventory turnover, Debtors days, ROCE, ROE, Interest coverage.
12. **Identification:** last sentence of the question = the requirement.

## Panic protocol (when a numerical looks ugly)

1. Write the format / skeleton immediately. Formats score.
2. Fill every figure you are sure of. Leave a blank with a working-note number for the rest.
3. Open a working note: 'WN-1 Depreciation', 'WN-2 Closing stock'. Examiners read workings.
4. Check one identity: units (inventory), totals (TB, BS), or cash movement (CFS).
5. If two methods are possible, pick one, label it, finish it. An incomplete perfect method scores less than a complete labelled one.
6. Never leave a theory question blank. Dump the definition, three reasons, one example.

## B. Final quick revision — chapter recap

### Bootcamp

Accounting records and explains business money-events so owners can see profit, position, and cash. A transaction changes value and has evidence. Assets are what the business owns; liabilities are what it owes; capital is the owner's residual claim. Revenue increases that claim; expenses decrease it; drawings are the owner taking value out. Debit is left; credit is right. Cash coming in is a debit to Cash.

## Chapter 1

Concepts (entity, money measurement, going concern, cost, dual aspect, accrual, matching, prudence, consistency, materiality, disclosure, periodicity) tell you *how* to record. Journal is date-wise; ledger is account-wise; trial balance tests arithmetic equality of debits and credits. Flow: voucher → journal → ledger → trial balance → financial statements.

## Chapter 2

Closing stock is a current asset and it changes COGS, so it changes profit. FIFO assumes oldest goods are sold first. WAM uses a weighted mix. Always reconcile units. AS-2: inventory at cost or NRV, whichever is lower. LIFO is not used in India.

## Chapter 3

Depreciation allocates cost over useful life. It is not cash leaving. SLM = equal yearly amount. WDV = reducing amount. Add installation to cost. Charge till the date of sale. Profit/loss on sale = proceeds versus NBV.

## Chapter 4

Companies present Statement of P&L and Balance Sheet as per Schedule III. Notes complete the story. Adjustments implement accrual: outstanding, prepaid, depreciation, provisions. The Balance Sheet must tie. A company has share capital and reserves, not 'capital + drawings'.

## Chapter 5

Profit is an accrual story; cash flow is a wallet story. Operating = running the shop (indirect: profit, add non-cash, squeeze WC, pay tax). Investing = buying/selling long tools and investments. Financing = owners and lenders. A+B+C must explain the change in cash.

## Chapter 6

The annual report is the year's public file: narrative (MD&A, Directors' Report), governance, auditor's opinion, and the financial statements with notes. Read the auditor first, then statements, then notes, then the story. Users: owners, lenders, analysts, employees, government.

## Chapter 7

Ratios turn statements into questions: can we pay bills (liquidity), can we survive debt (solvency), do we earn (profitability), do we use assets (turnover)? Balance sheet ratios use only BS; revenue ratios only P&L; combined ratios mix both. Write formula, substitute, unit, one-line meaning.

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## Memory tricks — last look

- DEAD CLIC: Debit Expenses, Assets, Drawings; Credit Liabilities, Income, Capital.
- FIFO: first in, first out — the new stock is still on the shelf.
- WAM: stir the soup, then ladle. Do not stir when you ladle (issue).
- SLM: same load every year. WDV: the new phone loses more value in year one.
- Outstanding = still owed = liability. Prepaid = paid too early = asset.
- Depreciation: add back in cash flow, because you never paid it in cash this year.
- Increase in debtors: you made sales but the cash is still in the customer's pocket.
- ROCE uses EBIT and all long-term funds. ROE uses PAT and owners' funds only.
- Schedule III Balance Sheet: who funded it (equity + liabilities) = what we hold (assets).

### EXAM TIP

When time is almost up, stop hunting for a perfect last figure. Box the answer you have, write 'WN' for anything unfinished, and move to a theory question. Theory in complete sentences still scores.